Enduring Value

Nation First: Sab Saath Badhein

ITC Limited

REPORT AND ACCOUNTS 2026

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Enduring Value

ITC: Building a Future-Forward Enterprise for a Viksit Bharat

ITC has always lived by its vision of creating larger value for all stakeholders while contributing meaningfully to national priorities. Guided by its credo **Nation First: Sab Saath Badhein**, the Company has built **world-class Indian brands, strengthened domestic value chains, invested in advanced manufacturing, deepened farmer partnerships**, and **accelerated digital, AI-led and R&D-driven innovation**. As India advances towards a **Viksit Bharat**, ITC continues to shape a **future-ready enterprise** anchored in **competitiveness, sustainability**, and **inclusive growth**. Its large-scale initiatives to conserve and replenish natural resources, together with impactful climate action and social programmes, are helping build a more **resilient, inclusive**, and **future-ready India**. Reinforcing this commitment, the Company has redefined its **Mission, Vision and Values** to inspire greater purpose-led action and an even deeper contribution to national progress.

MISSION

To be India's most trusted enterprise, creating unparalleled customer experiences through world-class brands and businesses that champion sustainable and inclusive value chains.

VISION

Our brands, products and solutions will lead with industry-shaping innovations, deliver best-in-class performance, powering ITC to make a transformative contribution to the nation's progress.

VALUES

Led by Trusteeship and Nation Orientation, ITC is guided by a set of Core Values in all its endeavours. Scan the QR Code to learn more.

ITC's Triple Bottom Line Contribution – Highlights

Economic

- Gross Revenue – ₹ 80,867 cr
- EBITDA – ₹ 25,208 cr
- Among Top 3 private sector contributors to the Exchequer
- 12 Future-ready Businesses
- 30+ World-class Mother Brands
- 250+ Factories

Environmental

- 51% of Energy consumed by ITC is from Renewable Sources
- 17 Platinum Rated Green Buildings
- Plastic Neutral for 5 years
- Watershed Development:
  - Augmenting supply: 38,500+ watershed structures
  - Optimising demand: Covering over 20 lakh acres
  - Interventions at scale: Rejuvenating 5 major river sub-basins
- Afforestation: Over 14 lakh acres

Social

- 200+ Partnership ecosystem, including PPPs
- Over 12 lakh farmers covered under Climate Smart Agriculture
- Over 23 lakh Children benefitted through Support to Education initiatives
- Over 17 lakh covered by Maternal & Child Health and Nutrition programmes
- Nearly 20 lakh Rural Healthcare engagements

ITC has been **Carbon Positive** for 21 years, **Water Positive** for 24 years, and **Solid Waste Recycling Positive** for 19 years

ITC's businesses and value chains support 90 lakh sustainable livelihoods

ITC Group

Spanning Agriculture, Manufacturing & Services

FMCG

- Largest incubator of world-class Indian brands
- Over ₹ 37,000 cr consumer spends
- Reaching 28 crore households
- Aspiration to be India's No. 1 FMCG company

Agri Business

- Century-old relationship with Indian farmers
- Nearly 40 lakh tonnes sourced from 20+ value chains
- Powering NextGen Agriculture through ITCMAARS
- Building resilience with Climate Smart Agriculture
- Strengthening value-added Agri portfolio with best-in-class manufacturing assets

Paperboards and Packaging

- Market leader in high quality value-added Paperboards
- Largest integrated paper plant at Bhadrachalam
- Exemplar in sustainability: greened over 14 lakh acres, supporting 22 crore person days of employment
- A leading player in the global Packaging ecosystem

Fresh Food Business

- Leverages ITC's enterprise strengths in foods, hotels and digital
- 4 brands, 70+ kitchens, 5 cities
- High consumer love across brands and cities

ITC Infotech

- Global technology solutions provider
- Deep domain knowledge and co-creating solutions for the future with tech majors
- Presence in over 35 countries

ITC Hotels Limited

- Iconic properties and globally acknowledged cuisines
- 150+ Hotels, 14,200+ Keys, 95+ Destinations
- Trailblazer in 'Responsible Luxury' & Sustainability

ITC: Building a Future-Forward Enterprise for a Viksit Bharat

ITC Next Strategy

Future Tech | Consumer Centric | Climate Positive | Inclusive

The ITC Next strategy is shaping new frontiers of growth by creating future-ready pathways for each business to strengthen **competitiveness, profitability**, and **resilience**. Despite the challenging environment, it continues to unlock **new growth vectors through enterprise synergies, digital acceleration, purposeful innovation**, and **strategic investments**, while advancing ITC's commitment to a **climate-resilient** and **inclusive future**. Enterprise levers strengthened by digital and sustainability are lending unique sources of competitiveness for future readiness. The following pages capture the key dimensions of this transformative strategy and its promise for the future.

Pillars of ITC Next Strategy

Multiple Drivers of Growth

Enduring Value

Existing Categories and New Vectors

Innovation and R&D

Agile, Purposeful, Science-based Platforms

Supply Chain

Agile, Resilient, Efficient

Digital

Digital-first Culture, Smart Ecosystem, Mainstreaming AI

Sustainability 2.0

Responsible Competitiveness, Bolder Ambition

Cost Agility and Productivity

Structural Interventions across Value Chains

Synergy of Enterprise Strengths

Brand Building | Agri Sourcing | Manufacturing | R&D | Cuisine | Packaging | Distribution

World-class Talent | Proneurial Spirit | High Performance Culture

ITC's FMCG Portfolio Strategy

ITC's strategy to rapidly scale up its Fast Moving Consumer Goods (FMCG) Businesses is anchored in '**Strengthening the Core**', extending trusted Mother Brands into '**Value-added Adjacencies**', developing '**Portfolios for the Future**', and nurturing '**New Vectors of Growth**', including **Value-accretive Mergers & Acquisitions**.

FMCG Power Brands

AASHIRVAAD, Sunfeast, Bingo!, Sunfeast Yippee! Noodles, Sunrise Pure, Fiama, Savlon, Mangaldeep Premium Quality Incense, Classmate Enjoy Learning, Vivel, Engage

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FMCG: Core & Adjacencies

ITC's robust bouquet of **over 30 World-class Indian Brands** spans every corner of the household, touching millions of lives and delighting diverse consumer segments, **capturing and retaining value in India** and powering **resilient and inclusive value chains** across urban and rural ecosystems. While this **Core is being strengthened**, ITC continues to scale-up its **Value-added Adjacencies** by leveraging the equity of its trusted Mother Brands to expand consumption occasions. Select examples:

Foods

AASHIRVAAD

Atta, besan, rava, vermicelli, soya chunks, spices, dairy, salt, etc.

Sunfeast

Biscuits, cookies, cakes, choco-pies, molten chocolate fillings, dual-fillings, fruit-based smoothies and chocolate milkshakes

Sunfeast YiPPee! noodles

Noodles, pastas, healthy options made with atta and suji, unique masala mixes and Asian flavours, including Korean and Thai

BINGO!

Chips, bridges, namkeens, nacho-style chips, puffed and popped snacks, etc.

SUNRISE PURE

Staple kitchen spices and unique masala blends

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FMCG: Core & Adjacencies

Personal Care

fiama

Indulgent personal wash brand with gel bars, shower gels, hand washes, etc.

Vivel

Range of soaps and body washes promising skin softness

Savlon

Skin-friendly protection delivered through hand wash, soap, antiseptic liquid, wet wipes, sanitiser, disinfectant liquids and a new medical grade range

NEEM nimyle FLOOR CLEANER

Natural-action floor cleaners safe for children and pets

ENGAGE

Unique and exciting fragrances delivered through deo sprays, perfumes and roll-ons

Education & Stationery

classmate ENJOY LEARNING

Notebooks, including spiral notebooks, pens and geometry boxes

Paperkraft

Premium stationery brand for adults with notebooks, pens and folders

Matches & Agarbattis

MANGALDEEP PREMIUM QUALITY INCENSE

Incense sticks range including agarbattis, dhoop sticks and cones, sambrani, camphor, etc., promising low-smoke, charcoal-free, perfume-like fragrances

Homelites AIM

Ranges of safety matches

ITC: Building a Future-Forward Enterprise for a Viksit Bharat

Portfolios Developed for the Future

ITC is investing in creating **Portfolios for the Future** and making strategic **Value-accretive Acquisitions** to serve emerging trends, drive premiumisation and address white spaces, thus delighting consumers and creating more value for stakeholders. These products address evolving consumer needs such as Health & Nutrition, Convenience, Naturals, Organic, and so on. Select examples:

Health & Nutrition

Enhancing protein component in Indian diets through protein-rich staples, cereals, plant-based proteins, dairy products, ready-to-eat foods and breakfast smoothies

Products supporting digestive health

Products supporting other health requirements

Specially designed brand 'Right Shift' with nutrition-dense products for 40+ age cohort

Organic offerings sourced responsibly, delivering nutrition, and traceability aligned with evolving consumer preferences

ITC: Building a Future-Forward Enterprise for a Viksit Bharat

Portfolios Developed for the Future

Convenience

Solving the time crunch problem for consumers with ready-to-cook and heat-and-eat foods

Customisation & Regional Flavours

Allowing consumers to create their own atta blends (Namma Chakki/Meri Chakki), ensuring provenance of staples and specifications for local tastes

Developing spice mixes catering to regional flavours

Accessible Chocolate Indulgence

Chocolates, molten chocolates, eclairs, wafers — quality chocolates at great value

Homecare

Kitchen cleaner and Vegetable & fruit wash: Range of eco-friendly and biodegradable liquids made with food-grade ingredients which are effective and safe for home usage

ITC: Building a Future-Forward Enterprise for a Viksit Bharat

Portfolios Developed for the Future

Premiumisation

Driven by consumer aspirations, ITC has been scaling up its range of premium offerings

Sunfeast Baked eCreations

Fresh bakery-style cookies with no palm oil or preservatives

BINGO!

Kitchen-style traditional snacks from South India

SUNBEAN

Coffee Capsules with Arabica flavours from Panama and Nicaragua blended with Indian beans

ULTRA MINTZ

Sugar-free luxury mints in two bold flavours, available in mini tins

FABELLE MASTER CHOCOLATIERS

Hand-crafted by master chocolatiers using the world's finest cocoa for a luxury experience

ITC: Building a Future-Forward Enterprise for a Viksit Bharat

Portfolios Developed for the Future

Premiumisation

fiama

Premium range of soaps, body scrubs, and body washes made with Japanese Hokkaido Milk promising luxurious creaminess

DERMAFIQUE
cell by cell

Dermatologist-tested and science-backed skincare solutions designed for Indian skin

Savlon

Face and body washes powered by scientific research

ENGAGE

Eau De Parfum with innovations featuring Brazilian Maracuja

VÉRITÉ by classmate

Reimagining school notebooks with an innovative lay-flat technology

First in-class Premium Geometry Boxes with unique two-tiered design and pocketable compass

PRANAH

Earth-inspired aromatherapy by Pranah offers premium candles, incense and dhoop for meditation, yoga, focus, and restful sleep

ITC: Building a Future-Forward Enterprise for a Viksit Bharat

Portfolios Developed for the Future

Recent Acquisitions

ITC is growing its brands portfolio by augmenting capabilities through acquisitions to service evolving consumer needs and address white spaces.

The range comprises certified organic products grown without synthetic pesticides or chemicals, while promoting sustainable farming and offering a diverse organic portfolio across Indian and global markets

Enhancing ITC's market presence in the protein and good-for-you snacking space

The No. 1 frozen snacks and meats brand in India with a commitment to quality

Enabling ITC to build a category of the future in the premium natural baby care space, powered by traditional Indian ingredients and innovative solutions

ITC: Building a Future-Forward Enterprise for a Viksit Bharat

Purpose-led Brands

Recognising the transformative power of brands, ITC has developed purpose-led brands that encourage positive change in society.

Mom's Magic – Dear Maa campaign to encourage adoption in India

Sunfeast Bounce of Joy – School Contact Programme – to promote sports among schoolchildren

Nimyle Clean Equal Mission – fostering gender equality in household chores

Mangaldeep Sixth Sense – an initiative that employs visually impaired individuals as specialised fragrance testers

Aashirvaad Smart India – an initiative to fight iodine deficiency

YiPPee! Acti-Learn – to promote awareness about plastic waste management among schoolchildren

Savlon Swasth India Mission – 'The Doc's Pod' podcast to highlight the significance of preventive hygiene and disinfection in an evolving environment

ITC Sunrise Swasthya Bengal Programme – a campaign against spice adulteration

Paperkraft – promoting responsible consumption through notebooks made with FSC® certified paper (FSC®-C064218)

ITC: Building a Future-Forward Enterprise for a Viksit Bharat

New Vector: Fresh Food Business

ITC is pursuing new growth drivers at the intersection of mega trends in digital and sustainability, leveraging its institutional strengths. ITC's Fresh Food Business combines the conglomerate's strengths in **food brands, cuisine expertise of ITC Hotels, food sciences**, and **manufacturing**, as well as **digital capabilities**. Operating under 4 exciting brands — **ITC Master Chef Creations, ITC Aashirvaad Soul Creations, ITC Sunfeast Baked Creations,** and **Sansho by ITC Master Chef** — ITC's Fresh Food Business offerings are delivered through **70+ cloud kitchens in 5 cities** currently — Bengaluru, Chennai, Hyderabad, Mumbai, and Pune. The brands have already received high consumer love across cities.

ITC MASTER CHEF Creations

Premium North Indian

AASHIRVAAD SOUL CREATIONS

Pure Veg Home-style Indian

SANSHO BY ITC MASTER CHEF

Premium Pan Asian

Sunfeast Baked Creations

Premium Bakes, Cakes & Desserts

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Creating 'Make in India' Assets

ITC has invested in building world-class national manufacturing assets across FMCG, Paperboards, Packaging, and export-oriented value-added Agri products. Its ecosystem of over **250 factories** and partnerships with more than **7,500 MSMEs** enables ITC to produce high-quality products, boost exports, substitute imports, promote local entrepreneurship, and support inclusive value chains that empower farmers and communities. In the true spirit of 'Make in India', **nearly 90% of ITC's value addition takes place within the country**. Recognising the growth opportunities in the Indian consumer market, ITC has made substantial investments in establishing **12 state-of-the-art Integrated Consumer Goods Manufacturing and Logistics (ICML) facilities**, including food factories, across India. These facilities, which are today proximally located to major demand centres, have emerged as vibrant hubs of innovation, technology, sustainability, and diversity.

250+ factories including 12 state-of-the-art ICML facilities

90% of ITC's value addition sourced locally, supporting inclusive value chains

Vibrant hubs of innovation, technology, sustainability, and diversity

ICML Panchla, West Bengal

Smart Omnichannel Distribution Network

One of ITC's core strengths lies in its **robust and extensive distribution infrastructure** spanning the length and breadth of India. It is today fully **digitally enabled, agile**, and **quick to adapt**, making ITC a leading player in Channels of the Future, suitably bolstered by a suite of **25+ AI/ML-powered apps** and tools.

2,500 SKUs | 50 Warehouses | 2.8 lakh tonnes/month | Total reach - Nearly 70 lakh Outlets

Indicative image, generated using AI

AI-enabled sales execution using 25+ proprietary apps analysing 12,000+ variables

Trade, Marketing & Distribution

We strive to be wherever our consumers are

- General Trade
- Modern Trade
- E-Commerce
- Quick Commerce
- Institutional
- Cash & Carry
- D2C Direct to Consumer

Agri Business

ITC's Agri Business has built a century-old relationship of trust with farmers of India. The ITC Next strategy aims at helping farmers **develop value-added agri products, accelerate digital adoption, build climate resilience**, and **facilitate market linkages**. ITC's transformative phygital ecosystem — **ITCMAARS** — is powering next-generation agriculture and aspires to **benefit 1 crore farmers by 2030**. New vectors of growth are also being pursued in areas like nicotine extracts and derivatives and biological extracts, among others.

Strengthening the Core

ITC's robust Agri Business has been ensuring **identity preserved crops across crop value chains**, and sourcing for ITC FMCG brands and other customers (B2B). Focus crops include Wheat, Potato, Spices, Aqua Culture, and Leaf Tobacco.

Wheat

Potato

Spices

Aqua Culture

Leaf Tobacco

Providing high-quality raw materials for ITC FMCG brands

Developing Adjacencies

ITC is developing adjacencies in the Agri Business through value additions, like ensuring **traceability and certifications**, implementing **organic processes**, training farmers in **sustainable practices**, and enabling **export-led value additions**. Focus crops include **Certified Shrimp** and **Coffee, Organic Fruit Pulp**, and **Food-safe Spices**.

ITC: Building a Future-Forward Enterprise for a Viksit Bharat

Agri Business: Expanding to New Horizons

To create future-forward categories, ITC's Agri Business is going beyond commodities to create higher value-addition crops with **attribute-based backward integration as well as proprietary formulation-based products**.

Nicotine & Nicotine Derivatives

- Stringent quality specifications – 99.5% purity
- US/EU pharmacopoeia standards

Largest integrated manufacturing facility in India for nicotine and nicotine derivative products in Mysuru

Biological Extracts

- High-quality extracts from Ashwagandha and Turmeric for nutraceutical and cosmetics industry
- Developing high value-added proprietary formulations

Turmeric and Ashwagandha extracts

100-acre farm for medicinal and aromatic plants in Madhya Pradesh

Farming as a Service

ITC is aligning crop production with end-use demand in its endeavour to promote Farming as a Service (FaaS). Through **precision farming guidance**, **digital advisories**, and **assured market linkages**, ITC enables farmers to produce specialised crops, **transforming agriculture into a demand-driven, service-led model**. Examples include:

- **Maize:** Growing high-starch maize for ethanol manufacturing
- **Paddy:** EU food quality-compliant fine grade rice for export customers
- **Fruits & Vegetables:** Production of tomato with optimum ripening and shelf life for quick commerce platforms

Tomato

Climate Resilient Seeds

ITC is strengthening climate-resilient seed systems through R&D and partnerships, developing **region-specific, high-yielding**, and **stress-tolerant varieties** such as wheat seeds and Technico's TECHNITUBER® potatoes.

Wheat seeds

Potato seed: Manpura Facility is spread across 10 acres with annual production capacity of 4 crore TECHNITUBER®

New Vector – ITCMAARS

Ushering in NextGen Agriculture

ITCMAARS (Metamarket for Advanced Agriculture and Rural Services) is a phygital agri ecosystem that **integrates digital tech with on-ground engagement, with Farmer Producer Organisations (FPOs) as the pivot** to enable farmer empowerment. Building on the e-Choupal ecosystem, ITCMAARS provides **hyper-local solutions, including personalised advisories, weather insights, input access, credit**, and **market linkages**. By enabling data-led decision-making and demand-responsive value chains, ITCMAARS helps enhance productivity, resilience, and farmer incomes at scale.

Physical Ecosystem ▶▶

- **Farmer Engagement -** Nurturing FPOs as rural enterprises by aggregating farmers into collectives
- **ITC Field Teams -** Offering hyper-local training and information on crop management
- **Demonstration Plots -** Showcasing package of successful agri practices resulting in higher yields
- **Agri Inputs -** Providing scientifically curated kits customised for local conditions, including pest management and soil health
- **Engagement Centres -** Connecting farmers with ITC agri experts for personalised crop solutions

ITCMAARS
Metamarket for Advanced Agri & Rural Services

◀◀ Digital Adoption

- **Advisory -** With services like Crop Calendar, Crop Doctor, weather updates, etc. in the ITCMAARS app, supported by crop and soil-specific Nutrition/Fertiliser Calculator

- **Krishi Mitra -** Gen-AI powered chatbot for hyper-personalised advisory in voice and regional languages
- **Agri Inputs -** High-quality inputs, including seeds, nutrients, pest control, etc.
- **Credit Enablement -** Working capital for FPOs and Agri credit for farmers
- **Market Access-** E-marketplace for farm outputs

IMPACT

Initial estimates indicate increase in crop yields by 15-20%, increasing net returns to farmers by 25-30%

TARGET

Onboarding 4,000 FPOs and reaching 1 crore farmers by 2030

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Paperboards & Packaging

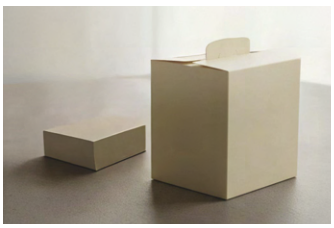
Market leader and environmental icon

ITC's Paperboards and Packaging Business is one of India's largest, anchored in **cutting-edge manufacturing, digital technologies, robust R&D, sustainable fibre value chain and strong environmental stewardship**. The business drives innovation in value-added paperboards, specialty papers and sustainable materials, whilst pioneering advances in recyclable and fibre-based alternatives as well as in digital and AI-led interventions like Industry 4.0 and digital twins.

ITC's factory in Bhadrachalam is India's largest integrated paper plant

ITC's **sustainable fibre value chain** has cumulatively greened over **14 lakh acres**, leading to large-scale carbon sequestration and livelihood creation at scale

Strengthening the Core



Mono-material Paperboards, Brown folding cartons and Digital print-ready boards

Specialty papers like Décor Papers, food-grade wrapping paper and Superfine paper for printing books and publications

Cartons & Flexibles Packaging

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Building Adjacencies — Sustainable Solutions

Filo series — FiloBev, FiloPack, FiloBowl & FiloTub
Barrier-coated Boards and Paper for creating compostable and fully recyclable food-grade packaging solutions

Bioseal Compostable Coating, compostable barrier solutions, and **Germ-free Anti-microbial Coating**, which support hygiene-sensitive applications, have been developed by ITC's Packaging Business as sustainable alternatives to plastic

Sign-up Green, sustainable 'rigid boards' that serve as alternatives to plastic-based indoor branding

Emerging Applications in Paperboards & Packaging

Moulded Fibre Products

ITC Fibre Innovations Limited, ITC's wholly owned subsidiary, has forayed into the **Moulded Fibre Products (MFP) space with a state-of-the-art manufacturing facility in Madhya Pradesh**. The products are made from natural fibres like wood, bamboo, and bagasse, making them a 100% recyclable alternative to single-use plastics. They offer sustainable packaging solutions across industries, including food service and delivery, pharmaceutical, cosmetics and electronics.

New Offerings

eco byte

Ecobyte: A germ-free and grease-resistant product offering a safe and interactive packaging choice for all culinary creations

FiloBev Mini: Designed to replace single-use plastic and LDPE-coated cups (45 ml-90 ml) for serving beverages

Value-accretive Acquisition

ITC has signed a Business Transfer Agreement to acquire the Pulp and Paper undertaking of Aditya Birla Real Estate Limited, a strong strategic fit with ITC's Paperboards and Paper business

ITC: Building a Future-Forward Enterprise for a Viksit Bharat

Innovation and R&D

Spanning Product Development, Agri Business, Processes & Services

The ITC Next strategy drives innovation across Product Development, Agri Business, Processes and Services. ITC has set up the **ITC Life Sciences & Technology Centre (LSTC)** to be its epicentre in R&D. ITC LSTC houses **Centres of Excellence** in Biosciences, Agri-sciences and Materials, and robust **research platforms** for Beauty & Hygiene, Health & Wellness, Agro-forestry & Crop Sciences and Sustainable Packaging Materials. This integrated approach enables differentiated offerings, enhanced crop resilience and sustainable solutions aligned with evolving consumer and environmental priorities.

ITC LSTC: Recognised as India's Largest Private Sector Innovator

400+ scientists
900+ patents
55 labs
16 pilot plants for product development

Creating superior and differentiated products for the consumer

Right Shift: Jaggery cookies made with zero palm oil and no maida

Aashirvaad Besan: Specially prepared formula that locks in aroma and ensures lump-free besan mix

Mangaldeep: "Lo Smoke Technology" that releases lesser smoke with a better fragrance

Dermafique: Science-backed skincare designed for Indian skin

Engage: Innovations featuring Brazilian Maracuja and Roll Ons

Fiama: Personal wash range with Japanese Hokkaido Milk — for non-sticky moisturised skin

Science-based innovations in Agri

Improved and climate-resilient crop varieties
A new dwarf wheat variety developed in partnership with the Indian Agricultural Research Institute, providing superior Sharbati taste and quality, while increasing farmer income

TECHNITUBER®
Developing superior quality chip potatoes suitable for growing in Southern regions closer to factories

Eucalyptus
Development of High Yielding Eucalyptus varieties providing higher yield and improved farmer income

Subabul
Development of new high-yielding Subabul varieties, with better plantation success

Innovations in Packaging

Ecobyte
Compostable, repulpable, proprietary coating formulations providing a sustainable alternative to plastic packaging

ITC: Building a Future-Forward Enterprise for a Viksit Bharat

Digital and FutureTech

In its journey to build a dynamic AI/ML-led digital ecosystem, ITC is powered by 'Mission DigiArc', a smart digital architecture anchored in a 'digital first' culture. ITC's vision is to embed next-generation digital capabilities across value chains, enabling data-driven insights, agile innovation, optimised operations, smart supply chains, and enhanced consumer and employee engagement for sustained competitive advantage.

Indicative image, generated using AI

Smart Insighting to Product Development

AI/GenAI-powered platforms like 'Sixth Sense' identify emerging focus areas, thus shortening product development cycles and ensuring quick-to-market advantage.

Smart Sourcing

Tools like Astra 2.0 leverage AI-powered advanced analytics for agri sourcing, helping decide when to buy, where to buy, and from whom to buy, including price prognosis and volume recommendations.

Smart Agri

To empower Indian farmers with cutting-edge agtech, the next horizon for ITCMAARS is being powered by IoT-based advisory, remote sensing, soil sensors and other FutureTech solutions.

Smart Consumer Engagement

Differentiated platforms to strengthen brand building

- FoodiesOnly
- Happy Tummy
- Once Upon a Time by Candyman
- Aashirvaad Chakki
- Bingo - Let's Boing!
- Sunfeast - Family-like Friends

Risk Assessment Modelling

ITC leverages AI-enabled climate risk modelling tools to assess potential risks across operations and value chains, identifying 140 sites and prioritising adaptation strategies.

Smart Manufacturing

ITC is driving smart manufacturing by leveraging Industry 4.0 technologies to enable product and process optimisation across its operations.

Smart Distribution & Supply Chain

ITC's Trade Marketing and Distribution engine is now a data-driven, omnichannel ecosystem, powered by a suite of 25+ digital applications — Unnati, PACE, Lighthouse, Vistaar, Vajra, etc. — that deliver AI/ML-led insights, sharper outlet targeting, real-time execution and seamless retailer engagement at scale.

ITC's logistics has evolved into a smart, digitally orchestrated network, with platforms like Zen enabling integrated end-to-end planning and Drishti providing real-time, IoT-enabled visibility of shipments.

Climate Action Initiatives

Carbon Positive — 21 Yrs | **Water Positive — 24 Yrs** | **Solid Waste Recycling Positive — 19 Yrs**

ITC's climate action, anchored in its Sustainability 2.0 agenda, combines **climate risk assessment, decarbonisation, adaptation, ecosystem restoration** and **circularity**. ITC has set a target of achieving Net Zero Operations by 2050, while actively reducing GHG intensity and scaling green infrastructure, including renewable energy. **Climate-smart agriculture, social and farm forestry,** and **water stewardship programmes** build climate resilience and adaptive capacity across value chains.

Climate Risk Assessment

ITC has used different purpose-specific AI tools for carrying out climate risk assessments at **140 sites** for rainfall, flood, heat, drought and wind, as well as detailed farm-level studies on its **agri value chains**. Based on the assessments, it has undertaken targeted site-specific interventions to climate-proof its physical infrastructure, build resilience in agriculture and support climate adaptation. This has helped ITC integrate climate science, advanced technologies and data-driven insights into its sustainability strategy.

Decarbonisation

- **51% of total energy from renewable sources**
- **17 Platinum Rated Green buildings**

ITC is advancing decarbonisation through scaled adoption of renewable energy, enhancing energy efficiency and enabling low-carbon operations. Its portfolio of world-class green buildings and green infrastructure reinforces climate resilience while accelerating the transition to a net-zero future.

The High Pressure Recovery Boiler at Bhadrachalam significantly enhances the paper plant's energy efficiency and ITC's decarbonisation efforts

Climate Adaptation

- **Climate Smart Agriculture: Over 30 lakh acres; 12 lakh+ farmers**
- **Water Stewardship: Over 38,500 water structures**
- **Afforestation: Cumulatively covered over 14 lakh acres**

ITC's adaptation interventions focus on building resilience across agri value chains and climate-proofing physical infrastructure. These include climate smart agriculture, augmenting water supply through integrated watershed development, optimising demand and rejuvenating river sub-basins, as well as afforestation at scale.

Climate Smart Agriculture

Water Stewardship

Afforestation

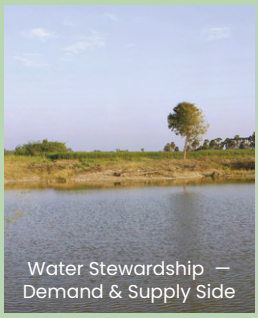
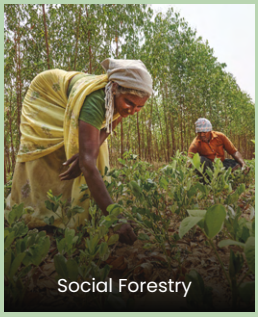
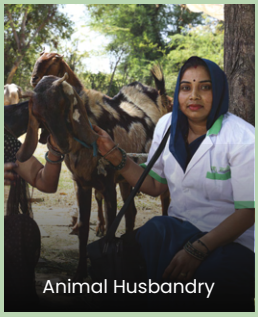
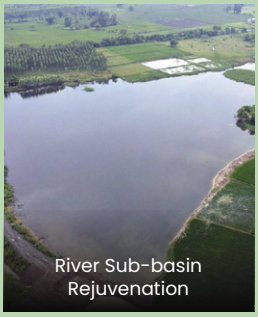
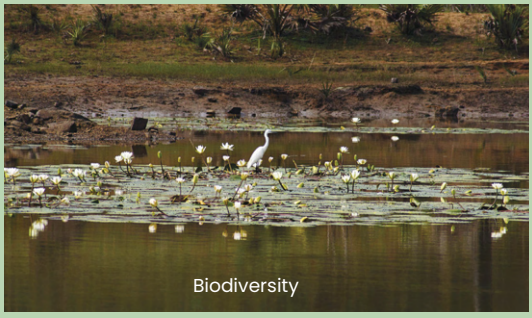
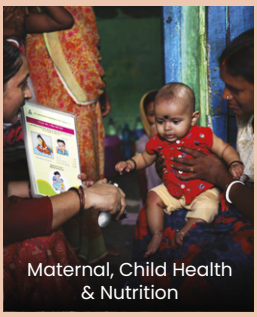
Transforming Lives and Livelihoods

ITC's Social Investments Programme

60 Lakh women reached

275 districts

200+ partners

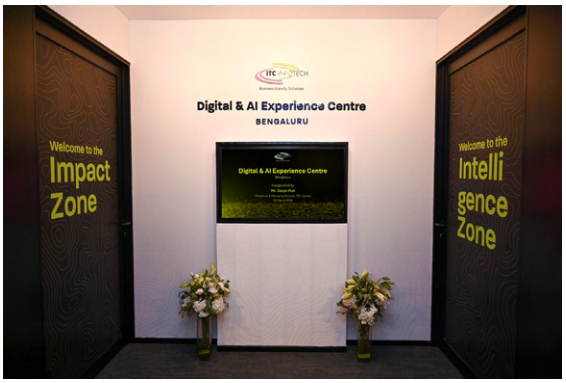
	Nurturing Natural Resource Ecosystems	Nurturing Human Capital	Strengthening Public & Community Health Ecosystems
Short-term impact horizon	 Water Stewardship — Demand & Supply Side Climate Smart Agriculture  Social Forestry  Animal Husbandry	Skilling Women-led Micro Enterprises	Rural Healthcare Services — Swasth Kiran Sanitation
Long-term impact horizon	 River Sub-basin Rejuvenation Soil Health  Biodiversity	Support to Education Women Empowerment	 Maternal, Child Health & Nutrition Waste Management/ Circular Economy

ITC Infotech: Driving NextGen Enterprise Transformation with Domain-led AI and Digital Innovation

ITC Infotech, a wholly owned subsidiary of ITC Limited, is strengthening its position as a strategic technology partner by advancing **AI-led engineering capabilities** and driving **next-generation enterprise transformation**. The company is amongst the fastest-growing IT services firms in India, with top quartile revenue growth in the last few years and industry-leading EBITDA margins at 18.5%. The company has received **one of the highest Customer Experience Scores** in the Indian IT services industry, marking a lifetime high.

Emerging Value Pools

- **Agentic re-imagination of legacy offerings:** Application Management, Infrastructure, SAP, Testing and Data Services
- **Full-stack Agentic platforms:** iKFABRIK™ Powered by ITC Infotech, OMNIFABRIK™ Powered by ITC Infotech, iQStudio Powered by ITC INFOTECH
- **Agentification of business services:** Ramp up of market-leading solutions across its focus industries
- **Re-imagining 'Data for AI':** AI-enabled data engineering, data generation and monetisation



Scaling Strategic Capabilities

- Launch of Digital & AI Experience Centres & Labs in Bengaluru & Kolkata
- Launch of AI Studio in Pune

Expanding Global Footprint

- Digital & AI Engineering Hubs launched in Riyadh & Melbourne
- Presence in over 35 countries

Industry & Analyst Recognitions

- ITC Infotech strengthened its market positioning through industry and analyst recognitions across **Avasant**, **Forrester**, **ISG**, and **HFS**, highlighting its growing leadership in digital engineering, AI-led services, and enterprise transformation.
- Winner of 16th Aegis Graham Bell Awards under the category **Innovation in Gen AI-AI Infra, Orchestration & Platforms.**

ITC: Building a Future-Forward Enterprise for a Viksit Bharat

ITC HOTELS LIMITED

150+ Hotels

14,200+ Keys

95+ Destinations

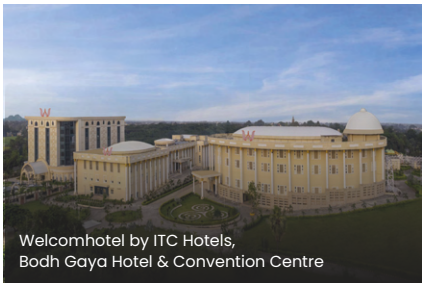
7 Distinct Hotel Brands: Iconic Luxury to Boutique Leisure

CLUB ITC

ITC HOTELS RESPONSIBLE LUXURY · MEMENTOS · EPIQ COLLECTION · WELCOMHOTEL · STORII · FORTUNE · WelcomHeritage

Expanding Footprint: Select New Openings in 2025-26

Storii by ITC Hotels Castle Kanota, Jaipur


Welcomhotel by ITC Hotels,
Bodh Gaya Hotel & Convention Centre

Storii by ITC Hotels, Jawai

Openings
29 hotels in 24 months

Signings
63 hotels in 24 months

Target 2031:
250 properties, 22,000+ keys

Food & Beverage Supremacy: Signature Cuisine Brands

Dum Pukht · Kebabs & Kurries · BUKHARA · Royal Vega · YI JING · The Royal Afghan · Dakshin

CAJSA · Ottimo Cucina Italiana · avartana · THE PAVILION · PESHAWRI · edo

Trailblazer in 'Responsible Luxury' & Sustainability

ITC Gardenia is now a
LEED® Zero Water Certified hotel

Awarded
'World's Leading Sustainable Organisation'
at World Sustainable Travel & Hospitality Awards (WSTHA) 2025

World's First **12 LEED® Zero Carbon** Certified Hotels

Leading Hotel Chain globally with
12 LEED® Zero Water Certified Hotels
23 LEED Platinum® Certified Hotels

Board of Directors

Chairman & Managing Director

Sanjiv Puri

Executive Directors

Sumant Bhargavan

Supratim Dutta
(also Chief Financial Officer)

Hemant Malik

Non-Executive Directors

Navin Agarwal
Hemant Bhargava
Alka Marezban Bharucha
Amitabh Kant
Chandra Kishore Mishra
Siddhartha Mohanty
Shyamal Mukherjee
Anand Nayak
Sunil Panray
Ajit Kumar Seth
Atul Singh
Pushpa Subrahmanyam

Board Committees

Audit Committee

H Bhargava	Chairman
A M Bharucha	Member
C K Mishra	Member
S Mukherjee	Member
S Dutta	Invitee
N K Jasper (Head of Internal Audit)	Invitee
Representative of the Statutory Auditors	Invitee
R K Singhi	Secretary

CSR and Sustainability Committee

S Puri	Chairman
N Agarwal	Member
A Kant	Member
C K Mishra	Member
S Mohanty	Member
S Mukherjee	Member
S Panray	Member
A Singh	Member
R K Singhi	Secretary

Nomination & Compensation Committee

A Nayak	Chairman
S Puri	Member
A K Seth	Member
P Subrahmanyam	Member
R K Singhi	Secretary

Securityholders Relationship Committee

A K Seth	Chairman
S Dutta	Member
B Sumant	Member
R K Singhi	Secretary

Independent Directors Committee

H Bhargava	Member
A M Bharucha	Member
A Kant	Member
C K Mishra	Member
S Mukherjee	Member
A Nayak	Member
A K Seth	Member
P Subrahmanyam	Member

Corporate Management Committee

S Puri	Chairman
S Dutta	Member
S Kaul	Member
H Malik	Member
A K Rajput	Member
S Sivakumar	Member
B Sumant	Member
R K Singhi	Secretary

Executive Vice President & Company Secretary
Rajendra Kumar Singhi

General Counsel
Shanmuga Sundaram Angamuthu

Investor Service Centre
37 Jawaharlal Nehru Road, Kolkata 700 071, India
Telephone nos. : 1800-345-8152 (toll free)
033 2288 6426 / 0034
Facsimile no. : 033 2288 2358
e-mail : isc@itc.in

Statutory Auditors
S R B C & CO LLP
Chartered Accountants, Mumbai

Registered Office
Virginia House
37 Jawaharlal Nehru Road, Kolkata 700 071, India
Telephone no. : 033 2288 9371

CIN : L16005WB1910PLC001985

ITC Corporate Website : www.itcportal.com

Enduring Value

Your Directors

S. Puri

Sanjiv Puri (63), DIN: 00280529, is the Chairman & Managing Director of ITC Limited.

Puri was appointed as a Wholetime Director on the Board of ITC with effect from December 6, 2015, Chief Executive Officer in February 2017 and re-designated as the Managing Director in May 2018. He was appointed as the Chairman effective May 13, 2019. He is an alumnus of IIT Kanpur and Wharton School of Business, USA.

Puri joined ITC in January 1986. During his career of over four decades at ITC and its subsidiaries, he has held several leadership positions across businesses. Puri served as the Chief Operating Officer ('COO') of ITC between July 2016 and January 2017, and prior to that as President - FMCG Businesses since December 2014. Earlier, he was the Divisional Chief Executive of the India Tobacco Division ('ITD') since December 2009, with additional responsibility for the Company's Trade Marketing & Distribution ('TM&D') Vertical from August 2012. He led ITC Infotech India Limited, a wholly owned subsidiary of ITC, as its Managing Director from May 2006 to August 2009. He served between October 2001 and April 2006 as the Managing Director of Surya Nepal Private Limited, a joint venture subsidiary company of ITC in Nepal.

Spearheading the 'ITC Next' vision, Puri has driven an extensive strategy reset to shape new horizons of growth and profitability. In the current global challenging environment, which he has defined as TURN - Turbulence, Uncertainty and Rapid Change calling for Novel strategies to reimagine the future, Puri has led the organisation to pursue future-forward strategies to redefine competitiveness and build resilience with sharper focus on cutting edge innovation, digital acceleration and new models of sustainable and inclusive growth. He has also driven synergy in businesses to launch new vectors of growth such as Fresh Food Business, ITCMAARS - the 'phygital' agri eco-system, and sustainable packaging solutions. Lending new wings to ITC's credo of 'Nation First: Sab Saath Badhein', he has articulated an ambitious Sustainability 2.0 vision that addresses key issues such as climate change, circular economy and inclusive growth, enabling ITC to strengthen its contribution to a net-zero future and meaningfully support national priorities.

Presently, Puri is the Chairman of the Board of Governors of IIT Gandhinagar, Chairperson-in-charge of the Board of Governors of Indian Institute of Information Technology, Vadodara, Chairman of the Advisory Council of the CII-ITC Centre of Excellence for Sustainable Development and Chairman of the CII International Council. He is also a Director on the Board of US-India Strategic Partnership Forum and a Member of the Governing Board of the National Council of Applied Economic Research.

Puri is a Past President of CII, the apex business and industry association in the country. He has served as the Chairman of the Expert Group constituted by the Fifteenth Finance Commission of the Government of India ('GoI') to promote agri-exports, Member of the technology discussion group 'Farm to Table - driving India's agriculture sector digitally' constituted by NITI Aayog, and Member of the BRICS Business Council - India Chapter. He was also Chairman of the 'Action Council on ESG in Business' under the aegis of Business 20 India, the official dialogue forum with the global business community during India's G20 Presidency, as well as Co-Chair of the 'Business Commission to Tackle Inequality' set up by the World Business Council for Sustainable Development, Geneva.

Puri has been recognised amongst 'India's Top 100 Influential People powering Technology & Innovation' by MIT Sloan Management Review India. He was conferred with the 'AIMA - JRD TATA Corporate Leadership Award' by AIMA, and 'Sir Jehangir Ghandy Medal for Industrial and Social Peace' by XLRI, Jamshedpur. Earlier, he was honoured with the 'Business Leader of the Year Award' by AIMA, 'Best CEO Award' by Business Today, and 'Transformational Leader Award 2022-23' by the Asian Centre for Corporate Governance and Sustainability. He was named by Fortune India as the 'Best CEO in the FMCG category' in 2025 and featured as part of 'Best CEOs 2024 in the Diversified Conglomerate category'. He has also been presented with the

'IMPACT Person of the Year 2020 Award' by exchange4media, a leading online news platform, 'Distinguished Alumnus Award of the year 2018' by IIT Kanpur, and bestowed with an Honorary Doctorate by XIM University, Bhubaneswar.

Other Directorships

Name of the entity	Position
ITC Hotels Limited #	Chairperson & Non-Executive Director
ITC Infotech India Limited	Chairperson & Non-Executive Director
ITC Infotech Limited, UK *	Chairperson & Non-Executive Director
ITC Infotech (USA), Inc. *	Chairperson & Non-Executive Director
Surya Nepal Private Limited *	Chairperson & Non-Executive Director
Indian School of Business	Member, Executive Board
Invest India	Non-Executive Director

Committee Membership of other entities

Name of the entity	Committee	Position
ITC Hotels Limited	CSR and Sustainability Committee	Chairperson
	Nomination and Remuneration Committee	Member

S. Dutta

Supratim Dutta (59), DIN: 01804345, was appointed as a Wholetime Director on the Board of ITC effective July 22, 2022. He is also the Chief Financial Officer ('CFO') of the Company and is, inter alia, responsible for Finance, Accounting, Internal Audit & IT Functions as well as for the Investment Subsidiaries of the Company.

A qualified Chartered Accountant and Cost Accountant, Dutta joined ITC in November 1990. In a career spanning over 35 years at ITC, he has held senior positions in the finance function, both at the business and corporate level. Before becoming the CFO, he held the position of the Corporate Financial Controller of the Company and prior to that, he was Executive Vice President - Corporate Finance in charge of the Corporate Treasury, Strategic Planning and Corporate Planning Functions of the Company. He has handled various aspects of finance including Planning, Treasury, M&A, Accounting, Taxation, IT, Investor Relations and business strategy. He has also served as a Member of the World Business Council for Sustainable Development's CFO Network.

Dutta is a Member of the CII National Committee on Financial Reporting. He was honoured with the 'Group CFO of the Year - Large Enterprise Award' at the Economic Times CFO Awards 2025.

Other Directorships

Name of the entity	Position
Russell Credit Limited	Chairperson & Non-Executive Director
ITC Integrated Business Services Limited	Chairperson & Non-Executive Director
Gold Flake Corporation Limited	Chairperson & Non-Executive Director
Greenacre Holdings Limited	Chairperson & Non-Executive Director
ITC Hotels Limited #	Non-Executive Director
ITC Infotech India Limited	Non-Executive Director
ITC Infotech Limited, UK *	Non-Executive Director
ITC Infotech (USA), Inc. *	Non-Executive Director
Surya Nepal Private Limited *	Non-Executive Director
WelcomHotels Lanka (Private) Limited *	Non-Executive Director

Committee Membership of other entities

Name of the entity	Committee	Position
Russell Credit Limited	Audit Committee	Chairperson
	CSR Committee	Chairperson
	Nomination and Remuneration Committee	Member
ITC Infotech India Limited	Audit Committee	Chairperson
	Nomination and Remuneration Committee	Member

H. Malik

Hemant Malik (60), DIN: 06435812, was appointed as a Wholetime Director on the Board of ITC effective August 12, 2023. He is also the Divisional Chief Executive of the Foods Business Division and oversees the Personal Care Products Business of the Company. After completing his B.A. (Hons.) in Economics from Delhi University and M.B.A. from IIM Calcutta, he joined ITC in June 1989 and has more than 36 years of experience across multiple businesses of ITC including Tobacco & Foods, and the TM&D Vertical.

Prior to becoming the Divisional Chief Executive of the Foods Business Division in October 2016, Malik was the Chief Executive of the TM&D Vertical from April 2016. He headed the All India Tobacco Sales Function in 2001. He later assumed charge as the Head of Marketing of the then nascent Foods Business in April 2002, where he was instrumental in the launch and development of some of the key food brands of ITC including 'Aashirvaad', 'Sunfeast', 'Bingo!', 'YiPPee!' and 'Kitchens of India'. He was thereafter entrusted with the responsibility for setting up the FMCG TM&D Vertical and was made COO of the TM&D Vertical in April 2008. He then took over as the COO of Cigarette Brands and Supply Chain, ITD, in August 2012, and was elevated as the Divisional Chief Executive of ITD in August 2015.

Malik is the Chairman of the Food Processing Committee of FICCI.

Other Directorships

Name of the entity	Position
The Advertising Standards Council of India	Member, Board of Governors

Committee Membership of other entities: Nil

B. Sumant

Sumant Bhargavan (62), DIN: 01732482, was appointed as a Wholetime Director on the Board of ITC effective November 16, 2018. He oversees the Paperboards, Paper & Packaging Businesses, Education & Stationery Products Business, the TM&D Vertical and the Central Projects Organisation of the Company. Sumant, an alumnus of NIT Durgapur, joined ITC in January 1986, and has handled a wide range of responsibilities across several businesses during his career of over four decades, including overseeing the Personal Care Products Business of the Company.

Prior to his appointment as a Director on the Board of ITC, Sumant was President - FMCG Businesses since April 2016. Earlier, he was the Divisional Chief Executive of ITD. He also held responsibility of the TM&D Vertical as COO from November 2014 to March 2016 and as its Chief Executive for a period of one year from October 2016. He spent his initial 19 years with ITC in Manufacturing operations of ITD and has worked in four production units as well as at the Head Office. In October 2004, he moved to the Foods Business and set up the Snack Food category under the brand name 'Bingo!'. He has led ITC Infotech India Limited, a wholly owned subsidiary of ITC, as its Managing Director from September 2009 to October 2014, and has been on the Boards of ITC Infotech's wholly owned subsidiaries in the UK and the USA.

Sumant has also been on the Boards of Surya Nepal Private Limited and The Tobacco Institute of India. He presently serves as a Member of the CII Eastern Region Council.

Other Directorships

Name of the entity	Position
ITC Fibre Innovations Limited	Chairperson & Non-Executive Director
The Tollygunge Club Limited	Member, General Committee

Committee Membership of other entities: Nil

N. Agarwal

Navin Agarwal (55), DIN: 10684167, was appointed as a Non-Executive Director on the ITC Board effective April 1, 2026. He is a representative of the Specified Undertaking of the Unit Trust of India ('SUUTI').

Agarwal has completed his Bachelors in Economics from Delhi University, Masters in Climate Change, Management & Finance from Imperial Business School, London, and Master of Public Administration in Finance and Fiscal Policy from Cornell University, USA.

Agarwal is presently Joint Secretary in the Department of Investment and Public Asset Management, Ministry of Finance, responsible for disinvestment and capital management of Central Public Sector Enterprises. He also serves as the Administrator and a Member of the Body of Persons of SUUTI. Agarwal, who joined the Indian Railway Personnel Service (as part of Civil Services) in 1997, has close to three decades of experience across public finance, capital markets, multilateral institutions and public sector governance. Amongst others, he has served as a Director in the Department of Economic Affairs and as Executive Director in the Railway Board.

Other Directorships

Name of the entity	Position
National Land Monetization Corporation Limited	Non-Executive Director

Committee Membership of other entities: Nil

H. Bhargava

Hemant Bhargava (66), DIN: 01922717, was appointed as an Independent Director on the Board of ITC effective December 20, 2021.

Bhargava holds a Post Graduate Degree in Economics from Lucknow University and has also completed Masters in Financial Management from Jamnalal Bajaj Institute of Management Studies. He began his career in 1981 with the Life Insurance Corporation of India ('LIC') as its youngest Direct Recruit Officer and rose through the ranks to become the Chairman-in-charge and Managing Director of LIC in January 2019. In the same year, he was also appointed as the Non-Executive Chairman of IDBI Bank Limited and LIC Housing Finance Limited. During his career spanning 38 years, he has held a wide range of leadership roles both in India and overseas, gaining extensive experience across Marketing, International Operations and new business ventures. He has successfully led teams across the financial services spectrum, pioneered innovative marketing campaigns and launched new verticals & businesses for LIC. He also served on the Board of the Company from July 2018 to August 2021.

Other Directorships

Name of the entity	Position
SMC Global Securities Limited #	Independent Director
UGRO Capital Limited #	Independent Director
Wealth Company Asset Management Holdings Private Limited	Independent Director
Providence Life Limited, PCC, Mauritius *	Non-Executive Director

Committee Membership of other entities

Name of the entity	Committee	Position
SMC Global Securities Limited	Audit Committee	Member
UGRO Capital Limited	Audit Committee	Chairperson
	Nomination and Remuneration Committee	Member
Wealth Company Asset Management Holdings Private Limited	Audit Committee	Member

A. M. Bharucha

Alka Marezban Bharucha (69), DIN: 00114067, joined the ITC Board as an Independent Director effective August 12, 2023.

A Senior Partner at Messrs. Bharucha & Partners, Advocates & Solicitors, Mumbai, she chairs Transactions Practice and her core areas of legal expertise include mergers & acquisitions, joint ventures, private equity and banking & finance. She completed her B.A. (Hons.) and L.L.B. from University of Mumbai and Masters in Law from University of London. She is a Solicitor with the High Court of Mumbai and Supreme Court of England and Wales, and also an Advocate on Record with the Supreme Court of India. She began her career with Mulla & Mulla and Craigie Blunt & Caroe and joined Amarchand & Mangaldas as a Partner in 1992. In 2008, she co-founded Bharucha & Partners, which was ranked by RSG Consulting, London, amongst the top law firms in India. With over 30 years of experience, she has been ranked by Chambers Global, Legal 500 and Who's Who Legal amongst India's leading lawyers.

Other Directorships

Name of the entity	Position
UltraTech Cement Limited #	Independent Director
Hindalco Industries Limited #	Independent Director
Aditya Birla Sun Life Insurance Company Limited #	Independent Director
Orient Electric Limited #	Independent Director
The India Cements Limited #	Independent Director

Committee Membership of other entities

Name of the entity	Committee	Position
UltraTech Cement Limited	Nomination, Remuneration and Compensation Committee	Chairperson
	Audit Committee	Member
Aditya Birla Sun Life Insurance Company Limited	Audit Committee	Member
	Nomination and Remuneration Committee	Member
Orient Electric Limited	Stakeholders Relationship Committee	Chairperson
	Nomination and Remuneration Committee	Chairperson
	Audit Committee	Member
The India Cements Limited	Audit Committee	Chairperson
	Nomination and Remuneration Committee	Member

A. Kant

Amitabh Kant (70), DIN: 00222708, was appointed as an Independent Director on the ITC Board effective January 1, 2026.

A Graduate in Economics (Hons.) from St. Stephen's College, Delhi, and a Post Graduate in International Relations from Jawaharlal Nehru University, New Delhi, Kant, a retired IAS Officer, is a governance reformer and public policy change agent. He joined IAS in 1980 (Kerala cadre) and has administrative experience spanning over four decades.

Kant served as India's G20 Sherpa to the Prime Minister during India's G20 Presidency, where he led consensus on the New Delhi Leaders' Declaration, including the Green Development Pact and Global South Priorities. He was also Secretary of the then Department of Industrial Policy and Promotion, where he led the 'Make in India' and 'Startup India' initiatives, and was the longest serving Chief Executive Officer ('CEO') of NITI Aayog, where he spearheaded major reforms including the Aspirational Districts Programme, Production-Linked Incentive Schemes, Ease of Doing Business, National Green Hydrogen Mission, and National Asset Monetisation Pipeline. Earlier, he served as Joint Secretary in the Ministry of Tourism, where he led the 'Incredible India' campaign, and as Tourism Secretary to the Government of Kerala, where he drove the 'God's Own Country' campaign. He has also authored various books including 'Made in India - 75 years of Business and Enterprise', 'Incredible India 2.0 - Synergies for Growth and Governance', and 'Branding India - An Incredible Story', and is a recipient of several Awards.

Other Directorships

Name of the entity	Position
HCL Technologies Limited #	Independent Director
InterGlobe Aviation Limited #	Non-Executive Director
Larsen & Toubro Limited #	Independent Director
Raphe mPhibr Private Limited	Independent Director
upGrad Education Private Limited	Independent Director

Committee Membership of other entities

Name of the entity	Committee	Position
InterGlobe Aviation Limited	Stakeholders Relationship Committee	Member
	Corporate Social Responsibility Committee	Member

C. K. Mishra

Chandra Kishore Mishra (66), DIN: 02553126, was appointed as an Independent Director on the ITC Board effective September 14, 2024.

A Graduate in History from St. Stephen's College, Delhi, and a Post Graduate Diploma holder in Media Law from NALSAR, Hyderabad, Mishra has also completed Advanced Leadership Programme from Australia and New Zealand School of Government, Australia. He is a retired IAS Officer with administrative experience of nearly 38 years.

Mishra joined IAS in 1983 and during his long public service, he has served as an administrator, policy-maker and climate change strategist holding a wide range of assignments in the fields of environment, health, education, industry and power. As Secretary of the Ministry of Environment, Forest and Climate Change, he spearheaded the Indian efforts for addressing climate change issues and policy interventions in matters relating to pollution & air quality. Prior to this, he was Secretary of the Ministry of Health and Family Welfare and also held additional charge of the Ministry of Ayush for some time,

where he led one of the largest public health programmes globally viz., National Health Mission. He is presently associated with various international organisations and multinational companies addressing health and climate change issues, including as a Member of the Senior Advisory Board of Exemplars in Global Health of the Gates Foundation and an Advisor to the Rockefeller Foundation.

Other Directorships

Name of the entity	Position
Shriram General Insurance Company Limited	Chairperson & Independent Director
Balrampur Chini Mills Limited #	Independent Director
Borosil Scientific Limited #	Independent Director
Raigad Pen Growth Centre Limited	Independent Director
DCDC Health Services Private Limited	Independent Director
Meradoc Healthtech Private Limited	Non-Executive Director
Practo Pte. Ltd., Singapore *	Non-Executive Director

Committee Membership of other entities

Name of the entity	Committee	Position
Shriram General Insurance Company Limited	Nomination and Remuneration Committee	Member
	Corporate Social Responsibility Committee	Member
Balrampur Chini Mills Limited	Audit Committee	Member
Borosil Scientific Limited	Audit Committee	Member

S. Mohanty

Siddhartha Mohanty (62), DIN: 08058830, was appointed as a Non-Executive Director on the Board of ITC effective January 1, 2025. He is a representative of LIC.

Mohanty is a Post Graduate in Political Science with a Bachelors Degree in Law from Utkal University, Bhubaneswar, and has also completed Post Graduate Certification in Business Management from XIM, Bhubaneswar. He is currently a Practising Advocate at the Supreme Court of India.

Mohanty joined LIC as a Direct Recruit Officer in 1985 and retired as its CEO & Managing Director in June 2025. During his career at LIC spanning nearly four decades, he gained multi-dimensional experience across all domains of life insurance covering Marketing, Human Resources, Legal and Investments. He has held various important positions in LIC, including tenures as Senior Divisional Manager in-charge of Raipur and Cuttack Divisions, Regional Head of a marketing vertical in the Western Zone, Chief of Investments (Back Office), Executive Director (Legal) and CEO & Managing Director of LIC Housing Finance Limited. He was also designated as the Chairperson of LIC from April 2023 to June 2024. He has been on the Boards of LIC Cards Services Limited, LIC Mutual Fund Asset Management Limited and LIC Pension Fund Limited, amongst others.

Other Directorships

Name of the entity	Position
Larsen & Toubro Limited #	Non-Executive Director

Committee Membership of other entities

Name of the entity	Committee	Position
Larsen & Toubro Limited	Stakeholders Relationship Committee	Member

S. Mukherjee

Shyamal Mukherjee (66), DIN: 03024803, joined the ITC Board as an Independent Director effective August 11, 2021.

Mukherjee is a Chartered Accountant and also holds Degrees of Bachelors in Commerce and Law from Delhi University. He is the former Chairman and Senior Partner of PricewaterhouseCoopers ('PwC') in India. With over 37 years of experience, he started his professional journey with PwC in 1984 and became a Partner in 1993. As PwC's Chairman, he was at the forefront of making it a more future-ready firm, investing in and strengthening the firm's key capabilities across its people, go-to-market initiatives and internal transformation. He is the Managing Trustee of the Phanindranath Education Trust, West Bengal, and also a Member of the Bar Council of Delhi.

Other Directorships

Name of the entity	Position
Bharti Airtel Limited #	Independent Director
JSW Steel Limited #	Independent Director
Urban Company Limited #	Independent Director
Handy Home Solutions Private Limited	Independent Director

Committee Membership of other entities

Name of the entity	Committee	Position
Bharti Airtel Limited	Audit Committee	Chairperson
	Stakeholders Relationship Committee	Member
JSW Steel Limited	Audit Committee	Member
Urban Company Limited	Audit Committee	Chairperson
	Nomination and Remuneration Committee	Member

A. Nayak

Anand Nayak (74), DIN: 00973758, joined the ITC Board as an Independent Director effective July 13, 2019.

Nayak is a Post Graduate in Personnel Management and Industrial Relations from XLRI, Jamshedpur.

Nayak joined ITC in 1973 and served for more than 42 years until his retirement in December 2015. During his long tenure with ITC, he held various portfolios and worked across several businesses as well as at Corporate Headquarters where he headed the Human Resources Function from 1996 to 2015. He served on the Corporate Management Committee of ITC for over 18 years from 1997 to 2015. He was also responsible for overall management of Social Sector initiatives under the CSR agenda of ITC, and mentored the Mission Sunehra Kal team in crafting enduring sustainability solutions for rural India.

Nayak does not hold directorship in any other entity.

S. Panray

Sunil Panray (68), DIN: 09251023, was appointed as a Non-Executive Director on the Board of ITC effective August 11, 2021. He is a representative of Tobacco Manufacturers (India) Limited ('TMI'), a subsidiary of British American Tobacco p.l.c. ('BAT').

Panray holds Degrees of Bachelors in Commerce and Masters in Business Administration from Concordia University in Montreal, Canada. He is a retired senior executive. He began his professional journey as a Senior Auditor and Financial Consultant with Raymond Chabot Grant Thornton, Canada, and has held senior leadership positions at Imasco Limited, Imperial Tobacco, Canada, and BAT. He has also served as Vice President - Finance and Treasurer of Canadian National Railway Company, the largest transcontinental

public railway transportation company in Canada, from 2012 to 2016. During his professional career, he has held important leadership roles in complex business & regulatory environments, and has led significant M&A transactions as well as key strategic initiatives across geographies.

Panray does not hold directorship in any other entity.

A. K. Seth

Ajit Kumar Seth (74), DIN: 08504093, joined the ITC Board as an Independent Director effective July 13, 2019.

An alumnus of St. Stephen's College, Delhi, from where he did his post-graduation in Chemistry, Seth obtained an M. Phil in Life Sciences from Jawaharlal Nehru University, New Delhi, and Masters in Development Finance from University of Birmingham, UK. In 2015, the University of Birmingham conferred upon him a Doctorate Honoris Causa.

Seth is a retired IAS Officer with administrative experience of more than 41 years. He retired in June 2015 after serving for four years as the Cabinet Secretary of GoI, the highest position in civil services. In a varied and distinguished career, his assignments include postings in the Ministry of Commerce, the Permanent Mission of India to the United Nations at Geneva (dealing with GATT / UNCTAD), Ministry of Textiles, and also as Chairman of the Public Enterprises Selection Board. Earlier in Uttar Pradesh, he served as Principal Secretary - Rural Development, Special Secretary - Industries, Divisional Commissioner of Kumaon Division and District Magistrate, Lucknow.

Seth does not hold directorship in any other entity.

A. Singh

Atul Singh (66), DIN: 00060943, joined the ITC Board as a Non-Executive Director effective April 2, 2024. He is a representative of TMI.

Singh holds Degrees of Bachelors in Commerce from St. Xavier's College, Kolkata, and Masters in Business Administration from TCU Neeley School of Business, Texas, USA. He is a retired executive with more than 35 years of diverse experience in consumer-oriented roles across multiple geographies.

Singh began his professional career as an Auditor with Price Waterhouse, USA, and has held senior leadership positions at Colgate-Palmolive, Coca-Cola and Fawaz Abdulaziz Alhokair Company, and also Raymond Limited as Executive Vice Chairman (senior management personnel). He is a Member of Young Presidents' Organization, New Delhi Chapter, and Member of the Governing Board of Plan International, India Chapter, a NGO working in over 80 countries. He has been on the Boards of Genesis Colors Limited, Coca-Cola India Private Limited and Coca-Cola India Foundation, and was an Independent Director of Bata India Limited from 2011 to 2014. He has also served as Chairman of the American Chamber of Commerce in India and as Member of the Advisory Board of AIESEC, the world's largest student organisation, in India.

Other Directorships

Name of the entity	Position
Compass Limited, Bermuda *	Non-Executive Director

Committee Membership of other entities: Nil

P. Subrahmanyam

Pushpa Subrahmanyam (64), DIN: 01894076, was appointed as an Independent Director on the Board of ITC effective April 2, 2024.

A Masters in Development Planning and Project Management from University of Bradford, UK, and a Masters in Political Science from University of Hyderabad, she is a retired IAS Officer with administrative experience of over 36 years.

She joined IAS in 1985 (Andhra Pradesh cadre) and has worked across several sectors including tribal, women & child development, urban development and poverty alleviation. She was Secretary of the Ministry of Food Processing Industries for more than three years, from where she retired in January 2022. She also worked as Finance Secretary of the combined State of Andhra Pradesh and has expertise in handling public finance. She managed the employment intensive sectors of textiles and food processing industries at the national level, and had high level exposure to policy making having worked in the Prime Minister's Office for four years. She also worked with the erstwhile Department for International Development, UK, as Governance Adviser for three years. She has been on the Boards of National Textile Corporation Limited, Andhra Pradesh Power Generation Corporation Limited and Transmission Corporation of Andhra Pradesh Limited, amongst others.

She presently does not hold directorship in any other entity.

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* *Denotes foreign entity*

\# *Denotes Indian entity whose securities are listed on a recognised stock exchange*

Notes:

1. *Other Directorships and Committee Memberships of Directors are as on March 31, 2026.*
2. *Committee Memberships cover Committees under the Companies Act, 2013 viz., Audit Committee, Stakeholders Relationship Committee, Nomination and Remuneration Committee and Corporate Social Responsibility Committee of Indian entities.*

Enduring Value

Report on
Corporate Governance

The Directors present the Company's Report on Corporate Governance pursuant to the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations').

ITC Limited has been one of the frontrunners in India to have put in place a formalised system of Corporate Governance. Its governance framework enjoins the highest standards of ethical and responsible conduct of business to create value for all stakeholders.

THE COMPANY'S GOVERNANCE PHILOSOPHY

ITC defines Corporate Governance as a systemic process by which companies are directed and controlled to enhance their wealth-generating capacity. Since large corporations employ a vast quantum of societal resources, ITC believes that the governance process should ensure that these resources are utilised in a manner that meets stakeholders' aspirations and societal expectations. This belief is reflected in the Company's deep commitment to contribute to the "triple bottom line", namely conservation and development of the nation's economic, social and environmental capital.

ITC's Corporate Governance structure, systems and processes are based on two core principles:

Management must have the executive freedom to drive the enterprise forward without undue restraints

This freedom of management should be exercised within a framework of effective accountability

ITC believes that any meaningful policy on Corporate Governance must empower the executive management of the Company. At the same time, Governance should create a mechanism of checks and balances to ensure that the decision-making powers vested in the executive management are used with care and responsibility to meet stakeholders' aspirations and societal expectations.

From this definition and core principles of Corporate Governance emerge the cornerstones of ITC's governance philosophy, namely trusteeship, transparency, ethical corporate citizenship, empowerment & accountability and control. ITC believes that the practice of each of these creates the right corporate culture that fulfils the true purpose of Corporate Governance.

> The cornerstones of ITC's governance philosophy are trusteeship, transparency, ethical corporate citizenship, empowerment & accountability and control.

Trusteeship

Trusteeship recognises that large corporations which represent a coalition of interests, namely those of the shareholders, other providers of capital, business associates and employees, have both an economic and a social purpose, thereby casting the responsibility on the Board of Directors to protect and enhance shareholder value, as well as fulfil obligations to other stakeholders. Inherent in the concept of trusteeship is the responsibility to ensure equity, namely that the rights of all shareholders, large or small, are protected.

Transparency

Transparency means explaining the Company's policies and actions to those to whom it has responsibilities. Externally, this means maximum appropriate disclosures without jeopardising the Company's strategic interests and internally, this means openness in the Company's relationship with its employees and in the conduct of its business. ITC believes transparency enhances accountability.

Ethical Corporate Citizenship

Ethical Corporate Citizenship means setting exemplary standards of ethical behaviour, both internally within the organisation as well as in external relationships. ITC believes that unethical behaviour corrupts organisational culture and undermines stakeholder value. Governance processes in ITC continuously reinforce and help realise the Company's belief in ethical corporate citizenship.

Empowerment & Accountability

Empowerment is a process of unleashing creativity and innovation throughout the organisation by truly vesting decision-making powers at the most appropriate levels and as close to the scene of action as feasible, thereby helping actualise the potential of its employees. Empowerment is an essential concomitant of ITC's first core principle of governance that management must have the freedom to drive the enterprise forward. ITC believes that empowerment combined with **accountability** provides an impetus to performance and improves effectiveness, thereby enhancing shareholder value.

Control

Control ensures that freedom of management is exercised within a framework of checks and balances, and is designed to prevent misuse of power, facilitate timely management of change and ensure effective management of risks. ITC believes that control is a necessary concomitant of its second core principle of governance that freedom of management should be exercised within a framework of effective accountability.

THE GOVERNANCE STRUCTURE

The practice of Corporate Governance in ITC takes place at three interlinked levels:

Strategic supervision	by the Board of Directors
Strategic management	by the Corporate Management Committee
Executive management	by the Divisional Chief Executive assisted by the Divisional Management Committee

The three-tier governance structure ensures that:

(a) Strategic supervision (on behalf of Shareholders), being free from involvement in the task of strategic management of the Company, can be conducted with objectivity, thereby sharpening accountability of management;

(b) Strategic management of the Company, uncluttered by the day-to-day tasks of executive management, remains focused and energised; and

(c) Executive management of the divisional business, free from collective strategic responsibilities for ITC as a whole, remains focused on enhancing the quality, efficiency and effectiveness of the business to achieve best-in-class performance.

The core roles of the key entities flow from this structure. These roles, in turn, determine the core responsibilities of each entity. In order to discharge such responsibilities, each entity is empowered formally with requisite powers.

The structure, processes and practices of governance are designed to support effective management of multiple businesses while retaining focus on each one of them.

The governance structure of the Company is also available on its corporate website at **https://www.itcportal.com/governance-structure** .

ROLES OF VARIOUS ENTITIES

Board of Directors ('Board'): The primary role of the Board is that of trusteeship to protect and enhance shareholder value through strategic supervision of ITC and its wholly owned subsidiaries. As trustees, the Board ensures that the Company has clear goals aligned to shareholder value and its growth. The Board sets strategic goals and seeks accountability for their fulfilment. The Board also provides direction and exercises appropriate control to ensure that the Company is managed in a manner that fulfils stakeholders' aspirations and societal expectations. The Board, as part and parcel of its functioning, annually reviews its role and also evaluates its performance and that of the Board Committees & the Directors.

Board Committees: The roles of the Board Committees are determined by the Board from time to time, synopsis of which is provided under the heading 'Committees of the Board'.

Corporate Management Committee ('CMC'): The primary role of the CMC is strategic management of the Company's businesses within Board approved direction / framework and realisation of Company goals. The CMC also assesses performance of the businesses and allocates resources.

Divisional Management Committee ('DMC'): The primary role of the DMC is executive management of the business to realise tactical and strategic objectives in accordance with the Board approved Business Plan.

The Executive Committee for a Business Vertical within the Division is responsible to deliver comprehensive business results under the overall direction and supervision of the Divisional Chief Executive supported by the DMC.

Chairman: The Chairman is the Chief Executive of the Company. He is Chairman of the Board and the CMC and also presides over General Meetings of Shareholders. His primary role is to provide leadership to the Board and the CMC for realising Company goals in accordance with the charter approved by the Board. He is responsible, inter alia, for the working of the Board and the CMC, for ensuring that all relevant issues are on the agenda and that all Directors and CMC Members are enabled and encouraged to play a full part in the activities of the Board and the CMC, respectively. He keeps the Board informed on all matters of importance. He is also responsible for balance of membership of the Board, subject to Board and Shareholder approvals.

Non-Executive Director: Non-Executive Directors, including Independent Directors, play a critical role in imparting balance to the Board processes by bringing independent judgement on issues of strategy, performance, resources, standards of Company conduct, etc.

Executive Director: The Executive Director assists the Board in realising its role of strategic supervision of the Company in pursuit of its purpose and goals. As a member of the CMC, an Executive Director contributes to strategic management of the Company's businesses within Board approved direction / framework. An Executive Director accountable to the Board for a business assumes overall responsibility for its strategic management, including governance processes and top management effectiveness. Similarly, as Director accountable to the Board for a corporate function, the overall strategic responsibility for its performance forms part of the Executive Director's role. In the context of the multi-business character of the Company, an Executive Director is in the nature of a Managing Director for those businesses and functions reporting to him.

CMC Member: The CMC Member contributes to strategic management of the Company's businesses within Board approved direction / framework. A CMC Member accountable for a business assumes responsibility for its strategic management, including governance processes and top management effectiveness. Similarly, where accountable for a corporate function, the overall strategic responsibility for its performance forms part of the CMC Member's role.

Divisional Chief Executive: The Divisional Chief Executive of a business has the executive responsibility for its day-to-day operations and provides leadership to the DMC in its task of executive management of the business and the Verticals within the Division.

The Chief Operating Officer of a Business Vertical is responsible for providing leadership to the Executive Committee of the Vertical and realising the tactical & strategic objectives of the respective business area.

BOARD OF DIRECTORS

Composition

The ITC Board is a balanced Board comprising Executive and Non-Executive Directors, with at least 50% of the total strength of the Board comprising Independent Directors. The Non-Executive Directors, including Independent Directors, are all drawn from amongst eminent professionals with experience in business / finance / law / public administration and enterprises. The ITC Board is an optimal mix of professionalism, knowledge, experience and diversity. **The Directors of the Company also possess the skills, expertise and competencies, as identified by the Board and provided in the Annexure forming part of this Report.**

In terms of the applicable regulatory requirements read with the Articles of Association of the Company, the strength of the Board shall not be fewer than six nor more than eighteen. The present strength of the Board is sixteen comprising the Chairman & Managing Director, three Executive Directors, eight Non-Executive Independent Directors, of which two are Women Directors, and four Non-Executive Non-Independent Directors.

Composition of the Board as on 31st March, 2026:

Category	No. of Directors	Percentage to total no. of Directors
Chairman & Managing Director and Executive Directors	4	23.53
Non-Executive Independent Directors	9	52.94
Non-Executive Non-Independent Directors	4	23.53
Total	**17**	**100.00**

Director	Category	No. of other Directorship(s)*	No. of Membership(s) / Chairpersonship(s) of Audit Committee / Stakeholders Relationship Committee of other Indian public limited companies
S. Puri	Chairman & Managing Director	7	Nil
S. Dutta	Executive Director & Chief Financial Officer	10	2 [also as Chairperson]
H. Malik	Executive Director	1	Nil
B. Sumant	Executive Director	2	Nil
H. Bhargava	Independent Director	4	2 [including 1 as Chairperson]
A. M. Bharucha	Independent Director	5	5 [including 2 as Chairperson]
A. Kant	Independent Director	5	1
C. K. Mishra	Independent Director	7	2
S. Mukherjee	Independent Director	4	4 [including 2 as Chairperson]
A. Nayak	Independent Director	Nil	Nil
N. Rao [1]	Independent Director	1	Nil
A. K. Seth	Independent Director	Nil	Nil
P. Subrahmanyam	Independent Director	Nil	Nil
S. Mohanty	Non-Executive Director Representative of the Life Insurance Corporation of India as Investor	1	1
A. Pande [2]	Non-Executive Director Representative of the Specified Undertaking of the Unit Trust of India as Investor	1	Nil
S. Panray	Non-Executive Director Representative of Tobacco Manufacturers (India) Limited ('TMI'), a subsidiary of British American Tobacco p.l.c., as Investor	Nil	Nil
A. Singh	Non-Executive Director Representative of TMI as Investor	1	Nil

** Details with respect to other Directorships are provided under the section 'Your Directors' in the Report and Accounts.*

1. *Ceased to be Director w.e.f. 8th April, 2026 upon completion of term as Independent Director. Ms. N. Rao is an Independent Director of JSW Steel Limited.*
2. *Resigned as Non-Executive Director w.e.f. 1st April, 2026. Mr. A. Pande is a Non-Executive Director of Indian Bank.*

Meetings and Attendance

The Company's Governance Policy requires the Board to meet at least five times in a year. The tentative schedule of meetings is determined at the beginning of each calendar year. During the financial year 2025-26, the intervening period between two Board Meetings was well within the maximum gap of 120 days prescribed under the Listing Regulations.

Board Agenda

Meetings are governed by a structured agenda. The Board Members, in consultation with the Chairman, may bring up any matter for the consideration of the Board. All major agenda items are backed by comprehensive background information to enable the Board to take informed decisions. Agenda papers are generally circulated between seven to fourteen days prior to the Board Meeting.

Information placed before the Board

In terms of the Company's Governance Policy, all statutory and other significant & material information are placed before the Board to enable it to discharge its responsibility of strategic supervision of the Company as trustees of Shareholders. The following in particular are tabled for the Board's approval / periodic review or information:

- Annual operating plans and capital budgets.
- Periodic review of the Company's businesses.
- Quarterly, half-yearly and annual performance, including business segment-wise financials.
- External Audit Management Reports (through the Audit Committee).
- Status of safety and legal compliance.
- Status and effectiveness of risk management plans.
- CSR and sustainability initiatives of the Company (through the CSR and Sustainability Committee).
- Succession to Senior Management (through the Nomination & Compensation Committee).
- Statutory compliance reports from businesses / corporate functions.
- Show cause / demand / prosecution / adjudication notices, if any, from revenue authorities which are considered materially important, including any exposure that exceeds 1% of the Company's net worth, and their outcome.
- Significant court judgement or order passing strictures, if any, on the conduct of the Company or a subsidiary of the Company or any employee, which could negatively impact the Company's image.
- Product liability claims of substantial nature, if any.
- Default, if any, in payment of dues to any major creditor.
- Write-offs / disposals of fixed assets, inventories, receivables, advances, etc.
- Significant developments in Human Resources / Industrial Relations.
- Non-compliance of any regulatory, statutory or listing requirements and in relation to shareholders' services, if any.

Post-meeting follow-up system

The Governance processes in the Company include an effective post-meeting follow-up, review and reporting process for action taken / pending on decisions of the Board, the Board Committees, the CMC and the DMCs.

Details of Board Meetings during the financial year 2025-26

Five meetings of the Board were held as follows:

Sl. No.	Date	Board Strength	No. of Directors present	% of attendance
1	17th April, 2025	16	15	93.75%
2	22nd May, 2025	16	16	100%
3	1st August, 2025	16	16	100%
4	30th October, 2025	16	16	100%
5	29th January, 2026	17	17	100%

Attendance at Board Meetings and at Annual General Meeting ('AGM') during the financial year 2025-26

Director	No. of Board Meetings attended	Attendance at last AGM
S. Puri	5	Yes
S. Dutta	5	Yes
H. Malik	5	Yes
B. Sumant	5	Yes
H. Bhargava	5	Yes
A. M. Bharucha	5	Yes

Attendance at Board Meetings and at AGM during the financial year 2025-26 (Contd.)

Director	No. of Board Meetings attended	Attendance at last AGM
A. Kant [1]	1	N.A.
C. K. Mishra	5	Yes
S. Mohanty	5	Yes
S. Mukherjee	5	Yes
A. Nayak	5	Yes
A. Pande	4	Yes
S. Panray	5	Yes
N. Rao	5	Yes
A. K. Seth	5	Yes
A. Singh	5	Yes
P. Subrahmanyam	5	Yes

1. Appointed as Independent Director w.e.f. 1st January, 2026.

COMMITTEES OF THE BOARD

Currently, there are five Board Committees – the Audit Committee, the Nomination & Compensation Committee, the Securityholders Relationship Committee, the CSR and Sustainability Committee and the Independent Directors Committee. The terms of reference of these Committees are determined by the Board from time to time, other than the Independent Directors Committee the terms of reference of which are as prescribed under law. Meetings of Board Committees are normally convened by the respective Committee Chairman. Matters requiring the Board's attention / approval, as emanating from the Board Committee Meetings, are placed before the Board with clearance of the Committee Chairman. All recommendations made by Board Committees during the year were accepted by the Board. Minutes of Board Committee Meetings are placed before the Board. The role and composition of these Committees, including the number of meetings held during the financial year and the related attendance, are provided below.

I. AUDIT COMMITTEE

The Audit Committee provides reassurance to the Board on the existence of an effective internal control environment that ensures:

- efficiency and effectiveness of operations.
- safeguarding of assets and adequacy of provisions for liabilities.
- reliability of financial and other management information and adequacy of disclosures.
- compliance with all relevant statutes.

The role of the Committee includes the following:

(a) To oversee the Company's financial reporting process and disclosure of its financial information to ensure that the financial statements are correct, sufficient and credible;

(b) To evaluate the Company's internal financial controls and risk management systems;

(c) To approve transactions with related parties, including modifications thereto;

(d) To recommend the appointment, remuneration and removal of the Auditors;

(e) To recommend the appointment of the Chief Financial Officer of the Company;

(f) To review with the management, the following:

(i) Annual financial statements and Auditor's Report thereon;

(ii) Quarterly & half-yearly financial results and Limited Review Report thereon;

(g) To review the following:

(i) Management discussion and analysis of financial condition & results of operations, and matters required to be included in the Directors' Responsibility Statement;

(ii) Adequacy of internal control systems and the Company's statement on the same, in consultation with the management, the Statutory Auditors and the Internal Auditors;

(iii) Adequacy and effectiveness of internal control systems laid down in the Company for compliance with the provisions of the Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;

(iv) Significant findings in the Internal Audit Reports and follow-up thereon;

(v) Statutory Auditors' independence and performance, and effectiveness of the audit process;

(vi) System for maintenance, storage, retrieval, security, etc. of books of accounts in the electronic form;

(vii) Functioning of Whistleblower mechanism in the Company;

(viii) Annual financial statements, including investments, of subsidiary companies;

(ix) Utilisation of loans and / or advances and investments by the Company to / in subsidiary companies.

Composition

The Audit Committee presently comprises four Independent Directors. The Chairman of the Committee is also an Independent Director. The Executive Director representing the Finance Function (who is also the Chief Financial Officer), the Head of Internal Audit and the representative of the Statutory Auditors are Invitees to the meetings of the Audit Committee. The Head of Internal Audit is the Coordinator and the Company Secretary is the Secretary to the Committee. The representatives of the Cost Auditors are invited to meetings of the Committee whenever matters relating to cost audit are considered. All members of the Committee are financially literate; two members, including the Chairman of the Committee, have accounting and financial management expertise.

The names of the members of the Audit Committee, including its Chairman, are provided under the section 'Board of Directors and Committees' in the Report and Accounts.

Meetings and Attendance during the financial year 2025-26

Details of Audit Committee Meetings

Nine meetings of the Audit Committee were held as follows:

Sl. No.	Date	Committee Strength	No. of Members present	% of attendance
1	10th April, 2025	3	3	100%
2	12th May, 2025	3	3	100%
3	22nd May, 2025	3	3	100%
4	1st August, 2025	4	4	100%
5	21st August, 2025	4	4	100%
6	30th October, 2025	4	4	100%
7	17th December, 2025	4	4	100%
8	29th January, 2026	4	4	100%
9	20th February, 2026	4	4	100%

Attendance at Audit Committee Meetings

Member	No. of Meetings attended
H. Bhargava	9
A. M. Bharucha	9
C. K. Mishra [1]	6
S. Mukherjee	9

1. Appointed as Member w.e.f. 22nd May, 2025.

II. NOMINATION & COMPENSATION COMMITTEE

The Nomination and Remuneration Committee of the Board, under the nomenclature 'Nomination & Compensation Committee', inter alia, identifies persons qualified to become Directors and recommends to the Board, the appointment, remuneration and removal of the Directors and Senior Management. The Committee's role also includes formulation of criteria for evaluation of performance of the Directors & the Board as a whole, and administration of the Employee Stock Option Schemes and Employee Stock Appreciation Rights Scheme of the Company. The Committee also reviews the succession planning processes for critical positions in the Company and the key interventions made in this area.

Composition

The Nomination & Compensation Committee presently comprises three Independent Directors and the Chairman of the Company. The Chairman of the Committee is an Independent Director. The Company Secretary is the Secretary to the Committee.

The names of the members of the Nomination & Compensation Committee, including its Chairman, are provided under the section 'Board of Directors and Committees' in the Report and Accounts.

Meetings and Attendance during the financial year 2025-26

Details of Nomination & Compensation Committee Meetings

Four meetings of the Nomination & Compensation Committee were held as follows:

Sl. No.	Date	Committee Strength	No. of Members present	% of attendance
1	21st May, 2025	3	3	100%
2	31st July, 2025	4	4	100%
3	29th October, 2025	4	4	100%
4	28th January, 2026	4	4	100%

Attendance at Nomination & Compensation Committee Meetings

Member	No. of Meetings attended
A. Nayak	4
S. Puri	4
A. K. Seth	4
P. Subrahmanyam [1]	3

1. Appointed as Member w.e.f. 22nd May, 2025.

Remuneration Policy

ITC's Remuneration strategy is performance based, competitive and values led. It is designed to reward holistic performance that is in congruence with the Company's "triple bottom line" approach to business, to attract & retain high quality talent and is anchored on ITC's values, all of which are integral in pursuit of the Company's objective of enhancing the wealth generating capability of the enterprise in a globalised environment, while delivering superior and sustainable stakeholder value. The Remuneration Policy of the Company is market-led and factors in the competitive context of each business. Performance against the Sustainability goals of the Company has also been included as a factor in assessing business performance which, in turn, is considered while determining remuneration. The Company has adopted a comprehensive 'Total Rewards' approach to remuneration that, inter alia, promotes a superior quality of personal and work life by combining both cash and non-cash components / benefits.

The Company's Policy on remuneration of Directors, Key Managerial Personnel and other employees may be accessed on its corporate website at **https://www.itcportal.com/remuneration-policy** . There was no change in the Policy during the year.

Remuneration of Directors

Remuneration of the Chairman & Managing Director and the Executive Directors is determined by the Board on the recommendation of the Nomination & Compensation Committee, subject to the approval of the Shareholders. The Chairman and each of the Executive Directors are entitled to performance bonus for every financial year up to a maximum of 300% and 200% of their basic / consolidated salary, respectively, as may be determined by the Board on the recommendation of the Nomination & Compensation Committee; such remuneration is linked to the performance of the Company inasmuch as the performance bonus is based on various qualitative and quantitative performance criteria. Apart from fixed elements of remuneration and benefits / perquisites, the Chairman and the Executive Directors are also eligible for Long Term Incentives, including Stock Options and / or Stock Appreciation Rights, as may be determined by the Nomination & Compensation Committee and / or the Board; such incentives are linked to the overall performance of the individual and the Company, including performance against Sustainability goals. The maximum annual value of such Long Term Incentives is 0.10% and 0.05% for the Chairman and each of the Executive Directors, respectively, of the net profits of the Company for the immediately preceding financial year.

Non-Executive Directors, including Independent Directors, are entitled to remuneration by way of commission for each financial year, ranging between ₹ 1,00,00,000/- and ₹ 1,30,00,000/-, individually, as approved by the Shareholders. Non-Executive Directors' commission is determined by the Board, based inter alia on Company performance and regulatory provisions, and is payable on a uniform basis to reinforce the principle of collective responsibility. Non-Executive Directors are also entitled to sitting fees for attending the meetings of the Board and its Committees. The sitting fees as determined by the Board are ₹ 1,00,000/- for each meeting of the Board, ₹ 50,000/- for each meeting of the Audit Committee, Nomination & Compensation Committee, CSR and Sustainability Committee and Independent Directors Committee, and ₹ 10,000/- for each meeting of the Securityholders Relationship Committee; sitting fees for each meeting of the Risk Management Committee is ₹ 50,000/-. Non-Executive Directors are also eligible for coverage under Personal Accident Insurance.

Details of Remuneration paid to the Directors during the financial year ended 31st March, 2026

(₹ in Lakhs)

Director	Basic / Consolidated Salary	Perquisites / Other Benefits	Performance Bonus / Long Term Incentives / Commission	Sitting Fees	Total
S. Puri	385.92	88.03	1,917.57	-	2,391.52
S. Dutta	186.72	37.99	719.44	-	944.15
H. Malik	186.72	37.61	499.86	-	724.19
B. Sumant	210.72	42.16	827.01	-	1,079.89
H. Bhargava	-	-	110.00	11.50	121.50
A. M. Bharucha	-	-	110.00	10.00	120.00
A. Kant [1]	-	-	-	1.00	1.00
C. K. Mishra [2]	-	-	59.97	10.00	69.97
S. Mohanty [3]	-	-	27.12 *	6.50 #	33.62
S. Mukherjee	-	-	110.00	11.50	121.50
A. Nayak	-	-	110.00	7.50	117.50
A. Pande [4]	-	-	74.74 *	5.00 *	79.74
S. Panray	-	-	110.00	6.50	116.50
N. Rao	-	-	110.00	6.50	116.50
A. K. Seth	-	-	110.00	8.80	118.80
A. Singh [5]	-	-	109.70	6.50	116.20
P. Subrahmanyam [6]	-	-	109.70	7.00	116.70
N. Anand [7]	-	-	268.50	-	268.50
S. Banerjee [8]	-	-	36.16	-	36.16
A. Duggal [9]	-	-	50.33	-	50.33
M. Gupta [10]	-	-	62.99 *	-	62.99
R. Jain [11]	-	-	18.08 *	-	18.08
M. Shankar [9]	-	-	50.33	-	50.33
R. Tandon [12]	-	-	81.86	-	81.86

** Paid to the Public Financial Institution the Director represents / represented.*

 # Includes ₹ 3.00 Lakhs paid to the Public Financial Institution the Director represents.

1. *Appointed as Independent Director w.e.f. 1st January, 2026.*
2. *Appointed as Independent Director w.e.f. 14th September, 2024.*
3. *Appointed as Non-Executive Director w.e.f. 1st January, 2025.*
4. *Appointed as Non-Executive Director w.e.f. 27th July, 2024.*
5. *Appointed as Non-Executive Director w.e.f. 2nd April, 2024.*
6. *Appointed as Independent Director w.e.f. 2nd April, 2024.*
7. *Ceased to be Director w.e.f. 3rd January, 2024 upon completion of term as Executive Director.*
8. *Ceased to be Director w.e.f. 30th July, 2024 upon completion of term as Independent Director.*
9. *Ceased to be Director w.e.f. 15th September, 2024 upon completion of term as Independent Director.*
10. *Resigned as Non-Executive Director w.e.f. 27th October, 2024.*
11. *Resigned as Non-Executive Director w.e.f. 31st May, 2024.*
12. *Ceased to be Director w.e.f. 22nd July, 2022 upon completion of term as Executive Director.*

Note: Disclosure with respect to Non-Executive Directors - Pecuniary relationship or transaction: None.

Employee Stock Option Schemes and Employee Stock Appreciation Rights Scheme

The eligible employees and Executive Directors of the Company were granted, during the year, 12,19,630 Stock Options and 4,18,560 Stock Appreciation Rights ('ESARs') at 'market price' as defined under the Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021.

Each Stock Option entitles the holder thereof to apply for and be allotted ten Ordinary Shares of the Company of ₹ 1/- each upon payment of the exercise price during the exercise period. In case of ESARs, the ESAR Grantees are entitled to apply for and be allotted, upon payment of ₹ 1/- per share, Ordinary Shares equivalent to appreciation for the total number of ESARs exercised, computed in the manner specified in the ITC Employee Stock Appreciation Rights Scheme 2025.

In case of both Stock Options and ESARs, the exercise period commences from the date of vesting and expires at the end of five years from the date of such vesting.

Stock Options / ESARs vest as per the following schedule:

From the date of grant of Stock Options / ESARs	% of Stock Options / ESARs vest
On completion of 12 months	30%
On completion of 24 months	30%
On completion of 36 months	40%

Details of shareholding of Directors and Stock Options / ESARs granted during the financial year

Director	No. of Ordinary Shares of ₹ 1/- each held (singly / jointly) as on 31st March, 2026	No. of Stock Options granted	No. of ESARs granted
S. Puri	3,00,591	1,01,000	33,500
S. Dutta	8,65,580	50,500	16,750
H. Malik	5,15,591	50,500	16,750
B. Sumant	8,68,087	50,500	16,750
H. Bhargava	-	-	-
A. M. Bharucha	44,380	-	-
A. Kant	820	-	-
C. K. Mishra	-	-	-

Details of shareholding of Directors and Stock Options/ ESARs granted during the financial year (Contd.)

Director	No. of Ordinary Shares of ₹ 1/- each held (singly / jointly) as on 31st March, 2026	No. of Stock Options granted	No. of ESARs granted
S. Mohanty	-	-	-
S. Mukherjee	21,000	-	-
A. Nayak	13,62,455	-	-
A. Pande	-	-	-
S. Panray	-	-	-
N. Rao	-	-	-
A. K. Seth	1,32,480	-	-
A. Singh	1,275	-	-
P. Subrahmanyam	-	-	-

Service Contract, Severance Fee and Notice Period

The appointment of the Chairman & Managing Director and the Executive Directors is governed by resolutions passed by the Board and the Shareholders, which cover the terms and conditions of such appointment, read with the service rules of the Company. A separate Service Contract is not entered into by the Company with those elevated to the Board from the management cadre, since they already have a Service Contract with the Company. Letters of appointment are issued by the Company to the Independent Directors detailing their roles, duties, responsibilities, etc.

With respect to notice period and payment of severance fee, the service rules of the Company read with the statutory provisions apply.

Performance Evaluation

Performance evaluation of the Board, the Board Committees and the individual Directors was carried out by the Board in accordance with the Framework approved by the Nomination & Compensation Committee in this regard; brief details of such evaluation are provided in the 'Report of the Board of Directors & Management Discussion and Analysis', forming part of the Report and Accounts.

III. SECURITYHOLDERS RELATIONSHIP COMMITTEE

The Stakeholders Relationship Committee of the Board, under the nomenclature 'Securityholders Relationship Committee', primarily oversees redressal of shareholder and investor grievances, approves transmission of shares, sub-division / consolidation / renewal of share certificates, issue of duplicate share certificates, and allots shares upon exercise of Stock Options / ESARs. The Committee also reviews adherence to the service standards adopted in respect of the Company's share registration & related activities and the measures taken for effective exercise of voting rights by the Shareholders.

Composition

The Securityholders Relationship Committee presently comprises three Directors. The Chairman of the Committee is an Independent Director. The Company Secretary is the Secretary to the Committee.

The names of the members of the Securityholders Relationship Committee, including its Chairman, are provided under the section 'Board of Directors and Committees' in the Report and Accounts.

Meetings and Attendance during the financial year 2025-26

Details of Securityholders Relationship Committee Meetings

Thirteen meetings of the Securityholders Relationship Committee were held as follows:

Sl. No.	Date	Committee Strength	No. of Members present	% of attendance
1	10th April, 2025	3	3	100%
2	30th June, 2025	3	3	100%
3	11th July, 2025	3	3	100%
4	22nd July, 2025	3	3	100%
5	31st July, 2025	3	3	100%

Inherent in the concept of trusteeship is the responsibility to ensure equity, namely that the rights of all shareholders, large or small, are protected.

Details of Securityholders Relationship Committee Meetings (Contd.)

Sl. No.	Date	Committee Strength	No. of Members present	% of attendance
6	19th August, 2025	3	3	100%
7	17th September, 2025	3	3	100%
8	15th October, 2025	3	3	100%
9	17th November, 2025	3	3	100%
10	19th December, 2025	3	3	100%
11	16th January, 2026	3	3	100%
12	18th March, 2026	3	3	100%
13	31st March, 2026	3	3	100%

Attendance at Securityholders Relationship Committee Meetings

Member	No. of Meetings attended
A. K. Seth	13
S. Dutta	13
B. Sumant	13

IV. CSR AND SUSTAINABILITY COMMITTEE

The role of the CSR Committee of the Board, under the nomenclature 'CSR and Sustainability Committee', is inter alia to review, monitor and provide strategic direction to the Company's CSR and sustainability practices towards fulfilling its "triple bottom line" objectives. The Committee seeks to guide the Company in crafting unique models to support creation of sustainable livelihoods together with environmental re-generation. Formulating and monitoring the CSR Policy, the Sustainability Policies and the annual CSR Action Plan, including making recommendation to the Board as necessary, form part of the role of the Committee. The Committee also approves the Sustainability Report, besides reviewing the Business Responsibility and Sustainability Report of the Company and recommending the same to the Board for adoption.

Composition

The CSR and Sustainability Committee presently comprises the Chairman of the Company and seven Non-Executive Directors, three of whom are Independent Directors. The Chairman of the Company is the Chairman of the Committee. The Company Secretary is the Secretary to the Committee.

The names of the members of the CSR and Sustainability Committee, including its Chairman, are provided under the section 'Board of Directors and Committees' in the Report and Accounts.

Meetings and Attendance during the financial year 2025-26

Details of CSR and Sustainability Committee Meetings

Three meetings of the CSR and Sustainability Committee were held as follows:

Sl. No.	Date	Committee Strength	No. of Members present	% of attendance
1	17th April, 2025	8	7	87.50%
2	21st May, 2025	8	8	100%
3	29th October, 2025	8	7	87.50%

Attendance at CSR and Sustainability Committee Meetings

Member	No. of Meetings attended
S. Puri	3
A. Kant [1]	N.A.
C. K. Mishra	3
S. Mohanty	3
S. Mukherjee	3
A. Pande	2
S. Panray	3
N. Rao	2
A. Singh	3

1. Appointed as Member w.e.f. 30th January, 2026.

The CSR and Sustainability Committee provides strategic direction to the Company's CSR and Sustainability practices towards fulfilling its Triple Bottom Line objectives.

V. INDEPENDENT DIRECTORS COMMITTEE

The statutory role of the Independent Directors Committee of the Board is to review the performance of the Non-Independent Directors, including the Chairman of the Company, and the Board, and also to assess the quality, quantity and timeliness of flow of information between the Company management and the Board.

Composition

The Independent Directors Committee comprises all the Independent Directors of the Company.

The names of the members of the Independent Directors Committee are provided under the section 'Board of Directors and Committees' in the Report and Accounts.

Meeting and Attendance during the financial year 2025-26

Details of Independent Directors Committee Meeting

One meeting of the Independent Directors Committee was held as follows:

Sl. No.	Date	Committee Strength	No. of Members present	% of attendance
1	7th May, 2025	8	8	100%

Attendance at Independent Directors Committee Meeting

Member	Attendance at the Meeting
H. Bhargava	Yes
A. M. Bharucha	Yes
A. Kant [1]	N.A.
C. K. Mishra	Yes
S. Mukherjee	Yes
A. Nayak	Yes
N. Rao	Yes
A. K. Seth	Yes
P. Subrahmanyam	Yes

1. Appointed as Member w.e.f. 1st January, 2026.

OTHER COMMITTEES

RISK MANAGEMENT COMMITTEE

The role of the Risk Management Committee is, inter alia, to approve the strategic risk management framework of the Company, and review the risk mitigation strategies, measures taken for cyber security and results of risk identification, prioritisation & mitigation plans for all businesses / corporate functions. Formulation of the Risk Management Policy and review of implementation, effectiveness and adequacy of the risk management plans, systems & processes of the Company form part of the role of the Committee.

Composition

The Risk Management Committee presently comprises the Chairman of the Company, the Executive Directors, one Independent Director and one member of Senior Management. The Chairman of the Company is the Chairman of the Committee. The Head of Internal Audit is an Invitee to the meetings of the Committee. The Chief Risk Officer is the Secretary to the Committee.

The names of the members of the Risk Management Committee, including its Chairman, are provided below.

Meetings and Attendance during the financial year 2025-26

Details of Risk Management Committee Meetings

Three meetings of the Risk Management Committee were held as follows:

Sl. No.	Date	Committee Strength	No. of Members present	% of attendance
1	27th August, 2025	6	6	100%
2	14th February, 2026	6	6	100%
3	24th March, 2026	6	6	100%

Attendance at Risk Management Committee Meetings

Member	No. of Meetings attended
S. Puri (Chairman)	3
H. Bhargava	3
S. Dutta	3
H. Malik	3
B. Sumant	3
S. Sivakumar	3

CORPORATE MANAGEMENT COMMITTEE

The primary role of the CMC is strategic management of the Company's businesses within Board approved direction / framework and realisation of Company goals. The CMC, inter alia, formulates the Company's Business Plans and organisational policies, systems & processes, reviews business performance against approved plans, and allocates resources.

Composition

The CMC presently comprises the Chairman of the Company, the Executive Directors and three members of Senior Management. The Chairman of the Company is the Chairman of the Committee. The composition of the CMC is determined by the Board on the recommendation of the Nomination & Compensation Committee. The Company Secretary is the Secretary to the CMC.

The names of the members of the CMC, including its Chairman, are provided under the section 'Board of Directors and Committees' in the Report and Accounts.

Meetings

The CMC normally meets once a month. Matters requiring the Board's attention / approval, as emanating from the CMC Meetings, are placed before the Board in the form of notes from / through the relevant Executive Director, backed by comprehensive background information. Minutes of CMC Meetings are also placed before the Board.

SUBSIDIARY COMPANIES

All subsidiaries of the Company are managed by their respective Board of Directors in the best interest of those companies and their shareholders. The annual financial statements of subsidiary companies, including their investments, are reviewed by the Audit Committee of the Company. Performance review reports of subsidiary companies are placed before the Board of Directors of the Company on a half-yearly basis.

The Minutes of Board Meetings of subsidiary companies, including details of significant transactions & arrangements entered into by them, are also placed before the Board of Directors of the Company.

The Company does not have any material subsidiary. The Company's Policy for determination of a material subsidiary may be accessed on its corporate website at **https://www.itcportal.com/material-subsidiary-policy** .

FAMILIARISATION PROGRAMME FOR DIRECTORS

ITC believes that a Board, which is well informed / familiarised with the Company and its affairs, can contribute significantly to effectively discharge its role of trusteeship in a manner that fulfils stakeholders' aspirations and societal expectations. In pursuit of this, the Directors of the Company are updated on material changes / developments in the domestic / global corporate and industry scenario including those pertaining to statutes / legislations & economic environment, and on matters significantly affecting the Company to enable them to take well informed and timely decisions. The Directors are also kept abreast on all business related matters including risk assessment & minimisation procedures, CSR & sustainability interventions, digital initiatives, succession plans including management development processes, and new initiatives proposed by the Company. Induction programme, as appropriate, is organised by the Company for the Non-Executive Directors joining the Board. Visits to Company facilities are also organised for the Directors from time to time. During the year, the Directors of the Company attended a 'Strategy Session', spread over two days, where the global & Indian macro-economic environment, the 'ITC Next' strategy of building a future-ready portfolio and the Company's digital initiatives, amongst others, were discussed / reviewed.

Further details may be accessed on the Company's corporate website at **https://www.itcportal.com/directors-familiarisation-programme** .

MEANS OF COMMUNICATION

Timely disclosure of consistent, comparable, relevant and reliable information on corporate financial performance is at the core of good governance. Towards this end, the Company leverages the following channels of communication:

Website

The Company's corporate website **www.itcportal.com** provides comprehensive information on ITC's portfolio of businesses, profile of senior leadership (including Directors), CSR & sustainability initiatives, shareholding pattern, key Company Policies and contact details of employees responsible for assisting investors & handling investor grievances. An exclusive section on 'Investor Relations' serves to inform and service Shareholders, enabling them to access information at their convenience.

Annual Report

The Report and Accounts, including the Standalone and Consolidated Financial Statements, the Report of the Board of Directors and the Auditors' Reports, is sent to the Shareholders of the Company, and is also available on the Company's corporate website.

The Report of the Board of Directors, forming part of the Report and Accounts, includes all aspects of Management Discussion and Analysis as required under the Listing Regulations.

Financial Results

The quarterly, half-yearly and annual financial results, along with the Media Statement and presentation on the Company's financial performance, are sent to the Shareholders. These documents along with FAQs on results are also available on the Company's website.

Extracts of these results are published in 'The Times of India' / 'Business Standard' & 'Aajkaal' from Kolkata, and on an all India basis in major newspapers and also in 'Luxemburger Wort', Luxembourg.

Communications with the investing community

Detailed presentations to the investing community on the quarterly financial results are sent to the Stock Exchanges and also made available on the Company's corporate website. In addition, investor presentations on other major events, such as acquisitions by the Company, are also made available in public domain, through the websites of the Company and the Stock Exchanges.

Other disclosures / filings

A copy of the Chairman's Speech delivered at the AGM is sent to the Shareholders and is also made available on the Company's corporate website. In addition, shareholding pattern, material events and other important information relating to the Company are submitted to the Stock Exchanges and made available on the Company's website.

Media Releases

The 'Media Centre' section of the Company's corporate website includes all major media releases from the Company and relevant media reports.

ITC CODE OF CONDUCT

The ITC Code of Conduct is applicable to the Directors, Senior Management and employees of the Company. The Code is derived from three interlinked fundamental principles viz., good corporate governance, good corporate citizenship and exemplary personal conduct in relation to the Company's business and reputation. The Code covers ITC's commitment to CSR and sustainable development, concern for occupational health, safety and environment, a gender friendly workplace, transparency and auditability, legal compliance, avoidance of conflict of interest, and the philosophy of leading by personal example. The Code is available on the Company's corporate website at **https://www.itcportal.com/code-of-conduct** .

Declaration as required under the Listing Regulations

All Directors and Senior Management of the Company have affirmed compliance with the ITC Code of Conduct for the financial year ended 31st March, 2026.

S. Puri
Chairman &
Managing Director

Kolkata, 21st May, 2026.

WHISTLEBLOWER POLICY

Synopsis of the Whistleblower Policy of the Company is provided in the 'Report of the Board of Directors & Management Discussion and Analysis', forming part of the Report and Accounts. The Policy may be accessed on the Company's corporate website at **https://www.itcportal.com/whistleblower-policy** .

POLICY ON RELATED PARTY TRANSACTIONS

The Policy may be accessed on the Company's corporate website at **https://www.itcportal.com/rpt-policy** .

ITC CODE OF CONDUCT FOR PREVENTION OF INSIDER TRADING

During the financial year, the Board approved the revised ITC Code of Conduct for Prevention of Insider Trading. The said Code, inter alia, prohibits trading in the securities of the Company by the Directors and employees while in possession of unpublished price sensitive information in relation to the Company or its securities.

OTHER DISCLOSURES / CONFIRMATIONS

- During the last three years, there was neither any instance of non-compliance by the Company nor any penalty / stricture imposed on the Company by Stock Exchanges / SEBI / Statutory Authorities with respect to any matter related to the capital markets.
- There are no inter-se relationships between the Directors and Key Managerial Personnel of the Company.
- During the year, the Company has not entered into any materially significant related party transaction which may have potential conflict with the interest of the Company at large.
- The names of Senior Management of the Company under the Listing Regulations (i.e., CMC Members, Chief Financial Officer and Company Secretary) are provided under the section 'Board of Directors and Committees' in the Report and Accounts. There were no changes in the Senior Management during the year.
- The Senior Management of the Company did not enter into any material financial and commercial transaction during the year, in which they had personal interest that may have had potential conflict with the interest of the Company at large.
- During the year, the Company was not required to obtain credit rating for any debt instrument, fixed deposit programme or any other scheme involving mobilisation of funds.
- The Company has not raised any funds through preferential allotment or qualified institutional placement.
- None of the Directors of the Company has been debarred or disqualified from being appointed or continuing as a Director by SEBI / Ministry of Corporate Affairs / Statutory Authorities; Certificate from the Company's Secretarial Auditors confirming the same is annexed to this Report.
- During the year, the Company or its subsidiaries did not provide any loans or advances (in the nature of loans) to firms / companies in which Directors of the Company are interested.
- Details with respect to Secretarial Auditors of the Company and confirmation by the Board regarding independence of the Independent Directors are provided in the 'Report of the Board of Directors & Management Discussion and Analysis', forming part of the Report and Accounts.
- Disclosures in relation to the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 are provided in the 'Business Responsibility and Sustainability Report', forming part of the Report and Accounts.
- Information with respect to 'Commodity Price Risk or Foreign Exchange Risk and Hedging Activities' is provided in the 'Report of the Board of Directors & Management Discussion and Analysis' and in the 'Notes to the Financial Statements', forming part of the Report and Accounts.

  In view of the diversified business portfolio of the Company, its exposure in none of the individual commodities which are sourced either for use as inputs in its businesses or for agri-commodity trading is material in the context of its overall operations, and also in terms of its 'Policy for determination of materiality of events and information for disclosure to the Stock Exchanges'. Accordingly, the disclosure requirements prescribed under the SEBI Master Circular dated 30th January, 2026 are not applicable for the Company.

- The total fees paid during the year by the Company and its subsidiaries to Messrs. S R B C & CO LLP, Statutory Auditors, and all entities in the network firm / network entities which are part of the network of which the Statutory Auditors are a member firm, aggregate ₹ 6.87 Crores.
- Mr. R. K. Singhi, Executive Vice President & Company Secretary, is the Compliance Officer under the Listing Regulations.

DISCRETIONARY REQUIREMENTS UNDER THE LISTING REGULATIONS

The status of compliance with the discretionary requirements under the Listing Regulations is provided below:

1. **Separate posts of Chairman and Managing Director:** The Chairman of the Company is an Executive Chairman. The Company has a diversified business portfolio which demands that senior leadership has in-depth knowledge and understanding of the functioning of the Company, so as to enhance the value-generating capacity of the organisation and contribute significantly to stakeholders' aspirations and societal expectations. The Chief Executive is therefore generally chosen from amongst the executive management of the Company.
2. **Non-Executive Chairman's Office:** Not applicable.
3. **Shareholder Rights:** The quarterly, half-yearly and annual financial results are sent to the Shareholders and also posted on the Company's corporate website; extracts of these results are published in newspapers on an all India basis. Significant events are also posted on the Company's website under the 'Media Centre' section.
4. **Audit Opinion:** It has always been the Company's endeavour to present Financial Statements with unmodified audit opinion, i.e. without any qualification. The Statutory Auditors have issued an unmodified audit opinion on the Company's Financial Statements for the year ended 31st March, 2026.
5. **Internal Audit:** The Head of Internal Audit reports to the Audit Committee of the Board.
6. **Meeting of Independent Directors:** One meeting of the Independent Directors Committee of the Board was held during the year, details of which are disclosed under the heading 'Committees of the Board – V. Independent Directors Committee'.

GENERAL SHAREHOLDER INFORMATION

Provided in the 'Shareholder Information' section of the Report and Accounts.

CONFIRMATION OF COMPLIANCE

The Company has complied with the requirements prescribed under Regulations 17 to 27 and clauses (b) to (i) of sub-regulation (2) of Regulation 46 of the Listing Regulations. The Statutory Auditors' Certificate that the Company has complied with the conditions of Corporate Governance is annexed to the 'Report of the Board of Directors & Management Discussion and Analysis', forming part of the Report and Accounts.

Notes:

1. *Reference to Division / Divisional Business includes Strategic Business Unit (SBU), Business Vertical and Shared Services.*
2. *Reference to Divisional Management Committee includes SBU Management Committee, Shared Services Management Committee and Executive Committee for Business Vertical.*
3. *Reference to Divisional Chief Executive includes Heads of SBU, Business Vertical and Shared Services.*

[The ITC Code of Conduct is derived from three interlinked fundamental principles – good corporate governance, good corporate citizenship and exemplary personal conduct.]

ANNEXURE TO THE REPORT ON CORPORATE GOVERNANCE

SKILLS, EXPERTISE AND COMPETENCIES OF DIRECTORS

ITC believes that it is the collective effectiveness of the Board that impacts Company performance and therefore members of the Board amongst themselves should have a balance of skills, experience and diversity of perspectives appropriate to the Company.

Given the Company's size, scale and diversified nature of its businesses, the Directors should possess one or more of the following skills, expertise and competencies:

Organisational Purpose

Ability to comprehend the socio-economic, political, regulatory and competitive environment, both domestic and global, in which the Company is operating and insight to identify opportunities and threats for the Company's businesses.

Ability to contribute towards creating an inspiring Vision for the Company with superordinate societal goals and appreciate the Company's triple bottom line philosophy of building synergy between serving the society and creating economic value for the Company.

Strategic Insight

Ability to evaluate competitive corporate and business strategies and, based thereon, contribute towards progressive refinement of the Company's strategies for fulfilment of its goals.

Ability to comprehend strategy of organisation of a diversified company like ITC, in the context of its unique sources of competitive advantage and assess its strengths and weaknesses.

Organisational Capacity Building

Acumen to evaluate organisational capacity and readiness across relevant parameters and provide guidance on bridging gaps in capacity building.

Ability to understand the talent market and the Company's talent quotient so as to help finetune strategies to attract, retain and nurture competitively superior talent.

Ability to appreciate and critique the need for in-depth specialisation across business critical areas such as manufacturing, marketing, legal, information technology, public advocacy etc., as well as the breadth of general management capabilities.

Stakeholder Value Creation

Ability to understand processes for shareholder value creation and its contributory elements and critique interventions towards value creation for the other stakeholders.

Commercial Acumen

Commercial acumen to critique the Company's financial performance and evaluate the Company's strategies and action plans in the context of their financial outcomes.

Risk Management and Compliance

Ability to appreciate key risks impacting the Company's businesses and contribute towards development of systems and controls for risk mitigation & compliance management and review and refine the same periodically.

Policy Evaluation

Ability to comprehend the Company's governance philosophy and contribute towards its refinement periodically.

Ability to evaluate policies, systems and processes in the context of the Company's businesses, and review the same periodically.

Culture Building

Ability to contribute to the Board's role towards promoting an ethical organisational culture, eliminating conflict of interest, and setting & upholding the highest standards of ethics, integrity and organisational conduct.

Board Cohesion

Ability to comprehend the statutory roles and responsibilities of a Director and of the Board as a whole.

Ability to encourage and sustain a cohesive working environment and to listen to multiple views and thought processes and synergise a range of ideas for organisational benefit.

ANNEXURE TO THE REPORT ON CORPORATE GOVERNANCE

CERTIFICATE OF NON-DISQUALIFICATION OF DIRECTORS

[Pursuant to Regulation 34(3) and Schedule V - Para C - Clause (10)(i) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015]

To,
The Members of
ITC Limited
CIN: L16005WB1910PLC001985
Virginia House, 37 J. L. Nehru Road
Kolkata 700 071

We have examined the following documents:

(a) Declaration of non-disqualification as required under Section 164 of the Companies Act, 2013 ('the Act');

(b) Disclosure of concern or interest as required under Section 184 of the Act;

(hereinafter referred to as 'relevant documents')

as submitted by the Directors of **ITC Limited** ('the Company') bearing **CIN: L16005WB1910PLC001985** and having its registered office at Virginia House, 37 Jawaharlal Nehru Road, Kolkata 700 071, to the Board of Directors of the Company ('the Board') for the financial year ended 31st March, 2026 and the financial year ending 31st March, 2027 and the relevant registers, records, forms and returns maintained by the Company and made available to us for the purpose of issuing this Certificate in accordance with Regulation 34(3) read with Schedule V - Para C - Clause 10(i) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. We have considered non-disqualification to include non-debarment by Regulatory / Statutory Authorities.

It is the responsibility of the Directors to submit relevant documents with complete and accurate information in accordance with the provisions of the Act.

Ensuring the eligibility for the appointment / continuity of every Director on the Board is the responsibility of the Management of the Company. Our responsibility is to express an opinion on these, based on our verification.

Based on our examination as aforesaid and such other verifications carried out by us as deemed necessary and adequate (including status of Director Identification Number (DIN) on the portal www.mca.gov.in), in our opinion and to the best of our information and knowledge and according to the explanations provided by the Company, its officers and authorised representatives, we hereby certify that none of the Directors on the Board of the Company, as listed hereunder for the financial year ended 31st March, 2026, have been debarred or disqualified from being appointed or continuing as Directors of the Company by Securities and Exchange Board of India / Ministry of Corporate Affairs or any such statutory authority.

Sr. No.	Name of the Director	DIN	Date of Appointment
1.	Mr. Sanjiv Puri	00280529	06/12/2015
2.	Mr. Sumant Bhargavan	01732482	16/11/2018
3.	Mr. Supratim Dutta	01804345	22/07/2022
4.	Mr. Hemant Malik	06435812	12/08/2023
5.	Mr. Hemant Bhargava	01922717	20/12/2021
6.	Ms. Alka Marezban Bharucha	00114067	12/08/2023
7.	Mr. Amitabh Kant	00222708	01/01/2026
8.	Mr. Chandra Kishore Mishra	02553126	14/09/2024
9.	Mr. Siddhartha Mohanty	08058830	01/01/2025
10.	Mr. Shyamal Mukherjee	03024803	11/08/2021
11.	Mr. Anand Nayak	00973758	13/07/2019
12.	Dr. Alok Pande	10631871	27/07/2024
13.	Mr. Sunil Panray	09251023	11/08/2021
14.	Ms. Nirupama Rao	06954879	08/04/2016
15.	Mr. Ajit Kumar Seth	08504093	13/07/2019
16.	Mr. Atul Singh	00060943	02/04/2024
17.	Ms. Pushpa Subrahmanyam	01894076	02/04/2024

This Certificate is neither an assurance as to the future viability of the Company nor of the efficiency or effectiveness with which the Management has conducted the affairs of the Company.

This Certificate has been issued at the request of the Company to make disclosure in its Corporate Governance Report for the financial year ended 31st March, 2026.

For S. N. ANANTHASUBRAMANIAN & Co.
Company Secretaries
ICSI Unique Code: P1991MH040400
Peer Review Cert. No.: 5218/2023

S. N. Ananthasubramanian
Founding Partner
FCS: 4206 I COP No.: 1774
ICSI UDIN: F004206H000270978

4th May, 2026
Thane

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Enduring Value

Shareholder Information

Details of Annual General Meeting ('AGM')

Date	Thursday, 23rd July, 2026
Venue	The AGM will be held on electronic platform
Time	10.30 a.m. (IST)
Record Date for Final Dividend	Wednesday, 27th May, 2026
Dividend Payment Date	Between Friday, 24th July, 2026 and Wednesday, 29th July, 2026

Share registration and related services

The in-house Investor Service Centre of the Company ('ISC') provides share registration and related services to the Shareholders and Investors. ISC, which is registered with the Securities and Exchange Board of India ('SEBI'), is accredited with ISO 9001:2015 certification.

Mr. T. K. Ghosal, Head of ISC, is the Compliance Officer under the SEBI (Registrars to an Issue and Share Transfer Agents) Regulations, 2025.

Shareholder / Investor complaints

The Company attends to Shareholder / Investor complaints within three working days, except where constrained by disputes or legal impediments.

During the financial year, one complaint, which qualified as such in terms of the Complaint Identification Policy of the Company, was received and promptly resolved; the said complaint related to delay in receipt of physical copy of the Report and Accounts 2025. There was no investor complaint pending at the beginning or at the end of the year.

National Stock Exchange of India Limited and BSE Limited have confirmed that there were no investor complaints pending against the Company at the end of each quarter as also on 31st March, 2026; the same position was also reflected on SCORES, the web-based complaints redressal system of SEBI.

The designated e-mail ID of the Company for investor complaints is **isc@itc.in** .

Share Transfer System

No share transfers in the certificate form were required to be effected by the Company during the financial year.

Shareholders holding shares in the certificate form are advised to dematerialise their shares, since transfer of shares can be effected only in dematerialised form, except when SEBI opens special window for such share transfers.

Dematerialisation of Shares

The shares of the Company are traded in the dematerialised form under both the Depository Systems in India - NSDL and CDSL. The International Securities Identification Number ('ISIN') allotted to the Company's shares under the Depository System is INE154A01025.

During the financial year, 82,76,473 shares of the Company, covered in 936 requests and constituting 0.07% of the Issued and Subscribed Share Capital of the Company, were dematerialised. With this, 99.72% of the total Share Capital of the Company is held by Shareholders in dematerialised form. The processing activities with respect to requests received for dematerialisation were completed within one to five working days.

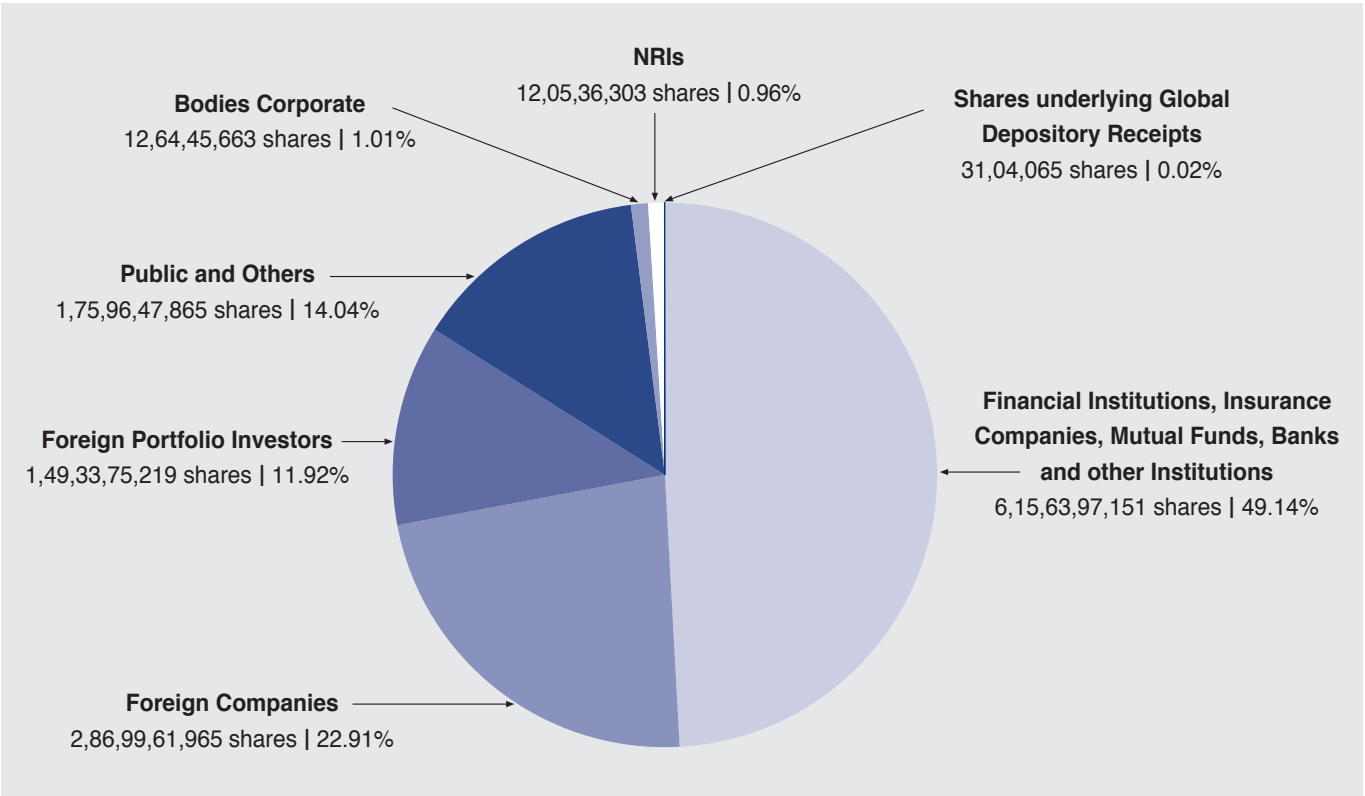
Liquidity of Shares

The Company's shares are amongst the most liquid and actively traded shares on the Indian Stock Exchanges, and consistently rank among the top frequently traded shares. As on 31st March, 2026, the Company's market capitalisation was ₹ 3,60,473 Crores (US$ 38.01 Billion).

Distribution of Shareholding as on 31st March, 2026

No. of Shares Slab	No. of Shareholders	%	No. of Shares	%
1 – 5000	41,91,172	98.75	70,02,94,244	5.59
5001 – 10000	24,194	0.57	17,60,51,520	1.41
10001 – 20000	13,854	0.33	19,46,48,737	1.55
20001 – 30000	5,559	0.13	13,76,24,252	1.10
30001 – 40000	2,351	0.05	8,14,55,792	0.65
40001 – 50000	1,614	0.04	7,28,73,497	0.58
50001 – 100000	2,867	0.07	20,11,03,886	1.60
100001 and above	2,646	0.06	1096,54,16,303	87.52
Total	**42,44,257**	**100.00**	**1252,94,68,231**	**100.00**

Categories of Shareholders as on 31st March, 2026



Global Depository Receipts ('GDRs')

31,04,065 GDRs representing 31,04,065 underlying shares i.e., 0.02% of the Issued and Subscribed Share Capital of the Company, were outstanding as on 31st March, 2026.

The Company's GDRs are listed on the Luxembourg Stock Exchange (Code: 004660919), 35A Boulevard Joseph II, L-1840, Luxembourg, and the Listing Fee for the calendar year 2026 has been paid to the said Exchange.

Shareholder Information

Listing of Shares on Stock Exchanges with Stock Code

Stock Exchange	Address	Stock Code
National Stock Exchange of India Limited ('NSE')	Exchange Plaza, Plot No. C-1, Block G Bandra Kurla Complex, Bandra (E) Mumbai 400 051	ITC
BSE Limited ('BSE')	Phiroze Jeejeebhoy Towers, Dalal Street Mumbai 400 001	500875

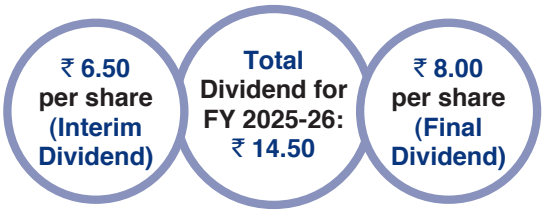
The Listing Fees for the financial year 2026-27 have been paid to NSE and BSE.

The Ordinary Shares of the Company were voluntarily delisted from The Calcutta Stock Exchange Limited with effect from 20th November, 2025.

High and Low Price of Shares traded on NSE and BSE

The Company's share price touched a high of ₹ 444.20 on NSE on 27th May, 2025 and a low of ₹ 287.00 on both NSE and BSE on 30th March, 2026.

Dividend



As one of India's foremost private sector companies, the Company has performed consistently for over a century and has rewarded Shareholders since inception with uninterrupted dividends. Details of dividend for the last 10 financial years are provided below:

Financial Year	Dividend per Share (including Interim Dividend) (₹)	Total Dividend (₹ in Crores)
2025-26	14.50 *	18,167.65
2024-25	14.35	17,956.81
2023-24	13.75	17,163.10
2022-23	15.50 @	19,255.08
2021-22	11.50	14,171.55
2020-21	10.75	13,230.31
2019-20	10.15	12,476.63
2018-19	5.75	7,048.73
2017-18	5.15	6,285.22
2016-17	4.75	5,770.01

* *Includes Final Dividend of ₹ 8.00 per Share, which is subject to the approval of the Shareholders.*

@ *Includes Special Dividend of ₹ 2.75 per Share.*

Financial Calendar

Financial Year 2026-27 (1st April - 31st March)		
1	First Quarter Results	July / August 2026
2	Second Quarter and Half-Year Results	October / November 2026
3	Third Quarter Results	January / February 2027
4	Fourth Quarter and Annual Results	May 2027

Particulars of past three AGMs

AGM	Financial Year	Venue	Date	Time	Special Resolution passed
114th	2024-25	The AGM was held on electronic platform	25/07/2025	10.30 a.m. (IST)	• Re-appointment of Mr. S. Mukherjee as an Independent Director with effect from 11th August, 2026.
113th	2023-24		26/07/2024		None
112th	2022-23		11/08/2023		• Appointment of Ms. A. M. Bharucha as an Independent Director with effect from 12th August, 2023. • Re-appointment of Mr. A. Nayak and Mr. A. K. Seth as Independent Directors with effect from 13th July, 2024.

Postal Ballot through E-voting

➤ During the financial year 2025-26, the following Resolutions were passed by the Shareholders by way of postal ballot through e-voting with overwhelming majority. The Board of Directors of the Company appointed Mr. R. L. Auddy, Senior Solicitor and Partner, Messrs. Sandersons & Morgans, Advocates & Solicitors, as the Scrutinizer for scrutinizing the postal ballot through e-voting. Brief details pertaining to the said postal ballot are provided below:

	Appointment of Mr. A. Kant as an Independent Director (Resolution No. 1 - Special Resolution)	Re-appointment of Mr. H. Malik as a Wholetime Director (Resolution No. 2 - Ordinary Resolution)	Appointment of Mr. N. Agarwal as a Non-Executive Director (Resolution No. 3 - Ordinary Resolution)
Date of Postal Ballot Notice	30th October, 2025		29th January, 2026
Date of completion of despatch of Postal Ballot Notice	15th November, 2025		16th February, 2026
Period of e-voting	16th November, 2025 to 15th December, 2025		17th February, 2026 to 18th March, 2026
Date of declaration of voting results	16th December, 2025		19th March, 2026

The detailed voting results for the aforesaid Resolutions are available on the Company's corporate website www.itcportal.com under the section 'Investor Relations'.

➤ In addition to the above, Special Resolutions for granting, offering and issuing Stock Appreciation Rights to the eligible employees of the Company and its subsidiary companies were also passed by the Shareholders through postal ballot on 10th April, 2025, requisite details in respect of which were disclosed in the 'Shareholder Information' section of the Report and Accounts 2025.

➤ No special resolution is proposed to be passed by postal ballot.

Enduring Value

Shareholder Information

Plant Locations

CIGARETTE FACTORIES

Bengaluru
1. Meenakunte Village
Jala Hobli
Bengaluru North Taluk
Karnataka 562 157

Kolkata
2. 93/1, Karl Marx Sarani
Kolkata
West Bengal 700 043

Munger
3. Basdeopur P.O.
District Munger
Bihar 811 202

Pune
4. Plot No. B - 27, MIDC
Ranjangaon, Taluka Shirur
District Pune
Maharashtra 412 220

Saharanpur
5. Sardar Patel Marg
Saharanpur
Uttar Pradesh 247 001

FOODS FACTORIES

Agra
1. 13.2 Km. Stone, Shamshabad Road
Village Naufri
Post Shyamo, Agra
Uttar Pradesh 283 125

Bikaner
2. Plot No. F-16
Bichhawal Industrial Area
Phase II, Bikaner
Rajasthan 334 006

Haridwar
3. Plot No. 1, Sector - 11
Integrated Industrial Estate
Haridwar
Uttarakhand 249 403

Jaitpura
4. Plot Nos. F-170-171 & G-172-173
Jaitpura Industrial Area, Jaipur
Rajasthan 303 704

Jammu
5. Khasra Nos. 74, 78 & 117
Bari Brahmana, Village Rakh Rajpur
Jammu, Samba
Jammu & Kashmir 181 133

Kamrup
6. NH - 37, Bortejpur
Mouza Rampur
Kukurmara, District Kamrup
Assam 781 134

Kapurthala
7. Plot Nos. A-1-A & A-1-B
Integrated Mixed Use Industrial Park
Village Jhalthikriwal
District Kapurthala
Punjab 144 601

Khordha
8. IDCO Plot No. 4
Kholadwara Industrial Area
District Khordha
Odisha 752 050

Malur
9. Survey Nos. 15/1 & 15/2
Madivala Gram Panchayat
Village Yeshwanthpura
District Kolar
Karnataka 563 130

Medak
10. 395-412, 416, 417, 447, 449-451
Next to TSTransco Sub-station
Manoharabad, Medak
Telangana 502 336

Medchal
11. Survey No. 69/Part
Gundlapochampally, Medchal
District Medchal-Malkajgiri
Telangana 500 401

12. Survey No. 659
Deverayamjal, Shamirpet
District Medchal-Malkajgiri
Telangana 500 078

13. Survey No. 659/A/10
Deverayamjal, Shamirpet
District Medchal-Malkajgiri
Telangana 500 078

Munger
14. Sitakund Industrial Area
Village Nandlalpur, District Munger
Bihar 811 202

Nanjangud
15. Survey No. 77/3
Thandya Industrial Area
Immavu & Adakanahalli Villages
Nanjangud Taluk, District Mysuru
Karnataka 571 302

Panchla
16. Mouza Kulai, J. L. No. 26
P.S. Panchla, District Howrah
West Bengal 711 322

Pudukkottai
17. Vadugapatti & Velur Villages
Taluk Illupur, District Pudukkottai
Tamil Nadu 621 316

Pune
18. Plot No. D - 1, MIDC
Ranjangaon, Taluka Shirur
District Pune
Maharashtra 412 220

Reengus
19. F-122 & F-126
Shree Khatu Shyam Industrial Area
Reengus, District Sikar
Rajasthan 332 404

Sankrail
20. F-21, Sudharas Food Park
Kandua Gram Panchayat
P.S. Sankrail, Howrah
West Bengal 711 302

Uluberia
21. Mouza Amraberia, J. L. No. 8
P.S. Uluberia, District Howrah
West Bengal 711 303

GREEN LEAF THRESHING PLANTS

Anaparthi
1. Anaparthi
District East Godavari
Andhra Pradesh 533 342

Chirala
2. Chirala
District Bapatla
Andhra Pradesh 523 157

Nanjangud
3. Thandya Industrial Area
Immavu & Adakanahalli Villages
Nanjangud Taluk, District Mysuru
Karnataka 571 302

PACKAGING & PRINTING FACTORIES

Chennai
1. Tiruvottiyur
Chennai
Tamil Nadu 600 019

Haridwar
2. Plot No. 1, Sector - 11
Integrated Industrial Estate
Haridwar
Uttarakhand 249 403

Munger
3. Basdeopur P.O.
District Munger
Bihar 811 202

Nadiad
4. Memdabad - Nadiad Road
Village Silod, Taluka Nadiad
District Kheda
Gujarat 387 320

PAPER & PAPERBOARD MILLS

Bollaram
1. Anrich Industrial Estate
Bollaram Municipality
Jinnaram Mandal
District Sangareddy
Telangana 502 325

Sarapaka
2. Sarapaka Village
Burgampahad Mandal
District Bhadradri Kothagudem
Telangana 507 128

Thekkampatty
3. Thekkampatty Village
Vivekanandapuram Post
Mettupalayam Taluk
District Coimbatore
Tamil Nadu 641 113

Tribeni
4. Village & Post Chandrahati
District Hooghly
West Bengal 712 504

PERSONAL CARE PRODUCTS FACTORIES

Haridwar
1. Plot No. 1, Sector - 11
Integrated Industrial Estate, Haridwar
Uttarakhand 249 403

Kamrup
2. NH - 37, Bortejpur
Mouza Rampur
Kukurmara, District Kamrup
Assam 781 134

Manpura
3. Village Manpura
Tehsil Baddi, District Solan
Himachal Pradesh 174 101

Uluberia
4. Village Maheshpur
J.L. No. 56, P.O. Birshibpur
P.S. Uluberia, District Howrah
West Bengal 711 316

SPICES PROCESSING PLANT

Guntur
Plot Nos. 1, 2 & 2A, Spices Park
Mydavolu Village, Edlapadu Mandal
District Guntur
Andhra Pradesh 522 233

PLANTS UNDER CONSTRUCTION

Bhiwadi
1. Integrated Consumer Goods
Manufacturing Facility
Village Matawas, Bhiwadi
Taluk Tijara
Rajasthan 301 019

Sandila
2. Integrated Consumer Goods
Manufacturing Facility
Plot No. H-1, Industrial Area, Phase II
Village Samodha, Sandila, District Hardoi
Uttar Pradesh 241 204

CHOUPAL SAAGARS – RURAL SERVICES CENTRES

Amravati
1. Patwari Halka No. 48
Mouza Devlgaon
Pargane Nandgaon Peth
Taluka & District Amravati
Maharashtra 444 602

Badaun
2. Arazi Nos. 10 & 12/3 (Part)
Village Khunak, Tehsil & District Badaun
Uttar Pradesh 243 601

Bahraich
3. Khasra Nos. 475-476, 477 (Part), 496-kha (Part), 497, 498 (Part), 500-Mi, 501-505, 507 & 509
Village Mohammad Nagar
Tehsil, Pargana & District Bahraich
Uttar Pradesh 271 801

Chandauli
4. Khasra Nos. 57-62 & 641
Village Muhabatpur, Ganj Khwaja
Pargana Dhoos, Tehsil Sakaldiha
District Chandauli
Uttar Pradesh 232 104

Chindwara
5. Survey Nos. 16/1-16/2 & 16/4-16/7
Settlement No. 7
Patwari Halka No. 34, R. I. Circle
Village Imaliya Bohata, Chindwara - I
Tehsil & District Chindwara
Madhya Pradesh 480 001

Dewas
6. Survey Nos. 294/2 & 295
Patwari Halka No. 26
Village Lohar Pipliya
Tehsil & District Dewas
Madhya Pradesh 455 001

Dhar
7. Survey No. 438, Patwari Halka No. 13
Village Jaitpura, Tehsil & District Dhar
Madhya Pradesh 454 001

Gonda
8. Arazi Nos. 420 (Part), 421-424, 427- 428, 431, 433-434, 442-446, 447 (Part), 448 (Part), 450-456, 456 (kha) & 457 (Part)
Village Haripur, Tehsil & District Gonda
Uttar Pradesh 271 001

Hardoi
9. Arazi Nos. 658 & 659
Village Korriyan, Pargana Gopamau
Tehsil & District Hardoi
Uttar Pradesh 241 001

Hathras
10. Khasra No. 21, Village Srinagar
Tehsil Sasni, District Hathras
Uttar Pradesh 204 216

Itarsi
11. Survey Nos. 309/1, 310/2 & 310/3
Patwari Halka No. 11
Village Raisalpur
Tehsil Itarsi, District Hoshangabad
Madhya Pradesh 461 111

Jagdishpur
12. Khasra Nos. 2377-2380
Village Kathura, Pargana Jagdishpur
Tehsil Musafirkhana, District Amethi
Uttar Pradesh 227 817

Mandsaur
13. Survey Nos. 30-33
Patwari Halka No. 14, Village Azizkhedi
Tehsil & District Mandsaur
Madhya Pradesh 458 001

Mhow
14. Survey Nos. 188/2, 189/1, 189/2, 189/4, 190/1,191 & 192/2
Patwari Halka No. 20
Village Gawli Palasia, Vikaskhand Mhow
Tehsil Mhow, District Indore
Madhya Pradesh 453 441

Nagda
15. Khasra Nos. 1393 (Part), 1394 (Part), 1396/1 & 1397/1
Patwari Halka No. 18
Village Padliya Kala
Tehsil Nagda, District Ujjain
Madhya Pradesh 456 335

Parbhani
16. Gate No. 803
Near Water Filter Plant, Village Assola
Vasmat Road, Taluka & District Parbhani
Maharashtra 431 401

Pilibhit
17. Khasra No. 261
Village Sandiya Mustakil
Tehsil, Pargana & District Pilibhit
Uttar Pradesh 262 001

Ratlam
18. Survey Nos. 107/1-107/3
R. I. Circle No. 5, Moondri
Patwari Halka No. 31
Village Kharakhedi
Tehsil & District Ratlam
Madhya Pradesh 457 001

Sehore
19. Khasra Nos. 208-209
Patwari Halka No. 36
Village Rafiqganj, Tehsil & District Sehore
Madhya Pradesh 466 001

Ujjain
20. Survey Nos. 433/3, 456 & 458
R. I. Circle No. 2, Patwari Halka No. 19
Village Kamed, Tehsil Ghattia, District Ujjain
Madhya Pradesh 456 001

Vidisha
21. New Revenue Survey Nos. 18 & 18/2
Patwari Halka Nos. 35 & 45
Village Bais, Tehsil & District Vidisha
Madhya Pradesh 464 001

Wardha
22. Survey Nos. 151/1 & 151/4
Wardha - Hinghaghat Road, Inzapur
Taluka & District Wardha
Maharashtra 442 001

Washim
23. Survey No. 104
Patwari Halka No. 10
Mouza Zakalwadi
Taluka & District Washim
Maharashtra 444 505

Yavatmal
24. Bhumapan # 15/2A
Village Parwa, Pandharkoda Road
Taluka & District Yavatmal
Maharashtra 445 001

Enduring Value

Shareholder Referencer

Service of Documents

In accordance with the regulatory requirements, the Notice of the 115th AGM of the Company and the Report and Accounts 2026 will be sent through electronic mode to those Shareholders who have registered their e-mail address with the Company or the Depositories; a communication providing web-links for accessing these documents will be sent to the other Shareholders. Physical copies of the Notice and the Report and Accounts will be provided to the Shareholders upon request.

Shareholders who have not yet registered their e-mail address with the Company are requested to register the same at **https://eform.itcportal.com** .

Dividend

The Final Dividend for the financial year ended 31st March, 2026 will be paid through electronic mode, in accordance with the regulatory requirements. Shareholders who have not yet registered their bank details for such electronic remittance of dividend are advised to do so at the earliest with their Depository Participants ('DPs'), if the shares are held in the dematerialised form, or with ISC in respect of shares held in the certificate form. Shareholders holding shares in the certificate form may use the prescribed Form No. ISR-1 for this purpose, which is available on the Company's corporate website at **https://www.itcportal.com/form** or can be furnished by ISC on request.

Pursuant to the Income-tax Act, 2025, dividend income is taxable in the hands of the Shareholders and the Company is required to deduct tax at source from such dividend at the prescribed rates. A communication with detailed information and instructions regarding tax on the Final Dividend for the financial year ended 31st March, 2026 will be sent to the Shareholders in due course.

Transfer of unclaimed dividend and shares to the Investor Education and Protection Fund

During the financial year 2025-26, unclaimed dividend for the financial year 2017-18 and shares in respect of which dividend entitlements remained unclaimed for seven consecutive years were transferred by the Company to the Investor Education and Protection Fund established by the Central Government ('IEPF'), in accordance with the regulatory requirements, as detailed below:

Unclaimed Dividend transferred to IEPF			Shares transferred to IEPF	
Financial Year	Dividend transferred (₹ in Crores)	Date of transfer	No. of Shares transferred	Date of transfer
2017-18	20.91	02/09/2025	17,42,794	18/09/2025

Shareholders may claim their unclaimed dividend for the years prior to and including the financial year 2017-18 and the shares from the IEPF Authority by following the process given below:

The due dates for transfer of unclaimed dividend and the shares to the IEPF for the subsequent financial years are given in the table below. Attention is drawn that the unclaimed dividend for the financial year 2018-19 and the shares in respect of which dividend entitlements remain unclaimed for seven consecutive years will be due for transfer to the IEPF on 12th August, 2026. Separate communication for this purpose has been sent to the concerned Shareholders advising them to write to ISC to claim their dividend, and notices in this regard have also been published in the newspapers. Details of such unclaimed dividend and shares are available on the Company's corporate website at **http://info-dividend-shares.itcportal.com/popup_new.aspx** and **http://info-dividend-shares.itcportal.com/popupiepf.aspx** , respectively.

Transfer of unclaimed dividend and shares to the Investor Education and Protection Fund (Contd.)

Financial Year	Dividend	Date of declaration of Dividend	Total Dividend (₹ in Crores)	Unclaimed Dividend as on 31/03/2026		Due date for transfer of Dividend and Shares to IEPF
				(₹ in Crores)	%	
2018-19	Final Dividend	12/07/2019	7,048.73	17.96	0.25	12/08/2026 *
2019-20	Final Dividend	04/09/2020	12,476.63	27.70	0.22	05/10/2027
2020-21	Interim Dividend	11/02/2021	6,152.68	14.56	0.24	15/03/2028
	Final Dividend	11/08/2021	7,077.63	16.62	0.23	13/09/2028
2021-22	Interim Dividend	03/02/2022	6,469.48	14.77	0.23	07/03/2029
	Final Dividend	20/07/2022	7,702.07	17.29	0.22	22/08/2029
2022-23	Interim Dividend	03/02/2023	7,448.41	16.69	0.22	08/03/2030
	Final Dividend	11/08/2023	11,806.67	27.78	0.24	11/09/2030
2023-24	Interim Dividend	29/01/2024	7,799.49	17.29	0.22	05/03/2031
	Final Dividend	26/07/2024	9,363.61	30.59	0.33	26/08/2031
2024-25	Interim Dividend	06/02/2025	8,133.18	18.32	0.23	10/03/2032
	Final Dividend	25/07/2025	9,823.63	22.09	0.22	25/08/2032
2025-26	Interim Dividend	29/01/2026	8,144.08	21.43	0.26	02/03/2033

** ISC will be able to entertain any claim in respect of the same only up to 11/08/2026.*

Unclaimed Shares

The status of unclaimed shares of the Company transferred to the demat account, 'ITC Limited - Unclaimed Suspense Account', in accordance with the regulatory requirements, is as follows:

Particulars	No. of Shareholders	No. of Shares
Aggregate number of Shareholders and outstanding shares held in the Unclaimed Suspense Account as on 1st April, 2025	789	14,78,090
Number of Shareholders who approached the Company during the year for transfer of shares from the Unclaimed Suspense Account	26	40,058
Number of Shareholders to whom shares were transferred from the Unclaimed Suspense Account upon receipt and verification of necessary documents	34	46,551
Number of shares in respect of which dividend entitlements remained unclaimed for seven consecutive years and transferred from the Unclaimed Suspense Account to IEPF	122	1,87,895
Aggregate number of Shareholders and outstanding shares held in the Unclaimed Suspense Account as on 31st March, 2026	633	12,43,644 *

** Voting rights in respect of these shares will remain frozen till the time such shares are transferred from the Unclaimed Suspense Account to the concerned Shareholders.*

Address for Correspondence with ISC

Investor Service Centre
ITC Limited
37 Jawaharlal Nehru Road
Kolkata 700 071

Telephone nos. : 1800-345-8152 (toll free), 033-2288 6426 / 0034
Facsimile no. : 033-2288 2358
e-mail : isc@itc.in
Website : www.itcportal.com
Shareholder Service Portal : https://eform.itcportal.com

Shareholders holding shares in the dematerialised form should address their correspondence to the DPs, other than for dividend and Report and Accounts which should be addressed to ISC.

Shareholders are requested to provide their DP ID & Client ID / folio number, e-mail address and contact number to facilitate prompt and efficient investor servicing.

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Enduring Value

Report of the Board of Directors

&

Management Discussion and Analysis

For the Financial Year ended 31st March, 2026

SOCIO-ECONOMIC ENVIRONMENT

Global growth improved marginally from 3.3% in 2024 to 3.4% in 2025, albeit remaining appx. 30 bps below the pre-pandemic average of 3.7% p.a. (2010–19)[1]. Growth in 2025 was supported, inter alia, by sustained AI-led investment in technology, accommodative fiscal and monetary policies and relatively favourable financial conditions, largely offset by headwinds from high trade barriers and heightened global uncertainty. Growth inched up from 1.8% in 2024 to 1.9% in 2025 in Advanced Economies, driven by improvement in Euro Area and Japan, even as growth in the United States moderated from 2.8% in 2024 to 2.1% in 2025. Emerging Markets & Developing Economies grew at subdued rate of 4.4% in 2025 (vs 4.5% in 2024), with stronger growth in India and the Middle East largely offsetting slower growth in Brazil and Russia.

In 2026, global growth is expected to moderate to 3.1%, largely reflecting the impact of the ongoing West Asia conflict, with the effects likely to be more pronounced for commodity-importing Emerging Market & Developing Economies – particularly in low-income developing countries with pre-existing economic vulnerabilities and limited buffers[1]. Growth in Advanced Economies is projected to moderate to 1.8% in 2026, as slower growth in the Euro Area, Japan and the UK is expected to more than offset relatively stronger growth in the United States. Growth in Emerging Markets & Developing Economies is expected to decelerate by 50 bps to 3.9% in 2026. The duration and intensity of the West Asia conflict will remain a key monitorable for global growth, while renewed inflationary pressures from energy prices and volatility in financial markets could further cloud the global macroeconomic outlook.

[1] IMF WEO April'26

India continued to be one of the fastest growing major economies in FY 2025-26, with Real GDP growth of 7.6% (vs 7.1% in FY 2024-25) as per RBI estimates. Domestic economic activity remained resilient, particularly in the second half of the year, supported by private consumption, improving rural and urban demand conditions, income tax rate cuts, GST rate rationalisation and monetary easing. Headline inflation eased in the first half of the year, driven by benign food inflation supported by higher domestic production and favourable monsoons. However, inflation firmed up in the second half, reaching 3.4% in March 2026, reflecting an uptick in food prices and higher global energy prices following disruptions in West Asia. From a supply side perspective, Manufacturing sector growth strengthened to 11.5% from 9.3% in FY 2024-25, while the Services sector remained robust at 8.7% against 7.8% in FY 2024-25. Growth in Agriculture, however, moderated to 2.4% from 4.2% in FY 2024-25, reflecting the impact of benign food inflation in agricultural commodities and weather disruptions.

India's macroeconomic outlook remains relatively resilient, with Real GDP projected to grow by 6.9% in FY 2026-27 as per RBI estimates, supported by favourable agricultural prospects, steady services activity, Government's continued thrust on capital expenditure and supportive monetary and financial conditions. Bilateral trade deals negotiated recently with the US, UK, the EU, New Zealand and Oman, augur well for India's overall growth outlook. Rural consumption is expected to be supported by resilient rural wages and declining unemployment. Urban consumption is also expected to strengthen, supported by measures aimed at boosting disposable incomes and consumption, alongside a recovery in consumer credit. Healthy corporate and bank balance sheets, low interest rates and capacity utilisation of appx. 75% provide a supportive foundation for a revival

India's macroeconomic outlook remains relatively resilient, supported by favourable agricultural prospects, steady services activity, Government's continued thrust on capital expenditure and supportive monetary and financial conditions.

in private sector capital expenditure. The ongoing West Asia conflict has heightened concerns around India's energy security and imported inflation. A prolonged disruption, coupled with emerging El Niño conditions that could weaken monsoons and intensify heatwaves, poses risks to growth, inflation and the Current Account. These factors may also have second-order impacts on consumer sentiment and demand conditions and remain key monitorables in the near term.

Notwithstanding the near term challenges, the Indian economy is well-poised for rapid growth in the medium term, supported by structural drivers such as a favourable demographic profile, rising affluence, rapid urbanisation, accelerated digital adoption and improved infrastructure & connectivity. The Government of India's sustained focus on Next-Gen physical and digital public infrastructure, enhancing the competitiveness of the manufacturing ecosystem, advancing taxation and financial sector reforms, and improving ease of doing business is expected to support sustainable growth and strengthen India's global competitiveness. Higher capital expenditure outlays, together with a focus on integrated industrial ecosystems and infrastructure, are expected to support growth in domestic manufacturing. At the same time, agriculture-related schemes and digital initiatives are expected to strengthen rural prosperity and resilience, thereby fostering a broader virtuous cycle of consumption-investment-employment.

Policy interventions aimed at supporting sustainable livelihoods, rationalising taxation and fostering inclusive growth will remain critical to sustain and accelerate India's growth trajectory. In this context, the development of agriculture and wood-based value chains assumes particular importance in the Indian context, given their potential to advance multiple national priorities. Structural support directed towards these sectors will enable significant multiplier effects for job creation and strengthening domestic value chains.

India is among the world's leading producers of several agricultural products, including milk, rice, wheat, sugarcane, cotton, pulses, spices and fruits & vegetables. India's agricultural exports have shown strong momentum in recent years, reaching US$ 52.6 billion in FY 2025-26, supported by a balanced mix of traditional strengths and emerging high-value segments, alongside continued diversification across product categories. However, India's share of global agri-trade remains modest at around 3%, underscoring the substantial headroom to strengthen its global competitiveness. Enhancing agricultural productivity and value addition to international standards, while simultaneously improving market linkages, remain critical to enhance competitiveness of the agri sector and drive significant increase in farmers' income.

The increasing frequency and severity of extreme weather events, including droughts and floods, underscore the imperative to strengthen climate resilience and adaptability across the agri-food sector. A significant increase in crop production and productivity, backed by digital tools, climate smart agriculture and crop diversification, will be critical in meeting the growing needs of an increasing population and ensuring economic resilience for farmers. Evolving consumer preferences are increasingly favouring health, functional nutrition, and traceable, sustainably sourced food products. These developments accentuate the need to enhance the competitiveness of agri value chains to cater to the fast-evolving market requirements. India, with its inherent strengths and strategic investments in this sector, has a unique opportunity to play a leading role in this global transition and to help shape a stronger ecosystem for sustainable, regenerative and climate-smart agriculture.

In this regard, the Government's sustained thrust on strengthening and scaling Farmer Producer Organisations (FPOs) holds immense potential to catalyse agricultural transformation by leveraging economies of scale, enabling sustainable agriculture, supporting market-led production and creating larger market access. Government interventions encouraging private and public investment in post-harvest activities including aggregation, modern storage, efficient supply chain, primary and secondary

The Government of India's sustained focus on Next-Gen physical and digital public infrastructure, enhancing the competitiveness of the manufacturing ecosystem, advancing taxation and financial sector reforms, improving ease of doing business, is expected to support sustainable growth and strengthen India's global competitiveness.

processing, marketing and branding, along with measures to harness the power of agri-tech across the agri value chain are steps in the right direction and towards unlocking the full potential of the agri sector.

Your Company has adopted targeted collaborative models to multiply the scale and impact of its agri and rural interventions. This collaborative approach, as opposed to a traditional transactional approach, can contribute meaningfully towards building next generation agriculture that is climate resilient and capable of supporting gainful livelihoods. Digitalisation of agriculture also offers the potential to increase productivity and foster structural changes across the value chain thereby enabling efficient use of resources. ITCMAARS (Metamarket for Advanced Agriculture and Rural Services), that combines the power of cutting-edge digital technologies with NextGen agri practices, has scaled up rapidly and currently covers over 2.6 million farmers and over 2,184 FPOs, across 11 states and over 25,000 villages. Further details on this transformative initiative are provided in the Agri Business section of this Report.

It is pertinent to note that a substantial quantum of food is wasted along the chain in India, depending on the season and the inherent perishability of the crop. Higher levels of food processing in the economy can create a much larger pull for quality agri-commodities, thereby reducing farm wastages and raising farm incomes. This would require focused investments in developing product-specific climate-controlled infrastructure as well as in branded products that benefit large agri value chains. Corporate participation is essential not only to invest in requisite infrastructure, but also to provide assured market linkages to farmers. A strong focus on India's food processing sector can play a pivotal role in catalysing a large multiplier effect, leading to significant job creation, enhanced rural incomes and sustainable management of food inflation. Similarly, the Agro-forestry sector, as a source of raw material for wood-based industry, is woefully constrained by policies that not only impede job creation in India but also promote avoidable imports. Recent central policy interventions to enable plantations on degraded forest land is a commendable step towards addressing these challenges. However, appropriate regulatory changes are required to be effected by the state governments to realise the full potential of agro forestry in the country.

Your Company's interventions across its operating segments are aligned to the national priorities of enhancing competitiveness of Indian agriculture and industry, generating large-scale employment opportunities and supporting sustainable livelihoods, driving import substitution, creating national brands to maximise value capture in India, increasing Indian agri exports and promoting sustainable business practices. Investments made by your Company continue to be guided by the national objectives of 'Make in India' and 'Doubling Farmers' Income' and the overarching theme of 'Aatma Nirbhar Bharat' that seeks to make the country stronger, resilient and more competitive.

Your Company had earlier collaborated with CGIAR's 'Climate Change and Food Security Programme' to create a template for Climate Smart Villages (CSVs), under the Climate Smart Agriculture (CSA) programme. The template has since been further strengthened by your Company basis the field experiences and now covers 7,055 villages across 12 States covering over 25.50 lakh acres, supporting farmers in the management of risks arising from erratic weather events.

Including the acreage in CSVs, the CSA programme now covers over 31.93 lakh acres in 17 states. Further, as per the studies done by reputed ICAR - Agricultural Technology Application Research Institute, Kanpur, the CSA practices promoted in Rice (Direct Seeded Rice) and Wheat (Zero Tillage) crops together have demonstrated reduction of costs by over 20%, improvement in yields by around 10% and consequently, increase in net returns by over 23% as compared to conventional practices.

Your Company continues to advance sustainable and inclusive development through strategic Public-Private Partnerships with Government institutions, leveraging your Company's execution capabilities and innovation alongside the Government's scale, outreach,

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and institutional strengths. Several of these partnerships are focused on agriculture and allied sectors, including water stewardship and biodiversity, having a direct bearing on agricultural sustainability. One such successful partnership was with Niti Aayog, which focused on enhancing agriculture and allied activities across 27 Aspirational Districts in eight states. Your Company is now extending its collaborative framework to other impactful initiatives. Further, your Company has recently undertaken the expansion of the CSV programme to 10,000 villages in Madhya Pradesh, in partnership with the Rajiv Gandhi Watershed Management Mission and the Farmer Welfare and Agriculture Development Department, Madhya Pradesh.

Although India accounts for appx. 18% of the world population, its share of natural resources is disproportionately low with only 2% of global land mass, 4% of freshwater resources and 2% of forest resources. It is more critical than ever before to redouble efforts, both at the national and corporate level, to fashion strategies that foster sustainable, equitable and inclusive growth.

It is your Company's belief that businesses can bring about transformational change by pursuing innovative business models that synergise the creation of sustainable livelihoods and the preservation of natural capital while enhancing shareholder value. This 'Triple Bottom Line' approach to creating larger 'stakeholder value', as opposed to merely focusing on uni-dimensional 'shareholder value' creation, is the driving force that defines your Company's sustainability vision and its growth path into the future.

Your Company is a global exemplar in 'Triple Bottom Line' performance. The focus on creating unique business models that generate substantial livelihoods across the value chains has led to your Company's Businesses supporting nearly nine million sustainable livelihoods, many of whom belong to the weaker sections of society.

Your Company sustained its 'AA' rating by MSCI ESG for the eighth successive year. Further, your Company continued to feature in the Dow Jones Best-in-Class (DJ BIC) Emerging Markets Index - a reflection of being a sustainability leader in the industry and a recognition of its continued commitment to people and planet. Further details on this subject are available in the Sustainability 2.0 section of this Report.

FINANCIAL PERFORMANCE

Your Company delivered a resilient performance during the year amidst a challenging macroeconomic and operating environment.

– The **FMCG-Others** Segment delivered strong performance with double-digit Revenue growth, notwithstanding heightened competitive intensity. After a relatively subdued first half, revenue in the second half of the year witnessed double-digit growth. Overall, all major categories viz. Staples, Biscuits, Noodles, Dairy, Premium Personal Wash, Homecare and Incense Sticks witnessed broad-based growth. Robust growth momentum continued in NewGen channels (viz. e-Commerce, Quick Commerce & Modern Trade) and premium portfolio. Input prices of major commodities (viz. edible oil, wheat, maida, cocoa, soap noodles, etc.) remained at elevated levels, following sharp escalations in the previous year, the impact of which was progressively mitigated through smart net revenue management, portfolio premiumisation and focused cost management initiatives. Trade and marketing investments were sustained at competitive levels to support growth and market standing.

– The **FMCG-Cigarettes** Segment witnessed sustained growth momentum driven by strong performance across differentiated and premium offerings. Strategic portfolio and market interventions continued to be made, with focus on competitive belts & to counter illicit trade and reinforce market standing.

– The **Agri Business** Segment delivered a resilient performance despite a challenging operating environment marked by global trade disruptions, geopolitical uncertainty and restrictions on agri-commodity trading. The Business continued

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to sharpen its strategic focus on scaling up the value-added agri products portfolio across multiple value chains. The Leaf Tobacco business further consolidated its position as the largest Indian exporter of unmanufactured tobacco.

– The **Paperboards, Paper & Packaging** Segment continued to operate in a challenging environment, with low-priced Chinese and Indonesian supplies in global markets including India, soft domestic demand conditions, leading to subdued realisations. Wood costs remained elevated during the year, weighing on margins. There was significant improvement in performance in the second half of the year aided by moderation in wood prices and increase in realisations pursuant to the imposition of Minimum Import Price (MIP) on imports of Virgin Paperboards, and firming up of global pulp prices. The Packaging and Printing Business delivered resilient performance and continues to be acknowledged as a 'first choice packaging partner' by several reputed FMCG companies for providing superior and cost-effective packaging solutions.

Overall for FY 2025-26[2], Gross Revenue at ₹ 80867.49 crores increased by 10.1%, while EBITDA increased by 4.9% to ₹ 25208.22 crores. Profit Before Exceptional Items and Tax at ₹ 26951.47 crores grew by 3.7% over previous year and Profit After Tax stood at ₹ 20286.42 crores (previous year ₹ 20093.29 crores). Total Comprehensive Income for the year stood at ₹ 19476.46 crores. Earnings Per Share for the year stood at ₹ 16.20 (previous year ₹ 16.07).

The Directors of your Company are pleased to recommend a Final Dividend of ₹ 8.00 per share for the financial year ended 31st March, 2026. Together with the Interim Dividend of ₹ 6.50 per share paid on 27th February 2026, the total Dividend for the financial year ended 31st March, 2026 amounts to ₹ 14.50 per share (previous year Dividend of ₹ 14.35 per share). Total cash outflow on account of Dividend (including Interim Dividend of ₹ 8144.00 crores paid in February 2026) will be ₹ 18167.57 crores.

[2] *Includes the effect of amalgamation of Sresta Natural Bioproducts Private Limited and Wimco Limited*

VALUE-ADDED AND CONTRIBUTION TO EXCHEQUER

Over the last five years, the Value-Added by your Company, i.e., the value created by the economic activities of your Company and its employees, aggregated over ₹ 343000 crores, of which over ₹ 230000 crores accrued to the Exchequer.

Including the share of dividends paid and retained earnings attributable to government owned institutions, your Company's contribution to the Central and state governments represented appx. 76% of its Value-Added during the year.

Your Company has, over the years, consistently ranked amongst the Top 3 Indian corporates in the private sector in terms of Contribution to the Exchequer.

FOREIGN EXCHANGE EARNINGS

Your Company continues to view foreign exchange earnings as a priority. All Businesses in your Company's portfolio are mandated to engage with overseas markets with a view to testing and demonstrating international competitiveness and seeking profitable opportunities for growth. Foreign exchange earnings of the ITC Group over the last ten years aggregated nearly US$ 10.1 billion, of which agri exports constituted appx. 60%. Earnings from agri exports, which effectively link small farmers with international markets, are an indicator of your Company's contribution to the rural economy.

During FY 2025-26, your Company and its subsidiaries earned ₹ 11204 crores in foreign exchange. The direct foreign exchange earned by your Company amounted to ₹ 8286 crores, mainly on account of exports of agri-commodities. Your Company's expenditure in foreign currency amounted to ₹ 3441 crores, comprising purchase of raw materials, spares and other expenses of ₹ 3078 crores and import of capital goods of ₹ 363 crores.

Foreign exchange earnings of the ITC Group over the last 10 years aggregated nearly US$ 10.1 billion, of which agri exports constituted appx. 60%, which effectively link small farmers with international markets and is an indicator of your Company's contribution to the rural economy.

PROFITS, DIVIDENDS AND RETAINED EARNINGS

(₹ in crores)

PROFITS	2025 - 26	2024 - 25
a) Profit before exceptional items and tax from continuing operations	26951.47	26002.30
b) Exceptional Items (refer note 29 (i) to the Standalone Financial Statements)	(183.87)	527.96
c) Profit before tax from continuing operations	26767.60	26530.26
d) Tax expense		
– Current Tax	5882.16	5990.17
– Deferred Tax	659.02	446.80
e) Profit for the year from continuing operations	20286.42	20093.29
f) Profit for the year from discontinued operations	–	15103.76
g) Profit for the year (e + f)	20286.42	35197.05
h) Other Comprehensive Income	(809.96)	(929.38)
i) Total Comprehensive Income	19476.46	34267.67
STATEMENT OF RETAINED EARNINGS		
a) At the beginning of the year	47729.22	34480.09
b) Add: Profit for the year	20286.42	35197.05
c) Add: Other Comprehensive Income (net of tax)	(25.70)	(23.66)
d) Add: Transfer from Share Options Outstanding Account on lapse	3.05	1.00
e) Less: Dividends		
– Final Dividend of ₹ 7.85 (2025: ₹ 7.50) per share	9823.58	9363.54
– Interim Dividend of ₹ 6.50 (2025: ₹ 6.50) per share	8144.00	8133.11
– Income Tax on Dividend paid (refund)	–	(19.45)
f) Less: Transfer to General Reserve	–	4448.06
g) Add: Transfer from Subsidy Reserve	0.14	
h) At the end of the year	**50025.55**	**47729.22**

FMCG CIGARETTES

Your Company's leadership position in the cigarette industry continues to be driven by its unwavering focus on nurturing a future-ready portfolio of world-class products anchored on its integrated seed-to-smoke value chain, superior consumer insights, robust innovation pipeline and world-class product development capabilities.

During the year, the Business continued to make strategic portfolio and market interventions, with focus on competitive belts, to counter illicit trade and reinforce market standing.

– The Business strengthened its presence in focus markets with the launch of several differentiated offerings across segments, demonstrating agility in responding to evolving market dynamics.

– Several innovative variants have been introduced recently under the 'Classic', 'Gold Flake', 'American Club' and 'Players' trademarks, amongst others, to expand and deepen consumer franchise. These initiatives were supported by the introduction of limited-edition variants and targeted interventions to enhance the reach of premium offerings across markets.

– Design and packaging upgrades were undertaken to strengthen the positioning of 'Classic' and 'Gold Flake' trademarks.

During the year, the Business delivered a resilient performance on the back of sustained volume-led growth momentum. Differentiated and premium offerings continued to perform well leveraging mainstream trademarks and innovation. Consumption of high-cost leaf tobacco inventory weighed on margin, which was partially mitigated through a combination of product mix enrichment and strategic cost management interventions.

A punitive and discriminatory taxation / regulatory regime over the years has led to significant operating challenges for the legal cigarette industry in the country. It may be recalled that relative stability in taxation over the past few years,

Legal cigarettes constitute only 10% of overall tobacco consumption in India, as against a global average of 90%. Duty-paid cigarettes contribute more than 4/5th of the revenue generated from the tobacco sector.

coupled with deterrent enforcement actions, checked the growth of illicit trade and enabled the legal cigarette industry to recover volumes lost to illicit trade during the years of high incidence of taxation. This also resulted in the concomitant increase in demand for Indian tobaccos, bolstering revenue to the Exchequer from the tobacco sector.

However, increase in GST rate from 28% of transaction value to 40% of retail sale price along with a steep hike in excise duties w.e.f. 1st February 2026 upon phasing out of Compensation Cess, have resulted in an **unprecedented increase in tax incidence on cigarettes**.

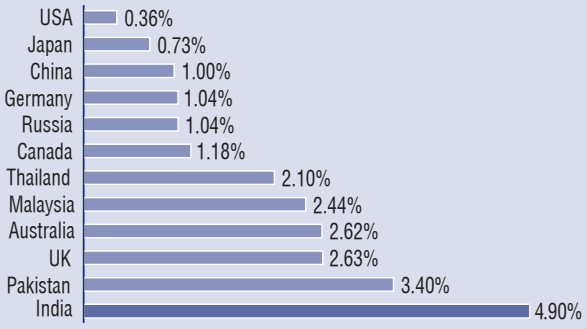
It is pertinent to note the following points in this context:

– Globally, cigarettes constitute the dominant form of tobacco use. However, in India, tobacco use comprises a diverse range of chewing and smoking formats that are available at multiple price points consequent to punitive and discriminatory taxation on cigarettes. While India is the world's second largest consumer of tobacco, **legal cigarettes constitute only 10% of overall tobacco consumption in India, as against a global average of 90%.** It is pertinent to note that India accounts for less than 2% of global cigarette consumption despite having 18% of the world's population - making **India's per capita cigarette consumption amongst the lowest in the world.**

– Over the years, high and discriminatory taxes on cigarettes, while aimed at reducing consumption, have had unintended consequences of fuelling the growth of smuggled and domestically manufactured tax-evaded cigarettes, causing a shift to other lightly taxed / tax-evaded forms of tobacco products, comprising illicit cigarettes, bidi, chewing tobacco, gutkha, zarda, snuff, etc. Consequently, while the share of legal cigarettes in total tobacco consumption has declined from 21% in 1981-82 to a mere 10%, aggregate tobacco consumption in the country has increased over the same period. Despite accounting for **1/10th of the tobacco consumed in the country, duty-paid cigarettes contribute more than 4/5th of the revenue generated from the tobacco sector**.

– As depicted in the chart, **taxes on cigarettes in India remain one of the highest in the world and are multiple times higher than in developed countries** viz. 14x of USA, 7x of Japan, 5x of Germany and so on. Further, the same is also substantially higher than that in neighbouring countries. The recent increase in taxes would further widen this gap.

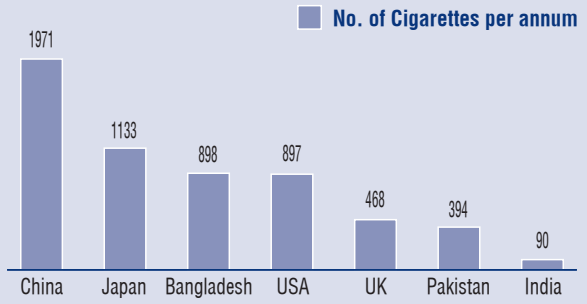
Tax per 2000 Cigarettes as a percentage of Per Capita GDP



Source: Tax data – WHO's Global Health Observatory, 2025 (Cigarette tax data for 2024); Per Capita GDP – World Bank (Data for the year 2024)

– **India's per capita cigarette consumption is amongst the lowest in the world** and is significantly lower compared to that of China, Japan, USA, UK and even neighbouring countries such as Bangladesh and Pakistan. On the other hand, it has 70% of the world's smokeless tobacco users.

Per Capita Consumption of Cigarettes



Source: The Tobacco Atlas – 7th Edition, 2022

India's per capita cigarette consumption is amongst the lowest in the world. Taxes on cigarettes in India remain one of the highest in the world and multiple times higher than in developed countries.

- Punitive taxes on the legal cigarette industry in earlier years have resulted in rapid growth of illicit cigarette trade, making **India the 4th largest illicit cigarette market globally** according to Euromonitor estimates. Over the years, this has created **attractive tax-arbitrage opportunities for unscrupulous players** indulging in **illicit cigarette trade, accounting for about 1/3rd of the legal industry**.
- The recent unprecedented increase in tax incidence would enhance the tax arbitrage providing **further impetus to illicit trade and adversely impact millions of farmers, MSMEs, retailers and local value chains**, while sub-optimising the revenue potential of the sector.
- As per the Report on the Causes & Control of Illegal Tobacco by Alvarez & Marsal based on study conducted across 71 countries over 17 years (2005 - 2022), illicit trade tends to get embedded in the ecosystem, posing serious challenges to public health and law enforcement.

  'Illicit markets: A Threat to Our National Interests', a study published by FICCI-TARI in September 2022, noted that "*The consumption of illegal cigarettes in India has increased, signalling a shift from legal products to cheaper substitutes or illicit products, which have no or little tax element in them. When taxes are raised beyond a certain optimum level, consumers gravitate towards cheaper alternatives or illicit supplies, which are normally smuggled or tax evaded goods*".
- It is estimated that illicit trade causes an **annual revenue loss of appx. ₹ 23000 crores to the Exchequer**. With respect to other tobacco products as well, the revenue losses are significant since about 68%[3] of the total tobacco consumed in the country remains outside the tax net. During the year, there were extensive media reports on the multitude of cases of evasion of taxes / duties by dealers in illicit cigarettes which were unearthed by raids conducted by the Directorate of Revenue Intelligence (DRI) and other enforcement agencies. While enforcement measures have been strengthened, global experience suggests that sustainable containment of illicit trade also requires addressing demand-side factors such as tax incidence and affordability pressures.
- The DRI, in its report "Smuggling in India 2024-25" acknowledges the high incidence of taxes in India providing opportunities for illicit trade of cigarettes. The report states: "The Illicit Cigarette Trade thrives due to high taxes and import duties. It is driven by organised syndicates and black markets, causing revenue loss and undermining public health goals. Smuggled cigarettes often originate from Southeast Asia, entering India via the Myanmar border, Middle Eastern Free Trade Zones, maritime containers and passenger baggage". Global agencies, including bodies under the United Nations Security Council and several national enforcement authorities, have highlighted that **illicit tobacco trade has emerged as a significant security concern**, with proceeds increasingly linked to the financing of organised crime and terrorism. In addition, the World Bank has highlighted that illegal tobacco products are disproportionately consumed by low-income populations and are often distributed through unregulated channels[4]. Accordingly, **a balanced approach addressing both taxation-driven affordability and enforcement measures is critical to contain illicit trade and bolster revenue generation to the Exchequer**.

  Coordinated efforts involving all key stakeholders including policymakers, regulators, fiscal authorities, law enforcement agencies and legal industry, are critical to contain the growth of illicit trade.
- **Tobacco control measures in India have ranked amongst the most stringent in the world** from the

[3] *Report on the impact of current tax framework on the tobacco sector in India and suggestions for its improvement - 2014, by ASSOCHAM and KPMG*

[4] *Report on the Causes & Control of Illegal Tobacco by Alvarez & Marsal*

Punitive taxes on the legal cigarette industry in earlier years have resulted in rapid growth of illicit cigarette trade, making India the 4th largest illicit cigarette market globally. It is estimated that illicit trade causes an annual revenue loss of appx. ₹ 23000 crores to the Exchequer.

time of enactment of the Cigarettes (Regulation of Production, Supply and Distribution) Act, 1975, to the present. India is also one of the few countries where tobacco products are regulated across the value chain – from their manufacture to sale to consumers. The Cigarettes and Other Tobacco Products (Prohibition of Advertisement and Regulation of Trade and Commerce, Production, Supply and Distribution) Act, 2003 (COTPA) requires cigarette packages to display the statutorily mandated pictorial and textual warnings covering 85% of the surface area of the packet - one of the largest in the world.

It is pertinent to note that smuggled international brands of cigarettes do not bear any of the pictorial or textual warnings mandated by Indian laws or bear much smaller pictorial / textual warnings as per the tobacco laws of the countries from where these cigarettes originate. As reported in prior years, findings from research conducted by IMRB International, an independent market research organisation, indicate that the lack of pictorial warnings on packets of smuggled international brands of cigarettes or their diminutive size creates a perception in the consumers' mind that these illicit cigarettes are 'safer' than domestic duty-paid cigarettes that carry the 85% pictorial warnings. The combination of low prices to consumers due to tax evasion and the misleading perception created by the absence of statutory pictorial warnings provides significant buoyancy to illicit cigarette volumes.

– **India is among the top three tobacco growing countries in the world**. Tobacco plays a significant role in the Indian economy on account of its considerable contribution to the agricultural, industrial and export sectors[5]. Besides, the sector also plays a key role in employment generation and provides livelihood to appx. 46 million people. As such, **Illicit cigarette trade also has a deleterious impact on farmers and farm workers engaged in the tobacco value chain**.

– It may be noted that several major tobacco producing countries, including the USA, have established regulatory frameworks taking into consideration the economic interests of their tobacco farmers. The punitive and discriminatory taxation & regulatory regime on cigarettes in India over the years, has adversely affected the livelihood of Indian tobacco farmers with corresponding gains to those countries that have opted for moderate and equitable tobacco regulations. These developments coupled with lower export incentives in India and relative weakness of currencies in certain competing geographies have, in the past, had a debilitating impact on millions of livelihoods, dependent on the tobacco value chain in India.

  It is pertinent to note that studies by the Central Tobacco Research Institute (CTRI) indicate that on account of agro-climatic conditions, there is no equally remunerative alternate crop that can be grown in the FCV tobacco-growing regions of the country.

– As reported in earlier years, your Company and several other stakeholders had challenged the validity of the pictorial and textual warnings covering 85% of the surface area of the packet prescribed under COTPA. The Honourable Karnataka High Court, by its judgment in December, 2017, held the 85% pictorial warnings to be factually incorrect and unconstitutional. Upon Special Leave Petitions filed by the Government and others, the Honourable Supreme Court has stayed the judgment of the High Court. The cases are pending before the Honourable Supreme Court.

Your Company continues to engage with policymakers for a framework of pragmatic, equitable, non-discriminatory, evidence-based regulations and taxation policies that balances the economic imperatives of the country and tobacco control objectives, cognising for the unique tobacco consumption pattern in India.

[5] *Report on Tobacco Control in India, Ministry of Health & Family Welfare, GoI, 2004 (Jointly supported by Centers for Disease Control and Prevention, USA and the World Health Organisation)*

India is among the top three tobacco growing countries in the world and provides livelihood to appx. 46 million people. Illicit cigarette trade also has a deleterious impact on farmers and farm workers engaged in the tobacco value chain.

Your Company has adopted a strategic approach to mitigate the impact of the unprecedented increase in tax incidence and sustain its market standing. This includes staggered and agile pricing actions to minimise the risk of a significant shift of volumes to illicit trade and consequent loss of revenue to the Exchequer, and re-architecting the product portfolio by leveraging a diverse range of powerful trademarks.

The state-of-the-art manufacturing facilities of the Business continue to set new benchmarks in the areas of quality, sustainability, supply chain responsiveness and productivity, driven through investments in new technology induction, digital technologies, innovation, and by ensuring product & process excellence. Cutting-edge technologies in the areas of Industry 4.0 and data sciences are being leveraged to build a smart manufacturing environment of connected systems. These initiatives, coupled with innovative capabilities, and in-house design and development expertise, have further improved the speed-to-market for the launch of new and differentiated offers of the Business. Continued focus on quality has enabled the Business to deliver superior product performance across segments and geographies. These capabilities, built over the years, have also enabled the Business to proactively respond to the taxation changes through timely capacity realignment.

As a testament to the Business' focus on operational excellence, the Bengaluru, Pune, and Kidderpore units won the 'Apex Prize for Operational Excellence' at the Integrated Manufacturing Excellence Initiative (IMExI) Awards organised by the Kaizen Hansei Institute, a wing of the Kaizen Institute of India.

In line with your Company's commitment to the 'Triple Bottom Line' philosophy, the Business continued to focus its efforts on resource conservation and the adoption of best-in-class technologies and processes. Sustainability initiatives of the Business continued to receive industry recognition with the Munger & Bengaluru units being conferred with the 'Noteworthy Water Efficient Unit' Award by the Confederation of Indian Industry (CII). Bengaluru unit has been commended with special recognition under the 'Best Performing Wind Farm' in Zone III – above 2MW category by the Indian Wind Power Association. As a hallmark of excellence in safety practices, the Pune unit secured the coveted 'Sarvashreshtha Suraksha Puraskar' awarded by National Safety Council of India. Kidderpore unit was recognised with the 'Five Golden Stars' and Safety Shield Award, demonstrating its commitment to safety and further received the 'Platinum' Award in Manufacturing Sector at the ICC National Occupational Health & Safety awards by the Indian Chamber of Commerce. Further, during the year, the Saharanpur Factory was accredited with SA8000 certification. With this accreditation, all factories of the Business are now SA8000 certified, reinforcing your Company's strong commitment to human rights and ethical standards.

The year ahead presents an extremely challenging operating environment in view of the unprecedented increase in taxation that will undoubtedly test the resilience and adaptability of legitimate players in the industry. Notwithstanding such challenges, your Company remains confident of fortifying its market standing in the legal cigarette industry leveraging its robust product portfolio and strong innovation pipeline, world-class quality, integrated seed-to-smoke value chain, cutting-edge manufacturing & digital technologies and best-in-class in-market execution capabilities.

FMCG – OTHERS

Your Company's FMCG – Others Segment delivered a strong performance during the year, with double-digit revenue growth driven by broad-based scale up across categories, notwithstanding heightened competitive intensity. While the year commenced on a subdued note, amidst weak demand conditions and elevated input costs following sharp price escalations in the previous year, the Businesses responded with agility through focused market interventions, portfolio premiumisation, supply chain resilience & efficiency, disciplined cost management and judicious pricing actions. These strategic actions, together with progressive improvement in the macroeconomic environment and consumer sentiment during the year— supported by measures such as income tax rate cuts, lower interest rates, reduction in GST rates and favourable

[FMCG – Others Segment delivered a strong performance during the year, with double-digit revenue growth driven by broad-based scale up across categories, notwithstanding heightened competitive intensity.]

monsoons—helped build momentum through the second half. Trade and marketing investments were sustained at competitive levels to support growth and market standing.

Your Company's FMCG Businesses recorded Segment Revenue of ₹ 24209.75 crores during the year, representing growth of 10.1% over the previous year. Segment Results grew at a faster pace of 14.1% to ₹ 1802.63 crores reflecting, inter alia, benefits of scale expansion, improved portfolio mix, disciplined cost management and enhanced supply chain efficiencies. Segment Revenue and Results grew by 13.6% and 46.4%, respectively, in the second half of the year.

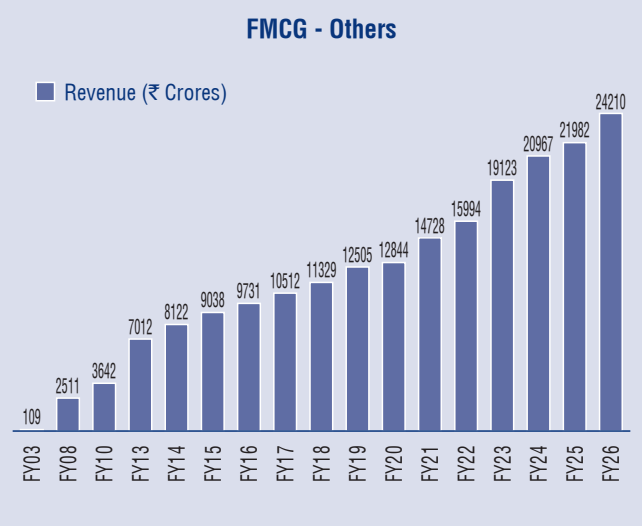
Your Company's strategy to rapidly scale up the FMCG Businesses remains anchored on strengthening the core, extending trusted mother brands into value-added adjacencies, and nurturing new vectors of growth leveraging institutional capabilities viz. agri sourcing, packaging, cuisine expertise, and consumer insights. The key strategic pillars to drive long-term growth and competitiveness comprise future-ready portfolio, purpose-led brands, innovation, agile & resilient supply chain, smart omni-channel distribution and value accretive M&A.

The Businesses continue to leverage digital capabilities to generate sharper consumer insights, deepen consumer engagement and strengthen brand loyalty. Strategic interventions continue to be made towards delivering delightful brand experiences seamlessly using an 'Always On' approach across touchpoints through personalised journeys mapped to individual needs, preferences and context.

Your Company continues to leverage deep consumer insights and cutting-edge R&D capabilities to address present and emerging consumer need spaces. Nearly 100 new products, anchored on the vectors of Health & Nutrition, Hygiene, Protection & Care, Convenience & On-the-Go and Indulgence, were launched across target markets during the year, drawing upon the R&D platforms of your Company's Life Sciences and Technology Centre (LSTC) and agile product development teams across Businesses.

Cutting-edge digital technologies including AI, GenAI, Industry 4.0 and industrial Internet of Things (IoT) continue to be deployed to strengthen your Company's real-time operating and execution platforms, enhance productivity and drive efficiency & cost agility. These initiatives are anchored on key pillars such as synchronised planning and forecasting, agile and resilient supply chains, smart buying and value engineering, smart manufacturing and smart demand capture and fulfilment. Strategic investments have also been stepped up to build integrated insight platforms by harmonising and connecting large, previously fragmented datasets, powered by AI/ML technologies and supported by 'human-centred design' and visualisation tools, thereby enabling sharper and more agile decision-making.

Supported by these strategic capabilities, the FMCG Businesses comprising Branded Packaged Foods, Personal Care Products, Education and Stationery Products, Incense Sticks (Agarbattis) and Safety Matches have grown at an impressive pace over the past several years.



Your Company's vibrant portfolio of over 30 world-class Indian brands, largely built through an organic growth strategy leveraging institutional synergies in a relatively short period of time, represents an annual consumer spend of over ₹ 37000 crores and reach

Nearly 100 new products, anchored on the vectors of Health & Nutrition, Hygiene, Protection & Care, Convenience & On-the-Go and Indulgence, were launched across target markets during the year, drawing upon the R&D platforms of your Company's Life Sciences and Technology Centre (LSTC) and agile product development teams across Businesses.

nearly 280 million households in India. These home-grown, purpose-led Indian brands, powered by agile innovation, support the competitiveness of domestic value chains, especially in the agri space, thereby ensuring creation and retention of value within the country.

Your Company's FMCG brands have achieved impressive market standing[6] in a relatively short span of time in their respective categories viz. 'Aashirvaad' is No. 1 in Branded Atta, 'Bingo!' is No. 1 in the Bridges segment of Snack Foods, 'Sunfeast' is No. 1 in the Cream Biscuits segment, 'Classmate' is No. 1 in Notebooks, 'YiPPee!' is No. 2 in Noodles and 'Mangaldeep' is No. 2 in Incense Sticks.

Your Company remains focused on driving the next phase of growth in its FMCG Businesses, anchored on strong growth platforms and a future-ready portfolio. It is pertinent to note that the chosen categories, which are largely characterised by low household penetration levels and/or low per capita consumption, offer significant headroom for Total Addressable Market expansion and potential long-term growth. In this context, it is noteworthy that a key element of your Company's growth strategy is to foray into value-added adjacencies and categories of the future by leveraging the 30+ powerful mother brands it has established over the years. Recent examples of such brand extensions include Aashirvaad to Dairy, Ready-to-Eat, Vermicelli, Rava, Besan, Indian breads, Salt and Spices; Sunfeast to Dairy Beverages and Cakes; Bingo! to Namkeens; ITC Master Chef to Frozen Snacks and Cooking Pastes; Classmate to Writing Instruments; Fiama to Body Wash and Body Scrubs; Savlon to Sanitisers, Wipes, Fabric Conditioners and Disinfectant Sprays; Nimyle to Dishwash liquids and Mangaldeep to Puja essentials. Simultaneously, the FMCG Businesses continue to make strategic investments in building categories of the future and establishing their 'right to win' by progressively scaling up nascent categories where beachheads have been created.

[6] Source: Nielsen, Kantar Household Panel

In line with the ITC Next Strategy of building a future-ready portfolio, accelerating growth and enhancing competitiveness, your Company has in recent times undertaken several value-accretive acquisitions in the digital-first and organic space, viz. Sresta Natural Bioproducts[7] (24 Mantra Organic), Sproutlife Foods (Yoga Bar), Mother Sparsh Baby Care (Mother Sparsh) and Ample Foods (Prasuma & Meatigo), which delivered robust growth during the year and together are clocking ARR[8] of over ₹ 1350 crores. These interventions are expected to further reinforce your Company's presence and market standing in high-growth and future-facing businesses.

The FMCG Businesses continue to expand their export footprint, leveraging the equity of their world-class brands, with a reach now spanning over 70 countries. Your Company is also exploring strategic opportunities in proximal markets as a potential vector of growth going forward.

The FMCG Businesses continue to create structural competitive advantage and enhance profitability by leveraging world-class distributed manufacturing and logistics infrastructure, a deep multi-channel distribution network, newer routes to market, smart buying & value engineering, and smart manufacturing interventions. With growing scale, supply chain operations are also being increasingly delayered through direct-to-market shipments, thereby reducing freight costs and multiple handling. Your Company is confident that these strategic interventions, which are already delivering substantial benefits, will continue to realise their full potential over the medium term and create long-term value.

The ongoing West Asia conflict has led to a sharp escalation in key inputs and fuel costs, intensifying inflationary pressures in the near term. Your Company continues to take proactive measures to mitigate the impact of such headwinds across all nodes of operations, sustain competitiveness and growth momentum.

[7] Amalgamated with your Company w.e.f. 13th June, 2025

[8] Annual Revenue Runrate

Your Company's vibrant portfolio of over 30 world-class Indian brands, largely built through an organic growth strategy leveraging institutional synergies in a relatively short period of time, represents an annual consumer spend of over ₹ 37000 crores and reach nearly 280 million households.

Your Company remains well-positioned to accelerate the growth of its FMCG Businesses, anchored on a strong future-ready portfolio powered by purpose-led brands, world-class product quality, deep consumer insights, a cutting-edge innovation pipeline, and an agile, resilient and efficient supply chain. Your Company's institutional strengths – including strong backward linkages with the Agri Business, a deep and wide multi-channel distribution network, access to culinary expertise, industry-leading packaging know-how and access to robust R&D platforms nurtured by LSTC – will continue to serve as distinctive sources of competitive advantage and support sustained value creation over the long-term.

Branded Packaged Foods

Your Company sustained its position as one of India's largest and fastest growing branded packaged foods businesses, underpinned by a robust portfolio of trusted brands, a strong innovation engine supporting the categories with several first-to-market offerings and a vast range of differentiated products catering to diverse tastes & preferences of consumers. Your Company's unique combination of institutional strengths, viz. superior consumer insights, agri sourcing, robust distributed manufacturing & omni-channel distribution architecture, capabilities of your Company's LSTC and cuisine expertise resident in ITC Hotels Limited, a group entity, enabled the Business to effectively navigate volatility in the external environment, including geopolitical uncertainty and elevated commodity prices.

The Branded Packaged Foods Businesses remain focused on addressing emerging consumer needs through innovations anchored on the vectors of health, nutrition, wellness, immunity, naturals, indulgence and convenience. While fortifying the core portfolio, the Businesses continue to scale-up presence in value-added adjacencies by leveraging powerful mother brands and investing in categories of the future, to drive premiumisation and expand consumption occasions.

Relentless focus on delivering superior quality products to consumers continues to be a key source of sustainable competitive advantage. The Businesses continue to leverage the deep agri-commodity sourcing expertise resident in your Company's Agri Business to secure high quality raw materials leveraging a wide sourcing network and direct farm linkages including FPOs, thereby ensuring the highest level of quality, consistency and safety in its products. In addition, manufacturing systems and governance frameworks are designed to meet stringent food safety and quality standards ensuring compliance with all applicable regulations.

– In the Staples Business, 'Aashirvaad' sustained its strong growth momentum and enhanced market standing across segments and geographies. The value-added Atta portfolio, consisting of Multigrain, Select and Sugar Release Control Atta, posted robust growth, driven by superior value proposition. The portfolio was further augmented with the launch of 'Aashirvaad High Protein Atta', in line with the growing consumer preference for protein-centric offerings; consumer response has been encouraging. The Aashirvaad Chakki range of 'Premium MP Sehori', 'MP Sehori', 'MP Lokwan' and 'Boga Atta', catering to regional preferences, performed well.

  Value-added adjacencies, viz. 'Gluten Free Flour', 'Ragi Flour', Organic portfolio of 'Organic Atta' and 'Organic Dals', 'Aashirvaad Vermicelli', 'Aashirvaad Rava' (Suji Rava, Bansi Rava, Samba Rava) witnessed robust growth. 'Aashirvaad Besan' was extended to additional markets and continued to scale up during the year. 'Aashirvaad Soya Chunks', with its differentiated 'Juicy and Tasty' proposition, continued to gain consumer traction. 'Ready to Cook Chapati' and 'Frozen Naans / Parathas', which address the growing need for convenience, witnessed accelerated growth and are being expanded to newer markets.

Your Company sustained its position as one of India's largest and fastest growing branded packaged foods businesses. It remains focused on addressing emerging consumer needs through innovations anchored on the vectors of health, nutrition, wellness, immunity, naturals, indulgence and convenience.

Overall, Aashirvaad's value-added variants and adjacencies have grown three-fold over the last five years, with its share in the portfolio doubling over this period.

'Aashirvaad Salt' continued to post strong growth in focus markets during the year. Premium offerings such as 'Aashirvaad Himalayan Pink Salt', scaled up in top metros, while the recently launched 'Aashirvaad Iron Shakti Salt' is witnessing encouraging consumer traction in target markets.

In the Spices category, the Business continued to deliver strong growth, driven by a sharply focused, market-specific strategy aimed at delivering authentic and regionally relevant taste experiences to consumers. The 'Sunrise' brand further strengthened its market leadership in the core market of West Bengal, while making steady progress in Northeast region, Bihar and Jharkhand. The brand strengthened its regional credentials through the introduction of first-to-market, differentiated offerings tailored to local palates, including 'Sunrise Til Chicken' in Assam and 'Sunrise Champaran Mutton Masala' in Bihar, along with products such as 'Sunrise Prawn Curry Masala' and 'Sunrise Chicken Tikka Masala' enhancing relevance among new-age consumers.

'Aashirvaad Spices' continued to consolidate its presence in core markets of Andhra Pradesh and Telangana, supported by a clear focus on quality-led differentiation, hyper-local portfolio, and culture centric marketing. Aashirvaad continued with Natural Star Nani as the brand ambassador, with the campaign 'Dammu Meede, Star Meere' effectively reinforcing the brand's promise of superior potency, purity and consistently tasty food. The brand also scaled its pan-India play in NewGen channels, particularly in whole spices, leveraging ITC's institutional strengths and digital reach.

With a focused approach towards product development, purposeful marketing inputs, consumer activations and region-specific interventions supported by manufacturing excellence and sharply targeted communication across platforms, your Company is confident of further strengthening Aashirvaad's market leadership position and building categories of the future.

In line with the strategy to augment your Company's future-ready portfolio, during the year your Company acquired 100% of the share capital of Sresta Natural Bioproducts Private Limited (SNBPL). SNBPL is engaged in the business of manufacture and sale of organic packaged food products under the '24 Mantra Organic' brand which has strong brand equity in the domestic as well as international markets.

SNBPL, a pioneer and leading player in the organic packaged staples category, has over the years built a strong network of ~27,500 farmers spread across ~1.4 lakh acres of certified organic land in 10 states. The acquisition reinforces your Company's commitment to build a portfolio of future-facing winning brands that address the evolving needs of Indian consumers and will unlock value creation opportunities by leveraging your Company's institutional strengths to drive synergies in areas such as product development & innovation, agri sourcing, manufacturing, supply chain and distribution.

– The Biscuits category delivered a strong performance during the year on the back of powerful brand propositions, differentiated offerings and strong consumer connect. The 'Sunfeast Dark Fantasy' range of differentiated cookies continued to strengthen its leadership position in the premium segment. 'Dark Fantasy' is also now the No. 1 overall biscuits brand in the Modern Trade channel, registering robust growth across its portfolio, including 'Dark Fantasy Chocofills', 'Dark Fantasy Bourbon', 'Dark Fantasy Sandwich Crème' and 'Dark Fantasy Yumfills Pie'. The 'Mom's Magic' range of cookies recorded healthy growth during the year.

Your Company continues to fortify its portfolio through focused acquisitions in high-growth, future facing categories such as organic foods, nutrition and digital-first brands. These acquisitions form a core pillar of your Company's strategy, combining entrepreneurial brand capabilities with ITC's scale and institutional strengths.

The portfolio was further strengthened with the launch of 'Sunfeast Mom's Magic Shines', which has elicited strong consumer response. 'Sunfeast Supermilk' biscuits, harnessing the goodness of 'Naatu Maatu Paal' (biscuits enriched with native Indian cow milk), continued to scale up successfully in the operating market of Tamil Nadu.

The Business also launched a delectable range of super premium cookies with globally sourced ingredients under 'Sunfeast Baked Creations' brand. These short shelf-life products are backed by hyperlocal & customised supply chains and are accessible to consumers on Quick Commerce platforms. These products have received encouraging response from discerning consumers and are being scaled up.

Towards deepening consumer engagement further, the brand launched several purpose-led and clutter-breaking campaigns during the year. 'Mom's Magic' continued its 'Dear Maa' campaign, championing child adoption as a meaningful social change initiative. 'Sunfeast Marie Light' established a differentiated positioning anchored on the functional benefit of Vitamin D. 'Sunfeast Dark Fantasy' further strengthened consumer engagement through the launch of its '1 Million Fantasies' campaign, aimed at deepening brand affinity by bringing to life consumer aspirations, including a distinctive opportunity to celebrate with superstar Shah Rukh Khan.

– 'Bingo!' Snacks delivered resilient performance during the year while strengthening its product portfolio with the launch of exciting variants of snacks and namkeens. Bingo! remains the market leader in the Bridges segment at an All-India level, and in the Potato Wafers segment in South India. Bingo! Mad Angles witnessed strong growth, supported by wider distribution, sustained marketing investments and exciting variants such as 'Bingo! Mad Angles Mystery Pickle'. The Potato Wafers portfolio was revitalised through packaging refresh and the repositioning of Bingo! Ridged Cut. The portfolio was augmented with the introduction of two exciting flavour innovations - 'Himalayan Pink Salt' and 'Butter & Garlic'. The Business further fortified its portfolio with the launch of three exciting variants of Baked Puffs under 'XXX' range - 'Chilli Cheese', 'Hot & Spicy Korean Style' and 'Hot & Sweet'. 'Bingo! Kitchen Style' - a premium range of South Indian snacks was introduced during the year, bringing authentic flavours inspired by regional snacking traditions. These new launches have all received encouraging consumer responses.

– 'YiPPee!' sustained its position as a strong No. 2 player in the Instant Noodles segment, delivering strong growth. The product portfolio was augmented with premium Pan Asian range of noodles comprising of three variants, 'Gochujang', 'Tom Yum' and 'Yaki Udon', offering international flavour experience. The brand strengthened its regional connect with targeted campaigns across key markets including Odisha, Kerala, Tamil Nadu and the Hindi heartland. Digital and new-age media continued to remain a key area of focus, with a significant increase in investments during the year. The brand also adopted a content-first approach across social media platforms, enabling deeper consumer engagement and fostering stronger brand affinity with its target audience.

– The Frozen Foods Business, operating under the brands 'ITC Master Chef' and 'Farmland', delivered strong growth during the year, powered by a range of delicious & innovative offerings designed to meet consumer needs across 'any-time' snacking and meal occasions. The Business introduced a refreshed brand positioning – 'Har Roz Kuch Special', to enhance the everyday relevance of frozen foods by emphasising convenience, variety and suitability for multiple consumption moments. This positioning addresses the growing consumer need for simplified meal planning and variety, particularly among homemakers and young couple households, and was

The acquisition of Sresta Natural Bioproducts Private Limited, a pioneer and leading player in the organic packaged staples category with the '24 Mantra Organic' brand has added a strong network of ~27,500 farmers spread across ~1.4 lakh acres of certified organic land in 10 states.

further reinforced through targeted digital campaigns in key markets.

The introduction of 'Piri Piri French Fries', 'Chicken Malai Seekh Kebab', 'Chicken Cheese Fills' and 'Crispy Cheese Fills' further strengthened the Retail portfolio and reinforced the Business' focus on contemporary and differentiated offerings. The Business expanded its direct distribution footprint to over 200 towns, leveraging a judicious mix of emerging and traditional channels, supported by data-driven digital marketing initiatives to deepen consumer engagement and strengthen franchise. The Frozen portfolio now comprises of over 80 products, spanning Indian and Western snacks, frozen breads, prawns & vegetables, providing consumers with a comprehensive and convenient frozen foods range. Together with the wide range of offerings from Ample Foods Private Limited (an associate company operating under the 'Prasuma' & 'Meatigo' brands), the Frozen foods portfolio straddles multiple cuisines, viz. North Indian, Pan Asian, Oriental etc.

– 'Aashirvaad Svasti' fresh dairy portfolio continued its robust growth momentum during the year, led by the strengthening of its premium milk variant 'Select' and significant growth in value-added products such as Curd, Paneer, Mishti Doi and Lassi, driven by differentiated and superior offerings. The fresh dairy portfolio is currently available across Bihar, West Bengal & Jharkhand markets and continues to enhance market penetration through rapid scale-up of its distribution network.

– The Beverages portfolio was strengthened through the launch of 'No Added Sugar' Juices range and the revitalisation of the coconut water range, in line with growing consumer preference for low sugar and wellness beverages. Dairy Based Beverages continued to record resilient growth on the back of successful scale up of 'Aashirvaad Badam Milk' & Lassi and Dark Fantasy Milkshakes in select geographies. Business launched 'Breakfast Smoothie with Oats', a first-to-market innovation in drinkable breakfast segment, offering a healthy and convenient alternative for breakfast. Further, the smoothies range has been extended with the launch of 'Mango Smoothie with Chunks' and 'Berry Smoothie with Chia seeds', targeted at delivering a premium consumer experience.

– The Confectionery Business continued to nurture its premium portfolio and scale up the business under the 'Fantastik Chocostick', 'Dark Fantasy Choco Rolls', 'Candyman Fruitee Fun' and 'Candyman Tadka Time' sub-brands. The portfolio was augmented with the launch of 'Candyman Fruitee Fun Soft Chews', a soft chewy candy available in four exciting fruit flavours, designed to offer a playful treat for consumers young at heart. The Business also launched 'Ultra Mintz' in the premium confectionery space, crafted for adult consumers. These offerings have received excellent consumer response aided by impactful communication. The Business witnessed strong scale up in NewGen channels viz. Modern Trade and e-Commerce, driven by robust performance in 'Dark Fantasy Choco Rolls' and 'Candyman Sourzzz' homepack portfolio.

– 'Fabelle' chocolates continue to receive excellent response from discerning consumers, setting new benchmarks in the luxury and premium chocolate segments. During the year, your Company opened an exclusive Fabelle store in Forum Mall, Bengaluru, strengthening the brand's premium retail footprint. The 'Sunfeast Fantastik' chocolate range, comprising Choco Almond and Fruit & Nut variants, continued to scale up during the year. The portfolio was further strengthened with the launch of 'Sunfeast Fantastik! Strawberry Cheesecake' and 'Sunfeast Fantastik! Choco Meltz', delivering unique products that offer a premium experience at an affordable price point.

The Frozen Foods portfolio now comprises of over 80 products, spanning Indian and Western snacks, frozen breads, prawns & vegetables, providing consumers with a comprehensive and convenient frozen foods range. Together with the wide range of offerings from Ample Foods Private Limited (an associate company operating under the 'Prasuma' & 'Meatigo' brands), the Frozen foods portfolio straddles multiple cuisines, viz. North Indian, Pan Asian, Oriental etc.

– Exports continue to remain a key focus area for the Branded Packaged Foods Businesses. During the year, exports recorded rapid growth across multiple categories. Supported by a strong portfolio of winning products and a well-established distribution network, Aashirvaad Atta exports further consolidated its leadership position across overseas markets. The Business also continued to actively evaluate and scale export opportunities within its portfolio, including Biscuits, Noodles, Snacks, Frozen Breads and Besan. Leveraging the strong equity of its core Brands – 'Aashirvaad', 'Sunfeast', 'Sunfeast YiPPee!', 'Bingo!' and 'Kitchens of India', your Company is well placed to pursue growth in exports across focus markets and channels.

Your Company continues to fortify its portfolio through focused acquisitions in high-growth, future facing categories such as organic foods, nutrition and digital-first brands. These acquisitions form a core pillar of your Company's strategy, combining entrepreneurial brand capabilities with your Company's scale, institutional strengths and integrated supply chains to drive portfolio premiumisation, accelerate growth, and create sustained long-term value.

Nutrition plays a central role in sustaining health and well-being across life stages. Your Company's scale, reach and integrated capabilities uniquely position it to respond to evolving consumer needs for healthier choices along with superior quality, taste, convenience, affordability and sustainability.

The Business has launched a range of nutrition dense offerings under several brands viz. High Protein Atta under 'Aashirvaad', High Fibre Digestive biscuits under 'Sunfeast', products under the 'Right Shift' brand to address the nutritional needs of consumers aged over 40. The acquisition of '24 Mantra Organic' would also further augment the Business' portfolio of nutrition-led healthy food products. Your Company achieved the first rank in the Access to Nutrition Initiative (ATNI) India Index 2023 among 20 of the largest Indian food & beverage manufacturers. Your Company was recognised for its strong nutrition strategy, improved product healthiness based on Nutrient Profiling System, and efforts to influence consumers toward healthier choices. The Businesses continue to scale up data driven, AI powered campaigns to deliver deeply engaging communication and content, driving effectiveness and efficiency across large and small brands. The Business' marquee campaigns across brands have been widely celebrated across prestigious forums. Aashirvaad Atta's thematic multichannel campaign secured two Silvers in the 'Integrated Advertising Category' and another Silver in the highly coveted 'Sustained Success Category' at the Effies. 'Sunrise Spices' Swasthya Bengal campaign won Silver in Regional Products - Single Market campaign at the same forum. The Bingo! 'Bhaukal Lok Kumbh Mela' campaign won a Gold in the Integrated Marketing Campaign Category at the Exchange for Media. 'Candyman Sourzzz', created a 'Soury not Sorry' campaign, which won Silver in both the Best Use of Social Networks / Social Media and Best Mobile Video categories at the Exchange for Media awards. Sunfeast Dark Fantasy's Big Fantasies campaign won Silver at BW Excel Awards.

During the year, the Business enhanced the integration of marketing and technology through the adoption of agentic AI-based solutions across use cases. With the increasing use of agentic AI and LLM-enabled brand discovery & purchase journeys, the Business has progressed towards a more connected AI approach, which includes the implementation of an integrated AI suite across the consumer marketing ecosystem.

The Business continued to channelise consumers towards higher value user journeys across its owned value-exchange platforms, including www.letsboing.com, www.familylikefriends.com and food content leadership platform www.foodiesonly.in. The Business garnered

Exports continue to remain a key focus area for the Branded Packaged Foods Businesses. Aashirvaad Atta exports further consolidated its leadership position across overseas markets. Leveraging the strong equity of its core Brands – 'Aashirvaad', 'Sunfeast', 'Sunfeast YiPPee!', 'Bingo!' and 'Kitchens of India', your Company is well placed to pursue growth in exports across focus markets and channels.

nearly 30 million user journeys culminating to the brands' owned websites which enabled decoding consumer intent, behaviour, category affinities, and signals from the broader digital ecosystem. In an increasingly ad-averse, digital-first environment, the Business' owned value-exchange platforms successfully captured sustained user attention, driving meaningful engagement.

The Business also built an integrated ecosystem combining consumer data, insights, and creative capabilities through 'Studio Alchemy', delivering nearly 40,000 AI-generated and optimised content pieces across the marketing funnel.

Over the years, your Company has made significant investments in setting up state-of-the-art Integrated Consumer Goods Manufacturing and Logistics facilities (ICMLs) proximal to large demand centres. These facilities are at the heart of your Company's strategy to create structural advantage by enhancing product freshness and market responsiveness, reducing the cost of servicing proximal markets, enabling scalability, while also setting new benchmarks in safety and product quality. 12 ICMLs are currently operational in locations proximal to large demand centres; capacity utilisation at these ICMLs continues to be ramped up. Your Company continues to leverage the benefits of the state-of-the-art Ancillary Manufacturing cum Logistics Facilities (AMLFs) at Pudukkottai, Kapurthala and Panchla. These automated facilities are co-located with the ICMLs and provide several structural advantages including inventory optimisation, delayering operations and lowering the cost of market servicing.

Driven by an unwavering commitment to quality, sustainability, and manufacturing excellence, your Company has earned several prestigious external awards and recognitions across Safety, Sustainability, Quality & Food Safety, Manufacturing Excellence, and Environmental, Social and Governance (ESG). Key recognitions include the National Food Safety Trophy & Food Safety Commendation by Confederation of Indian Industry (CII), Gold Medal at the National Awards for Manufacturing Competitiveness (NAMC) by International Research Institute for Manufacturing (IRIM) and ESG recognition by Det Norske Veritas (DNV), Netherlands. Collectively, these accolades reinforce your Company's commitment to delivering superior-quality products while advancing safe, sustainable, and future-ready manufacturing practices. To counter elevated levels of input prices and support long-term profitability, your Company has implemented several strategic cost management initiatives in areas such as supply chain optimisation, smart procurement and productivity improvement through automation, leveraging new-age technologies such as Industry 4.0, AI/ML, advanced visual analytics and smart utilities.

The food processing industry has significant potential to boost Indian agriculture by improving market linkages, resource efficiency, farmer incomes, exports, and employment opportunities. The development of the food processing sector is vital for addressing food security, controlling inflation, improving nutrition, and preventing wastage. Acknowledging the large economic multiplier impact of the food processing industry and the growth opportunities in the Indian market, your Company has made substantial investments in this sector and remains focused on establishing itself as the leading player in the branded packaged foods industry.

Your Company's institutional strengths such as strong farm linkages, procurement efficiencies, world-class brands and deep & wide multi-channel distribution network continues to provide competitive advantage to the Business to deliver superior product availability, visibility and freshness. Investments in establishing a world-class distributed manufacturing footprint have created a solid foundation to secure structural advantage over time. Cutting-edge R&D platforms of your Company's LSTC are driving agile innovation and faster turnaround times for introduction of differentiated & first-to-market products catering to constantly evolving consumer needs. Investments in leading-edge digital technologies and platforms continue to be stepped up across the value chain to drive competitive advantage.

Your Company's institutional strengths such as strong farm linkages, procurement efficiencies, world-class brands and deep & wide multi-channel distribution network together with leading digital technologies and platforms, including AI-based solutions, continues to provide competitive & structural advantage. Cutting-edge R&D platforms of ITC's LSTC are driving agile innovation and faster turnaround times for introduction of differentiated & first-to-market products.

Your Company is well-poised to strengthen its position as one of the fastest growing food companies and the 'most trusted provider of food products' in the Indian market. Your Company remains confident of rapidly scaling up the Branded Packaged Foods Businesses leveraging its institutional strengths and strong growth platforms nurtured over the years in chosen categories which offer immense headroom for growth, address opportunities in value-added adjacencies by leveraging mother brands and nurture new vectors of growth where beachheads have been created.

Personal Care Products

The operating environment in the Personal Care industry was marked by heightened competitive intensity and continued volatility in input costs. Demand trends witnessed gradual improvement, while premiumisation, science-backed claims & ingredient-led, benefit-driven transparency in propositions, influenced consideration and brand choices.

Your Company's Personal Care Products Business delivered a resilient performance, while continuing to strengthen its core strategic levers of building brands with purpose, driving first-in-category innovation, investing in categories of the future, and accelerating presence in emerging channels. Strategic partnerships with key accounts, along with channel-specific assortment, targeted launches and agile execution, supported growth momentum. The premium portfolio remained a key growth driver, reinforcing the focus on enhancing brand equity and delivering superior consumer experiences through innovative and differentiated offerings.

In the Personal Wash segment, 'Fiama' sustained its strong growth momentum, in both gel bathing bars and shower gels. The recently launched 'Fiama Moisturising Bars with Japanese Hokkaido Milk' scaled up rapidly, supported by differentiated sensorial positioning and clinically proven skin-barrier benefits. The brand augmented its portfolio with the launch of body scrubs and leveraged digital-first creator partnerships to drive trial and adoption. With a focus on premiumisation and innovation, Fiama is well-positioned to accelerate its growth trajectory.

The 'Vivel' portfolio recorded acceleration in growth in the soaps category, particularly in the second half of the year. The brand continued to reinforce its core aloe vera proposition and expanded into adjacent format, in line with evolving consumer preferences, with the launch of natural ingredient based Handwash liquids. The brand also strengthened its presence in Modern Trade and e-Commerce through the introduction of exclusive soap and body wash offerings, enhancing visibility and relevance across premium retail formats and NewGen channels.

'Savlon' delivered strong performance during the year, driven by sustained momentum across handwash and soaps category along with value-added offerings including disinfectant liquid, sprays and wipes. Built on its strong equity in germ protection, the brand has continued to evolve towards a broader proposition of 'caring protection', aimed at expanding usage occasions and enabling sustained growth. The brand further enhanced consumer awareness and hygiene education through podcast-based content in partnership with leading medical professionals, while also expanding into specialised infection-prevention products for the institutional segment.

During the year, 'Engage' continued to strengthen its position in a dynamic and evolving fragrance category. In recent years, the brand has pivoted its portfolio towards high growth formats and premium consumer segments, with innovation and superior fragrance experiences at the core. The brand gained strong momentum in premium offerings, supported by the launch of 'Engage Brazilian Maracuja EDPs' and accelerated growth across e-Commerce and Quick Commerce platforms. Assorted perfume packs were scaled up to address diverse consumer moods and occasions. During the year, the brand also entered the growing roll-on segment

Your Company's Personal Care Products Business delivered a resilient performance, while continuing to strengthen its core strategic levers of building brands with purpose, driving first-in-category innovation, investing in categories of the future, and accelerating presence in emerging channels. The premium portfolio remained a key growth driver, reinforcing the focus on enhancing brand equity and delivering superior consumer experiences through innovative and differentiated offerings.

with differentiated anti-perspirant offerings featuring Fresh-Encap technology and strengthened its engagement with younger consumers through high-impact digital campaigns and influencer advocacy. Leveraging robust R&D capabilities and in-house manufacturing, the Business continues to deliver high-quality fragrances that resonate with discerning consumers.

In the Home Care segment, the 'Nimyle' range of products continued to build a differentiated position in the floor cleaner category anchored in its promise of 100% natural action with no chemical residue, offering germ protection that is safe for kids and pets. During the year, the brand sustained healthy growth, with its strong natural credentials enhancing its brand equity, reinforced through its impactful proposition 'Gaadha Bhi, Asardar Bhi' – highlighting its high consistency and efficacy. The brand has been certified as GreenPro - an internationally recognised eco-label and endorsed by the World Neem Organisation. Anchored in its core values and a clear brand proposition, Nimyle remains committed to deepen consumer connect and expand availability across touchpoints.

Your Company's state-of-the-art, digitally enabled manufacturing facility at Neemgarh (West Bengal) manufactures world-class personal care products and supports advanced neem-based research through an on-site neem orchard that houses more than 50 neem ecotypes sourced from across India. As the first dedicated personal care plant in a key growth market, the Neemgarh facility enhances supply chain agility, optimises costs and significantly reduces lead times, strengthening your Company's presence across eastern and north-eastern markets.

Your Company continues to strengthen its commitment to sustainability through large-scale adoption of post-consumer recycled (PCR) plastics. These initiatives were recognised with two CII Sustainable Plastic Packaging Awards 2025 for recycled content, integration and recyclable packaging innovation.

Your Company continued to earn recognition across leading global and regional advertising platforms, reflecting the effectiveness of its purpose-led communication, digital-first storytelling and health education initiatives strengthening brand equity and consumer trust. The Savlon 'Swasth India Mission – Handwash Legends' campaign secured multiple accolades at The One Show, D&AD, Clio Awards, AdFest and Spikes Asia. Additionally, the Savlon 'Jab Tak Aap Haath Nahi Dhote' campaign received multiple awards at the Kyoorius Creative Awards for excellence in film across TV, cinema and digital platforms. Nimyle was awarded Gold at the afaqs! Awards for Best Influencer Campaign.

The Business, with its purpose-led brands serving discerning consumers in a dynamically evolving environment, is well-poised to capitalise on future growth opportunities underpinned by its customer-centric innovative pipeline, impactful communications, institutional strength in R&D & formulations, state-of-the-art manufacturing capability, packaging know-how and an expanding omni-channel distribution footprint.

Education and Stationery Products

The Business delivered a resilient performance during the year in the backdrop of subdued realisation amidst deflationary conditions due to low-priced paper imports and opportunistic play by local/regional players. Performance in the second half of the year improved significantly driven by focused interventions and calibrated pricing actions, with the flagship brand 'Classmate' consolidating its market leadership position in the Notebooks segment.

The Business continued to draw on your Company's institutional strengths, including paper manufacturing expertise, brand-building capabilities and omni-channel distribution infrastructure. Supported by the capabilities of your Company's LSTC, the Business developed differentiated, superior-quality products, driving premiumisation in the core notebooks category.

In keeping with its proposition of 'Enjoy Learning', the Classmate brand continues to provide differentiated offerings through technology via eduGAMES Infinity, that provides students the opportunity to play and

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learn new skills. Further, drawing inspiration from the much-loved puzzles featured on the last page of Classmate notebooks, the brand introduced 'Design Discoveries' - a differentiated design-led engagement initiative aimed at enhancing consumer interaction with the brand. By blending creativity with engagement, Classmate aims to make learning more enjoyable while supporting cognitive development. The new range has elicited encouraging response from the student community.

The Business also launched a 360-degree campaign, *'Every Student Deserves a Classmate'* across target markets, sharply reinforcing the brand's position as a reliable, high-quality, sustainable companion in a student's academic journey, focusing on empowering learning and creativity.

In line with the premiumisation strategy, the Business has been driving growth of differentiated and premium products. The 'Classmate Pulse' range of premium notebooks witnessed rapid growth, driven by product innovation and execution excellence across channels. The Paperkraft portfolio, a premium stationery offering for professional and personal needs, was further strengthened with the launch of a range of notebooks tailored for Quick Commerce channel.

In the Writing Instruments portfolio, the Classmate Pens range was augmented through differentiated design extensions such as Octane Shine & Warrior Series. The Mathematical Instruments portfolio was revamped through refreshed designs and introduction of premium range of geometry boxes, 'Explorer' and 'Spectra', enabling clearer portfolio segmentation.

The multi-channel capability of your Company's strong distribution network was leveraged to enhance availability and drive sales. The Business sustained its leadership position on e-Commerce platforms through consistent availability of a wide assortment of products, backed by focused interventions to enhance consumer traction.

Equipped with state-of-the-art technology and a quality lab, the dedicated manufacturing facility at Vijayawada enables the Business to develop differentiated notebook formats, drive cost efficiencies and enhance capabilities to address opportunities in overseas markets.

The Classmate and Paperkraft range of notebooks leverage your Company's world-class fibre line at Bhadrachalam - India's first ozone treated elemental chlorine free facility - and embody the environmental capital built by your Company in its Paper Business. The Business also continues to scale-up the Paperkraft range (FSC®-C181115) of notebooks using Forest Stewardship Council® (FSC®) certified paper (FSC®-C064218), made at your Company's paper mill at Bhadrachalam.

With over 300 million students, India has one of the largest education systems in the world. The Indian Education and Stationery Products industry holds immense potential driven by growing literacy, increasing enrolment ratios, the Government's continued thrust on the education sector and a favourable demographic profile of the country's population. Your Company's Education and Stationery Products Business, with its strong brands, robust product portfolio, collaborative linkages with small & medium enterprises and superior distribution network, is well-poised to sustain its leadership position in the industry.

Incense Sticks (Agarbattis) and Safety Matches

The Incense Sticks (Agarbattis) category sustained its robust growth momentum during the year, with your Company's flagship brand, 'Mangaldeep', further strengthening its market standing across formats including agarbatti, dhoop and sambrani. Anchored in deep consumer insights, Mangaldeep offers a differentiated product experience that remains culturally authentic, while also resonating with contemporary consumers. The brand's spiritual connect continues to be reinforced through focused marketing initiatives and sustained activation of the brand campaign "Dil Se Karo Baat, Bhagwan ke Saath", which has struck a powerful chord with consumers across the country.

Your Company's Education & Stationery Products Business continued to draw on its institutional strengths, including paper manufacturing expertise, brand-building capabilities and omni-channel distribution infrastructure. Supported by the capabilities of your Company's LSTC, the Business developed differentiated, superior-quality products, driving premiumisation in the core notebooks category.

During the year, the Business delivered strong volume-led revenue growth. Inflationary pressures in input prices were mitigated through judicious mix enhancement and strategic cost optimisation, thereby sustaining profitability.

The Business continues to scale up its core portfolio and strengthen new launches to drive growth. During the year, Mangaldeep Nature was launched in two variants—Green Forest and Flower Valley—bringing nature-inspired fragrances to consumers. Further, the Business continued to augment its agarbatti portfolio with modern fragrances through sub-brands such as 'Scent', in line with evolving consumer preferences for contemporary and fine-fragrance inspired offerings.

The Mangaldeep range of dhoop was augmented with the launch of two innovative variants in Premium Wet Dhoop— 'Kesar Kumkum' and 'Black Musk'. Mangaldeep reinforced its positioning as an enabler of devotion by bringing alive the Ayodhya Deepotsav experience to lakhs of devotees across India through an Augmented Reality (AR) powered microsite; with over 26 lakh diyas lit on a single day, the initiative received recognition as a Guinness World Record Event.

In line with its premiumisation strategy, the Business strengthened its presence in emerging formats such as dry dhoop sticks, dry dhoop cones and sambrani cups. These formats combine convenience and performance with the authenticity of rituals, while catering to evolving consumer aspirations.

In a pioneering step towards inclusive innovation, Mangaldeep continues to collaborate with over 200 visually impaired fragrance evaluators under the Sixth Sense initiative. This unique programme enables co-creation of fragrances, helping the brand deliver long-lasting and rich sensorial offerings while fostering inclusive growth.

Catering to the emerging wellness segment, the Business launched a premium aromatherapy range under the brand 'Pranah', comprising scented candles, incense sticks and cones. The range harmonises natural inspiration with science-backed wellness propositions. These launches elicited encouraging response from discerning consumers.

Over the years, the Business has implemented several measures to enhance the competitiveness of the agarbatti value chain in India. These include import substitution, backward integration, and the manufacture of raw battis using indigenous inputs. The Business has led the development of in-house manufacturing capabilities for raw battis, including coloured batti, bambooless incense and premium formats, while working closely with manufacturers and nodal agencies of key state governments for sourcing Indian bamboo sticks.

These initiatives align with national priorities on employment generation and inclusive growth, supporting income enhancement across the agarbatti and raw batti ecosystem, and creating structural cost and supply advantages for the Business.

In the Safety Matches industry, the Business strengthened its market leadership position by leveraging the brand 'Homelites', anchored in a differentiated positioning of stronger, longer and karborised sticks. The Business continues to scale up the share of value-added products in its portfolio and enhance supply chain efficiency by sourcing products manufactured closer to markets.

Your Company remains confident of scaling up its Agarbattis and Safety Matches portfolio and enhancing its market standing in the segment.

TRADE MARKETING & DISTRIBUTION

Your Company's Trade Marketing & Distribution (TM&D) vertical continues to strengthen its smart omni-channel go-to-market capabilities to ensure efficient market servicing and product availability. Through sharper channel strategies and agile execution, TM&D is proactively addressing emerging trends, including the accelerated expansion of NewGen Channels (viz. Modern Trade, e-Commerce & Quick Commerce) and the growing demand for premium products.

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During the year, significant changes in the GST regime were orchestrated seamlessly through coordinated supply chain management, ensuring continuity of operations and uninterrupted market servicing across markets.

India's FMCG distribution landscape is characterised by diverse consumer cohorts, multiple and fast-evolving channels, varied socio-economic conditions and a vast geographic footprint. Against this structurally complex backdrop, TM&D continues to effectively deploy differentiated channel and regional playbooks, leveraging deep consumer and trade insights to drive superior execution and outcomes in product availability, visibility and freshness.

Your Company's omni-channel distribution network enables availability across nearly seven million retail outlets, over 40% of which are serviced directly. Direct servicing has been further strengthened, expanding reach across new markets and outlets. Overall market coverage has increased to appx. 2.1x of pre-pandemic levels. TM&D's wide and deep distribution network, anchored by cutting-edge digital capabilities, provides the FMCG Businesses with significant competitive strength.

In this context, the rapid growth of Modern Trade, e-Commerce and Quick Commerce, coupled with the emergence of new players, continues to reshape routes-to-market. TM&D is strengthening omni-channel capabilities and customer partnerships, supported by agile supply chain and shopper marketing, to enhance execution effectiveness and improve operating efficiencies.

The surge in smartphone-led internet usage, widespread adoption of digital payments, wider assortments and faster fulfilment continue to increase the salience of e-Commerce and Quick Commerce channels. Your Company's collaborations with leading platforms across category development, integrated supply chains, consumer offerings and customer acquisition are enabling strong scale-up of sales in these channels, supported by exclusive assortments, channel-specific plans and 'Digital-First' brands. Joint Business Plans, executed in close coordination with these platforms and complemented by agile supply chain initiatives, are strengthening your Company's market standing. Digitally enabled sales have grown rapidly in recent years and, together with Modern Trade, now account for 34%[9] of your Company's FMCG portfolio.

Within the omni-channel architecture, the General Trade channel continues to deliver resilient performance through a focused market approach and a differentiated portfolio. In response to heightened competition and accelerating channel shifts in urban markets, TM&D is strengthening data-led execution and technology enablement to enhance retail engagement, last-mile productivity and premiumisation in high-potential outlets. The digitally powered eB2B platform of your Company, UNNATI, continues to be scaled up, covering more than eight lakh outlets. UNNATI enables sharper & direct engagement with retailers, superior analytics and personalised hyperlocal recommendations based on purchase insights, thereby deepening brand engagement and strengthening the trade ecosystem.

In rural markets, TM&D continues to implement market-specific interventions to enhance direct coverage, guided by socio-economic indicators and market potential. This is supported through a hub-and-spoke distribution model and extensive rural stockist network to deepen reach across priority markets. Leveraging synergies with the deep rural connect of your Company's Agri Business, TM&D continues to undertake extensive consumer activations in high-potential rural areas, supported by market development initiatives and enhancements to the digital ecosystem for the stockist channel, thereby strengthening availability of your Company's product range in rural markets.

The Food Service and Institutional channels continue to witness growth, leveraging existing partnerships and your Company's wide product range. Strategic partnerships are unlocking new routes-to-market across specialised segments, including on-the-go, direct marketing and Quick Service Restaurants (QSRs).

[9] *Excluding Education and Stationery Products*

Your Company's Trade Marketing & Distribution (TM&D) vertical continues to strengthen its smart omni-channel go-to-market capabilities. It is proactively addressing emerging trends, including the accelerated expansion of NewGen Channels (viz. Modern Trade, e-Commerce & Quick Commerce) and the growing demand for premium products. Digitally enabled sales have grown rapidly in recent years and, together with Modern Trade, now account for 34% of your Company's FMCG portfolio.

Underpinning these channel strategies, TM&D continues to leverage emerging digital technologies such as Generative AI to further strengthen market servicing, automate operations and enhance execution effectiveness.

Industry-leading digital solutions deployed across the entire Order-to-Cash cycle in both traditional and NewGen channels, have enabled business growth, facilitating seamless transactions and faster working capital turnaround for trade partners. To address the digital payments and financing needs of customers and retailers, your Company forged strategic collaborations with banks and FinTech partners. Integrated with the UNNATI platform, these solutions are strengthening digital adoption across the trade ecosystem and supporting sustainable growth.

The scale and diversity of your Company's go-to-market footprint remain pivotal in enhancing market presence, generating valuable consumer and trade insights and enabling effective execution of product launches across geographies. To leverage new routes-to-market and meet the assortment needs of NewGen channels, your Company executed nearly 100 new product launches across target markets, while extending availability and visibility of existing products.

TM&D is driving structural improvements in operational effectiveness and productivity. Your Company continues to leverage an integrated planning and supply chain tool, powered by advanced algorithms, to enhance forecast accuracy, improve inventory productivity and strengthen supply chain agility. These initiatives support improved servicing and availability of the premium portfolio across priority urban and rural markets.

Alongside capability-building and in line with your Company's commitment to the 'Triple Bottom Line', TM&D continues to advance adoption of renewable energy and expand Green Logistics initiatives for mid-mile and last-mile deliveries in key cities. Collaborations with Original Equipment Manufacturers and fleet aggregators are supporting increased deployment of Electric Vehicles (EVs) in TM&D operations, with EV trips rising by nearly 40% over the previous year.

TM&D's distribution highway is a source of sustainable competitive advantage for your Company's FMCG Businesses and is well-positioned to support rapid scale-up in the ensuing years. This strength is enabled by strong systems and processes, an agile and responsive supply chain, a cutting-edge digital ecosystem and synergistic partnerships across channels.

FRESH FOOD

The Indian food services industry continues to present attractive long-term growth potential, underpinned by favourable demographics, increasing urbanisation and rising consumer purchasing power. The rapid expansion of online food delivery is enlarging the addressable market by enhancing consumer access and accelerating the transition towards organised, branded food offerings.

Envisaged under the ITC Next strategy as a new vector of growth, your Company incubated the Fresh Food Business to participate in the fast-growing online food services segment and to widen access to premium food experiences for Indian consumers. The Business leverages your Company's institutional strengths in Food Science & Manufacturing, its trusted FMCG food brands and deep consumer insights, and culinary expertise built through ITC Hotels Limited, to create differentiated and contemporary food propositions.

The Business is anchored on a portfolio of distinct brands—'ITC Master Chef Creations', 'ITC Aashirvaad Soul Creations', 'ITC Sunfeast Baked Creations', and 'Sansho by ITC Master Chef'—which are designed to address multiple cuisines, price points and consumption occasions, while reinforcing your Company's proposition of quality, authenticity and innovation.

- 'ITC Master Chef Creations' offers chef-crafted, gourmet North Indian cuisine, leveraging craftsmanship and consistent quality to build a scalable premium proposition.
- 'ITC Aashirvaad Soul Creations' is a pure vegetarian brand focused on wholesome, home-style Indian meals inspired by regional recipes, addressing everyday consumption needs with trust and authenticity.

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– 'ITC Sunfeast Baked Creations' offers premium baked products, strengthening your Company's presence in indulgence-led occasions through innovation and superior product experience.

– 'Sansho by ITC Master Chef', launched during the year, is a premium Pan-Asian brand that extends the portfolio into contemporary cuisine formats.

The brands are currently present across select metropolitan markets and are offered to consumers through leading online food delivery platforms. The brands received top ratings across platforms with excellent feedback, reflecting growing consumer franchise.

The Business has developed a differentiated capability stack across product development, quality assurance, customer experience, and a tech-enabled operating system, enabling consistent delivery of premium food propositions. The Business continues to focus on strengthening these capabilities, deepening technology integration, and refining execution to sustain the growth momentum.

During the year, the Business strengthened its presence across the cuisine segments and markets in which it operates, supported by improving consumer traction. With sustained focus on consistent food quality and service standards, the Business recorded rapid growth and also expanded its operating footprint to appx. 70 cloud kitchens.

With a focused, consumer-led approach, the Business introduced a range of differentiated, first-to-market offerings during the year. This included festival and occasion-led propositions curated for key festivals and special occasions (including Diwali, Christmas/New Year, Eid and Mother's Day) to sustain consumer engagement and enhance brand relevance.

Going forward, the Business will prioritise menu and format innovation, portfolio premiumisation and strengthening proposition architecture, while maintaining strong governance over quality, consistency and customer experience.

Your Company intends to scale the Fresh Food Business rapidly across select geographies in India. Supported by a differentiated brand portfolio and your Company's institutional strengths in Food Science & Manufacturing, FMCG brand-building and culinary expertise, the Business will focus on deepening consumer relevance, building leadership positions in chosen cuisine formats and strengthening the pathway to profitable growth through disciplined execution.

Following an appreciable scale-up since incubation, the Business is being reported under the "Others" segment for the first time in the current year, along with ITC Grand Central Hotel, Mumbai.

PAPERBOARDS, PAPER AND PACKAGING

Paperboards & Specialty Papers

During the year, the Indian Paper and Paperboard industry continued to operate in a challenging environment, characterised by low-priced supplies of paperboards and paper from China and Indonesia in global markets, including India, as well as weak demand conditions, resulting in subdued realisations. On the inputs front, wood costs remained elevated during the year, reflecting tight supply conditions. The cumulative impact of subdued realisations and sharp surge in wood costs exerted pressure on margins. The Business partially mitigated these challenges by leveraging the structural strengths of its integrated model, accelerating value-led customer engagement, deepening digital-led productivity and quality interventions, and scaling up the portfolio of sustainable plastic-substitution solutions (PlaSub).

Influx of low-priced imports into the country, particularly from China, Indonesia and Chile, has been a source of threat to the domestic Paper and Paperboard industry in recent years. The imposition of Minimum Import Price (MIP) on Virgin Multi-layer Paperboard w.e.f. 22nd August 2025, provided interim relief to the industry, with import volumes progressively declining thereafter. However, suitable safeguard measures are needed at a policy level to enable the Indian industry to compete on a level playing

Your Company entered into a Business Transfer Agreement to acquire the Century Pulp and Paper ('CPP'). It is a well-established player in the Indian Paper industry with an installed capacity of 4.8 Lakh tonnes per annum. CPP is a one-of-a-kind asset with a strong strategic fit with your Company's Paperboards & Specialty Papers Business. The acquisition will add meaningful scale and economies to existing operations, provide a locational advantage for efficient customer servicing and proximity to key raw material sources, enhance resilience and portfolio diversification.

field. Representations are being made by the Indian industry with the policy makers in this regard, which are under active consideration.

Wood procurement prices also began to moderate aided by improved availability on the back of sustained plantation and sourcing interventions. With the moderation in wood prices and green shoots of improvement in realisations following the imposition of MIP, the Business witnessed a gradual recovery in operating performance in the second half of the year.

The Business continues to focus on strengthening long-term fibre security through structural programmes across plantations, catchment expansion and productivity enhancement, which remain key enablers of competitiveness and resilience. To address long-term fibre security, the Business is pursuing a multi-pronged strategy spanning catchment expansion and productivity enhancement, alongside structured engagement with policy stakeholders to enable collaborative plantation models.

Wood and wood fibre-based industries in India have been representing to the Government over the years to allow industries to raise tree plantation on available degraded forest land. Policy in this regard would enable domestic industries to become self-sufficient and cost competitive vis-à-vis wood and wood fibre-based industries in South-East Asian countries where such provision of industry involvement in raising plantations over degraded forest land exists. This would also facilitate saving precious foreign exchange through import substitution. Further, as per the Report on Paper Industry by the Indian Paper Manufacturers Association (IPMA), it is estimated that harnessing an additional 2.5 million hectares of degraded land for the agroforestry programme, could generate employment opportunities for appx. one million persons, while supplementing farmer incomes, enhancing green cover and ensuring adequate availability of raw materials for domestic wood-based industries.

The recent amendments to the Forest (Conservation) Act Guidelines that enables private sector participation along with state governments to raise plantations on degraded forest land, augurs well for long-term domestic fibre availability in the country. Your Company is engaging with the state governments to progress this initiative.

Despite the challenging operating environment as stated above, the Business sustained its leadership position in the Value-Added Paperboard (VAP) segment through focused innovations and development of customised solutions tailored for end-use industries. The Business also consolidated its leadership position in the eco-labelled products and premium recycled paperboards segments.

During the year, the Specialty Papers segment witnessed robust growth driven by capacity augmentation in Décor paper completed in FY 2024-25. Market standing in the segment continues to be driven by product mix enrichment and diversification of the customer base.

It may be recalled that your Company entered into a Business Transfer Agreement on 31st March, 2025 to acquire the Century Pulp and Paper Undertaking ('CPP') of Aditya Birla Real Estate Limited ('ABREL') at Lalkuan (Nainital, Uttarakhand). Commissioned in 1984, CPP is a well-established player in the Indian Paper industry with an installed capacity of 4.8 lakh tonnes per annum. CPP is a one-of-a-kind asset with a strong strategic fit with your Company's Paperboards & Specialty Papers Business. The acquisition will add meaningful scale and economies to existing operations, provide a locational advantage for efficient customer servicing and proximity to key raw material sources, enhance resilience through multi-site operations and portfolio diversification across industry cycles. The acquisition aligns with your Company's strategy of driving the next horizon of growth in the Paperboards and Specialty Papers Business by expanding capacity at a new location, considering that the existing facilities are near saturation. The Competition Commission of India has approved the proposed

The Paperboards & Specialty Papers Business has adopted a multi-tiered strategy to capitalise on this opportunity and build solutions that will replace single use plastics. Within the sustainable products portfolio - 'Platform 1' comprises a range of recyclable, compostable and barrier coated boards; 'Platform 2' comprises a range of first-to-market Fusion boards that are fully recyclable and replace plastic 'foam' board and 'Platform 3' offers futuristic packaging solutions comprising premium Moulded Fibre Products (MFP) made from renewable natural fibres.

acquisition on 16th December, 2025. Further, the Ministry of Environment, Forest and Climate Change has accorded approval, on 18th March, 2026, for the transfer of leased forest land in favour of your Company. With the receipt of key statutory approvals, the acquisition of the CPP undertaking is expected to be completed in the near term.

It is pertinent to note that India's per capita consumption of paper at appx. 16 kgs per annum is significantly lower when compared to the global average of 57 kgs, reflecting immense headroom for long-term growth. Further, the sustainable paperboards and packaging space continues to offer a significant scale-up opportunity, driven by increasing demand for bio-based alternatives, increasing emphasis on recyclability & compostability and evolving customer & regulatory requirements. These trends are translating into sustained demand across sectors, particularly in the food service, food delivery, beauty & personal care, pharmaceuticals and consumer goods segment.

The Business has adopted a multi-tiered strategy to capitalise on this opportunity and build solutions that will replace single use plastics and meet emergent consumer needs. Within the sustainable products portfolio - '*Platform 1'* comprises a range of recyclable, compostable and barrier coated boards and includes the 'Filo' series - 'FiloBev' (for beverage cups), 'FiloServe' (for QSRs, bakeries, food retail), 'FiloPack' & 'FiloTub' (for food packaging applications), 'FiloBowl' (for select meal and delivery formats) and 'FiloBev Mini' (an economic cup variant for short servings). The Filo series solutions have also been certified as compostable by the Central Institute of Petrochemicals Engineering & Technology (CIPET). During the year, the 'Filo' portfolio recorded double-digit growth in the domestic market, supported by strong consumer traction of sustainable packaging solutions.

'*Platform 2'* comprises a range of first-to-market Fusion boards that are fully recyclable and replace plastic 'foam' board. End-use applications include indoor display solutions involving replacement of plastic signboards and shelves. This platform continues to witness growing market traction, driven by increasing demand for recyclable alternatives for display and signage applications.

'Platform 3' offers futuristic packaging solutions comprising premium Moulded Fibre Products (MFP) made from renewable natural fibres such as wood, bamboo, bagasse, wastepaper, etc. Your Company's wholly-owned subsidiary, ITC Fibre Innovations Limited (IFIL), forayed into the fast-growing MFP space with the commissioning of a state-of-the-art MFP manufacturing facility in Badiyakhedi, Madhya Pradesh in March 2024. During the year, IFIL carried out extensive prototyping and sampling to support the development of Next-Gen products. The Business faced challenges largely due to US tariff related disruptions. Plans are on the anvil to accelerate growth in this segment through focused market development anchored on a differentiated MFP portfolio leveraging innovation and agile operations.

A Packaging Board Centre of Excellence was institutionalised last year to deepen customer engagement, improve product performance and focus on new-gen product development. During the year, focused efforts were undertaken towards building new platforms, strengthening structural capabilities, and seeding select high-entry-barrier niches to support sustainable growth.

The Business continues to procure wood, a key raw material, from sustainable sources. Research on clonal development has enabled the introduction of high-yielding and disease-resistant clones that are adaptable to a wide variety of agro-climatic conditions. This has not only aided in increasing farmer incomes but also enabled greater consistency in farmer earnings. In this context, your Company's LSTC remains actively engaged in developing second generation clones with enhanced yield potential and improved pest & disease resistant attributes. The Business continues to focus on scaling up wood sourcing from core catchment areas and has increased plantations in these regions during

Your Company's Paperboards & Specialty Papers Business continues to be a pioneer in the adoption and deployment of digital and Industry 4.0 technologies. An AI-led analytics platform supports faster, data-driven decision-making across key processes in the wood-to-paper value chain, strengthening operational reliability, quality consistency and resource efficiency.

the year. In addition, initiatives such as bund plantations and the expansion of plantations in new catchment areas, including Odisha and Chhattisgarh, have enabled enhanced wood procurement from such new areas, with further potential for increasing cost-effective access to fibre in the future. During the year, the Business achieved its highest-ever plantation coverage of around 66,000 hectares, reinforcing long-term fibre security and supporting sustainable livelihoods across its farm-forestry ecosystem.

Your Company has the distinction of being the first in India to have obtained the Forest Stewardship Council-Forest Management (FSC®-FM) (FSC®-C102390) certification, which confirms compliance with the highest international benchmarks of plantation management across the dimensions of environmental responsibility, social benefit, and economic viability. Till date, your Company has received FSC®-FM certification for over 1.65 lakh acres of plantations involving over 26,000 farmers. During the year, nearly 3.17 lakh tonnes of FSC®-certified wood was procured from these certified plantations. Your Company sustained its position as the leading supplier of FSC®-certified paper and paperboards (FSC®-C064218) in India.

Your Company's Paperboards & Specialty Papers Business continues to be a pioneer in the adoption and deployment of digital and Industry 4.0 technologies. An AI-led analytics platform supports faster, data-driven decision-making across key processes in the wood-to-paper value chain, strengthening operational reliability, quality consistency and resource efficiency. Over the last few years, the Business has been executing a structured and outcome-oriented digital transformation programme spanning manufacturing, supply chain and enabling functions. As the Business has evolved its digital operating model, transitioning from project-based execution to a product-led approach, the in-house Digital App Suite has scaled to over 80 applications, strengthening advanced analytics, simulation-led decision support and root-cause diagnostics across the value chain. Digital interventions today span Industrial IoT-enabled smart operations, integrated enterprise data platforms, AI/ML-based process optimisation & decarbonisation of operations, image & video analytics for automated quality inspection, computer-vision driven workforce safety solutions and digital traceability systems aligned with evolving regulatory requirements.

The Business' leadership in digital excellence continues to be recognised globally. During the year, the Business was conferred with the Aegis Graham Bell Award in the 'Innovation in Manufacturing' category.

The Business has strengthened its customer-centric supply chain capabilities through a dedicated vertical focused on service excellence and end-to-end optimisation. These initiatives have improved service performance (including On-Time-In-Full delivery) and reduced order fulfilment timelines. During the year, advanced planning capabilities were also enhanced through the implementation of a demand planning module, enabling better forecast accuracy and more agile, data-driven decision-making.

The Business has adopted and institutionalised the principles of Total Productive Maintenance (TPM), Lean and Six Sigma for over two decades now and continues to reap substantial benefits through several Business Excellence initiatives.

The Business continues to advance circularity and resource efficiency across its operations. All manufacturing units recycle nearly 100% of solid waste generated during operations by converting the same into lime, fly ash bricks, cement, grey boards, egg trays, etc. In addition, the Business recycled appx. 1.11 lakh tonnes of wastepaper during the year, reinforcing its positive solid waste recycling footprint.

In line with the objective of enhancing the share of renewable energy in its operations, the Business has implemented several initiatives including investments in a green boiler, high efficiency circulating fluidised bed

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(CFBC) boiler, solar & wind energy and increased usage of biofuels. The commissioning of the state-of-the-art High Pressure Recovery Boiler at the Bhadrachalam mill is progressively enhancing renewable energy share and reducing the carbon footprint of the unit by significantly lowering coal consumption. These investments are a testament to your Company's commitment towards embedding sustainability in its operations and supporting the 'Make in India' initiative. With these initiatives, renewable sources presently account for more than 50% of total energy consumption across the four manufacturing units of the Business.

The manufacturing facilities at Bhadrachalam, Kovai, Tribeni and Bollaram continue to receive industry recognition for their green credentials and safety standards in line with the focus on sustainable business practices. The Bhadrachalam unit is the first pulp & paper plant and the second in the country, to be rated 'GreenCo Platinum+' by CII, as part of the Green Company rating system. The Kovai unit has also been accorded the 'GreenCo Platinum+' rating by CII. The Kovai unit is the first site in India and the first paper mill in the world to achieve the highest Platinum rating under the 'Alliance for Water Stewardship Standards'. The Bhadrachalam unit also received 'Alliance for Water Stewardship Platinum' certification.

In recognition of energy efficient initiatives, both Bhadrachalam and Kovai units were conferred with the 'Excellent Energy Efficient Unit' Award at the 26th National Awards for Excellence in Energy Management, 2025, instituted by CII. The Bhadrachalam unit has additionally been recognised as a 'Noteworthy Water Efficient Unit' under the 'Within-the-Fence' category at the CII National Awards for Excellence in Water Management, 2025. The Kovai unit was honoured with the Best Kaizen for Sustainability Award at the 11th CII National Kaizen Circle Competition, 2025.

The Paperboards industry remains closely aligned with national priorities of rural employment generation and sustainable resource utilisation, while meeting the evolving paper and packaging needs of Indian consumers. The industry currently employs over two million persons directly and indirectly across the value chain, supported by substantial investments in recent years that have strengthened domestic value chains.

With structural drivers of demand in the Indian economy expected to remain strong over the medium and long-term, the prospects for the paperboards industry is poised for robust growth in the years ahead. Key growth drivers include favourable demographic trends, rapid urbanisation, a growing middle class, increasing substitution of plastic with sustainable alternatives, and supportive macroeconomic trends, reinforced by recently concluded FTAs and India's emergence as a global manufacturing hub.

End-user segments such as Pharmaceuticals, Apparel, QSRs / Food Service, FMCG, consumer durables and e-Commerce are anticipated to register strong growth. Demand for Writing & Printing paper is also anticipated to remain firm on the back of requirements from the publishing and notebooks industries driven by the Government's thrust on primary and secondary education.

The integrated nature of your Company's business model is a key source of competitive advantage for the Paperboards & Specialty Papers Business. This advantage is underpinned by secure access to high-quality, cost-competitive and renewable fibre; continuous development of high-yielding, disease-resistant clonal saplings; efficient and resilient manufacturing enabled by in-house pulp capability, imported pulp substitution and world-class facilities; and sustained improvement through product and process innovation, energy efficiency and digital / Industry 4.0 adoption. These strengths are further reinforced by robust forward linkages with the Education and Stationery Products Business and the Packaging and Printing Business. Your Company is confident of further consolidating its leadership position in the Indian Paper and Paperboards industry leveraging recent investments in innovation platforms anchored on

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the development of sustainable products and cutting-edge digital technologies to set new benchmarks in customer satisfaction, operational excellence, and sustainability.

Packaging and Printing

Your Company's Packaging and Printing Business is a leading provider of differentiated and innovative packaging solutions across carton and flexible packaging platforms, widely acknowledged for its operational excellence, quality and reliability. Leveraging world-class infrastructure and integrated end-to-end capabilities including distributed manufacturing footprint, in-house cylinder making and blown film lines, the Business delivers packaging that meets stringent functional requirements while elevating the branded product experience.

The Business serves leading customers across Food & Beverage, Personal Care, Home Care, Footwear, Consumer Electronics & Electricals, QSRs, Pharma, Liquor, Tobacco and other end-use segments. Consistent performance on quality, reliability and competitiveness has strengthened its position as a preferred packaging partner to reputed FMCG companies. The Business also provides strategic support to your Company's FMCG Businesses and Cigarettes Business by facilitating faster turnaround for new launches, innovative & sustainable packaging solutions, design changes and ensuring security of supplies.

During the year, the operating environment was marked by heightened uncertainty and volatility along with increased competitive intensity. Against this backdrop, the Business demonstrated resilience and continued to pursue new business development opportunities across segments while strengthening capabilities aligned to customer priorities.

Innovation remains a key strategic pillar, anchored in deep understanding of end-user requirements and the capabilities of your Company's LSTC. Under the flagship 'InnovPack' range of sustainable packaging solutions, the Business has established a robust innovative pipeline of solutions developed through molecular science research aligned with rising sustainability expectations and the transition to plastic alternatives. This includes offerings such as compostable barrier solutions (Bioseal), recyclable coating systems to enhance barrier performance (Oxyblock) and coatings designed to support hygiene-sensitive applications (Germ-free coating). Multiple initiatives aligned to the principles of "Reducing, Reusing and Recycling" of plastic substrates are progressing across stages of customer validation and commercialisation.

The Business continues to strengthen its competitiveness through systematic processes to deliver excellence in execution and quality, productivity and waste reduction, supported by capability building and digital enablement. In line with its long-term roadmap, the Business continues to scale up Industry 4.0 adoption across its units.

The Business' performance and capabilities were recognised through prestigious international and national awards, including the WorldStar awards in pack premiumisation and sustainability, as well as accolades from leading industry bodies for excellence in packaging and customer service. These include the IFCA Star awards, the SIES SOP Star Awards, FIPSA Awards for excellence in packaging. The Business was also awarded the Customer Service Company of the Year 2025 by PrintWeek.

The Business maintains robust management systems for quality, environment, occupational health and safety, and social and ethical compliance, supported by recognised third-party certifications and customer audits. Certain units are also certified to global packaging standards and sustainability frameworks, reinforcing the Business' ability to serve hygiene-sensitive and export-oriented applications as well as customers with enhanced sustainability requirements. All four units of the Business are certified as per the Integrated Management System, consisting of ISO 9001:2015, ISO 14001:2015 and ISO 45001:2018. Cartons Packaging lines at Tiruvottiyur

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and Haridwar units received the 'Grade AA' and the Nadiad unit received 'Grade A' - Brand Reputation Compliance Global Standards (BRCGS) certification for global standards in packaging and packaging materials - a key enabler for supplies to the packaged foods industry. During the year, the Tiruvottiyur unit obtained ISCC Plus certification, strengthening the Business' ability to validate recyclable laminate structures and advance sustainable packaging solutions. All key units of the Business are Sedex-certified for social and ethical compliance; the Business also holds an EcoVadis Bronze certification, underscoring its commitment to sustainability performance.

The outlook for the Indian packaging industry remains positive, supported by rising disposable incomes, urbanisation, favourable demographics and increasing penetration of modern trade and e-Commerce. Further, policy and regulatory initiatives aimed at strengthening food safety and accelerating the growth of organised retail are expected to drive demand for high-quality, standardised packaging solutions aligned with evolving regulatory and quality requirements.

Growing stakeholders' focus on decarbonisation, and an increasing regulatory emphasis on plastic reduction and circularity, are expected to accelerate the adoption of sustainable packaging solutions, including recyclable, mono-material and circular alternatives. With capabilities across diverse technology platforms, a robust pipeline of sustainable solutions and strong quality management systems, the Packaging and Printing Business is well positioned to deepen customer partnerships across key segments, viz., Food & Beverage, Personal Care, Home Care, QSRs, Footwear, Consumer Electronics, Pharma and Tobacco, while continuing to support your Company's FMCG Businesses. Going forward, the Business will sharpen its strategic focus on innovation, customer-centric solutions, sustainability, capability building and smart manufacturing to reinforce its leadership in integrated packaging solutions.

AGRI BUSINESS

Leaf Tobacco

The Business continued to leverage its deep customer relationships, crop development expertise, superior product quality, world-class processing facilities and strong sustainability credentials to strengthen its position as a reliable supply chain partner for global customers. During the year, the Business consolidated its position as the largest Indian exporter of unmanufactured tobacco and increased its share of business with international buyers of Indian tobacco through focused business development, facilitating increased crop production backed by adoption of Weather Resilient Tobacco Production Systems and strengthening the competitiveness of Indian FCV and Burley tobaccos, leveraging its sustainable tobacco programme.

The Business sharpened its strategic focus across the tobacco value chain on five priorities: Quality, Consistency, Compliance, Climate risk mitigation and Sustainability. Sustained investments continue to be made in your Company's Green Leaf Threshing (GLT) plants towards world-class quality, processing technology & capability upgradation, aligned with evolving customer expectations and regulatory requirements. Crop and region-specific agronomic practices are being scaled up to address emerging customer needs and enhance competitiveness.

The Business continues to set benchmarks in leaf threshing operations by leveraging technology & digital capabilities to enhance quality assurance, process consistency, compliance, traceability and productivity. This includes selective deployment of advanced analytics & automation solutions across critical process stages, strengthening operational resilience and customer responsiveness while supporting the Business' strategic cost management agenda.

Digital tools such as AI/ML-powered real-time price discovery systems continue to be leveraged for facilitating efficient leaf tobacco buying across auction platforms. In addition, digitalisation interventions are being scaled up in areas spanning crop development, sourcing, process

The Leaf Tobacco Business continued to leverage its deep customer relationships, crop development expertise, superior product quality, world-class processing facilities and strong sustainability credentials to strengthen its position as a reliable supply chain partner for global customers.

optimisation and supply chain operations, which are expected to enhance operating efficiencies, while driving down cost in a structural manner.

Synergistic R&D initiatives with focus on varietal development, climate smart farming techniques, farm level digital interventions and usage of water efficient technologies are being scaled up towards enhancing productivity & product quality, reducing cultivation costs, strengthening resilience & capacity building of the farm value chain to increase crop security and enhance farmer incomes.

The Business continues to strengthen its sustainability agenda by scaling up integrated energy management and decarbonisation initiatives across farms, GLT operations and the supply chain. Key focus areas include energy efficiency, increased use of alternative fuels and energy plantations to improve fuel self-sufficiency in the curing process, along with a progressive shift towards renewable electricity in line with your Company's low-carbon growth philosophy. Further, integrated watershed management programmes are being advanced to strengthen water security during critical phases of the crop cycle.

In recognition of its commitment to the highest standards of Sustainability, EHS and Quality, the Business received several awards during the year, including the "Best Practice in Digital Transformation 2025" from CII; the "SEEM National Energy Management Award" with Platinum rating for Excellence in Energy Conservation for Chirala GLT; "Excellent Energy Efficient Unit" for Mysuru GLT at the CII National Award for Excellence in Energy Management, 2025; and Gold and Silver Awards for Chirala GLT and Anaparthi GLT, respectively, at the CII Andhra Pradesh Industrial Safety Excellence Awards 2025, as well as various awards from the Quality Circle Forum of India and CII for operational excellence.

Oversupply in international markets coupled with lower domestic demand due to the unprecedented increase in tax on cigarettes are expected to weigh on the prospects of the key stakeholders of Indian tobacco industry including Indian farmers and leaf tobacco processors / exporters.

In this context, addressing key structural factors is imperative to support sustained growth and competitiveness of leaf tobacco exports from India. Over time, punitive taxation on the legal cigarette industry has accelerated illicit trade, adversely impacting demand for Indian leaf tobacco. Lower export incentives and high import duties / tariffs in certain markets also weigh on export competitiveness. As stated in earlier years, a balanced regulatory and taxation regime that takes cognisance of India's unique tobacco consumption pattern and economic realities, along with appropriate policy support (including restoration of export incentives), remains important to support the tobacco farmers and the 46 million livelihoods dependent on the sector. According to an ASSOCHAM TARI Study[10], the tobacco sector in India contributes substantial socio-economic benefits in terms of agricultural employment, farm incomes, revenue generation and foreign exchange earnings. Your Company continues to engage with policymakers on these matters.

The Business will continue to provide strategic sourcing support to your Company's Cigarettes Business and fortify its leadership position as a major exporter of quality Indian tobacco, thereby catalysing the multiplier impact of increased farmer incomes on the rural economy. With its strong R&D capability, unique crop development & extension expertise, sustainability leadership, digital expertise, state-of-the-art processing facilities and deep understanding of customer & farmer needs, your Company is well positioned to meet the current and emerging requirements of global customers and sustain its position as a superior and reliable supply chain partner for sourcing world-class leaf tobacco.

Other Agri Commodities

Global agri-commodity trade witnessed significant disruption during the year, driven by sweeping tariff measures imposed by the United States, the ongoing West Asia conflict—which continues to remain a key

[10] *ASSOCHAM TARI Study (2019)*

Your Company's Agri Business has scaled significantly, with an annual throughput of appx. four million tonnes spanning 22 states and over 20 agri value chains, anchored in an integrated ecosystem that strengthens its resilience and competitiveness. The Business' strategic intent remains aligned with national priorities of climate resilient agriculture, enhancing agricultural productivity, improving market linkages and driving significant increase in farmers' incomes.

monitorable—and climate-related supply uncertainties in key producing regions. India was among the countries most affected, with reciprocal tariffs escalating sharply, adversely impacting India's competitiveness in several agri-commodities. The supply chain disruptions, including logistical challenges following the West Asia conflict towards the end of the year, led to deferrals of call-offs by certain customers. On the domestic front, the Government imposed stock limits and export restrictions on key agri-commodities to ensure food security.

Overall, the combination of global agri-trade disruptions and domestic policy constraints created a challenging environment for your Company's Agri Business during the year. Amidst such conditions, your Company leveraged its strong farm linkages, extensive sourcing expertise (viz. enabling traceable, attribute-based and identity-preserved sourcing of commodities), multi-modal logistics capability, agile supply chain operations, deep customer relationships, and focus on scaling up the Value-Added Agri Products (VAAP) portfolio to deliver a resilient performance during the year. Easing of US tariffs following bilateral trade negotiations, coupled with the progressive relaxation of restrictions supported by adequate food stock buffers and moderating inflationary pressures, augur well for the year ahead.

As reported in earlier years, your Company's Agri Business has scaled significantly, with an annual throughput of appx. four million tonnes spanning 22 states and over 20 agri value chains, anchored in an integrated ecosystem that strengthens its resilience and competitiveness. The Business' strategic intent remains aligned with national priorities of climate resilient agriculture, enhancing agricultural productivity, improving market linkages and driving significant increase in farmers' incomes.

The Business remains focused on its strategy to rapidly scale up its VAAP portfolio straddling multiple agri value chains including Spices, Coffee, Frozen Marine Products and Horticulture products, amongst others. Leveraging institutional strengths such as certified sourcing, advanced processing capabilities, customer-centric execution and digital platforms, including ITCMAARS, the portfolio further strengthened its competitive position, while simultaneously building new growth vectors in high-velocity channels. Committed to sustainable farm management practices backed by Rainforest Alliance and Global GAP accreditation, your Company has successfully strengthened farmer connections, improved traceability, and driven sustainable agricultural practices.

– Your Company's Spices Business strengthened its position as one of India's leading spice exporters, while maintaining its standing as the top exporter of organic spices.

  Tariff-related uncertainty in the US was partially mitigated by diversifying to other food-safe markets such as the EU and UK. The Business also strengthened its presence in the Emerging Market segment, expanding trade in geographies such as Indonesia, Thailand, and Sri Lanka. At the same time, it significantly accelerated domestic market expansion, leveraging e-Commerce, Quick Commerce, and direct-to-consumer channels.

  Organic spices remained a key growth driver, with volumes more than doubling during the year, supported by certified cultivation programmes and deep backward integration. The Business continues to scale up its Organic and Integrated Crop Management (ICM) programmes, expanding organic cultivation across multiple states to meet the growing demand for certified organic products. The Business remains committed to execution excellence and continues to maintain its unblemished track record in complying with stringent food safety standards. The proportion of customised products in the portfolio has increased considerably, underscoring your Company's strategic focus on premium offerings. The Business has also broadened its customer base across markets, initiating product partnerships with leading

[Your Company's Spices Business strengthened its position as one of India's leading spice exporters, while maintaining its standing as the top exporter of organic spices.]

global players and demonstrating strong customer acquisition capabilities alongside a commitment to building lasting relationships.

– Global coffee markets witnessed significant volatility during the year, largely driven by the United States, a major consuming market, imposing 50% tariff on imports from Brazil, the world's largest producer. While production in major origins like Brazil and Vietnam remained stable, India's output declined due to adverse monsoon conditions. Consequently, Indian green coffee export prices surged impacting export competitiveness and volumes.

  Leveraging its strategic sourcing presence in major coffee-growing regions of India and a sharper focus on certified, sustainably sourced coffees, the Business reinforced its position as one of the leading exporters. It strengthened its footprint in key international markets, particularly Europe and the Middle East, by capitalising on long-standing customer relationships, strong sustainability credentials, and agile execution.

– The frozen marine products segment was amongst the most severely impacted by the US tariff measures during the year, placing the country at a considerable disadvantage vis-à-vis competing origins such as Ecuador and Vietnam.

  Despite these challenges, your Company — one of India's leading exporters of value-added frozen marine products with strong capabilities in processing individually quick-frozen (IQF), raw and cooked products — delivered robust growth during the year, diversifying its export footprint to offset the disadvantage arising due to high US tariffs. The Business strengthened its position in the 'Aquaculture Stewardship Council' ASC-certified shrimp segment, significantly expanding certified farm acreage and aligning with evolving customer procurement priorities.

– As stated earlier, a significant portion of fruits and vegetables is wasted along the agri value chain owing to seasonal factors, inherent perishability and lack of economically viable cold-chain solutions. At the same time, evolving consumer preferences towards health foods and convenience are also leading to an increasing need for reliable, year-round availability of quality produce.

  Your Company's Fresh Fruits & Vegetables Business is uniquely positioned to address these challenges through a responsible and traceable supply chain, supported by ITCMAARS, extensive farmer linkages and FPO-anchored sourcing clusters. To augment year-round supply capabilities and secure premium-grade produce during lean periods, the Business is piloting investments in Controlled Environment Agriculture (CEA) facilities, which are expected to complement open-field sourcing and enhance overall supply chain resilience. This is expected to create significant value across the agri value chain for such produce.

– Your Company continues to enhance its capabilities in the Medicinal and Aromatic Plant Extracts (MAPE) business through exports of plant extracts, backward integration and cultivation programmes. Key ayurvedic ingredients such as ashwagandha and turmeric were scaled up through farmer engagement, improving traceability and quality assurance. With a view to moving up the value chain from generic to proprietary extracts, focused initiatives are being piloted by LSTC, including tie-ups for technical collaboration with reputed institutions, while medicinal crops research farm in Madhya Pradesh continues to support varietal development, seed production, and standardised agronomic practices.

Your Company continued to scale its presence in the maize value chain during the year, leveraging its sourcing infrastructure and FPO network to significantly expand its customer base across ethanol and starch manufacturers. The Business has established a robust supply chain for high-yielding, high-quality starch-grade maize varieties catering effectively to the requirements of these end-use segments. Your Company continues to drive agricultural

[Your Company continues to enhance its capabilities in the Medicinal and Aromatic Plant Extracts (MAPE) business through exports of plant extracts, backward integration and cultivation programmes.]

transformation at scale through ITCMAARS, a pioneering 'phygital' platform that integrates digital capabilities with on-ground engagement. ITCMAARS is a crop-agnostic, full-stack AgriTech platform that is enhancing procurement efficiency, optimising supply chains and creating new avenues for value generation, while delivering meaningful benefits to the farming community. Built on a strong physical layer anchored in FPOs and a digital layer through the ITCMAARS super-app, the initiative now spans over 2,100 FPOs and more than 2.6 million connected farmers across 11 states. The super-app, available in eight regional languages, enables wider access to advanced agronomy and decision support at scale through AI/ML-led predictive advisory, satellite-sensing enabled insights and the 'Krishi Mitra' GenAI voice assistant, while the physical layer enables access to biological inputs, drone-based precision farming, quality assaying, market linkages and rural services through FPOs and partners.

Aligned to sustainability goals of the organisation, emerging trends of consumer choices and the global regulatory landscape, ITCMAARS is building traceable value chains to enable 'Trust Systems at Scale'. Fully integrated, customised digital solutions are being developed for diverse compliance and certification requirements such as the EU Deforestation Regulation (EUDR), production and procurement of organic produce, and food-safe, residue-free commodities.

By seamlessly integrating digital capabilities with on-ground engagement through FPOs, ITCMAARS has significantly enhanced procurement efficiency at scale across multiple value chains, strengthened compliance readiness for evolving global standards, and created new avenues for value generation through adjacent businesses in agri-inputs, credit and rural services. The platform's integrated approach, combining advisory, input access and market linkages, enables your Company to translate evolving customer requirements around quality, traceability and compliance into on-ground production outcomes, creating value for both farmers and the Business.

During the year, your Company collaborated with the Department of Science & Technology, Government of India, under the 'Operation Dronagiri' initiative in Varanasi to deploy AI/ML-powered hyperlocal crop advisory through the ITCMAARS platform across 15 FPOs, covering over 27,000 wheat farmers and 39,000 acres. Independent assessments indicated appx. 15% yield improvements and nearly 30% increase in net returns for farmers adopting customised advisory, validating the potential of data-led, hyperlocal interventions to enhance farm productivity and incomes at scale. Building on these learnings, your Company will continue to strengthen and scale such science-backed solutions through ITCMAARS, while sharpening competitiveness across value-accretive agri-commodity chains.

Your Company's vast sourcing network holds enormous potential to create value across several agri chains. Through AI/ML models, your Company is building expertise in data-science led decision support systems to enhance agility and responsiveness across agri value chains. Such systems deepen the sourcing capabilities to dynamically respond to evolving conditions across multiple sourcing dimensions and make optimal decisions across temporal and spatial vectors.

These capabilities and infrastructure provide a structural advantage by enabling assurance of quality, traceability and competitiveness in sourcing agri raw materials, thereby supporting the growth strategy of your Company's Branded Packaged Foods Businesses.

– The Business continued to play a pivotal role in assuring benchmark-quality wheat and supply security to support the growing requirements of the 'Aashirvaad' atta portfolio. Leveraging a wide sourcing network, direct farm linkages including FPOs, and robust crop development initiatives, the Business ensured timely and cost-competitive procurement of critical grades of wheat. Digitally enabled sourcing capabilities supported scale and speed, while crop development efforts were intensified to improve

ITCMAARS is a crop-agnostic, full-stack AgriTech platform that is enhancing procurement efficiency, optimising supply chains and creating new avenues for value generation, while delivering meaningful benefits to the farming community. The initiative now spans over 2,100 FPOs and more than 2.6 million connected farmers across 11 states.

climate resilience, enhance yields and secure premium varieties, thereby reinforcing product quality and consumer experience. Direct sourcing from FPOs through ITCMAARS has now scaled up to about 40% of the wheat sourced for 'Aashirvaad Atta' and Agri Business, leading to significant procurement related efficiencies and quality enhancement.

– During the year, the farmer-driven milk procurement network in Bihar, West Bengal and Jharkhand was strengthened to support the growing requirements of the Fresh Dairy portfolio under the 'Aashirvaad Svasti' brand. The Business deepened farmer partnerships and further enhanced transparency and efficiency through digitally enabled collection and direct farmer payments. Tailored dairy extension services spanning animal nutrition, health and productivity were scaled up, improving yields and reinforcing farmer loyalty. These initiatives enhanced farmer profitability while ensuring a consistent supply of superior-quality, attribute-specific milk aligned with brand requirements, thereby enabling continued portfolio expansion and innovation.

– The Business continued to scale up sourcing across a wide range of spices to support the growth requirements of the 'Sunrise' and 'Aashirvaad' brands, with a sharper focus on food safety, traceability and consistent supply.

– Going forward, your Company's dedicated organic sourcing capabilities—underpinned by specialised farm linkages and end-to-end traceability—will provide a clear competitive advantage for its organic portfolio across FMCG Businesses, by assuring authenticity, regulatory compliance and consistent quality.

The Business strengthened its collaborations with leading research institutions across India to build cost-effective, high-yielding and resilient agri value chains. By mapping climate hotspots and advancing regenerative agriculture, your Company introduced location-specific seed varieties and tailored agricultural practices in key states. This approach is aimed at enhancing crop intelligence, reducing GHG emissions and improving soil health. Additionally, efforts to increase farm income were supported through the development of customised agri-inputs, laying the foundation for sustainable, future-ready food products.

Your Company became the first in India to receive the global Farm Sustainability Assessment (FSA) 3.0 Silver benchmark for wheat and paddy, independently audited by the SAI Platform. This milestone, achieved by working closely with over 3,500 farmers across 70+ FPOs in Uttar Pradesh and Bihar covering 22,000 acres, reinforces your Company's commitment to building traceable, sustainable agri value chains and further strengthens its positioning as a preferred partner for leading global buyers who seek sustainability credentials in procurement decisions.

Through a wide spectrum of initiatives including climate-resilient farming, natural resource management, competitive value chain development, cutting-edge digital interventions and robust market linkages, your Company is enabling Indian agriculture to scale new horizons while advancing national priorities and delivering sustainable impact.

Your Company's ability to deliver resilient performance across agri value chains, even amidst volatility, is anchored in structural advantages that are difficult to replicate. These include deep farmer linkages spanning millions of growers across multiple states, integrated crop development programmes, and a full-stack digital ecosystem in ITCMAARS enabling end-to-end traceability and comprehensive engagement with the farming community. Built through years of sustained investment, these differentiated capabilities make the Agri Business well-poised to capture emerging opportunities across value-accretive agri-commodity chains.

NOTES ON SUBSIDIARIES

The following may be read in conjunction with the Consolidated Financial Statements of your Company prepared in accordance with Indian Accounting Standard 110. Shareholders desirous of obtaining the Report and Accounts

Your Company became the first in India to receive the global Farm Sustainability Assessment (FSA) 3.0 Silver benchmark for wheat and paddy, independently audited by the SAI Platform.

of your Company's subsidiaries may obtain the same upon request. Further, the Report and Accounts of the subsidiary companies is also available under the 'Investor Relations' section of your Company's corporate website, www.itcportal.com, in downloadable format.

As stated above, your Company acquired 100% shareholding in Sresta Natural Bioproducts Private Limited ('Sresta') – an Indian company primarily engaged in the business of manufacture and sale of organic packaged food products (staples, spices, processed foods, etc.) under the brand name '24 Mantra Organic' in the domestic as well as international markets, directly and through its two wholly-owned foreign subsidiaries, namely Fyve Elements LLC in the USA and Sresta Global FZE in the UAE.

The Board of Directors of your Company on 1st August, 2025, in order to fully realise the envisaged synergy benefits for acquisition of Sresta and to carry on combined operations more efficiently and economically, approved the Scheme of Amalgamation of Sresta and Wimco Limited ('Wimco') with your Company ('Scheme'). The Scheme was sanctioned by the Honourable National Company Law Tribunal ('NCLT'), Kolkata and Hyderabad Benches. Since all the requisite formalities have been completed, the aforesaid amalgamation has been given effect to in the Financial Statements from the respective Appointed Dates i.e. 1st April, 2025 for Wimco and 13th June, 2025 for Sresta. Accordingly, the two subsidiaries of Sresta viz., Sresta Global FZE, UAE and Fyve Elements LLC, USA, have become direct wholly-owned subsidiaries of the Company. Sresta and Wimco will be dissolved with effect from 1st June, 2026.

Your Company's Policy for determination of a material subsidiary, in conformity with Regulation 16 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015, can be accessed on your Company's corporate website at www.itcportal.com/material-subsidiary-policy. Presently, your Company does not have any material subsidiary.

Surya Nepal Private Limited

Nepal's GDP grew by 4.6% in real terms during the fiscal year ended 16th July, 2025, up from 3.7% in the previous year. This was primarily driven by recovery in manufacturing, construction and trade, coupled with expansion in the hydropower sector, even as the agriculture sector remained subdued owing to erratic monsoons. With consumer price inflation remaining range-bound during the year, the Nepal Rastra Bank continued with its accommodative monetary policy stance.

Nepal witnessed political unrest in September 2025, causing substantial disruption in economic activity for about six months, leading eventually to a change in the Government in March 2026. Real GDP growth for fiscal year 2025-26 is expected to moderate to 3.0%[11], largely reflecting the impact of the disruptions during this period and the continued weakness in agricultural performance. During the first eight months of the fiscal year (ended 15th March, 2026), food inflation increased by 3.6% (compared to 3.3% previous year). However, inward remittances, which account for appx. 28% of GDP, grew by 38% in the first 8 months of the current financial year, providing support to domestic demand.

The new Government has announced a wide range of initiatives, inter alia, towards strengthening governance, modernising public service delivery, digital transformation and ease of doing business. A stable government, resilient remittance inflows, and low interest rates are expected to underpin growth in the near term. Real GDP growth for fiscal year 2026-27 is expected to recover to 4.6%[11]. However, risks arising from geopolitical developments, particularly the West Asia disruptions, may weigh on remittance inflows, add to inflationary pressures and pose downside risks to overall economic growth.

Structural reforms aimed at fostering domestic and foreign investments, enabling private sector growth, strengthening local manufacturing, and supporting sectors that create large economic multiplier effect remain critical to achieve sustained economic growth.

The legal cigarette industry provides livelihoods to over five lakh people involved in tobacco cultivation, manufacturing & trade and makes a significant contribution to the revenue collection of the Government of Nepal. Despite its far-reaching economic impact, the legal cigarette industry continues to face significant challenges from an increasingly punitive & discriminatory taxation, and regulatory regime. The company continues to engage with policy makers for equitable, pragmatic, evidence-based regulations and taxation policies that balance the economic imperatives of the country and tobacco control objectives.

[11] As per IMF estimates April'26

The company delivered a robust performance during the year, despite the challenging operating environment. The Cigarette business reinforced its market standing by leveraging its robust portfolio, complemented by new launches & superior product quality, and a wide distribution network. Additionally, several initiatives were undertaken to enhance product quality and efficiency.

The company's manufacturing systems continued to be agile and set new benchmarks in quality and productivity. Digital initiatives were undertaken across the manufacturing chain to, inter alia, drive operational excellence and enhance quality assurance. Relentless focus on developing world-class products, anchored on innovation and benchmarked to international quality standards, remains a key source of sustainable competitive advantage for the company.

In the Foods business, the company scaled up distribution and availability of 'Sunfeast Dark Fantasy Choco Fills' biscuits, which coupled with focused brand building investments, enabled premium positioning for the brand in the market. In the Confectionery portfolio, the company continued to make focused investments towards enhancing its market standing. The company has successfully scaled up its 'Sunfeast Dark Fantasy Choco Rolls', manufactured at its state-of-the-art manufacturing facility in Biratnagar, by leveraging a strong distribution network. The product has received encouraging consumer response and is being scaled up in target markets.

To promote authentic 'Made in Nepal' products globally, the company recently launched an ultra-premium, unifloral Himalayan chestnut honey under the brand name 'Marani' in the U.S. market. A dedicated direct-to-consumer portal - www.himalayantreasures.com is also operational.

The company's wholly-owned subsidiary, Surya Nepal Ventures Private Limited, engaged in manufacturing and sales of Agarbatti, continued to strengthen its market standing leveraging its differentiated product portfolio, sharply focused marketing investments and best-in-class product availability across target markets. The 'Mangaldeep' range of products straddles all segments and price points, offering consumers Agarbattis in a variety of fragrances and packaging formats, backed by a robust trade marketing and distribution infrastructure.

The company continues to make multi-dimensional contributions towards building the societal and economic capital of Nepal. In line with applicable regulations and CSR policy, the company carried out initiatives under four distinct CSR Platforms, namely, Surya Nepal *Asha*, Surya Nepal *Prakriti*, Surya Nepal *Adharshila* and Surya Nepal *Gatha* during the year. Key interventions include:

- providing assistance to farmers in areas proximal to the company's operations,
- creation of agri-infrastructure such as vermicompost pits, harvesting sheds, etc.,
- providing training to improve productivity and enhance income generation for farmers through animal husbandry,
- improvement in the quality of education in public schools in the vicinity of the company's operating locations,
- development of public infrastructure in the catchment areas of operating locations,
- assistance in various environment preservation measures like urban plantation and preservation of biodiversity,
- support in organising the largest Nepali literature festival and assistance in promotion and revival of the local Nepali folk musical instrument – 'Sarangi' through various training programs and workshops.

During the year, the company recorded Revenue from Operations of NRs. 5669 crores (previous year NRs. 5293 crores) and Net Profit of NRs. 1289 crores (previous year NRs. 1172 crores) on a consolidated basis.

The company declared a dividend of NRs. 303 per equity share of NRs. 50 each for the year ended 15th July, 2025 (32nd Asadh, 2081), amounting to NRs. 1222 crores (previous year NRs. 273 per equity share of NRs. 50 each amounting to NRs. 1101 crores).

The company remains one of the largest contributors to the exchequer in Nepal and is well-positioned to consolidate its leadership position by leveraging its robust portfolio of products, deep & wide distribution network, best-in-class manufacturing facilities and execution excellence. The company continues to rapidly scale-up the newer FMCG businesses and evaluate emerging opportunities in this space.

ITC Infotech India Limited and its subsidiaries

During the year, the Indian IT services industry faced headwinds due to weak discretionary client spending, delayed project decision making and 'AI deflation' where AI adoption compressed revenues for traditional services. This was compounded by global macro-economic uncertainty & geopolitical developments. Notwithstanding such challenges, the company delivered a strong performance during the year with revenue growth of appx. 14%, ranking it amongst the fastest-growing companies in the Indian IT services industry. Further, the company achieved a lifetime high Customer Experience Score, ranking amongst the highest in the Indian IT services industry.

The global technology industry is at an inflection point, transitioning towards an era of intelligent and integrated operations, driven by the widespread adoption of Generative Artificial Intelligence (GenAI) and cloud-native architectures. India's technology sector is also witnessing a pivotal shift, as AI adoption is scaling up from experimentation to wider enterprise scale deployment. This transition is, inter alia, driving a shift in the delivery model from effort-based to outcome-based services. Service providers that pair deep domain expertise with AI deployment at scale, are best placed to win in this fast-evolving operating landscape.

Against this backdrop, the company remains focused on driving accelerated growth anchored in its core strategy pillar of customer-centricity. During the year, the company established new engineering hubs in Riyadh (Middle East markets) and Melbourne (APAC market), and extended its footprint within India with new centres in Hyderabad, Pune and Mumbai. With AI-led services being central to this expansion, the company also set up Global AI Labs in Bengaluru, Kolkata and Pune, with each Lab being aligned to a hyperscaler partner. Customer experience remains a key priority for the company; Customer Experience Centers in Bengaluru and Kolkata, which function as digital co-creation hubs, as well as the engineering hubs in Riyadh and Melbourne help accelerate ideas from 'proof of concept' to enterprise-scale deployment for customers.

In response to the significant shifts in the IT Services industry as stated above, the company is rapidly re-architecting its operating model to being "Led by Industry Domain. Measured by Business outcomes. Deployed at Scale." Investments are being stepped up in capability building towards addressing the emerging value pools viz. Agentic Re-imagination of legacy service offerings such as Application Management, Infrastructure, SAP, Testing & Data Services; 'Agentification' of business services; Full stack Agentic Platforms for building, deploying and scaling autonomous agents; AI-led Solutions for focus verticals such as Hospitality, Manufacturing & Consumer Packaged Goods; and Re-engineering 'Data for AI'.

Attracting, training, and retaining high-quality talent, particularly in niche and NextGen technologies, remains a top priority to succeed in the future. In this context, the company scaled up structured upskilling programs in GenAI, Automation and Modern Engineering across the organisation, strengthening the blend of AI readiness and domain expertise. The company advanced its AI talent readiness through a structured, enterprise-wide capability program anchored in the AI League framework, spanning foundational, practitioner, builder and innovator tracks across 10,000+ employees in sales, delivery and enabling functions.

The company's investments in technology-led solutions and dedicated AI & Innovation Labs received recognition during the year from partners and analysts. K-Fabrik™ (a composable platform to build, deploy and govern enterprise-scale Generative and Agentic AI) was declared a Winner at the 16th Aegis Graham Bell Awards for Innovation in GenAI - AI Infra, Orchestration & Platforms, and HFS Research recognised the ITCMAARS (Metamarket for Advanced Agriculture and Rural Services) platform as a global benchmark for Agri-Tech transformation.

The company is making sustained progress by effectively leveraging the momentum of its recent acquisitions - Blazeclan Technologies, a cloud consulting firm with capabilities across AWS, Azure and GCP, and a part of PTC's product lifecycle management (PLM) consulting and professional services business. Inorganic opportunities continue to be pursued in strategic priority areas towards strengthening and scaling the portfolio of offerings.

During the year, the company's consolidated Revenue from Operations stood at ₹ 4835.00 crores (previous year ₹ 4244.83 crores). Profit Before Tax and Exceptional items stood at ₹ 667.37 crores (previous year ₹ 620.76 crores) while Net Profit for the year stood at ₹ 407.78 crores (previous year ₹ 449.82 crores).

For the year under review:

a) ITC Infotech India Limited recorded Revenue from Operations of ₹ 3488.76 crores (previous year ₹ 3204.32 crores) and Net Profit of ₹ 497.08 crores (previous year ₹ 466.62 crores). The company paid a total dividend of ₹ 41.25 per Equity Share of ₹ 10/- each aggregating ₹ 374.76 crores (previous year ₹ 53.75 per Equity Share of ₹ 10/- each aggregating ₹ 488.32 crores).

b) ITC Infotech Limited, UK, a wholly-owned subsidiary of the company, recorded Revenue of GBP 31.53 million (previous year GBP 28.80 million) and Net Profit of GBP 1.60 million (previous year GBP 1.33 million).

c) ITC Infotech (USA), Inc., a wholly-owned subsidiary of the company, together with its wholly-owned subsidiary Indivate Inc., recorded Revenue of US$ 155.61 million (previous year US$ 160.71 million) and Net Profit of US$ 7.03 million (previous year US$ 6.53 million).

d) In the recent past, ITC Infotech India Limited has also set up subsidiary companies in Brazil, Mexico, France, Germany, Italy, Malaysia and Saudi Arabia. Further, the company acquired Blazeclan Technologies Private Limited and its subsidiaries based in several countries including Singapore, Australia, Malaysia, Belgium, New Zealand, USA, Canada and Philippines. Please refer to Form AOC-1 (Statement containing salient features of the financial statements of Subsidiaries / Associate companies / Joint Ventures), forming part of the Report and Accounts, for details on financial performance of these companies.

The company remains confident that its strong foundation of deep domain knowledge, technological capabilities and global talent pool will enable it to deliver top quartile industry growth in the years ahead. It will continue to drive scale and long-term differentiation by deepening key client relationships and amplifying its vertical-specific portfolio of technology offerings, while scaling its platforms and strengthening strategic alliances with hyperscalers across its focus areas viz. GenAI and Agentic AI, Digital, Data & Analytics, Cloud and Infrastructure Services. With sustained investments in building the capabilities of the future and in attracting, training and retaining the right talent — anchored in a customer-focused, employee-centric and high-performance culture — the company is well positioned to deliver enduring and profitable growth.

Technico Agri Sciences Limited

During the year under review, potato production in India stood at appx. 58.6 million MT, representing an increase of 2.7% over the previous year. Higher output coupled with improved availability of premium quality seed potatoes resulted in subdued realisations during the year.

Amidst these market conditions, the company focused on consolidating its relationship with the farming community. Strategic initiatives of the company included expanding geographic presence across India, strengthening distribution in secondary & tertiary markets, and leveraging emerging opportunities in key markets such as West Bengal during peak seed sales season, supported by its strong brand value. These interventions enabled the company to record its highest ever revenue from seed sales during the year.

The company continues to consolidate its leadership in production of early generation seed potatoes, underpinned by strong agronomy capabilities. This remains integral to supporting the 'Bingo!' range of potato chips of your Company, while also addressing the seed potato requirements of the farmer base of your Company's Agri Business.

The company's Revenue from Operations stood at ₹ 416.16 crores (previous year ₹ 383.68 crores) with Net Profit of ₹ 79.89 crores (previous year ₹ 83.76 crores). Total Comprehensive Income for the year stood at ₹ 80.01 crores (previous year ₹ 83.71 crores).

The company declared an interim dividend of ₹ 6.5 per equity share of ₹ 10 each for the year ended 31st March, 2026, amounting to ₹ 24.68 crores (previous year Nil).

The company continues to build on a strong foundation for the future and remains confident of leveraging its deep domain expertise to strengthen farmer relationships, crucial for developing high yield and climate resilient seed varieties and fortify its market standing in the seed potato industry.

Technico Pty Limited and its subsidiaries

The company continues to focus on advancement and commercialisation of its proprietary TECHNITUBER® Seed Technology, alongside ongoing efforts to customise the agronomic practices for effective deployment across various geographies. In parallel, the company is actively engaged in the global marketing of TECHNITUBER® seed produced at the facilities of its subsidiaries in China and Technico Agri Sciences Limited, India (a wholly-owned subsidiary of your Company). For the year under review:

a. Technico Pty Limited, Australia registered a turnover of Australian Dollars (A$) 2.99 million (previous year A$ 2.86 million) and a Net Profit of A$ 2.55 million (previous year A$ 1.51 million).

b. Technico Technologies Inc., Canada, Technico Asia Holdings Pty Limited, Australia, and Technico Horticultural (Kunming) Co. Limited, China – there were no material developments to report during the year.

The company declared a dividend of A$ 0.55 per share of A$1 each for the year ended 31st March, 2026, amounting to A$ 5,508,526 (previous year A$ 5,007,752).

North East Nutrients Private Limited

Your Company holds 76% equity stake in North East Nutrients Private Limited (NENPL), which owns a food processing facility in Mangaldoi, Assam, catering to the biscuits market in Assam and other North-Eastern states.

The company continues to focus on consistently improving operational efficiency and productivity. In recognition of its high standards of manufacturing excellence and quality, the company continues to receive industry recognition at the national and regional levels. NENPL received four Gold Awards at the Convention on Quality Concepts 2025, organised by the Quality Circle Forum of India, Durgapur Chapter. The company also received one Platinum & two gold awards in CII Kaizen competition 2025, two gold awards in CII National Technology Competition 2025 and a Jury Champion Award in CII Champions Trophy 2025.

The company's Revenue from Operations for the year stood at ₹ 158.44 crores (previous year ₹ 158.87 crores), while Net Profit for the year was ₹ 11.00 crores (previous year ₹ 13.63 crores). Total Comprehensive Income for the year stood at ₹ 11.01 crores (previous year ₹ 13.60 crores).

For FY 2025-26, the Board of Directors of NENPL has recommended a final dividend of ₹ 1.50 per equity share of ₹ 10 each, aggregating ₹ 10.95 crores (previous year final dividend of ₹ 2.00 per equity share of ₹ 10 each, aggregating ₹ 14.60 crores).

ITC IndiVision Limited

The company is engaged in the manufacture and export of nicotine and nicotine derivative products. The company's manufacturing facility, situated near Mysuru, has the capability to produce purest nicotine derivatives conforming to US and EU pharmacopoeia standards. During the year, the company undertook extensive product development initiatives, customer trials and business development efforts. The company made good progress during the year, with commercial shipments scaling up in the latter half of the year, and is well positioned to expand the business going forward.

For the financial year ended 31st March, 2026, the company recorded Total Income of ₹ 69.31 crores (previous year ₹ 10.51 crores) and EBITDA of ₹ 17.51 crores (previous year EBITDA loss of ₹ 18.54 crores).

ITC Fibre Innovations Limited

The company manufactures Moulded Fibre Products made from renewable natural fibres such as wood, bamboo, bagasse & wastepaper and offers sustainable packaging solutions across industries, including food service & delivery, pharmaceutical, FMCG and electronics.

Backed by a state-of-the-art manufacturing facility at Badiyakhedi, Madhya Pradesh, equipped with advanced thermoforming machines and inline high-speed trimming systems, the company is pursuing opportunities in a rapidly evolving sustainable packaging solutions space. The company has the unique capability to manufacture complex high volume Moulded Fibre Products in India.

During the year, the company carried out extensive prototyping and sampling to support the development of Next-Gen products; however, it faced challenges largely due to disruptions arising from US tariff changes. Plans are on the anvil to accelerate growth through focused market development anchored on a differentiated MFP portfolio leveraging innovation and agile operations.

For the financial year ended 31st March, 2026, the company recorded Total Income of ₹ 5.43 crores (previous year ₹ 4.61 crores) with EBITDA loss of ₹ 26.39 crores (previous year loss of ₹ 17.57 crores) primarily on account of product stabilisation expenses.

Russell Credit Limited

The company recorded Total Income of ₹ 75.10 crores (previous year ₹ 71.91 crores) and Net Profit of ₹ 51.12 crores (previous year ₹ 47.49 crores). Growth in Total Income was driven by higher surplus liquidity during the year.

Temporary surplus liquidity of the company is mainly deployed in bonds, debt mutual funds, bank fixed deposits, certificate of deposits, etc. The company continues to closely monitor its investments in line with market interest rate movements and explore opportunities to make strategic investments for the ITC Group.

For FY 2025-26, the company declared final dividend of ₹ 0.394 per Equity Share of ₹ 10 each, aggregating ₹ 25.47 crores (previous year final dividend of ₹ 0.36 per Equity Share of ₹ 10 each, aggregating ₹ 23.27 crores).

The Board and the shareholders of the company have approved reduction of the Equity Share Capital of the company from ₹ 646.48 crores to ₹ 246.48 crores, by way of cancelling and extinguishing 40 crores fully paid-up Equity Shares of ₹ 10 each and returning the amount of ₹ 400 crores to your Company (owning 100% stake in the company). The said capital reduction, which is subject to confirmation by the NCLT, Kolkata Bench, is expected to conclude in FY 2026-27.

Gold Flake Corporation Limited

The company holds 50% equity stake in ITC Filtrona Limited.

During the year, the company recorded Total Income of ₹ 30.76 crores (previous year ₹ 25.11 crores) and Net Profit of ₹ 29.30 crores (previous year ₹ 23.80 crores). The company declared interim dividend of ₹ 17.60 per Equity Share of ₹ 10 each, aggregating ₹ 28.16 crores (previous year ₹ 14.10 per Equity Share of ₹ 10 each, aggregating ₹ 22.56 crores).

Greenacre Holdings Limited

The company provides maintenance services for commercial office buildings, EPC (engineering, procurement, construction) management services as well as project management consultancy services.

During the year, the company recorded Total Income of ₹ 16.72 crores (previous year ₹ 13.46 crores) and Net Profit of ₹ 3.61 crores (previous year ₹ 7.23 crores).

ITC Integrated Business Services Limited

The company is in the business of providing support to the Business Shared Services operations of your Company and its related entities.

During the year, the company recorded Total Income of ₹ 22.08 crores (previous year ₹ 21.50 crores) and Net Profit of ₹ 1.35 crores (previous year ₹ 1.41 crores).

MRR Trading & Investment Company Limited

The company, a wholly-owned subsidiary of ITC Integrated Business Services Limited, holds tenancy rights in a commercial building located in Mumbai and also provides estate maintenance services. During the year, the company recorded Total Income of ₹ 9.18 lakhs (previous year ₹ 7.58 lakhs) and Net Profit of ₹ 0.73 lakh (previous year ₹ 0.41 lakh).

Pavan Poplar Limited

The operations of the company had been adversely impacted pursuant to the order of the Honourable High Court of Uttarakhand at Nainital in February 2014 ('Order'), dismissing the Writ Petition filed by the company against the order of the District Magistrate authorising the State authorities to take possession of the land leased to the company. The company had filed an appeal against the Order.

Considering the time and resources involved, the company withdrew the said appeal with the approval of the Honourable High Court and applied for voluntary liquidation. The company was admitted to the voluntary liquidation process on 1st August, 2025 under the provisions of the Insolvency and Bankruptcy Code, 2016 read with applicable rules and a liquidator was appointed by the NCLT, Mumbai Bench.

The dissolution petition has been filed by the Liquidator with the NCLT, Mumbai Bench, with the final order currently pending.

Prag Agro Farm Limited

The operations of the company were adversely impacted pursuant to the order of the Honourable High Court of Uttarakhand at Nainital in February 2014 ('Order') dismissing the writ petition filed by the company against the order of the District Magistrate authorising the State authorities to take possession of the land leased to the company. The company had filed an appeal against the Order.

Considering the time and resources involved, the company withdrew the said appeal with the approval of the Honourable High Court and applied for voluntary liquidation. The company was admitted to the voluntary liquidation process on 1st August, 2025 under the provisions of the Insolvency and Bankruptcy Code, and a liquidator was appointed by the NCLT, Mumbai Bench.

The company was dissolved vide NCLT order approving the dissolution, with effect from 10th December, 2025.

Fyve Elements LLC

Fyve Elements LLC (Fyve) was incorporated in the state of Maryland, USA and is a wholly-owned subsidiary of your Company, engaged in the business of wholesale and retail distribution of a range of organic packaged food products in the USA primarily under the '24 Mantra Organic' brand.

During the year ended 31st March, 2026, the company's Revenue from Operations stood at US$ 16.69 million (previous year US$ 14.74 million). Net Profit during the year stood at US$ 0.17 million (previous year loss US$ 0.13 million).

Sresta Global FZE

Sresta Global FZE was incorporated in Ras Al Khaimah, United Arab Emirates and is a wholly-owned subsidiary of your Company, engaged in the business of sale of organic packaged food products under the '24 Mantra Organic' brand.

During the year ended 31st March, 2026, the company's Revenue from Operations stood at US$ 0.76 million (previous year US$ 0.70 million).

NOTES ON JOINT VENTURES

ITC Filtrona Limited – a joint venture of Gold Flake Corporation Limited

The company demonstrated a resilient performance despite a challenging operating environment during the year, supported by agility in execution and effective customer service.

The company sustained its leadership position in the industry, consolidating its status as the preferred supply chain partner for several well-known national brands. The company continues to leverage its core strengths of focused innovation, best-in-class quality, consistent delivery, and strong customer relationships.

The company continues to partner with its customers and invest in technology upgradation and capability building towards sustaining its position as the 'innovation and quality benchmark' in the Indian cigarette filter industry.

During the year ended 31st March, 2026, the company's Revenue from Operations stood at ₹ 859.20 crores (previous year ₹ 761.34 crores). Net Profit during the year stood at ₹ 82.77 crores (previous year ₹ 83.85 crores).

The Board of Directors of the company has recommended a dividend of ₹ 133 per equity share of ₹ 10 each for the year ended 31st March, 2026 (previous year ₹ 125 per equity share).

Logix Developers Private Limited (LDPL)

Logix Developers Private Limited is a joint venture between your Company and Logix Estates Private Limited for developing a luxury hotel-cum-service apartment complex at LDPL's leasehold site located at Sector 105 in New Okhla Industrial Development Authority (NOIDA).

Your Company presently holds 27.9% equity stake in LDPL. As reported in prior years, your Company reiterated its position with the JV partner that it was committed to developing a luxury hotel-cum-service apartment complex as envisaged under the JV Agreement and that it was not interested in progressing with any alternative project plans proposed by the JV partner. However, the JV partner refused to progress the project and instead expressed its intent to exit from the JV by selling its stake to your Company. Subsequently, the JV partner proposed that both parties should find a third party to sell the entire shareholding in LDPL. In view of these developments, your Company had filed a petition before the erstwhile Company Law Board submitting that the affairs of the JV entity were being conducted in a manner that was prejudicial to the interest of your Company and the JV entity. The matter is currently before the NCLT. The JV partner had also filed a petition before the Honourable Delhi High Court for winding up the JV company, which was transferred to the NCLT by the Honourable Delhi High Court. The matter was heard before the NCLT on several occasions in the past but could not be concluded. On 21st January, 2020, the matter was assigned to a new bench, post which hearings on the matter are being held.

In July 2022, LDPL received a communication from NOIDA authorities intimating cancellation of the sub-lease for the land on which the project was to be constructed on account

of non-payment of lease instalments and non-fulfilment of the conditions of the sub-lease, including forfeiture of the amount deposited. The company is evaluating all options to pursue its rights in the matter. Consequently, as a matter of prudence, the company had derecognised the leasehold land / assets as well as adjusted / reversed the lease liabilities towards NOIDA in accordance with the terms of the sub-lease deed, in its financial statements for the year ended 31st March, 2022.

During the year ended 31st March, 2026, the company recorded a Net Profit of ₹ 0.23 crore (previous year ₹ 0.25 crore). The Net Worth of the company stood at ₹ 5.80 crores as at 31st March, 2026 (previous year ₹ 5.57 crores).

Your Company's total investment in LDPL was ₹ 41.95 crores. Your Company had made provision of the entire investment amount as diminution in the carrying value of investment in the previous years and consequently the carrying value of your Company's investment in LDPL as at 31st March, 2026, is Nil.

The financial statements of LDPL for the year ended 31st March, 2026, are yet to be approved by its Board of Directors. In the absence of audited financial statements of LDPL, the Consolidated Financial Statements of your Company for the year ended 31st March, 2026, have been prepared based on the financial statements prepared by the management of LDPL.

NOTES ON ASSOCIATES

ITC Hotels Limited

ITC Hotels Limited ('ITCHL') became an associate of your Company consequent to the demerger of your Company's Hotels business (excluding ITC Grand Central, Mumbai) effective from 1st January, 2025. Your Company holds 39.85% stake in ITCHL as at 31st March, 2026.

The year marked five decades since the commencement of the Hotels business in 1975 with Welcomhotel Chennai. Over the last 50 years, the business has evolved from a single landmark hotel into a scaled and institutionally strong enterprise, underpinned by strong brand equity, robust operating capability and globally acclaimed cuisine excellence.

ITCHL stands amongst India's fastest growing hospitality companies with a diverse portfolio, comprising more than 150 hotels and 14,000 keys. The company operates across multiple hotel brands, catering to different market segments, and is recognised for its world-class properties, iconic brand architecture, signature culinary offerings, and superior service standards. Anchored in its 'Responsible Luxury' ethos, the company embeds sustainability across design, operations, and guest experience.

During the year, the Indian hospitality industry witnessed steady growth, supported by resilient domestic demand, amidst intermittent external disruptions through the year. After a strong start, travel momentum softened due to a confluence of factors, including geopolitical disruptions, aviation incidents, adverse weather events and the West Asia conflict.

Navigating this challenging operating environment with operational agility and disciplined execution, ITCHL delivered resilient performance with 16% growth in Consolidated Revenue and 37% growth in Consolidated Profit Before Tax[12]. Robust Occupancy and Average Daily Rate (ADR) growth, driven by sustained demand and smart revenue management, boosted overall Revenues. During the year, ITCHL's subsidiary, WelcomHotels Lanka (Private) Limited, achieved a significant milestone as ITC Ratnadipa, Colombo turned cash positive within its first full year of operations along with the commencement of delivery of Sapphire Residences.

In line with its 'Asset-Right' growth strategy, ITCHL continued to scale its portfolio through strategic investments in high-potential locations and actively partner with asset owners to expand its presence across Tier-II and Tier-III cities. During the year, new hotel projects were announced at Visakhapatnam and New Delhi. The hotel at Visakhapatnam is envisaged to address the city's growing demand from IT and data centres, industrial and port-led business travel, further strengthening ITCHL's presence on the eastern coast. The hotel at Yashobhoomi Complex, New Delhi, with contemporary banqueting infrastructure and signature cuisine offerings is expected to leverage Yashobhoomi's positioning as a global hub for conventions, exhibitions and marquee events. Construction is progressing well on the ongoing projects at Puri and Welcomhotel Bhubaneswar. The company also unveiled a new premium brand 'Epiq Collection', focused on sustainability, culinary innovation and design sophistication, to further strengthen its premiumisation strategy.

[12] *Before Exceptional Items*

ITCHL's leadership in sustainable and people-first practices was reaffirmed during the year through global and domestic industry recognitions, including being named the *World's Leading Sustainable Organisation* and *World's Leading Sustainable Employer* at the World Sustainable Travel & Hospitality Awards 2025, and being ranked #5 in India and #45 in Asia among the *Best Companies to Work For 2025* by Great Place To Work.

The outlook for the Indian hospitality sector remains positive, driven by sustained domestic demand and travel premiumisation across leisure, business, weddings, MICE and religious tourism. This broad-based growth has reduced dependence on international arrivals, significantly enhancing the sector's stability. Recent policy measures such as GST rationalisation and monetary easing are anticipated to further bolster discretionary consumer spends in the near term. Leveraging strong brand equity, sustainability leadership, institutional strengths, and the sectoral tailwinds, ITCHL is well-poised to create sustained value for all stakeholders.

The Board of Directors of the company has recommended a dividend of ₹ 1.00 per equity share of ₹ 1.00 each for the financial year ended 31st March, 2026, for approval of its shareholders (previous year: Nil).

Ample Foods Private Limited

In February, 2025, your Company signed Definitive Agreements for the acquisition of 100% of the share capital of Ample Foods Private Limited (Prasuma), in one or more tranches, over a period of about three years. Your Company completed the first tranche of acquisition of 43.75% stake in Prasuma on 4th April, 2025.

Prasuma is a leading player in the frozen, chilled and ready to cook foods space in India and operates with 'Prasuma', 'Meatigo' and 'Prasuma Momo Kitchen' brands, specialising in oriental cuisine (viz. Momos, Spring rolls, Baos, Korean fried chicken), high-quality delicatessens & raw meats and others. Prasuma offers a wide assortment of 300+ products, backed by strong expertise in developing innovative 'Good-for-You' products, and has been a pioneer in frozen products like Baos, Korean fried chicken, Schezwan momo meal, etc. Prasuma is a strong strategic fit with your Company's Frozen Foods business (under the 'ITC Master Chef' brand) and will enable your Company to expand its portfolio in this fast growing space.

During the year, the company augmented its product portfolio with the launch of five new variants of Momos & Sausages, viz. Chicken Cheese & Onion Sausage, Chicken Pepper & Herb Sausage, Cheese & Chicken Momos, Whole Wheat Momos Veg & Paneer and Whole Wheat Momos Chicken.

Sproutlife Foods Private Limited

Sproutlife Foods Private Limited (Yoga Bar) operates in the fast-growing, nutrition-led health food space with a diversified product portfolio across multiple categories including bars, breakfast cereals, etc. under the 'Yoga Bar' brand. As at 31st March, 2026, your Company's stake in Sproutlife Foods Private Limited stands at 47.5%, on a fully diluted basis with cumulative investment of ₹ 255 crores.

During the year, Yoga Bar sustained its strong momentum in Bars, Muesli and Oats segments, complemented by expansion of the protein range across the portfolio and new launches in Plant Protein Powder segment.

With effect from 1st April, 2026, Sproutlife Foods Private Limited has become a subsidiary of your Company.

Mother Sparsh Baby Care Private Limited

Mother Sparsh is a premium ayurvedic and natural brand, focused on baby personal care, health & hygiene and expert baby care. Mother Sparsh aims to serve the needs of informed new-age mothers who are making conscious decisions to switch to superior products for their babies.

The Indian baby care industry continued to demonstrate steady growth in FY 2025-26, supported by increasing awareness among new-age parents, rising preference for natural and safe formulations, and shift towards premium offerings.

During the year, Mother Sparsh recorded robust growth, driven by higher brand salience and adoption. In April 2025, your Company entered into definitive agreements to increase its stake in Mother Sparsh from 26.5% to 100%, in one or more tranches, over the next two to three years. During the year, your Company invested ₹ 51 crores in the company. As at 31st March, 2026, your Company holds 39.5% stake in Mother Sparsh, on a fully diluted basis, at a cumulative investment of ₹ 96 crores.

ATC Limited (an associate of Gold Flake Corporation Limited)

The company is a contract manufacturer of cigarettes. The company continues to deliver superior quality products to its customers while maintaining high levels of flexibility and agility in its manufacturing operations.

During the year, the Company received the prestigious 'STAR AWARD' from National Safety Council, Tamil Nadu chapter, 'Certificate of Merit' from National Safety Council of India and 'Certificate of Recognition' in the AIOE National Awards for Outstanding Industrial Relations from the Employers Federation of Southern India.

Associates of Russell Credit Limited

Russell Investments Limited, Divya Management Limited and Antrang Finance Limited

The above companies are associates of Russell Credit Limited. These companies are NBFCs registered with the Reserve Bank of India and continue to explore opportunities for strategic investments.

For further details on performance of the above-mentioned associate companies, please refer to Form AOC-1 (Statement containing salient features of the financial statements of Subsidiaries / Associate companies / Joint Ventures), forming part of the Report and Accounts.

Delectable Technologies Private Limited

Delectable Technologies Private Limited (Delectable) had significantly scaled down its operations during the previous year. Your Company divested its entire shareholding and consequently, Delectable ceased to be an associate company effective 13th May, 2025.

INTERNAL FINANCIAL CONTROLS

The Corporate Governance Policy guides the conduct of affairs of your Company and clearly delineates the roles, responsibilities and authorities at each level of its three-tiered governance structure and key functionaries involved in governance. The ITC Code of Conduct commits management to financial and accounting policies, systems and processes. The Corporate Governance Policy and the ITC Code of Conduct stand widely communicated across the enterprise at all times and together with the Strategy of Organisation, Planning & Review Processes and the Risk Management Framework provide the foundation for Internal Financial Controls with reference to your Company's Financial Statements.

Such Financial Statements are prepared on the basis of the Material Accounting Policies that are carefully selected by management and approved by the Audit Committee and the Board. These Policies are supported by the Corporate Accounting and Systems Policies that apply to the entity as a whole to implement the tenets of Corporate Governance and Material Accounting Policies uniformly across your Company. The Accounting Policies are reviewed and updated from time to time. These, in turn, are supported by a set of Divisional policies and Standard Operating Procedures (SOPs) that have been established for individual Businesses.

Your Company uses Enterprise Resource Planning (ERP) systems as a business enabler and also to maintain its books of accounts. The SOPs, in tandem with transactional controls built into the ERP systems, ensure appropriate segregation of duties, tiered approval mechanisms and maintenance of supporting records. The Information Management Policy reinforces the control environment. The systems, SOPs and controls are reviewed by Divisional management and audited by Internal Audit, whose findings and recommendations are reviewed by the Audit Committee and tracked through till implementation.

Your Company has in place adequate internal financial controls with reference to the Financial Statements. These have been designed to provide reasonable assurance with regard to recording and providing reliable financial information; complying with applicable statutes; safeguarding assets from unauthorised use; ensuring that transactions are carried out with adequate authorisation and complying with Corporate Policies and Processes. Such controls have been assessed during the year, after taking into consideration the essential components of internal controls stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India. Based on the results of such assessment carried out by management, no reportable material weakness or significant deficiency in the design or operation of internal financial controls was observed. Nonetheless, your Company recognises that any internal control framework, no matter how well designed, has inherent limitations and accordingly, regular audit and review processes ensure that such systems are reinforced on an ongoing basis.

RISK MANAGEMENT

As a diversified enterprise, your Company continues to focus on a system-based approach to business risk management. The management of risk is embedded in your Company's corporate strategy to build a future-ready portfolio of businesses that best match organisational

capability with opportunities in domestic and international markets, strengthening capabilities and competencies to enhance competitiveness and win in the rapidly evolving operating landscape. Accordingly, management of risk has always been an integral part of your Company's 'Strategy of Organisation' and straddles its planning, execution and reporting systems & processes. Backed by strong internal control systems, the current Risk Management Framework consists of the following key elements:

- The Corporate Governance Policy, approved by the Board, clearly lays down the roles and responsibilities of the various entities in relation to risk management covering a range of responsibilities, from the strategic to the operational. These role definitions, inter alia, provide the foundation for appropriate risk management procedures, their effective implementation across your Company and independent monitoring and reporting by Internal Audit.
- The Risk Management Committee, constituted by the Board, monitors and reviews the strategic risk management plans of your Company as a whole and provides necessary directions on the same.
- The Corporate Risk Management Cell, through focused interactions with Businesses, facilitates the identification and prioritisation of strategic and operational risks, development of appropriate mitigation strategies and conducts periodic reviews of the progress on management of identified risks.
- A combination of centrally issued policies and Business-specific procedures bring robustness to the process of ensuring that business risks are effectively addressed.
- Appropriate structures are in place to proactively monitor and manage the inherent risks in businesses with unique or relatively high-risk profiles.
- Foreign currency exposures continue to be managed within the framework of the Forex policies and procedures.
- A strong and independent Internal Audit function at the Corporate level carries out risk focused audits across all Businesses, enabling identification of areas where risk management processes may need to be strengthened. The Audit Committee of the Board reviews Internal Audit findings and provides strategic guidance on internal controls. The Audit Compliance Review Committee closely monitors the internal control environment within your Company including implementation of the action plans emerging out of internal audit findings.
- At the Business level, Divisional Auditors continuously verify compliance with laid down policies and procedures and help plug control gaps by assisting operating management in the formulation of control procedures.
- A robust and comprehensive framework of strategic planning and performance management ensures realisation of business objectives based on effective strategy implementation. The annual planning exercise requires all Businesses to clearly identify their top risks and set out a mitigation plan with agreed timelines and accountabilities. Businesses are required to confirm periodically that all relevant risks have been identified, assessed, evaluated and that appropriate mitigation measures have been implemented.

Your Company endeavours to continuously sharpen its Risk Management systems and processes in line with a rapidly changing business environment. All Businesses of your Company have adopted the ISO 31000 Risk Management Standard; risk management systems and processes prevalent in the Businesses have been independently assessed to be compliant with the same. The centrally anchored initiative of conducting independent external reviews of key business processes with high 'value at risk' continued during the year. These interventions continue to provide further assurance on the robustness of risk management practices prevalent in your Company.

Geopolitical developments, including regional conflicts, evolving energy dynamics, and tariff led trade measures, have heightened uncertainty in the operating environment. These developments have resulted in increased volatility across commodity and energy markets, disruptions in global supply chains, and sharp escalation in logistics and ocean freight costs.

Your Company continues to proactively monitor these developments and has undertaken a range of measures to strengthen supply chain resilience. These include expansion of the sourcing and vendor base, diversification of fuel and energy sources, development of alternate materials and formulations, augmentation of

the domestic supplier base to enable import substitution, and dynamically adjusting safety stock levels, as required.

Other key interventions include long-term supply contracts with key vendors, investments in technology to enhance flexibility in the use of alternative fuels, pipeline inventory management and structured hedging arrangements to mitigate commodity prices volatility and ensure continuity of operations.

As your Company's digital transformation accelerates, its cyber security posture continues to be strengthened to address the rapidly evolving cyber-threat landscape. The Cyber Security Committee provides direction on strategy, establishes enterprise-wide security standards aligned with best-in-class practices and monitors the cyber risk posture to ensure resilient digital operations.

Cyber risks are managed through an integrated, layered information technology and operational technology (IT–OT) security framework encompassing preventive, detective, and response controls. This includes robust security architecture, continuous monitoring of critical assets, secure application development, governed access mechanisms, and the adoption of Zero Trust principles and cloud-secure networks. Controls are in place to address IT–OT convergence through standardised security measures, real-time operational asset visibility, specialised OT monitoring, and periodic assessments. In addition, a centralised AI-enabled Security Operations Centre (SOC) provides 24×7 monitoring and response readiness.

Independent assurance is obtained through Vulnerability Assessment & Penetration Testing (VAPT), maturity assessments, and external Red Team exercises. Enterprise-wide cyber security awareness programmes coupled with robust AI governance framework further reinforce vigilance and institutionalise a strong security culture.

There were no reportable cyber incidents, network outages, or business disruptions attributable to cyber-attacks or malware during the reporting period, underscoring the effectiveness of your Company's cyber security governance, controls, and oversight mechanisms.

Climate change remains an existential global challenge, and India is among the most vulnerable geographies. Given your Company's pan India footprint and reliance on agricultural and forestry-based raw materials, your Company is inherently exposed to climate-related risks. Your Company has adopted a comprehensive strategy addressing both transition and physical climate risks as part of its Sustainability 2.0 vision. Your Company's commitment to achieve 'Net Zero Operations' by 2050 will involve decarbonisation of its Scope 1 and Scope 2 emissions, specifically addressing emissions related to electrical and thermal energy in its own operations.

– On transition risks, your Company is driving extensive decarbonisation across the value chain as part of its commitment to achieve 'Net Zero Operations' by 2050. Your Company is also strengthening collaboration with value chain partners to accelerate the decarbonisation of Scope 3 emissions. These efforts are supported by robust monitoring systems that are aligned with emerging global standards.

– As part of its initiative to address physical risks, your Company continues to actively pursue climate proofing its operations and agricultural value chains by using latest climate risk modelling techniques and developing site-specific risk mitigation strategies. Your Company's approach is geared towards addressing climate risks in the short-term such as impact of drought and erratic precipitation levels, while simultaneously building long-term resilience across its key agri value chains.

– Water stewardship is a key pillar of Sustainability 2.0. Towards enabling water security for all stakeholders in its catchments, your Company's water stewardship is aligned with the Alliance for Water Stewardship Standard (AWS) a globally recognised framework for assessing the efficacy of water management across water stressed sites.

Your Company also recognises the significant potential of nature-based solutions in carbon sequestration and ecosystem resilience and prioritises actions to minimise environmental impacts across land, freshwater, oceans and the atmosphere. Your Company's strategy is consistent with the recommendations of the Taskforce on Nature-related Financial Disclosures (TNFD), which includes the L.E.A.P. (Locate, Evaluate, Assess and Prepare) approach. This approach emphasises the identification and management of significant nature-related Dependencies, Impacts, Risks and Opportunities (DIRO).

In response to rapidly evolving Extended Producer Responsibility (EPR) regulations for plastic packaging, a robust system supported by SOPs and internal / external reviews has been put in place to ensure organisational readiness and compliance. Your Company is also pursuing sustainable packaging initiatives, including packaging optimisation, reduction in plastic packaging intensity, improved recyclability and introduction of recycled content in plastic packaging.

Your Company has institutionalised a robust sustainability governance framework supported by well-defined processes to ensure compliance with new and emerging regulations. In addition, your Company actively engages with government and regulatory authorities, through industry bodies, to contribute to the development of effective and pragmatic regulatory and policy frameworks.

Your Company sources several commodities for use as inputs in its Businesses and engages in agri-commodity trading as part of its Agri Business. In respect of commodities sourced for use as inputs in its Businesses, your Company has well laid out strategies to manage risks arising out of the inherent price volatility associated with such commodities. This includes robust mechanisms for monitoring market dynamics towards making informed sourcing decisions, well defined inventory holding norms based on considerations such as seasonality and the strategic nature of the commodity concerned, long-term contracts with suppliers and continuous diversification of the supplier base to secure supply of critical items at competitive costs. Multiple sourcing models, wide geographical spread, extensive sourcing and supply chain network and associated infrastructure in key growing areas coupled with deep-rooted farmer linkages and use of digital technologies ensure sourcing of high quality agri-commodities at competitive costs.

In respect of agri-commodity trading, your Company has a well-defined policy to manage risks associated with sourcing of such commodities. This includes:

- segregation of duties and robust internal controls through a system of checks and balances embedded in the organisation and governance structure
- clearly defined limits for trading positions (long and short) and net cash loss for specific commodities / commodity groups
- mitigation of price, liquidity and counter party risks through hedging on commodity exchanges (mainly NCDEX) for certain commodities, as applicable. Correlation between prices prevailing in the physical market and those on the commodity exchange is analysed regularly to ensure effectiveness of hedging
- robust monitoring and review mechanisms of net open positions and 'value at risk'
- ECGC cover for exports (covering commercial & political risks) and credit insurance for large domestic customers.

The framework of policies and processes outlined above adequately addresses the key risks associated with sourcing of commodities for your Company's Businesses.

Your Company's strategy of backward integration in sourcing of agri-commodities such as wheat, potato, fruit pulp, spices, milk and leaf tobacco; in-house manufacturing of paperboards, paper and packaging (including pulp production and print cylinder making facilities); wood procurement from the economic vicinity of the Bhadrachalam unit, facilitates access to critical inputs at benchmark quality and competitive cost besides ensuring security of supplies. Further, each of your Company's Businesses continuously focuses on product mix enrichment and yield improvement towards protecting margins and insulating operations from spikes in input prices.

During the year, the Risk Management Committee and the Audit Committee reviewed the status and effectiveness of the risk management framework, systems and policies, and considered them to be adequate.

During the year, your Company received the 'Masters of Risk' Award in the FMCG category at the India Risk Management Awards 2025 (CNBC TV18 and ICICI Lombard), in its maiden participation, which is a testament to the maturity of your Company's risk management practices.

The risk management practices of your Company, as reviewed through the Risk Management Cell and Internal Audit processes, have been found to be relevant and commensurate with the size and complexity of its operations.

AUDIT AND SYSTEMS

Your Company believes that a strong internal control framework commensurate with the scale, scope and complexity of its operations is integral to effective governance and sustainable value creation. Your Company's internal control framework supports the orderly and efficient conduct of business, reliable financial

reporting, safeguarding of assets, and compliance with policies, while enabling empowered decision-making with appropriate checks and balances.

Your Company remains committed to ensuring a mature and effective internal control environment that, inter alia, provides assurance on orderly and efficient conduct of operations, security of assets, prevention and detection of frauds/errors, accuracy and completeness of accounting records and compliance with various regulatory requirements as applicable.

Your Company's independent and robust Internal Audit processes, at both Business and Corporate levels, provide assurance on the adequacy and effectiveness of internal controls, compliance with business processes and procedures, internal policies and regulatory requirements. The role of Internal Audit is to enhance and protect organisational value by providing risk-based assurance, advisory inputs and insights, while enabling continuous improvement of your Company's internal controls and systems.

The Internal Audit function, a multi-disciplinary team comprising professionally qualified accountants, engineers and information technology specialists, is adequately resourced to deliver high-quality assurance across your Company's operating landscape. The team's skills are continuously strengthened through periodic learning and development programmes on contemporary topics.

Information security and cyber security have assumed increased significance with the accelerated adoption of digital technologies in recent years. Accordingly, Internal Audit has further enhanced its focus on governance, systems and controls over key digital assets and platforms, IT–OT integration, and protection of sensitive data and information.

Periodical reviews are conducted focusing on assessment of controls pertaining to confidentiality, integrity and availability of business information and systems covering general IT controls and security of your Company's IT Infrastructure. All systems and policies relating to Information Management are regularly reviewed and benchmarked to ensure they remain contemporary. Further, all critical IT systems undergo pre-implementation audits prior to deployment in the operating environment, thereby providing assurance on implementation rigour and operational readiness.

Aligned with your Company's 'Digital First' strategy, the Internal Audit function continues to evolve as an agile, multi-skilled and technology-enabled function. During the year, Internal Audit initiated the deployment of a data driven Continuous Auditing and Continuous Monitoring (CACM) solution, providing real-time visibility and insights into key risks and control performance across select processes. Digital and technology risk assurance capabilities were further strengthened through the deployment of AI and intelligent automation, enhancing productivity and enabling sharper risk insights. Complementing these initiatives, industry-standard cyber security tools were deployed for source code reviews, website & application security assessments and application vulnerability testing. These initiatives have enabled early cyber-risk detection and secure development practices, while improving overall effectiveness & depth of coverage.

Qualified engineers within the Internal Audit function review the design, planning and execution of all ongoing projects that involve significant expenditure. This ensures that project management controls are robust and yield 'value for money'. The Internal Audit function also leverages state-of-the-art industry-specific tools and technology to conduct comprehensive project audits.

Your Company's Internal Audit processes are certified as complying with ISO 9001:2015 Quality Standards. Further, systems and processes are in accordance with the Standards on Internal Audit (SIA) issued by the Institute of Chartered Accountants of India.

The Audit Committee reviews the effectiveness of your Company's internal control environment, including internal financial controls and risk management systems, and monitors the implementation of action plans arising from significant Internal Audit findings. Material observations, as defined in the Terms of Reference, are reviewed at the highest level by the Audit Compliance and Review Committee and the Audit Committee.

HUMAN RESOURCE DEVELOPMENT

Your Company's thought, strategy and action are inspired by a larger purpose of being an exemplary Indian enterprise that not only delivers superior competitive performance, but also embeds sustainability and inclusiveness at the core of its Businesses. This approach enables your Company to delight consumers and customers with a vibrant portfolio of industry leading products and services

while creating enduring value for the Indian economy and the larger community of stakeholders. The talent management strategy of your Company is designed to attract, retain and develop human capital that enables your Company to sustain its position as one of India's most valuable corporations, whilst continuing with its mission of building a responsible 'Future-Tech' enterprise. Your Company's employees relentlessly strive to deliver world-class performance, collaborating with each other while upholding their responsibilities as 'trustees' of all stakeholders. Your Company is committed to perpetuating vitality – its growth as a value generating engine and also as an exemplary institution – so that it continues to succeed in its relentless pursuit of creating enduring value.

Your Company's Human Resources development approach spans four key organisational dimensions of Architecture, Alignment, Agility and Ability which are supported through strategies crafted in areas such as talent acquisition, engagement, diversity & inclusion, capability building, employee relations, performance & rewards and employee well-being. Through its various talent initiatives and processes, your Company strives to deliver the value proposition of 'Building Winning Businesses, Building Business Leaders and Creating Value for India'. The talent development practices are designed to create, nurture and strengthen the capability of human capital to deliver critical outcomes across the dimensions of strategic impact, operational efficiency and capital productivity while reimagining consumer experience, driving business model transformation and enhancing employee experience.

Your Company's 'Strategy of Organisation' is designed to promote agility through a culture and practice of distributed leadership enabled by a three-tier governance structure. This is manifested in market and consumer facing Businesses, which are driven by empowered, cluster-based teams and supported by shared assets and capabilities, enabling strategic relevance, speed, responsiveness, and operational excellence. This approach allows Businesses, through their Management Committees, to focus, develop and execute Business Plans relevant to their product-market spaces while leveraging the institutional strengths of your Company and harvesting internal synergies.

The year under review reflected enhanced talent stability, marked by lower attrition and a more measured approach to remuneration decisions. While flexible work arrangements are now prevalent across industry, there has been a moderation in application, reflecting a gradual shift towards an equilibrium. The adoption and integration of digitalisation and automation tools to enhance productivity continues. Your Company remains committed to prioritising employee well-being & mental health support.

Your Company's unique employer equity as an exemplary Indian enterprise creating world-class brands, building business leaders and generating economic, social and environmental capital for the Indian economy, continues to play a pivotal role in the attraction and retention of high-quality talent. The management trainee programme, augmented with recruitment of experienced talent from the market, is an integral part of building a deep pipeline. Your Company continues to draw the finest management, technical and commercial talent from premier institutions in the country and is ranked amongst the leading companies at these institutions. Intensive engagement with the country's premier academic institutions over the years to communicate your Company's talent proposition through case-study competitions, knowledge-sharing programmes by senior managers, social media interactions, on-ground exposure, factory visits for students and the annual internship programmes have all contributed to creating a compelling proposition for the best candidates to aspire for a career with your Company. Your Company continues to enthuse talent with high-impact roles, competitive and performance driven remuneration with an emphasis on long-term incentives, a wealth of learning opportunities, a commitment to enhancing diversity, equity & inclusion, an employee-centric climate, well-being focused infrastructure and support that promotes fellowship and commitment amongst employees.

Your Company's talent development approach is founded on the belief that learning initiatives must remain synergistic and aligned to business outcomes. Your Company provides managers with contemporary and relevant learning and development support through a combination of self-paced e-learning modules, classroom programmes and application projects with emphasis on experiential learning, on-the-job assignments and exposure to nationally and globally renowned faculty. Deep functional expertise is fostered at early stages of an employee's career through immersion in complex problem-solving assignments requiring the application of domain expertise. These interventions have

helped your Company build and sustain a culture of application-focused continuous learning, innovation and collaboration. Managers are assessed on your Company's behavioural competency framework and provided with learning and development support to address areas identified for improvement. Key talent is provided critical experiences in high-impact roles and mentored by senior managers, promoting the development of a steady pool of high-quality talent.

Your Company has identified three capability vectors for making Businesses future-ready – Leadership Development, Business Critical Functional Competencies, and Organisation Identity & Pride. As a part of leadership development initiatives, the Reflections 360 programme provides leaders with feedback from team members, peers and managers, enabling self-driven personal development. This was supplemented by immersive workshops and personalised one-on-one coaching for senior managers.

This approach ensures relevance and impact, thereby enhancing the capability index of your Company's human capital. Globally benchmarked curricula are tailored to your Company's context, especially in the domains of Business Strategy, AI and Digital Upskilling, Industrial Analytics, Innovation, Brand Marketing and Manufacturing Strategy. All these interventions are delivered through subject matter experts and supplemented with business-critical application projects, mentored by respective heads of functions. Periodic induction programmes, anchored by senior leaders, enable new entrants to appreciate your Company's Vision, Mission, Culture, Values and Strategies while fostering pride in affiliation with your Company.

Your Company continues to strengthen its performance management system and its culture of accountability through widespread adoption of the system of Management-by-Objectives. Performance planning through clearly defined goals, outcome-based assessment, and alignment of rewards for achievement of results have all contributed to a robust culture of ownership and accountability. 'Career Conversations' and succession planning processes have contributed to helping employees realise their potential, craft their careers while recognising their strengths and areas of development and ensuring a sound workforce planning system.

In the spirit of continuous improvement, your Company maintains a practice of periodically assessing employee engagement through an entity-wide survey. The survey results of 2024 continue to indicate an improving trend, on a strong base, with scores increasing in the range of 10 to 16 percentage points on key dimensions. 96% of employees reported a deep sense of pride and association with your Company, 94% reported a belief in your Company's overarching goals & leadership and 94% are optimistic of the future. These engagement levels reflect in your Company's superior standing on employee turnover. During the year, a range of engagement programmes were sustained including initiatives such as leadership outreach through extensive communication, recognition programmes acknowledging exceptional contributions of employees and teams, career conversations and investments in employee wellbeing.

During the year, your Company received widespread recognition for its best-in-class Talent Management and Employee Relations practices. The Cigarettes Business earned top honours including the CII HR Excellence Award, Financial Express HR Gold Award for DEI, and EFI-CII recognition for Employee Relations. LSTC won the ETHRWorld EX Awards for Exceptional Employee Experience, while the Agri Business received FICCI's Women Empowerment Award. The Branded Packaged Foods Business was recognised at the EFI-CII National Awards and also won the prestigious ATD Excellence in Practice Awards 2026 for Change Management.

Your Company's efforts to enhance Diversity, Equity and Inclusion are founded on the conviction that a diverse workforce contributes to rich discourse, promotes holistic perspectives, fosters creative solutions and is integral to serving customers better while creating value for all stakeholders. Your Company's policy on Diversity, Equity and Inclusion articulates and institutionalises this conviction through concerted actions spanning three vectors, i.e., Representation, Inclusion & Enablement and Commitment & Assurance. Your Company is committed to enhancing gender diversity and participation of the differently abled in the workforce.

Measures to enhance diversity include ensuring sufficient representation of women in the selection pool and deployment of the differently abled across suitable opportunities in the value chain. Through progressive policies offering flexible work arrangements, extended child-care leave, travel support for infants and care-givers, secure transport, paternity leave, same gender partner medical benefits, infrastructure support coupled with various

sensitisation programmes, Employee Resource Groups, development interventions tailored for women talent, and the commitment and sponsorship of leaders; your Company provides an enabling environment to further its Diversity, Equity and Inclusion goals. To ensure a safe and progressive work environment, Internal Committees have been institutionalised as per provisions of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. The focused efforts across these dimensions have resulted in an 82% increase in women managers in your Company since FY 2021-22. During the year, five complaints of sexual harassment were received and promptly resolved. There were no complaints pending for more than 90 days.

Further, the Company during the year has complied with the provisions of the Maternity Benefit Act, 1961 (now forming part of the Code on Social Security, 2020).

Your Company continued its practice of active leadership outreach to employees. Periodic communication with the ITC community through 'StudioOne Townhalls' led by the Chairman, provided employees avenues to hear from and engage with leaders about your Company's vision, strategy and milestones. This was supplemented by a more personalised engagement through the 'StudioOne Xchange' initiative. The Chairman and other members of the Corporate Management Committee interacted with managers across Businesses in small groups, sharing your Company's vision and strategies while also inviting suggestions and feedback. Your Company believes that alignment of all employees to a shared vision and purpose is vital for winning in the marketplace. It also recognises the mutuality of interests with key stakeholders and is committed to continue building harmonious employee relations. Your Company remains dedicated to an Employee Relations climate of partnership and mutuality while ensuring operations are competitive, flexible and responsive. The Employee Relations philosophy of your Company, anchored in the tenets of Scientific Management, Industrial Democracy, Human Relations and Employee well-being, has contributed towards building a robust platform which has aided the conclusion of collective bargaining agreements at several of its manufacturing units, ensuring smooth commencement of operations at greenfield locations and the execution of productivity improvement practices.

In its relentless pursuit of excellence and value creation, your Company offers an abundance of opportunities for employees to grow and thrive in an environment of trust, empowerment and continuous learning. The access to best-in-class resources, technology and infrastructure, the prospect of building businesses rooted in value chains in India, the deployment of deep consumer insights to create and shape Indian brands are the defining hallmarks of 'The ITC Way'. This unique blend of a high-performance culture coupled with care and respect for people remain vital to realising your Company's vision of sustaining its position as one of India's most valuable and admired corporations.

WHISTLEBLOWER POLICY

Your Company's Whistleblower Policy encourages Directors and employees to promptly bring to the Company's attention, instances of illegal or unethical conduct, actual or suspected incidents of fraud, actions that affect the financial integrity of the Company, or actual or suspected instances of leak of unpublished price sensitive information, that could adversely impact the Company's operations, business performance and / or reputation. The Policy requires the Company to investigate such incidents, when reported, and take appropriate action to ensure that the requisite standards of professional and ethical conduct are always upheld. Anonymous complaints are also entertained if the same are backed by specific allegations & verifiable facts, and are accompanied with supporting evidence. It is the Company's Policy to ensure that no complainant is victimised or harassed for bringing such incidents to the attention of the Company, and to keep the information disclosed during the course of the investigation as confidential. The practice of the Whistleblower Policy is overseen by the Audit Committee and no employee was denied access to the Committee during the year. The Whistleblower Policy is available on the Company's corporate website at https://www.itcportal.com/whistleblower-policy.

During the year, your Company received 23 complaints in terms of the Whistleblower Policy, of which investigation in respect of 17 complaints was completed; in most of the cases, no evidence was found in support of the allegations made. Appropriate action, where necessary, was taken.

SUSTAINABILITY 2.0

Your Company believes that when enterprises make societal value creation an integral part of their corporate strategy, powerful drivers of innovation emerge that make growth more enduring for all stakeholders. This paradigm is called *'Responsible Competitiveness'* - an abiding strategy that focuses on extreme competitiveness but in a manner that replenishes the environment and supports sustainable livelihoods.

Your Company's innovative business models synergise the building of economic, environmental and social capital, thus embedding sustainability at the core of its corporate strategy. Today, this strategy has not only contributed to building strong businesses of the future as well as a portfolio of winning world-class brands, but also in making your Company a global exemplar in 'Triple Bottom Line' performance. Your Company is the only enterprise in the world of comparable dimensions to have achieved and sustained the three key global indices of environmental sustainability of being 'water positive' (for 24 years), 'carbon positive' (for 21 years), and 'solid waste recycling positive' (for 19 years).

Your Company is actively working towards *Sustainability 2.0*, an agenda which reimagines sustainability under the pressing challenges of climate change and social inequity. Sustainability 2.0 calls for inclusive strategies that can support sustainable livelihoods, pursue newer ways to combat climate change, enable the transition to a net zero economy, work towards enabling water security and create an effective circular economy for post-consumer packaging waste. It also entails protecting and restoring biodiversity and ecosystem services through adoption of nature-based solutions. Your Company believes that agility in thought and action, meaningful public-private-people partnerships and Responsible Competitiveness will act as core enablers of this new agenda. Your Company has the potential to make a large-scale impact not only from an economic standpoint, but also from the perspective of supporting livelihoods and social enablement because of its presence across several critical sectors of the economy. With its bold Sustainability 2.0 agenda, your Company is setting the bar higher and remains committed to making meaningful contribution to the Nation's future while retaining its status as a sustainability exemplar. Building on progress towards ensuring that 100% of packaging is reusable, recyclable or compostable / biodegradable, your Company has further strengthened its 2030 circularity commitments. The 2030 Sustainability 2.0 ambitions include:

Climate Change

- Enhancing the share of renewable energy usage to 50% of total energy consumption by 2030.
- Meeting 100% of purchased grid electricity requirements from renewable sources by 2030.
- Reducing specific energy consumption by 30% and specific Greenhouse Gases (GHG) emissions by 50% by 2030 as compared to the FY 2018-19 baseline.
- Sustain and enhance carbon sequestration by expanding forestry projects through your Company's Social and Farm Forestry programme and other such initiatives covering over 1.5 million acres by 2030.

Water Stewardship

- Achieving 40% reduction in specific water consumption by 2030 as compared to the FY 2018-19 baseline.
- Creation of rainwater harvesting potential equivalent to over five times the net water consumption by 2030.
- Certification of all sites in high water stressed areas as per the international water stewardship standard by Alliance for Water Stewardship (AWS) by 2035.
- Improve crop water-use efficiency in agri value chains through demand side management interventions and enable savings of 2,000 million kl of water by 2030.

Plastic Waste and Circular Economy

- Use 60% recycled plastic across rigid packaging and 20% recycled plastic across flexible packaging by 2030 *(where permitted)*.
- Avoid 50,000 MT of virgin plastics in packaging through sustainable design, optimisation and use of recycled /alternative materials by 2030 *(vs FY 2021-22 baseline)*.
- Ensure that at least 60% packaging is made from recycled or renewable materials.
- Continue to sustainably manage 100% plastic packaging waste and recycle at least 60% of plastic packaging waste collected by 2030.
- By 2030, reach 20 million households through ITC's source segregation-focused solid waste management initiatives including those in partnerships with local Government.

Sustainable Agriculture

– Promote climate smart agriculture approach in core Agri Business catchments across four million acres by 2030.
  - Integrate the approach with interventions linked to water & soil and on-farm & off-farm diversification
  - Leverage digital and on-ground extension platforms, including FPO led models and phygital advisory systems, to enhance farmer capability, productivity and climate resilience while strengthening incomes for farming communities.

Biodiversity Conservation

– Revive & sustain ecosystem services and products provided by nature through biodiversity conservation, covering over one million acres by 2030.
  - Implement location-specific, community-centric biodiversity programmes that integrate restoration of common lands and nature-based solutions across agri-catchments.
  - Enable co-benefits for agriculture and livelihoods through restoration of ecosystem services such as soil health, water regulation, pollination, and carbon sequestration.

Sustainable Livelihoods

– Supporting sustainable livelihoods for 10 million people by 2030.
  - Leverage ITC's deep engagements in agriculture, manufacturing and services, as well as its extensive distribution infrastructure to support millions of livelihoods.
  - Foster inclusive livelihood opportunities across farm, forest and non-farm value chains through capability building and institutional strengthening enabling income stability, skill enhancement and dignified livelihoods for women, vulnerable and marginalised communities.

Your Company's Businesses are actively working towards achieving your Company's Sustainability 2.0 vision. During FY 2025-26, your Company achieved an overall renewable energy share of 51%. Commendable progress has been made in line with 2030 targets relating to specific energy, specific GHG emissions and specific water consumption across Businesses. In line with its commitment, your Company continued to remain plastic neutral during FY 2025-26, complying with its extended producer responsibility obligations under Plastic Waste Management Rules, 2016. During the year, your Company's large-scale programmes on Sustainable Agriculture were augmented to cover 3.19 million acres. Through its deep engagement in agriculture, manufacturing and services, as well as its extensive distribution infrastructure and large-scale programmes under ITC Mission Sunehra Kal, your Company supports nearly nine million sustainable livelihoods across its operations and value chains.

In addition to its 2030 targets, your Company has articulated a long-term climate ambition to achieve Net Zero Operations by 2050 through a structured decarbonisation pathway for Scope 1 and Scope 2 emissions. In parallel, your Company will deepen collaboration across its value chain to enable Scope 3 decarbonisation, while progressively strengthening systems to measure and monitor Scope 3 emissions in line with emerging standards.

To advance its Sustainability 2.0 vision, your Company continues to strengthen governance and management oversight through a comprehensive policy framework and enterprise-wide implementation. Stakeholder engagement and materiality assessment remain central to prioritising issues and managing value-chain impacts, while systems are being enhanced in line with evolving ESG and disclosure expectations. During the year, the Board approved a refreshed suite of sustainability policies, including a new Responsible Marketing Policy, benchmarked against global and national standards and these are available on your Company's corporate website.

During the year, your Company published its 22nd Sustainability Report, outlining performance during FY 2024-25 across the 'Triple Bottom Line'. The report is prepared 'In Accordance – Comprehensive' with GRI Standards and is independently assured to a reasonable level under ISAE 3000. Your Company also published its first Nature Report, aligned to the recommendations of the Taskforce on Nature-related Financial Disclosures (TNFD).

In line with SEBI requirements, the Business Responsibility and Sustainability Report (BRSR) for the year under review is annexed to the Report and Accounts and maps performance against the nine principles of the National Guidelines on Responsible Business Conduct issued by the Ministry of Corporate Affairs. Your Company will publish its Sustainability Report for FY 2025-26 on your Company's corporate website in due course.

During the year, your Company sustained its 'AA' rating from MSCI ESG for the eighth consecutive year and continued to feature in the Dow Jones Best-in-Class (DJ BIC) Emerging Markets Index. It also remained on CDP's 'A List' for Water for the third consecutive year and maintained a 'Leadership level' score of 'A-' for Climate for the fourth consecutive year. In addition, your Company achieved a 'Leadership Level' score of 'A' for CDP Forest, earning inclusion in the 'A List' in its first year of participation. These external assessments reinforce the strength of your Company's sustainability governance and disclosures, supporting long-term resilience and stakeholder confidence.

Contribution to the United Nations Sustainable Development Goals (UN SDGs)

Your Company's Sustainability strategies, and Social Investment Programmes and interventions, in addition to their alignment with national priorities, are also well positioned to contribute to the achievement of India's commitment under the UN SDGs. For instance, your Company's programme on Climate Smart Agriculture is aligned to the Government's National Mission for Sustainable Agriculture, and also contributes to the achievement of multiple SDGs, including SDG 13 (Climate Action), SDG 15 (Life on Land), SDG 1 (No Poverty), SDG 2 (Zero Hunger), SDG 12 (Responsible Consumption and Production) and SDG 5 (Gender Equality). Your Company's multi-dimensional environmental and social interventions which have been scaled up over the years contribute favourably to all 17 UN SDGs.

Building Climate Resilience

Your Company recognises climate change as a material factor influencing long-term value creation and a resilient, sustainable future. As part of this commitment, your Company's climate strategy places equal emphasis on enabling the transition to a low-carbon economy as well as building resilience to the impacts of climate change.

Your Company is implementing a suite of decarbonisation initiatives across its value chain. These include increasing the share of renewable energy; improving energy and resource efficiency; reducing the carbon footprint of buildings through low-carbon construction and green design; optimising logistics; and promoting climate-smart, regenerative agricultural practices. Life-Cycle Analysis (LCA) is being used to identify emission hotspots and guide the development of climate-friendly products and processes.

To strengthen resilience to short, medium and long-term physical climate risks, your Company is undertaking climate risk and vulnerability assessments across key agri value chains and operating locations, including factories and warehouses, supported by external climate expertise and AI-enabled analytical tools. Using forward-looking climate scenarios (up to 2100), these assessments evaluate exposure to key hazards such as heat stress and flooding and, to date, cover around 140 locations across own operations and the extended value chain. The insights enable prioritisation of resilience measures and inform investment decisions for adaptation, business continuity and climate risk management. Further, farm-level studies are deployed to deepen understanding of climate impacts on key crops and to strengthen field interventions, including the development and dissemination of climate-tolerant varieties and regenerative agronomic practices.

Energy Conservation and Renewable Energy

Your Company is accelerating its transition away from fossil fuels through a combination of energy efficiency initiatives and scaled renewable energy sourcing. Several manufacturing and logistics facilities incorporate green design features and are certified at the highest levels by the U.S. Green Building Council (USGBC) and the Indian Green Building Council (IGBC). During the year, 51% of total energy requirements were met from renewables (wind, solar and biomass), supported by an installed solar and wind capacity of over 177 MW to meet electrical energy demand. Investments continue to expand renewable coverage across both thermal and electrical energy.

Looking ahead, your Company remains committed to sourcing 100% of purchased grid electricity from renewable sources by 2030 and sustaining more than 50% renewables in total energy consumption, supported by continued efficiency measures and investments in renewable energy as operations scale. These initiatives are expected to further decouple growth from energy consumption and emissions, while reducing exposure to energy price volatility.

GHG and Carbon Sequestration

The GHG inventory of your Company for FY 2025-26 compiled according to the ISO 14064 Standard has been assured by an independent third-party. The GHG inventory covers emissions from your Company's operations as well as GHG removals through large-scale forestry

programmes. In addition to carbon sequestration, your Company's Social and Farm Forestry initiatives, deliver multiple co-benefits, including greening of degraded wasteland, prevention of soil erosion, enhancement of soil organic matter and improving ground water recharge. Your Company, through its extensive plantation programme, has covered over 1.48 million acres through afforestation. During the year, over 163,380 acres of plantation were added resulting in sequestration of appx. 7.6 million MT of CO2. The programme also supported over 270 million person-days of employment while creating a sustainable fibre chain, ensuring availability of high-quality raw materials for your Company's Paper and Notebooks businesses.

Pioneering the Green Building Movement in India

In order to continuously reduce your Company's energy footprint, green features are being integrated in all new and old constructions including manufacturing units, warehouses and office complexes. Your Company is a pioneer in the green buildings movement in India, with 17 buildings having achieved Platinum certification by Indian Green Building Council (IGBC) / LEED® framework by US Green Building Council (USGBC).

This includes several flagship facilities, notably ITC Sankhya, Bengaluru – the world's first data centre to receive LEED Platinum® certification. Other large infrastructure investments such as the ITC Green Centre at Guntur and the ITC Green Centre at Bengaluru (both LEED Platinum® certified) continue to demonstrate your Company's commitment to green buildings. Virginia House, Kolkata and ITC Centre, Kolkata, the headquarters of your Company, are also certified as 'LEED Platinum®' rated Green Building by USGBC. These green infrastructures are driving significant reductions in energy consumption, operational emissions and life-cycle impacts, while enhancing resilience and occupant well-being across your Company.

Towards Water Security for All

With water scarcity emerging as a global and national concern, your Company continues to prioritise integrated water stewardship, combining efficiency, conservation and rainwater harvesting, alongside responsible catchment-level engagement. This approach is underpinned by measurable outcomes across agriculture, watersheds and operations, including large-scale demand-side coverage and rainwater harvesting capacity creation.

Demand-side management is a key pillar of your Company's Water Stewardship programme, with a focus on reducing agricultural water use while improving farmer incomes through 'more crop per drop' initiative. Over 2.01 million acres were covered during the year across 12 States through micro-irrigation and crop-specific agronomic practices. Based on established parameters, these interventions delivered potential water savings of over 1,520 million kl across 15 crops, including key agri value chains of wheat, pulpwood and spices, with savings in the range of 15% to 50% versus conventional practices. The shift to water-efficient practices also supports lower GHG emissions relative to conventional practices.

Alongside demand-side measures, your Company is strengthening supply at the sub-catchment level through rainwater harvesting, aquifer recharge and restoration of traditional water bodies and wetlands, guided by technical assessments. To drive durable outcomes in water-stressed regions, interventions have been scaled to the river sub-basin level. Till date, water positive status has been achieved (against baseline water deficits) across four sub-basins: Maharashtra (Ghod sub-basin), Madhya Pradesh (Kolans sub-basin), Tamil Nadu (Upper Bhavani sub-basin) and Telangana (Murreru sub-basin). In the South Pennar river basin of Karnataka, field interventions have commenced based on a study by the Indian Institute of Science (IISc), Bengaluru, and are being implemented through a Public Private Partnership with the Karnataka Government and Vyakti Vikas Kendra to restore water bodies in the sub-basin.

Given rising water stress in urban catchments, your Company is implementing water security programmes in Bengaluru and Chennai focused on restoring urban water bodies, improving groundwater recharge and promoting rainwater harvesting. These initiatives are aimed at strengthening urban water resilience by addressing groundwater depletion and reducing flood risks during extreme rainfall.

Your Company tracks outcomes from its watershed programmes to strengthen long-term water security. As on 31st March 2026, integrated watershed projects covering over 1.98 million acres have created a total rainwater harvesting potential of about 66.31 million kl. Cumulatively, over 67 million kl of rainwater has been harvested (including within the fence), which is over six times the net water consumed by operations in FY 2025-26—thereby achieving the 2030 Sustainability 2.0 target of creating rainwater harvesting potential equivalent to over five times net water consumption.

Your Company is advancing sustainable water management at the catchment level through adoption of the Alliance for Water Stewardship (AWS) Standard, a globally recognised framework. As of 31st March 2026, nine units are certified under AWS, all at Platinum level, positioning your Company as the second largest holder of AWS Platinum certifications globally.

Collectively, these initiatives strengthen water security across key catchments, enhance operational resilience and reinforce stakeholder confidence.

Enabling a Circular Economy

Your Company continues to strengthen circularity across its operations through waste reduction, improved segregation and higher recycling rates. During the year, nearly 99% of operational waste was recycled, reducing landfill dependency and associated impacts. In addition, the Paperboards & Specialty Papers Business recycled nearly 93,000 MT of externally sourced post-consumer wastepaper, further advancing resource efficiency.

Your Company is optimising packaging to reduce post-consumer environmental impact while safeguarding product integrity. This includes improving design efficiency, increasing recycled and renewable content, transitioning to lower-impact materials where feasible, and strengthening end-of-life solutions through responsible recovery and recycling pathways.

Your Company continues to progress towards ensuring that 100% of packaging is reusable, recyclable or compostable / biodegradable. During the year, your Company strengthened its 2030 sustainable packaging commitments to sharpen its focus on material circularity, reduce virgin resource consumption and improve end-of-life outcomes for post-consumer plastic packaging. The enhanced commitments move beyond design for recyclability by increasing the use of recycled and renewable materials across formats and progressively reducing dependence on virgin plastics through optimisation and innovation. They also reinforce value-chain responsibility by scaling plastic waste management initiatives and collaboration with local authorities to improve recycling outcomes, source segregation and decentralised waste management systems, aligned with India's priorities on sustainable waste management and resource efficiency.

Additionally, your Company has scaled multiple Solid Waste Management (SWM) models across the country that are designed to be replicable and sustainable, anchored in circular economy principles and minimising waste to landfill through source segregation. These models have enabled your Company to sustain plastic neutral status since FY 2021-22 and are implemented through public-private partnerships involving Urban Local Bodies (ULBs), civil society and the informal waste-collector ecosystem, while also supporting livelihoods.

During the year, your Company remained plastic neutral for the fifth consecutive year by sustainably managing over 72,500 MT of plastic waste in line with its Extended Producer Responsibility obligations under the Plastic Waste Management Rules, 2016. Your Company has also been obtaining independent third-party assurance of its plastic neutrality status since FY 2022-23.

Your Company's waste recycling programme, 'WOW – Well-Being Out of Waste', strengthens municipal waste systems by improving source segregation and enabling sustainable livelihoods for waste collectors. During the year, WOW was implemented across key cities and districts, collecting about 69,750 MT of dry waste from over 2,055 wards. Since inception, the programme has reached over 32.4 million citizens across 8.12 million households, engaged eight million school children and around 2,310 corporates. It has supported sustainable livelihoods for over 18,200 waste collectors through collaboration with Municipal Corporations and enabled over 150 social entrepreneurs to optimise value capture from collected dry waste.

Your Company, in partnership with Kashtakari Panchayat and SWaCH Pune, operates an inclusive decentralised waste management model in Pune focused on the collection and recycling of low-value multi-layered plastic (MLP) packaging. The initiative covers 13 city wards and the Pune Cantonment Board, enabling over 850 waste pickers to collect MLP waste daily with direct payments. It processes around 130-150 MT of low-value flexible plastics each month and has cumulatively recycled over 5,500 MT since 2019. The programme strengthens livelihoods (which is ~12–15% of waste pickers' income from recyclables) and provides formal employment to about 40 individuals, demonstrating a replicable model that combines environmental outcomes with social equity.

Further, your Company's community-driven decentralised SWM programme, including the closed-loop Green Temple initiative in collaboration with Swachh Bharat Mission, is operational across

35 districts in 14 States, covering over 7,13,300 additional households and taking cumulative reach to 8.23 million households. During FY 2025-26, the programme collected over 6,87,500 MT of waste, of which around 4,23,000 MT of wet waste was composted and 1,65,000 MT of dry waste recycled, enabling 86% of waste to be avoided from landfill. Home composting adoption also expanded by around 1,00,000 households during the year (9,33,800 households till date).

With liquid waste emerging as a growing challenge in rural areas, your Company has initiated decentralised treatment pilots across nine States, including solutions such as soak pits, in-line treatment, waste stabilisation ponds and vertical filters.

Your Company's partnership with the Uttar Pradesh Urban Development Department (UDD) is enabling implementation of SWM programmes in 85 ULBs across 75 districts, reaching over 5.3 million households to date. In Bihar, in partnership with Lohiya Swachh Bihar Abhiyan (LSBA), Rural Development Department, decentralised SWM continues across 456 'Ganga Gram' villages in 12 districts; during the year, capacity-building support enabled coverage of over 5,97,000 households through Panchayat-led implementation.

Your Company has collaborated with the Department of Drinking Water and Sanitation (DDWS), Government of India, and the India Sanitation Coalition (ISC), FICCI, to develop Lighthouse Gram Panchayats (GPs) and Blocks as exemplars for replication in sanitation and waste management. In Phase I, 36 Lighthouse GPs across 10 States were selected as part of the national initiative to create 75 Lighthouse GPs, and all 36 have been declared as Model GPs by the Government. In Phase II, the programme has expanded to 19 blocks across 16 districts, where 533 GPs will be developed as models over a three-year period.

Your Company's SHG-led service delivery model for Gram Panchayat SWM has been widely recognised as a best practice, strengthening local service capability while creating dignified livelihoods for women.

One of your Company's key initiatives focuses on enhancing the health, social and economic well-being of waste collectors and their families, while promoting dignity and inclusion. The initiative has now been extended to Government Public–Private Partnerships (PPPs) programmes. During the year, the initiative reached and supported over 15,000 waste collectors.

Your Company's 'YiPPee! Better World programme' builds awareness among students on responsible plastic waste management and practices to reduce, recycle and reuse plastic. During the year, the programme reached over 2.01 million children across 9,140 schools. A dedicated digital platform was launched to reinforce learning and provide age-appropriate resources on responsible plastic practices.

Preserving and Nurturing Biodiversity

Recognising the dependence of its agri-based value chains on healthy ecosystems, your Company treats biodiversity conservation as integral to long-term business sustainability. Accordingly, it is committed to protecting, conserving and enhancing biodiversity through operations aligned to the Board-approved Policies on Biodiversity Conservation and Deforestation.

Your Company has established processes to assess and manage actual and potential biodiversity-related risks and impacts across both greenfield and brownfield operations, including regulatory environmental impact assessments where required. Location-specific exposure, including proximity to key biodiversity areas, is periodically evaluated to identify nature-related risks and dependencies and to inform site-level biodiversity management plans. These assessments guide mitigation actions in priority locations in line with the mitigation hierarchy of avoiding, minimising and managing impacts. In addition, your Company continues large-scale programmes to support deforestation-free leaf tobacco and wood value chains.

Sustainable Supply Chain and Responsible Sourcing

Aligned to its Sustainability 2.0 Vision, your Company is scaling sustainable supply chain and responsible sourcing initiatives across its expanding business portfolio. A Board-approved Policy on 'Sustainable Supply Chain and Responsible Sourcing' and a 'Code of Conduct for Suppliers and Service Providers' provide the governance framework for supplier engagement and ESG risk management. Your Company works with supply chain partners to build capability, assess sustainability risks and strengthen resilience through resource-use efficiency, sustainable natural resource management, GHG emission reduction and sustainable waste management. A framework to identify critical suppliers enables focused engagement and as of FY 2025-26, more than 1,000 Tier-1 suppliers (including 100%

critical Tier-1 suppliers) have been trained on ESG, and over 95% of critical Tier-1 suppliers have been independently assessed. This structured engagement supports a shift from compliance to continuous improvement, strengthening responsible and resilient supply chains over time.

For key agri value chains, your Company has implemented large-scale sustainable and Climate Smart Agriculture programmes. During the year, 3.19 million acres and around 1.21 million farmers, including 2,27,000 women farmers, have been covered under the CSA programme. Third-party impact assessments indicate a 16% improvement in yields and 28% reduction in cost of cultivation for programme farmers practising wheat in Uttar Pradesh, compared to control farmers. In Telangana, Direct Seeding of Rice (DSR) has delivered cost reductions of appx. 20%, with strong adoption and scale-up among participating farmers. Adoption remains strong, with 82% of participating farmers continuing with DSR and 72% increasing acreage under cultivation. Your Company also supports recognised farm certifications such as Rainforest Alliance (RFA), Forest Stewardship Council® (FSC®) and Global G.A.P. to help identify and address environmental and human-rights risks.

Delivering on ITC's Nutrition Strategy - "Help India Eat Better"

Against India's triple burden of malnutrition, improving access to safe, sustainable and nutritious food is central to enabling healthier lifestyles and long-term well-being.

Predominantly cereal-based diets in India provide over 56% of energy from carbohydrates, while protein contributes to appx. 12%, contributing to inadequate protein intake for a large section of the population. In response, your Company's Branded Packaged Foods Business has adopted a four-pillar nutrition strategy, *'Help India Eat Better'*, to expand access to value-added nutrition, enable sustainable food systems, empower informed choices and support healthier communities. Protein is a key priority within this strategy, with products introduced across categories to democratise access to affordable protein through simple everyday formats (including 'Aashirvaad High Protein Atta', 'Right Shift High Protein Oats++', and 'Yoga Bar' protein offerings). In addition, to address 'hidden hunger', your Company launched products such as 'Aashirvaad Iron Shakti Salt', which supports 25% of daily iron needs and aligns with the Anaemia Mukt Bharat initiative of the Ministry of Health and Family Welfare.

Aligned with national initiatives such as POSHAN Abhiyaan, the UN SDGs, and India's vision of Viksit Bharat @ 2047, your Company's nutrition strategy is anchored in science-based nutrition targets that are regularly monitored and disclosed. Your Company was also ranked first in the ATNI India Index (2023) among 20 of the largest Indian food & beverage manufacturers as assessed by the globally recognised Access to Nutrition Initiative (ATNI). Your Company also received recognition at the Economic Times Nutrition and Wellness Awards, winning accolades for 'Best Gut Health Product of the Year', 'Healthy Aging Initiative of the Year' and 'Health Awareness Campaign of the Year'.

Over 20 Years of Promoting Thought Leadership in Sustainability

To advance wider adoption of the 'Triple Bottom Line' philosophy across Indian industry, your Company established the CII–ITC Centre of Excellence for Sustainable Development (CESD) in 2006 in collaboration with the CII. The Centre serves as a platform to catalyse sustainable and inclusive growth through Government–industry dialogue on regulations, stakeholder engagement on global policy developments, and thought leadership on macro-economic issues and the sustainability agenda. Key highlights during the year include:

Building Climate Resilience and Low Carbon Economy

- CII–ITC CESD supported Indian industry in addressing climate change as a material business risk through policy engagement, research and capacity building. The Physical Climate Risk Assessment Framework (PCRAF) was strengthened through pilot projects, enabling companies to better identify and manage physical climate risks across operations and value chains.
- The CII Climate Action Charter (CCAC) continued to enable industry collaboration, supporting companies, especially MSMEs, with GHG accounting, target setting, decarbonisation pathways and access to climate finance. The Centre also contributed to national initiatives on climate finance and GHG inventories, supporting India's transition to a low-carbon, climate-resilient economy.

Advancing Creation of a Circular Economy

- The Centre advanced circular economy adoption through policy support, standards development and industry-led initiatives. Engagement with the Ministry of Environment, Forest and Climate Change, the Central Pollution Control Board and the Bureau of Indian Standards focused on strengthening Extended Producer Responsibility (EPR) frameworks, waste regulations and sustainability standards across materials and sectors.
- The CII India Plastics Pact strengthened industry collaboration on recyclable packaging design, reduced use of virgin plastics and increased uptake of recycled content, supported by knowledge products, recognition platforms and partnerships to scale circular business models across large enterprises and MSMEs.

Nature Positive Actions

- Through the India Business and Biodiversity Initiative (IBBI), the Centre strengthened industry engagement on biodiversity conservation and nature-related risk management. IBBI contributed to national consultations on biodiversity targets and supported businesses in integrating nature considerations into decision-making and disclosures.
- The Centre also provided guidance to companies on aligning sustainability reporting with emerging nature-related disclosure frameworks and assessing ecological dependencies, risks and opportunities across operations and supply chains.

Enhancing solutions for Clean Air

- CII–ITC CESD provided leadership on air quality improvement through platforms such as the India CEO Forum for Clean Air and the Cleaner Air Better Life initiative, advancing industry action on cleaner production, efficient logistics, clean construction practices and agricultural residue management.
- The Centre supported scalable, cross-sector solutions to reduce emissions from industry, transport and agriculture, while working with policymakers and State-level institutions to strengthen implementation capacity and financing for clean air initiatives.

Facilitating an Enabling Ecosystem for ESG Reporting

- The Centre played a key role in strengthening India's ESG reporting architecture by supporting improvements to Business Responsibility and Sustainability Reporting (BRSR) framework. Through structured consultations and policy dialogue, inputs provided by the Centre were reflected in regulatory refinements aimed at improving disclosure quality and ease of compliance.
- In parallel, CESD supported companies in moving beyond compliance by offering capacity-building programmes and digital solutions to strengthen ESG governance, data credibility and integration with business strategy.

Knowledge Exchange and Excellence in Sustainability

- The Centre continued to serve as a national platform for sustainability dialogue and knowledge exchange. Its flagship Sustainability Summit convened policymakers, industry leaders and experts to advance actionable solutions for sustainable growth.
- Through training programmes, assessments and recognition initiatives, including the CII–ITC Sustainability Awards, the Centre enabled organisations to embed sustainability into business decision-making, strengthen supply chains and build long-term resilience.

CORPORATE SOCIAL RESPONSIBILITY (CSR)

Your Company's commitment towards creating significant and sustainable societal value is manifest in its CSR programmes and projects which focuses on the economic and social empowerment of the most disadvantaged communities, especially in rural India. Guided by your Company's comprehensive CSR Policy, the programmes aimed at creating a significant positive impact on identified stakeholders. All these programmes fall within the purview of Section 135 read with Schedule VII of the Companies Act, 2013 and the Companies (Corporate Social Responsibility Policy) Rules, 2014.

The key tenets of your Company's CSR interventions implemented as part of its Social Investments Programme are:

- deep engagement through an ecosystem-based approach in identified core operational geographies to promote holistic development and address critical social and environmental challenges of your Company's stakeholder groups.
- strengthening capabilities of Implementation Partners / Community Based Organisations for participatory planning, ownership and sustenance of interventions.

– facilitating inclusive and equitable development by empowering women, the poor and marginalised communities including persons with disabilities, in the vicinity of your Company's factories and agri-catchments, thereby significantly improving Human Development Indices.
– ensuring behavioural change through demand generation across interventions, enabling participation, co-creation, contribution and community asset creation.
– designing and implementing resilient programmes with a clear focus on impacts and outcomes.
– pursuing the Prototype-Pilot-Scale-Amplification / Multiplication approach to drive innovative solutions and structured scaling, while amplifying successful interventions through partnerships with Government and Collaboratives.

Your Company's stakeholders face multi-dimensional, inter-related concerns, foremost among them being securing sustainable livelihoods. Your Company undertakes periodic stakeholder engagements in the form of community need assessments, impact assessments and other evaluations. These include Core Area Perspective planning, typically undertaken once in five years. Further, over 9,000 household surveys were also conducted during the year. These insights guide the design of interventions under your Company's Social Investments Programme spanning 20+ states / Union Territories covering over 275 districts.

Your Company's Social Investments Programme follows the 'Three Pathways' approach focused on inclusive growth, healthy habitats and holistic development of households; with women and poor & vulnerable communities at the core. Beyond being beneficiaries, women play a critical role as influencers and active participants in grassroot institutions, with many emerging as change makers. This approach provides an integrated and affirmative response, transforming lives and landscapes by strengthening and sustaining livelihoods while building capabilities and capacities to empower communities for a better future. The Three Pathways are:

– Conserving Natural Resource Ecosystems and Enhancing Resilience of Agriculture and Allied Livelihoods
– Nurturing Human Capabilities – Strengthening Foundational Literacy and Livelihoods and Preparing Communities for Future
– Strengthening Public and Community Health Ecosystems to create Healthier Habitats

During FY 2025-26, your Company's CSR initiatives received several recognitions, including:

– FICCI Healthcare Excellence Award 2025 under Excellence in Community Engagement for the Sachal Netra Seva Programme delivering affordable eye care in Saharanpur, Uttar Pradesh.
– Winner at the 21st Edition of the FICCI CSR Awards 2025, in "Women Empowerment" category, for the Targeting Hardcore Poverty (THP) Programme.

Natural Resources Management - Water Stewardship Programme

The Water Stewardship programme aims to facilitate water security for dependents in factory catchments and drought-proof agri-catchments, minimising risks from drought and moisture stress. Aligned with Government of India's Jal Shakti Abhiyan, it promotes community-led development and management of local water resources in moisture-stressed areas. This includes creation, revival and maintenance of water-harvesting structures, while conserving the wetland ecosystems. Two urban water programmes are also being implemented in Bengaluru and Chennai to address city-specific challenges through rejuvenation of urban water bodies, targeted recharge of shallow aquifers, and promotion of practices like roof water harvesting.

To address the magnitude of water stress, your Company also has river sub-basin level interventions, enabling more holistic and sustainable outcomes by addressing competing water demands. Interventions in four river sub-basins till date in Maharashtra (Ghod), Madhya Pradesh (Kolans), Tamil Nadu (Upper Bhavani) and Telangana (Murreru) have enabled water positive status, as against baseline deficits. Work has commenced in a fifth sub-basin, South Pennar in Karnataka, based on the recommendations from the Indian Institute of Science (IISc).

The programme currently spans 72 districts of 17 states. During the year, the area under watershed increased by over 1.69 lakh acres (cumulative 19.85 lakh acres). Over 2,640 (cumulative 38,540) water-harvesting structures including ground water recharge structures were built during the year, creating 6.60 million kl (cumulative 66.31 million kl) of rainwater harvesting potential. In addition, under demand management, your Company works with farmers to achieve 'more crop per drop'

by promoting relevant agronomic practices and micro irrigation, improving water efficiency and farmer incomes. During the year, over 20.10 lakh acres across more than 15 crops in 12 states have been covered.

Studies conducted by ICAR's Agricultural Technology Application Research Institute, Kanpur, Indian Institute of Rice Research, Hyderabad, Tamil Nadu Agricultural University and Vasantdada Sugar Institute assessed water savings in rice, wheat, sugarcane, coconut and banana. Based on these and other research, demand management initiatives are estimated to have resulted in potential water savings of over 1,520 million kl during the year. To further enhance water-use efficiency, prototypes and pilots are being tested for technologies such as organic hydrogel, mobile drip systems and smart irrigation switches.

Additionally, your Company is continuing three existing partnerships with multiple state government departments for Water Stewardship. These include:

– Water Resource Department, Government of Maharashtra for Godavari, Krishna and Tapi river sub-basins flowing in Maharashtra to promote Water Literacy among the Water User Associations in 60 irrigation projects across 20 districts in these sub-basins which will improve water resources.

– Department of Rural Development & Panchayat Raj (RDPR), Government of Karnataka and Vyakti Vikas Kendra India, for Water Resources Development in South Pennar river sub-basin across 12 Taluks and 238 Gram Panchayats in Bengaluru Urban, Bengaluru Rural, Kolar & Chikkaballapur districts.

– Watershed Development and Soil Conservation Department, Government of Rajasthan, to promote sustainable livelihoods based on a watershed development project in 22 Gram Panchayats of Bundi and Jhalawar districts covering an area of 44,000 acres.

Natural Resources Management - Biodiversity

The programme focuses on reviving ecosystem services critical to agriculture – such as natural pest regulation, pollination, nutrient cycling, soil health and genetic diversity – which have declined in recent decades. It is also aligned with Government of India's flagship initiatives, including National Mission for Sustainable Habitat and Mangrove Initiative for Shoreline Habitats & Tangible Incomes (MISHTI). Biodiversity conservation is undertaken through restoration of degraded village commons and native species tree plantation. During the year, your Company's initiative covered over 1.63 lakh acres across 40 districts in 10 states (cumulative 8.10 lakh acres). While being implemented in village commons, these interventions also enhance surrounding agricultural systems through improved soil moisture, carbon sequestration and support to beneficial biodiversity by acting as host to insects and birds beneficial to agriculture. Technical studies done earlier by 'The Energy and Resources Institute' (TERI) & 'IORA Ecological Solutions' have recorded improvement in carbon stocks, i.e., carbon sequestered by trees, as well as floral and faunal biodiversity compared to control areas.

The following Public-Private Partnerships (PPP) were implemented during the year:

– Your Company partnered with Rural Development Department, Government of Andhra Pradesh, to conserve village commons, expand pastureland development and improve livelihoods of communities dependent on these shared resources across nine districts. Till date, 1.19 lakh acres have been covered under commons restoration through erstwhile MGNREGA.

– Following the completion of Phase I across eight districts, Phase II MoU was signed during the year with the Rural Development and Panchayati Raj Department, Government of Rajasthan, expanding coverage to 14 districts, including the earlier eight. The Phase II partnership adopts a consolidated approach targeting 3.70 lakh acres. During the year, commons restoration was undertaken through soil moisture conservation works across 34,000 acres and 1,350 Charagah Vikas Samitis were formed for protection of these commons.

– In the final year of the partnership with the Forest Department of Maharashtra, efforts were focused on completing soil and moisture conservation in the forest and fringe areas of Pune district through capacity building of departmental staff. The training conducted by your Company enabled the Forest Department to undertake soil and moisture conservation works and tree plantation covering over 1,985 acres during the year (cumulative 12,985 acres).

Additional initiatives include Miyawaki plantations across 67 acres in 99 villages spanning five states, with emphasis on native species. Mangroves conservation efforts,

initiated in Andhra Pradesh, expanded by 400 acres during the year (cumulative 1,900 acres). Alongside mangroves conservation, Olive Ridley turtle conservation was undertaken through protected hatcheries, enabling 8,066 hatchlings to be released into the sea during the year.

Climate Smart Agriculture (CSA)

The CSA programme de-risks farmers from erratic weather events through promotion and adoption of a climate resilient approach, premised on dissemination of relevant package of practices, appropriate mechanisation and provision of institutional services. The programme is also aligned with Government of India's flagship initiative of The National Innovations in Climate Resilient Agriculture (NICRA) and other schemes for the welfare of farmers including Pradhan Mantri Kisan Samman Nidhi (PM-KISAN) Yojana.

Currently, the programme covers over 31.93 lakh acres across 113 districts in 17 states and 12.09 lakh farmers, including 2.27 lakh women farmers. As per the studies by ICAR - Agricultural Technology Application Research Institute, Kanpur, the CSA practices promoted in rice (Direct Seeded Rice) and wheat (Zero Tillage) have demonstrated reduction of costs by over 20%, improvement in yields by around 10% and increase in net returns by over 23% as compared to conventional practices. In pursuit of increasing Soil Organic Carbon (SOC), more than 5,210 compost units were constructed during the year (cumulative 72,510 units). During the year, knowledge was disseminated through 13,500 Farmer Field Schools and over 13,300 Choupal Pradarshan Khets (CPKs). 2,150 Agri Business Centres (ABC) including 468 exclusive women ABCs, delivered extension services, arranged agri-credit linkages, established collective input procurement and provided agricultural equipment for hire. Details of Climate Smart Agriculture interventions are also provided in the section on 'Socio-Economic Environment'.

Alongside large-scale CSA adoption, the Climate Smart Village (CSV) programme supports entire communities in adapting to climate risks and mitigating the same through knowledge dissemination, natural resources management, livelihood diversification and institutional support. 7,055 CSVs covering major crop value chains are currently part of the programme. To further support farmers, 28.31 lakh linkages under six major Government schemes were facilitated during the year, raising the cumulative number to over 70 lakhs.

The Makhana Development Programme operates in 214 villages across six districts of Bihar, covering 7,100 farmers and 23,150 acres. It promotes high-yield varieties such as Sabour Makhana-1 and Swarna Vaidehi, alongside Integrated Plant Nutrient Management (IPNM) practices. Additionally, 1,700 farmers have been linked to Makhana Vikas Yojana, PM Kisan Saman Nidhi Yojana and other relevant schemes.

Your Company continued partnerships with the Rajiv Gandhi Mission for Watershed Management covering 35 districts of Madhya Pradesh for Climate Smart Watersheds, and the Farmer Welfare and Agriculture Development, Department of Madhya Pradesh covering six districts. During the year, training and handholding support strengthened ground-level facilitation for implementation of the four components of the Climate Smart Village in 8,200 villages.

Leveraging your Company's multi-commodity presence, ITCMAARS and agri-extension networks, your Company supported the formation of new FPOs and strengthened existing FPOs, engaging with 2,184 FPOs, including 31 women exclusive FPOs, enhancing farm incomes and rural livelihoods.

The 'Adarsh Gram Programme' pioneered by your Company's Agri Business presently covers 513 villages in Andhra Pradesh and Karnataka. Under this initiative, villages are supported to become economically, ecologically and socially sustainable. Your Company is also addressing the human rights and farm safety challenges in these villages by educating the farmers, labour & communities while providing access to Personal Protective Equipment (PPE) kits and promoting smart technologies such as drones for agro-chemical spraying in the farms.

Off-farm Livelihood Diversification - Livestock Development

The programme aims to improve income and de-risk rural livelihoods by strengthening animal dependant livelihood options. Key components include capability building through improved package of practices, breed improvement, provision of extension services and creation of rural entrepreneurs to provide doorstep services. It is aligned with the Government of India's National Livestock Mission (NLM) and covers large ruminants (cow & buffalo), small ruminants (goat & sheep), piggery, fishery, poultry and apiary across 16 states and 50 districts.

During the year, about 1.33 lakh artificial inseminations (AIs) were carried out, leading to about 0.45 lakh high yielding progeny, including indigenous breeds. Cumulatively, AIs and calving stand at over 32.23 lakhs and 11.35 lakhs for large ruminants. The programme also supported 2,900 women trained as 'Pashu Sakhis' to provide extension services to livestock owners.

Your Company is also offering dairy farmers extension services by qualified teams of veterinarians and para-veterinarians supporting animal nutrition, health services, and capacity building for improved productivity and clean milk production. During the year, about 70,000 animals of over 33,300 dairy farmers across 560 villages in nine districts of Bihar, five districts of West Bengal and two districts in Jharkhand were supported through cattle feed distribution, mastitis control and animal husbandry services such as deworming, ectoparasite control, etc.

On-farm Livelihood Diversification – Tree plantations

Your Company's Social Forestry programme covered 44,000 acres during the year and is aligned to the Government of India's National Afforestation Programme. It currently spans 19 districts in six states, cumulatively covering 5.72 lakh acres across over 7,750 villages and 1.98 lakh poor households. Integral to the programme are the Agro-Forestry and Bund plantation models that enable small and marginal farmers to cultivate field crops and trees together in the same field and realise benefits of both annual income from crops and lumpsum income from trees once in four years. These models have cumulatively covered over 2.74 lakh acres (part of total Social Forestry area), ensuring food, fodder and wood security. To create an additional income source and improve resilience towards climate change, fruit & other commercial species tree plantations have also been promoted, covering over 64,860 acres to date.

Together with your Company's Farm Forestry programme, this initiative has covered around 14.83 lakh acres till date and generated over 270 million-person days of livelihood for rural households, including women, poor tribal and marginal farmers. Fast growing, high yielding and disease resistant hybrid plantation clones developed by your Company deliver significantly higher productivity and are suited to diverse ecological conditions, enhancing resilience and farmer incomes. In addition to creating employment, increasing incomes and expanding green cover, these large-scale initiatives contribute to the creation of additional carbon sinks for tackling climate change.

Women Empowerment

During the year, this initiative provided gainful livelihood opportunities to around 3.47 lakh poor women (cumulative 6 lakhs), through livelihood interventions for Self Help Groups (SHGs), women in agriculture and allied services, community service cadres, and ultra-poor women. It is aligned to National Rural Livelihoods Mission's objective of enabling Lakhpati Didis.

The Targeting Hardcore Poor programme empowers ultra-poor women primarily in rural catchments, through mentoring, enterprise skilling and asset support under a two-year graduation approach. To date, over 45,520 women have been covered in your Company's core catchments spread across 10 districts in eight states. Studies indicate income increase of more than five-fold, along with significant improvements in Human Development Indicators. A partnership was signed in March 2026, with T/Nudge (An institute focused on building resilient livelihoods and alleviating poverty) and State Rural Livelihood Mission (SRLM) of Assam to enable economic inclusion of 10,000 women in 10 Blocks across six districts.

As an amplification strategy, the financial literacy and inclusion programme, in partnership with Madhya Pradesh State Rural Livelihood Mission (MPSRLM) and CRISIL Foundation, continued in its second phase covering all 52 districts of Madhya Pradesh. During the year, it reached 33,240 new SHGs with 3.48 lakh members. The programme has since expanded to other states and has till date covered over 4.23 lakh SHGs benefiting 41.97 lakh women across 80 districts in 15 states. 2.91 lakh scheme linkages were facilitated during the year (cumulative 33.91 lakhs) which included access to bank accounts and Government social security schemes, enabled through a self-sustaining cadre of Yojana Sakhis. Yojana Sakhis are part of a cadre of 6,583 women being nurtured to provide services to the community, which also includes Krishi, Pashu and Swaasth Sakhis.

In addition, 1,227 women from low and middle-income backgrounds in peri-urban catchments are undergoing a two-year entrepreneurship journey following a laddered approach — Akankshi, Lakhpati, Udhyami (annual income of ₹ 1.5 to ₹ 2.0 lakhs) and Pragatisheel (annual income of more than ₹ 2 lakhs). They are supported with entrepreneurship development training, mentorship and market linkages, including online platforms, to start and scale enterprises. To date, 700+ women have attained the Lakhpati status, with 165 progressing to Udhyami and 127 to Pragatisheel levels.

Education

The Primary Education programme, aligned with National Education Policy 2020, focuses on improving access, on learning outcomes and retention for children from weaker sections. During the year, it was operational in 60 districts of 15 states, covering around 4.39 lakh new children and continuing engagement with 10.94 lakh children. In addition, 125 Supplementary Learning Centres (SLCs) continued operations, mainstreaming more than 4,030 out-of-school children into formal education (cumulative 20,830).

Recognising the importance of Early Childhood Care and Education (ECCE) as per National Education Policy 2020, building capabilities of Anganwadi Sevikas on ECCE remained a key focus. Your Company partnered with Women Development and Child Welfare Department in Andhra Pradesh to strengthen capacities of over 55,600 Anganwadi Sevikas across all the 26 districts. Through a cascade approach, the Sevikas reached 2.79 lakh new children and continued engagement with 7.96 lakh children during the year. A similar partnership in Saharanpur, Uttar Pradesh, covered 30,000 children aligned to 'Poshan Bhi, Padhai Bhi' initiative of the Government. The second phase of the PPP was signed with Directorate of Women & Child Development, Government of Assam for 11 districts (extended from eight districts in Phase 1) integrating nutrition and early stimulation with ECCE.

535 Government Primary Schools and Anganwadis were provided child friendly, climate-resilient infrastructure support comprising boundary walls, additional classrooms including operationalising smart classrooms, aerators, cool roof paint, solarisation, sanitation units and furniture, taking the cumulative coverage to 4,100. These interventions have contributed to improved enrolment, particularly among girls. For sustenance and maintenance of infrastructure provided, 1,305 School Management Committees and 1,327 Child Cabinets & Water and Sanitation (WATSAN) Committees were operational with active involvement of students, parents and teachers.

To address school dropouts and strengthen career intentionality, especially among girls in secondary and senior secondary level, a pilot intervention continued in Pudukkottai, Munger and Kolkata covering 4,740 girls and women. The programme focuses on career mentoring, 21st-century skills and mainstreaming through the National Open Schooling System. Of total 286 girls who appeared for 10th standard examination in Munger, 119 girls (including 55 married) were successful in their 1st attempt.

Your Company's 'Bounce of Joy' programme promotes holistic development through physical fitness and sports by training Physical Education teachers. Through these teachers, the programme covered over two lakh beneficiaries across 250 schools in three states.

Skilling & Vocational Training

This programme, aligned to Pradhan Mantri Kaushal Vikas Yojana, provides market-linked skills training to marginalised youth, including the differently abled, to enable sustainable livelihoods. 17,600 youth across 33 districts in 16 states were trained, under different courses during the year, of which 49% were female, taking the cumulative to 1.45 lakh youth. To scale up, your Company has also initiated two pilots as potential tracks - community-based skilling (3,850 trained during the year) and ecosystem approach through partnerships with institutions such as ITIs and degree colleges (7,900 youth).

The programme for skilling differently abled youth was operational across eight centres in five states and has shown strong progress since its inception three years back. During the year, around 1,300 youth (cumulatively over 2,370) were trained and 863 have already been placed (cumulatively 1,460). Your Company's Sixth Sense programme, focused on the lives of visually challenged, covered 210 such individuals across five cities.

Sanitation

Your Company adopts a multi-pronged approach towards improving public health and hygiene across 35 districts and 14 states, focusing on ensuring sustenance of Open Defecation Free (ODF) habitations and progressing to the next level through improved hygiene, sanitation and waste management practices, aligned with Swachh Bharat Mission 2.0.

The Water, Sanitation and Hygiene (WASH) programme in schools includes construction of separate sanitation units for girls and boys and handwashing units with aerator taps to conserve water, alongside behaviour change initiatives reaching 1.06 lakh school students through 4,200 WASH campaigns.

The 'Swasth India Mission' continues to drive behavioural change in hand hygiene through experiential training in primary schools, guided by the belief of 'Swasth Bacche, Mazboot Desh' and supporting the country's efforts to reduce preventable infections. During the year, the programme covered 25,000 schools, reaching about 37.47 lakh children through interactive and innovative awareness sessions.

Waste Management

Your Company's initiatives focus on creating replicable, scalable and sustainable models of municipal and rural waste management that can be implemented across the country to ensure that minimal waste goes to landfills. Details of these models are provided in the section on 'Building a Circular Economy for Post-Consumer Packaging'.

Health & Nutrition

Your Company is adopting a holistic approach towards Community Healthcare, focusing on preventive healthcare and curative services. Community healthcare addresses the challenges of awareness, availability, accessibility and affordability and aims to improve health and nutrition by strengthening institutional capacity, supplementing existing infrastructure, promoting greater convergence with existing Government schemes like National Health Mission, leveraging technology and enhancing access to primary and secondary healthcare services.

Under the Maternal and Child Health and Nutrition (MCHN) programme, aligned with POSHAN Abhiyan, a two-pronged approach was adopted:

– Focus on the first '1,000 days of life' in high malnutrition catchments covering mothers and children

– Addressing anaemia at scale through screening under Anaemia Mukt Bharat (AMB), Rashtriya Bal Suraksha Karyakram (RBSK) followed by loop closure through awareness creation and linkages with Government schemes.

Capacity building of frontline resources, including Anganwadi Sevikas, Accredited Social Health Activist (ASHAs) and Auxiliary Nurse Midwife (ANMs) is integral to the intervention, with 70,000 of them trained on community engagement, importance of seven critical home visits during the first 1,000 days and promotion of localised nutrition.

A 4E approach—Explore (identify hotspots), Educate (awareness on nutrition and hygiene), Encourage (nutrition gardens and '5 Food Groups' consumption), and Empower (capacity building of ASHA and Anganwadi Sevikas)—was adopted to address the challenges of anaemia. Over 1.62 lakh women and children were screened for anaemia during the year in partnership with Government (cumulative 3.62 lakhs) for baselining and identifying priority geographies for corrective action. Re-testing of 19,546 community members post completion of the closed loop intervention revealed over 70% experienced improvement, with 38% moving to improved categories - severe to moderate, moderate to mild, or mild to normal.

Around 17 lakh community members, primarily women, adolescent girls and children spread across 36 districts in 11 states were covered during the year under your Company's MCHN and Swasthya Choupal initiatives aimed at improving their health-nutrition status. This included the partnership with the Directorate of Women and Child Development, Assam (11 districts, including seven aspirational districts) and the Child Development Services and Nutrition Department Saharanpur, Uttar Pradesh.

Project Samposhan reached out to 1.5 lakh women and adolescents across four districts in two states to educate, engage, and empower them on anaemia, dietary diversity and importance of a balanced diet with iron-rich foods. Under the 'Smart India' intervention, over 25 lakh people were reached to raise awareness on iodine deficiency disorders and healthy eating.

As part of the community healthcare programme, under the 'ITC Swaasth Kiran' initiative, 17 Mobile Medical Units (MMUs) (seven in Saharanpur, six in Munger & four in Kamrup) provided free medical consultation and medicines to the rural community at their doorstep. During the year, over 2.74 lakh individual engagements were conducted across 830 villages, (58% women), along with 64,700 diagnostic tests and 910 referrals.

Recognising the need for high-quality doorstep eye care, your Company continued its innovative layered eyecare intervention – Sachal Nethra Seva in rural areas of Saharanpur, Uttar Pradesh, as a part of which four Mobile Vision Units (MVUs) were operational in services. These MVUs equipped with high-end ophthalmic equipment can screen and diagnose eye ailments such as Cataract, Diabetic Retinopathy, Glaucoma and other conditions. During the year, over two lakh community members were engaged, of which 16,279 cases were referred to the MVUs, and thereafter, 1,429 surgeries done at Dr. Shroff's Charity Eye Hospital in Saharanpur, the programme partner. The two-year Certified Ophthalmic Paramedic (COP) Programme offered at Dr. Shroff's Charitable Eye Hospital, Saharanpur, continued to support marginalised girls who have passed 12th standard. Of the 199 girls enrolled, 78 have successfully completed the course to date, including 34 during the year.

With the involvement of the Rogi Kalyan Samitis, 20 Primary Health Centres (PHCs) were upgraded based on Indian Public Health Standards, taking the cumulative to 57 across five states, contributing to increased patient footfall and institutional deliveries. Under the TB Mukt Bharat Abhiyan, nutrition support in the form of prescribed food and nutrition kits was extended for a sustained period of six months to 2,000 patients in Saharanpur and Haridwar, taking the cumulative to 5,000. To provide safe drinking water available in Andhra Pradesh and Karnataka, 23 Reverse Osmosis (RO) water purification plants were set up in villages where the water quality was poor, taking the total to 228 plants, benefiting over 2.5 lakh rural people.

ITC Sangeet Research Academy

The ITC Sangeet Research Academy (ITC SRA), established in 1977, is an embodiment of your Company's sustained commitment to a priceless national heritage. Your Company's commitment to ensuring enduring excellence in Classical music education continues to drive ITC SRA in furthering its objective of preserving and propagating Hindustani Classical Music based on the age-old principle of 'Guru Shishya Parampara'. The focus continues to be on nurturing exceptionally gifted students selected from across the country through a system of multi-level auditions. Through its eminent Gurus, it imparts intensive training and quality education in Hindustani Classical music to its 45 scholars that includes 20 girls and two differently abled students, identified after multiple rigorous auditions. The present Gurus of the Academy are Padma Bhushan Pandit Ajoy Chakrabarty, Padma Shri Pandit Ulhas Kashalkar, Pandit Partha Chatterjee, Vidushi Subhra Guha, Pandit Uday Bhawalkar, Shri Omkar Dadarkar, Shri Abir Hossain and Shri Brajeswar Mukherjee.

Several scholars of the Academy have performed at various music festivals and have also been recipients of prestigious awards and accolades. The Academy presented its scholars and young musicians in 38 ITC Mini Sangeet Sammelans, concerts and Baithaks in locations such as Jabalpur, Hubli, Dharwad, Sirsi, Lucknow, Jodhpur, Dehradun, Goa, Pune and Bengaluru to fulfil its avowed objective of preserving and propagating Hindustani Classical Music.

Forging Multi-Stakeholder Partnerships

Your Company's Social Investments Programme lays continuous emphasis on building partnerships of value to drive innovation, access contemporary knowledge, and effectively amplify & implement programmes. Over the years, your Company has established Knowledge Partnerships with several national & international organisations/ agencies to leverage latest knowledge / technical know-how to continuously enhance programme quality. Public-Private Partnerships (PPPs) are leveraged to amplify successful interventions into geographies beyond core catchment areas, with three such PPPs signed during the year. Further, your Company also engages with reputed coalitions and collaboratives to enable systemic change and synergise resources for broader societal and environmental good. The meaningful contribution made by your Company's Social Investments Programme towards addressing some of the country's key development challenges has been made possible, to a significant extent, through partnerships with implementation agencies, several of which have sustained for over 15 years. These partnerships combine your Company's management capabilities with the domain expertise and mobilisation strengths of these partners to deliver innovative, scalable grassroots solutions.

CSR Expenditure

The annual report on Corporate Social Responsibility activities, as required under Sections 134 and 135 of the Companies Act, 2013 read with Rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014 and Rule 9 of the Companies (Accounts) Rules, 2014, is provided in the Annexure forming part of this Report.

Environment, Health & Safety

Your Company's Environment, Health & Safety (EHS) strategy is focused on enabling environmentally responsible and safe operations across its units, as integral to long-term value creation and risk management, through efficient use of natural resources and a safe and healthy workplace. Your Company continues to strengthen its EHS governance framework and drive continuous improvement in environmental performance.

Your Company believes that a safe and healthy work environment is a prerequisite for employee well-being, and that strong occupational health & safety practices support business resilience and performance. With the objective of further embedding safety across the organisation and progressing towards the aspiration of 'Zero Accident', your Company has adopted a comprehensive EHS strategy founded on two pillars: 'Safety by Design' and 'Safety by Culture'.

Safety

Your Company has sustained its focus on 'Safety by Design' by strengthening safety performance and embedding best-in-class engineering standards across investments in the built environment. Designs for all new greenfield and brownfield projects are reviewed to ensure alignment with applicable safety standards and codes. In addition, periodic EHS audits are undertaken across operational units to provide assurance on adherence to relevant requirements.

To embed a culture of safety, your Company continued to strengthen capability building and workforce engagement through structured training programmes and targeted communication (including using interactive podcasts, short video modules, etc.) on critical safety topics, complemented by discussions with workers on safe and unsafe acts. These initiatives, supported by keystone behaviours, reinforce individual ownership and safe practices. Your Company also leveraged design thinking and digital platforms to strengthen operational assurance, risk management and leadership visibility through improved decision-making. During the year, your Company conducted an organisation-wide EHS Summit to drive strategic alignment and share best practices, supported by a reward and recognition framework, thereby fostering a stronger EHS community and enabling positive behavioural change across the organisation.

National awards and certifications received by various units provide external validation of your Company's EHS systems and culture and reaffirm its commitment to providing a safe and healthy workplace for all.

R&D, QUALITY AND PRODUCT DEVELOPMENT

Your Company's state-of-the-art Life Sciences and Technology Centre (LSTC) in Bengaluru continues to anchor its science-led innovation agenda, driving the development of differentiated products and strengthening a portfolio of world-class brands. Over the years, LSTC has emerged as a robust innovation engine that is a key enabler of the 'ITC Next' growth strategy. Backed by world-class infrastructure and a diverse pool of over 400 highly qualified scientists, LSTC is at the forefront of advancing multiple initiatives aimed at delivering sustained competitive advantage and meaningful differentiation across your Company's product and brand portfolio.

Driving purposeful innovations that delights the Indian consumer through superior offerings remains the key objective of LSTC. Centres of Excellence across domains viz. Biosciences, Agri-sciences & Materials sciences have enabled building capabilities to cater to the constantly evolving consumer needs. Focused research across identified domains viz. Health & Wellness, Formulation Design, Sustainable Materials & Packaging, Agro-forestry and Crop Science has enabled the teams to harness contemporary advances in relevant core areas to translate 'proofs of concept' to novel product opportunities. While building the intellectual assets for your Company, LSTC has filed over 900 patent applications till date. Robust risk management practices are in place to ensure that your Company's intellectual properties remain adequately protected and to ensure mitigation of information and infrastructure risk.

Research programmes and projects are closely aligned with the various Businesses of your Company, thereby enabling a robust innovation pipeline. In addition, your Company continues to embed a culture of continuous improvement in quality and competitiveness through ongoing innovation across materials, processes and systems.

Your Company has been a frontrunner in introducing first-to-market consumer-relevant innovative products. Amidst heightened geopolitical uncertainty, inflationary pressures and an evolving regulatory landscape, LSTC and product development teams are enabling the Businesses to enhance value proposition, improve affordability and accelerate sustainability-led innovation. Novel technologies are being judiciously leveraged to create healthier foods through systematic reduction in salt, sugar and fat without compromising on sensory attributes. Amidst increasing stringency in the regulatory landscape, key focus areas include better-for-you products, Health & Hygiene solutions and sustainable packaging, to enhance long-term competitiveness and sustainable growth of consumer facing businesses.

LSTC, in collaboration with the Agri and Branded Packaged Foods Businesses, endeavours to ensure that science-based ideas are fully integrated across the value chain from farm to fork, to enhance resilience and quality assurance. In Agro-Forestry and Crop Science, LSTC's scientists have established capabilities for improving grain, wood & pulp quality and yield, to secure critical raw materials for your Company. Ongoing research has major emphasis on developing climate resilient crops and pulp wood species, to mitigate biotic and abiotic risks. Advanced varieties of wheat and potato are now being planned

to be grown closer to the factories to optimise supply chain costs, in addition to reducing the carbon footprint. Future-ready, alternate value chains that mitigate risks arising out of disruptions to existing sourcing models continue to be explored.

Research infrastructure and capabilities are continuously upgraded in line with the global developments to build future-ready innovation platforms. Expanding capabilities include spreading the acreage of new tree clones with superior properties, developing modern instrumentation for testing very low levels of actives or contaminants, measuring barrier properties (air and water permeability) of coated paper substrate, etc. These investments enhance your Company's ability to accelerate development, improve quality assurance, enable sustainable materials innovation, and strengthen agri-science capabilities.

Rigorous systems, processes and industry best practices are continuously upgraded to secure quality certifications of the highest levels – a key enabler in delivering products that follow the highest standards in quality, safety and efficacy to the Indian consumer. All branded packaged foods manufacturing units of your Company not only have ISO quality certification but also follow the highest standards under the integrated food quality management system-FSSC 22000; these systems ensure adherence to internationally accepted quality standards in producing safe and high-quality food. All manufacturing units of the Branded Packaged Foods Businesses (including contract manufacturing units) operate in compliance with stringent food safety and quality standards. Your Company's food quality assurance laboratories are accredited by the National Accreditation Board for Testing and Calibration Laboratories (NABL) under ISO 17025, a global standard for testing and calibrating labs, which guarantees quality. Additionally, the quality of all FMCG products of your Company is monitored through best-in-class customer-centric 'Quality Control and Quality Assurance Processes' and 'Product Quality Ratings Systems' (PQRS) enhancing competitive superiority of your Company's product offerings.

In its quest to continuously enhance efficiency and be future-ready, LSTC is developing and deploying cutting-edge digital tools for quality performance analytics, benchmarking and strengthening quality management systems. Going forward, your Company will continue to identify growth opportunities leveraging its diverse core competencies and translating consumer insights and emerging science & technology into scalable innovations.

PROCEEDINGS INITIATED BY THE ENFORCEMENT DIRECTORATE

In the proceedings initiated by the Enforcement Directorate in 1997, the appropriate authority after hearing arguments on behalf of your Company has passed several orders in favour of your Company and dropped some of the show cause notices issued by the Directorate. In respect of some of the remaining notices, your Company filed writ petitions challenging their validity. The Honourable Calcutta High Court heard some of these writ petitions to completion, and the proceedings in respect of these notices were quashed. The remaining writ petitions and notices are pending adjudication / hearing.

Meanwhile, some of the prosecutions launched by the Enforcement Directorate have been quashed by the Honourable Calcutta High Court; while the remaining have been challenged before the High Court and are pending.

TREASURY OPERATIONS

Your Company's treasury operations continued to focus on deployment of surplus liquidity and management of foreign exchange exposures within a well-defined risk management framework.

During the year, the Reserve Bank of India (RBI) cumulatively reduced the policy rate by 100 basis points to 5.25% to support growth amid benign inflation conditions. The RBI also undertook several liquidity support measures, including a phased reduction of 100 basis points in the Cash Reserve Ratio. These measures contributed to a decline in the market interest rates in the early part of the year. As the year progressed, interest rates experienced bouts of volatility due to global trade uncertainties, geopolitical tensions and the RBI's periodic actions in the foreign exchange market, which reduced liquidity in Indian Rupee (INR). This impact was partly offset by the RBI through open market operations. Towards the latter part of the year, market sentiment weakened due to higher-than-expected government borrowing, muted demand from investors and an escalation of the West Asia conflict, which pushed interest rates higher.

In the currency market, INR witnessed a sharp depreciation against the US Dollar (US$) during the year. The weakness was primarily driven by strength in the US$ amid a relatively high-interest rate environment, significant foreign portfolio investor outflows from the Indian equity market, tariff-related uncertainty and periods of heightened global risk aversion. The escalation of the

West Asia conflict led to a sharp rise in crude oil prices, resulting in an unfavourable Balance of Payments outlook and putting further pressure on the currency. The RBI intervened selectively to contain excessive volatility and maintain orderly market conditions rather than defending a specific exchange rate level. Despite these external pressures, India's external sector remained supported by comfortable foreign exchange reserves and sound macroeconomic conditions.

Investment decisions relating to deployment of surplus liquidity were guided by the tenets of Safety, Liquidity and Return. Treasury operations focused on proactive rebalancing of portfolio duration and mix, in line with the evolving interest rate environment. Further, ongoing review and monitoring of creditworthiness, including engagement with market participants, ensured that the investment portfolio was not exposed to undue credit risk.

As in earlier years, commensurate with the size of the temporary surplus liquidity under management, treasury operations continue to be supported by appropriate internal control systems, along with an independent check covering 100% of transactions by your Company's Internal Audit Department.

Your Company adopted a proactive risk management approach and actively managed foreign currency exposures through appropriate hedging strategies and market instruments to protect business margins.

DEPOSITS

Your Company's erstwhile Public Deposit Scheme closed in the year 2000. As at 31st March, 2026, there were no deposits due for repayment except in respect of two deposit holders aggregating ₹ 20,000 which have been withheld on the basis of directives received from the government agencies.

DIRECTORS

Changes in Directors

During the year, the following Directors were appointed / re-appointed with your approval:

a) Mr. Amitabh Kant as an Independent Director for a period of five years with effect from 1st January, 2026.

b) Mr. Navin Agarwal, representing the Specified Undertaking of the Unit Trust of India ('SUUTI'), as a Non-Executive Director for a period of three years with effect from 1st April, 2026.

c) Mr. Shyamal Mukherjee as an Independent Director for a period of five years with effect from 11th August, 2026.

d) Mr. Hemant Malik as a Wholetime Director for a period of two years with effect from 12th August, 2026.

In the opinion of the Board, Messrs. Kant and Mukherjee possess the required integrity, expertise and experience to perform their role as Independent Directors of your Company.

Mr. Hemant Bhargava will complete his present term as an Independent Director of your Company on 19th December, 2026. The Board of Directors of your Company ('the Board'), on the recommendation of the Nomination & Compensation Committee, has recommended for the approval of the Members, the re-appointment of Mr. Bhargava as an Independent Director of the Company for a period of five years with effect from 20th December, 2026.

Appropriate resolution seeking your approval to the above is appearing in the Notice convening the 115th Annual General Meeting ('AGM') of your Company.

Ms. Nirupama Rao completed her term as an Independent Director of your Company with effect from close of work on 7th April, 2026. Further, Dr. Alok Pande, representing SUUTI, stepped down from the Board with effect from 1st April, 2026. Your Directors place on record their appreciation for the contribution made by Ms. Rao and Dr. Pande during their respective tenure with the Company.

Retirement by Rotation

In accordance with the provisions of Section 152 of the Companies Act, 2013 ('the Act') read with Articles 94 and 95 of the Articles of Association of your Company, Messrs. Sunil Panray and Siddhartha Mohanty will retire by rotation at the ensuing AGM and being eligible, offer themselves for re-election. Your Board has recommended their re-election.

Number of Board Meetings

Five meetings of the Board were held during the year ended 31st March, 2026.

Attributes, Qualifications & Independence of Directors and their Appointment

The Corporate Governance Policy of your Company requires that the Non-Executive Directors be drawn from amongst eminent professionals, with experience in business / finance / law / public administration and

enterprises. The Nomination & Compensation Committee has laid down the criteria for determining qualifications, positive attributes and independence of Directors (including Independent Directors). The Committee also evaluates the role and capabilities required, and the balance of skills, knowledge and experience on the Board, while considering the appointment of Independent Directors of your Company.

Further, in terms of the Policy on Board Diversity, the Board is required to have balance of skills, competencies, experience and diversity of perspectives appropriate to the Company. Diversity for this purpose is considered from a number of aspects including, but not limited to, educational & cultural background, nature of professional, administrative & industry experience, skills, knowledge and gender representation. The skills, expertise and competencies of the Directors identified by the Board, along with those available in the present mix of the Directors of the Company, are provided in the 'Report on Corporate Governance' forming part of the Report and Accounts.

In terms of the applicable regulatory requirements read with the Articles of Association of your Company, the strength of the Board shall not be fewer than six nor more than eighteen. Directors are appointed / re-appointed with the approval of the Members for a period of three to five years or a shorter duration, in accordance with retirement guidelines and as may be determined by the Board from time to time. All Directors, other than Independent Directors, are liable to retire by rotation, unless otherwise approved by the Members. One-third of the Directors who are liable to retire by rotation, retire every year and are eligible for re-election.

The Independent Directors of your Company have confirmed that (a) they meet the criteria of independence prescribed under Section 149 of the Act and Regulation 16 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'), (b) they are independent of the management of the Company, and (c) they are not aware of any circumstance or situation which could impair or impact their ability to discharge duties with an objective independent judgement and without any external influence. In the opinion of the Board, the Independent Directors fulfil the conditions specified under the Act and the Listing Regulations, and are independent of the management of the Company.

Remuneration Policy

Details of the Company's Policy on remuneration of Directors, Key Managerial Personnel and other employees are provided in the 'Report on Corporate Governance' forming part of the Report and Accounts.

Evaluation of Board, Board Committees and individual Directors

During the year, the Nomination & Compensation Committee has adopted a revised Framework for performance evaluation of the Board, Board Committees and Individual Directors.

In keeping with ITC's belief that it is the collective effectiveness of the Board that impacts Company's performance, the primary evaluation platform is that of collective performance of the Board as a whole. Board performance is assessed, inter alia, against the roles and responsibilities of the Board as provided under the Act, the Listing Regulations and the Company's Governance Policy. Accordingly, the parameters for Board performance evaluation have been derived from the Board's core role of trusteeship to protect and enhance shareholder value as well as to fulfil expectations of other stakeholders through strategic supervision of the Company; such parameters include (i) ensuring that the Company's Vision, Mission and Values (which were revised during the year) continue to be inspirational, purposeful & relevant, and commensurate with ITC's purpose, size and standing, (ii) securing alignment of the Company's long-term strategic goals with its 'Triple Bottom Line' approach to value creation and the nation's socio-economic & ecological priorities, (iii) ensuring a clearly defined strategic direction for realisation of the Company's Vision, strategic goals and long-term plans, and (iv) supporting the Company's management to meet the challenges arising from the operating & policy environment in the country.

Evaluation of functioning of Board Committees is based on discussions amongst the Committee Members and shared by the respective Committee Chairmen with the Board. Individual Directors are evaluated in the context of the role played by each Director as a member of the Board at its meetings, in assisting the Board in realising its role of strategic supervision of the functioning of the Company in pursuit of its purpose and goals. The peer group ratings of the individual Directors are collated by the Chairman of the Nomination & Compensation Committee and made available to the Chairman of the Company, who in turn takes action as considered appropriate.

While the Board evaluated its performance against the parameters laid down by the Nomination & Compensation Committee, the evaluation of individual Directors was carried out against the laid down parameters in order to ensure objectivity. The parameters for performance evaluation of individual Directors, inter alia, include ability to provide thought leadership across the role spectrum, demonstrating strategic perspective and business judgement during Board deliberations, and contribution to Board cohesion, governance & organisational processes. Reports on the functioning and performance of Board Committees during the year were placed before the Board. The Independent Directors Committee of the Board also reviewed the performance of the Chairman, other non-Independent Directors and the Board, pursuant to Schedule IV to the Act and Regulation 25 of the Listing Regulations.

KEY MANAGERIAL PERSONNEL

During the year, there were no changes in the Key Managerial Personnel of your Company.

AUDIT COMMITTEE & AUDITORS

The composition of the Audit Committee is provided under the section 'Board of Directors and Committees' in the Report and Accounts.

Statutory Auditors

Messrs. S R B C & CO LLP, Chartered Accountants ('SRBC'), were re-appointed with your approval as the Statutory Auditors of the Company for a period of five years till the conclusion of the 118th AGM (till FY 2028-29).

The Board, on the recommendation of the Audit Committee, has recommended for the approval of the Members, the remuneration of SRBC for conduct of audit for the financial year 2026-27. Appropriate resolution seeking your approval to the remuneration of SRBC is appearing in the Notice convening the 115th AGM of your Company.

Cost Auditors

Your Board, as recommended by the Audit Committee, appointed the following Cost Auditors for the FY 2026-27:

i. Messrs. ABK & Associates, Cost Accountants, for audit of Cost Records maintained by your Company in respect of 'Wood Pulp' and 'Paper and Paperboard' products.

ii. Messrs. S. Mahadevan & Co., Cost Accountants, for audit of Cost Records maintained in respect of all applicable products of your Company, other than 'Wood Pulp' and 'Paper and Paperboard' products.

Pursuant to Section 148 of the Act read with the Companies (Audit and Auditors) Rules, 2014, appropriate resolutions seeking your ratification to the remuneration of the aforesaid Cost Auditors are appearing in the Notice convening the 115th AGM of your Company.

The Company maintains necessary cost records as specified by the Central Government under Section 148(1) of the Act read with the Companies (Cost Records and Audit) Rules, 2014.

Secretarial Auditors

Messrs. S. N. Ananthasubramanian & Co., Company Secretaries, were appointed with your approval as the Secretarial Auditors of the Company for a period of five years till the FY 2029-30.

The Report of the Secretarial Auditors, pursuant to Section 204 of the Act, is provided in the Annexure forming part of this Report. The Secretarial Auditors have confirmed that the Company has complied with the applicable laws and that there are adequate systems and processes in the Company commensurate with its size and scale of operations to monitor and ensure compliance with the applicable laws.

CHANGES IN SHARE CAPITAL

During the year, 1,53,48,450 Ordinary Shares of ₹ 1/- each, fully paid-up, were issued and allotted upon exercise of 15,34,845 Options under the Company's Employee Stock Option Schemes. Consequently, the Issued and Subscribed Share Capital of your Company, as on 31st March, 2026, stands increased to ₹ 1252,94,68,231/- divided into 1252,94,68,231 Ordinary Shares of ₹ 1/- each.

The Ordinary Shares issued during the year rank pari passu with the existing Ordinary Shares of the Company.

EMPLOYEE STOCK OPTION SCHEMES AND EMPLOYEE STOCK APPRECIATION RIGHTS SCHEME

During the year, the Board, pursuant to the authority vested in it by the Members, has approved the ITC Employee Stock Appreciation Rights Scheme 2025, in accordance with the Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 ('the SBEB Regulations').

Disclosures with respect to Stock Options and Stock Appreciation Rights, as required under Regulation 14 of the SBEB Regulations, are available in the Notes to the Financial Statements of the Company. The said disclosures forming part of the Financial Statements can also be accessed on the Company's corporate website https://www.itcportal.com under the section 'Investor Relations'.

During the year, there has been no change in the Employee Stock Option Schemes and the Employee Stock Appreciation Rights Scheme of the Company. The Secretarial Auditors have certified that the aforesaid Schemes have been implemented in accordance with the SBEB Regulations and the resolutions passed by the Members in this regard.

INVESTOR SERVICE CENTRE

The Investor Service Centre of your Company ('ISC'), which is registered with the Securities and Exchange Board of India for providing in-house share registration and related services to the shareholders and investors, continues to maintain best-in-class standards of investor servicing while ensuring compliance with the applicable regulatory requirements.

During the year, the ISO 9001:2015 Quality Management System Certification for investor servicing by ISC was renewed by DNV, the accredited agency for such certification, for three years up to 22nd March, 2029. DNV accorded the highest 'Level 5' rating to ISC's systems and processes, re-affirming its best-in-class service standards for shareholders and investors.

The 'Investor Relations' section on the Company's corporate website http://www.itcportal.com serves as a user-friendly platform for shareholders and investors providing comprehensive information and guidance on share-related matters. In addition, the shareholders may conveniently avail various share-related services through the dedicated service portal at https://eform.itcportal.com.

RELATED PARTY TRANSACTIONS

All contracts or arrangements entered into by your Company with its related parties during the financial year were in accordance with the provisions of the Companies Act, 2013 and the Listing Regulations. All such contracts or arrangements were on arm's length basis in the ordinary course of business and were approved by the Audit Committee. No material contracts or arrangements with related parties within the purview of Section 188(1) of the Act were entered into during the year under review. Accordingly, the disclosure of Related Party Transactions as required in terms of Section 134 of the Act read with Rule 8 of the Companies (Accounts) Rules, 2014 in Form AOC-2 is not applicable for the year.

DIRECTORS' RESPONSIBILITY STATEMENT

As required under Section 134 of the Companies Act, 2013, your Directors confirm having:

a) followed in the preparation of the Annual Accounts, the applicable accounting standards with proper explanation relating to material departures, if any;

b) selected such accounting policies and applied them consistently and made judgements and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of your Company at the end of the financial year and of the profit of your Company for that period;

c) taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of your Company and for preventing and detecting fraud and other irregularities;

d) prepared the Annual Accounts on a going concern basis;

e) laid down internal financial controls to be followed by your Company and that such internal financial controls were adequate and were operating effectively; and

f) devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

CONSOLIDATED FINANCIAL STATEMENTS

Your Company's Board of Directors is responsible for the preparation of the consolidated financial statements of your Company and its Subsidiaries ('the Group'), Associates and Joint Venture entities, in terms of the requirements of the Companies Act, 2013 (the Act) and in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards specified under Section 133 of the Act.

The respective Boards of Directors of the companies included in the Group and of its associates and joint venture entities are responsible for maintenance of

adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of each company and for preventing and detecting frauds and other irregularities; the selection and application of appropriate accounting policies; making judgements and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error. Such financial statements have been used for the purpose of preparation of the consolidated financial statements by the Board of Directors of your Company, as aforestated.

OTHER INFORMATION

Compliance with the conditions of Corporate Governance

The certificate from the Company's Statutory Auditors, Messrs. S R B C & CO LLP, confirming compliance with the conditions of Corporate Governance as stipulated under the Listing Regulations, is annexed.

Going Concern status

There was no significant or material order passed during the year by any regulator, court or tribunal impacting the going concern status of your Company or its future operations.

Annual Return

The Annual Return of your Company is available on its corporate website at https://www.itcportal.com/investor/disclosures-under-SEBI.aspx.

Particulars of loans, guarantees or investments

Details of loans and investments covered under the provisions of Section 186 of the Companies Act, 2013 are provided in Notes 4, 5, and 9 to the Financial Statements. No guarantees were outstanding as at the year end.

Particulars relating to Conservation of Energy and Technology Absorption

Particulars as required under Section 134 of the Companies Act, 2013 relating to Conservation of Energy and Technology Absorption are also provided in the Annexure to this Report.

Compliance with Secretarial Standards

The Company is in compliance with the applicable Secretarial Standards issued by the Institute of Company Secretaries of India and approved by the Central Government under Section 118(10) of the Act.

Employees

The total number of employees as on 31st March, 2026 stood at 22,481.

The information required under Section 197(12) of the Companies Act, 2013 read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 is provided in the Annexure forming part of this Report.

The statement containing particulars of employees as required under Section 197(12) of the Companies Act, 2013 read with Rule 5(2) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, forming part of this Report, is available on the Company's corporate website www.itcportal.com.

Dividend Distribution Policy

The Dividend Distribution Policy of your Company may be accessed on its corporate website at https://www.itcportal.com/about-itc/policies/dividend-distribution-policy.pdf.

Key Financial Ratios

Key Financial Ratios for the financial year ended 31st March, 2026 are provided in the Annexure forming part of this Report.

FORWARD-LOOKING STATEMENTS

This Report contains forward-looking statements that involve risks and uncertainties. When used in this Report, the words 'anticipate', 'believe', 'estimate', 'expect', 'intend', 'will' and other similar expressions as they relate to your Company and/or its Businesses are intended to identify such forward-looking statements. Your Company undertakes no obligation to publicly update or revise any forward-looking statements, whether as a result of new information, future events, or otherwise. Actual results, performances or achievements could differ materially from those expressed or implied in such forward-looking statements. Readers are cautioned not to place undue reliance on these forward-looking statements that speak

only as of their dates. This Report should be read in conjunction with the financial statements included herein and the notes thereto.

CONCLUSION

Your Company's 'Triple Bottom Line' philosophy has over the years spurred the creation of innovative business models that synergise the building of economic, environmental and social capital. It is now universally evident that enterprises of the future will not only have to be agile, consumer-centric, innovative and digital-first but also purpose-driven and responsibly competitive. In line with its superordinate goal of serving larger national priorities and creating value for all stakeholders, your Company's paradigm of 'Responsible Competitiveness' focuses on building sustainable competitive advantage in a manner that replenishes the environment and supports sustainable livelihoods.

The strategic Vision of creating multiple drivers of growth through the pursuit of market opportunities that best match institutional strengths, has resulted in the development of strong Businesses of the future anchored on a portfolio of purpose-led brands, future-ready products and world-class quality. Today, your Company is the leading FMCG marketer in India, a pioneering trailblazer in farmer and rural empowerment through its Agri Business, the clear market leader in the Indian Paperboards and Packaging industry, and a global exemplar in sustainability. ITC Hotels Limited – a group entity – is a pre-eminent hotel chain and a globally acclaimed icon in green hoteliering. Since the turn of the millennium, your Company's non-cigarettes businesses have grown over 40-fold and presently constitute about two-thirds of Net Segment Revenue. At the heart of this transformation lies the power of synergy, with seamless access for your Company's newer Businesses / initiatives to the deep and varied capabilities resident across different parts of the enterprise, and its world-class talent pool.

An extensive strategy reset has been undertaken in recent years, embodied in the ITC Next strategy that focuses on building a Future-Ready, Consumer-Centric, Climate Positive and Inclusive organisation, with the agility and foresight to anticipate change, innovate proactively and shape the next horizon of growth and value creation.

The FMCG Businesses have delivered strong performance in recent years and are well-poised to be rapidly scaled up across the three growth platforms i.e., fortifying the core, addressing value-added adjacent opportunities leveraging mother brands and nurturing new vectors of growth. Multi-dimensional interventions, including strategic acquisitions in high-growth and future-facing categories, have been undertaken to accelerate growth and strengthen the competitiveness and market standing of the FMCG Businesses.

Focused interventions made in the recent past have also augmented your Company's multi-channel go-to-market capability, resulting in manifold expansion in the reach and availability of its products. Market coverage has increased to 2.1x of pre-pandemic levels, facilitating availability of products in nearly seven million retail, over 40% of which are serviced directly. Sharp-focused investments have augmented capability in NewGen channels such as e-Commerce, Quick Commerce and Modern Trade, resulting in robust growth in sales and enhanced market standing. In addition, investments towards accelerating agile and purposeful innovation, optimising supply chain efficiencies and accelerated digital adoption have significantly enhanced competitiveness.

The FMCG Businesses will continue to leverage your Company's institutional strengths as a key source of sustainable competitive advantage viz. strong backward linkages with the Agri Business, a deep & wide multi-channel distribution network, cuisine knowledge resident in ITC Hotels Limited (a group entity), packaging know-how and the robust R&D platforms nurtured by LSTC. Structural advantages arising out of distributed manufacturing footprint, anchored on state-of-the-art ICMLs strategically located proximal to large demand centres, are increasingly being leveraged to drive rapid growth of the FMCG Businesses. With the strategy of building robust FMCG Businesses anchored on strong growth platforms and future-ready portfolio, your Company is well-poised to drive sustained value creation, leveraging its powerful brands.

The Agri Business has been a strong backbone and a key source of competitive advantage for your Company's FMCG and Cigarettes Businesses, as also a leading player in the agri space driving rural transformation. The scope and scale of operations have grown manifold over the years and currently encompass nearly four million tonnes of annual volume throughput in 22 states and over 20 agri value chains. In recent years, the Business has pivoted its strategic focus towards rapidly scaling up its

Value-Added Agri Products portfolio to accelerate growth and margins. With policy enablers in place, your Company is scaling up NextGen agriculture value chains that are digitally enabled and climate smart, and re-structuring the back end into a robust network of FPOs. This will further strengthen the sourcing network and facilitate the development of customised supply chains for traceable and identity-preserved sourcing of agri-commodities and in augmenting the product portfolio with the addition of value-added products such as staples for the Food Service segment, fresh fruits and vegetables, medicinal and aromatic plant extracts, etc. Towards enhancing the competitiveness of domestic agri value chains, fostering new business models and augmenting value creation opportunities, your Company has successfully scaled up ITCMAARS – a crop-agnostic 'phygital' full stack AgriTech platform integrating NextGen agri-technologies and solutions – to seamlessly deliver hyperlocal and personalised solutions to the farming community whilst creating new and scalable revenue streams and strengthening sourcing efficiencies.

The Paperboards, Paper and Packaging Businesses have made significant progress over the years in terms of scale enhancement and improved profitability. While recent performance has been impacted by low priced Chinese & Indonesian supplies in global markets including India, soft domestic demand conditions and unprecedented surge in wood prices, strategic interventions continue to be undertaken across areas spanning plantations, sharpening the product portfolio along with thrust on enhancing structural cost advantage. Representations continue to be made at appropriate forums through industry associations for sustained safeguard measures for domestic industry and development of economically viable alternatives for plantations on degraded forest land. Strategic investments have been stepped up in areas such as pulp import substitution, proactive capacity augmentation in Value-Added Paperboards segment, decarbonisation of operations, deployment of Industry 4.0 technologies and towards nurturing robust innovation platforms. The focus going forward is to fortify market leadership in the fast-growing Value-Added Paperboards segment by augmenting scale, driving cutting-edge innovation to rapidly scale-up single use plastic substitutes as a new vector of growth, building structural advantage through product mix enrichment, import substitution and scaling up the use of emergent technologies such as Industry 4.0 to enhance operational efficiency, reduce wastage and costs.

Your Company has entered into a Business Transfer Agreement to acquire the Pulp and Paper Undertaking of Aditya Birla Real Estate Limited (Century Pulp and Paper). The proposed acquisition is expected to add significant scale and economies to existing operations with potential for further capacity expansion, provide locational advantage for efficient customer servicing and proximity to key raw material sources, mitigate operational risks through multi-site operations and enhance resilience across industry cycles through portfolio diversification.

Your Company continues to build a dynamic 'Future-Tech' enterprise powered by state-of-the-art digital technologies and infrastructure ('Mission DigiArc') across the value chain adding significant impetus to digital marketing, digital commerce, digital products and digital operations. Your Company today is a pioneer in adoption of cutting-edge digital technologies across strategic impact areas spanning Consumer Experience, Business Model Transformation, Smart Operations and Employee Experience. Your Company is increasingly leveraging AI to enable smarter operations, enhance transparency and efficiency in workflows, generate data-driven insights, conduct technology-based impact assessments, and creating connected communities.

Sustainability continues to be a critical focus area. Your Company is actively pursuing its bold Sustainability 2.0 agenda comprising multi-dimensional interventions in decarbonisation, building green infrastructure, scaling up carbon sequestration, promoting climate-smart and regenerative agriculture, restoring biodiversity through nature-based solutions, enhancing water stewardship, creating an effective circular economy and sustainable packaging solutions, building climate resilience & adaptive capacity of value chains and developing inclusive value chains that can support 10 million livelihoods by 2030. Your Company has also committed to achieving Net Zero operations by 2050, while sharpening focus on climate adaptation, resilience of infrastructure and value chains, and nature-based solutions.

Disruptive business models and value propositions anchored at the intersection of future frontiers of Digitalisation and Sustainability form an integral part of your Company's strategic roadmap going forward.

NextGen business models such as ITCMAARS in the agri-ecosystem, tech-enabled Fresh Food business, sustainable paperboards and packaging solutions customised for end-use with focus on single use plastic substitutes, are being progressed to actualise these opportunities. Value-accretive acquisitions, joint venture and collaborations continue to be proactively pursued towards accelerating growth and value creation.

The world is navigating a critical inflection point marked by turbulence, uncertainty and rapid change, calling for novel strategies to reimagine the future. Multiple disruptions in recent years, including the pandemic, climate change-induced extreme weather events, geopolitical tensions, severe inflationary pressures, rapidly evolving consumer preferences and the relentless march of technology - especially AI & digitalisation; the business landscape is being reshaped at every turn. Accordingly, your Company continues to build a future-ready portfolio of businesses and strengthen business model resilience anchored in domestic value creation, local sourcing and climate resilience.

The resilience, agility and adaptive capacity demonstrated by your Company is a testament to the talent, determination and untiring efforts of its pool of dedicated professionals, associates and partners. Your Company's diverse talent pool of professional entrepreneurs, 'proneurs', have the unique opportunity to nurture categories, products and brands from ideation to execution. This talent pool is being harnessed not only to create winning products and services for today, but also to seize larger opportunities as they emerge from the expanding horizons of your Company's Businesses.

Your Company's Board and employees are inspired by the Vision of sustaining your Company's position as one of India's most admired and valuable companies, creating enduring value for all stakeholders, including the shareholders and the Indian society. The vision of enlarging your Company's contribution to the Indian economy is driven by its 'Nation First: Sab Saath Badhein' credo anchored on the core values of Nation Orientation, Trusteeship, Customer Obsession, Collaboration, Empathy & Respect and Entrepreneurial Mindset, which are the cornerstones of your Company's Corporate Governance philosophy.

Inspired by this Vision, driven by Values and powered by internal Vitality, your Directors and employees look forward to the future with confidence and stand committed to creating an even brighter future for all stakeholders.

On behalf of the Board

S. PURI *Chairman & Managing Director*
(DIN : 00280529)

S. DUTTA *Director & Chief Financial Officer*
(DIN : 01804345)

Kolkata
21st May, 2026

Enduring Value

Annexure to the Report of the Board of Directors
For the Financial Year Ended 31st March, 2026

ANNUAL REPORT ON CORPORATE SOCIAL RESPONSIBILITY (CSR) ACTIVITIES OF THE COMPANY

1. **CSR Policy - Brief outline and Overview**

a. **Brief outline of the CSR Policy:**

It is ITC's Policy to direct its CSR Programmes, inter alia, towards achieving one or more of the following – poverty alleviation; promoting education and skill development; promoting healthcare including preventive healthcare; providing sanitation and drinking water; ensuring environmental sustainability; enabling climate resilience; undertaking rural development projects; creating livelihoods for people, especially those from disadvantaged sections of society; protecting national heritage, art and culture; preserving and promoting music and sports; and providing relief and assistance to victims of disasters and calamities.

In pursuit of the above, ITC has identified the following focus areas for its CSR Programmes based on comprehensive need assessment surveys of its stakeholders:

(i) Create **sustainable livelihoods and alleviate poverty** through water stewardship and management of other natural resources, sustainable agriculture and climate smart practices, on-farm livelihoods like afforestation, off-farm livelihoods like livestock development, nano / micro-enterprises and women empowerment;

(ii) Build **capabilities for tomorrow** through interventions in education, skilling and **healthy habitations** through sanitation, school WASH (Water, Sanitation & Hygiene) and waste management;

(iii) **Promote healthcare, including preventive healthcare**, and improve critical nutritional & health status of at-risk population through interventions to strengthen mother & child health, nutrition, and affordable access to basic healthcare services;

(iv) Protect **national heritage, art & culture**, and preserve & promote music and sports; and

(v) Provide relief and assistance to victims of **disasters and calamities**.

The CSR Policy of the Company may be accessed on its corporate website at **https://itcportal.com/about-itc/itc-policies/csr-policy.html**

b. **Role of the CSR and Sustainability Committee:**

The role of the CSR and Sustainability Committee is inter alia, to review, monitor and provide strategic direction to the Company's CSR and sustainability practices towards fulfilling its "triple bottom line" objectives. The Committee seeks to guide the Company in crafting unique models to support creation of sustainable livelihoods together with environmental re-generation. Formulation and monitoring of the CSR Policy, the Sustainability Policies and the annual CSR Action Plan, including making recommendations to the Board as necessary, form part of the role of the Committee. The Committee also approves the Sustainability Report, besides reviewing the Business Responsibility and Sustainability Report of the Company and recommending the same to the Board for adoption.

c. **CSR Programmes / Projects:**

The two most important stakeholders for ITC's CSR programmes / projects are:

- Rural communities, primarily in the Company's Agri Business areas.
- Communities residing in close proximity to the Company's production units.

The Company's stakeholder profile is varied, calling for an integrated approach to development comprising several layers of interventions which are summarised below, in line with Schedule VII to the Companies Act, 2013:

i. Promoting Preventive Healthcare, Sanitation & Poverty Alleviation (Schedule VII – i):

- Health and Nutrition: Focus on preventive aspects by way of emphasis on Maternal and Child Health and Nutrition (MCHN) through awareness and counselling by leveraging institutions like Anganwadis, Accredited Social Health Activist (ASHA) workers and network of women Village Health Champions (VHCs). Also, strengthen healthcare related services by supplementing primary & secondary infrastructure, upgrading Primary Health Centres (PHC), and providing access to healthcare through mobile services & other interventions.
- Waste Management and Circular Economy: Create a clean and healthy environment through awareness & behaviour change for inculcating individual & community responsibility, facilitate source segregation & recycling of dry and wet waste including plastics, management of liquid waste and enable sustainable livelihoods and well-being of waste collectors.

- Sanitation: Promote a hygienic environment through prevention of open defecation and reduce incidence of waterborne diseases. The focus of the intervention is on enhancing awareness and impacting behaviour change on Water, Sanitation & Hygiene (WASH). Also, facilitate health impacting social and civic infrastructure initiatives like improved sanitation and hygiene in the neighbourhood of the Company's catchments.
- Poverty Alleviation: Support the needy and poor through interventions that enable income diversification & generation and also provide access to basic needs like clothing, food, etc., as needed.

ii. Promoting Education, Vocational Skills and Livelihood Enhancement (Schedule VII – ii):

- Education: Provide children with access to education including Early Child Care Education with focus on enrolment, learning retention, foundational skills and improved pedagogy. Also, work with government to enhance capacities of institutions like Anganwadis.
- Skills: Build and upgrade skills of youth with the emerging needs of the job market across sectors as also entrepreneurial opportunities.
- On-farm and Off-farm livelihoods: Enhance incomes of farmers and their families by widening income generation opportunities through social and agro-forestry, fruit plantations and livestock development covering both large and small ruminants, including poultry and fisheries. Also, facilitate capability building through comprehensive package of extension services.

iii. Economic Empowerment of Women (Schedule VII – iii):

Provide a range of gainful employment and individual & group entrepreneurial opportunities to women by empowerment and capacity building programmes, strengthening digital and financial literacy, and also providing access to loans, grants, insurance & social security.

iv. Ensuring Environmental Sustainability (Schedule VII – iv):

- Water Stewardship: Promote local management of water resources by facilitating community-based participation in planning & executing watershed projects and soil & moisture conservation, river-basin level interventions, and also identifying & enabling extensive use of water efficient practices in agriculture & urban catchments and use of treated water.
- Biodiversity: Strengthen eco-system services provided by nature including provisioning and regulatory services focussed on restoring commons and mangroves.
- CII-ITC Centre of Excellence for Sustainable Development: Enable other businesses / organisations in India to create enduring value on a sustainable basis by embedding the imperatives of sustainable development in their strategies & processes.

v. Protection of National Heritage, Art & Culture (Schedule VII – v):

Revive and restore vanishing musical sub-genres by enlisting the goodwill of some of the finest musicians through institutions like the ITC Sangeet Research Academy, which was established in 1977 as an embodiment of the Company's sustained commitment to a priceless national heritage. Also, protect and promote Indian art and culture including infrastructure creation, and enhancing awareness & research in Indian knowledge systems.

vi. Training to promote rural sports, nationally recognised sports, paralympic sports and Olympic sports (Schedule VII – vii):

Promote sports for the holistic development of children by working closely with schools.

vii. Research in science, technology, engineering and medicine aimed at promoting Sustainable Development Goals (Schedule VII – ix-b):

Leverage the technical expertise of premier institutions through partnerships and support innovation and R&D activities in the areas of science, technology, engineering, environment, agriculture and health aimed at promoting Sustainable Development Goals (SDGs).

viii. Rural Development (Schedule VII – x):

- Sustainable and Climate Smart Agriculture: Introduce advanced knowledge & technologies through package of practices, increase awareness of farmers on optimum use of natural resources in order to increase farm incomes, minimise cost of cultivation, reduce emissions and make agriculture resilient to increasing climate challenges.
- Knowledge Empowerment: Enable farmers and farmer collectives to make informed choices by providing relevant and real-time information on local weather reports, customised knowledge & best practices on farming and farm management, commodity prices, market linkages and risk management.

- Institutional Support: Encourage sustainable agricultural practices through various extension platforms to enable access to relevant farm mechanisation technologies & implements, as also institutional support mechanisms and linkages to government schemes, especially for small farm holdings, in order to enhance farm productivity and farm-based incomes.

ix. Disaster Assistance (Schedule VII – xii):

Provide relief especially to the poor and vulnerable sections of society who face severe disruption to their livelihoods in the event of disasters and calamities.

2. **Composition of the CSR and Sustainability Committee as on 31st March, 2026:**

Sl. No.	Name of Director	Designation / Nature of Directorship	Number of meetings of CSR and Sustainability Committee held during the year	Number of meetings of CSR and Sustainability Committee attended during the year
1.	S. Puri (Chairman of the Committee)	Chairman & Managing Director	3	3
2.	A. Kant [1]	Independent Director		N.A.
3.	C. K. Mishra	Independent Director		3
4.	S. Mohanty	Non-Executive Director		3
5.	S. Mukherjee	Independent Director		3
6.	A. Pande	Non-Executive Director		2
7.	S. Panray	Non-Executive Director		3
8.	N. Rao	Independent Director		2
9.	A. Singh	Non-Executive Director		3

[1] *Appointed as a Member w.e.f. 30th January, 2026.*

3. Provide the web-link(s) where composition of the CSR and Sustainability Committee, CSR Policy and CSR projects approved by the Board are disclosed on the website of the Company: **https://www.itcportal.com/sustainability/corporate-social-responsibility.aspx**

4. Provide the executive summary along with web-link(s) of Impact Assessment of CSR Projects carried out in pursuance of sub-rule (3) of Rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014, if applicable:

Executive Summary – Impact Assessment of ITC's CSR Programmes for the financial year 2025-26

Brief Description	ITC implements its CSR Programmes across the country under a Three Pathway Strategy, focusing both on strengthening and sustaining livelihoods of today, as well as building capabilities and capacities to empower communities for a better life for the future.
Thematic Areas / Programmes	The specific themes covered under the Three Pathway Strategy include: **Pathway 1: Conserving Natural Resource Ecosystems and Enhancing Resilience of Agriculture and Allied Livelihoods** • Water Stewardship • Climate Smart Agriculture • On-Farm Livelihood Diversification: Social Forestry • Off-Farm Livelihood Diversification: Livestock Development **Pathway 2: Nurturing Human Capabilities – Strengthening Foundational Literacy & Livelihoods and Preparing Communities for Future** • Support to Education • Skilling of Youth • Women Empowerment: Targeted Hardcore Poor (THP) Programme and Financial Literacy Programme **Pathway 3 - Strengthening Public and Community Health Ecosystems to create Healthier Habitats** • Public Health: Maternal and Child Health and Nutrition (MCHN) • Public Health: Sanitation and Waste Management

Projects Covered	63 projects having outlay of more than ₹ 1 crore each during the financial year 2023-24 were grouped under nine thematic interventions and were then taken up for impact assessment. The purpose of these assessments was to assess the impact of the projects and incorporate the learnings from the findings into the programmes, as relevant.
Projects Duration	FY 2023-24
States	The assessments covered interventions in the States of Andhra Pradesh, Assam, Bihar, Delhi, Gujarat, Himachal Pradesh, Jharkhand, Karnataka, Madhya Pradesh, Maharashtra, Odisha, Punjab, Rajasthan, Tamil Nadu, Telangana, Uttar Pradesh, Uttarakhand and West Bengal.
Impact Assessment Agencies	These impact assessments were done by the following 12 external agencies selected through competitive bidding process, and assigned specific projects / geographies for assessment: • Administrative Staff College of India, Hyderabad • Anahat For Change Foundation, Kolkata • BDO India Services Private Limited, Gurugram • Bureau of Research on Industry and Economic Fundamentals Private Limited, New Delhi • CRISIL Limited, Mumbai • Grant Thornton Bharat LLP, Noida • Ingrain Technologies, Hyderabad • Price Waterhouse Chartered Accountants LLP, Gurugram • Renalysis Consultants Private Limited, Ahmedabad • Saarthak Collective, New Delhi • Saathire Social Impact Solutions Private Limited, Bengaluru • SoStakes Services Private Limited, Bengaluru
Period of Study	FY 2025-26
Methodology	The agencies took up studies through mixed method approach covering quantitative and qualitative data collection. A statistically significant sample size was covered under each project. In the aggregate, over 22,450 samples were covered across interventions and control areas.

The major impacts recorded by the impact studies are as follows –

Pathway 1: Conserving Natural Resource Ecosystems and Enhancing Resilience of Agriculture and Allied Livelihoods

Overall, the projects assessed under Pathway 1 were found to be relevant, effective, efficient and sustainable. They have not only contributed to higher incomes for farmers, but also enabled climate adaptation and conservation of natural resources.

Water Stewardship:

- The study conducted in Andhra Pradesh, Karnataka and Tamil Nadu revealed that compared to baseline, access to irrigation resulted in increase in gross cropped area by 12% and improved cropping intensity by 6%.

Biodiversity Conservation:

- In the study conducted in Maharashtra, respondents have reported increase in availability of fodder and fuelwood by over 16% in commons and they have been able to save approximately ₹ 8,000/- annually on procuring fodder and ₹ 2,000/- on procuring fuelwood.

Climate Smart Agriculture:

- In Uttar Pradesh, study revealed that compared to control, yield of wheat was 16% higher for programme farmers, while cost of cultivation was lesser by 28%.
- In Telangana, study revealed that compared to control, Direct Seeded Rice (DSR) method in paddy resulted in 21% reduction of cultivation costs and 22% higher net income. 82% of programme farmers continued DSR in the subsequent years and 72% increased the area under DSR on their own.
- Study conducted in Crop Development Programme (CDP) across the states of Bihar, Madhya Pradesh, Maharashtra, Punjab, Rajasthan and Uttar Pradesh, revealed high variety seeds delivered average 10-15% higher yield in wheat crop, against control.

Social Forestry:

- In Telangana, small farmer friendly agro-forestry model plantations (both trees and crops cultivated together) led to 17% higher income for programme farmers over control who only grew trees.

Livestock Development:

- In Telangana, because of the interventions, mortality rate of small ruminants reduced by 50% compared to control.

Pathway 2: Nurturing Human Capabilities –Strengthening Foundational Literacy & Livelihoods and Preparing Communities for Future

Projects evaluated under Pathway 2 were found to be of high relevance, impacting lives of children, youth, women and communities residing in ITC catchments.

Support to Education:

- Early Childhood Care and Education (ECCE) interventions evaluated in Andhra Pradesh revealed that 90% (control: 56%) children showing better shape drawing ability; 73% (31%) in fine motor skills; and 58% (30%) in number recognition skills.
- Primary Education programme evaluated in Himachal Pradesh, Maharashtra, Uttarakhand and Uttar Pradesh showed 80% children from the programme group could solve 3-digits addition & subtraction (control: 50%+) and 90% children could read sentences (control: 50%+).

Skilling of Youth:

- Study done in Assam, Punjab, Uttar Pradesh and West Bengal revealed that a high proportion of respondents (upto 93%) reported gaining skills and knowledge for job roles, along with improvements in communication and problem-solving abilities. 80% of the trained youth got engaged in employment or self-employment and are earning ₹ 12,000/- to ₹ 14,000/- per month.

Women Empowerment:

- In the Targeted Hardcore Poor (THP) programme in Uttar Pradesh, average monthly income of ultra-poor women has increased by over five times, and asset value appreciated to over two and half times, compared to baseline.
- In the Financial Literacy (FL) and inclusion programme studied in Andhra Pradesh, Karnataka, Madhya Pradesh, Tamil Nadu, Uttarakhand and Uttar Pradesh, over 46% of women reported taking loan for productive purposes such as business, financial investments, farming, irrigation etc., compared to less than 18% in control.

Pathway 3 - Strengthening Public and Community Health Ecosystems to create Healthier Habitats

Projects evaluated under Pathway 3 were found to be relevant and impactful in improving health and nutrition outcomes of the community as well as improving habitats.

Maternal and Child Health and Nutrition (MCHN):

- In the MCHN programme implemented in collaboration with the Government of Assam in Darang district, 97% (baseline: 57%) pregnant women registered for Ante Natal Care (ANC) in the 1st trimester. In the same district, in case of children (< 5 years), there was reduction in prevalence of under-weight children to 11% (baseline: 25%) and reduction in prevalence of stunting to 21% (baseline: 46%).

Waste Management:

- In Guntur, Andhra Pradesh, study revealed that waste segregation practice at household level increased from 30% to 90%.
- Study conducted in Kapurthala, Punjab, and Shirur, Maharashtra, revealed high awareness levels about linkage between waste management and environment pollution - 85% and 75%, respectively.
- In Shirur, 94% respondents highlighted improvement in waste water treatment in their village as a result of Liquid Waste Management programme.
- In Well-being Out of Waste (WOW) programme in three peri-urban clusters of Hyderabad, 96% of surveyed households practiced source segregation (control: 40%) indicating the positive impact of the programme.

Detailed Impact Assessment Reports are available on the Company's website at **https://www.itcportal.com/sustainability/impact-studies.aspx**

5. (a) Average net profits of the Company as per Section 135(5) : **₹ 24,996.23 crores**
   (b) Two percent of the average net profits of the Company as per Section 135(5) : **₹ 499.92 crores**
   (c) Surplus arising out of the CSR projects or programmes or activities of the previous financial years : **Nil**
   (d) Amount required to be set off for the financial year, if any : **Nil**
   (e) Total CSR obligation for the financial year [(b)+(c)-(d)] : **₹ 499.92 crores**

6. (a) Amount spent on CSR Projects (both Ongoing Project and other than Ongoing Project) : **₹ 470.85 crores**
   (b) Amount spent in Administrative Overheads : **₹ 25 crores**
   (c) Amount spent on Impact Assessment, if applicable : **₹ 4.15 crores**
   (d) Total amount spent for the Financial Year [(a)+(b)+(c)] : **₹ 500 crores**
   (e) CSR amount spent or unspent for the Financial Year:

Total Amount spent for the Financial Year (in ₹)	Amount Unspent (in ₹)				
	Total Amount transferred to Unspent CSR Account as per Section 135(6)		Amount transferred to any fund specified under Schedule VII as per second proviso to Section 135(5)		
	Amount	Date of transfer	Name of the Fund	Amount	Date of transfer
₹ 500 crores	Not Applicable	Not Applicable	Not Applicable		

(f) Excess amount for set-off, if any:

Sl. No.	Particular	Amount (in ₹)
(1)	(2)	(3)
(i)	Two percent of average net profits of the Company as per Section 135(5)	**₹ 499.92 crores**
(ii)	Total amount spent for the Financial Year	**₹ 500 crores**
(iii)	Excess amount spent for the Financial Year [(ii)-(i)]	**₹ 0.08 crore**
(iv)	Surplus arising out of the CSR projects or programmes or activities of the previous Financial Years, if any	**Nil**
(v)	Amount available for set off in succeeding Financial Years [(iii)-(iv)]	**₹ 1.46 crores ***

** Includes excess amounts of ₹ 0.58 crore and ₹ 0.80 crore spent during the financial years 2023-24 and 2024-25, respectively, and carried forward.*

7. Details of Unspent Corporate Social Responsibility amount for the preceding three Financial Years:

1	2	3	4	5	6		7	8
Sl. No.	**Preceding Financial Year(s)**	**Amount transferred to Unspent CSR Account under Section 135(6) (in ₹)**	**Balance Amount in Unspent CSR Account under Section 135(6) (in ₹)**	**Amount Spent in the Financial Year (in ₹)**	**Amount transferred to a Fund as specified under Schedule VII as per second proviso to Section 135(5), if any**		**Amount remaining to be spent in succeeding Financial Years (in ₹)**	**Deficiency, if any**
					Amount (in ₹)	**Date of Transfer**		
1	**2024-25**	**Nil**	**Nil**	**Nil**	**Not Applicable**			
2	**2023-24**	**Nil**	**Nil**	**Nil**	**Not Applicable**			
3	**2022-23**	**₹ 23.10 crores**	**Nil**	**₹ 23.10 crores**	**NIL**		**NIL**	**NIL**

8. Whether any capital assets have been created or acquired through Corporate Social Responsibility amount spent in the Financial Year:

( ) **Yes** (✔) **No**

If Yes, enter the number of Capital assets created / acquired **Not Applicable**

Furnish the details relating to such asset(s) so created or acquired through Corporate Social Responsibility amount spent in the Financial Year:

Sl. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pincode of the property or asset(s)	Date of creation	Amount of CSR amount spent	Details of entity / Authority / beneficiary of the registered owner		
					CSR Registration Number, if applicable	Name	Registered address
1	2	3	4	5	6		
Not Applicable							

9. Specify the reason(s), if the Company has failed to spend two per cent of the average net profits as per Section 135(5):
Not Applicable

On behalf of the Board

S. PURI *Chairman – CSR and Sustainability Committee*
(DIN : 00280529)

S. DUTTA *Director & Chief Financial Officer*
(DIN : 01804345)

Kolkata, India
21st May, 2026

Annexure to the Report of the Board of Directors

FORM NO. MR - 3
SECRETARIAL AUDIT REPORT
FOR THE FINANCIAL YEAR ENDED 31ST MARCH, 2026

[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
ITC Limited
CIN: L16005WB1910PLC001985
Virginia House, 37 J. L. Nehru Road
Kolkata 700 071

We have conducted Secretarial Audit of compliance with the applicable statutory provisions and adherence to good corporate practices by **ITC Limited** (hereinafter called 'the Company') for the **financial year ended 31st March, 2026**. Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts / statutory compliances and expressing our opinion thereon.

Based on our verification of the Company's books and papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorised representatives during the conduct of Secretarial Audit, we hereby report that in our opinion, the Company has, during the audit period covering the **financial year ended 31st March, 2026**, complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter.

We have examined the books and papers, minute books, forms and returns filed and other records maintained by the Company for the **financial year ended 31st March, 2026** according to the provisions of:

(i) The Companies Act, 2013 ('the Act') and the Rules made thereunder;
(ii) The Securities Contracts (Regulation) Act, 1956 and the Rules made thereunder;
(iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
(iv) The Foreign Exchange Management Act, 1999 and the Rules and Regulations made thereunder to the extent of Foreign Direct Investment and Overseas Direct Investment;
(v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992:
  (a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
  (b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;
  (c) The Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021;
  (d) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 2025 - **The Company's in-house Investor Service Centre is registered with the SEBI as a Registrar to an Issue and Share Transfer Agent;**
  (e) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021;
  (f) The Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015;
  (g) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 - **Not Applicable as there was no reportable Event during the financial year under review**;
  (h) Securities and Exchange Board of India (Issue and Listing of Non-Convertible Securities) Regulations, 2021 - **Not Applicable as there was no reportable Event during the financial year under review**; and
  (i) Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018 - **Not Applicable as there was no reportable Event during the financial year under review**;
(vi) The Management has identified and confirmed the following laws as being specifically applicable to the Company:
  (a) The Tobacco Board Act, 1975 and the Rules and Regulations made thereunder;
  (b) The Cigarettes and Other Tobacco Products (Prohibition of Advertisement and Regulation of Trade and Commerce, Production, Supply and Distribution) Act, 2003 and the Rules made thereunder, and other laws relating to manufacture and sale of Tobacco;
  (c) The Food Safety and Standards Act, 2006 and the Rules and Regulations made thereunder;
  (d) The Drugs and Cosmetics Act, 1940 and the Rules made thereunder.

We have also examined compliance with the applicable clauses of the following:

(i) Secretarial Standards with respect to Meetings of Board of Directors (SS-1) and General Meetings (SS-2) issued by the Institute of Company Secretaries of India;
(ii) Listing Agreements entered into by the Company with National Stock Exchange of India Limited, BSE Limited and Calcutta Stock Exchange Limited ('the Stock Exchanges'). The Company's equity shares were delisted from the Calcutta Stock Exchange Limited with effect from 20th November, 2025.

We report that during the period under review, the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards etc. mentioned above.

We further report that:

(i) The Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors, including Women Independent Directors. Changes in the composition of the Board of Directors that took place during the year under review, were carried out in compliance with the provisions of the Act;
(ii) Adequate notice is given to all Directors to schedule the Board and Committee Meetings; agenda and detailed notes on agenda were sent at least seven days in advance before the meeting except where consent of Directors was received for circulation of notices, agenda and notes to agenda at a shorter notice, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting;
(iii) All the decisions of the Board and Committees thereof were carried through unanimously;

We further report that based on review of the compliance mechanism established by the Company, we are of the opinion that there are adequate systems and processes in place in the Company which are commensurate with its size and scale of operations, to monitor and ensure compliance with the applicable Laws, Rules, Regulations and Guidelines.

Enduring Value

We further report that during the financial year under review, following events have occurred, having a major bearing on the Company's affairs in pursuance of the above referred Laws, Rules, Regulations, Guidelines, Standards, etc.:

1) Issue and allotment of 1,53,48,450 Ordinary Shares of Re. 1/- each, fully paid-up, upon exercise of Stock Options under the Employee Stock Option Schemes of the Company, from time to time.
2) Acquisition of 43.75% of the share capital (comprising 2,62,500 Equity Shares of Rs. 10/- each) of Ample Foods Private Limited (AFPL) on 4th April, 2025, consequent to which AFPL has become an Associate Company.
3) Pursuant to the execution of Share Purchase Agreement on 17th April, 2025 to acquire 100% of the share capital of Sresta Natural Bioproducts Private Limited ('SNBPL'), and acquisition of its entire share capital (comprising 1,87,48,858 Equity Shares of Rs. 10/- each) on 13th June, 2025; consequently, SNBPL became a wholly owned subsidiary of the Company and its subsidiaries viz., Fyve Elements LLC, USA and Sresta Global FZE, UAE, became step-down wholly owned subsidiaries of the Company with effect from the said date.
   Subsequent to the above, the Board of Directors of the Company on 1st August, 2025 approved the Scheme of Amalgamation of SNBPL and Wimco Limited ('Wimco'), wholly owned subsidiaries, with the Company. The Hon'ble National Company Law Tribunal ('NCLT'), Kolkata Bench, vide order dated 20th March, 2026, and NCLT, Hyderabad Bench, vide order dated 16th April, 2026, have approved the said amalgamation; Upon fulfilment of all the conditions specified in the Scheme of Amalgamation, the Appointed Date for the said amalgamation is 1st April, 2025 for Wimco and 13th June, 2025 for SNBPL and the Effective Date of the Scheme is 1st June, 2026.
4) Pursuant to the approval of the Board, the Company executed the Transaction Documents on 17th April, 2025, to acquire the remaining 73.50% stake of the share capital of Mother Sparsh Baby Care Private Limited (on a fully diluted basis) at Rs. 415 crore over a period of two to three years with a primary infusion of Rs.70 crore and acquisition of 594 Equity Shares and 2,201 Compulsory Convertible Preference Shares, of Rs. 10/- each, on 21st May, 2025; consequently, the Company's shareholding in Mother Sparsh aggregated 39.47% of its share capital, on a fully diluted basis.
5) Divestment of the Company's entire shareholding of 39.32% consisting of 7,759 Compulsorily Convertible Preference Shares and 2,386 Equity Shares, of Rs. 10/- each, held in Delectable Technologies Private Limited ('DTPL') on 13th May, 2025; consequently, DTPL ceased to be an associate company with effect from the said date.
6) The Board of Directors on 1st August, 2025, pursuant to the authority vested in it by the Members on 10th April, 2025, approved the 'ITC Employee Stock Appreciation Rights Scheme 2025' for grant of Employee Stock Appreciation Rights to the eligible employees of the Company and its Subsidiary companies.
7) The Ordinary Shares of Company were voluntarily delisted from The Calcutta Stock Exchange Limited with effect from 20th November, 2025.
8) Prag Agro Farm Limited ceased to be a wholly owned subsidiary of the Company with effect from 10th December, 2025, consequent to its voluntary liquidation, as approved by NCLT, Mumbai Bench.

This Report is to be read with our letter of even date which is annexed as **Annexure - A** and forms an integral part of this Report.

For S. N. ANANTHASUBRAMANIAN & Co.
Company Secretaries
ICSI Unique Code: P1991MH040400
Peer Review Cert. No.: 5218/2023

S. N. Ananthasubramanian
Founding Partner
FCS: 4206 I COP No.: 1774
ICSI UDIN: F004206H000358582

Date: 14th May, 2026
Thane

Annexure - A

To,
The Members,
ITC Limited
CIN: L16005WB1910PLC001985
Virginia House, 37 J. L. Nehru Road
Kolkata 700 071

Our Secretarial Audit Report for the financial year from **1st April 2025 to 31st March 2026** of even date is to be read along with this letter.

Management's Responsibility

1. It is the responsibility of the Management of the Company to maintain secretarial records, devise proper systems to ensure compliance with the provisions of all applicable laws and regulations, and to ensure that the systems are adequate and operate effectively.

Auditor's Responsibility

2. Our responsibility is to express an opinion on these secretarial records, standards and procedures followed by the Company with respect to secretarial compliances.
3. We have conducted the Audit as per the applicable Auditing Standards issued by the Institute of Company Secretaries of India.
4. We believe that audit evidence and information obtained from the Company's management is adequate and appropriate for us to provide a basis for our opinion.
5. Wherever required, we have obtained reasonable assurance as to whether the statements prepared, documents or records in relation to Secretarial Audit, maintained by the Company, are free from misstatement.
6. Wherever required, we have obtained the Management's representation about the compliance of laws, rules and regulations and happening of events, etc.

Disclaimer

7. The Secretarial Audit Report is neither an assurance as to future viability of the Company nor of the efficacy or effectiveness with which the Management has conducted the affairs of the Company.
8. We have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company.

For S. N. ANANTHASUBRAMANIAN & Co.
Company Secretaries
ICSI Unique Code: P1991MH040400
Peer Review Cert. No.: 5218/2023

S. N. Ananthasubramanian
Founding Partner
FCS: 4206 I COP No.: 1774
ICSI UDIN: F004206H000358582

14th May, 2026
Thane

Annexure to the Report of the Board of Directors

INFORMATION UNDER SECTION 134 (3) (m) OF THE COMPANIES ACT, 2013 READ WITH COMPANIES (ACCOUNTS) RULES, 2014 AND FORMING PART OF THE REPORT OF THE BOARD OF DIRECTORS

CONSERVATION OF ENERGY:

All business units continued their efforts to improve energy usage efficiencies and increase the share of renewable energy in line with ITC's 2030 Goals. These goals include reduction in specific energy by 30% and specific GHG by 50% along with increasing renewable energy share to 50% and sourcing 100% of purchased electricity from renewables. The Company regularly tracks its performance against these key performance indicators. The Company invests in energy conservation and renewable energy projects along with exploring innovative technologies to bring alignment with the goals. These investments are done in phases by taking into account future expansion plans, evolving regulatory frameworks, techno-commercial feasibility and socio-political aspects.

a) Steps taken or impact on conservation of energy:

Some of the energy conservation measures adopted across the Company are outlined below:

I. Installation of Upflow Anaerobic Sludge Blanket Reactor (UASBR) for efficient effluent treatment and utilization of gas as fuel in Foods Business.

II. Installation of high-efficiency screw chillers in Paper Business.

III. Installation of Pressure Reduction Station (PRS) and multi-pass steam injection systems to optimise steam consumption in Foods Business.

IV. Installation of closed loop condensate recovery system in Foods Business.

V. Integration of process equipment with sensors and automation systems (e.g., dissolved oxygen sensors, thermal energy meters) for real-time optimisation in Foods and Personal Care Businesses.

VI. Installation of flow booster system and deaeration system to enhance heat transfer efficiency in thermic fluid heaters in Packaging Business.

VII. Installation of Variable Frequency Drives (VFDs) for various pumps, agitators, blowers, and chillers across Businesses.

VIII. Replacement of air conditioners, chiller, compressor, motors, water coolers, pumps and heat exchangers with higher efficiency ones across Businesses.

IX. Improvement in energy usage efficiency in lighting systems by changing over to efficient lighting solutions such as Light Emitting Diodes (LEDs) across Businesses.

X. Process improvements to enhance productivity and reduce specific energy consumption across Businesses.

These investments have resulted in energy savings of over 50 TJ during the year.

b) Steps taken for utilising alternate sources of energy:

Some of the renewable energy initiatives undertaken during the year are as follows:

I. Commissioning of 3 MWp onsite solar photovoltaic power plants across ITC Units.

II. Commissioning of biomass boilers in foods and cigarette factories at Tamil Nadu and Uttar Pradesh.

III. Continued use of renewable electricity from existing wind/ solar power plants and utilization of biomass in existing biomass boilers across Businesses.

These investments have helped ITC increase its renewable electricity capacity to 177 MW. These investments, together with initiatives in renewable thermal energy, have helped ITC achieve an overall renewable energy share of 51%.

c) Capital investment on energy conservation equipment: 785 lakhs INR

TECHNOLOGY ABSORPTION:

a) Efforts made towards technology absorption:

I. As a part of Industry 4.0 initiative, various technological innovations are being implemented. Key highlights are presented below:

a. Foods Business's 'Focus Factory' initiative is aimed at building robust digital infrastructure to enable real time monitoring of operational parameters and utilise it towards advanced Artificial Intelligence and Machine Learning data analytics. This was the backbone for adoption of advance technologies like deployment of AI Agents and digital twins.

b. *Digital Factory Operating System (Df-OS)* is a platform developed to centralize operations and enable seamless cross-functional collaboration, creating a single source of truth for factory data.

c. *Integrated Operations Management System (IOMS)* has been developed to digitize and standardize critical manufacturing parameters.

II. New process and changes to product formulation to enhance productivity, quality and printability in Paper Business.

III. Enhanced the plastic substitution portfolio of products at the Paper Business.

IV. New process and product technologies on personal hygiene, skin care and fragrances developed through in-house Research & Development in the Personal Care Products Business.

V. Induction of contemporary technologies and continuous improvement across Businesses, towards reducing process variability, cycle time and wastages while enhancing manufacturing flexibility, productivity and capability.

b) Benefits derived:

I. Cycle time reduction and productivity enhancement

II. World-class quality and differentiated products

III. Addressing market specific end-use applications

IV. Conservation of resources and improved efficiencies

c) The expenditure incurred on Research and Development:

	For the year ended 31st March, 2026
Expenditure on R&D:	**(₹ in Lakhs)**
i) Capital	1,828.30
ii) Revenue	19,449.65
Total	**21,277.95**
Total R&D Expenditure (as a % of Gross Revenue)	**0.26%**

On behalf of the Board

S. PURI *Chairman & Managing Director*
(DIN : 00280529)

Kolkata, India
21st May, 2026

S. DUTTA *Director & Chief Financial Officer*
(DIN : 01804345)

Enduring Value

Annexure to the Report of the Board of Directors
For the Financial Year Ended 31st March, 2026

A. Information pursuant to Section 197 of the Companies Act, 2013 read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014

Name of Directors & Key Managerial Personnel	Designation	Ratio of Remuneration to Median Remuneration of all Employees	Increase in Remuneration over Last Year (%)
		Based on remuneration paid	
S Puri	Chairman & Managing Director	338 : 1	(7)
S Dutta	Executive Director & Chief Financial Officer	133 : 1	5
H Malik	Executive Director	108 : 1	14
B Sumant	Executive Director	153 : 1	(8)
H Bhargava	Independent Director	15 : 1	18
A M Bharucha	Independent Director	15 : 1	80
A Kant [1]	Independent Director	0 : 1	–
C K Mishra	Independent Director	9 : 1	2232 *
S Mohanty	Non-Executive Director	4 : 1	3262 *
S Mukherjee	Independent Director	15 : 1	19
A Nayak	Independent Director	15 : 1	18
A Pande	Non-Executive Director	10 : 1	1672 *
S Panray	Non-Executive Director	15 : 1	19
N Rao	Independent Director	15 : 1	23
A K Seth	Independent Director	15 : 1	18
A Singh	Non-Executive Director	15 : 1	1449 *
P Subrahmanyam	Independent Director	15 : 1	1695 *
R K Singhi	Executive Vice President & Company Secretary	45 : 1	(0)

** Not comparable since the remuneration for the financial year 2024-25 was for part of the year.*

[1] Appointed as an Independent Director w.e.f. 01.01.2026

Notes

1) The number of permanent employees as on 31st March, 2026 was 22,481.

2) Compared to the financial year 2024-25, the figures for the financial year 2025-26 reflect that:
   (i) Median remuneration of employees - Increased by 4%
   (ii) Average remuneration of employees - Decreased by 2%
   (iii) Average remuneration of employees excluding Key Managerial Personnel (KMPs) - Decreased by 2%
   (iv) Remuneration of KMPs - Decreased by 2%

3) Remuneration of Directors, KMPs and other employees is in accordance with the Company's Remuneration Policy.

B. Information pursuant to Section 197 of the Companies Act, 2013 read with Rule 5(2) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 - Available on the Company's corporate website **www.itcportal.com** .

On behalf of the Board

S. PURI *Chairman & Managing Director*
(DIN : 00280529)

S. DUTTA *Director & Chief Financial Officer*
(DIN : 01804345)

Kolkata
21st May, 2026

Annexure to the Report of the Board of Directors For the Financial Year Ended 31st March, 2026

KEY FINANCIAL RATIOS

[Pursuant to Schedule V(B) to the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015]

Key Financial Ratios for the Company:

		FY26	FY25
(i)	Operating Profit Margin (%)	33.4	35.4
(ii)	Net Profit Margin (%)[1]	25.3	26.7
(iii)	Debtors Turnover	23.7	20.7
(iv)	Inventory Turnover	4.9	5.3
(v)	Current Ratio	3.0	3.0
(vi)	Return on Net Worth[1]	29.6	29.2

Notes:

1. **Net Profit Margin** and **Return on Net Worth** ratios have been computed based on Profit After Tax (before exceptional items).
2. **Interest Coverage Ratio** and **Debt-Equity ratio** are not relevant for the Company as it has negligible debt.
3. Refer Note to Standalone Financial Statements No. 29 (xvii) on comparability of Gross Revenue from sale of products and services and value of Inventory with previous year numbers.

On behalf of the Board

S. PURI *Chairman & Managing Director*
(DIN : 00280529)

S. DUTTA *Director & Chief Financial Officer*
(DIN : 01804345)

Kolkata
21st May, 2026

Enduring Value

Annexure to the Report of the Board of Directors

Independent Auditor's Report on compliance with the conditions of Corporate Governance as per provisions of Chapter IV of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended

The Members of ITC Limited

1. The Corporate Governance Report prepared by ITC Limited (hereinafter the "Company"), contains details as specified in regulations 17 to 27, clauses (b) to (i) and (t) of sub – regulation (2) of regulation 46 and paras C, D and E of Schedule V of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("the Listing Regulations") ('Applicable criteria') for the year ended March 31, 2026 and the said Report will be submitted by the Company to the Stock Exchanges as part of the Annual Report.

Management's Responsibility

2. The preparation of the Corporate Governance Report is the responsibility of the Management of the Company including the preparation and maintenance of all relevant supporting records and documents. This responsibility also includes the design, implementation and maintenance of internal control relevant to the preparation and presentation of the Corporate Governance Report.
3. The Management along with the Board of Directors is also responsible for ensuring that the Company complies with the conditions of Corporate Governance as stipulated in the Listing Regulations, issued by the Securities and Exchange Board of India.

Auditor's Responsibility

4. Pursuant to the requirements of the Listing Regulations, our responsibility is to provide a reasonable assurance in the form of an opinion whether the Company has complied with the conditions of Corporate Governance as specified in the Listing Regulations.
5. We conducted our examination of the Corporate Governance Report in accordance with the Guidance Note on Reports or Certificates for Special Purposes and the Guidance Note on Certification of Corporate Governance, both issued by the Institute of Chartered Accountants of India ("ICAI"). The Guidance Note on Reports or Certificates for Special Purposes requires that we comply with the ethical requirements of the Code of Ethics issued by ICAI.
6. We have complied with the relevant applicable requirements of the Standard on Quality Control (SQC) 1, Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements.
7. The procedures selected depend on the auditor's judgement, including the assessment of the risks associated in compliance of the Corporate Governance Report with the applicable criteria. Summary of procedures performed include:
   i. Read and understood the information prepared by the Company and included in its Corporate Governance Report;
   ii. Obtained and verified that the composition of the Board of Directors with respect to executive and non-executive directors has been met throughout the reporting period;
   iii. Obtained and read the Register of Directors as on March 31, 2026 and verified that atleast one independent woman director was on the Board of Directors throughout the year;
   iv. Obtained and read the minutes of the following committee meetings / other meetings held from April 01, 2025 to March 31, 2026:
      (a) Board of Directors;
      (b) Audit Committee;
      (c) Annual General Meeting (AGM);
      (d) Nomination and Remuneration Committee;
      (e) Stakeholders Relationship Committee;
      (f) Risk Management Committee
   v. Obtained necessary declarations from the directors of the Company.
   vi. Obtained and read the policy adopted by the Company for related party transactions.
   vii. Obtained the schedule of related party transactions during the year and balances at the year-end.
   viii. Obtained and read the minutes of the audit committee meeting wherein such related party transactions have been pre-approved by the audit committee.
   ix. Performed necessary inquiries with the management and also obtained necessary specific representations from management.
8. The above-mentioned procedures include examining evidence supporting the particulars in the Corporate Governance Report on a test basis. Further, our scope of work under this report did not involve us performing audit tests for the purposes of expressing an opinion on the fairness or accuracy of any of the financial information or the financial statements of the Company taken as a whole.

Opinion

9. Based on the procedures performed by us, as referred in paragraph 7 above, and according to the information and explanations given to us, we are of the opinion that the Company has complied with the conditions of Corporate Governance as specified in the Listing Regulations, as applicable for the year ended March 31, 2026, referred to in paragraph 4 above.

Other matters and Restriction on Use

10. This report is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.
11. This report is addressed to and provided to the members of the Company solely for the purpose of enabling it to comply with its obligations under the Listing Regulations with reference to compliance with the relevant regulations of Corporate Governance and should not be used by any other person or for any other purpose. Accordingly, we do not accept or assume any liability or any duty of care or for any other purpose or to any other party to whom it is shown or into whose hands it may come without our prior consent in writing. We have no responsibility to update this report for events and circumstances occurring after the date of this report.

For **S R B C & CO LLP**
Chartered Accountants
ICAI Firm Registration Number: 324982E/E300003

per Arvind Sethi
Partner
Membership Number: 89802
UDIN: 26089802SJMBUV8736

Place of Signature: Kolkata
Date: May 21, 2026

CEO and CFO Compliance Certificate

We, S. Puri, Chairman & Managing Director, and S. Dutta, Director & Chief Financial Officer, certify that :

a) We have reviewed the Financial Statements including the Statement of Cash Flows for the year ended 31st March, 2026 and to the best of our knowledge and belief:

   i) these Statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;

   ii) these Statements together present a true and fair view of the Company's affairs and are in compliance with the Indian Accounting Standards, applicable laws and regulations.

b) To the best of our knowledge and belief, no transactions entered into by the Company during the year ended 31st March, 2026 are fraudulent, illegal or violative of the ITC Code of Conduct.

c) We accept responsibility for establishing and maintaining internal controls for financial reporting and we have evaluated the effectiveness of internal control systems of the Company pertaining to financial reporting. Deficiencies in the design or operation of such internal controls, if any, of which we are aware have been disclosed to the Auditors and the Audit Committee and steps have been taken to rectify these deficiencies.

d) i) There has not been any significant change in the internal controls over financial reporting during the year under reference;

   ii) There has not been any significant change in the material accounting policies during the year requiring disclosure in the notes to the Financial Statements; and

   iii) We are not aware of any instance during the year of significant fraud with involvement therein of the management or any employee having a significant role in the Company's internal control systems over financial reporting.

S. DUTTA *Director & Chief Financial Officer*
(DIN : 01804345)

Kolkata, India
May 19, 2026

S. PURI *Chairman & Managing Director*
(DIN : 00280529)

Enduring Value

Standalone Balance Sheet as at 31st March, 2026

	Note	As at 31st March, 2026 (₹ in Crores)			As at 31st March, 2025 (₹ in Crores)		
ASSETS							
Non-current assets							
(a) Property, Plant and Equipment	3A		16501.73			16446.08	
(b) Capital work-in-progress	3B		1472.56			1067.79	
(c) Investment Property	3C		378.03			399.89	
(d) Goodwill	3D		608.25			577.88	
(e) Other Intangible assets	3E		2558.56			2024.04	
(f) Intangible assets under development	3F		81.62			2.91	
(g) Right-of-use assets	3G		425.22			541.86	
(h) Financial Assets							
(i) Investments	4	19409.05			20692.67		
(ii) Loans	5	3.69			6.28		
(iii) Others	6	324.21	19736.95		1575.07	22274.02	
(i) Other non-current assets	7		1009.55	42772.47		912.12	44246.59
Current assets							
(a) Inventories	8		17931.90			15061.01	
(b) Financial Assets							
(i) Investments	9	19701.54			15289.94		
(ii) Trade receivables	10	2925.60			3910.79		
(iii) Cash and cash equivalents	11	110.02			222.41		
(iv) Bank Balances other than (iii) above	12	2025.50			2962.45		
(v) Loans	5	7.95			8.96		
(vi) Others	6	1952.45	26723.06		1264.88	23659.43	
(c) Other current assets	7		1488.43	46143.39		1037.68	39758.12
TOTAL ASSETS				**88915.86**			**84004.71**
EQUITY AND LIABILITIES							
Equity							
(a) Equity Share capital	13		1252.95			1251.41	
(b) Other Equity			68675.66	69928.61		66642.30	67893.71
Liabilities							
Non-current liabilities							
(a) Financial Liabilities							
(i) Lease liabilities	14	97.09			117.45		
(ii) Other financial liabilities	15	352.94	450.03		87.89	205.34	
(b) Provisions	16		280.05			225.24	
(c) Deferred tax liabilities (Net)	17		3065.25	3795.33		2556.35	2986.93
Current liabilities							
(a) Financial Liabilities							
(i) Borrowings	18	2026.22			1.76		
(ii) Lease liabilities	14	39.08			37.54		
(iii) Trade Payables	19						
(A) total outstanding dues of micro and small enterprises; and		345.97			178.26		
(B) total outstanding dues of creditors other than micro and small enterprises		4925.93			4311.67		
(iv) Other financial liabilities	15	1598.79	8935.99		1391.41	5920.64	
(b) Other current liabilities	20		4897.84			6129.12	
(c) Provisions	16		303.43			46.53	
(d) Current Tax Liabilities (Net)	21		1054.66	15191.92		1027.78	13124.07
TOTAL EQUITY AND LIABILITIES				**88915.86**			**84004.71**

The accompanying notes 1 to 32 are an integral part of the Standalone Financial Statements.

In terms of our report attached
For S R B C & CO LLP
Chartered Accountants
Firm Registration Number: 324982E/E300003

Arvind Sethi
Partner
(Membership No.: 89802)

Kolkata, May 21, 2026

On behalf of the Board

S. PURI *Chairman & Managing Director*
(DIN : 00280529)

S. DUTTA *Director & Chief Financial Officer*
(DIN : 01804345)

R. K. SINGHI *Company Secretary*
(Membership No.: FCS 3770)

Standalone Statement of Profit and Loss for the year ended 31st March, 2026

		Note	For the year ended 31st March, 2026 (₹ in Crores)	For the year ended 31st March, 2025 (₹ in Crores)
	Continuing Operations			
I	Revenue From Operations	22A, 22B	81640.11	74238.13
II	Other Income	23	3287.18	3454.97
III	**Total Income (I+II)**		**84927.29**	**77693.10**
IV	**EXPENSES**			
	Cost of materials consumed		25939.49	23440.61
	Purchases of Stock-in-Trade		8791.91	8936.22
	Changes in inventories of finished goods, Stock-in-Trade, work-in-progress and intermediates	24	(2482.79)	(640.50)
	Excise duty		9656.33	4912.55
	Employee benefits expense	25	3629.28	3417.16
	Finance costs	26	69.94	36.35
	Depreciation and amortization expense		1473.99	1441.93
	Other expenses	27	10897.67	10146.48
	Total expenses (IV)		**57975.82**	**51690.80**
V	**Profit before exceptional items and tax (III-IV)**		**26951.47**	**26002.30**
VI	Exceptional Items	29(i)	(183.87)	527.96
VII	**Profit before tax (V+VI)**		**26767.60**	**26530.26**
VIII	**Tax expense:**			
	Current Tax	28	5822.16	5990.17
	Deferred Tax	28	659.02	446.80
IX	**Profit for the year from continuing operations (VII-VIII)**		**20286.42**	**20093.29**
X	Profit before exceptional items and tax from discontinued operations		–	572.52
XI	Exceptional Items of discontinued operations	29(x)	–	15163.06
XII	Tax expense of discontinued operations	28	–	631.82
XIII	**Profit for the year from discontinued operations (X+XI-XII)**		**–**	**15103.76**
XIV	**Profit for the year (IX+XIII)**		**20286.42**	**35197.05**
	Other Comprehensive Income			
	A (i) Items that will not be reclassified to profit or loss:			
	– Remeasurements of the defined benefit plans	29(vi)	(26.70)	(27.41)
	– Equity instruments through other comprehensive income		(839.64)	(999.57)
	– Effective portion of gains/(losses) on designated portion of hedging instruments in a cash flow hedge		33.54	0.23
	(ii) Income tax relating to items that will not be reclassified to profit or loss	28	112.63	85.34
	B (i) Items that will be reclassified to profit or loss:			
	– Exchange differences on net investment in foreign operations		–	(40.55)
	– Debt instruments through other comprehensive income		(55.87)	72.07
	– Effective portion of gains/(losses) on designated portion of hedging instruments in a cash flow hedge		(64.35)	(8.22)
	(ii) Income tax relating to items that will be reclassified to profit or loss	28	30.43	(11.27)
XV	**Other Comprehensive Income [A(i+ii)+B(i+ii)]**		**(809.96)**	**(929.38)**
XVI	**Total Comprehensive Income for the year (XIV+XV)**		**19476.46**	**34267.67**
XVII	**Earnings per equity share (Face Value ₹ 1.00 each):**	29(ii)		
	For Continuing Operations			
	(a) Basic (in ₹)		16.20	16.07
	(b) Diluted (in ₹)		16.19	16.05
	For Discontinued Operations			
	(a) Basic (in ₹)		–	12.08
	(b) Diluted (in ₹)		–	12.06
	For Continuing and Discontinued Operations			
	(a) Basic (in ₹)		16.20	28.15
	(b) Diluted (in ₹)		16.19	28.11

The accompanying notes 1 to 32 are an integral part of the Standalone Financial Statements.

In terms of our report attached
For S R B C & CO LLP
Chartered Accountants
Firm Registration Number: 324982E/E300003
Arvind Sethi
Partner
(Membership No.: 89802)
Kolkata, May 21, 2026

On behalf of the Board

S. PURI *Chairman & Managing Director*
(DIN : 00280529)
S. DUTTA *Director & Chief Financial Officer*
(DIN : 01804345)
R. K. SINGHI *Company Secretary*
(Membership No.: FCS 3770)

Standalone Statement of Changes in Equity for the year ended 31st March, 2026

Enduring Value

A. Equity Share capital

(₹ in Crores)

	Balance at the beginning of the reporting year	Changes in equity share capital during the year	Balance at the end of the reporting year
For the year ended 31st March, 2026	1251.41	1.54	1252.95
For the year ended 31st March, 2025	1248.47	2.94	1251.41

B. Other Equity

(₹ in Crores)

	Reserves and Surplus								Items of Other Comprehensive Income				Total
	Capital Reserve	Securities Premium	Share-based Payment Reserve	Capital Redemption Reserve	Contingency Reserve	General Reserve	Subsidy Reserve	Retained Earnings	Debt Instruments through Other Comprehensive Income	Equity Instruments through Other Comprehensive Income	Effective portion of Cash Flow Hedges	Foreign Currency Translation Reserve	
Balance as at 1st April, 2025	**2.48**	**15834.70**	**422.76**	**0.30**	**363.05**	**–**	**0.14**	**47729.22**	**48.71**	**2245.48**	**(4.54)**	**–**	**66642.30**
Profit for the year	–	–	–	–	–	–	–	20286.42	–	–	–	–	20286.42
Other Comprehensive Income (net of tax)	–	–	–	–	–	–	–	(25.70)	(41.63)	(719.57)	(23.06)	–	(809.96)
Total Comprehensive Income for the year	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**20260.72**	**(41.63)**	**(719.57)**	**(23.06)**	**–**	**19476.46**
Issue of equity shares under ITC Employee Stock Option Schemes	–	403.31	–	–	–	–	–	–	–	–	–	–	403.31
Dividends													
– Final Dividend (2024-25 - ₹ 7.85 per share)	–	–	–	–	–	–	–	(9823.58)	–	–	–	–	(9823.58)
– Interim Dividend (2025-26 - ₹ 6.50 per share)	–	–	–	–	–	–	–	(8144.00)	–	–	–	–	(8144.00)
Transfer from Share-based Payment Reserve on exercise and lapse	–	106.49	(109.98)	–	–	–	–	3.05	–	–	–	–	(0.44)
Transferred to initial carrying amount of hedged items (net of tax)	–	–	–	–	–	–	–	–	–	–	(13.72)	–	(13.72)
Transfer to Retained Earnings	–	–	–	–	–	–	(0.14)	0.14	–	–	–	–	–
Recognition of Share-based Payment	–	–	135.33	–	–	–	–	–	–	–	–	–	135.33
Balance as at 31st March, 2026	**2.48**	**16344.50**	**448.11**	**0.30**	**363.05**	**–**	**–**	**50025.55**	**7.08**	**1525.91**	**(41.32)**	**–**	**68675.66**
Balance as at 1st April, 2024	**2.48**	**14842.78**	**507.59**	**0.30**	**363.05**	**17585.31**	**0.14**	**34480.09**	**(10.02)**	**3163.40**	**1.29**	**40.55**	**70976.96**
Profit for the year	–	–	–	–	–	–	–	35197.05	–	–	–	–	35197.05
Other Comprehensive Income (net of tax)	–	–	–	–	–	–	–	(23.66)	58.73	(917.92)	(5.98)	(40.55)	(929.38)
Total Comprehensive Income for the year	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**35173.39**	**58.73**	**(917.92)**	**(5.98)**	**(40.55)**	**34267.67**
Issue of equity shares under ITC Employee Stock Option Schemes	–	794.39	–	–	–	–	–	–	–	–	–	–	794.39
Dividends													
– Final Dividend (2023-24 - ₹ 7.50 per share)	–	–	–	–	–	–	–	(9363.54)	–	–	–	–	(9363.54)
– Interim Dividend (2024-25 - ₹ 6.50 per share)	–	–	–	–	–	–	–	(8133.11)	–	–	–	–	(8133.11)
Dividend distribution tax refund received	–	–	–	–	–	–	–	19.45	–	–	–	–	19.45

Standalone Statement of Changes in Equity for the year ended 31st March, 2026

B. Other Equity (Contd.) **(₹ in Crores)**

	Reserves and Surplus								Items of Other Comprehensive Income				Total
	Capital Reserve	Securities Premium	Share-based Payment Reserve	Capital Redemption Reserve	Contingency Reserve	General Reserve	Subsidy Reserve	Retained Earnings	Debt Instruments through Other Comprehensive Income	Equity Instruments through Other Comprehensive Income	Effective portion of Cash Flow Hedges	Foreign Currency Translation Reserve	
Transfer from Share-based Payment Reserve on exercise and lapse	–	197.53	(199.21)	–	–	–	–	1.00	–	–	–	–	(0.68)
Transferred to initial carrying amount of hedged items (net of tax)	–	–	–	–	–	–	–	–	–	–	0.15	–	0.15
Recognition of Share-based Payment	–	–	137.27	–	–	–	–	–	–	–	–	–	137.27
Fair value of the Demerged Undertaking distributed to the shareholders of the Company	–	–	–	–	–	(22033.37)	–	–	–	–	–	–	(22033.37)
Transfer from Retained Earnings	–	–	–	–	–	4448.06	–	(4448.06)	–	–	–	–	–
Derecognised pursuant to Scheme of Demerger of Hotels business	–	–	(22.89)	–	–	–	–	–	–	–	–	–	(22.89)
Balance as at 31st March, 2025	**2.48**	**15834.70**	**422.76**	**0.30**	**363.05**	**–**	**0.14**	**47729.22**	**48.71**	**2245.48**	**(4.54)**	**–**	**66642.30**

The Board of Directors of the Company have recommended Final Dividend of ₹ 8.00 per Ordinary Share of ₹ 1/- each for the financial year ended 31st March, 2026 (previous year: Final Dividend ₹ 7.85 per Ordinary Share) amounting to ₹ 10023.57 Crores. The said Final Dividend is subject to the approval of the shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

Together with the Interim Dividend of ₹ 6.50 per Ordinary Share (previous year: ₹ 6.50 per Ordinary Share) paid on 27th February, 2026, the total Equity Dividend for the financial year ended 31st March, 2026 is ₹ 14.50 per Ordinary Share (previous year: ₹ 14.35 per Ordinary Share).

Capital Reserve: This Reserve represents the difference between value of the net assets transferred to the Company in the course of business combinations and the consideration paid for such combinations.

Securities Premium: This Reserve represents the premium on issue of shares and can be utilized in accordance with the provisions of the Companies Act, 2013.

Share-based Payment Reserve: This Reserve relates to Stock Options/Equity Settled Stock Appreciation Rights (ESARs) granted by the Company to employees under the ITC Employee Stock Option Schemes and the ITC Employee Stock Appreciation Rights Scheme. This Reserve is transferred to Securities Premium or Retained Earnings on exercise or lapse of vested Options/ESARs.

Capital Redemption Reserve: This Reserve has been transferred to the Company in the course of business combinations and can be utilized in accordance with the provisions of the Companies Act, 2013.

Contingency Reserve: This Reserve has been created out of Retained Earnings, as a matter of prudence, to take care of any unforeseen adverse developments in pending legal disputes.

General Reserve: This Reserve was created by an appropriation from one component of equity (generally Retained Earnings) to another, not being an item of Other Comprehensive Income. The same can be utilized in accordance with the provisions of the Companies Act, 2013.

Subsidy Reserve: This Reserve represents amounts taken over by the Company in the course of business combinations.

Retained Earnings: This Reserve represents the cumulative profits of the Company and effects of remeasurement of defined benefit obligations. This Reserve can be utilized in accordance with the provisions of the Companies Act, 2013.

Debt Instruments through Other Comprehensive Income: This Reserve represents the cumulative gains (net of losses) arising on revaluation of Debt Instruments measured at Fair Value through Other Comprehensive Income, net of amounts reclassified, if any, to profit or loss when those instruments are disposed of.

Equity Instruments through Other Comprehensive Income: This Reserve represents the cumulative gains (net of losses) arising on revaluation of Equity Instruments measured at Fair Value through Other Comprehensive Income, net of amounts reclassified, if any, to Retained Earnings when those instruments are disposed of.

Effective portion of Cash Flow Hedges: This Reserve represents the cumulative effective portion of changes in Fair Value of hedging instrument that are designated as Cash Flow Hedges. It will be reclassified to profit or loss or included in the carrying amount of the non-financial asset in accordance with the Company's accounting policy.

Foreign Currency Translation Reserve: This Reserve represents the accumulated balance of foreign exchange differences arising on monetary items that, in substance, form part of the Company's net investment in a foreign operation whose functional currency is other than Indian Rupee. Exchange differences previously accumulated in this Reserve were reclassified to profit or loss on disposal of the concerned foreign operation.

The accompanying notes 1 to 32 are an integral part of the Standalone Financial Statements.

In terms of our report attached
For S R B C & CO LLP
Chartered Accountants
Firm Registration Number: 324982E/E300003

Arvind Sethi
Partner
(Membership No.: 89802)

Kolkata, May 21, 2026

On behalf of the Board

S. PURI *Chairman & Managing Director*
(DIN : 00280529)

S. DUTTA *Director & Chief Financial Officer*
(DIN : 01804345)

R. K. SINGHI *Company Secretary*
(Membership No.: FCS 3770)

Enduring Value

Standalone Statement of Cash Flows for the year ended 31st March, 2026

	For the year ended 31st March, 2026 (₹ in Crores)		For the year ended 31st March, 2025 (₹ in Crores)	
A. Cash Flow from Operating Activities				
PROFIT BEFORE TAX FROM CONTINUING OPERATIONS		**26767.60**		**26530.26**
PROFIT BEFORE TAX FROM DISCONTINUED OPERATIONS		**–**		**15735.58**
ADJUSTMENTS FOR:				
Depreciation and amortization expense	1473.99		1668.88	
Share based payments to employees	124.10		130.00	
Finance costs	69.94		44.84	
Interest Income	(1401.07)		(1423.07)	
Dividend Income	(972.16)		(1019.59)	
Net gain on sale of property, plant and equipment, lease termination	(11.71)		(105.37)	
Inventory write-offs/write-downs (net of reversals)	349.27		223.23	
Doubtful and bad debts	11.70		11.54	
Doubtful and bad advances, loans and deposits	(1.79)		1.87	
Impairment of investment in associate	–		11.00	
Gain recognised on divestment of shares held in associate	(0.01)		–	
Gain recognised on fair valuation of net assets distributed pursuant to Scheme of Demerger of Hotels business	–		(15617.37)	
Net gain arising on financial instruments measured at fair value through profit or loss/fair value through other comprehensive income	(775.97)		(1397.02)	
Foreign currency translations and transactions - Net	(22.05)	(1155.76)	4.36	(17466.70)
OPERATING PROFIT BEFORE WORKING CAPITAL CHANGES		25611.84		24799.14
ADJUSTMENTS FOR:				
Trade receivables, advances and other assets	662.41		(839.55)	
Inventories	(3157.86)		(2695.19)	
Trade payables, other liabilities and provisions	(226.08)	(2721.53)	1334.38	(2200.36)
CASH GENERATED FROM OPERATIONS		22890.31		22598.78
Income tax paid (net of refunds)		(5795.34)		(5844.88)
NET CASH FROM OPERATING ACTIVITIES		**17094.97**		**16753.90**
B. Cash Flow from Investing Activities				
Purchase of property, plant and equipment, Intangibles, ROU asset etc.	(2069.30)		(1788.64)	
Sale of property, plant and equipment	49.26		157.77	
Purchase of current investments	(59977.83)		(59302.87)	
Sale/redemption of current investments	56640.92		59962.21	
Payment towards business combination, including cash and cash equivalents assumed [Refer Note 29(ix)]	(284.99)		–	
Investment in subsidiaries	(199.22)		(866.08)	
Investment in associates	(181.84)		(29.99)	
Divestment of shares held in associate	0.01		–	
Purchase of non-current investments	(2317.63)		(390.52)	
Sale/redemption of non-current investments	3341.11		390.19	
Dividend received	972.16		1019.59	
Interest received	856.51		987.14	
Investment in bank deposits (original maturity more than 3 months)	(618.32)		(5217.10)	
Redemption/maturity of bank deposits (original maturity more than 3 months)	2815.61		5920.74	
Investment in deposit with financial institution	(1768.50)		(1200.00)	
Maturity of deposit with financial institution	1200.00		500.00	
Loans given to employees	(9.38)		(17.39)	
Loans realised from employees	13.05		13.45	
NET CASH (USED IN)/FROM INVESTING ACTIVITIES		**(1538.38)**		**138.50**

Standalone Statement of Cash Flows for the year ended 31st March, 2026

	For the year ended 31st March, 2026 (₹ in Crores)		For the year ended 31st March, 2025 (₹ in Crores)	
C. Cash Flow from Financing Activities				
Proceeds from issue of share capital	404.85		797.33	
Proceeds from current borrowing	2000.00		–	
Repayment of current borrowing	(41.52)		–	
Repayment of non-current borrowings	(7.23)		(1.52)	
Principal payment of lease liabilities	(41.83)		(47.48)	
Interest paid	(49.94)		(44.84)	
Net increase in statutory restricted accounts balances	9.02		8.09	
Dividend paid	(17967.58)		(17496.65)	
Dividend distribution tax refund received	–		19.45	
NET CASH USED IN FINANCING ACTIVITIES		**(15694.23)**		**(16765.62)**
NET (DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS		**(137.64)**		**126.78**
OPENING CASH AND CASH EQUIVALENTS		**222.41**		**198.07**
LESS: ON DEMERGER OF HOTELS BUSINESS		**–**		**102.44**
CLOSING CASH AND CASH EQUIVALENTS		**84.77**		**222.41**

Notes:

1. The above Statement of Cash Flows has been prepared under the "Indirect Method" as set out in Ind AS 7 - Statement of Cash Flows.

2. **CASH AND CASH EQUIVALENTS:**

	As at 31st March, 2026	As at 31st March, 2025
Cash and cash equivalents (Note 11)	110.02	222.41
Less: Cash credit facilities (Note 18)	25.22	–
Less: Unrealised gain/(loss) on foreign currency cash and cash equivalents	0.03	…
Cash and cash equivalents as per Statement of Cash Flows	84.77	222.41

3. Net Cash Flow from Operating Activities includes an amount of ₹ 489.57 Crores (2025 - ₹ 442.68 Crores) spent towards Corporate Social Responsibility.

4. Disclosure of non-cash movement arising from financing activities in respect of lease liabilities - Refer Note 14.

The accompanying notes 1 to 32 are an integral part of the Standalone Financial Statements.

In terms of our report attached
For S R B C & CO LLP
Chartered Accountants
Firm Registration Number: 324982E/E300003
Arvind Sethi
Partner
(Membership No.: 89802)
Kolkata, May 21, 2026

On behalf of the Board

S. PURI *Chairman & Managing Director*
(DIN : 00280529)
S. DUTTA *Director & Chief Financial Officer*
(DIN : 01804345)
R. K. SINGHI *Company Secretary*
(Membership No.: FCS 3770)

Enduring Value

Notes to the Standalone Financial Statements

Company Information

ITC Limited (the 'Company') [CIN: L16005WB1910PLC001985] is a public limited company domiciled in India with its registered office located at Virginia House, 37 Jawaharlal Nehru Road, Kolkata 700 071. The Company's shares are listed on the National Stock Exchange of India Limited and BSE Limited. The Company is a diversified conglomerate with businesses spanning Fast-Moving Consumer Goods (Cigarettes & Cigars, Foods, Personal Care Products, Education & Stationery Products, Safety Matches and Agarbattis), Paperboards, Paper and Packaging and Agri Business.

1. Material Accounting Policies

Statement of Compliance

These financial statements have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under Section 133 of the Companies Act, 2013 and amendments thereto. The financial statements have also been prepared in accordance with the relevant presentation requirements of the Companies Act, 2013. The Company adopted Ind AS from 1st April, 2016.

Basis of Preparation

The financial statements are prepared in accordance with the historical cost convention, except for certain items that are measured at amortised cost or fair value, as explained in the accounting policies.

Fair Value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or a liability, the Company takes into account the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these financial statements is determined on such a basis, except for share-based payment transactions that are within the scope of Ind AS 102 – Share-based Payment, leasing transactions that are within the scope of Ind AS 116 – Leases, and measurements that have some similarities to fair value but are not fair value, such as net realisable value in Ind AS 2 – Inventories or value in use in Ind AS 36 – Impairment of Assets.

The preparation of financial statements in conformity with Ind AS requires management to make judgements, estimates and assumptions that affect the application of the accounting policies and the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the year. Actual results could differ from those estimates. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period; they are recognised in the period of the revision and future periods if the revision affects both current and future periods.

Operating Cycle

All assets and liabilities have been classified as current or non-current as per the Company's normal operating cycle and other criteria set out in the Schedule III to the Companies Act, 2013 and Ind AS 1 – Presentation of Financial Statements based on the nature of products and the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The Company has identified twelve months as its operating cycle.

Property, Plant and Equipment

Property, plant and equipment (PP&E) are stated at cost of acquisition or construction less accumulated depreciation and accumulated impairment, if any. For this purpose, cost includes deemed cost which represents the carrying value of PP&E recognised as at 1st April, 2015 measured as per the previous Generally Accepted Accounting Principles (GAAP).

Cost is inclusive of inward freight, import duties & non-refundable taxes and incidental expenses related to acquisition. In respect of major projects involving construction, related pre-operational expenses form part of the value of assets capitalised. Expenses capitalised also include applicable borrowing costs for qualifying assets, if any. All upgradation/enhancements are charged off as revenue expenditure unless they bring similar significant additional benefits.

An item of PP&E is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of asset. Any gain or loss arising on the disposal or retirement of an item of PP&E is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the Statement of Profit and Loss.

Depreciation of these assets commences when the assets are ready for their intended use, which is generally on commissioning. Items of PP&E are depreciated in a manner that amortizes the cost (or other amount substituted for cost) of the assets after commissioning, less its residual value, over their useful lives as specified in Schedule II of the Companies Act, 2013 on a straight-line basis. Land is not depreciated.

Notes to the Standalone Financial Statements

1. Material Accounting Policies (Contd.)

The estimated useful lives of PP&E of the Company are as follows:

Buildings	30-60 Years
Leasehold Improvements	Shorter of lease period or estimated useful lives
Plant and Equipment	3-25 Years
Furniture and Fixtures	8-10 Years
Vehicles	8-10 Years
Office Equipment	5 Years

PP&E's residual values, useful lives and method of depreciation are reviewed at each Balance Sheet date and changes, if any, are treated as changes in accounting estimate.

Goodwill and Other Intangible Assets

Goodwill

Goodwill arising on Business Combination is carried at cost less any accumulated impairment losses.

Goodwill is annually tested for impairment. Impairment loss, if any, to the extent the carrying amount exceeds the recoverable amount is charged off to the Statement of Profit and Loss as it arises and is not reversed. For impairment testing, goodwill is allocated to Cash Generating Unit (CGU) or group of CGUs to which it relates, which is not larger than an operating segment, and is monitored for internal management purposes.

On disposal of the CGU or group of CGUs, attributable amount of goodwill is included in the determination of the profit or loss recognised in the Statement of Profit and Loss.

Other Intangible Assets

Other Intangible Assets that the Company controls and from which it expects future economic benefits are capitalised upon acquisition and measured initially:

a. for assets acquired in a business combination, at fair value on the date of acquisition.

b. for separately acquired assets, at cost comprising the purchase price (including import duties and non-refundable taxes) and directly attributable costs to prepare the asset for its intended use.

Internally generated assets for which the cost is clearly identifiable are capitalised at cost. Research expenditure is recognised as an expense when it is incurred. Development costs are capitalised only after the technical and commercial feasibility of the asset for sale or use has been established. Thereafter, all directly attributable expenditure incurred to prepare the asset for its intended use are recognised as the cost of such assets. Internally generated brands, websites and customer lists are not recognised as intangible assets.

The carrying value of intangible assets includes deemed cost which represents the carrying value of intangible assets recognised as at 1st April, 2015 measured as per the previous GAAP.

After initial recognition, an intangible asset is carried at its cost less accumulated amortization and/or impairment losses.

The useful life of an intangible asset is considered finite where the rights to such assets are limited to a specified period of time by contract or law (e.g. patents, licences, trademarks, franchise and servicing rights) or the likelihood of technical, technological obsolescence (e.g. computer software, design, prototypes) or commercial obsolescence (e.g. lesser known brands to which adequate marketing support may not be provided). If, there are no such limitations, the useful life is taken to be indefinite.

Intangible assets that have finite lives are amortized over their estimated useful lives by the straight-line method unless it is practical to reliably determine the pattern of benefits arising from the asset. An intangible asset with an indefinite useful life is not amortized. However, it is annually tested for impairment. Amortization expenses and impairment losses and reversal of impairment losses are included in the 'Depreciation and amortization expense' in the Statement of Profit and Loss.

The estimated useful lives of intangible assets of the Company with finite lives are as follows:

Trademarks/Know How, Business and Commercial Rights	10-30 Years (unless shorter useful life is required based on contractual or legal terms)
Computer Software	5 Years
Customer Relationships	8 Years
Sourcing Network	7 Years

The useful lives of intangible assets are reviewed annually to determine if a reset of such useful life is required for assets with finite lives and to confirm that business circumstances continue to support an indefinite useful life assessment for assets so classified. Based on such review, the useful life may change or the useful life assessment may change from indefinite to finite. The impact of such changes is accounted for as a change in accounting estimate.

Investment Property

Properties that are held for long-term rental yields and/or for capital appreciation are classified as investment properties. Investment properties are stated at cost of acquisition or construction less accumulated depreciation and accumulated impairment, if any. Depreciation is recognised using the straight-line method so as to amortise the cost of investment properties over their useful lives as specified in Schedule II of the Companies Act, 2013.

1. Material Accounting Policies (Contd.)

Freehold land and properties under construction are not depreciated. The estimated useful lives of investment properties are same as those disclosed for PP&E.

Transfers to, or from, investment properties are made at the carrying amount when and only when there is a change in use.

An item of investment property is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of asset. Any gain or loss arising on the disposal or retirement of an item of investment property is determined as the difference between the sales proceeds and the carrying amount of the property and is recognised in the Statement of Profit and Loss.

Income received from investment property is recognised in the Statement of Profit and Loss on a straight-line basis over the term of the lease.

Impairment of Assets

Impairment loss, if any, is provided to the extent, the carrying amount of assets or CGU exceeds their recoverable amount.

Recoverable amount is higher of an asset's fair value less costs of disposal and its value in use. Value in use is the present value of estimated future cash flows expected to arise from the continuing use of an asset or CGU and from its disposal at the end of its useful life.

Impairment losses recognised in prior years are reversed when there is an indication that the impairment losses recognised no longer exist or have decreased. Such reversals are recognised as an increase in carrying amounts of assets to the extent that it does not exceed the carrying amounts that would have been determined (net of amortization or depreciation) had no impairment loss been recognised in previous years.

Inventories

Inventories are stated at lower of cost and net realisable value. The cost is calculated on weighted average method. Cost comprises expenditure incurred in the normal course of business in bringing such inventories to their present location and condition and includes, where applicable, appropriate overheads based on normal level of activity. Net realisable value is the estimated selling price less estimated costs for completion and sale.

Obsolete, slow moving and defective inventories are identified from time to time and, where necessary, a provision is made for such inventories.

Foreign Currency Transactions

The functional and presentation currency of the Company is Indian Rupee.

Transactions in foreign currency are accounted for at the exchange rate prevailing on the transaction date. Gains/losses arising on settlement, as also on translation of monetary items are recognised in the Statement of Profit and Loss.

Exchange differences arising on monetary items that, in substance, form part of the Company's net investment in a foreign operation (having a functional currency other than Indian Rupee) are recognised in other comprehensive income and accumulated in Foreign Currency Translation Reserve.

Derivatives and Hedge Accounting

Derivatives are initially recognised at fair value and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gains/losses are recognised in the Statement of Profit and Loss immediately unless the derivative is designated and effective as a hedging instrument, in which case the resulting gain/loss is recognised as per the hedge accounting principles stated below.

The Company complies with the principles of hedge accounting where derivative contracts and/or non-derivative financial assets/liabilities that are permitted under applicable accounting standards are designated as hedging instruments. At the inception of the hedge relationship, the Company documents the relationship between the hedging instrument and the hedged item, along with the risk management objectives and its strategy for undertaking hedge transaction, which can be a fair value hedge or a cash flow hedge.

(i) Fair value hedges

Changes in fair value of the designated portion of hedging instruments that qualify as fair value hedges are recognised in the Statement of Profit and Loss immediately, together with any changes in the fair value of the hedged asset or liability that are attributable to the hedged risk. Such fair value changes are recognised in the line item relating to the hedged item in the Statement of Profit and Loss.

Hedge accounting is discontinued when the hedging instrument is derecognised, expires or is sold, terminated, or exercised, or when it no longer qualifies for hedge accounting. The fair value adjustment to the carrying amount of the hedged item arising from the hedged risk is included in the Statement of Profit and Loss from that date.

(ii) Cash flow hedges

The effective portion of changes in the fair value of hedging instruments that are designated and qualify as cash flow hedges is recognised in the other comprehensive income and accumulated as 'Cash Flow Hedge Reserve'. The gains/losses relating to the ineffective portion are recognised immediately in the Statement of Profit and Loss.

Notes to the Standalone Financial Statements

1. Material Accounting Policies (Contd.)

Amounts previously recognised and accumulated in other comprehensive income are reclassified to profit or loss when the hedged item affects the Statement of Profit and Loss. However, when the hedged item results in the recognition of a non–financial asset, such gains / losses are transferred from equity (but not as reclassification adjustment) and included in the initial measurement cost of the non–financial asset.

Hedge accounting is discontinued when the hedging instrument is derecognised, expires or is sold, terminated, or exercised, or when it no longer qualifies for hedge accounting. Any gains / losses recognised in other comprehensive income and accumulated in equity at that time remain in equity and is reclassified when the underlying transaction is ultimately recognised. When an underlying transaction is no longer expected to occur, the gains / losses accumulated in equity are recognised immediately in the Statement of Profit and Loss.

Investment in Subsidiaries, Associates and Joint Ventures

Investment in subsidiaries, associates and joint ventures are carried at cost less accumulated impairment, if any.

Financial instruments, Financial assets, Financial liabilities and Equity instruments

Financial assets and financial liabilities are recognised when the Company becomes a party to the contractual provisions of the relevant instrument and are initially measured at fair value except for trade receivables that do not contain a significant financing component, which are measured at transaction price.

Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities measured at fair value through profit or loss) are added to or deducted from the fair value on initial recognition of financial assets or financial liabilities. Purchase or sale of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date when the Company commits to purchase or sell the asset.

Financial Assets

Recognition: Financial assets include Investments, Trade Receivables, Advances, Security Deposits, Cash and cash equivalents. Such assets are initially recognised at fair value or transaction price, as applicable, when the Company becomes party to contractual obligations. The transaction price includes transaction costs unless the asset is being fair valued through the Statement of Profit and Loss.

Classification: Management determines the classification of an asset at initial recognition depending on the purpose for which the assets were acquired. The subsequent measurement of financial assets depends on such classification.

Financial assets are classified as those measured at:

(a) amortised cost, where the financial assets are held solely for collection of cash flows arising from payments of principal and / or interest.

(b) fair value through other comprehensive income (FVTOCI), where the financial assets are held not only for collection of cash flows arising from payments of principal and interest but also from the sale of such assets. Such assets are subsequently measured at fair value, with unrealised gains and losses arising from changes in the fair value being recognised in other comprehensive income.

(c) fair value through profit or loss (FVTPL), where the assets are managed in accordance with an approved investment strategy that triggers purchase and sale decisions based on the fair value of such assets. Such assets are subsequently measured at fair value. Unrealised gains and losses arising from changes in the fair value, including interest income and dividend income, if any, are recognised in 'other income' in the Statement of Profit and Loss in the period in which they arise.

Trade Receivables, Advances, Security Deposits, Cash and cash equivalents etc. are classified for measurement at amortised cost while investments may fall under any of the aforesaid classes. However, in respect of particular investments in equity instruments that would otherwise be measured at fair value through profit or loss, an irrevocable election at initial recognition may be made to present subsequent changes in fair value through other comprehensive income.

Impairment: The Company assesses at each reporting date whether a financial asset (or a group of financial assets) such as investments, trade receivables, advances and security deposits held at amortised cost and financial assets that are measured at fair value through other comprehensive income are tested for impairment based on evidence or information that is available without undue cost or effort. Expected credit losses are assessed and loss allowances recognised if the credit quality of the financial asset has deteriorated significantly since initial recognition.

Reclassification: When and only when the business model is changed, the Company shall reclassify all affected financial assets prospectively from the reclassification date as subsequently measured at amortised cost, fair value through other comprehensive income or fair value through profit or loss without restating the previously recognised gains, losses or interest and in terms of the reclassification principles laid down in the Ind AS relating to Financial Instruments.

Notes to the Standalone Financial Statements

1. Material Accounting Policies (Contd.)

Derecognition: Financial assets are derecognised when the right to receive cash flows from the assets has expired, or has been transferred, and the Company has transferred substantially all of the risks and rewards of ownership. Concomitantly, if the asset is one that is measured at:

(a) amortised cost, the gain or loss is recognised in the Statement of Profit and Loss;

(b) fair value through other comprehensive income, the cumulative fair value adjustments previously taken to reserves are reclassified to the Statement of Profit and Loss unless the asset represents an equity investment, in which case the cumulative fair value adjustments previously taken to reserves are reclassified within equity.

Income Recognition: Interest income is recognised in the Statement of Profit and Loss using the effective interest method. Dividend income is recognised in the Statement of Profit and Loss when the right to receive dividend is established.

Financial Liabilities

Borrowings, trade payables and other financial liabilities are initially recognised at fair value and are subsequently measured at amortised cost (other than those mandatorily measured at fair value). Any discount or premium on redemption / settlement is recognised in the Statement of Profit and Loss as finance cost over the life of the liability using the effective interest method and adjusted to the liability figure disclosed in the Balance Sheet.

Financial liabilities are derecognised when the liability is extinguished, that is, when the contractual obligation is discharged, cancelled or on expiry.

Offsetting Financial Instruments

Financial assets and liabilities are offset and the net amount is included in the Balance Sheet where there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

Equity Instruments

Equity instruments are recognised at the value of the proceeds, net of direct costs of the capital issue.

Revenue

Revenue is measured at the transaction price that the Company receives or expects to receive as consideration for goods supplied and services rendered, net of returns and estimates of variable consideration such as discounts to customers. Revenue from the sale of goods is shown to include Excise Duties and National Calamity Contingent Duty which are payable on manufacture of goods but excludes taxes such as VAT and Goods and Services Tax which are payable in respect of sale of goods and services.

Revenue from the sale of goods and services is recognised when the Company performs its obligations to its customers and the amount of revenue can be measured reliably and recovery of the consideration is probable. The timing of such recognition in case of sale of goods is when the control over the same is transferred to the customer, which is mainly upon delivery and in case of services, in the period in which such services are rendered.

Government Grant

The Company may receive government grants that require compliance with certain conditions related to the Company's operating activities or are provided to the Company by way of financial assistance on the basis of certain qualifying criteria.

Government grants are recognised when there is reasonable assurance that the grant will be received upon the Company complying with the conditions attached to the grant. Accordingly, government grants:

(a) related to or used for assets, are deducted from the carrying amount of the asset.

(b) related to incurring specific expenditures are taken to the Statement of Profit and Loss on the same basis and in the same periods as the expenditures incurred.

(c) by way of financial assistance on the basis of certain qualifying criteria are recognised in the Statement of Profit and Loss as they become receivable.

In the unlikely event that a grant previously recognised is ultimately not received, it is treated as a change in estimate and the amount cumulatively recognised is expensed in the Statement of Profit and Loss.

Dividend Distribution

Dividends paid (including income tax thereon, if any) are recognised in the period in which the interim dividends are approved by the Board of Directors, or in respect of the final dividend when approved by the shareholders.

Employee Benefits

Short-term employee benefits are expensed in the period in which the employee renders the related service on an undiscounted basis. A liability is recognised for the amount expected to be paid within twelve months, if the Company has a present legal or constructive obligation to pay the same as a result of past service provided by the employee and the obligation can be reliably estimated.

The Company makes contributions to both defined benefit and defined contribution schemes which are mainly administered through duly constituted and approved trusts.

Provident Fund contributions are in the nature of defined contribution scheme. In respect of employees who are members of constituted and approved trusts, the Company recognises contribution payable to such trusts as an expense including any shortfall in interest between the amount of

Notes to the Standalone Financial Statements

1. Material Accounting Policies (Contd.)

interest realised by the investment and the interest payable to members at the rate declared by the Government of India. In respect of other employees, provident funds are deposited with the Government administered funds and recognised as expense.

The Company makes contribution to defined contribution pension plan. The contribution payable is recognised as an expense, when an employee renders the related service.

The Company also makes contribution to defined benefit pension and gratuity plan. The cost of providing benefits under the defined benefit obligation is calculated by independent actuary using the projected unit credit method. Service costs and net interest expense or income is reflected in the Statement of Profit and Loss. Gain or Loss on account of remeasurements are recognised immediately through other comprehensive income in the period in which they occur.

The employees of the Company are entitled to compensated leave for which the Company records the liability based on actuarial valuation computed using projected unit credit method. These benefits are unfunded.

Actual disbursements made under the Workers' Voluntary Retirement Scheme are accounted as revenue expenses.

Employee Share Based Compensation

Equity Settled Share Based Payment Plans

Equity settled Stock Options / Stock Appreciation Rights ('ESARs') are granted to eligible employees under the ITC Employee Stock Option Schemes ('ITC ESOS') and ITC Employee Stock Appreciation Rights Scheme ('ITC ESAR'), as may be decided by the Nomination & Compensation Committee / Board. Further, eligible employees of the Company have been granted equity settled Stock Options under the ITC Hotels Special Purpose Employee Stock Option Scheme ('ITCHL SP ESOS'), in terms of the 'Scheme of Arrangement between the Company and ITC Hotels Limited, and their respective shareholders and creditors'.

Under Ind AS, the cost of equity settled Stock Options / ESARs is recognised based on the fair value of Stock Options / ESARs as on the grant date.

The fair value of Stock Options / ESARs granted to the employees of the Company is recognised as employee benefits expense in the Statement of Profit and Loss over the period in which the performance and / or service conditions are fulfilled with a corresponding credit in equity for ITC ESOS / ITC ESAR and recognised as a financial liability for ITCHL SP ESOS. The fair value of Stock Options / ESARs, net of recoveries, granted to employees on deputation or secondment and to employees of the group companies is considered as capital contribution / investment.

The Company generally recovers the fair value of Stock Options / ESARs from such group companies, as applicable. It may, if recommended by the Corporate Management Committee and approved by the Audit Committee, decide not to seek such recovery from:

(a) wholly owned subsidiaries who need to conserve financial capacity to sustain their business and growth plans and to address contingencies that may arise, taking into account the economic and market conditions then prevailing and opportunities and threats in the competitive context.

(b) other companies not covered under (a) above, who need to conserve financial capacity to sustain their business and growth plans and where the quantum of reimbursement is not material - the materiality threshold being ₹ 5 Crores for each entity for a financial year.

Cash Settled Stock Appreciation Linked Reward (SAR) Plan

Cash Settled SAR units have been granted to eligible employees under the ITC Employee Cash Settled Stock Appreciation Linked Reward Plan, as may be decided by the CMC / Nomination & Compensation Committee / Board.

For such Cash Settled SAR units, a liability is initially measured at fair value on the grant date and is subsequently remeasured at each reporting period, until settled. The fair value of Cash Settled SAR units granted is recognised as employee benefits expense in the Statement of Profit and Loss over the period in which the performance and / or service conditions are fulfilled for employees of the Company. In case of Cash Settled SAR units granted to employees on deputation or secondment and to employees of the group companies, the Company generally recovers the fair value of Cash Settled SAR units from the concerned group companies.

Leases

The Company assesses at contract inception whether a contract is, or contains, a lease. A contract is, or contains, a lease if it conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Company as a Lessee

Right-of-use (ROU) assets are recognised at inception of a contract or arrangement for significant lease components at cost less lease incentives, if any. ROU assets are subsequently measured at cost less accumulated depreciation and accumulated impairment losses, if any. The cost of ROU assets includes the amount of lease liabilities recognised, initial direct cost incurred and lease payments made at or before the lease commencement date. ROU assets are generally depreciated over the shorter of the lease term and estimated useful lives of the underlying assets on a straight-line basis. Lease term is determined based on consideration of facts and circumstances that create an economic incentive to exercise an extension

Notes to the Standalone Financial Statements

1. Material Accounting Policies (Contd.)

option, or not to exercise a termination option. Lease payments associated with short-term leases (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option) and low value leases (i.e., where the value of the underlying asset, when new, in order of magnitude is ₹ 5 lakhs or less) are charged to the Statement of Profit and Loss on a straight-line basis over the term of the relevant lease.

The Company recognises lease liabilities measured at the present value of lease payments to be made on the date of recognition of the lease. Such lease liabilities do not include variable lease payments (that do not depend on an index or a rate), which are recognised as expense in the periods in which they are incurred. Interest on lease liability is recognised using the effective interest method. Lease liabilities are subsequently increased to reflect the accretion of interest and reduced for the lease payments made. The carrying amount of lease liabilities is also remeasured upon modification of lease arrangement or upon change in the assessment of the lease term. The effect of such remeasurements is adjusted to the value of the ROU assets.

Company as a Lessor

Leases in which the Company does not transfer substantially all the risks and rewards of ownership of an asset are classified as operating leases. Where the Company is a lessor under an operating lease, the asset is capitalised within property, plant and equipment or investment property and depreciated over its useful economic life. Payments received under operating leases are recognised in the Statement of Profit and Loss on a straight-line basis over the term of the lease.

Taxes on Income

Taxes on income comprise current taxes and deferred taxes. Current tax in the Statement of Profit and Loss is provided as the amount of tax payable in respect of taxable income for the period using tax rates and tax laws enacted during the period, together with any adjustment to tax payable in respect of previous years.

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities and the amounts used for taxation purposes (tax base), at the tax rates and tax laws enacted or substantively enacted by the end of the reporting period.

Deferred tax assets are recognised for the future tax consequences to the extent it is probable that future taxable profits will be available against which the deductible temporary differences can be utilised.

Income tax, insofar as it relates to items disclosed under other comprehensive income or equity, is disclosed separately under other comprehensive income or equity, as applicable.

Deferred tax assets and liabilities are offset when there is legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset where the entity has a legally enforceable right to offset and intends either to settle on net basis, or to realise the asset and settle the liability simultaneously.

Claims

Claims against the Company not acknowledged as debts are disclosed after a careful evaluation of the facts and legal aspects of the matter involved.

Provisions

Provisions are recognised when, as a result of a past event, the Company has a legal or constructive obligation; it is probable that an outflow of resources will be required to settle the obligation; and the amount can be reliably estimated. The amount so recognised is a best estimate of the consideration required to settle the obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation.

In an event when the time value of money is material, the provision is carried at the present value of the cash flows estimated to settle the obligation.

Operating Segments

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker (CODM). The CODM, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Corporate Management Committee.

Segments are organised based on businesses which have similar economic characteristics as well as exhibit similarities in nature of products and services offered, the nature of production processes, the type and class of customer and distribution methods.

Segment revenue arising from third party customers is reported on the same basis as revenue in the financial statements. Inter-segment revenue is reported on the basis of transactions which are primarily market led. Segment results represent profits before finance costs, unallocated corporate expenses and taxes.

Unallocated Corporate Expenses include revenue and expenses that relate to initiatives/costs attributable to the enterprise as a whole.

Financial and Management Information Systems

The Company's Accounting System is designed to unify the Financial and Cost Records and also to comply with the relevant provisions of the Companies Act, 2013, to provide financial and cost information appropriate to the businesses and facilitate Internal Control.

2. Use of estimates and judgements

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities at the date of the financial statements and the results of operations during the reporting period end. Although these estimates are based upon management's best knowledge of current events and actions, actual results could differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

A. Judgements in applying accounting policies

The judgements, apart from those involving estimations (see note B below), that the Company has made in the process of applying its accounting policies and that have a significant effect on the amounts recognised in these financial statements pertain to useful life of intangible assets. The Company is required to determine whether its intangible assets have indefinite or finite life which is a subject matter of judgement. Certain trademarks have been considered as having an indefinite useful life taking into account that there are no technical, technological or commercial risks of obsolescence or limitations under contract or law. Other intangible assets have been amortised over their useful economic life. Refer notes to the financial statements.

B. Key sources of estimation uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period that may have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

1. **Useful lives of property, plant and equipment, investment property and intangible assets:**

   As described in the material accounting policies, the Company reviews the estimated useful lives of property, plant and equipment, investment property and intangible assets at the end of each reporting period and the impact of changes in the estimated useful life is considered in the period in which the estimate is revised.

2. **Fair value measurements and valuation processes:**

   Some of the Company's assets and liabilities are measured at fair value for financial reporting purposes. In estimating the fair value of an asset or a liability, the Company uses market-observable data to the extent it is available. Where Level 1 inputs are not available, the Company engages third party valuers, where required, to perform the valuation. Information about the valuation techniques and inputs used in determining the fair value of various assets, liabilities and share based payments are disclosed in the notes to the financial statements.

3. **Actuarial Valuation:**

   The determination of Company's liability towards defined benefit obligation to employees is made through independent actuarial valuation including determination of amounts to be recognised in the Statement of Profit and Loss and in Other Comprehensive Income. Such valuation depends upon assumptions determined after taking into account inflation, seniority, promotion and other relevant factors such as supply and demand factors in the employment market. Information about such valuation is provided in the notes to the financial statements.

4. **Claims, Provisions and Contingent Liabilities:**

   The Company has ongoing litigations with various regulatory authorities and third parties. Where an outflow of funds is believed to be probable and a reliable estimate of the outcome of the dispute can be made based on management's assessment of specific circumstances of each dispute and relevant external advice, management provides for its best estimate of the liability. Such accruals are by nature complex and can take number of years to resolve and can involve estimation uncertainty. Information about such litigations is provided in the notes to the financial statements.

Enduring Value

Notes to the Standalone Financial Statements

(₹ in Crores)

Particulars	Gross Block								
	As at 31st March, 2024	Additions	Withdrawals and adjustments[#]	Transferred pursuant to Scheme of Demerger of Hotels business	As at 31st March, 2025	Acquired through Business Combination*	Additions	Withdrawals and adjustments[#]	As at 31st March, 2026
3A. Property, Plant and Equipment[1]									
Land[2]	2005.14	58.31	3.92	930.28	1129.25	6.12	141.94	7.06	1270.25
Buildings	9993.02	401.44	62.65	3563.11	6768.70	0.14	184.54	(2.38)	6955.76
Leasehold Improvements	21.74	0.83	0.16	7.56	14.85	–	1.44	1.96	14.33
Plant and Equipment	19749.51	1224.89	186.03	2427.80	18360.57	9.11	1047.32	112.31	19304.69
Furniture and Fixtures	1038.74	35.67	6.47	806.17	261.77	0.36	23.06	1.86	283.33
Vehicles	158.39	23.61	18.46	48.99	114.55	0.02	11.12	10.47	115.22
Office Equipment	36.32	9.55	1.30	1.31	43.26	–	5.17	1.64	46.79
Railway Sidings	1.73	–	–	–	1.73	–	–	0.01	1.72
TOTAL	**33004.59**	**1754.30**	**278.99**	**7785.22**	**26694.68**	**15.75**	**1414.59**	**132.93**	**27992.09**
3B. Capital work-in-progress	**1077.97**	**1738.49**	**1715.95**	**32.72**	**1067.79**	**–**	**1781.60**	**1376.83**	**1472.56**
3C. Investment Property[3]	**452.03**	**1.75**	**(51.67)**	**–**	**505.45**	**–**	**–**	**8.81**	**496.64**
3D. Goodwill[4]	**577.88**	**–**	**–**	**–**	**577.88**	**30.37**	**–**	**–**	**608.25**
3E. Other Intangible assets (acquired)									
Assets with indefinite life[4]									
Trademarks	1889.78	–	–	–	1889.78	161.00	–	–	2050.78
Assets with finite life									
Trademarks	30.57	–	–	–	30.57	–	365.41	–	395.98
Computer Software	348.36	25.51	4.65	58.95	310.27	–	12.22	1.07	321.42
Know How, Business and Commercial Rights	56.40	3.77	–	3.77	56.40	–	3.03	–	59.43
Customer Relationships	35.21	–	–	–	35.21	–	–	–	35.21
Sourcing Network	–	–	–	–	–	52.00	–	–	52.00
TOTAL	**2360.32**	**29.28**	**4.65**	**62.72**	**2322.23**	**213.00**	**380.66**	**1.07**	**2914.82**
3F. Intangible assets under development	**9.07**	**21.17**	**25.68**	**1.65**	**2.91**	**–**	**90.25**	**11.54**	**81.62**
3G. Right-of-use assets^									
Land	525.53	0.07	0.32	95.16	430.12	–	15.73	111.53	334.32
Buildings	343.45	63.14	90.41	102.69	213.49	6.71	16.61	27.27	209.54
Plant and Equipment	41.83	–	9.86	–	31.97	–	–	–	31.97
TOTAL	**910.81**	**63.21**	**100.59**	**197.85**	**675.58**	**6.71**	**32.34**	**138.80**	**575.83**

[#] Includes amounts transferred to/from Investment Property on change in use.
* Refer Note 29(ix)
[&] includes Nil (2025 - ₹ 226.95 Crores) relating to discontinued operations.
^ Also refer Note 29(vii)

Notes:

1. a) The above includes following assets given on operating lease:

(₹ in Crores)

Particulars	As at 31st March, 2025			2025	As at 31st March, 2026			2026
	Gross Block	Accumulated Depreciation	Net Block	Depreciation Charge for the year	Gross Block	Accumulated Depreciation	Net Block	Depreciation Charge for the year
Land	1.48	–	1.48	–	1.48	–	1.48	–
Buildings	1.82	1.07	0.75	0.55	48.58	3.23	45.35	1.17
Plant and Equipment	285.90	196.72	89.18	12.95	308.20	205.13	103.07	12.81
TOTAL	**289.20**	**197.79**	**91.41**	**13.50**	**358.26**	**208.36**	**149.90**	**13.98**

b) The amount of expenditure recognised in the carrying amount of property, plant and equipment in the course of construction is ₹ 31.56 Crores (2025 - ₹ 72.55 Crores).

2. Land includes certain lands at Munger with Gross Block ₹ 1.16 Crores (2025 - ₹ 1.16 Crores) which stood vested with the State of Bihar under the Bihar Land Reforms Act, 1950 for which compensation has not yet been determined.

Notes to the Standalone Financial Statements

(₹ in Crores)

Particulars	Depreciation and Amortization								Net Book Value	
	Upto 31st March, 2024	For the year[&]	On Withdrawals and adjustments[#]	Transferred pursuant to Scheme of Demerger of Hotels business	Upto 31st March, 2025	For the year	On Withdrawals and adjustments[#]	Upto 31st March, 2026	As at 31st March, 2026	As at 31st March, 2025
3A. Property, Plant and Equipment[1]										
Land[2]	–	–	–	–	–	–	–	–	1270.25	1129.25
Buildings	1589.30	244.18	12.41	414.86	1406.21	200.63	2.00	1604.84	5350.92	5362.49
Leasehold Improvements	9.06	0.81	0.14	5.14	4.59	0.78	0.02	5.35	8.98	10.26
Plant and Equipment	8668.85	1212.84	155.64	1131.94	8594.11	1113.82	96.72	9611.21	9693.48	9766.46
Furniture and Fixtures	617.67	70.84	5.13	521.74	161.64	18.91	1.85	178.70	104.63	100.13
Vehicles	78.46	15.49	11.30	26.72	55.93	11.79	7.16	60.56	54.66	58.62
Office Equipment	23.98	3.18	1.10	1.24	24.82	4.08	0.62	28.28	18.51	18.44
Railway Sidings	1.17	0.13	–	–	1.30	0.13	0.01	1.42	0.30	0.43
TOTAL	**10988.49**	**1547.47**	**185.72**	**2101.64**	**10248.60**	**1350.14**	**108.38**	**11490.36**	**16501.73**	**16446.08**
3B. Capital work-in-progress	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**1472.56**	**1067.79**
3C. Investment Property[3]	**78.94**	**15.39**	**(11.23)**	**–**	**105.56**	**15.13**	**2.08**	**118.61**	**378.03**	**399.89**
3D. Goodwill[4]	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**608.25**	**577.88**
3E. Other Intangible assets (acquired)										
Assets with indefinite life[4]										
Trademarks	–	–	–	–	–	–	–	–	2050.78	1889.78
Assets with finite life										
Trademarks	26.72	2.28	–	–	29.00	11.98	–	40.98	355.00	1.57
Computer Software	230.47	35.18	4.65	47.75	213.25	33.15	1.07	245.33	76.09	97.02
Know How, Business and Commercial Rights	31.20	4.28	–	0.13	35.35	3.67	–	39.02	20.41	21.05
Customer Relationships	16.19	4.40	–	–	20.59	4.40	–	24.99	10.22	14.62
Sourcing Network	–	–	–	–	–	5.94	–	5.94	46.06	–
TOTAL	**304.58**	**46.14**	**4.65**	**47.88**	**298.19**	**59.14**	**1.07**	**356.26**	**2558.56**	**2024.04**
3F. Intangible assets under development	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**81.62**	**2.91**
3G. Right-of-use assets^										
Land	37.25	7.45	0.03	12.74	31.93	5.17	6.75	30.35	303.97	398.19
Buildings	131.31	48.74	85.94	6.71	87.40	42.02	25.94	103.48	106.06	126.09
Plant and Equipment	20.56	3.69	9.86	–	14.39	2.39	–	16.78	15.19	17.58
TOTAL	**189.12**	**59.88**	**95.83**	**19.45**	**133.72**	**49.58**	**32.69**	**150.61**	**425.22**	**541.86**

3. The fair value of the investment property is ₹ 1662.17 Crores (2025 - ₹ 1647.41 Crores). The fair value has been determined on the basis of valuation carried out at the reporting date by registered valuer as defined under Rule 2 of Companies (Registered Valuers and Valuation) Rules, 2017 and the same has been categorised as Level 2 based on the valuation techniques used and inputs applied. The main inputs considered by the valuer are government rates, property location, market research & trends, contracted rentals, terminal yields, discount rates and comparable values, as appropriate.

   Amounts recognised in the Statement of Profit and Loss in respect of the investment property is as under:

(₹ in Crores)

Particulars	For the year ended 31st March, 2026	For the year ended 31st March, 2025
Rental Income etc. from investment property	194.54	156.54
Direct Operating Expenses arising from investment property that generated rental income during the year[$]	21.09	19.45
Direct Operating Expenses arising from investment property that did not generate rental income during the year	–	–

[$]As per the contractual arrangements, the Company is responsible for the maintenance of common area at its own cost. The expenses arising out of such arrangements are not material.

4. Assets with indefinite life pertain to the 'FMCG - Others' Segment and are related to the Branded Packaged Foods and Personal Care Products businesses of the Company.

   Impairment testing for goodwill and intangible assets with indefinite useful lives has been carried out considering their recoverable amounts which, inter-alia, includes estimation of their value-in-use based on management projections. These projections have been made for a period of five years, or longer, as applicable and consider various factors, such as market scenario, growth trends, growth and margin projections, and terminal growth rates specific to the business.

   For such projections, discount rate of 10% (2025 - 10%) and long-term growth rates ranging between 5% to 6% (2025 - 5% to 6%) have been considered. Discount rate has been determined considering the Weighted Average Cost of Capital (WACC) of market benchmarks.

   Based on the above assessment, no impairment has been recognised during the year. Further, the Company has also performed sensitivity analysis around the base assumptions and has concluded that there are no reasonably possible changes to key assumptions that would cause the carrying amount of the aforesaid assets to exceed their recoverable values.

Notes to the Standalone Financial Statements

Capital work-in-progress (CWIP) ageing schedule

(₹ in Crores)

Particulars	As at 31st March, 2025					As at 31st March, 2026				
	Amount in CWIP for a period of					Amount in CWIP for a period of				
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	Total	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	Total
Projects in Progress	803.32	172.34	61.25	30.88	1067.79	914.98	356.39	131.95	69.24	1472.56
Projects temporarily suspended	–	–	–	–	–	–	–	–	–	–
TOTAL	**803.32**	**172.34**	**61.25**	**30.88**	**1067.79**	**914.98**	**356.39**	**131.95**	**69.24**	**1472.56**

Intangible assets under development (IAUD) ageing schedule

(₹ in Crores)

Particulars	As at 31st March, 2025					As at 31st March, 2026				
	Amount in IAUD for a period of					Amount in IAUD for a period of				
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	Total	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	Total
Projects in Progress	2.34	0.57	–	–	2.91	80.04	1.58	–	–	81.62
Projects temporarily suspended	–	–	–	–	–	–	–	–	–	–
TOTAL	**2.34**	**0.57**	**–**	**–**	**2.91**	**80.04**	**1.58**	**–**	**–**	**81.62**

Note: There are no projects in CWIP and IAUD, which are overdue or has exceeded its cost compared to its original plan as at 31st March, 2026 and 31st March, 2025.

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current Investments					
INVESTMENT IN EQUITY INSTRUMENTS					
In Subsidiaries (at cost)					
Unquoted					
Gold Flake Corporation Limited	10	1,59,98,385	16.00	1,59,98,385	16.00
Russell Credit Limited					
Fully paid	10	59,74,54,177	619.29	59,74,54,177	619.29
₹ 6.50 per share paid	10	7,54,22,400	39.22	7,54,22,400	39.22
ITC Infotech India Limited	10	9,08,50,000	1014.06	9,08,50,000	1014.50
Surya Nepal Private Limited (Ordinary Shares)	Nepalese Rupee (NRs) 50	2,45,95,200	164.37	2,37,88,800	10.15
Technico Pty Limited (Ordinary Shares) *(₹ 16.29 Crores impaired)*	No par value	1,00,15,502	31.88	1,00,15,502	31.88
Technico Agri Sciences Limited	10	3,79,62,800	121.00	3,79,62,800	121.00
ITC Integrated Business Services Limited	10	75,00,000	7.50	75,00,000	7.50
ITC IndiVision Limited	10	12,00,00,000	120.00	12,00,00,000	120.00
North East Nutrients Private Limited	10	5,54,80,000	55.48	5,54,80,000	55.48
Pavan Poplar Limited (under liquidation) [Refer Note 29(xii)] *(cost ₹ 5.99 Crores, fully impaired)*	10	55,10,004	–	55,10,004	–
Prag Agro Farm Limited [Refer Note 29(xii)] *[Nil (2025 - ₹ 12.82 Crores) impaired]*	1	–	–	1,28,00,020	–
ITC Fibre Innovations Limited	10	33,50,00,000	335.00	29,00,00,000	290.00
Greenacre Holdings Limited	10	4,20,60,166	42.10	4,20,60,166	42.10
Fyve Elements LLC [Refer Note 29(ix)]	No par value		94.00		–
Sresta Global FZE [Refer Note 29(ix)]	No par value		0.98		–
In Associates (at cost)					
Quoted					
ITC Hotels Limited	1	83,00,00,000	4298.32	83,00,00,000	4298.32
Unquoted					
Delectable Technologies Private Limited [Refer Note 29(xi)] *[Nil (2025 - ₹ 3.60 Crores) impaired]*	10	–	–	2,386	–
Mother Sparsh Baby Care Private Limited [Refer Note 29(v)(b)]	10	694	11.54	100	0.96
Sproutlife Foods Private Limited [Refer Note 29(v)(b)]	10	2,443	40.33	2,443	40.33
Ample Foods Private Limited [Refer Note 29(v)(b)]	10	2,62,500	131.25	–	–
Carried over			7142.32		6706.73

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current Investments (Contd.)					
Brought forward			7142.32		6706.73
INVESTMENT IN EQUITY INSTRUMENTS (Contd.)					
In Joint Ventures (at cost)					
Unquoted					
Logix Developers Private Limited [Refer Note 29(viii)] *[cost ₹ 41.95 Crores, fully impaired]*	10	77,66,913	–	77,66,913	–
In Others (at fair value through other comprehensive income unless stated otherwise)					
Quoted					
EIH Limited	2	10,08,53,602	2758.85	10,08,53,602	3565.17
HLV Limited	2	5,34,13,884	30.55	5,34,13,884	64.20
Tourism Finance Corporation of India Limited	2 (2025 - ₹10)	1,25,000	0.79	25,000	0.42
VST Industries Limited	10	5,236	0.10	5,236	0.14
Unquoted					
Andhra Pradesh Gas Power Corporation Limited	10	8,04,000	–	8,04,000	–
Bihar Hotels Limited	2	8,00,000	0.04	8,00,000	0.04
Woodlands Multispeciality Hospital Limited	10	13,605	0.01	13,605	0.01
Blupin Technologies Private Limited (at fair value through profit or loss)	10	400	3.64	400	3.64
INVESTMENT IN PREFERENCE SHARES					
In Subsidiaries (at amortised cost unless stated otherwise)					
Unquoted					
ITC IndiVision Limited (Cumulative Non-Convertible Redeemable Preference Shares)	100	2,20,00,000	220.00	2,20,00,000	220.00
In Associates (at cost)					
Unquoted					
Delectable Technologies Private Limited [Refer Note 29(xi)] (Compulsorily Convertible Cumulative Preference Shares) *[Nil (2025 - ₹ 7.40 Crores) impaired]*	10	–	–	7,759	–
Mother Sparsh Baby Care Private Limited [Refer Note 29(v)(b)] (Compulsorily Convertible Cumulative Preference Shares)	10	6,038	84.04	3,837	44.04
Sproutlife Foods Private Limited [Refer Note 29(v)(b)] (Compulsorily Convertible Cumulative Preference Shares)	10	10,984	214.67	10,984	214.67
Carried over			10455.01		10819.06

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current Investments (Contd.)					
Brought forward			10455.01		10819.06
INVESTMENT IN PREFERENCE SHARES (Contd.)					
In Others (at fair value through profit or loss)					
Unquoted					
Blupin Technologies Private Limited (Compulsorily Convertible Cumulative Preference Shares)	100	3,399	30.75	3,232	29.33
INVESTMENT IN GOVERNMENT OR TRUST SECURITIES (at amortised cost)					
Quoted					
Government of India Zero Coupon Government Stock					
Zero Coupon Government Stock - 15-Jun-2026	100	–	–	10,20,000	9.47
Zero Coupon Government Stock - 22-Aug-2026	100	–	–	63,54,400	58.14
Zero Coupon Government Stock - 15-Dec-2026	100	–	–	10,20,000	9.15
Zero Coupon Government Stock - 22-Feb-2027	100	–	–	40,11,000	35.44
Zero Coupon Government Stock - 15-Jun-2027	100	31,17,000	28.84	31,17,000	27.01
Zero Coupon Government Stock - 22-Aug-2027	100	48,54,400	44.22	48,54,400	41.37
Unquoted					
Government Securities - cost ₹ 70000.00			0.01		0.01
National Savings Certificates (pledged with various Mandi Samitis) (cost ₹ 6000.00)			…		…
INVESTMENT IN GOVERNMENT OR TRUST SECURITIES (at fair value through other comprehensive income)					
Quoted					
Government of India Stock					
6.33% - Government Stock - 05-May-2035	100	25,00,000	24.01	–	–
6.48% - Government Stock - 06-Oct-2035	100	5,00,000	4.81	–	–
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at amortised cost)					
Quoted					
Tax Free Bonds - Secured, Redeemable & Non-Convertible					
Housing and Urban Development Corporation Limited					
7.39% - Series 2A - 08-Feb-2031	1,000	7,00,696	70.07	7,00,696	70.07
8.20% - Series 2 - 05-Mar-2027	1,000	–	–	5,00,000	51.77
Carried over			10657.72		11150.82

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current Investments (Contd.)					
Brought forward			10657.72		11150.82
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at amortised cost) (Contd.)					
India Infrastructure Finance Company Limited					
7.36% - Series II - 22-Jan-2028	1,000	3,00,000	30.69	3,00,000	31.04
8.26% - Series V B - 23-Aug-2028	10,00,000	1,175	120.05	1,175	121.05
8.46% - Series VI B - 30-Aug-2028	10,00,000	1,300	134.19	1,300	135.79
8.48% - Series VII B - 05-Sep-2028	10,00,000	1,780	182.52	1,780	184.24
Indian Railway Finance Corporation Limited					
7.34% - Series 86A - 19-Feb-2028	1,000	1,00,000	10.26	1,00,000	10.39
8.48% - Series 89A - 21-Nov-2028	10,00,000	1,250	128.17	1,250	129.22
8.55% - Series 94A - 12-Feb-2029	10,00,000	130	13.37	130	13.49
National Highways Authority of India					
7.28% - Series NHAI - II B - 18-Sep-2030	10,00,000	2,500	250.00	2,500	250.00
7.35% - Series II A - 11-Jan-2031	1,000	17,49,943	179.79	17,49,943	180.62
8.50% - Series II A - 05-Feb-2029	1,000	5,00,000	52.94	5,00,000	53.87
8.75% - Series II B - 05-Feb-2029	1,000	2,50,000	26.72	2,50,000	27.26
National Housing Bank					
8.46% - Series V - 30-Aug-2028	10,00,000	800	81.76	800	82.44
Power Finance Corporation Limited					
8.46% - Series 107B - 30-Aug-2028	10,00,000	500	51.10	500	51.53
8.54% - Series 2A - 16-Nov-2028	1,000	3,50,000	37.22	3,50,000	38.00
REC Limited					
8.46% - Series 3B - 29-Aug-2028	10,00,000	1,190	123.01	1,190	124.54
8.46% - Series 2A - 24-Sep-2028	1,000	3,50,000	37.06	3,50,000	37.81
8.54% - Series 4B - 11-Oct-2028	10,00,000	50	5.12	50	5.17
Taxable Bonds - Unsecured, Redeemable & Non-Convertible					
National Bank for Agriculture and Rural Development					
7.49% - Series 24 B - 15-Oct-2026	1,00,000	–	–	10,000	99.36
7.62% - Series 23 I - 31-Jan-2028	1,00,000	19,000	189.31	19,000	189.02
7.62% - Series 24 H - 10-May-2029	1,00,000	20,000	199.88	20,000	199.89
8.22% - Series PMAYG-PB-2 - 13-Dec-2028	10,00,000	1,550	157.12	1,550	157.83
Carried over			12668.00		13273.38

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current Investments (Contd.)					
Brought forward			12668.00		13273.38
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at amortised cost) (Contd.)					
Small Industries Development Bank of India					
7.43% - Series I - 31-Aug-2026	1,00,000	–	–	5,000	49.68
7.44% - Series II - 04-Sep-2026	1,00,000	–	–	5,000	49.69
7.68% - Series IX - 10-Aug-2027	1,00,000	30,000	299.83	30,000	299.92
7.79% - Series IV - 19-Apr-2027	1,00,000	30,000	299.85	30,000	300.15
7.79% - Series VI - 14-May-2027	1,00,000	25,000	249.74	25,000	249.82
7.83% - Series V - 24-Nov-2028	1,00,000	40,500	404.80	40,500	404.89
Perpetual Bonds - Unsecured, Subordinated & Non-Convertible#					
State Bank of India					
7.72% - Series I (with first Call option 03-Sep-2026)	1,00,00,000	–	–	313	313.00
7.72% - Series II (with first Call option 18-Oct-2026)	1,00,00,000	–	–	400	400.00
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at fair value through other comprehensive income)					
Quoted					
Taxable Bonds - Unsecured, Redeemable & Non-Convertible					
HDFC Bank Limited					
6.44% - Series 1 - 27-Sep-2028	10,00,000	1,500	147.18	–	–
7.70% - Series US003 - 16-May-2028	1,00,000	6,000	60.51	–	–
8.44% - Series 1/2018-19 - 28-Dec-2028	10,00,000	1,500	154.16	–	–
9.05% - Series U001 - 16-Oct-2028	10,00,000	500	52.00	–	–
National Bank for Agriculture and Rural Development					
6.85% - Series 26 B - 19-Jan-2029	1,00,000	5,000	49.58	–	–
7.40% - Series 25 D - 29-Apr-2030	1,00,000	5,000	50.09	–	–
7.48% - Series 25 G - 15-Sep-2028	1,00,000	37,500	365.98	–	–
7.53% - Series 25 E - 24-Mar-2028	1,00,000	20,000	196.34	–	–
7.62% - Series 23 I - 31-Jan-2028	1,00,000	10,000	100.80	–	–
Carried over			15098.86		15340.53

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current Investments (Contd.)					
Brought forward			15098.86		15340.53
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at fair value through other comprehensive income) (Contd.)					
Power Finance Corporation Limited					
6.64% - Series 250 B - 15-Jul-2030	1,00,000	5,000	48.96	–	–
7.60% - Series 237 A - 13-Apr-2029	1,00,000	7,500	75.83	–	–
Small Industries Development Bank of India					
6.66% - Series I - 25-Oct-2028	1,00,000	15,000	147.96	–	–
7.34% - Series III - 26-Feb-2029	1,00,000	10,000	100.39	–	–
7.49% - Series VIII - 11-Jun-2029	1,00,000	15,000	151.24	–	–
INVESTMENT IN DEBT MUTUAL FUNDS (at amortised cost)					
Quoted					
Fixed Maturity Plans*					
Aditya Birla Sun Life Mutual Fund	10	2,19,98,900	28.02	2,19,98,900	26.37
DSP Mutual Fund	10	–	–	4,99,97,500	58.99
Nippon India Mutual Fund	10	1,49,99,250	19.40	1,49,99,250	18.20
SBI Mutual Fund	10	5,49,97,250	70.08	21,19,89,401	255.96
INVESTMENT IN DEBT MUTUAL FUNDS (at fair value through other comprehensive income)					
Quoted					
Exchange Traded Funds**					
Axis Mutual Fund	1	–	–	5,50,00,000	68.84
Edelweiss Mutual Fund	1,000	28,65,706	447.56	–	–
Nippon India Mutual Fund	10	6,34,26,359	81.07	12,84,26,359	915.01
Unquoted					
Target Maturity Index Funds**					
Aditya Birla Sun Life Mutual Fund	10	49,83,64,060	647.08	86,52,07,440	1050.21
Axis Mutual Fund	10	14,34,76,737	184.96	12,39,16,078	148.99
Bandhan Mutual Fund	10	–	–	4,24,53,511	54.21
DSP Mutual Fund	10	2,49,40,887	32.45	4,76,41,228	58.00
HDFC Mutual Fund	10	7,61,50,000	96.21	2,24,75,231	27.62
ICICI Prudential Mutual Fund	10	54,91,10,334	714.11	64,66,52,376	786.80
Carried over			17944.18		18809.73

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current Investments (Contd.)					
Brought forward			17944.18		18809.73
INVESTMENT IN DEBT MUTUAL FUNDS (at fair value through other comprehensive income) (Contd.)					
Kotak Mahindra Mutual Fund	10	42,26,69,978	545.95	59,85,34,837	728.62
Nippon India Mutual Fund	10	31,14,04,896	397.73	28,00,48,239	334.51
SBI Mutual Fund	10	26,72,22,501	347.01	56,98,58,756	687.00
INVESTMENT IN ALTERNATIVE INVESTMENT FUNDS (at fair value through profit or loss)					
Unquoted					
Avaana Sustainability Fund	1,000	60,115	6.23	41,178	3.85
Chiratae Ventures India Fund IV	1,00,000	1,430	17.36	1,421	20.53
Fireside Ventures Investments Fund I	1,00,000	1,060	31.67	1,182	37.61
Fireside Ventures Investments Fund II	1,000	1,81,050	37.95	1,87,606	31.10
Fireside Ventures Investments Fund III	1,00,000	1,455	17.85	1,000	9.49
India Foundation Fund Series I	100	9,00,000	8.82	8,39,020	8.37
Roots Ventures I	100	8,44,147	27.59	9,36,923	21.86
Stride Ventures Debt Fund 4	1,00,000	1,500	15.00	–	–
Together Fund II IFSC	$1000	990	11.71	–	–
Aggregate amount of quoted investments			**12872.21**		**13763.75**
Aggregate amount of unquoted investments			**6536.84**		**6928.92**
TOTAL			**19409.05**		**20692.67**

Aggregate market value of quoted investments ₹ 20090.64 Crores (2025 - ₹ 25924.28 Crores).
Aggregate amount of impairment in value of investments ₹ 64.23 Crores (2025 - ₹ 88.05 Crores).

Additional Tier 1 bonds, which are perpetual in nature, are issued by commercial banks under Reserve Bank of India guidelines. These have been classified as debt instruments by the Company based on the substantive characteristics of the contract.

* Investments in Fixed Maturity Plans (FMPs) that are intended to be held by the Company till maturity are classified as amortised cost. The underlying instruments in the portfolio of these FMPs have minimal churn and are held to receive contractual cashflows.

** Exchange Traded/Target Maturity Index Funds follow a passive buy and hold investment strategy to receive contractual cashflows except for meeting redemption and rebalancing requirements. Investment in such funds are classified as FVTOCI as cash flows from these investments are realised on maturity or upon sale.

Notes to the Standalone Financial Statements

	As at 31st March, 2026 (₹ in Crores)		As at 31st March, 2025 (₹ in Crores)	
	Current	**Non-Current**	Current	Non-Current
5. Loans				
Other Loans - Employees				
– Unsecured, considered good	7.95	3.69	8.96	6.28
TOTAL	**7.95**	**3.69**	**8.96**	**6.28**
6. Other Financial Assets				
Security Deposits *	26.78	73.77	27.97	74.59
Bank deposits with more than 12 months maturity	–	–	–	1250.00
Others				
Deposits other than Security Deposits	1019.91	250.44	451.92	250.48
Interest accrued on Loans, Deposits, Investments etc.	409.76	–	322.82	–
Other Receivables **	496.00	–	462.17	–
TOTAL	**1952.45**	**324.21**	**1264.88**	**1575.07**

* Include deposits to Directors and Key Management Personnel ₹ 0.01 Crore (2025 - ₹ 0.01 Crore) (Refer Note 31).

** Comprise receivables on account of government grants, claims, rentals, derivatives etc.

Notes to the Standalone Financial Statements

	As at 31st March, 2026 (₹ in Crores)		As at 31st March, 2025 (₹ in Crores)	
	Current	**Non-Current**	Current	Non-Current
7. Other Assets				
Capital Advances	–	171.86	–	68.33
Advances other than capital advances				
Security Deposits				
– With Statutory Authorities	0.97	704.03	0.49	702.34
– Others	0.19	65.50	0.19	65.43
Other Advances (including advances with statutory authorities, prepaid expenses, employees etc.)	1330.90	68.16	885.34	76.02
Other Receivables ^	156.37	–	151.66	–
TOTAL	**1488.43**	**1009.55**	**1037.68**	**912.12**

^ Comprise receivables on account of government grants, withholding taxes etc.

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
8. Inventories		
(At lower of cost and net realisable value)		
Raw materials (including packing materials)	10644.31	10265.38
Work-in-progress	411.26	405.30
Finished goods (manufactured)	4930.52	2363.72
Stock-in-trade (goods purchased for resale)	1216.47	1277.45
Stores and spares	617.97	644.84
Intermediates - Tissue paper and Paperboards	111.37	104.32
TOTAL	**17931.90**	**15061.01**
The above includes goods in transit as under:		
Raw materials (including packing materials)	244.07	255.00
Stock-in-trade (goods purchased for resale)	8.12	8.36
Stores and spares	1.56	3.03
TOTAL	**253.75**	**266.39**

The cost of inventories recognised as an expense includes ₹ 351.44 Crores (2025 - ₹ 224.54 Crores) in respect of write-offs/write-downs of inventory to net realisable value. During the year, reversal of previous write-downs of ₹ 2.17 Crores (2025 - ₹ 1.31 Crores) have been made owing to subsequent increase in net realisable value.

Inventories of ₹ 1315.29 Crores (2025 - ₹ 886.65 Crores) are expected to be recovered more than twelve months after the reporting period.

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
9. Current Investments (at fair value through profit or loss, unless stated otherwise)					
INVESTMENT IN GOVERNMENT OR TRUST SECURITIES					
Quoted					
Government of India Stock					
6.01% - Government Stock - 21-Jul-2030	100	40,00,000	38.93	–	–
6.33% - Government Stock - 05-May-2035	100	55,00,000	52.83	–	–
6.48% - Government Stock - 06-Oct-2035	100	3,93,92,700	379.45	–	–
6.68% - Government Stock - 07-Jul-2040	100	1,25,00,000	116.71	–	–
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES					
Quoted					
Taxable Bonds - Unsecured, Redeemable & Non-Convertible					
National Bank for Agriculture and Rural Development					
5.70% - Series 22 D - 31-Jul-2025	10,00,000	–	–	2,800	275.19
7.25% - Series 23 C - 01-Aug-2025	10,00,000	–	–	1,000	98.75
7.35% - Series 23 B - 08-Jul-2025	10,00,000	–	–	150	14.85
7.48% - Series 25 G - 15-Sep-2028	1,00,000	25,000	243.99	–	–
7.53% - Series 25 E - 24-Mar-2028	1,00,000	20,000	196.34	–	–
Power Finance Corporation Limited					
7.75% - Series 248A - 15-Apr-2026	1,00,000	20,000	199.99	–	–
Small Industries Development Bank of India					
7.15% - Series II - 21-Jul-2025	10,00,000	–	–	250	24.71
7.25% - Series III - 31-Jul-2025	10,00,000	–	–	750	74.07
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at fair value through other comprehensive income)					
Quoted					
Taxable Bonds - Unsecured, Redeemable & Non-Convertible					
HDFC Bank Limited					
7.95% - Series I - 21-Sep-2026	10,00,000	4,313	432.27	–	–
8.46% - Series P016 - 15-Jun-2026	1,00,00,000	50	50.08	–	–
8.46% - Series P019 - 24-Jun-2026	1,00,00,000	50	50.07	–	–
Carried over			1760.66		487.57

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
9. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			1760.66		487.57
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at fair value through other comprehensive income) (Contd.)					
National Bank for Agriculture and Rural Development					
7.58% - Series 23 H - 31-Jul-2026	1,00,000	25,000	249.94	–	–
Small Industries Development Bank of India					
7.44% - Series II - 04-Sep-2026	1,00,000	25,000	250.00	–	–
INVESTMENT IN CERTIFICATES OF DEPOSIT					
Unquoted					
Axis Bank Limited - 16-Jul-2025	5,00,000	–	–	10,000	484.63
Axis Bank Limited - 17-Oct-2025	5,00,000	–	–	5,000	235.90
Axis Bank Limited - 18-Nov-2025	5,00,000	–	–	5,000	233.82
Axis Bank Limited - 30-Apr-2026	5,00,000	1,000	49.68	–	–
Axis Bank Limited - 15-May-2026	5,00,000	2,000	99.03	–	–
Canara Bank - 08-May-2026	5,00,000	20,000	991.81	–	–
Canara Bank - 15-May-2026	5,00,000	1,000	49.52	–	–
Canara Bank - 26-May-2026	5,00,000	1,500	74.10	–	–
HDFC Bank Limited - 25-Jul-2025	5,00,000	–	–	3,000	145.04
HDFC Bank Limited - 07-May-2026	5,00,000	6,500	322.42	–	–
Small Industries Development Bank of India - 20-May-2026	5,00,000	12,000	593.55	–	–
INVESTMENT IN DEBT MUTUAL FUNDS					
Unquoted					
Liquid Fund					
Axis Mutual Fund	1,000	8,831	2.71	10,696	3.08
Aditya Birla Sun Life Mutual Fund	1,000	22,485	1.00	22,485	0.95
Ultra Short Term Funds					
Aditya Birla Sun Life Mutual Fund	100	2,12,42,676	1237.43	1,86,63,673	1015.34
HDFC Mutual Fund	10	8,69,46,234	140.79	–	–
ICICI Prudential Mutual Fund	10	4,48,44,111	140.83	1,74,13,815	51.09
Carried over			5963.47		2657.42

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
9. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			5963.47		2657.42
INVESTMENT IN DEBT MUTUAL FUNDS (Contd.)					
Kotak Mahindra Mutual Fund	10	23,75,47,122	1107.13	23,75,47,122	1036.62
Nippon India Mutual Fund	1,000	3,23,856	150.96	–	–
SBI Mutual Fund	1,000	2,47,159	157.24	2,47,159	147.37
Low Duration Funds					
Aditya Birla Sun Life Mutual Fund	100	87,701	6.67	87,701	6.24
Axis Mutual Fund	1,000	14,17,525	481.21	14,17,525	449.84
Bandhan Mutual Fund	10	7,34,11,386	302.78	7,34,11,386	284.06
DSP Mutual Fund	10	17,22,63,805	355.48	17,22,63,805	334.81
ICICI Prudential Mutual Fund	100	1,40,07,103	808.70	1,40,07,103	755.44
Kotak Mahindra Mutual Fund	1,000	–	–	1,44,778	51.61
Nippon India Mutual Fund	1,000	–	–	2,65,846	103.23
SBI Mutual Fund	1,000	19,73,814	748.73	21,18,791	753.41
Money Market Funds					
Aditya Birla Sun Life Mutual Fund	100	79,39,132	311.35	40,95,539	150.50
Axis Mutual Fund	1,000	20,57,053	311.07	20,57,053	291.12
Bandhan Mutual Fund	10	5,32,80,805	243.61	4,22,87,680	180.89
DSP Mutual Fund	10	8,84,89,866	501.95	28,79,974	15.33
HDFC Mutual Fund	1,000	7,47,666	456.26	7,47,666	427.20
Kotak Mahindra Mutual Fund	1,000	13,41,688	636.59	6,53,754	290.46
LIC Mutual Fund	1,000	3,98,844	50.26	–	–
Nippon India Mutual Fund	1,000	6,60,345	290.55	6,60,345	272.04
SBI Mutual Fund	10	6,33,58,708	294.66	6,33,58,708	276.12
UTI Mutual Fund	1,000	–	–	84,377	25.81
Floating Rate Funds					
Aditya Birla Sun Life Mutual Fund	100	1,94,01,569	725.30	1,94,01,569	678.34
HDFC Mutual Fund	10	10,07,90,662	536.66	10,07,90,662	501.54
Nippon India Mutual Fund	10	6,22,64,756	307.99	6,22,64,756	288.73
Carried over			14748.62		9978.13

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
9. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			14748.62		9978.13
INVESTMENT IN DEBT MUTUAL FUNDS (Contd.)					
Short Duration Funds					
Aditya Birla Sun Life Mutual Fund	10	–	–	82,38,313	41.40
DSP Mutual Fund	10	–	–	2,31,36,440	114.32
Kotak Mahindra Mutual Fund	10	–	–	1,94,81,292	109.13
Nippon India Mutual Fund	10	–	–	1,95,36,507	109.27
SBI Mutual Fund	10	5,40,50,081	191.41	5,40,50,081	179.96
Banking & PSU Debt Funds					
Axis Mutual Fund	1,000	31,86,227	881.71	31,86,227	833.77
Bandhan Mutual Fund	10	14,17,61,931	360.66	14,17,61,931	341.56
Corporate Bond Funds					
HDFC Mutual Fund	10	–	–	1,58,86,798	51.67
ICICI Prudential Mutual Fund	10	2,42,40,779	78.68	4,30,40,789	131.43
Kotak Mahindra Mutual Fund	1,000	–	–	2,98,810	114.92
SBI Mutual Fund	10	–	–	6,63,37,836	103.48
Current Portion of Non-current Investments					
INVESTMENT IN GOVERNMENT OR TRUST SECURITIES (at amortised cost)					
Quoted					
Government of India Zero Coupon Government Stock					
Zero Coupon Government Stock - 15-Jun-2025	100	–	–	10,20,000	10.08
Zero Coupon Government Stock - 22-Aug-2025	100	–	–	25,35,000	24.75
Zero Coupon Government Stock - 15-Dec-2025	100	–	–	36,34,800	34.84
Zero Coupon Government Stock - 17-Dec-2025	100	–	–	6,02,300	5.77
Zero Coupon Government Stock - 22-Feb-2026	100	–	–	25,35,000	23.97
Zero Coupon Government Stock - 15-Jun-2026	100	10,20,000	10.07	–	–
Zero Coupon Government Stock - 22-Aug-2026	100	63,54,400	61.97	–	–
Zero Coupon Government Stock - 15-Dec-2026	100	10,20,000	9.75	–	–
Zero Coupon Government Stock - 22-Feb-2027	100	40,11,000	37.83	–	–
Carried over			16380.70		12208.45

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
9. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			16380.70		12208.45
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at amortised cost)					
Quoted					
Tax Free Bonds - Secured, Redeemable & Non-Convertible					
Housing and Urban Development Corporation Limited					
7.07% - Series B - 01-Oct-2025	10,00,000	–	–	4,300	430.54
7.19% - Series A - 31-Jul-2025	10,00,000	–	–	150	15.04
8.20% - Series 2 - 05-Mar-2027	1,000	5,00,000	50.87	–	–
Indian Railway Finance Corporation Limited					
7.07% - Series 102 - 21-Dec-2025	1,000	–	–	70,498	7.08
7.15% - Series 100 - 21-Aug-2025	10,00,000	–	–	250	25.09
7.19% - Series 99 - 31-Jul-2025	10,00,000	–	–	2,250	225.11
National Bank for Agriculture and Rural Development					
7.07% - Series 1A - 25-Feb-2026	10,00,000	–	–	2,000	201.52
National Highways Authority of India					
7.11% - Series NHAI - II A - 18-Sep-2025	10,00,000	–	–	2,600	260.14
7.14% - Series I A - 11-Jan-2026	1,000	–	–	8,06,381	80.90
Power Finance Corporation Limited					
7.16% - Series 136 - 17-Jul-2025	10,00,000	–	–	600	60.12
REC Limited					
7.17% - Series 5A - 23-Jul-2025	10,00,000	–	–	850	85.21
Taxable Bonds - Unsecured, Redeemable & Non-Convertible					
National Bank for Agriculture and Rural Development					
7.49% - Series 24 B - 15-Oct-2026	1,00,000	10,000	99.72	–	–
Carried over			16531.29		13599.20

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
9. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			16531.29		13599.20
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at amortised cost) (Contd.)					
Small Industries Development Bank of India					
7.43% - Series I - 31-Aug-2026	1,00,000	5,000	49.87	–	–
7.44% - Series II - 04-Sep-2026	1,00,000	5,000	49.87	–	–
Perpetual Bonds - Unsecured, Subordinated & Non-Convertible#					
State Bank of India					
7.72% - Series I (with first Call option 03-Sep-2026)	1,00,00,000	313	313.00	–	–
7.72% - Series II (with first Call option 18-Oct-2026)	1,00,00,000	400	400.00	–	–
Zero Coupon Bonds - Secured, Redeemable & Non-Convertible					
LIC Housing Finance Limited					
Tranche 416 - 25-Apr-2025	10,00,000	–	–	10,000	1211.85
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at fair value through other comprehensive income)					
Quoted					
Taxable Bonds - Unsecured, Redeemable & Non-Convertible					
National Bank for Agriculture and Rural Development					
7.80% - Series 24 E - 15-Mar-2027	1,00,000	10,000	100.57	–	–
INVESTMENT IN DEBT MUTUAL FUNDS (at amortised cost)					
Quoted					
Fixed Maturity Plans*					
DSP Mutual Fund	10	4,99,97,500	63.27	–	–
SBI Mutual Fund	10	15,69,92,150	201.02	2,49,98,750	29.58
Carried over			17708.89		14840.63

Notes to the Standalone Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
9. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			17708.89		14840.63
INVESTMENT IN DEBT MUTUAL FUNDS (at fair value through other comprehensive income)					
Quoted					
Exchange Traded Funds**					
Axis Mutual Fund	1	5,50,00,000	73.30	–	–
Edelweiss Mutual Fund	1,000	–	–	33,03,209	425.60
Nippon India Mutual Fund	10	6,50,00,000	891.82	–	–
Unquoted					
Target Maturity Index Funds**					
Aditya Birla Sun Life Mutual Fund	10	34,45,85,668	446.92	–	–
Axis Mutual Fund	10	–	–	1,98,53,868	23.71
SBI Mutual Fund	10	45,10,57,343	580.61	–	–
Aggregate amount of quoted investments			**4673.53**		**3644.76**
Aggregate amount of unquoted investments			**15028.01**		**11645.18**
TOTAL			**19701.54**		**15289.94**

Aggregate market value of quoted investments ₹ 4676.72 Crores (2025 - ₹ 3648.50 Crores).

\# Additional Tier 1 bonds, which are perpetual in nature, are issued by commercial banks under Reserve Bank of India guidelines. These have been classified as debt instruments by the Company based on the substantive characteristics of the contract.

* Investments in Fixed Maturity Plans (FMPs) that are intended to be held by the Company till maturity are classified as amortised cost. The underlying instruments in the portfolio of these FMPs have minimal churn and are held to receive contractual cashflows.

** Exchange Traded / Target Maturity Index Funds follow a passive buy and hold investment strategy to receive contractual cashflows except for meeting redemption and rebalancing requirements. Investment in such funds are classified as FVTOCI as cash flows from these investments are realised on maturity or upon sale.

Notes to the Standalone Financial Statements

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
10. Trade receivables (Current)		
Considered good - Secured	48.33	50.90
Considered good - Unsecured	2877.27	3859.89
Which have significant increase in Credit Risk	–	–
Credit impaired	150.96	154.67
Less: Allowance for credit impairment [Refer Note 32]	150.96	154.67
TOTAL	**2925.60**	**3910.79**

Trade receivables ageing schedule

(₹ in Crores)

	Not Due	Outstanding for following periods from due date of payment as at 31st March, 2026					Total
		Less than 6 months	6 months-1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade Receivables – considered good	1511.50	1369.14	17.17	27.46	0.33	–	2925.60
Undisputed Trade Receivables – which have significant increase in credit risk	–	–	–	–	–	–	–
Undisputed Trade Receivables – credit impaired	–	0.22	8.87	16.68	1.19	30.03	56.99
Disputed Trade Receivables – considered good	–	–	–	–	–	–	–
Disputed Trade Receivables – which have significant increase in credit risk	–	–	–	–	–	–	–
Disputed Trade Receivables – credit impaired	–	0.03	1.52	8.07	1.39	82.96	93.97
SUB-TOTAL	**1511.50**	**1369.39**	**27.56**	**52.21**	**2.91**	**112.99**	**3076.56**
Less: Allowance for credit impairment							150.96
TOTAL							**2925.60**

(₹ in Crores)

	Not Due	Outstanding for following periods from due date of payment as at 31st March, 2025					Total
		Less than 6 months	6 months-1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade Receivables – considered good	1609.82	2292.73	7.70	0.54	–	–	3910.79
Undisputed Trade Receivables – which have significant increase in credit risk	–	–	–	–	–	–	–
Undisputed Trade Receivables – credit impaired	–	0.25	3.36	12.85	0.16	31.45	48.07
Disputed Trade Receivables – considered good	–	–	–	–	–	–	–
Disputed Trade Receivables – which have significant increase in credit risk	–	–	–	–	–	–	–
Disputed Trade Receivables – credit impaired	–	0.38	3.20	2.40	2.68	97.94	106.60
SUB-TOTAL	**1609.82**	**2293.36**	**14.26**	**15.79**	**2.84**	**129.39**	**4065.46**
Less: Allowance for credit impairment							154.67
TOTAL							**3910.79**

Notes to the Standalone Financial Statements

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
11. Cash and cash equivalents[@]		
Balances with Banks		
Current accounts	102.60	220.35
Cheques, drafts on hand	6.37	1.08
Cash on hand	1.05	0.98
TOTAL	**110.02**	**222.41**

[@] Cash and cash equivalents include cash on hand, cheques, drafts on hand, cash at bank and deposits with banks with original maturity of 3 months or less.

The Company does not have any cash and cash equivalents that are not available for use.

12. Bank Balances other than cash and cash equivalents		
Earmarked balances*	268.66	264.84
In deposit accounts**	1756.84	2697.61
TOTAL	**2025.50**	**2962.45**

* Includes balances towards unpaid dividend and unspent corporate social responsibility.

** Represents deposits with original maturity of more than 3 months having remaining maturity of less than 12 months from the Balance Sheet date.

Notes to the Standalone Financial Statements

	As at 31st March, 2026 (No. of Shares)	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (No. of Shares)	As at 31st March, 2025 (₹ in Crores)
13. Equity Share capital				
Authorised				
Ordinary Shares of ₹ 1.00 each	20,00,00,00,000	2000.00	20,00,00,00,000	2000.00
Issued and Subscribed				
Ordinary Shares of ₹ 1.00 each, fully paid	12,52,94,68,231	1252.95	12,51,41,19,781	1251.41
A) Reconciliation of number of Ordinary Shares outstanding				
As at beginning of the year	12,51,41,19,781	1251.41	12,48,47,21,471	1248.47
Add: Issue of Shares on exercise of Stock Options	1,53,48,450	1.54	2,93,98,310	2.94
As at end of the year	**12,52,94,68,231**	**1252.95**	**12,51,41,19,781**	**1251.41**

B) Shareholders holding more than 5% of the Ordinary Shares in the Company

	As at 31st March, 2026 (No. of Shares)	As at 31st March, 2026 (%)	As at 31st March, 2025 (No. of Shares)	As at 31st March, 2025 (%)
Tobacco Manufacturers (India) Limited	2,22,84,95,863	17.79	2,54,14,95,863	20.31
Life Insurance Corporation of India	1,98,32,05,253	15.83	1,94,17,50,542	15.52
Specified Undertaking of the Unit Trust of India	97,45,31,427	7.78	97,45,31,427	7.79

C) Shareholding of Promoters: Nil

D) Ordinary Shares allotted as fully paid pursuant to contract(s) without payment being received in cash or as fully paid up Bonus Shares during the period of five years immediately preceding 31st March: Nil

E) Rights, preferences and restrictions attached to the Ordinary Shares

The Ordinary Shares of the Company, having par value of ₹ 1.00 per share, rank *pari passu* in all respects including voting rights and entitlement to dividend.

F) Shares reserved for issue under Stock Options/Employee Stock Appreciation Rights (ESARs)

Refer Note 29(xiv) for details on number of Stock Options/ESARs (including terms and conditions) against which Ordinary Shares may be issued by the Company upon vesting and exercise of such Stock Options/ESARs, in accordance with the relevant Schemes.

Notes to the Standalone Financial Statements

	As at 31st March, 2026 (₹ in Crores)		As at 31st March, 2025 (₹ in Crores)	
	Current	Non-Current	Current	Non-Current
14. Lease liabilities*				
Lease liabilities	39.08	97.09	37.54	117.45
TOTAL	**39.08**	**97.09**	**37.54**	**117.45**

* Refer Note 29(vii)

Movement of Lease liabilities during the year

Particulars	31st March, 2026	31st March, 2025
Opening Lease liabilities	154.99	308.69
New leases recognised	16.61	24.29
Remeasurements and withdrawals	(1.30)	(3.87)
Interest expense on Lease liabilities	11.97	21.76
Payment of Lease liabilities (including interest)	(53.80)	(69.24)
Assumed on Business Combination [Refer Note 29(ix)]	7.70	–
Transferred pursuant to Scheme of demerger of Hotels business	–	(126.64)
Closing Lease liabilities	**136.17**	**154.99**

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
15. Other financial liabilities		
Non-current		
Others (Includes payable towards employee benefits, property, plant and equipment, intangibles, contingent consideration on business combination etc.)	352.94	87.89
TOTAL	**352.94**	**87.89**
Current		
Interest accrued	2.06	1.92
Unpaid dividend*	268.30	259.28
Unpaid matured deposits and interest accrued thereon	…	…
Unpaid matured debentures/bonds and interest accrued thereon**	0.30	0.30
Others (Includes payable towards employee benefits, property, plant and equipment, intangibles, derivatives, contingent consideration on business combination etc.)	1328.13	1129.91
TOTAL	**1598.79**	**1391.41**

* Represents dividend amounts either not claimed or kept in abeyance in accordance with Section 126 of the Companies Act, 2013 or such amounts in respect of which Prohibitory/Attachment Orders are on record with the Company.

** Represents amounts which are subject matter of a pending legal dispute with a bank for which the Company has filed a suit.

Notes to the Standalone Financial Statements

	As at 31st March, 2026 (₹ in Crores)		As at 31st March, 2025 (₹ in Crores)	
	Current	Non-Current	Current	Non-Current
16. Provisions				
Provision for employee benefits				
Retirement benefits [Refer Note 29(vi)]	296.81	180.02	42.29	148.04
Other benefits	6.62	100.03	4.24	77.20
TOTAL	**303.43**	**280.05**	**46.53**	**225.24**

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
17. Deferred tax liabilities (Net)		
Deferred tax liabilities	3718.54	3074.78
Less: Deferred tax assets	653.29	518.43
TOTAL	**3065.25**	**2556.35**

(₹ in Crores)

Movement in deferred tax liabilities/assets balances	Opening Balance	Recognised in profit or loss*	Recognised in OCI	Recognised directly in Equity	Reclassified to profit or loss	Acquired in Business Combination@	Closing Balance
2025-26							
Deferred tax liabilities/assets in relation to:							
On fiscal allowances on property, plant and equipment, investment property etc.	1501.96	66.29	–	–	–	0.28	1568.53
On Excise Duty/National Calamity Contingent Duty on closing stock	92.70	634.91	–	–	–	–	727.61
Other timing differences	1480.12	74.90	(134.31)	–	–	1.69	1422.40
Total deferred tax liabilities	**3074.78**	**776.10**	**(134.31)**	**–**	**–**	**1.97**	**3718.54**
On employees' separation and retirement etc.	93.95	77.61	1.00	–	–	1.47	174.03
On provision for doubtful debts/advances	54.12	(0.79)	–	–	–	–	53.33
On State and Central taxes etc.	78.90	15.00	–	–	–	1.01	94.91
On cash flow hedges	1.53	–	25.37	4.61	(17.62)	–	13.89
Other timing differences	289.93	25.26	–	–	–	1.94	317.13
Total deferred tax assets	**518.43**	**117.08**	**26.37**	**4.61**	**(17.62)**	**4.42**	**653.29**
Deferred tax liabilities (Net)	**2556.35**	**659.02**	**(160.68)**	**(4.61)**	**17.62**	**(2.45)**	**3065.25**

Notes to the Standalone Financial Statements

17. Deferred tax liabilities (Net) (Contd.)

(₹ in Crores)

Movement in deferred tax liabilities/assets balances	Opening Balance	Recognised in profit or loss*	Recognised in OCI	Recognised directly in Equity	Reclassified to profit or loss	Transferred pursuant to Scheme of Demerger of Hotels business	Closing Balance
2024-25							
Deferred tax liabilities/assets in relation to:							
On fiscal allowances on property, plant and equipment, investment property etc.	1843.74	97.91	–	–	–	(439.69)	1501.96
On Excise Duty/National Calamity Contingent Duty on closing stock	100.61	(7.91)	–	–	–	–	92.70
Other timing differences	682.90	893.45	(67.56)	–	(0.75)	(27.92)	1480.12
Total deferred tax liabilities	**2627.25**	**983.45**	**(67.56)**	**–**	**(0.75)**	**(467.61)**	**3074.78**
On employees' separation and retirement etc.	121.53	(16.35)	3.75	–	–	(14.98)	93.95
On provision for doubtful debts/advances	57.10	(2.12)	–	–	–	(0.86)	54.12
On State and Central taxes etc.	73.25	15.81	–	–	–	(10.16)	78.90
On cash flow hedges	(0.43)	–	4.85	(0.05)	(2.84)	–	1.53
Other timing differences	292.14	29.66	–	–	–	(31.87)	289.93
Total deferred tax assets	**543.59**	**27.00**	**8.60**	**(0.05)**	**(2.84)**	**(57.87)**	**518.43**
Deferred tax liabilities (Net)	**2083.66**	**956.45**	**(76.16)**	**0.05**	**2.09**	**(409.74)**	**2556.35**

* includes Nil (2025 - ₹ 509.65 Crores) relating to discontinued operations.

@ Refer Note 29(ix)

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
18. Borrowings (Current)		
Secured		
Loans repayable on demand		
Cash credit facilities from banks*	1.97	–
Unsecured		
Loan from Banks		
Working Capital Demand Loan	2000.00	–
Cash credit facilities	23.25	–
Deferred payment liabilities		
Sales tax deferment loans^	–	1.76
Other loans	1.00	–
TOTAL	**2026.22**	**1.76**

* Cash credit facilities are secured by hypothecation of inventories of the Company, both present and future. The quarterly returns/statements filed by the Company with the bank(s) in respect of such facilities are in agreement with the books of accounts.

^ Interest free deferral period of 14 years and fully-paid during the year.

Notes to the Standalone Financial Statements

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
19. Trade Payables (Current)		
Total outstanding dues of Micro and Small Enterprises	345.97	178.26
Total outstanding dues of creditors other than Micro and Small Enterprises	4925.93	4311.67
TOTAL	**5271.90**	**4489.93**

Trade Payables ageing schedule

(₹ in Crores)

	Not Due	Outstanding for following periods from due date of payment as at 31st March, 2026				Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Dues – Micro and Small Enterprises	201.19	–	–	–	–	**201.19**
Undisputed Dues – Others	1044.71	96.27	–	–	1.61	**1142.59**
Disputed Dues – Micro and Small Enterprises	–	–	–	–	–	**–**
Disputed Dues – Others	–	–	–	–	0.28	**0.28**
SUB-TOTAL	**1245.90**	**96.27**	**–**	**–**	**1.89**	**1344.06**
Accrued Payables (not due)						
– Micro and Small Enterprises						144.78
– Others						3783.06
TOTAL						**5271.90**

(₹ in Crores)

	Not Due	Outstanding for following periods from due date of payment as at 31st March, 2025				Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Dues – Micro and Small Enterprises	57.68	–	–	–	–	**57.68**
Undisputed Dues – Others	844.49	167.29	0.05	1.61	–	**1013.44**
Disputed Dues – Micro and Small Enterprises	–	–	–	–	–	**–**
Disputed Dues – Others	–	–	–	–	0.28	**0.28**
SUB–TOTAL	**902.17**	**167.29**	**0.05**	**1.61**	**0.28**	**1071.40**
Accrued Payables (not due)						
– Micro and Small Enterprises						120.58
– Others						3297.95
TOTAL						**4489.93**

Notes to the Standalone Financial Statements

19. Trade Payables (Current) (Contd.)

Disclosure under the Micro, Small and Medium Enterprises Development Act, 2006 ('MSMED Act, 2006')

There are no Micro and Small Enterprises to whom the Company owes dues, which are outstanding for more than 45 days during the year and also as at 31st March, 2026. This information as required to be disclosed under the MSMED Act, 2006 has been determined to the extent such parties have been identified on the basis of information available with the Company.

(₹ in Crores)

		31st March, 2026	31st March, 2025
(a)	Principal amount remaining unpaid to any supplier as at the end of the accounting year		
	– On account of trade payables	345.97	178.26
	– On account of liabilities other than trade payables	31.01	19.85
	TOTAL	**376.98**	**198.11**
(b)	Interest due thereon remaining unpaid to any supplier as at the end of the accounting year	–	–
(c)	Amount of interest paid under MSMED Act, 2006 along with the amounts of the payment made to the supplier beyond the appointed day during the accounting year	–	–
(d)	Amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year but without adding the interest specified under the MSMED Act, 2006)	–	–
(e)	Amount of interest accrued and remaining unpaid at the end of accounting year	–	–
(f)	Amount of further interest remaining due and payable even in the succeeding year, until such date when the interest dues as above are actually paid to the small enterprise	–	–

20. Other liabilities (Current)

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
Statutory Liabilities	3507.03	4746.21
Advances received from customers	1368.09	1357.09
Others (includes deferred revenue, accruals etc.)	22.72	25.82
TOTAL	**4897.84**	**6129.12**

Notes to the Standalone Financial Statements

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
21. Current Tax Liabilities (Net)		
Current taxation (net of advance payment)	1054.66	1027.78
TOTAL	**1054.66**	**1027.78**

	For the year ended 31st March, 2026 (₹ in Crores)	For the year ended 31st March, 2025 (₹ in Crores)
22A. Revenue from operations		
Sale of Products	80686.88	73291.20
Sale of Services	180.61	175.41
Gross Revenue from sale of products and services* [including Excise Duty / National Calamity Contingent Duty of ₹ 7135.82 Crores (2025 - ₹ 4944.00 Crores)]	80867.49	73466.61
Other Operating Revenues#	772.62	771.52
TOTAL	**81640.11**	**74238.13**

* Net of sales returns, damaged stocks and estimates of variable consideration such as discounts to customers.

\# Includes Government grants of ₹ 237.37 Crores (2025 - ₹ 294.82 Crores) on account of Fiscal and Export Incentives etc.

22B. Gross Revenue from sale of products and services*		
FMCG		
– Cigarettes etc.	37099.65	32631.27
– Branded Packaged Food Products	20411.13	18270.38
– Others (Education and Stationery Products, Personal Care Products, Safety Matches, Agarbattis etc.)	3792.62	3704.90
Agri Business		
– Unmanufactured Tobacco	3618.34	3547.28
– Other Agri Products and Commodities (Wheat, Rice, Spices, Coffee, Soya etc.)	8678.14	8518.36
Paperboards, Paper and Packaging		
– Paperboards and Paper	6211.89	5958.96
– Packaging and Printed Materials	714.68	667.27
Others		
– Others (ITC Grand Central Hotel, Mumbai; Fresh Food etc.)	341.04	168.19
TOTAL	**80867.49**	**73466.61**

* Net of sales returns, damaged stocks and estimates of variable consideration such as discounts to customers.

Notes to the Standalone Financial Statements

	For the year ended 31st March, 2026 (₹ in Crores)	For the year ended 31st March, 2025 (₹ in Crores)
23. Other income		
Interest income	1401.07	1413.35
Dividend income	972.16	1016.41
Other non-operating income	913.95	1025.21
TOTAL	**3287.18**	**3454.97**
Interest income:		
a) Deposits with banks etc. - carried at amortised cost	342.81	377.41
b) Financial assets measured :		
– at amortised cost	456.57	560.88
– at FVTOCI	435.20	334.62
– at FVTPL	154.32	127.53
c) Others (from statutory authorities etc.)	12.17	12.91
TOTAL	**1401.07**	**1413.35**
Dividend income:		
a) Equity instruments measured at FVTOCI held at the end of reporting period	15.16	10.31
b) Other investments	957.00	1006.10
TOTAL	**972.16**	**1016.41**
Other non-operating income:		
Net foreign exchange gain/(loss)	86.53	(0.98)
Net gain/(loss) arising on financial instruments measured at fair value through profit or loss/fair value through other comprehensive income*	606.23	864.06
Gain recognised on divestment of shares held in associate [Refer Note 29(xi)]	0.01	–
Impairment of investment in associate [Refer Note 29(xi)]	–	(11.00)
Others (including income from leases etc.)	221.18	173.13
TOTAL	**913.95**	**1025.21**

* Includes ₹ 151.99 Crores (2025 - ₹ 125.93 Crores) being net gain/(loss) on sale of investments.

Notes to the Standalone Financial Statements

	For the year ended 31st March, 2026 (₹ in Crores)	For the year ended 31st March, 2025 (₹ in Crores)
24. Changes in inventories of finished goods, Stock-in-Trade, work-in-progress and intermediates		
Opening inventories		
Finished goods (manufactured)	2363.72	2115.45
Work-in-progress	405.30	322.10
Stock-in-Trade (goods purchased for resale)	1277.45	979.40
Intermediates - Tissue paper and Paperboards	104.32	95.73
Less: Closing inventories		
Finished goods (manufactured)	4930.52	2363.72
Work-in-progress	411.26	405.30
Stock-in-Trade (goods purchased for resale)	1216.47	1277.45
Intermediates - Tissue paper and Paperboards	111.37	104.32
Add: Inventory acquired on business combination [Refer Note 29(ix)]	36.04	
Less: Inventory on account of discontinued operations	–	2.39
TOTAL	**(2482.79)**	**(640.50)**

25. Employee benefits expense		
Salaries and wages	3066.20	2874.19
Contribution to Provident and other funds	179.84	169.68
Share based payments to employees [Includes cash-settled share based payments ₹ 1.63 Crores (2025 - ₹ 8.42 Crores)]*	130.87	140.37
Staff welfare expenses	306.53	275.95
	3683.44	3460.19
Less: Recoveries made / reimbursements received	54.16	43.03
TOTAL	**3629.28**	**3417.16**

* Refer Note 29(xiv) and 29(xv)

26. Finance costs		
Interest expense:		
– On Lease liabilities	11.97	13.27
– On financial liabilities measured at amortised cost	43.14	12.91
– Others (to statutory authorities etc.)	14.83	10.17
TOTAL	**69.94**	**36.35**

Notes to the Standalone Financial Statements

	For the year ended 31st March, 2026 (₹ in Crores)	For the year ended 31st March, 2025 (₹ in Crores)
27. Other expenses		
Power and fuel	909.75	942.55
Consumption of stores and spare parts	446.31	390.49
Contract processing charges	1323.54	1208.50
Rent	299.53	273.22
Rates and taxes	142.87	168.13
Insurance	130.72	124.93
Repairs	421.10	394.62
Maintenance and upkeep	238.81	213.49
Outward freight and handling charges	1940.25	1891.87
Warehousing charges	296.27	270.30
Advertising / Sales promotion	1477.99	1319.94
Corporate Social Responsibility expense [Refer Note 29(iii)]	481.40	443.68
Commission to selling agents etc.	85.71	61.01
Doubtful and bad debts	11.70	11.79
Doubtful and bad advances, loans and deposits	(1.79)	1.87
Information technology services	354.68	351.72
Travelling and conveyance	332.97	325.52
Training and development	27.30	25.68
Legal and professional fees	282.59	225.97
(Gain) / Loss on sale of property, plant and equipment - Net	(11.74)	(108.26)
Miscellaneous expenses	1707.71	1609.46
TOTAL	**10897.67**	**10146.48**
Miscellaneous expenses include:		
(1) Auditors' remuneration and expenses*		
Audit fees	4.10	3.80
Tax audit fees	0.85	0.78
Fees for limited review	1.68	1.62
Fees for other services [1]	0.32	0.97
Reimbursement of expenses	0.28	0.26
(2) Cost Auditors' fees	0.12	0.12

* Excluding taxes.

1. (a) Auditors' remuneration excludes remuneration for services amounting to Nil (2025 - ₹ 1.90 Crores) rendered by network firm / entity which is a part of the network of which auditor is a member firm.

(b) In addition to the above, Nil (2025 - ₹ 0.15 Crore) has been paid to the Statutory Auditors in respect of certification fees relating to demerger of hotels business which has been included in discontinued operations.

Notes to the Standalone Financial Statements

	For the year ended 31st March, 2026 (₹ in Crores)	For the year ended 31st March, 2025 (₹ in Crores)
28. Income tax expenses		
A (i). Amount recognised in profit or loss relating to continuing operations		
Current tax		
Income tax for the year	5869.43	6003.26
Adjustments/(credits) related to previous years - Net	(47.27)	(13.09)
Total current tax	**5822.16**	**5990.17**
Deferred tax		
Deferred tax for the year	666.55	441.96
Adjustments/(credits) related to previous years - Net	(7.53)	4.84
Total deferred tax	**659.02**	**446.80**
TOTAL	**6481.18**	**6436.97**
(ii). Amount recognised in profit or loss relating to discontinued operations		
Current tax for the year	–	122.17
Deferred tax for the year	–	509.65
TOTAL	**–**	**631.82**
B. Amount recognised in other comprehensive income		
The tax (charge)/credit arising on income and expenses recognised in other comprehensive income is as follows:		
On items that will not be reclassified to profit or loss		
Remeasurements gains/(losses) on defined benefit plans	1.00	3.75
Equity instruments through other comprehensive income	120.07	81.65
Related to designated portion of hedging instruments in cash flow hedges	(8.44)	(0.06)
	112.63	**85.34**
On items that will be reclassified to profit or loss		
Related to designated portion of hedging instruments in cash flow hedges	16.19	2.07
Debt instruments through other comprehensive income	14.24	(13.34)
	30.43	**(11.27)**
TOTAL	**143.06**	**74.07**
C. Amount recognised directly in equity		
The income tax (charged)/credited directly to equity during the year is as follows:		
Deferred tax		
Arising on gains/(losses) of hedging instruments in cash flow hedges transferred to the initial carrying amounts of hedged items	(4.61)	0.05
TOTAL	**(4.61)**	**0.05**
D. Reconciliation of effective tax rate		
The income tax expense for the year can be reconciled to the accounting profit as follows:		
Profit before tax from continuing operations	26767.60	26530.26
Income tax expense calculated @ 25.168% (2025 - 25.168%)	6736.87	6677.14
Effect of tax relating to uncertain tax positions	38.62	41.03
Effect of different tax rate on certain items	(113.51)	(125.08)
Effect of income not taxable	(44.20)	(56.16)
Other differences	(81.80)	(91.71)
TOTAL	**6535.98**	**6445.22**
Adjustments recognised during the year in relation to the current tax of prior years	(54.80)	(8.25)
Income tax recognised in profit or loss relating to continuing operations	**6481.18**	**6436.97**
Profit before tax from discontinued operations	–	15735.58
Income tax expense calculated @ 25.168% (2025 - 25.168%)	–	3960.33
Effect of excess of fair value over carrying value of net assets distributed (non-cash), pursuant to the Scheme of Demerger of Hotels business	–	(3930.59)
Effect of addition to the value of investment in ITC Hotels Limited	–	602.79
Other differences	–	(0.71)
Income tax recognised in profit or loss relating to discontinued operations	**–**	**631.82**

The tax rate of 25.168% (22% + surcharge @10% and cess @4%) used for the years 2025-26 and 2024-25 is the corporate tax rate applicable on taxable profits under the Income-tax Act, 1961.

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements

(i) Exceptional Items of Continuing Operations for the year ended 31st March, 2026 of ₹ 183.87 Crores represents:

a) estimated one-time impact on recognition of past service cost of ₹ 271.95 Crores with respect to increase in liability of gratuity and compensated absences, primarily arising due to change in definition of wages pursuant to notifications issued by the Ministry of Labour & Employment dated 21st November, 2025 bringing into force the provisions of the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020 and the Occupational Safety, Health and Working Conditions Code, 2020 (collectively referred to as the "New Labour Codes"). The Company continues to monitor the finalisation of rules by the Central and State Governments and clarifications from the Government on other aspects of the New Labour Codes and will account for such developments as needed.

b) receipt of ₹ 88.08 Crores on final settlement of the insurance claim towards leaf tobacco stocks, which were destroyed due to fire at a third party owned warehouse in an earlier year.

Exceptional Items of Continuing Operations for the year ended 31st March, 2025 represents fair value gain of ₹ 527.96 Crores upon acquisition of 1,52,32,129 Equity Shares of ₹ 2/- each of EIH Limited and 34,60,829 Equity Shares of ₹ 2/- each of HLV Limited, from Russell Credit Limited, a wholly owned subsidiary of the Company, at their respective book value.

(ii) Earnings per share:

	For the year ended 31st March, 2026	For the year ended 31st March, 2025
Earnings per share has been computed as under:		
(a) i) Profit for the year from continuing operations (₹ in Crores)	20286.42	20093.29
ii) Profit for the year from discontinued operations (₹ in Crores)	–	15103.76
iii) Profit for the year (₹ in Crores)	20286.42	35197.05
(b) Weighted average number of Ordinary shares outstanding for the purpose of basic earnings per share	12,52,40,54,306	12,50,23,78,226
(c) Effect of potential Ordinary shares on Employee Stock Options and Stock Appreciation Rights (ESARs) outstanding	84,98,428	1,86,64,293
(d) Weighted average number of Ordinary shares in computing diluted earnings per share [(b) + (c)]	12,53,25,52,734	12,52,10,42,519
(e) Earnings per share (Face Value ₹ 1.00 per share)		
For Continuing Operations		
– Basic [(ai)/(b)]	16.20	16.07
– Diluted [(ai)/(d)]	16.19	16.05
For Discontinued Operations		
– Basic [(aii)/(b)]	–	12.08
– Diluted [(aii)/(d)]	–	12.06
For Continuing and Discontinued Operations		
– Basic [(aiii)/(b)]	16.20	28.15
– Diluted [(aiii)/(d)]	16.19	28.11

(iii) Amount required to be spent by the Company during the year as per Section 135 read with Section 198 of the Companies Act, 2013 - ₹ 499.92 Crores (2025 - ₹ 460.70 Crores) being 2% of the average Net Profits of the Company.

Expenditure incurred during the year is ₹ 500.00 Crores (2025 - ₹ 461.50 Crores) comprising employee benefits expense of ₹ 18.60 Crores (2025 - ₹ 17.82 Crores) and other expenses of ₹ 481.40 Crores (2025 - ₹ 443.68 Crores), of which ₹ 59.85 Crores (2025 - ₹ 49.42 Crores) is accrued for payment as on 31st March, 2026. Such CSR expenditure does not include any spends on construction/acquisition of assets. Amount available for set off in succeeding financial years is ₹ 1.46 Crores (2025 - ₹ 1.97 Crores).

29. Additional Notes to the Financial Statements (Contd.)

Such CSR expenditure of ₹ 500.00 Crores (2025 - ₹ 461.50 Crores) excludes ₹ 8.44 Crores (2025 - ₹ 6.98 Crores) being the excess of expenditure of salaries of CSR personnel and administrative expenses over the limit of 5% of total CSR expenditure laid down under Rule 7(1) of the Companies (Corporate Social Responsibility Policy) Rules, 2014 for such expenses.

CSR activities undertaken during the year pertain to: poverty alleviation; promoting education and skill development; promoting healthcare including preventive healthcare; providing sanitation and drinking water; ensuring environmental sustainability; promoting gender equality and women empowerment; enabling climate resilience; rural development projects; creating livelihoods for people (especially those from disadvantaged sections of society); protection of national heritage, art and culture; preserving and promoting music; promoting sports; conducting research in science, technology, engineering and medicine aimed at promoting Sustainable Development Goals (SDGs) and providing relief and assistance to victims of disasters and calamities.

(iv) Research and Development expenses for the year amount to ₹ 194.50 Crores (2025 - ₹ 187.68 Crores).

(v) Contingent liabilities and commitments:

(a) Contingent liabilities

Claims against the Company not acknowledged as debts ₹ 1008.67 Crores (2025 - ₹ 917.25 Crores), including interest on claims, where applicable, estimated to be ₹ 316.00 Crores (2025 - ₹ 299.13 Crores). These comprise:

- Excise duty, VAT/sales taxes, GST and other indirect taxes claims disputed by the Company relating to issues of applicability and classification aggregating ₹ 647.83 Crores (2025 - ₹ 627.25 Crores), including interest on claims, where applicable, estimated to be ₹ 279.81 Crores (2025 - ₹ 267.29 Crores).
- Local Authority taxes/cess/royalty on property, utilities etc. claims disputed by the Company relating to issues of applicability and determination aggregating ₹ 306.89 Crores (2025 - ₹ 237.21 Crores), including interest on claims, where applicable, estimated to be ₹ 24.15 Crores (2025 - ₹ 20.22 Crores).
- Third party claims arising from disputes relating to contracts aggregating ₹ 40.50 Crores (2025 - ₹ 39.40 Crores), including interest on claims, where applicable, estimated to be ₹ 0.58 Crore (2025 - ₹ 0.46 Crore).
- Other matters ₹ 13.45 Crores (2025 - ₹ 13.39 Crores), including interest on other matters, where applicable, estimated to be ₹ 11.46 Crores (2025 - ₹ 11.16 Crores).

It is not practicable for the Company to estimate the closure of these issues and the consequential timings of cash flows, if any, in respect of the above.

(b) Commitments

- Estimated amount of contracts remaining to be executed on capital accounts and not provided for ₹ 1480.38 Crores (2025 - ₹ 912.50 Crores).
- Uncalled liability on partly paid-up shares and other investments is ₹ 51.57 Crores (2025 - ₹ 50.50 Crores).
- The Company on 19th April, 2023, executed transaction documents for acquisition of 100% of the share capital (on a fully diluted basis) of Sproutlife Foods Private Limited ('Sproutlife') over a time period of about three to four years. The Company held 47.50% of the share capital (on a fully diluted basis) of Sproutlife as on 31st March, 2026 (Refer Note 4). The consideration for acquisition of the balance stake of 52.50% will be determined based on pre-agreed valuation criteria and fulfilment of applicable terms and conditions. Further, the Company on 1st April, 2026 acquired the right to nominate majority of the Directors on the Board of Sproutlife. Consequently, Sproutlife has become a subsidiary of the Company with effect from the said date.
- The Company on 6th February, 2025, executed transaction documents for acquisition of 100% of the share capital of Ample Foods Private Limited ('Ample Foods') over a time period of about three years. Consequently, the Company acquired 43.75% stake in Ample Foods on 4th April, 2025 for a consideration of ₹ 131.25 Crores (Refer Note 4). The Company's stake in Ample Foods will increase to 62.50% by April, 2027 through secondary purchase of ₹ 56.00 Crores. The consideration for acquisition of balance stake of 37.50% will be determined based on pre-agreed valuation criteria and fulfilment of applicable terms and conditions.
- The Company on 31st March, 2025, entered into a Business Transfer Agreement (BTA) with Aditya Birla Real Estate Limited for acquisition of the Undertaking pertaining to manufacture, distribution and sale of pulp and paper products

29. Additional Notes to the Financial Statements (Contd.)

operated under the name of 'Century Pulp and Paper', as a going concern on a slump sale basis for a lumpsum consideration of up to ₹ 3500.00 Crores on a cash-free debt-free basis, subject to adjustments in accordance with the terms and conditions set out in the BTA. The transaction will be consummated upon fulfilment of the conditions precedent as laid down in the BTA.

- The Company on 17th April, 2025, executed Transaction Documents i.e., Share Subscription and Share Purchase Agreement and Shareholders' Agreement, to acquire the balance 73.50% of the share capital (on a fully diluted basis) of Mother Sparsh Baby Care Private Limited ('Mother Sparsh'), an associate company, in one or more tranches over a time period of about two to three years, based on pre-agreed valuation criteria and fulfilment of applicable terms and conditions. Prior to this, the Company held 26.50% of the share capital (on a fully diluted basis) of Mother Sparsh.

  The Company on 21st May, 2025, acquired 594 Equity Shares and 2,201 Compulsorily Convertible Preference Shares in Mother Sparsh for a consideration of ₹ 50.58 Crores. Consequently, the Company held 39.47% of the share capital (on a fully diluted basis) of Mother Sparsh as at 31st March, 2026 (Refer Note 4).

(vi) **Employee Benefit Plans**

Description of Plans

The Company makes contributions to both Defined Benefit and Defined Contribution Plans for qualifying employees. These Plans are administered through approved Trusts, which operate in accordance with the Trust Deeds, Rules and applicable Statutes. The concerned Trusts are managed by Trustees who provide strategic guidance with regard to the management of their investments and liabilities and also periodically review their performance. In respect of other employees, contribution towards provident fund are deposited with the Government administered funds.

Provident Fund, Pension and Gratuity Benefits are funded and Leave Encashment Benefits are unfunded in nature. The Defined Benefit Pension Plans are based on employees' pensionable remuneration and length of service. Under the Provident Fund, Gratuity and Leave Encashment Schemes, employees are entitled to receive lump sum benefits.

(a) Defined Benefit Plans:

The liabilities arising in the Defined Benefit Schemes are determined in accordance with the advice of independent, professionally qualified actuaries, using the projected unit credit method. The Company makes regular contributions to these Defined Benefit Plans. Additional contributions are made to these Plans as and when required based on actuarial valuation. Some Group companies also participate in these Plans. These participating Group companies make contributions to the Plans for their respective employees on a uniform basis and each entity ascertains their obligation through actuarial valuation. The net Defined benefit cost is recognised by these companies in their respective Financial Statements.

Risk Management

The Defined Benefit Plans expose the Company to risk of actuarial deficit arising out of investment risk, interest rate risk and salary cost inflation risk.

Investment Risk: This may arise from volatility in asset values due to market fluctuations and impairment of assets due to credit losses. These Plans primarily invest in debt instruments such as Government securities and highly rated corporate bonds, the valuation of which is inversely proportional to the interest rate movements, and also in insurer managed funds, the investments in which are also subject to equity market risk.

Interest Rate Risk: The present value of Defined Benefit Plan liability is determined using the discount rate based on the market yields prevailing at the end of reporting period on Government securities. A decrease in yields will increase the fund liabilities and vice-versa.

Salary Cost Inflation Risk: The present value of the Defined Benefit Plan liability is calculated with reference to the future salaries of participants under the Plan. Increase in salary might lead to higher liabilities.

These Plans have a relatively balanced mix of investments in order to manage the above risks. The investment strategy is designed based on the interest rate scenario, liquidity needs of the Plans and pattern of investment as prescribed under various Statutes.

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

The Trustees regularly monitor the funding and investments of these Plans. Risk mitigation systems are in place to ensure that the health of the portfolio is regularly reviewed and investments do not pose any significant risk of impairment. Periodic audits are conducted to ensure adequacy of internal controls. Pension obligation of the employees is secured by purchasing annuities thereby de-risking the Plans from future payment obligation.

			For the year ended 31st March, 2026 (₹ in Crores)			For the year ended 31st March, 2025 (₹ in Crores)		
			Pension	Gratuity	Leave Encashment	Pension	Gratuity	Leave Encashment
			Funded		Unfunded	Funded		Unfunded
I	**Components of Employer Expense**							
	–	**Recognised in the Statement of Profit and Loss**						
	1	Current Service Cost	28.98	34.19	13.43	33.54	34.56	13.50
	2	Past Service Cost	–	221.21	27.99	–	–	–
	3	Net Interest Cost	(0.91)	3.71	10.38	(4.09)	(1.45)	11.09
	4	**Total expense recognised in the Statement of Profit and Loss**	**28.07**	**259.11**	**51.80**	**29.45**	**33.11**	**24.59**
	–	**Remeasurements recognised in Other Comprehensive Income**						
	5	Return on plan assets (excluding amounts included in Net interest cost)	18.52	0.70	–	(9.03)	(3.10)	–
	6	Effect of changes in demographic assumptions	–	0.32	–	–	–	–
	7	Effect of changes in financial assumptions	–	0.04	–	9.38	8.94	3.00
	8	Changes in asset ceiling (excluding interest income)	–	–	–	–	–	–
	9	Effect of experience adjustments	4.24	0.94	1.94	12.18	6.11	(0.07)
	10	**Total remeasurements included in Other Comprehensive Income**	**22.76**	**2.00**	**1.94**	**12.53**	**11.95**	**2.93**
	11	**Total defined benefit cost recognised in the Statement of Profit and Loss and Other Comprehensive Income (4+10)**	**50.83**	**261.11**	**53.74**	**41.98**	**45.06**	**27.52**

The current service cost and net interest cost for the year, as applicable, pertaining to Pension and Gratuity expenses have been recognised in "Contribution to Provident and other funds" and Leave Encashment in "Salaries and wages" under Note 25. The past service cost representing one-time impact of New Labour Codes has been recognised in "Exceptional Items" [Refer Note 29(i)]. The remeasurements of the net defined benefit liability are included in Other Comprehensive Income.

(₹ in Crores)

			Pension	Gratuity	Leave Encashment	Pension	Gratuity	Leave Encashment
II	**Actual Returns**		33.37	30.10	–	70.50	36.16	–
III	**Net Asset/(Liability) recognised in Balance Sheet**							
	1	Present Value of Defined Benefit Obligation	794.35	709.23	198.61	799.61	452.71	162.73
	2	Fair Value of Plan Assets	750.42	474.94	–	786.95	437.77	–
	3	Status [Surplus/(Deficit)]	(43.93)	(234.29)	(198.61)	(12.66)	(14.94)	(162.73)
	4	Restrictions on Asset Recognised	–	–	–	–	–	–

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

(₹ in Crores)

	5	Net Asset/(Liability) recognised in Balance Sheet	As at 31st March, 2026		As at 31st March, 2025	
			Current	Non-current	Current	Non-current
		– Pension	(43.93)	–	(12.66)	–
		– Gratuity	(234.29)	–	(14.94)	–
		– Leave Encashment	(18.59)	(180.02)	(14.69)	(148.04)

			For the year ended 31st March, 2026 (₹ in Crores)			For the year ended 31st March, 2025 (₹ in Crores)		
			Pension	Gratuity	Leave Encashment	Pension	Gratuity	Leave Encashment
IV		Change in Defined Benefit Obligation (DBO)						
	1	Present Value of DBO at the beginning of the year	799.61	452.71	162.73	898.65	496.77	171.48
	2	Current Service Cost	28.98	34.19	13.43	33.54	34.56	13.50
	3	Past Service Cost	–	221.21	27.99	–	–	–
	4	Interest Cost	50.98	34.51	10.38	57.38	31.61	11.09
	5	Remeasurement gains/(losses)						
	a.	Effect of changes in demographic assumptions	–	0.32	–	–	–	–
	b.	Effect of changes in financial assumptions	–	0.04	–	9.38	8.94	3.00
	c.	Changes in asset ceiling (excluding interest income)	–	–	–	–	–	–
	d.	Effect of experience adjustments	4.24	0.94	1.94	12.18	6.11	(0.07)
	6	Curtailment Cost/(Credits)	–	–	–	–	–	–
	7	Settlement Cost/(Credits)	–	–	–	–	–	–
	8	Liabilities assumed on Business Combination [Refer Note 29(ix)]	–	3.79	–	–	–	–
	9	Liabilities transferred pursuant to Scheme of Demerger of Hotels business	–	–	–	(106.95)	(70.26)	(20.47)
	10	Effects of transfer In/(Out)	(0.56)	(0.29)	(0.06)	(0.02)	–	–
	11	Benefits Paid	(88.90)	(38.19)*	(17.80)	(104.55)	(55.02)	(15.80)
	12	**Present Value of DBO at the end of the year**	**794.35**	**709.23**	**198.61**	**799.61**	**452.71**	**162.73**

*includes Benefits Paid by the Company of ₹ 1.17 Crores.

(₹ in Crores)

V	Best Estimate of Employers' Expected Contribution for the next year	As at 31st March, 2026	As at 31st March, 2025
	– Pension	90.08	56.91
	– Gratuity	273.99	71.98

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

			For the year ended 31st March, 2026 (₹ in Crores)			For the year ended 31st March, 2025 (₹ in Crores)		
			Pension	Gratuity	Leave Encashment	Pension	Gratuity	Leave Encashment
VI	Change in Fair Value of Assets							
	1	Plan Assets at the beginning of the year	786.95	437.77	–	919.95	458.76	–
	2	Interest Income	51.89	30.80	–	61.47	33.06	–
	3	Remeasurement Gains/(Losses) on plan assets	(18.52)	(0.70)	–	9.03	3.10	–
	4	Actual Company Contributions	19.56	44.38	–	22.10	67.42	–
	5	Assets transferred pursuant to Scheme of Demerger of Hotels business	–	–	–	(121.03)	(69.55)	–
	6	Effects of transfer In/(Out)	(0.56)	(0.29)	–	(0.02)	–	–
	7	Benefits Paid	(88.90)	(37.02)	–	(104.55)	(55.02)	–
	8	**Plan Assets at the end of the year**	**750.42**	**474.94**	**–**	**786.95**	**437.77**	–

VII	Actuarial Assumptions	As at 31st March, 2026	As at 31st March, 2025
		Discount Rate (%)	Discount Rate (%)
	1 Pension	6.75	6.75
	2 Gratuity	6.75	6.75
	3 Leave Encashment	6.75	6.75

The estimates of future salary increases, generally between 4% to 6%, considered in actuarial valuations take account of inflation, seniority, promotion and other relevant factors such as supply and demand factors in the employment market.

VIII	Major Category of Plan Assets as a % of the Total Plan Assets	As at 31st March, 2026	As at 31st March, 2025
	1 Government Securities/Special Deposit with RBI	12.04%	14.33%
	2 High Quality Corporate Bonds	11.22%	11.58%
	3 Insurer Managed Funds*	65.19%	61.88%
	4 Mutual Funds	7.45%	7.74%
	5 Cash and Cash Equivalents	4.10%	4.47%
	6 Term Deposits	–	–

* In the absence of detailed information regarding plan assets which is funded with Insurance Companies, the composition of each major category of plan assets, the percentage or amount for each category to the fair value of plan assets has not been disclosed.

The fair value of Government securities, corporate bonds and mutual funds are determined based on quoted market prices in active markets. The employee benefit plans do not hold any securities issued by the Company.

29. Additional Notes to the Financial Statements (Contd.)

IX Basis used to determine the Expected Rate of Return on Plan Assets

The expected rate of return on plan assets is based on the current portfolio of assets, investment strategy and market scenario. In order to protect the capital and optimize returns within acceptable risk parameters, the plan assets are well diversified.

		For the year ended 31st March, 2026 (₹ in Crores)			For the year ended 31st March, 2025 (₹ in Crores)		
		Pension	Gratuity	Leave Encashment	Pension	Gratuity	Leave Encashment
X	**Net Asset/(Liability) recognised in Balance Sheet (including experience adjustment impact)**						
1	Present Value of Defined Benefit Obligation	794.35	709.23	198.61	799.61	452.71	162.73
2	Fair Value of Plan Assets	750.42	474.94	–	786.95	437.77	–
3	Status [Surplus/(Deficit)]	(43.93)	(234.29)	(198.61)	(12.66)	(14.94)	(162.73)
4	Experience Adjustment of Plan Assets [Gain/(Loss)]	(18.52)	(0.70)	–	9.03	3.10	–
5	Experience Adjustment of obligation [(Gain)/Loss]	4.24	0.94	1.94	12.18	6.11	(0.07)

XI. Sensitivity Analysis

The Sensitivity Analysis below has been determined based on reasonably possible change of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant. These sensitivities show the hypothetical impact of a change in each of the listed assumptions in isolation. While each of these sensitivities holds all other assumptions constant, in practice such assumptions rarely change in isolation and the asset value changes may partially offset this impact. For presenting the sensitivities, the present value of the Defined Benefit Obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the Defined Benefit Obligation presented above. There was no change in the methods and assumptions used in the preparation of the Sensitivity Analysis from previous year.

(₹ in Crores)

		DBO as at 31st March, 2026	DBO as at 31st March, 2025
1	Discount Rate + 100 basis points	1599.25	1333.62
2	Discount Rate - 100 basis points	1819.46	1500.30
3	Salary Increase Rate + 1%	1803.50	1501.98
4	Salary Increase Rate – 1%	1610.19	1336.49

(₹ in Crores)

	Maturity Analysis of the Benefit Payments	As at 31st March, 2026	As at 31st March, 2025
1	Year 1	237.61	211.40
2	Year 2	226.01	210.80
3	Year 3	177.71	138.61
4	Year 4	171.22	112.82
5	Year 5	128.53	143.09
6	Next 5 Years	585.96	473.50

29. Additional Notes to the Financial Statements (Contd.)

(b) Amounts towards Defined Contribution Plans have been recognised under "Contribution to Provident and other funds" in Note 25: ₹ 113.87 Crores [2025 - ₹ 136.41 Crores (including amounts recognised in discontinued operations)].

(vii) Leases:

As a Lessee

The Company's significant leasing arrangements are in respect of land, buildings (comprising licensed properties, residential premises, office premises, stores, warehouses etc.) and plant & equipment. These arrangements generally range between 2 years and 10 years, except for certain land and building leases where the lease term ranges up to 99 years. The lease arrangements have extension/termination options exercisable by either parties which may make the assessment of lease term uncertain. While determining the lease term, all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option are considered.

The amount of ROU Assets and Lease Liabilities recognised in the Balance Sheet are disclosed in Note 3G and Note 14 respectively. The total cash outflow for leases for the year is ₹ 411.46 Crores (2025 - ₹ 429.30 Crores) [including payments of ₹ 357.66 Crores (2025 - ₹ 355.34 Crores) in respect of short-term/low-value leases and variable lease payments of Nil (2025 - ₹ 4.72 Crores)].

The sensitivity of variable lease payments and effect of extension/termination options not included in measurement of lease liabilities is not material.

The undiscounted maturities of lease liabilities over the remaining lease term are as follows:

(₹ in Crores)

Term	As at 31st March, 2026	As at 31st March, 2025
Not later than three years	95.85	112.04
Later than three years and not later than ten years	52.61	65.85
Later than ten years and not later than twenty-five years	29.79	34.30
Later than twenty-five years and not later than fifty years	14.44	17.02
Later than fifty years	21.23	19.24

As a Lessor

The Company has leased out its investment properties etc. under operating lease for periods ranging upto 30 years. Lease payments are structured with periodic escalations consistent with the prevailing market conditions. There are no variable lease payments. The details of income from such leases are disclosed under Note 3C and Note 23. The Company does not have any risk relating to recovery of residual value of investment property at the end of leases considering the business requirements and other alternatives.

The undiscounted minimum lease payments to be received over the remaining non-cancellable term on an annual basis are as follows:

(₹ in Crores)

Term	As at 31st March, 2026	As at 31st March, 2025
1st year	46.04	49.43
2nd year	31.90	38.84
3rd year	4.73	24.43
4th year	0.94	0.91
5th year	1.01	0.94
Beyond 5 years	24.99	26.00

(viii) Under the terms of the Joint Venture Agreement (JVA), Logix Developers Private Limited ('LDPL') (CIN: U70101DL2010PTC207640) was to develop a luxury hotel-cum-service apartment complex. However, Logix Estates Private Limited, Noida, the JV partner communicated its intention to explore alternative development plans to which the Company reiterated that it was committed only to the project as envisaged in the JVA. The JV partner refused to progress the project and instead expressed its intent to exit the JV by selling its stake to the Company and subsequently proposed that both parties should find a third party to sell the entire shareholding in LDPL. The resultant deadlock has stalled the project. The Company's petition that the affairs of the JV are being conducted in a manner that is prejudicial to the interest of the Company and the JV entity, as also a petition for winding up of LDPL filed by Logix Estates, are currently before the Hon'ble National Company Law Tribunal, Delhi Bench.

New Okhla Industrial Development Authority (NOIDA), vide letter dated 6th July, 2022, cancelled the sub-lease for the land on which the project was to be constructed on account of non-payment of lease installments and non-fulfilment of the conditions of the sub-lease, including forfeiture of the amount deposited. Upon cancellation of the sub-lease, LDPL is evaluating all options to pursue its rights.

The financial statements of LDPL for the year ended 31st March, 2026 are yet to be approved by its Board of Directors.

29. Additional Notes to the Financial Statements (Contd.)

(ix) The Company on 13th June, 2025, acquired, in an all-cash deal, 100% of the equity share capital of Sresta Natural Bioproducts Private Limited ('Sresta'), an Indian company primarily engaged in the business of manufacturing and selling of organic food products (staples, spices, processed foods etc.) under the brand name '24 Mantra Organic'. This acquisition is expected to fortify ITC's presence and market standing in the high growth organic products segment in both Indian and overseas markets.

Subsequently, the Board of Directors of the Company at the meeting held on 1st August, 2025 approved the Scheme of Amalgamation of Sresta and Wimco Limited ('Wimco'), wholly owned subsidiaries, with the Company under Sections 230 and 232 of the Companies Act, 2013 ('the Scheme'). The Hon'ble National Company Law Tribunal ('NCLT'), Kolkata Bench vide Order dated 20th March, 2026 and NCLT, Hyderabad Bench, vide Order dated 16th April, 2026 have approved the said amalgamation and certified copies of the Orders have been filed with the Registrar of Companies, West Bengal and Telangana, respectively, on 7th May, 2026. Since all the requisite formalities have been completed, the aforesaid amalgamation has been given effect to in these Financial Statements from the respective Appointed Dates i.e. 1st April, 2025 for Wimco and 13th June, 2025 for Sresta. Accordingly, the two subsidiaries of Sresta viz., Sresta Global FZE, UAE and Fyve Elements LLC, USA, have become direct wholly owned subsidiaries of the Company.

a) The amalgamation of Sresta has been accounted for using the acquisition method prescribed under Ind AS 103 – Business Combinations, and accordingly, the identifiable assets (both tangible and intangible) acquired and liabilities assumed have been recorded at their provisional acquisition date fair values as determined by an independent valuer. Excess of purchase consideration over the fair value of identified assets acquired and liabilities assumed has been recognized as Goodwill.

The fair value of total purchase consideration (including contingent consideration of ₹ 9.33 Crores) is ₹ 328.13 Crores. The fair values of identifiable assets acquired and liabilities assumed on acquisition are as follows:

Particulars	Amount (₹ in Crores)
Property, Plant and Equipment	15.75
Other intangible assets	213.00
Right-of-use assets	6.71
Investments in subsidiaries	94.98
Trade receivables	45.36
Other assets (net)	8.65
Borrowings (including cash credit facilities)	(86.69)
Sub Total	**297.76**
Goodwill #	30.37
Total	**328.13**

Goodwill is attributed to the potential of growing the business internationally, assembled workforce, expected operating synergies etc. Goodwill has not been considered as a depreciable asset for income tax purpose.

As part of the acquisition, contingent consideration of an amount not exceeding ₹ 11.50 Crores (undiscounted value) is payable to the erstwhile promoters of Sresta after 2 years on the business achieving mutually agreed financial milestones. The fair value of contingent consideration as on 31st March, 2026 is ₹ 10.20 Crores.

b) The amalgamation of Wimco has been accounted for using the Pooling of Interests Method, being a business combination under common control as defined in Appendix C to Ind AS 103 – Business Combinations. The assets and liabilities of Wimco have been recognised at carrying values as appearing in the Consolidated Financial Statements of the Company. Consequently, the investment held by the Company in Wimco amounting to ₹ 8.50 Crores stands cancelled. Further, comparative information in these Financial Statements have been restated as if the combination had occurred from the beginning of the previous period.

(x) Discontinued Operations represents operations of the Hotels Business of the Company (excluding ITC Grand Central, Mumbai) which was demerged pursuant to the Scheme of Arrangement amongst the Company and ITC Hotels Limited and their respective shareholders and creditors under Sections 230 to 232 read with the other applicable provisions of the Companies Act, 2013 w.e.f 1st January, 2025, being the Appointed Date and the Effective Date.

The exceptional items of discontinued operations for the year ended 31st March, 2025 represent the excess of fair value of the net assets distributed to the shareholders of the Company over its carrying value amounting to ₹ 15163.06 Crores (net of demerger related expenses).

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

(xi) During the year, the Company divested its entire shareholding of 7,759 Compulsorily Convertible Cumulative Preference Shares of ₹ 10/- each and 2,386 Equity Shares of ₹ 10/- each held in Delectable Technologies Private Limited ('DTPL'), consequent to which DTPL ceased to be an associate company.

(xii) Prag Agro Farm Limited has ceased to be a wholly owned subsidiary of the Company with effect from 10th December, 2025, consequent to its voluntary liquidation by the Hon'ble National Company Law Tribunal, Mumbai Bench. Further, Pavan Poplar Limited has filed for voluntary liquidation and the same is pending with the said Tribunal.

(xiii) During the year, the Ministry of Corporate Affairs (MCA) notified the Companies (Indian Accounting Standards) Amendment Rules, 2025 and the Companies (Indian Accounting Standards) Second Amendment Rules, 2025, effective from 1 April 2025, amending Ind AS 21, Ind AS 1, Ind AS 7, Ind AS 107 and Ind AS 12. These amendments primarily relate to guidance on exchangeability of currencies, classification of liabilities as current or non-current, disclosure of supplier finance arrangements and a temporary exception for deferred taxes arising from the OECD BEPS Pillar Two model rules. These amendments do not have a material impact on the standalone financial statements.

(xiv) Employee Stock Option Schemes and Employee Stock Appreciation Rights Scheme

A. Information in respect of Equity Settled Stock Options/Stock Appreciation Rights (ESARs) granted under the Company's Employee Stock Option Schemes/Employee Stock Appreciation Rights Scheme ('Schemes'):

Sl. No.	Particulars		ITC Employee Stock Option Scheme - 2006	ITC Employee Stock Option Scheme - 2010	ITC Employee Stock Appreciation Rights Scheme 2025
1.	Date of Shareholders' approval	:	22-01-2007	23-07-2010	10-04-2025
2.	Total number of Options/ ESARs approved under the Schemes *(Adjusted for Bonus Shares issued in terms of Shareholders' approval)*	:	Options equivalent to 37,89,18,503 Ordinary Shares of ₹ 1/- each	Options equivalent to 55,60,44,823 Ordinary Shares of ₹ 1/- each	ESARs resulting in issue of Ordinary Shares of ₹ 1/- each not exceeding 25,02,34,207
3.	Vesting Schedule	:	The vesting period for conversion of Options/ESARs is as follows: • On completion of 12 months from the date of grant: 30% vests • On completion of 24 months from the date of grant: 30% vests • On completion of 36 months from the date of grant: 40% vests		
4.	Pricing Formula	:	The Pricing Formula, as approved by the Shareholders of the Company, is such price, as determined by the Nomination & Compensation Committee, which is not lower than the closing price of the Company's Share on National Stock Exchange of India Limited ('the NSE') on the date of grant, or the average price of the Company's Share in the six months preceding the date of grant based on the daily closing price on the NSE, or the 'market price' as defined from time to time under the Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 (SEBI SBEB Regulations). The Options/ESARs have been granted at 'market price' as defined under the SEBI SBEB Regulations.		
5.	Maximum term of Options/ESARs granted	:	Five years - the exercise period commences from the date of vesting of the Options/ESARs granted and expires at the end of five years from the date of vesting.		
6.	Source of Shares	:	Primary		
7.	Variation in terms of Options/ESARs	:	None		

29. Additional Notes to the Financial Statements (Contd.)

Sl. No.	Particulars		ITC Employee Stock Option Scheme - 2006	ITC Employee Stock Option Scheme - 2010	ITC Employee Stock Appreciation Rights Scheme 2025
8.	Method used for accounting of share-based payment plans and effect of employee share-based plans on the entity's profit or loss for the period and on its financial position	:	The employee compensation cost has been calculated using the fair value method of accounting for Options/ESARs issued under the Company's Schemes. The employee compensation cost as per fair value method for the financial year 2025-26 is ₹ 124.10 Crores (2025 - ₹ 130.00 Crores) [Refer Note 25]; for the group entities, such compensation cost is ₹ 11.23 Crores (2025 - ₹ 7.27 Crores).		
9.	Nature and extent of employee share-based payment plans that existed during the period including the general terms and conditions of each plan, method of settlement (whether in cash or equity) and choice of settlement (with the company or the employee or combination)	:	In addition to the terms and conditions provided in the table under Serial Nos. (3) to (5) hereinbefore, each Option entitles the holder thereof to apply for and be allotted ten Ordinary Shares of the Company of ₹ 1/- each upon payment of the exercise price during the exercise period.		In addition to the terms and conditions provided in the table under Serial Nos. (3) to (5) hereinbefore, each ESAR Grantee is entitled to apply for and be allotted, upon payment of ₹ 1/- per Share, Ordinary Shares equivalent to appreciation for the total number of ESARs exercised, computed in the manner specified in the ITC Employee Stock Appreciation Rights Scheme 2025.
10.	Weighted average exercise prices and weighted average fair values of Options/ESARs whose exercise price either equals or exceeds or is less than the market price of the stock	:	Weighted average exercise price per Option : ₹ 4179.00 Weighted average fair value per Option : ₹ 801.63 The above Options have been granted at 'market price' as mentioned in Serial No. (4) hereinbefore.		Weighted average ESAR price per ESAR : ₹ 4179.00 Weighted average fair value per ESAR : ₹ 801.63 The above ESARs have been granted at 'market price' as mentioned in Serial No. (4) hereinbefore.
11.	Option/ESAR movements during the year	:			
	a) Outstanding at the beginning of the year	:	1,30,572	73,04,397	–
	b) Granted during the year	:	–	12,19,630	4,18,560
	c) Cancelled and lapsed during the year	:	320	96,961	1,800
	d) Vested and exercisable during the year	:	3,400	13,98,590	–
	e) Exercised during the year	:	39,082	14,95,763	–
	f) Number of Ordinary Shares of ₹ 1/- each arising as a result of exercise of Options/ESARs during the year	:	3,90,820	1,49,57,630	–
	g) Outstanding at the end of the year (a+b-c-e)	:	91,170	69,31,303	4,16,760
	h) Exercisable at the end of the year	:	91,170	41,34,908	–
	i) Money realised by exercise of the Options/ESARs during the year (₹ in Crores)	:	8.82	396.03	–

Notes to the Standalone Financial Statements

29. Additional Notes to the Financial Statements (Contd.)

12. Summary of the status of Options/ESARs:

Particulars		As at 31st March, 2026		As at 31st March, 2025	
		No. of Options and ESARs	Weighted Average Exercise Prices/ ESAR Price (₹)	No. of Options	Weighted Average Exercise Prices (₹)
Outstanding at the beginning of the year	:	74,34,969	3325.29	89,94,612	3040.61
Add: Granted during the year	:	16,38,190	4179.00	14,80,700	4835.02
Less: Lapsed during the year	:	99,081	4079.56	1,00,512	3621.31
Less: Exercised during the year	:	15,34,845	2637.70	29,39,831	2712.16
Outstanding at the end of the year	:	74,39,233	3645.10	74,34,969	3325.29
Exercisable at the end of the year	:	42,26,078	3129.77	43,99,319	2686.93

13. Weighted average share price of Shares arising upon exercise of Options/ESARs : The weighted average share price of Shares, arising upon exercise of Options/ESARs during the year ended 31st March, 2026 was ₹ 410.36 (2025 - ₹ 467.68). This was based on the closing market price on NSE on the date of exercise of Options/ESARs (i.e. the date of allotment of shares by the Securityholders Relationship Committee).

14. Summary of Options/ESARs outstanding, scheme-wise:

Particulars		As at 31st March, 2026			As at 31st March, 2025		
		No. of Options/ ESARs Outstanding	Range of Exercise Prices/ ESAR Price (₹)	Weighted average remaining contractual life	No. of Options Outstanding	Range of Exercise Prices (₹)	Weighted average remaining contractual life
ITC Employee Stock Option Scheme - 2006	:	91,170	1606.33 - 3276.52	2.29	1,30,572	1606.33 - 3276.52	2.78
ITC Employee Stock Option Scheme - 2010	:	69,31,303	1606.33 - 4575.39	4.46	73,04,397	1606.33 - 4575.39	4.17
ITC Employee Stock Appreciation Rights Scheme 2025	:	4,16,760	4179.00	6.69	–	–	–

15. A description of the method used during the year to estimate the fair values of Options/ESARs, the weighted average exercise prices and weighted average fair values of Options/ESARs granted : The fair value of each Option is estimated using the Black Scholes Option Pricing model.

Weighted average exercise price per Option : ₹ 4179.00

Weighted average fair value per Option : ₹ 801.63

The fair value of each ESAR is estimated using the Black Scholes Option Pricing model.

Weighted average ESAR price per ESAR : ₹ 4179.00

Weighted average fair value per ESAR : ₹ 801.63

The significant assumptions used to ascertain the above : The fair value of each Option/ESAR is estimated using the Black Scholes Option Pricing model after applying the following key assumptions on a weighted average basis:

(i) Risk-free interest rate	6.13%
(ii) Expected life	4.60 years
(iii) Expected volatility	20.09%
(iv) Expected dividends	3.43%
(v) The price of the underlying shares in market at the time of grant	₹ 4179.00

29. Additional Notes to the Financial Statements (Contd.)

16.	Methodology for determination of expected volatility	:	The volatility used in the Black Scholes Option Pricing model is the annualised standard deviation of the continuously compounded rates of return on the stock over a period of time. The period considered for the working is commensurate with the expected life of the Options/ESARs and is based on the daily volatility of the Company's stock price on NSE. There are no market conditions attached to the grant and vest.
17.	Options/ESARs granted to	:	As provided below:

(a) Directors and Senior managerial personnel

	Name	Designation	No. of Options granted during the financial year 2025-26	No. of ESARs granted during the financial year 2025-26
1	S. Puri	Chairman & Managing Director	1,01,000	33,500
2	S. Dutta	Executive Director & Chief Financial Officer	50,500	16,750
3	H. Malik	Executive Director	50,500	16,750
4	B. Sumant	Executive Director	50,500	16,750
5	S. Kaul	Group Head - ITD, MAB, Start-up Ventures, LSTC & Quality	14,000	4,750
6	A. K. Rajput	President - Corporate Affairs	14,000	4,750
7	S. Sivakumar	Group Head - Agri Business, IT, Sustainability, CSR & EHS	14,000	4,750
8	R. K. Singhi	Executive Vice President & Company Secretary	9,800	3,250

The aforesaid Options/ESARs were granted at the exercise price/ESAR Price of ₹ 4179.00 per Option/ESAR, being the 'market price' as defined under the SEBI SBEB Regulations.

	(b) Any other employee who received a grant on any one year of Options/ESARs amounting to 5% or more of the Options/ESARs granted during the year.	:	None
	(c) Identified employees who were granted Options/ESARs, during any one year, equal to or exceeding 1% of the issued capital (excluding outstanding warrants and conversions) of the Company at the time of grant.	:	None

B. Information in respect of Options granted by ITC Hotels Limited (ITCHL):

In terms of the Scheme of Demerger of Hotels business, one stock option of ITCHL (including fractional entitlements) has been granted to the eligible employees of the Company by ITCHL under the ITC Hotels Special Purpose Employee Stock Option Scheme ('ITCHL SP ESOP Scheme') for every ten stock options outstanding under the ITC Employee Stock Option Schemes ('ITC ESOS') as on the Record Date i.e. 6th January, 2025, on the terms and conditions similar to the ITC ESOS.

Each option entitles the holder thereof to apply for and be allotted ten Equity Shares of ITCHL of ₹ 1/- each upon payment of exercise price. These options vest over a period of three years from the date of original grant under the ITC ESOS and are exercisable within a period of five years from the date of vesting. The exercise prices have been determined basis fair and reasonable adjustments approved by the respective Nomination & Compensation Committees of the Company and ITCHL for outstanding stock options under the ITC ESOS Schemes as on the Record Date.

29. Additional Notes to the Financial Statements (Contd.)

The employee compensation cost as per fair value method for the financial year 2025-26 is ₹ 5.14 Crores (2025 - 1.95 Crores) [Refer Note 25]. The summary of movement of the aforesaid Stock Options granted by ITCHL and status of the outstanding Options is as under:

Particulars	As at 31st March, 2026		As at 31st March, 2025	
	No. of Options	Weighted Average Exercise Prices (₹)	No. of Options	Weighted Average Exercise Prices (₹)
Outstanding at the beginning of the year	7,09,895	1871.68	–	–
Add: Granted during the year	–	–	7,09,895	1871.68
Less: Lapsed during the year	7,147	2342.66	–	–
Less: Movement of employees within the group	1,300	2239.19	–	–
Less: Exercised during the year	1,66,306	1480.69	–	–
Outstanding at the end of the year	**5,35,142**	**1986.12**	**7,09,895**	**1871.68**
Options exercisable at the end of the year	3,91,456	1778.94	4,33,614	1519.46
Options vested and exercisable during the year	1,26,594	2280.19	4,33,614	1519.46

(xv) Information in respect of Cash Settled Stock Appreciation Linked Reward ('SAR') Plan:

Sl. No.	Particulars		Details
1	Nature and extent of Cash Settled Stock Appreciation Linked Reward Plan that existed during the year along with general terms and conditions	:	ITC Employee Cash Settled Stock Appreciation Linked Reward Plan (ITC ESAR Plan). Under the ITC ESAR Plan, the eligible employees receive cash on vesting of SAR units, equivalent to the difference between the grant price and the market price of the share on vesting of SAR units subject to the terms and conditions specified in the Plan.
2	Settlement Method	:	Cash – Settled
3	Vesting period and maximum term of SAR granted	:	Over a period of five years from the date of grant in accordance with the Plan.
4	Method used to estimate the fair value of SAR granted	:	Black Scholes Option Pricing model. The said model considers inputs such as Risk-free interest rate, Expected life, Expected volatility, Expected dividend, Market price etc. The number of SAR units outstanding as at 31st March, 2026 is Nil (2025 - 1,24,850) and the weighted average fair value at measurement date is Nil (2025 – ₹ 1513.00) per SAR unit.
5	Total cost recognised in the Statement of Profit and Loss	:	The cost has been calculated using the fair value method of accounting for SAR units issued under the ITC ESAR Plan. The employee benefits expense as per fair value method for the financial year 2025-26 is ₹ 1.63 Crores (2025 - ₹ 8.42 Crores) and ₹ 0.13 Crore (2025 - ₹ 0.41 Crore) for group entities (Refer Note 25). The amount carried in the Balance Sheet as a current financial liability is Nil (2025 - ₹ 16.35 Crores) (Refer Note 15).

29. Additional Notes to the Financial Statements (Contd.)

(xvi) Financial Ratios:

Ratio	Numerator	Denominator	31st March, 2026	31st March, 2025
Current Ratio (in times)	Current Assets	Current Liabilities	3.04	3.03
Return on Equity Ratio (in %)	Profit for the year (before exceptional items)	Average Shareholder's Equity	29.64	29.19
Inventory Turnover Ratio (in times)	Gross Revenue from sale of products and services	Average Inventory	4.90	5.31
Trade Receivables Turnover Ratio (in times)	Gross Revenue from sale of products and services	Average Trade Receivables	23.66	20.72
Trade Payables Turnover Ratio (in times)	COGS + Other Expenses – Non Cash Expenditure	Average Trade Payables	8.77	9.75
Net Capital Turnover Ratio (in times)	Gross Revenue from sale of products and services	Working Capital (Current Assets – Current Liabilities)	2.61	2.76
Net Profit Ratio (in %)	Profit for the year (before exceptional items)	Gross Revenue from sale of products and services	25.26	26.72
Return on Capital Employed (in %)	Profit before exceptional items, interest and taxes	Average Capital Employed	38.63	38.79
Return on Investment (in %)	Income from investment	Time weighted average Investment	8.16	9.67

Debt-Equity Ratio and Debt Service Coverage Ratio are not relevant as the Company is virtually debt-free.

(xvii) Consequent to expiry of the GST Compensation Cess, the Government of India increased GST and Central Excise duty on cigarettes with effect from 1st February, 2026. In accordance with Ind AS 115, 'Revenue from Contracts with Customers' and Schedule III to the Companies Act, 2013, GST and GST Compensation Cess are excluded from Gross Revenue from sale of products, whereas Excise duty is not excluded. Consequently, the Gross Revenue from sale of products and services & Excise duty for the year ended 31st March, 2026 and value of inventory as at 31st March, 2026 reflect the impact of sharp increase in Excise duty and are not strictly comparable with those of the previous year.

(xviii) Figures presented as "…" are below the rounding off norm adopted by the Company.

(xix) Figures for the previous year are re-arranged, wherever necessary, to conform to the figures of the current period. The same does not have any material impact on the standalone financial statements.

(xx) The standalone financial statements were approved for issue by the Board of Directors on May 21, 2026. Such financial statements are required to be placed before the shareholders for adoption in terms of Companies Act, 2013.

Notes to the Standalone Financial Statements

30. Segment Reporting

(₹ in Crores)

	2026			2025		
	External	Inter Segment	Total	External	Inter Segment	Total
1. Segment Revenue						
FMCG - Cigarettes	37099.65	–	37099.65	32631.27	–	32631.27
FMCG - Others	24203.75	6.00	24209.75	21975.28	6.29	21981.57
FMCG - Total	**61303.40**	**6.00**	**61309.40**	**54606.55**	**6.29**	**54612.84**
Agri Business	12296.48	7999.92	20296.40	12065.64	7688.16	19753.80
Paperboards, Paper and Packaging	6926.57	1839.04	8765.61	6626.23	1796.58	8422.81
Others	341.04	0.75	341.79	168.19	1.24	169.43
Segment Total	**80867.49**	**9845.71**	**90713.20**	**73466.61**	**9492.27**	**82958.88**
Eliminations			(9845.71)			(9492.27)
Gross Revenue from sale of products and services			**80867.49**			**73466.61**
2. Segment Results						
FMCG - Cigarettes			21051.12			20024.87
FMCG - Others			1802.63			1579.66
FMCG - Total			**22853.75**			**21604.53**
Agri Business			1496.46			1478.03
Paperboards, Paper and Packaging			796.71			911.49
Others			(8.06)			65.82
Segment Total			**25138.86**			**24059.87**
Eliminations			(37.56)			1.75
Total			**25101.30**			**24061.62**
Unallocated corporate expenses net of unallocated income			(1228.83)			(1310.30)
Profit before interest etc. and taxation			**23872.47**			**22751.32**
Finance Costs			(69.94)			(36.35)
Interest earned on loans and deposits, income from current and non-current investments, profit and loss on sale of investments etc. - Net			3148.94			3287.33
Exceptional items [Refer Note 29(i)]			(183.87)			527.96
Profit before tax			**26767.60**			**26530.26**
Tax expense			(6481.18)			(6436.97)
Profit for the year from continuing operations			**20286.42**			**20093.29**
Profit for the year from discontinued operations			**–**			**15103.76**
Profit for the year			**20286.42**			**35197.05**

3. Other Information	2026		2025	
	Segment Assets	Segment Liabilities	Segment Assets	Segment Liabilities
FMCG - Cigarettes	13283.91	5534.50	9929.46	5516.37
FMCG - Others	13130.13	3081.03	12911.68	2442.96
FMCG - Total	**26414.04**	**8615.53**	**22841.14**	**7959.33**
Agri Business	6699.33	1729.57	6956.68	2221.65
Paperboards, Paper and Packaging	9781.88	1381.15	9656.83	1361.09
Others	209.03	49.32	151.20	62.60
Segment Total	**43104.28**	**11775.57**	**39605.85**	**11604.67**
Unallocated Corporate Assets / Liabilities	45811.58	7211.68	44398.86	4506.33
Total	**88915.86**	**18987.25**	**84004.71**	**16111.00**

Notes to the Standalone Financial Statements

30. Segment Reporting (Contd.)

(₹ in Crores)

	2026		2025	
	Capital expenditure	Depreciation and amortization	Capital expenditure	Depreciation and amortization
FMCG - Cigarettes	869.13	264.06	320.52	266.20
FMCG - Others	887.22	609.31	515.80	584.26
FMCG - Total	**1756.35**	**873.37**	**836.32**	**850.46**
Agri Business	73.28	72.86	104.07	67.41
Paperboards, Paper and Packaging	405.91	390.39	381.84	390.18
Others	22.81	9.53	5.42	5.78
Segment Total	**2258.35**	**1346.15**	**1327.65**	**1313.83**
Discontinued operations	–	–	171.28	226.95
Unallocated	295.23	127.84	343.35	128.10
Total	**2553.58**	**1473.99**	**1842.28**	**1668.88**

	Non Cash expenditure other than depreciation	Non Cash expenditure other than depreciation
FMCG - Cigarettes	23.31	41.67
FMCG - Others	175.26	131.17
FMCG - Total	**198.57**	**172.84**
Agri Business	130.40	43.24
Paperboards, Paper and Packaging	40.36	32.53
Others	0.22	0.19
Segment Total	**369.55**	**248.80**

GEOGRAPHICAL INFORMATION

	2026	2025
1. Revenue from external customers		
– Within India	72988.91	65637.28
– Outside India	7878.58	7829.33
Total	**80867.49**	**73466.61**
2. Non-current assets		
– Within India	23035.52	21972.57
– Outside India	–	–
Total	**23035.52**	**21972.57**

NOTES :

(1) The Company's corporate strategy aims at creating multiple drivers of growth anchored on its core competencies. The Company is currently focused on three business groups : FMCG, Paperboards, Paper & Packaging and Agri Business. The Company's organisational structure and governance processes are designed to support effective management of multiple businesses while retaining focus on each one of them.
The Operating Segments have been reported in a manner consistent with the internal reporting provided to the Corporate Management Committee, which is the Chief Operating Decision Maker.

(2) The business groups comprise the following :

FMCG : Cigarettes	–	Cigarettes, Cigars, etc.
FMCG : Others	–	Branded Packaged Foods Businesses (Staples & Meals; Snacks; Dairy & Beverages; Biscuits & Cakes; Chocolates, Coffee & Confectionery); Education and Stationery Products; Personal Care Products; Safety Matches and Agarbattis.
Paperboards, Paper and Packaging	–	Paperboards, Paper including Specialty Paper and Packaging including Flexibles.
Agri Business	–	Agri commodities such as wheat, rice, spices, coffee, soya and leaf tobacco.
Others	–	ITC Grand Central Hotel, Mumbai; Fresh Food etc.

(3) The geographical information considered for disclosure are:
– Revenue within India.
– Revenue outside India.

(4) Segment results of 'FMCG : Others' are after considering significant business development, brand building and gestation costs of the Branded Packaged Foods businesses and Personal Care Products business.

(5) As stock options and stock appreciation rights are granted to align the interests of employees with those of shareholders and also to attract and retain talent for the enterprise as a whole, the charge thereof do not form part of the segment performance reviewed by the Corporate Management Committee.

(6) The Company is not reliant on revenues from transactions with any single external customer and does not receive 10% or more of its revenues from transactions with any single external customer.

Notes to the Standalone Financial Statements

31. Related Party Disclosures

1. ENTERPRISES WHERE CONTROL EXISTS:

Subsidiaries:

a) Russell Credit Limited
b) Greenacre Holdings Limited
c) Technico Pty Limited, Australia and its subsidiaries
    Technico Technologies Inc., Canada
    Technico Asia Holdings Pty Limited, Australia and its subsidiary
        Technico Horticultural (Kunming) Co. Limited, China
d) Technico Agri Sciences Limited
e) Pavan Poplar Limited (under liquidation)
f) Prag Agro Farm Limited (up to 09.12.2025)
g) ITC Infotech India Limited and its subsidiaries
    ITC Infotech Limited, UK
    ITC Infotech (USA), Inc. and its subsidiary
        Indivate Inc., USA
    ITC Infotech Do Brasil LTDA.
    ITC Infotech Malaysia SDN. BHD.
    ITC Infotech France SAS
    ITC Infotech GmbH, Germany
    ITC Infotech de México, S.A. de C.V.
    ITC Infotech Arabia Limited
    ITC Infotech Italia s.r.l.
    Blazeclan Technologies Private Limited and its subsidiaries
        Cloudlytics Technologies Private Limited
        Blazeclan Technologies PTE Ltd., Singapore
        Blazeclan Technologies SDN. BHD., Malaysia
        Blazeclan Technologies Pty. Ltd., Australia and its subsidiary
            Blazeclan Technologies Limited, New Zealand
        Blazeclan Europe SRL., Belgium
        Blazeclan Technologies Inc., Canada
        Blazeclan Technologies LLC, USA
        Blazeclan Americas Inc., USA (up to 23.03.2026)
        Blazeclan Technologies Corporation, Philippines
h) Gold Flake Corporation Limited
i) ITC Integrated Business Services Limited and its subsidiary
    MRR Trading & Investment Company Limited
j) Surya Nepal Private Limited and its subsidiary
    Surya Nepal Ventures Private Limited
k) North East Nutrients Private Limited
l) ITC IndiVision Limited
m) ITC Fibre Innovations Limited
n) Fyve Elements LLC, USA (w.e.f. 13.06.2025)
o) Sresta Global FZE, UAE (w.e.f. 13.06.2025)

2. OTHER RELATED PARTIES WITH WHOM THE COMPANY HAD TRANSACTIONS

i) Associates & Joint Ventures:

Associates

a) Mother Sparsh Baby Care Private Limited
b) Ample Foods Private Limited (w.e.f. 04.04.2025)
c) Sproutlife Foods Private Limited
d) ITC Hotels Limited and its subsidiaries
    Srinivasa Resorts Limited
    Fortune Park Hotels Limited
    WelcomHotels Lanka (Private) Limited
    Landbase India Limited
  – being associates of the Company, and
e) Subsidiaries of British American Tobacco p.l.c. - of which the Company is an associate

31. Related Party Disclosures (Contd.)

Associate of the Company's subsidiary

ATC Limited
– being associate of Gold Flake Corporation Limited

Joint Venture of the Company's subsidiary

ITC Filtrona Limited
– being joint venture of Gold Flake Corporation Limited

ii) a) Key Management Personnel (KMP):

S. Puri	Chairman & Managing Director
S. Dutta	Executive Director & Chief Financial Officer
H. Malik	Executive Director
B. Sumant	Executive Director
H. Bhargava#	Non-Executive Director
A. M. Bharucha#	Non-Executive Director
A. Kant#	Non-Executive Director (w.e.f 01.01.2026)
C.K. Mishra#	Non-Executive Director
S. Mohanty	Non-Executive Director
S. Mukherjee#	Non-Executive Director
A. Nayak#	Non-Executive Director
A. Pande	Non-Executive Director
S. Panray	Non-Executive Director
N. Rao#	Non-Executive Director
A. K. Seth#	Non-Executive Director
A. Singh	Non-Executive Director
P. Subrahmanyam#	Non-Executive Director

Independent Directors

Company Secretary
R. K. Singhi

Members - Corporate Management Committee
S. Puri
S. Dutta
S. Kaul
H. Malik
A. Rajput
S. Sivakumar
B. Sumant

b) Related Parties of KMP:

I) Close Members of the family of KMP:
N. Singhi (wife of R. K. Singhi)
Y. Singhi (son of R. K. Singhi)

II) Entity in which KMP is interested:
Bharucha & Partners

iii) Employee Trusts:

a) IATC Provident Fund
b) ITC Defined Contribution Pension Fund
c) ITC Management Staff Gratuity Fund
d) ITC Employees Gratuity Fund
e) ITC Gratuity Fund 'C'
f) ITC Pension Fund
g) ILTD Seasonal Employees Pension Fund
h) ITC Platinum Jubilee Pension Fund
i) ITC Bhadrachalam Paperboards Limited Management Staff Pension Fund
j) ITC Bhadrachalam Paperboards Limited Gratuity Fund 'A'
k) ITC Bhadrachalam Paperboards Limited Gratuity Fund 'C'
l) Sunrise Spices Limited Employees Gratuity Fund

Notes to the Standalone Financial Statements

31. Related Party Disclosures (Contd.)

3. DISCLOSURE OF TRANSACTIONS BETWEEN THE COMPANY AND RELATED PARTIES AND THE STATUS OF OUTSTANDING BALANCES AS AT 31.03.2026

(₹ in Crores)

	RELATED PARTY TRANSACTIONS SUMMARY	Enterprises where control exists		Associates		Joint Ventures		Key Management Personnel (KMP)		Related Parties of KMP^		Employee Trusts		Total	
		Subsidiaries													
		2026	2025	2026	2025	2026	2025	2026	2025	2026	2025	2026	2025	2026	2025
1.	Sale of Goods/Services	484.88	378.00	1689.79	1495.62	122.13	87.91							2296.80	1961.53
2.	Purchase of Goods/Services	496.71	490.81	163.21	175.65	716.67	637.68			1.42	2.67			1378.01	1306.81
3.	Acquisition cost of Property, Plant and Equipment and Intangible Assets	4.28	4.59	436.26										440.54	4.59
4.	Sale of Property, Plant and Equipment							...						...	
5.	Investment Purchased		164.25	154.22										154.22	164.25
6.	Investment in Subsidiaries/Associates	45.00	823.97	40.00	29.99									85.00	853.96
7.	Value of Share-based Payment														
7A.	Capital Contribution for Share-based Payment	(0.44)	(0.68)											(0.44)	(0.68)
7B.	Recovery for Share-based Payment	4.43	4.30	7.77	3.37	0.03	0.08							12.23	7.75
7C.	Reimbursement for Share-based Payment			5.34	2.37									5.34	2.37
8.	Rent Received	56.33	38.19	2.90	1.32									59.23	39.51
9.	Rent Paid *	2.13	7.76	0.64	3.46			0.81	0.72	0.07	0.07			3.65	12.01
10.	Remuneration of Managers on Deputation reimbursed		0.38	10.81	6.54									10.81	6.92
11.	Remuneration of Managers on Deputation recovered	41.40	53.22	21.18	9.90	1.34	1.61							63.92	64.73
12.	Contribution to Employees' Benefit Plans											122.73	169.05	122.73	169.05
13.	Dividend Income	957.00	1006.89		2.39									957.00	1009.28
14.	Dividend Payments			4118.11	4455.87			9.00	8.59					4127.11	4464.46
15.	Interest Income	19.80	19.80											19.80	19.80
16.	Expenses Recovered	8.90	19.47	65.46	113.43	0.01	0.20							74.37	133.10
17.	Expenses Reimbursed	4.67	6.27	28.64	15.30		0.03	0.02	0.02					33.33	21.62
18.	Advances Received during the year	183.34	282.29	1370.31	1690.64									1553.65	1972.93
19.	Adjustment/Payment towards Refund of Advances	225.77	103.49	1552.89	1417.65									1778.66	1521.14
20.	Adjustment/Receipt towards Refund of Deposit		0.48												0.48
21.	Transfer of Employee Liabilities	0.06												0.06	–
22.	Remuneration to KMP														
22A.	– Short term benefits							63.63	56.77					63.63	56.77
22B.	– Other long-term incentives							21.70	26.00					21.70	26.00
22C.	– Post employment benefits [1]														
22D.	– Share-based Payment [2]														
23.	Outstanding Balances #														
	i) Receivables	101.06	55.02	22.55	47.13	11.79	17.10							135.40	119.25
	ii) Deposits Given	0.12	0.12					0.01	0.01	0.03	0.03			0.16	0.16
	iii) Advances Taken	224.93	267.36	458.17	640.75									683.10	908.11
	iv) Payables	7.43	7.54	223.41	29.92	7.22	7.03					278.22	27.60	516.28	72.09

^ includes transactions with close member of the family of KMP & entities in which KMP is interested.

* Includes rent pertaining to leases classified as Right-of-use assets.

\# The amounts outstanding are unsecured and will be settled in cash (other than advances).

1. Post employment benefits are actuarially determined on overall basis and hence not separately provided.
2. During the year, the Company granted Stock Options/Stock Appreciation Rights to eligible employees, including Executive Directors and KMPs, under its Employee Stock Option Schemes and Employee Stock Appreciation Rights Scheme at 'market price' [within the meaning of the Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021]. The Company has also granted Employee Stock Appreciation Linked Reward Units to the aforesaid persons in the previous years under the 'ITC Employee Cash Settled Stock Appreciation Linked Reward Plan'. Further, in terms of the Scheme of Demerger of Hotels business, ITC Hotels Limited has granted stock options to the eligible employees of the Company under the ITC Hotels Special Purpose Employee Stock Option Scheme. Since such instruments are not tradeable, no perquisite or benefit is immediately conferred upon the employee on grant, and accordingly the said grants have not been considered as 'remuneration'. However, in accordance with Ind AS-102, the Company has recorded employee benefits expense by way of share-based payments to employees at ₹ 130.87 Crores for the year ended 31st March, 2026 (2025 - ₹ 140.37 Crores), of which ₹ 37.73 Crores (2025 - ₹ 32.69 Crores) is attributable to Executive Directors and KMPs.
3. All Related Party Transactions entered during the year were in ordinary course of the business and on arm's length basis.

31. Related Party Disclosures (Contd.)

4. INFORMATION REGARDING SIGNIFICANT TRANSACTIONS/BALANCES

(Generally in excess of 10% of the total transaction value of the same type)

(₹ in Crores)

	RELATED PARTY TRANSACTIONS SUMMARY	2026	2025
1.	**Sale of Goods/Services**		
	British American Tobacco (GLP) Limited	1587.03	1445.27
	Surya Nepal Private Limited	391.92	328.39
2.	**Purchase of Goods/Services**		
	ITC Filtrona Limited	716.67	637.68
	ITC Infotech India Limited	228.20	218.92
	North East Nutrients Private Limited	169.36	173.12
3.	**Acquisition cost of Property, Plant and Equipment and Intangible Assets**		
	Benson & Hedges (Overseas) Limited	286.14	–
	Dunhill Tobacco of London Limited	73.14	–
	Rothmans of Pall Mall Limited	44.33	–
4.	**Investment Purchased**		
	British American Tobacco (Investments) Limited	154.22	–
	Russell Credit Limited	–	164.25
5.	**Investment in Subsidiaries/Associates**		
	Mother Sparsh Baby Care Private Limited	40.00	–
	ITC Fibre Innovations Limited	45.00	90.00
6.	**Value of Share-based Payment**		
6A.	*Capital Contribution for Share-based Payment*		
	ITC Infotech India Limited	(0.44)	(0.68)
6B.	*Recovery for Share-based Payment*		
	ITC Hotels Limited	6.98	2.69
	Surya Nepal Private Limited	1.83	1.57
	ITC Infotech India Limited	1.29	0.73
6C.	*Reimbursement for Share-based Payment*		
	ITC Hotels Limited	5.34	2.37
7.	**Rent Received**		
	ITC Infotech India Limited	52.35	32.78
8.	**Rent Paid**		
	Technico Agri Sciences Limited	1.60	1.60
	ITC Hotels Limited	0.64	0.16
	Russell Credit Limited	0.53	0.48
9.	**Remuneration of Managers on Deputation reimbursed**		
	ITC Hotels Limited	10.81	1.64
10.	**Remuneration of Managers on Deputation recovered**		
	ITC Infotech India Limited	18.50	15.72
	ITC Hotels Limited	16.30	2.13
	Russell Credit Limited	6.45	5.42
11.	**Contribution to Employees' Benefit Plans**		
	IATC Provident Fund	41.66	45.10
	ITC Pension Fund	18.28	20.75
	ITC Defined Contribution Pension Fund	17.15	34.42
	ITC Management Staff Gratuity Fund	15.21	20.33
	ITC Gratuity Fund 'C'	14.84	12.29
	ITC Employees Gratuity Fund	13.00	33.57
12.	**Dividend Income**		
	Surya Nepal Private Limited	462.77	405.52
	ITC Infotech India Limited	374.76	488.32

	RELATED PARTY TRANSACTIONS SUMMARY	2026	2025
13.	**Dividend Payments**		
	Tobacco Manufacturers (India) Limited	3197.89	3558.09
	Myddleton Investment Company Limited	697.86	680.84
14.	**Interest Income**		
	ITC IndiVision Limited	19.80	19.80
15.	**Expenses Recovered**		
	ITC Hotels Limited	54.94	95.17
	Sproutlife Foods Private Limited	9.11	2.89
16.	**Expenses Reimbursed**		
	ITC Hotels Limited	28.64	15.10
17.	**Advances Received during the year**		
	British American Tobacco (GLP) Limited	1370.30	1689.92
	Surya Nepal Private Limited	183.34	282.29
18.	**Adjustment/Payment towards Refund of Advances**		
	British American Tobacco (GLP) Limited	1552.80	1417.65
	Surya Nepal Private Limited	225.77	103.49
19.	**Transfer of Employee Liabilities**		
	ITC Integrated Business Services Limited	0.06	–
20.	**Remuneration to KMP[#]**		
20A.	*Short term benefits*		
	S. Puri	15.25	13.94
	B. Sumant	6.36	5.73
	S. Dutta	5.72	5.12
	H. Malik	5.68	5.13
20B.	*Other long-term incentives*		
	S. Puri	7.00	8.82
	H. Malik	3.67	3.37
	B. Sumant	3.48	5.00
	S. Dutta	3.50	4.29
21.	**Outstanding Balances**		
(i)	*Receivables*		
	Surya Nepal Private Limited	53.64	47.93
	Fyve Elements LLC	32.76	–
(ii)	*Deposits Given*		
	Russell Credit Limited[1]	0.12	0.12
	N. Singhi	0.03	0.03
(iii)	*Advances Taken*		
	British American Tobacco (GLP) Limited	457.42	639.92
	Surya Nepal Private Limited	224.93	267.36
(iv)	*Payables*		
	Benson & Hedges (Overseas) Limited	136.86	1.80
	Employee Trust - Gratuity Funds	234.29	14.94
	Employee Trust - Pension Funds	43.93	12.66

[#] In accordance with Ind AS - 102, the Company has recognised employee benefits expense by way of Share-based Payment [refer Note 31.3], of which ₹ 37.73 Crores (2025 - ₹ 32.69 Crores) is attributable to Executive Directors & KMPs:

S. Puri ₹ 13.17 Crores (2025 - ₹ 11.71 Crores), B. Sumant ₹ 6.59 Crores (2025 - ₹ 5.91 Crores), S. Dutta ₹ 6.23 Crores (2025 - ₹ 5.49 Crores), H. Malik ₹ 5.06 Crores (2025 - ₹ 3.22 Crores) and R. K. Singhi ₹ 1.22 Crores (2025 - ₹ 1.11 Crores).

[1] The maximum indebtedness during the year was ₹ 0.12 Crore (2025 - ₹ 0.36 Crore).

Notes to the Standalone Financial Statements

32. Financial Instruments and Related Disclosures

1. Capital Management

The Company's financial strategy aims to support its strategic priorities and provide adequate capital to its businesses for growth and creation of sustainable stakeholder value. The Company funds its operations primarily through internal accruals and aims at maintaining a strong capital base to support the future growth of its businesses.

During the year, the Company issued 1,53,48,450 Ordinary Shares (2025 – 2,93,98,310 Ordinary Shares) of ₹ 1.00 each amounting to ₹ 1.54 Crores (2025 - ₹ 2.94 Crores) towards its employee stock options. The securities premium stood at ₹ 16344.50 Crores as at 31st March, 2026 (2025 - ₹ 15834.70 Crores).

2. Categories of Financial Instruments

(₹ in Crores)

	Particulars	Note	As at 31st March, 2026		As at 31st March, 2025	
			Carrying Value	Fair Value	Carrying Value	Fair Value
A.	**Financial assets**					
a)	**Measured at amortised cost**					
i)	Cash and cash equivalents	11	110.02	110.02	222.41	222.41
ii)	Bank Balances other than (i) above	12	2025.50	2025.50	2962.45	2962.45
iii)	Investment in Bonds/Debentures, Preference Shares & Government or Trust Securities	4, 9	4710.59	4781.28	7414.15	7479.91
iv)	Investment in Mutual Funds	4, 9	381.79	387.87	389.10	392.57
v)	Loans	5	11.64	10.98	15.24	13.84
vi)	Trade receivables	10	2925.60	2925.60	3910.79	3910.79
vii)	Other financial assets	6	2240.75	2236.13	2800.04	2794.31
	Sub-total		**12405.89**	**12477.38**	**17714.18**	**17776.28**
b)	**Measured at Fair value through OCI**					
i)	Investment in Equity Shares	4	2790.34	2790.34	3629.98	3629.98
ii)	Investment in Mutual Funds	4, 9	5486.78	5486.78	5309.12	5309.12
iii)	Investment in Bonds/Debentures & Government or Trust Securities	4, 9	2862.77	2862.77	–	–
	Sub-total		**11139.89**	**11139.89**	**8939.10**	**8939.10**
c)	**Measured at Fair value through Profit or Loss**					
i)	Investment in Mutual Funds	9	11820.37	11820.37	10522.08	10522.08
ii)	Investment in Bonds/Debentures, Certificates of Deposit & Government or Trust Securities	9	3408.35	3408.35	1586.96	1586.96
iii)	Investment in Venture Capital Funds	4	174.18	174.18	132.81	132.81
iv)	Investment in Equity & Preference Shares	4	34.39	34.39	32.97	32.97
	Sub-total		**15437.29**	**15437.29**	**12274.82**	**12274.82**
d)	**Derivatives measured at fair value**					
i)	Derivative instruments not designated as hedging instruments	6	14.01	14.01	15.71	15.71
ii)	Derivative instruments designated as hedging instruments	6	21.90	21.90	24.20	24.20
	Sub-total		**35.91**	**35.91**	**39.91**	**39.91**
	Total financial assets		**39018.98**	**39090.47**	**38968.01**	**39030.11**

32. Financial Instruments and Related Disclosures (Contd.)

(₹ in Crores)

	Particulars	Note	As at 31st March, 2026		As at 31st March, 2025	
			Carrying Value	Fair Value	Carrying Value	Fair Value
B.	**Financial liabilities**					
a)	**Measured at amortised cost**					
i)	Borrowings	18	2026.22	2026.22	1.76	1.76
ii)	Lease liabilities	14	136.17	136.17	154.99	154.99
iii)	Trade payables	19	5271.90	5271.90	4489.93	4489.93
iv)	Other financial liabilities	15	1831.29	1813.29	1455.09	1439.41
	Sub-total		**9265.58**	**9247.58**	**6101.77**	**6086.09**
b)	**Measured at fair value**					
i)	Derivative instruments not designated as hedging instruments	15	34.89	34.89	8.40	8.40
ii)	Derivative instruments designated as hedging instruments	15	62.70	62.70	3.16	3.16
iii)	Contingent Consideration	15	22.85	22.85	12.65	12.65
	Sub-total		**120.44**	**120.44**	**24.21**	**24.21**
	Total financial liabilities		**9386.02**	**9368.02**	**6125.98**	**6110.30**

3. Financial risk management objectives

The Company has a system-based approach to risk management, anchored to policies and procedures and internal financial controls aimed at ensuring early identification, evaluation and management of key financial risks (such as market risk, credit risk and liquidity risk) that may arise as a consequence of its business operations as well as its investing and financing activities. Accordingly, the Company's risk management framework has the objective of ensuring that such risks are managed within acceptable and approved risk parameters in a disciplined and consistent manner and in compliance with the applicable regulations. It also seeks to drive accountability in this regard.

Liquidity Risk

The Company's Current assets aggregate ₹ 46143.39 Crores (2025 - ₹ 39758.12 Crores) including Current Investments, Cash and cash equivalents and Bank Balances other than cash and cash equivalents of ₹ 21837.06 Crores (2025 - ₹ 18474.80 Crores) against an aggregate Current liability of ₹ 15191.92 Crores (2025 - ₹ 13124.07 Crores). As part of its surplus liquidity management operations, the Company may sell instruments that are held at amortised cost. Such sales may be infrequent (even if significant in value) or insignificant in value both individually and in aggregate (even if frequent).

Non-current liabilities (other than derivatives and lease liabilities) due between one year to three years amounted to ₹ 143.13 Crores (2025 - ₹ 87.89 Crores) and Non-current liabilities (other than derivatives and lease liabilities) due after three years amounted to ₹ 209.81 Crores (2025 - Nil) on the reporting date. Derivative liabilities are current in nature. The maturity analysis of undiscounted lease liabilities is disclosed under Note 29(vii).

Further, while the Company's total equity stands at ₹ 69928.61 Crores (2025 - ₹ 67893.71 Crores), there are no non-current borrowings. In such circumstances, liquidity risk or the risk that the Company may not be able to settle or meet its obligations as they become due does not exist.

Market Risk

A. Foreign Currency Risk

The Company undertakes transactions denominated in foreign currency (mainly US Dollar, Pound Sterling, Euro and Japanese Yen) which are subject to the risk of exchange rate fluctuations. Financial assets and liabilities denominated in foreign currency, including the Company's net investments in foreign operations (with a functional currency other than Indian Rupee), are also subject to reinstatement risks.

32. Financial Instruments and Related Disclosures (Contd.)

The carrying amounts of foreign currency denominated financial assets and liabilities including derivative contracts, are as follows:

(₹ in Crores)

As at 31st March, 2026	USD	Euro	GBP	JPY	Others	Total
Financial Assets	844.93	113.35	31.10	–	0.85	990.23
Financial Liabilities	154.60	36.84	2.84	0.28	2.48	197.04

As at 31st March, 2025	USD	Euro	GBP	JPY	Others	Total
Financial Assets	1172.20	118.60	36.74	0.12	0.58	1328.24
Financial Liabilities	108.60	23.22	1.71	1.78	1.46	136.77

The Company uses foreign exchange forward, futures and options contracts to hedge its exposures in foreign currency arising from firm commitments and highly probable forecast transactions.

a. Forward exchange contracts that were outstanding on respective reporting dates:

(In Million)

Designated under Hedge Accounting		As at 31st March, 2026		As at 31st March, 2025	
Currency	Cross Currency	Buy	Sell	Buy	Sell
US Dollar	Indian Rupee	48.19	161.01	19.28	222.17
Euro	US Dollar	34.80	–	14.45	–
CHF	US Dollar	3.04	–	0.01	–
GBP	US Dollar	0.03	–	0.01	–
JPY	US Dollar	2.43	–	29.45	–

(In Million)

Not designated under Hedge Accounting		As at 31st March, 2026		As at 31st March, 2025	
Currency	Cross Currency	Buy	Sell	Buy	Sell
US Dollar	Indian Rupee	42.57	169.61	28.05	100.59
Euro	US Dollar	13.17	14.74	0.25	21.28
CAD	US Dollar	–	0.07	–	0.15
CHF	US Dollar	0.44	–	1.10	–
GBP	US Dollar	5.98	5.79	–	5.99
KWD	US Dollar	0.17	–	0.15	–
JPY	US Dollar	40.12	–	148.75	–
SEK	US Dollar	0.10	–	0.36	–
SGD	US Dollar	–	–	0.11	–

The aforesaid hedges have a maturity of less than 1 year from the year end.

b. Currency options that were outstanding on respective reporting dates (Not designated under Hedge Accounting):

(In Million)

		As at 31st March, 2026		As at 31st March, 2025	
Currency	Cross Currency	Buy	Sell	Buy	Sell
US Dollar	Indian Rupee	48.50	7.70	4.00	36.50
Euro	US Dollar	2.00	10.00	–	–
GBP	US Dollar	–	2.00	–	–

Hedges of foreign currency risk and derivative financial instruments

The Company has established risk management policies to hedge the volatility in cashflows arising from exchange rate fluctuations in respect of firm commitments and highly probable forecast transactions, through foreign exchange forward, futures and options contracts. The proportion of forecast transactions that are to be hedged is decided based on the size of the forecast transaction and market conditions. As the counterparty for such transactions are highly rated banks or recognised exchange(s), the risk of their non-performance is considered to be insignificant.

32. Financial Instruments and Related Disclosures (Contd.)

The Company uses derivatives to hedge its exposure to foreign exchange rate fluctuations. Where such derivatives are not designated under hedge accounting, changes in the fair value of such hedges are recognised in the Statement of Profit and Loss.

The Company may also designate certain hedges as cash flow hedges to mitigate the risk of foreign exchange exposure on highly probable forecasted cash transactions. The currency, amount and tenure of such hedges are generally matched to the underlying transaction(s). Changes in the fair value of the effective portion of cash flow hedges are recognised as cash flow hedging reserve in Other Comprehensive Income. While the probability of such hedges becoming ineffective is very low, the ineffective portion, if any, is immediately recognised in the Statement of Profit and Loss.

The movement in the cash flow hedging reserve in respect of designated cash flow hedges is summarised below:

(₹ in Crores)

Particulars	2026	2025
At the beginning of the year	(4.54)	1.29
Add: Changes in the fair value of effective portion of matured cash flow hedges during the year	(49.91)	(15.31)
Add: Changes in fair value of effective portion of outstanding cash flow hedges	(50.90)	(3.94)
Less: Amounts transferred to the Statement of Profit and Loss on occurrence of forecast hedge transactions during the year	(28.81)	(9.45)
Less: Amounts transferred to the Statement of Profit and Loss due to cash flows no longer expected to occur	(41.19)	(1.81)
Less: Amounts transferred to initial cost of non-financial assets	18.33	(0.20)
Less: Net gain / (loss) transferred to the Statement of Profit and Loss on Ineffectiveness	–	–
(Less) / Add: Deferred tax	12.36	1.96
At the end of the year	**(41.32)**	**(4.54)**
Of the above, balances remaining in cash flow hedge reserve for matured hedging relationships	(3.10)	(1.63)

Once the hedged transaction materialises, the amount accumulated in the cash flow hedging reserve will be included in the initial cost of the non-financial hedged item on its initial recognition or reclassified to profit or loss, as applicable, in the anticipated timeframes given below:

(₹ in Crores)

Outstanding balance in Cash Flow Hedge Reserve to be subsequently recycled from OCI	As at 31st March, 2026	As at 31st March, 2025
Within one year	(41.14)	(4.54)
Between one and three years	(0.18)	–
Total	**(41.32)**	**(4.54)**

Foreign Currency Sensitivity

For every percentage point increase / decrease in the underlying exchange rate of the outstanding foreign currency denominated assets and liabilities, including derivative contracts, holding all other variables constant, the profit before tax for the year ended 31st March, 2026 would decrease / increase by ₹ 5.95 Crores (2025 - ₹ 5.08 Crores) and other equity as at 31st March, 2026 would decrease / increase by ₹ 10.61 Crores (2025 - ₹ 16.06 Crores) on a pre-tax basis.

B. Interest Rate Risk

As the Company is virtually debt-free and its deferred payment liabilities do not carry interest, the exposure to interest rate risk from the perspective of financial liabilities is negligible. Further, treasury activities, focused on managing investments in debt instruments, are centralised and administered under a set of approved policies and procedures guided by the tenets of safety, liquidity and returns. This ensures that investments are made within acceptable risk parameters after due evaluation.

The Company's investments are predominantly held in Government securities, bonds / debentures, fixed deposits, certificates of deposit, commercial papers and debt mutual funds. Mark to market movements in respect of the Company's investments in

32. Financial Instruments and Related Disclosures (Contd.)

bonds/debentures that are held at amortised cost are temporary and get recouped through coupon accruals. Other investments in Government securities, bonds/debentures, certificates of deposit, commercial papers are fair valued through the Statement of Profit and Loss/Other Comprehensive Income to recognise market volatility, which is not considered to be significant. Fixed deposits are held with highly rated banks and companies and have a short tenure and are not subject to interest rate volatility.

The Company also invests in debt mutual fund schemes of leading fund houses. Such investments are susceptible to market price risks that arise mainly from changes in interest rate which may impact the return and value of such investments. However, given the relatively short tenure of underlying portfolio of the debt mutual fund schemes in which the Company has invested, such price risk is not significant.

C. Other Price Risk

The Company is not an active investor in equity markets; it holds certain investments in equity for long term value accretion which are accordingly measured at fair value through Other Comprehensive Income. The value of investments in such equity instruments as at 31st March, 2026 is ₹ 2790.34 Crores (2025 - ₹ 3629.98 Crores). Accordingly, fair value fluctuations arising from market volatility is recognised in Other Comprehensive Income.

For select agricultural commodities primarily held for trading, futures contracts are used to hedge price risks till positions in the physical market are matched. Such activities are managed by the business team within an approved policy framework. The carrying value of inventories is adjusted to the extent of fair value movement of the risk being hedged. Such hedges are generally for short time horizons and recognised in profit or loss within the crop cycle. Accordingly, the Company's net exposure to commodity price risk arising from such transactions is considered to be insignificant.

Credit Risk

Company's deployment in debt instruments are primarily in Government securities, fixed deposits with highly rated banks and companies, bonds issued by Government institutions, public sector undertakings, mutual fund schemes of leading fund houses and certificates of deposit/commercial papers issued by highly rated banks and financial institutions. Of this, investments that are held at amortised cost stood at ₹ 8117.72 Crores (2025 - ₹ 12450.86 Crores). With respect to the Company's investing activities, debt mutual fund schemes and counter parties are shortlisted and exposure limits determined on the basis of their credit rating (by independent agencies), financial statements and other relevant information. As these counter parties are Central/State Government, Government institutions/public sector undertakings with investment grade/sovereign credit ratings and taking into account the experience of the Company over time, the counter party risk attached to such assets is considered to be insignificant.

The Company's customer base is large and diverse limiting the risk arising out of credit concentration. Company's payment terms generally range from advance (generally settled within the operating cycle) to a credit period of up to 180 days, depending upon specific circumstances and industry practices. Credit is extended in business interest in accordance with guidelines issued centrally and business-specific credit policies that are consistent with such guidelines. Exceptions are managed and approved by appropriate authorities, after due consideration of the counterparty's credentials and financial capacity, trade practices and prevailing business and economic conditions. There is no significant financing component and/or remaining performance obligation in respect of its transaction with the customers for sale of goods and services. The Company's exposure to trade receivables on the reporting date, net of expected loss provisions, stood at ₹ 2925.60 Crores (2025 - ₹ 3910.79 Crores).

The Company's historical experience of collecting receivables and the level of default indicate that credit risk is low and generally uniform across markets; consequently, trade receivables are considered to be a single class of financial assets. All overdue customer balances are evaluated taking into account the age of the dues, specific credit circumstances, the track record of the counterparty etc. Loss allowances and impairment is recognised, where considered appropriate by responsible management.

The movement of the expected loss provision (allowance for bad and doubtful loans, advances and receivables etc.) made by the Company are as under:

(₹ in Crores)

Particulars	Expected Loss Provision	
	31st March, 2026	31st March, 2025
Opening Balance	196.07	204.06
Add: Provisions made (net)	9.13	11.99
Less: Utilisation for impairment/de-recognition	15.52	17.02
Add: Assumed on Business Combination [Refer Note 29(ix)]	2.51	–
Less: Transferred pursuant to Scheme of Demerger of Hotels business	–	2.96
Closing Balance	**192.19**	**196.07**

32. Financial Instruments and Related Disclosures (Contd.)

4. Fair value measurement

The following table presents the fair value hierarchy of financial assets and liabilities measured at fair value on a recurring basis:

(₹ in Crores)

Particulars		Fair Value Hierarchy (Level)	As at 31st March, 2026	As at 31st March, 2025
A.	**Financial assets**			
a)	**Measured at amortised cost**			
i)	Investment in Bonds/Debentures, Preference Shares & Government or Trust Securities	2	4781.28	7479.91
ii)	Investment in Mutual Funds	1	387.87	392.57
iii)	Loans*	3	3.03	4.88
iv)	Other Financial assets*	3	319.59	1569.34
	Sub-total		**5491.77**	**9446.70**
b)	**Measured at Fair value through OCI**			
i)	Investment in Equity Shares – Quoted	1	2790.29	3629.93
ii)	Investment in Equity Shares – Unquoted	3	0.05	0.05
iii)	Investment in Mutual Funds	1	5486.78	5309.12
iv)	Investment in Bonds/Debentures & Government or Trust Securities	2	2862.77	–
	Sub-total		**11139.89**	**8939.10**
c)	**Measured at Fair value through Profit or Loss**			
i)	Investment in Mutual Funds	1	11820.37	10522.08
ii)	Investment in Bonds/Debentures, Certificates of Deposit & Government or Trust Securities	2	3408.35	1586.96
iii)	Investment in Venture Capital Funds	2	174.18	132.81
iv)	Investment in Equity & Preference Shares	3	34.39	32.97
	Sub-total		**15437.29**	**12274.82**
d)	**Derivatives measured at fair value**			
i)	Derivative instruments not designated as hedging instruments	2	14.01	15.71
ii)	Derivative instruments designated as hedging instruments	2	21.90	24.20
	Sub-total		**35.91**	**39.91**
	Total financial assets		**32104.86**	**30700.53**
B.	**Financial Liabilities**			
a)	**Measured at amortised cost**			
i)	Lease liabilities*	3	97.09	117.45
ii)	Other Financial liabilities*	3	324.74	72.21
	Sub-total		**421.83**	**189.66**
b)	**Measured at fair value**			
i)	Derivative instruments not designated as hedging instruments	2	34.89	8.40
ii)	Derivative instruments designated as hedging instruments	2	62.70	3.16
iii)	Contingent Consideration	3	22.85	12.65
	Sub-total		**120.44**	**24.21**
	Total financial liabilities		**542.27**	**213.87**

* Represents fair value of non-current financial instruments.

Notes to the Standalone Financial Statements

32. Financial Instruments and Related Disclosures (Contd.)

Reconciliation of fair value movement of financial assets and liabilities measured at fair value on a recurring basis and categorised within Level 3 of the fair value hierarchy is as under:

(₹ in Crores)

	31st March, 2026			31st March, 2025		
	Financial Assets at FVTPL	Financial Assets at FVTOCI	Financial Liabilities at FVTPL	Financial Assets at FVTPL	Financial Assets at FVTOCI	Financial Liabilities at FVTPL
Opening Balance	32.97	0.05	12.65	39.34	0.05	12.65
Additions during the year	1.42	–	9.33	3.00	–	–
Sale/Transfer/Settlement during the year	–	–	–	–	–	–
Gain/(Loss) during the year recognised in Other Income	–	–	(0.87)	(9.37)	–	–
Gain/(Loss) during the year recognised in Other Comprehensive Income	–	–	–	–	–	–
Closing Balance	**34.39**	**0.05**	**22.85**	**32.97**	**0.05**	**12.65**

Fair value hierarchy

Fair value of the financial instruments is classified in various fair value hierarchies based on the following three levels:

Level 1: Quoted prices (unadjusted) in active market or Net Asset Value (NAV) for identical assets or liabilities.

Level 2: Inputs other than quoted price included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

The fair value of financial instruments that are not traded in an active market is determined using market approach and valuation techniques which maximize the use of observable market data and rely as little as possible on entity-specific estimates. If significant inputs required to fair value an instrument are observable, the instrument is included in Level 2.

Derivatives are valued using valuation techniques with market observable inputs such as foreign exchange spot rates and forward rates at the end of the reporting period, yield curves, risk free rate of returns, volatility etc., as applicable. The fair value of investment in Bonds/Debentures, Government or Trust Securities, Certificates of Deposit/Commercial Papers, Venture Capital Funds etc. and financial liabilities, where applicable, is determined using market observable inputs such as quotes from market participants, value published by the issuer etc.

Level 3: Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

If one or more of the significant inputs is not based on observable market data, the fair value is determined using generally accepted methodologies such as discounted cash flow analysis, with the most significant inputs being the discount rate that reflects the credit risk of counterparty.

The fair value of trade receivables, trade payables and other current financial assets and liabilities is considered to be equal to the carrying amounts of these items due to their short – term nature. Where such items are non-current in nature, the same has been classified as Level 3 and fair value determined using discounted cash flow basis. Similarly, unquoted equity instruments where most recent information to measure fair value is insufficient, or if there is a wide range of possible fair value measurements, cost has been considered as best estimate of fair value.

There has been no change in the valuation methodology for Level 3 inputs during the year. The Company has not classified any material financial instruments under Level 3 of the fair value hierarchy. The sensitivity of change in the unobservable inputs used in fair valuation of Level 3 financial assets and liabilities does not have a significant impact on their value. There were no transfers between Level 1, Level 2 and Level 3 during the year.

In terms of our report attached
For S R B C & CO LLP
Chartered Accountants
Firm Registration Number: 324982E/E300003

Arvind Sethi
Partner
(Membership No.: 89802)

Kolkata, May 21, 2026

On behalf of the Board

S. PURI *Chairman & Managing Director*
(DIN : 00280529)

S. DUTTA *Director & Chief Financial Officer*
(DIN : 01804345)

R. K. SINGHI *Company Secretary*
(Membership No.: FCS 3770)

Enduring Value

INDEPENDENT AUDITOR'S REPORT

To the Members of ITC Limited

Report on the Audit of the Standalone Ind AS Financial Statements

Opinion

We have audited the accompanying standalone Ind AS financial statements of ITC Limited ("the Company"), which comprise the Balance Sheet as at March 31, 2026, the Statement of Profit and Loss, including the Statement of Other Comprehensive Income, the Statement of Cash Flows and the Statement of Changes in Equity for the year then ended, and notes to the standalone Ind AS financial statements, including a summary of material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone Ind AS financial statements give the information required by the Companies Act, 2013, as amended ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2026, its profit including other comprehensive income, its cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the standalone Ind AS financial statements in accordance with the Standards on Auditing (SAs), as specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the 'Auditor's Responsibilities for the Audit of the Standalone Ind AS Financial Statements' section of our report. We are independent of the Company in accordance with the 'Code of Ethics' issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the standalone Ind AS financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the standalone Ind AS financial statements for the financial year ended March 31, 2026. These matters were addressed in the context of our audit of the standalone Ind AS financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have determined the matter described below to be the key audit matter to be communicated in our report. We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the standalone Ind AS financial statements section of our report, including in relation to this matter. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the standalone Ind AS financial statements. The results of our audit procedures, including the procedures performed to address the matter below, provide the basis for our audit opinion on the accompanying standalone Ind AS financial statements.

Key audit matter	How our audit addressed the key audit matter
Revenue recognition	
Revenue from the sale of goods (hereinafter referred to as "Revenue") is recognised when the Company performs its obligations to its customers and the amount of revenue can be measured reliably and recovery of the consideration is probable. The timing of such recognition in case of sale of goods is when the control over the same is transferred to the customer, which is mainly upon delivery. The timing of revenue recognition is relevant to the reported performance of the Company. The management considers revenue as a key measure for evaluation of	Our audit procedures included the following: • Assessed the Company's revenue recognition accounting policies in line with Ind AS 115 ("Revenue from Contracts with Customers") and tested thereof. • Evaluated the integrity of the general information and technology control environment and testing the operating effectiveness of key IT application controls over recognition of revenue. • Evaluated the design, implementation and operating effectiveness of Company's controls in respect of revenue recognition.

Key audit matter	How our audit addressed the key audit matter
of performance. There is a risk of revenue being recorded before control is transferred. Refer Note 1 to Standalone Ind AS Financial Statements – Material Accounting Policies and Note 22A/22B.	• Tested the effectiveness of such controls over revenue cut off at year-end. • On sample basis, tested supporting documentation for sales transactions recorded during the year which included sales invoices, customer contracts and shipping documents. • Performed an increased level of substantive testing in respect of sales transactions recorded during the period closer to the year end and subsequent to the year end. • Compared revenue with historical trends and where appropriate, conducted further enquiries and testing. • Assessed disclosures in financial statements in respect of revenue, as specified in Ind AS 115.

We have determined that there are no other key audit matters to communicate in our report.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual report, but does not include the standalone Ind AS financial statements and our auditor's report thereon.

Our opinion on the standalone Ind AS financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone Ind AS financial statements, our responsibility is to read the other information and, in doing so, consider whether such other information is materially inconsistent with the standalone Ind AS financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management for the Standalone Ind AS Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these standalone Ind AS financial statements that give a true and fair view of the financial position, financial performance including other comprehensive income, cash flows and changes in equity of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgements and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone Ind AS financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management

either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Ind AS Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone Ind AS financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone Ind AS financial statements.

As part of an audit in accordance with SAs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone Ind AS financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone Ind AS financial statements, including the disclosures, and whether the standalone Ind AS financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone Ind AS financial statements for the financial year ended March 31, 2026 and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in the "Annexure 1" a statement on the matters specified in paragraphs 3 and 4 of the Order.

2. As required by Section 143(3) of the Act, we report, to the extent applicable, that:

   (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;

   (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books;

   (c) The Balance Sheet, the Statement of Profit and Loss including the Statement of Other Comprehensive Income, the Statement of Cash Flows and Statement of Changes in Equity dealt with by this Report are in agreement with the books of account;

   (d) In our opinion, the aforesaid standalone Ind AS financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015, as amended;

   (e) On the basis of the written representations received from the directors as on March 31, 2026 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2026 from being appointed as a director in terms of Section 164 (2) of the Act;

   (f) With respect to the adequacy of the internal financial controls with reference to these standalone Ind AS financial statements and the operating effectiveness of such controls, refer to our separate Report in "Annexure 2" to this report;

   (g) In our opinion, the managerial remuneration for the year ended March 31, 2026 has been paid/provided by the Company to its directors in accordance with the provisions of section 197 read with Schedule V to the Act;

   (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us:

      i. The Company has disclosed the impact of pending litigations on its financial position in its standalone Ind AS financial statements – Refer Note 29 (v)(a) to the standalone Ind AS financial statements;

      ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses;

      iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company;

      iv. a) The management has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person or entity, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

         b) The management has represented that, to the best of its knowledge and belief, no funds have been received by the Company from any person or entity, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest

in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

c) Based on such audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (a) and (b) contain any material misstatement.

v. The final dividend paid by the Company during the year in respect of the same declared for the previous year is in accordance with section 123 of the Act to the extent it applies to payment of dividend.

The interim dividend declared and paid by the Company during the year and until the date of this audit report is in accordance with section 123 of the Act.

As stated in Note B of Statement of Changes in Equity to the standalone Ind AS financial statements, the Board of Directors of the Company have proposed final dividend for the year which is subject to the approval of the members at the ensuing Annual General Meeting. The dividend declared is in accordance with section 123 of the Act to the extent it applies to declaration of dividend.

vi. Based on our examination which included test checks, the Company has used accounting softwares for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the softwares. Further, during the course of our audit we did not come across any instance of audit trail feature being tampered with. Additionally, the audit trail has been preserved by the Company as per the statutory requirements for record retention.

For S R B C & CO LLP
Chartered Accountants
ICAI Firm Registration Number: 324982E / E300003

per Arvind Sethi
Partner
Membership Number: 89802

UDIN: 26089802LWFRUR1543

Place of Signature: Kolkata
Date: May 21, 2026

Annexure 1 referred to in paragraph 1 under the heading "Report on Other legal and Regulatory Requirements" of our report of even date

Re: ITC Limited (the "Company")

In terms of the information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we state that:

(i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment.

(B) The Company has maintained proper records showing full particulars of Intangible assets.

(b) The Property, Plant and Equipment were physically verified during the year by the management in accordance with a regular programme of verification which, in our opinion, provides for physical verification of all the property, plant and equipment at reasonable intervals. According to the information and explanations given to us, no material discrepancies were noticed on such verification.

(c) According to the information and explanations given by the management, the title deeds of all the immovable properties (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the lessee) are held in the name of the Company.

(d) The Company has not revalued its Property, Plant and Equipment (including Right-of-use assets) or Intangible assets during the year ended March 31, 2026.

(e) There are no proceedings initiated or are pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.

(ii) (a) The inventories have been physically verified by the management during the year. In our opinion, the frequency of verification by the management is reasonable and the coverage and procedure for such verification is appropriate. Inventories lying with third parties have substantially been confirmed by them as at year end. No discrepancies of 10% or more in aggregate for each class of inventory (including inventories lying with third parties) were noticed.

(b) As disclosed in note 18 to the standalone Ind AS financial statements, the Company has been sanctioned working capital limits in excess of ₹ 5 crores in aggregate from banks during the year on the basis of security of inventories of the Company. Based on the records examined by us in the normal course of audit of the financial statements, the quarterly returns/statements filed by the Company with such banks are in agreement with the books of accounts of the Company.

(iii) (a) During the year the Company has not provided loans, advances in the nature of loans, stood guarantee or provided security to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the requirement to report on clause 3(iii)(a) of the Order is not applicable to the Company.

(b) During the year the investments made by the Company is not prejudicial to the Company's interest. The Company has not provided guarantees or security and has not granted loans and advances in the nature of loans to companies, firms, Limited Liability Partnerships or any other parties and hence not commented upon.

(c) The Company has not granted loans and advances in the nature of loans to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the requirement to report on clause 3(iii)(c) to 3(iii)(f) of the Order is not applicable to the Company and hence not commented upon.

(iv) In our opinion and according to the information and explanations given to us, provisions of section 185 and 186 of the Companies Act, 2013 in respect of loans to directors including entities in which they are interested and in respect of loans and advances given, investments made and guarantees and securities given have been complied with by the Company.

(v) According to the information and explanations given to us, the Company has not accepted any deposit from the public nor accepted any amounts which are deemed to be deposits during the year within the meaning of Sections 73 and 76 of the Companies Act, 2013. In respect of unclaimed deposits, the Company has complied with the provisions of Sections 74 and 75 or any other relevant provisions of the Companies Act, 2013. We are informed by the management that no order has been passed by the Company Law Board, National Company Law Tribunal or Reserve Bank of India or any Court or any other Tribunal.

(vi) We have broadly reviewed the books of account maintained by the Company pursuant to the rules made by the Central Government for the maintenance of cost records under section 148(1) of the Companies Act, 2013, related to the manufacture of specified products of the Company and are of the opinion that prima facie, the specified accounts and records have been made and maintained. We have not, however, made a detailed examination of the same.

(vii)(a) The Company is regular in depositing with appropriate authorities undisputed statutory dues including Goods and Services Tax, provident fund, employees' state insurance, income-tax, duty of custom, duty of excise, cess and other statutory dues applicable to it.

(b) According to the information and explanations given to us, no undisputed amounts payable in respect of Goods and Services Tax, provident fund, employees' state insurance, income-tax, duty of custom, duty of excise, cess and other statutory dues were outstanding, at the year end, for a period of more than six months from the date they became payable.

(c) The dues of income-tax, sales-tax, service tax, duty of custom, duty of excise, value added tax, cess and other statutory dues that have not been deposited on account of any dispute, are as follows:

Name of the statute	Nature of the dues	Amount (₹ In Crores)*	Period to which the amount relates (Financial Year)	Forums where the dispute is pending
Sales Tax and Value Added Tax Laws	Sales Tax and VAT	22.54	1987-2018	Appellate Authority – upto commissioners'/ Revisional Authorities Level
		31.34	2005-2018	Appellate Authority – Tribunal Level
		250.05	1994-2017	High Court
Customs Act, 1962	Customs Duty	6.11	2016-2024	Appellate Authority – upto commissioners'/ Revisional Authorities Level
		21.98	2015-2024	Appellate Authority – Tribunal Level
Central Excise Act, 1944	Excise Duty	0.31	1996-2015	Appellate Authority – upto commissioners'/ Revisional Authorities Level
		45.43	1986-2018	Appellate Authority – Tribunal Level
		4.79	2004-2012	High Court
Finance Act, 1994	Service Tax	0.04	2008-2009	Appellate Authority – upto commissioners'/ Revisional Authorities Level
		21.58	2004-2017	Appellate Authority – Tribunal Level
		5.73	2005-2007	High Court
Entry Tax Laws	Entry Tax	0.94	2009-2013	Appellate Authority – upto commissioners'/ Revisional Authorities Level
		18.37	2011-2018	Appellate Authority – Tribunal Level
		73.46	1999-2018	High Court

Name of the statute	Nature of the dues	Amount (₹ in Crores)*	Period to which the amount relates (Financial Year)	Forums where the dispute is pending
Luxury Tax Laws	Luxury Tax	54.95	1999-2004	Supreme Court
Goods and Services Tax	Goods and Services Tax	100.84	2017-2025	Appellate Authority – upto commissioners'/ Revisional Authorities Level
		5.33	2017-2020	Appellate Authority – Tribunal Level
		5.85	2018-2020	High Court
Mandi Laws	Mandi Fees & Cess	0.40	2021-2022	Mandi Board
		1.82	2001-2023	High Court
Municipal, Local Bodies and Property Tax Laws	Municipal, Local Bodies and Property Taxes & Charges	14.63	2001-2025	High Court
Stamp Duty Laws	Stamp Duty	4.22	2004-2016	Registrar / Appellate Authority
		0.07	2006-2007	High Court
The Employees' Provident Funds and Miscellaneous Provisions Act, 1952	Provident Fund	0.45	2012-2020	Appellate Authority – Tribunal Level
		1.34	1982-1990	High Court
Employees' State Insurance Act, 1948	Employees' State Insurance	0.08	1995-2008	High Court

Out of the total disputed dues aggregating ₹ 692.65 Crores as above, ₹ 551.64 Crores pertain to matters which have been stayed for recovery by the relevant authorities.

* Net of amount paid under protest.

(viii) The Company has not surrendered or disclosed any transaction, previously unrecorded in the books of account, in the tax assessments under the Income-tax Act, 1961 as income during the year. Accordingly, the requirement to report on clause 3(viii) of the Order is not applicable to the Company.

(ix) (a) The Company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender.

(b) The Company has not been declared wilful defaulter by any bank or financial institution or government or any government authority.

(c) The Company did not have any term loans outstanding during the year hence, the requirement to report on clause 3(ix)(c) of the Order is not applicable to the Company.

(d) The Company did not raise any funds during the year hence, the requirement to report on clause 3(ix)(d) of the Order is not applicable to the Company.

(e) On an overall examination of the financial statements of the Company, the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint venture. Hence, the requirement to report on clause 3(ix)(e) of the Order is not applicable to the Company.

(f) The Company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint venture or associate companies. Hence, the requirement to report on clause 3(ix)(f) of the Order is not applicable to the Company.

(x) (a) According to the information and explanations given by the management, the Company has not raised any money during the year by way of initial public offer/further public offer (including debt instruments) hence, reporting under clause 3(x)(a) is not applicable to the Company and hence not commented upon.

(b) The Company has not made any preferential allotment or private placement of shares/fully or partially or optionally convertible debentures during the year under audit and hence, the requirement to report on clause 3(x)(b) of the Order is not applicable to the Company.

(xi) (a) No fraud by the Company or no material fraud on the Company has been noticed or reported during the year.

(b) During the year, no report under sub-section (12) of section 143 of the Companies Act, 2013 has been filed by cost auditor/secretarial auditor or by us in Form ADT – 4 as prescribed under Rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government.

(c) We have taken into consideration the whistle blower complaints received by the Company during the year while determining the nature, timing and extent of audit procedures.

(xii) In our opinion, the Company is not a nidhi company. Therefore, the provisions of clause 3(xii) (a) to (c) of the Order are not applicable to the Company and hence not commented upon.

(xiii) According to the information and explanations given by the management, transactions with the related parties are in compliance with section 177 and 188 of Companies Act, 2013 where applicable and the details have been disclosed in the notes to the financial statements, as required by the applicable accounting standards.

(xiv) (a) The Company has an internal audit system commensurate with the size and nature of its business.

(b) The internal audit reports of the Company issued till the date of the audit report, for the period under audit have been considered by us.

(xv) According to the information and explanations given by the management, the Company has not entered into any non-cash transactions with directors or persons connected with him as referred to in section 192 of Companies Act, 2013.

(xvi) (a) According to the information and explanations given to us, the provisions of section 45-IA of the Reserve Bank of India Act, 1934 are not applicable to the Company.

(b) The Company is not engaged in any Non-Banking Financial or Housing Finance activities. Accordingly, the requirement to report on clause 3(xvi)(b) of the Order is not applicable to the Company.

(c) The Company is not a Core Investment Company as defined in the regulations made by Reserve Bank of India. Accordingly, the requirement to report on clause 3(xvi)(c) of the Order is not applicable to the Company.

(d) There is no Core Investment Company as a part of the Group, hence, the requirement to report on clause 3(xvi)(d) of the Order is not applicable to the Company.

(xvii) The Company has not incurred cash losses in the current year and in the immediately preceding financial year.

(xviii) There has been no resignation of the statutory auditors during the year and accordingly requirement to report on Clause 3(xviii) of the Order is not applicable to the Company.

(xix) On the basis of the financial ratios disclosed in note 29(xvi) to the standalone Ind AS financial statements, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

(xx) (a) In respect of other than ongoing projects, there are no unspent amounts that are required to be transferred to a fund specified in Schedule VII of the Companies Act, 2013, in compliance with second proviso to sub section 5 of section 135 of the Companies Act, 2013. This matter has been disclosed in note 29(iii) to the standalone Ind AS financial statements.

(b) There are no unspent amounts in respect of ongoing projects, that are required to be transferred to a special account in compliance of provision of sub section (6) of section 135 of Companies Act, 2013. This matter has been disclosed in note 29(iii) to the standalone Ind AS financial statements.

For S R B C & CO LLP
Chartered Accountants
ICAI Firm Registration Number: 324982E/E300003

per Arvind Sethi
Partner
Membership Number: 89802

UDIN: 26089802LWFRUR1543

Place of Signature: Kolkata
Date: May 21, 2026

Enduring Value

Annexure 2 to the Independent Auditor's Report of even date on the Standalone Ind AS Financial Statements of ITC Limited

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls with reference to standalone Ind AS financial statements of ITC Limited ("the Company") as of March 31, 2026 in conjunction with our audit of the standalone Ind AS financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's Management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India ("ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to these standalone Ind AS financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, as specified under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls, both issued by ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to these standalone Ind AS financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to these standalone Ind AS financial statements and their operating effectiveness. Our audit of internal financial controls with reference to standalone Ind AS financial statements included obtaining an understanding of internal financial controls with reference to these standalone Ind AS financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to these standalone Ind AS financial statements.

Meaning of Internal Financial Controls With Reference to these Standalone Ind AS Financial Statements

A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable

assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls With Reference to Standalone Ind AS Financial Statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial control with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to standalone Ind AS financial statements and such internal financial controls with reference to standalone Ind AS financial statements were operating effectively as at March 31, 2026, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note issued by the ICAI.

For S R B C & CO LLP
Chartered Accountants
ICAI Firm Registration Number: 324982E/E300003

per Arvind Sethi
Partner
Membership Number: 89802

UDIN: 26089802LWFRUR1543

Place of Signature: Kolkata
Date: May 21, 2026

Enduring Value

Guide to Subsidiaries / Joint Ventures / Associates

Subsidiaries of ITC Limited

ITC Infotech India Limited (I3L)

Shareholding

100% held by ITC Limited.

Nature of Business

Information technology services and solutions.

Subsidiaries

I3L owns 100% of the shareholding of :
ITC Infotech (USA), Inc. (I2A)
ITC Infotech Limited, UK
ITC Infotech Do Brasil LTDA., Brazil
ITC Infotech France SAS
ITC Infotech GmbH, Germany
ITC Infotech Malaysia SDN. BHD.
ITC Infotech de México, S.A. de C.V.*
ITC Infotech Arabia Limited, Saudi Arabia
ITC Infotech Italia s.r.l., Italy and
Blazeclan Technologies Private Limited (BTPL)

**including one share held by I2A.*

I2A owns 100% of the shareholding of Indivate Inc. incorporated as a New Jersey Corporation.

BTPL owns 100% of the shareholding of:
Cloudlytics Technologies Private Limited
Blazeclan Technologies Pte. Ltd., Singapore
Blazeclan Technologies SDN. BHD., Malaysia
Blazeclan Technologies Pty. Ltd., Australia
Blazeclan Europe SRL., Belgium
Blazeclan Technologies Inc., Canada
Blazeclan Technologies LLC, USA and
Blazeclan Technologies Corporation, Philippines#

 # including shares held by two Directors of that company.

Blazeclan Technologies Pty. Limited, Australia, owns 100% of the shareholding of Blazeclan Technologies Limited, New Zealand.

All the above entities, other than Indivate Inc., are engaged in the information technology services business. Indivate Inc. is principally engaged in providing business consulting services and opportunity based trading of FMCG products.

Surya Nepal Private Limited, Nepal

Shareholding

61% held by ITC Limited.

Nature of Business

Manufacture and sale of cigarettes & branded packaged food products.

Subsidiary

Surya Nepal Ventures Private Limited, a wholly owned subsidiary, is engaged in the business of manufacture and sale of agarbattis.

North East Nutrients Private Limited

Shareholding

76% held by ITC Limited.

Nature of Business

Manufacture and sale of packaged food products from its food processing facility based in Assam.

Fyve Elements LLC, USA

Shareholding

100% held by ITC Limited.

Nature of Business

Distribution of packaged food products in the USA primarily under the '24 Mantra Organic' brand.

Sresta Global FZE, UAE

Shareholding

100% held by ITC Limited.

Nature of Business

Sale of organic packaged food products under the '24 Mantra Organic' brand.

Russell Credit Limited

Shareholding

100% held by ITC Limited.

Nature of Business

Investment company. Its activities are primarily confined to making long-term investments in strategic thrust areas for ITC, namely FMCG, Paper, Paperboards & Packaging, Agri Business and Information Technology.

Greenacre Holdings Limited

Shareholding

100% held by ITC Limited.

Nature of Business

Engaged in property infrastructure maintenance and providing engineering, procurement & construction management and project management consultancy services.

Gold Flake Corporation Limited (GFCL)

Shareholding

100% held by ITC Limited.

Nature of Business

General trading.

Joint Venture

ITC Filtrona Limited, India, is a 50% joint venture of GFCL with Filtrona Products International Limited, UK.

Nature of Business

Manufacture and sale of cigarette filter rods.

ITC Integrated Business Services Limited (IIBSL)

Shareholding

100% held by ITC Limited.

Nature of Business

Providing support to the Business Shared Services operations of ITC Limited and its related entities.

Subsidiary

IIBSL owns 100% shareholding in MRR Trading & Investment Company Limited, which provides estate maintenance services.

Technico Pty Limited, Australia (Technico)

Shareholding

100% held by ITC Limited.

Nature of Business

An Agri-biotechnology company primarily engaged in commercialisation of seed potatoes with TECHNITUBER® technology.

Subsidiaries

Technico has two wholly owned subsidiaries, namely Technico Technologies Inc., Canada and Technico Asia Holdings Pty Limited, Australia.

Technico Asia Holdings Pty Limited has a wholly owned subsidiary, Technico Horticultural (Kunming) Co. Limited, China.

These companies support Technico in the production and commercialisation of seed potatoes in different geographies.

Technico Agri Sciences Limited

Shareholding

100% held by ITC Limited.

Nature of Business

An Agri-biotechnology company primarily engaged in rapid multiplication and commercialisation of seed potatoes with TECHNITUBER® technology and developing improved climate resilient varieties to strengthen the potato value chain, besides sourcing/supply of commercial potatoes.

ITC IndiVision Limited

Shareholding

100% held by ITC Limited.

Nature of Business

Manufacture and sale of nicotine and nicotine derivative products from its facility in Karnataka.

ITC Fibre Innovations Limited

Shareholding

100% held by ITC Limited.

Nature of Business

Manufacture and sale of moulded fibre products from its facility in Madhya Pradesh.

Enduring Value

Major Associate of the Group

ITC Hotels Limited (ITCHL)

Shareholding

39.85% held by ITC Limited.

Nature of Business

ITCHL is engaged in Hospitality business. ITCHL is amongst the fastest growing hospitality chains in the country with 150+ properties and over 14,000 rooms under seven distinctive brands – 'ITC Hotels' in the Luxury segment, 'Mementos' in the Luxury Lifestyle segment, 'Welcomhotel' in the Upper Upscale segment, 'Storii' in the Boutique Premium segment, 'Epiq Collection' in the Premium Segment, 'Fortune' in the Mid-market to Upscale segment and 'WelcomHeritage' in the Leisure & Heritage segment.

Note: The full list of the Group's Associates appears on page 278.

Principles of Consolidation

The Group's interests in its subsidiaries, associates and joint ventures are reflected in the Consolidated Financial Statements (CFS) in accordance with the relevant Indian Accounting Standards (Ind AS) specified under Section 133 of the Companies Act, 2013.

Subsidiaries (Ind AS 110)

Line by line consolidation of the Statement of Profit and Loss and Balance Sheet is done by aggregating like items of assets, liabilities, income and expenses.

The excess/deficit of the cost to ITC Limited of its investments in its subsidiaries over its share of net worth (residual interest in the assets of the subsidiaries after deducting all its liabilities) of the subsidiaries at the date of investment in the subsidiaries are treated as goodwill/capital reserve in the CFS. The goodwill is disclosed as an asset and capital reserve as a reserve in the Consolidated Balance Sheet.

Profit or loss and each component of other comprehensive income are attributed to the Group as owners and to the non-controlling interest; likewise the non-controlling interests in the net assets of the consolidated subsidiaries is identified and presented separately within Equity in the Consolidated Balance Sheet.

Inter-Company transactions within the Group (both Balance Sheet and Profit or loss items) are eliminated for arriving at the Group CFS.

CFS is prepared applying uniform accounting policies of ITC Limited to the Group companies.

Associates and Joint Ventures (Ind AS 28)

An investment in associate and joint venture is initially recognised at cost on the date of the investment, and is inclusive of any goodwill/capital reserve embedded in the cost.

Only share of net profits/losses and other comprehensive income of associates/joint ventures is considered in Consolidated Statement of Profit and Loss. The carrying amount of the investment in associates/joint ventures is adjusted by the share of net profits/losses and other comprehensive income in the Consolidated Balance Sheet.

Form AOC-1

(Pursuant to first proviso to sub-section (3) of Section 129 of the Companies Act, 2013 read with Rule 5 of the Companies (Accounts) Rules, 2014)

Statement containing salient features of the financial statement of Subsidiaries/Associate companies/Joint Ventures

Part A: Subsidiaries

(₹ in Crores)

	Name of the Subsidiary	ITC Infotech India Limited	ITC Infotech (USA), Inc.	ITC Infotech Limited	Indivate Inc.	ITC Infotech Do Brasil LTDA.	ITC Infotech France SAS	ITC Infotech GmbH
1.	CIN/any other registration number of subsidiary company	U65991 WB1996 PLC077341	010055 6032	02777705	010104 2889	3526003 6390	948 555 974 R.C.S. Nanterre	HRB 130315
2.	The date since when subsidiary was acquired	21-Aug-2000	17-Jun-1993	26-Jan-1993	18-Nov-2016	10-Oct-2022	08-Feb-2023	10-Mar-2023
3.	Provisions pursuant to which the company has become a subsidiary [Section 2(87)(i)/ Section 2(87)(ii)]	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)
4.	Financial Year ending on	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026
5.	Reporting Currency	Indian Rupee	US Dollar	British Pound	US Dollar	Brazilian Real	Euro	Euro
	Exchange Rate on the last day of the financial year	–	94.8350	125.5100	94.8350	18.0986	108.9950	108.9950
6.	Share Capital	90.85	172.60	8.61	0.95	4.71	32.70	31.06
7.	Reserves & Surplus	1717.52	111.54	105.77	5.41	4.34	8.53	46.83
8.	Total Assets	2878.20	401.25	178.52	21.18	13.87	74.26	121.84
9.	Total Liabilities (excluding Total Equity)	1069.83	117.11	64.14	14.82	4.82	33.03	43.95
10.	Investments (excluding Investments made in subsidiaries)	216.60	–	–	–	–	–	–
11.	Turnover	3625.65	1407.47	400.84	126.36	24.38	68.13	151.37
12.	Profit/(Loss) before tax	616.57	108.64	27.26	35.79	2.58	6.31	13.70
13.	Provision for tax	(119.49)	(23.21)	(7.24)	–	(0.83)	(1.92)	(6.90)
14.	Profit/(Loss) after tax	497.08	85.43	20.02	35.79	1.75	4.39	6.80
15.	Proposed Dividend @	374.76	97.52	25.82	54.53	–	8.58	–
16.	% of shareholding	100.00	100.00	100.00	100.00	100.00	100.00	100.00

@ includes dividend paid during the year

Note: Turnover includes Other Income and Other Operating Revenue. Profit/(Loss) figures do not include Other Comprehensive Income.

Enduring Value

Part A: Subsidiaries (Contd.)

(₹ in Crores)

	Name of the Subsidiary	ITC Infotech Malaysia SDN. BHD.	ITC Infotech Arabia Limited	ITC Infotech de México, S.A. de C.V.	ITC Infotech Italia s.r.l.	Blazeclan Technologies Private Limited	Blazeclan Technologies Pty. Ltd.	Blazeclan Technologies Limited
1.	CIN/any other registration number of subsidiary company	20230100 3766 (1497685-D)	101096 2967	Public Deed No. 1265	136755 60968	U72100 PN201 0PTC136385	ACN: 619 364 359	NZBN: 942904 7239982
2.	The date since when subsidiary was acquired	03-Feb-2023	17-Dec-2023	17-Apr-2023	23-Jul-2024	01-Oct-2024	01-Oct-2024	01-Oct-2024
3.	Provisions pursuant to which the company has become a subsidiary [Section 2(87)(i)/ Section 2(87)(ii)]	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)
4.	Financial Year ending on	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026
5.	Reporting Currency	Malaysian Ringgit	Saudi Riyal	Mexican Peso	Euro	Indian Rupee	Australian Dollar	New Zealand Dollar
	Exchange Rate on the last day of the financial year	23.5450	25.2700	5.2444	108.9950	–	65.0225	54.2500
6.	Share Capital	18.84	40.43	19.11	10.90	11.03	…	…
7.	Reserves & Surplus	8.02	13.72	3.21	(0.55)	49.02	5.14	0.70
8.	Total Assets	33.77	478.93	24.35	20.62	178.57	27.87	1.42
9.	Total Liabilities (excluding Total Equity)	6.91	424.78	2.03	10.27	118.52	22.73	0.72
10.	Investments (excluding Investments made in subsidiaries)	–	–	–	–	6.21	–	–
11.	Turnover	81.82	582.20	21.58	29.15	134.92	41.59	0.36
12.	Profit/(Loss) before tax	5.34	12.93	1.76	2.30	(29.78)	1.59	0.03
13.	Provision for tax	(1.34)	(2.58)	(0.38)	(1.12)	9.67	(0.77)	(0.01)
14.	Profit/(Loss) after tax	4.00	10.35	1.38	1.18	(20.11)	0.82	0.02
15.	Proposed Dividend[@]	–	–	–	–	–	–	–
16.	% of shareholding	100.00	100.00	100.00	100.00	100.00	100.00	100.00

@ includes dividend paid during the year

Notes:

i) Turnover includes Other Income and Other Operating Revenue. Profit/(Loss) figures do not include Other Comprehensive Income.

ii) Blazeclan Americas Inc. (Registration number: 6895757) has ceased to be a step-down subsidiary of the Company with effect from 24th March, 2026, consequent to voluntary dissolution.

Part A: Subsidiaries (Contd.)

(₹ in Crores)

	Name of the Subsidiary	Blazeclan Technologies Pte. Ltd.	Blazeclan Technologies SDN. BHD.	Blazeclan Technologies Corporation	Blazeclan Europe SRL.	Blazeclan Technologies LLC	Blazeclan Technologies Inc.	Cloudlytics Technologies Private Limited	Surya Nepal Private Limited
1.	CIN/any other registration number of subsidiary company	UEN: 201332 946H	2018010 09351 (1271365-W)	202211007 5163-03	0627.727. 481	5706757	002512972	U72900 PN2014 PTC152678	1488/036
2.	The date since when subsidiary was acquired	01-Oct-2024	01-Oct-2024	01-Oct-2024	01-Oct-2024	01-Oct-2024	01-Oct-2024	01-Oct-2024	20-Aug-2002
3.	Provisions pursuant to which the company has become a subsidiary [Section 2(87)(i)/ Section 2(87)(ii)]	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)
4.	Financial Year ending on	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	14-Mar-2026
5.	Reporting Currency	Singapore Dollar	Malaysian Ringgit	Philippine Peso	Euro	US Dollar	Canadian Dollar	Indian Rupee	Nepalese Rupee
	Exchange Rate on the last day of the financial year	73.5250	23.5450	1.5588	108.9950	94.8350	68.1500	–	0.6250
6.	Share Capital	…	…	1.60	0.04	…	…	0.01	126.00
7.	Reserves & Surplus	8.40	2.13	0.21	0.32	0.55	(1.64)	(1.33)	739.68
8.	Total Assets	66.37	10.93	5.48	4.86	2.12	3.95	0.23	1281.03
9.	Total Liabilities (excluding Total Equity)	57.97	8.80	3.67	4.50	1.57	5.59	1.55	415.35
10.	Investments (excluding Investments made in subsidiaries)	–	–	–	–	–	–	–	–
11.	Turnover	53.10	18.84	2.69	10.19	–	2.69	0.15	3539.70
12.	Profit/(Loss) before tax	4.95	0.38	0.05	0.91	(0.06)	0.15	0.01	1160.06
13.	Provision for tax	(0.18)	(0.07)	(0.01)	0.08	(0.08)	(0.05)	…	(356.01)
14.	Profit/(Loss) after tax	4.77	0.31	0.04	0.99	(0.14)	0.10	0.01	804.05
15.	Proposed Dividend[@]	9.35	–	–	–	–	–	–	763.56
16.	% of shareholding	100.00	100.00	100.00	100.00	100.00	100.00	100.00	61.00

@ includes dividend paid during the year

Note: Turnover includes Other Income and Other Operating Revenue. Profit/(Loss) figures do not include Other Comprehensive Income.

Enduring Value

Part A: Subsidiaries (Contd.)

(₹ in Crores)

	Name of the Subsidiary	Surya Nepal Ventures Private Limited	Technico Pty Limited	Technico Agri Sciences Limited	Technico Technologies Inc.	Technico Asia Holdings Pty Limited	Technico Horticultural (Kunming) Co. Limited	Russell Credit Limited	Greenacre Holdings Limited
1.	CIN/any other registration number of subsidiary company	314787/ 79/080	ABN: 45 063 602 782	U01111 WB1999 PLC284149	604509	ABN: 81 079 609 813	530100400 003463	U65993 WB1994 PLC061684	U55202 WB1986 PLC049467
2.	The date since when subsidiary was acquired	03-Jul-2023	17-Aug-2007	17-Aug-2007	17-Aug-2007	17-Aug-2007	17-Aug-2007	26-Sep-1997	09-Nov-1994
3.	Provisions pursuant to which the company has become a subsidiary [Section 2(87)(i) / Section 2(87)(ii)]	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)
4.	Financial Year ending on	14-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026
5.	Reporting Currency	Nepalese Rupee	Australian Dollar	Indian Rupee	Canadian Dollar	Australian Dollar	ChineseYuan Renminbi	Indian Rupee	Indian Rupee
	Exchange Rate on the last day of the financial year	0.6250	65.0225	–	68.1500	65.0225	13.7219	–	–
6.	Share Capital	13.81	126.72	37.96	7.41	23.96	26.09	646.48	42.06
7.	Reserves & Surplus	2.69	(80.40)	227.81	(6.26)	(17.50)	3.48	323.03	26.28
8.	Total Assets	18.51	56.17	597.32	1.22	6.46	30.15	990.28	86.47
9.	Total Liabilities (excluding Total Equity)	2.01	9.85	331.55	0.07	–	0.58	20.77	18.13
10.	Investments (excluding Investments made in subsidiaries)	0.06	–	133.51	–	–	–	915.29	51.21
11.	Turnover	18.03	30.18	426.32	0.12	2.07	6.06	75.10	16.72
12.	Profit/(Loss) before tax	1.67	19.07	89.72	…	2.06	1.78	64.15	4.41
13.	Provision for tax	(0.34)	(3.91)	(9.83)	–	–	–	(13.02)	(0.80)
14.	Profit/(Loss) after tax	1.33	15.16	79.89	…	2.06	1.78	51.13	3.61
15.	Proposed Dividend@	–	32.73	24.68	6.30	1.97	2.29	25.47	–
16.	% of shareholding	61.00	100.00	100.00	100.00	100.00	100.00	100.00	100.00

@ includes dividend paid during the year

Note: Turnover includes Other Income and Other Operating Revenue. Profit/(Loss) figures do not include Other Comprehensive Income.

Part A: Subsidiaries (Contd.)

(₹ in Crores)

	Name of the Subsidiary	Gold Flake Corporation Limited	ITC Integrated Business Services Limited	MRR Trading & Investment Company Limited	North East Nutrients Private Limited	ITC IndiVision Limited	ITC Fibre Innovations Limited	Sresta Global FZE	Fyve Elements LLC
1.	CIN / any other registration number of subsidiary company	U16003 WB1935 PLC008314	U74110 WB2012 PLC176166	U65990 MH1980 PLC023259	U15122 WB2013 PTC196135	U16007 WB2020 PLC237915	U46496 WB2023 PLC260213	RAKFTZA-FZE-4009175	46-1480275
2.	The date since when subsidiary was acquired	29-Jan-1982	17-May-2012	23-Dec-1998	06-Feb-2014	29-Jul-2020	03-Mar-2023	13-Jun-2025	13-Jun-2025
3.	Provisions pursuant to which the company has become a subsidiary [Section 2(87)(i) / Section 2(87)(ii)]	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)	2(87)(ii)
4.	Financial Year ending on	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026
5.	Reporting Currency	Indian Rupee	Indian Rupee	Indian Rupee	Indian Rupee	Indian Rupee	Indian Rupee	US Dollar	US Dollar
	Exchange Rate on the last day of the financial year	–	–	–	–	–	–	94.8350	94.8350
6.	Share Capital	16.00	7.50	0.05	73.00	120.00	335.00	0.60	7.97
7.	Reserves & Surplus	17.47	4.49	(0.01)	39.78	(123.84)	(58.44)	1.23	24.34
8.	Total Assets	33.98	15.70	0.06	122.97	468.56	293.48	5.24	86.34
9.	Total Liabilities (excluding Total Equity)	0.51	3.71	0.02	10.19	472.40	16.92	3.41	54.03
10.	Investments (excluding Investments made in subsidiaries)	13.66	10.11	–	31.61	–	35.30	–	–
11.	Turnover	30.76	22.08	0.09	160.45	69.31	5.43	7.22	159.09
12.	Profit/(Loss) before tax	29.68	1.79	0.01	14.94	(35.60)	(40.38)	0.73	1.53
13.	Provision for tax	(0.38)	(0.44)	…	(3.94)	2.71	6.90	–	0.10
14.	Profit/(Loss) after tax	29.30	1.35	0.01	11.00	(32.89)	(33.48)	0.73	1.63
15.	Proposed Dividend@	28.16	–	–	10.95	–	–	–	–
16.	% of shareholding	100.00	100.00	100.00	76.00	100.00	100.00	100.00	100.00

@ includes dividend paid during the year

Notes:

i) Prag Agro Farm Limited (CIN: U01100MH1997PLC128846) ceased to be a wholly owned subsidiary ('WOS') of the Company with effect from 10th December, 2025, consequent to its voluntary liquidation by the Hon'ble National Company Law Tribunal ('NCLT'), Mumbai Bench. Further, Pavan Poplar Limited (CIN: U01100MH1995PLC128849), a WOS, has filed for voluntary liquidation and the same is pending with NCLT.

ii) During the year, Sresta Natural Bioproducts Private Limited ('SNBPL') [CIN: U01122TG2004PTC042837] was acquired by the Company and became a WOS, and its two subsidiaries viz., Fyve Elements LLC, USA and Sresta Global FZE, UAE, became step-down WOS with effect from 13th June, 2025. Pursuant to the Orders of NCLT, Kolkata and Hyderabad Benches, SNBPL has been amalgamated with the Company with effect from 13th June, 2025 [Refer Note 30(ix) to the Consolidated Financial Statements ('CFS')].

iii) Wimco Limited (CIN: U24291WB1923PLC264251), a WOS, has also been amalgamated with the Company with effect from 1st April, 2025 [Refer Note 30(ix) to the CFS].

iv) No other subsidiary was sold or liquidated during the year.

v) All subsidiaries of the Company have commenced commercial operations.

vi) Turnover includes Other Income and Other Operating Revenue. Profit / (Loss) figures do not include Other Comprehensive Income.

Enduring Value

Part B: Associates and Joint Ventures

Statement pursuant to Section 129 (3) of the Companies Act, 2013 related to Associate companies and Joint Ventures

Name of Associates/Joint Ventures	Logix Developers Private Limited#	ITC Filtrona Limited	Russell Investments Limited	Divya Management Limited	Antrang Finance Limited	ATC Limited	Ample Foods Private Limited	Mother Sparsh Baby Care Private Limited	Sproutlife Foods Private Limited	ITC Hotels Limited
1. Latest audited Balance Sheet Date	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026	31-Mar-2026
2. Date on which the Associate or Joint Venture was associated or acquired	27-Sep-2011	30-Jun-1994	14-May-1988	23-Nov-2007	21-Jan-2008	18-Jan-1995	04-Apr-2025	27-Oct-2022	04-May-2023	01-Jan-2025
3. Shares of Associate/Joint Venture held by the Company on the year end										
Number of Shares	77,66,913	22,50,000	42,75,435	41,82,915	43,24,634	1,94,775	2,62,500	6,732*	13,427&	83,00,00,000
Amount of Investment in Associate/Joint Venture@@ (₹ in Crores)	–	159.33	46.13	10.98	7.93	9.36	129.11	86.04	194.09	4645.27
Extent of Holding %	27.90	50.00	25.43	33.33	33.33	47.64	43.75	39.47@	47.50@	39.85
4. Description of how there is significant influence	Joint Venture	Joint Venture	Associate	Associate	Associate	Associate	Associate	Associate	Associate	Associate
5. Reason why the Associate/Joint Venture is not consolidated	Consolidated	Consolidated	Consolidated	Consolidated	Consolidated	Consolidated	Consolidated	Consolidated	Consolidated	Consolidated
6. Net worth attributable to Shareholding as per latest audited Balance Sheet (₹ in Crores)	1.62	158.92	46.73	9.90	7.84	9.17	18.69	20.25	2.31	4645.27
7. Profit/(Loss) for the year (₹ in Crores)	0.23	82.76	12.32	8.14	6.84	(0.48)	(5.20)	(2.18)	(9.84)	816.89
i. Considered in Consolidation (₹ in Crores)	0.07	41.38	3.13	2.71	2.28	(0.23)	(2.28)	(1.26)	(4.67)	335.95
ii. Not considered in Consolidation (₹ in Crores)	0.16	41.38	9.19	5.43	4.56	(0.25)	(2.92)	(0.92)	(5.17)	480.94

Financial Statements are as certified by the management of Logix Developers Private Limited ('Logix'). The Group has impaired the carrying value of investment in Logix. [Refer Note 30(viii) to the CFS].

@@ Represent investment value as per CFS.

* Comprises 694 Equity Shares fully paid-up (investment ₹ 11.12 Crores) and 6,038 CCPS fully paid-up (investment ₹ 74.92 Crores) [Refer Note 4 to the CFS]

& Comprises 2,443 Equity Shares fully paid-up (investment ₹ 27.29 Crores) and 10,984 CCPS fully paid-up (investment ₹ 166.80 Crores) [Refer Note 4 to the CFS].

@ on a fully diluted basis.

Notes:

i) Logix Developers Private Limited is yet to commence commercial operations.

ii) The Company on 13th May, 2025 divested its entire shareholding in Delectable Technologies Private Limited (CIN: U15411KA2014PTC076415), consequent to which Delectable ceased to be an associate of the Company with effect from the said date.

iii) No other associate or joint venture was liquidated or sold during the year.

On behalf of the Board

	R. K. SINGHI	S. DUTTA	S. PURI
	Company Secretary	*Director & Chief Financial Officer*	*Chairman & Managing Director*
Kolkata, May 21, 2026	*(Membership No. : FCS3770)*	*(DIN : 01804345)*	*(DIN : 00280529)*

Enduring Value

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Enduring Value

Consolidated Balance Sheet as at 31st March, 2026

	Note	As at 31st March, 2026 (₹ in Crores)			As at 31st March, 2025 (₹ in Crores)		
ASSETS							
Non-current assets							
(a) Property, Plant and Equipment	3A		17471.20			17428.89	
(b) Capital work-in-progress	3B		1499.41			1087.60	
(c) Investment Property	3C		303.36			322.40	
(d) Goodwill	3D		993.29			896.93	
(e) Other Intangible assets	3E		3173.66			2724.74	
(f) Intangible assets under development	3F		102.47			3.31	
(g) Right-of-use assets	3G		501.02			581.89	
(h) Investment accounted for using the equity method	4		5288.24			4711.78	
(i) Financial Assets							
(i) Investments	4	12089.55			13720.54		
(ii) Loans	5	4.87			7.60		
(iii) Others	6	343.22	12437.64		1611.13	15339.27	
(j) Deferred tax assets (Net)	7		155.18			87.98	
(k) Income Tax Assets (Net)	22A		70.05			50.24	
(l) Other non-current assets	8		1088.45	43083.97		962.37	44197.40
Current assets							
(a) Inventories	9		18622.96			15637.56	
(b) Biological assets other than bearer plants	10		249.69			198.58	
(c) Financial Assets							
(i) Investments	11	20750.64			16287.50		
(ii) Trade receivables	12	3922.86			4719.67		
(iii) Cash and cash equivalents	13	643.46			620.00		
(iv) Bank Balances other than (iii) above	14	2365.33			3392.36		
(v) Loans	5	8.52			9.51		
(vi) Others	6	2361.34	30052.15		1662.32	26691.36	
(d) Other current assets	8		1783.61	50708.41		1365.78	43893.28
TOTAL ASSETS				**93792.38**			**88090.68**
EQUITY AND LIABILITIES							
Equity							
(a) Equity Share capital	15		1252.95			1251.41	
(b) Other Equity			71254.35			68778.64	
Attributable to owners of the parent			72507.30			70030.05	
Non-controlling interests			365.72	72873.02		367.89	70397.94
Liabilities							
Non-current liabilities							
(a) Financial Liabilities							
(i) Borrowings	16	60.00			–		
(ii) Lease liabilities	17	140.86			137.21		
(iii) Other financial liabilities	18	510.40	711.26		301.34	438.55	
(b) Provisions	19		389.43			303.11	
(c) Deferred tax liabilities (Net)	7		3089.62			2582.46	
(d) Other non-current liabilities	20		41.78	4232.09		34.51	3358.63
Current liabilities							
(a) Financial Liabilities							
(i) Borrowings	16	2126.22			91.26		
(ii) Lease liabilities	17	71.98			56.07		
(iii) Trade Payables	21						
(A) total outstanding dues of micro and small enterprises; and		350.13			180.64		
(B) total outstanding dues of creditors other than micro and small enterprises		5289.42			4626.66		
(iv) Other financial liabilities	18	2099.15	9936.90		1865.98	6820.61	
(b) Other current liabilities	20		5037.64			6203.79	
(c) Provisions	19		423.91			80.06	
(d) Current Tax Liabilities (Net)	22B		1288.82	16687.27		1229.65	14334.11
TOTAL EQUITY AND LIABILITIES				**93792.38**			**88090.68**

The accompanying notes 1 to 33 are an integral part of the Consolidated Financial Statements.

In terms of our report attached
For S R B C & CO LLP
Chartered Accountants
Firm Registration Number: 324982E/E300003
Arvind Sethi
Partner
(Membership No.: 89802)
Kolkata, May 21, 2026

On behalf of the Board

S. PURI — *Chairman & Managing Director*
(DIN : 00280529)
S. DUTTA — *Director & Chief Financial Officer*
(DIN : 01804345)
R. K. SINGHI — *Company Secretary*
(Membership No.: FCS 3770)

Enduring Value

Consolidated Statement of Profit and Loss for the year ended 31st March, 2026

		Note	For the year ended 31st March, 2026 (₹ in Crores)	For the year ended 31st March, 2025 (₹ in Crores)
	Continuing Operations			
I	Revenue From Operations	23A,23B	89913.33	81612.78
II	Other Income	24	2425.80	2529.69
III	**Total Income (I+II)**		**92339.13**	**84142.47**
IV	**EXPENSES**			
	Cost of materials consumed		26272.33	23757.33
	Purchases of Stock-in-Trade and Biological Assets		8826.01	8947.04
	Changes in inventories of finished goods, Stock-in-Trade, work-in-progress, intermediates and Biological Assets	25	(2550.46)	(725.65)
	Excise duty		11044.93	6289.44
	Employee benefits expense	26	6781.50	6169.78
	Finance costs	27	85.17	45.06
	Depreciation and amortization expense		1710.53	1646.32
	Other expenses	28	12221.11	11196.63
	Total expenses (IV)		**64391.12**	**57325.95**
V	Share of profit/(loss) of Associates and Joint Ventures		377.08	110.42
VI	**Profit before exceptional items and tax (III-IV+V)**		**28325.09**	**26926.94**
VII	Exceptional Items	30(i)	(291.70)	–
VIII	**Profit before tax (VI+VII)**		**28033.39**	**26926.94**
IX	**Tax expense:**			
	Current Tax	29	6412.97	6509.61
	Deferred Tax	29	602.27	380.86
X	**Profit for the year from continuing operations (VIII-IX)**		**21018.15**	**20036.47**
XI	Profit before exceptional items and tax from discontinued operations		–	525.84
XII	Exceptional Items of discontinued operations		–	15128.81
XIII	Tax expense of discontinued operations	29	–	638.64
XIV	**Profit for the year from discontinued operations (XI+XII-XIII)**		**–**	**15016.01**
XV	**Profit for the year (X+XIV)**		**21018.15**	**35052.48**
	Other Comprehensive Income			
	A (i) Items that will not be reclassified to profit or loss:			
	– Remeasurements of the defined benefit plans	30(vi)	(22.05)	(26.13)
	– Equity instruments through other comprehensive income		(839.64)	(1043.31)
	– Effective portion of gains/(losses) on designated portion of hedging instruments in a cash flow hedge		33.54	0.23
	– Share of other comprehensive income in Associates and Joint Ventures		(7.12)	(3.41)
	(ii) Income tax relating to items that will not be reclassified to profit or loss	29	111.65	59.58
	B (i) Items that will be reclassified to profit or loss:			
	– Exchange differences on translating the financial statements of foreign operations		131.48	352.94
	– Debt instruments through other comprehensive income		(61.73)	72.81
	– Effective portion of gains/(losses) on designated portion of hedging instruments in a cash flow hedge		(78.57)	(12.98)
	– Share of other comprehensive income in Associates and Joint Ventures		53.74	(14.45)
	(ii) Income tax relating to items that will be reclassified to profit or loss	29	35.41	(10.14)
XVI	**Other Comprehensive Income [A(i+ii)+B(i+ii)]**		**(643.29)**	**(624.86)**
XVII	**Total Comprehensive Income for the year (XV+XVI)**		**20374.86**	**34427.62**
	Profit for the year			
	Attributable to:			
	Owners of the parent		20689.47	34746.63
	Non-controlling interests		328.68	305.85
	Other Comprehensive Income			
	Attributable to:			
	Owners of the parent		(642.20)	(624.87)
	Non-controlling interests		(1.09)	0.01
	Total Comprehensive Income for the year			
	Attributable to:			
	Owners of the parent		20047.27	34121.76
	Non-controlling interests		327.59	305.86
XVIII	**Earnings per equity share (Face Value ₹ 1.00 each):**	30(ii)		
	For Continuing Operations			
	(a) Basic (in ₹)		16.52	15.78
	(b) Diluted (in ₹)		16.51	15.76
	For Discontinued Operations			
	(a) Basic (in ₹)		–	12.01
	(b) Diluted (in ₹)		–	11.99
	For Continuing and Discontinued Operations			
	(a) Basic (in ₹)		16.52	27.79
	(b) Diluted (in ₹)		16.51	27.75

The accompanying notes 1 to 33 are an integral part of the Consolidated Financial Statements.

In terms of our report attached
For S R B C & CO LLP
Chartered Accountants
Firm Registration Number: 324982E/E300003
Arvind Sethi
Partner
(Membership No.: 89802)
Kolkata, May 21, 2026

On behalf of the Board

S. PURI — *Chairman & Managing Director*
(DIN : 00280529)
S. DUTTA — *Director & Chief Financial Officer*
(DIN : 01804345)
R. K. SINGHI — *Company Secretary*
(Membership No.: FCS 3770)

Consolidated Statement of Changes in Equity for the year ended 31st March, 2026

Enduring Value

A. Equity Share capital

(₹ in Crores)

	Balance at the beginning of the reporting year	Changes in equity share capital during the year	Balance at the end of the reporting year
For the year ended 31st March, 2026	1251.41	1.54	1252.95
For the year ended 31st March, 2025	1248.47	2.94	1251.41

B. Other Equity

(₹ in Crores)

	Reserves and Surplus											Items of Other Comprehensive Income				Attributable to owners of the parent	Non-controlling interests	Total
	Capital Reserve	Securities Premium	Capital Reserve on Consolidation	Special Reserve under Section 45-IC of the RBI Act, 1934	Employees Housing Reserve under Nepal labour laws	Subsidy Reserve	Share-based Payment Reserve	Capital Redemption Reserve	Contingency Reserve	General Reserve	Retained Earnings	Debt Instruments through Other Comprehensive Income	Equity Instruments through Other Comprehensive Income	Effective portion of Cash Flow Hedges	Exchange differences on translating the financial statements of foreign operations			
Balance as at 1st April, 2025	**5.37**	**15834.70**	**0.89**	**185.22**	**81.45**	**0.14**	**422.76**	**13.98**	**363.05**	**83.41**	**49010.14**	**49.64**	**2709.94**	**(13.89)**	**31.84**	**68778.64**	**367.89**	**69146.53**
Profit for the year	–	–	–	–	–	–	–	–	–	–	20689.47	–	–	–	–	20689.47	328.68	21018.15
Other Comprehensive Income (net of tax)	–	–	–	–	–	–	–	–	–	–	(28.42)	(46.09)	(719.21)	(33.70)	185.22	(642.20)	(1.09)	(643.29)
Total Comprehensive Income for the year	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**20661.05**	**(46.09)**	**(719.21)**	**(33.70)**	**185.22**	**20047.27**	**327.59**	**20374.86**
Issue of equity shares under ITC Employee Stock Option Schemes	–	403.31	–	–	–	–	–	–	–	–	–	–	–	–	–	403.31	–	403.31
Dividends																		
– Final Dividend (2024-25 - ₹ 7.85 per share)	–	–	–	–	–	–	–	–	–	–	(9823.58)	–	–	–	–	(9823.58)	(303.86)	(10127.44)
– Interim Dividend (2025-26 - ₹ 6.50 per share)	–	–	–	–	–	–	–	–	–	–	(8144.00)	–	–	–	–	(8144.00)	–	(8144.00)
Dividend distribution tax refund received	–	–	–	–	–	–	–	–	–	–	(0.58)	–	–	–	–	(0.58)	–	(0.58)
Transfer from Share-based Payment Reserve on exercise and lapse	–	106.49	–	–	–	–	(109.98)	–	–	–	3.49	–	–	–	–	–	–	–
Transferred to initial carrying amount of hedged items (net of tax)	–	–	–	–	–	–	–	–	–	–	–	–	–	(13.72)	–	(13.72)	–	(13.72)
Transfer from/to Retained Earnings	–	–	–	10.23	–	(0.14)	–	–	–	–	(10.09)	–	–	–	–	–	–	–
Recognition of Share-based Payment	–	–	–	–	–	–	135.33	–	–	–	–	–	–	–	–	135.33	–	135.33
Acquisition of Non-controlling interests [Refer Note 30(iii)(a)]	–	–	–	–	–	–	–	–	–	(83.41)	(44.91)	–	–	–	–	(128.32)	(25.90)	(154.22)
Balance as at 31st March, 2026	**5.37**	**16344.50**	**0.89**	**195.45**	**81.45**	**–**	**448.11**	**13.98**	**363.05**	**–**	**51651.52**	**3.55**	**1990.73**	**(61.31)**	**217.06**	**71254.35**	**365.72**	**71620.07**
Balance as at 1st April, 2024	**5.46**	**14813.95**	**72.67**	**175.72**	**81.45**	**0.23**	**507.59**	**13.90**	**363.05**	**17672.57**	**36172.49**	**(9.76)**	**3700.36**	**(4.50)**	**(306.65)**	**73258.53**	**382.97**	**73641.50**
Profit for the year	–	–	–	–	–	–	–	–	–	–	34746.63	–	–	–	–	34746.63	305.85	35052.48
Other Comprehensive Income (net of tax)	–	–	–	–	–	–	–	–	–	–	(22.47)	59.40	(990.75)	(9.54)	338.49	(624.87)	0.01	(624.86)
Total Comprehensive Income for the year	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**34724.16**	**59.40**	**(990.75)**	**(9.54)**	**338.49**	**34121.76**	**305.86**	**34427.62**
Issue of equity shares under ITC Employee Stock Option Schemes	–	794.39	–	–	–	–	–	–	–	–	–	–	–	–	–	794.39	–	794.39
Dividends																		
– Final Dividend (2023-24 - ₹ 7.50 per share)	–	–	–	–	–	–	–	–	–	–	(9363.54)	–	–	–	–	(9363.54)	(285.57)	(9649.11)
– Interim Dividend (2024-25 - ₹ 6.50 per share)	–	–	–	–	–	–	–	–	–	–	(8133.11)	–	–	–	–	(8133.11)	–	(8133.11)
Dividend distribution tax refund received	–	–	–	–	–	–	–	–	–	–	19.45	–	–	–	–	19.45	–	19.45

Consolidated Statement of Changes in Equity for the year ended 31st March, 2026

Enduring Value

B. Other Equity (Contd.)

(₹ in Crores)

	Reserves and Surplus											Items of Other Comprehensive Income				Attributable to owners of the parent	Non-controlling interests	Total
	Capital Reserve	Securities Premium	Capital Reserve on Consolidation	Special Reserve under Section 45–IC of the RBI Act, 1934	Employees Housing Reserve under Nepal labour laws	Subsidy Reserve	Share-based Payment Reserve	Capital Redemption Reserve	Contingency Reserve	General Reserve	Retained Earnings	Debt Instruments through Other Comprehensive Income	Equity Instruments through Other Comprehensive Income	Effective portion of Cash Flow Hedges	Exchange differences on translating the financial statements of foreign operations			
Transfer from Equity Instruments through Other Comprehensive Income on sale of equity shares	–	–	–	–	–	–	–	–	–	–	(0.33)	–	0.33	–	–	–	–	–
Transfer from Share-based Payment Reserve on exercise and lapse	–	197.53	–	–	–	–	(199.21)	–	–	–	1.68	–	–	–	–	–	–	–
Transferred to initial carrying amount of hedged items (net of tax)	–	–	–	–	–	–	–	–	–	–	–	–	–	0.15	–	0.15	–	0.15
Recognition of Share-based Payment	–	–	–	–	–	–	137.27	–	–	–	–	–	–	–	–	137.27	–	137.27
Fair value of Demerged Undertaking distributed to the shareholders of the Company	–	–	–	–	–	–	–	–	–	(22033.37)	–	–	–	–	–	(22033.37)	–	(22033.37)
Transfer from Retained Earnings	–	–	–	9.50	–	–	–	–	–	4448.06	(4457.56)	–	–	–	–	–	–	–
Derecognised pursuant to Scheme of Demerger of Hotels business	(0.09)	28.83	(71.78)	–	–	(0.09)	(22.89)	0.08	–	(3.85)	46.90	–	–	–	–	(22.89)	(35.37)	(58.26)
Balance as at 31st March, 2025	**5.37**	**15834.70**	**0.89**	**185.22**	**81.45**	**0.14**	**422.76**	**13.98**	**363.05**	**83.41**	**49010.14**	**49.64**	**2709.94**	**(13.89)**	**31.84**	**68778.64**	**367.89**	**69146.53**

The Board of Directors of the Company have recommended Final Dividend of ₹ 8.00 per Ordinary Share of ₹ 1/- each for the financial year ended 31st March, 2026 (previous year: Final Dividend ₹ 7.85 per Ordinary Share) amounting to ₹ 10023.57 Crores. The said Final Dividend is subject to the approval of the shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

Together with the Interim Dividend of ₹ 6.50 per Ordinary Share (previous year: ₹ 6.50 per Ordinary Share) paid on 27th February, 2026, the total Equity Dividend for the financial year ended 31st March, 2026 is ₹ 14.50 per Ordinary Share (previous year: ₹ 14.35 per Ordinary Share).

Capital Reserve and Capital Reserve on Consolidation: These Reserves represent the difference between value of the net assets transferred to the Group in the course of business combinations and the consideration paid for such combinations.

Securities Premium: This Reserve represents the premium on issue of shares and can be utilized in accordance with the provisions of the Companies Act, 2013.

Special Reserve under Section 45-IC of the RBI Act, 1934: This Reserve represents profits transferred before declaration of dividend by a Company which is registered as NBFC (Non-Banking Financial Company) with the Reserve Bank of India (RBI).

Employees Housing Reserve under Nepal labour laws: This Reserve represents the amounts set aside for providing employees' housing as per the provisions of the erstwhile Labour Act, 2048 of Nepal, which has since been replaced by the Labour Act, 2074 of Nepal.

Subsidy Reserve: This Reserve represents amounts taken over by the Group in the course of business combinations.

Share-based Payment Reserve: This Reserve relates to Stock Options/Equity Settled Stock Appreciation Rights (ESARs) granted by the Company to employees under the ITC Employee Stock Option Schemes and ITC Employee Stock Appreciation Rights Scheme. This Reserve is transferred to Securities Premium or Retained Earnings on exercise or lapse of vested Options/ESARs.

Capital Redemption Reserve: This Reserve has been transferred to the Group in the course of business combinations and can be utilized in accordance with the provisions of the Companies Act, 2013.

Contingency Reserve: This Reserve has been created out of Retained Earnings, as a matter of prudence, to take care of any unforeseen adverse developments in pending legal disputes.

General Reserve: This Reserve was created by an appropriation from one component of equity (generally Retained Earnings) to another, not being an item of Other Comprehensive Income. The same can be utilized in accordance with the provisions of the Companies Act, 2013.

Retained Earnings: This Reserve represents the cumulative profits of the Group and effects of remeasurement of defined benefit obligations. This Reserve can be utilized in accordance with the provisions of the Companies Act, 2013.

Debt Instruments through Other Comprehensive Income: This Reserve represents the cumulative gains (net of losses) arising on revaluation of Debt Instruments measured at Fair Value through Other Comprehensive Income, net of amounts reclassified, if any, to profit or loss when those instruments are disposed of.

Equity Instruments through Other Comprehensive Income: This Reserve represents the cumulative gains (net of losses) arising on revaluation of Equity Instruments measured at Fair Value through Other Comprehensive Income, net of amounts reclassified, if any, to Retained Earnings when those instruments are disposed of.

Effective portion of Cash Flow Hedges: This Reserve represents the cumulative effective portion of changes in Fair Value of hedging instrument that are designated as Cash Flow Hedges. It will be reclassified to profit or loss or included in the carrying amount of the non-financial asset in accordance with the Group's accounting policy.

Exchange differences on translating the financial statements of foreign operations: This Reserve represents (a) accumulated balance of foreign exchange differences from translation of the financial statements of the Group's foreign operations arising at the time of consolidation of such entities and (b) accumulated foreign exchange differences arising on monetary items that, in substance, form part of the Group's net investment in a foreign operation. Such foreign exchange differences are recognised in Other Comprehensive Income. Exchange differences previously accumulated in this Reserve are reclassified to profit or loss on disposal of the concerned foreign operation.

The accompanying notes 1 to 33 are an integral part of the Consolidated Financial Statements.

In terms of our report attached
For S R B C & CO LLP
Chartered Accountants
Firm Registration Number: 324982E/E300003
Arvind Sethi
Partner
(Membership No.: 89802)
Kolkata, May 21, 2026

On behalf of the Board

S. PURI — *Chairman & Managing Director*
(DIN : 00280529)
S. DUTTA — *Director & Chief Financial Officer*
(DIN : 01804345)
R. K. SINGHI — *Company Secretary*
(Membership No.: FCS 3770)

Enduring Value

Consolidated Statement of Cash Flows for the year ended 31st March, 2026

	For the year ended 31st March, 2026 (₹ in Crores)		For the year ended 31st March, 2025 (₹ in Crores)	
A. Cash Flow from Operating Activities				
PROFIT BEFORE TAX FROM CONTINUING OPERATIONS		28033.39		26926.94
PROFIT BEFORE TAX FROM DISCONTINUED OPERATIONS		–		15654.65
ADJUSTMENTS FOR:				
Depreciation and amortization expense	1710.53		1950.58	
Share based payments to employees	128.00		133.79	
Finance costs	85.17		50.01	
Interest Income	(1462.23)		(1510.46)	
Dividend Income	(15.16)		(12.14)	
Net gain on sale of property, plant and equipment, lease termination	(11.56)		(135.69)	
Inventory write-offs/write-downs (net of reversals)	362.93		235.05	
Doubtful and bad debts	30.12		11.64	
Doubtful and bad advances, loans and deposits	0.62		1.95	
Impairment of investment in joint venture and associate	0.07		7.87	
Loss recognised on disposal of subsidiary	0.99		–	
Gain recognised on divestment of shares held in associate	(0.01)		–	
Share of (profit)/loss of associates and joint ventures	(377.08)		(121.77)	
Gain recognised on fair valuation of net assets distributed pursuant to Scheme of Demerger of Hotels business	–		(15583.12)	
Net gain arising on financial instruments measured at amortised cost/fair value through profit or loss/fair value through other comprehensive income	(860.01)		(896.84)	
Foreign currency translations and transactions - Net	(25.57)	(433.19)	6.78	(15862.35)
OPERATING PROFIT BEFORE WORKING CAPITAL CHANGES		27600.20		26719.24
ADJUSTMENTS FOR:				
Trade receivables, advances and other assets	468.08		(1022.80)	
Inventories and biological assets other than bearer plants	(3306.25)		(2975.38)	
Trade payables, other liabilities and provisions	75.89	(2762.28)	1256.18	(2742.00)
CASH GENERATED FROM OPERATIONS		24837.92		23977.24
Income tax paid (net of refunds)		(6373.61)		(6350.20)
NET CASH FROM OPERATING ACTIVITIES		**18464.31**		**17627.04**
B. Cash Flow from Investing Activities				
Purchase of property, plant and equipment, Intangibles, ROU asset etc.	(2182.89)		(2278.70)	
Sale of property, plant and equipment	50.45		175.42	
Purchase of current investments	(65566.51)		(65999.55)	
Sale/redemption of current investments	62370.47		66919.64	
Investment in associates	(183.09)		(29.99)	
Divestment of shares held in associate	0.01		–	
Purchase of non-current investments	(2606.33)		(373.69)	
Sale/redemption of non-current investments	3366.19		390.91	
Payment towards business combination, including cash and cash equivalents assumed/acquired [Refer Note 30(ix)]	(279.47)		(248.73)	
Dividend received from associates and joint venture	30.27		25.53	
Dividend received from others	15.16		12.14	
Interest received	917.01		1072.28	
Investment in bank deposits (original maturity more than 3 months)	(1449.33)		(6256.85)	
Redemption/maturity of bank deposits (original maturity more than 3 months)	3762.04		6931.16	
Investment in deposit with financial institution	(1768.50)		(1200.00)	
Maturity of deposit with financial institution	1200.00		500.00	
Loans given to employees	(9.53)		(17.55)	
Loans realised from employees	13.31		13.88	
NET CASH USED IN INVESTING ACTIVITIES		**(2320.74)**		**(364.10)**

Consolidated Statement of Cash Flows for the year ended 31st March, 2026

	For the year ended 31st March, 2026 (₹ in Crores)	For the year ended 31st March, 2025 (₹ in Crores)
C. Cash Flow from Financing Activities		
Proceeds from issue of share capital	404.85	797.33
Proceeds from current borrowings	2060.50	89.50
Repayment of current borrowings	(96.44)	(52.50)
Proceeds from non-current borrowings	60.00	–
Repayment of non-current borrowings	(8.87)	(1.52)
Principal payment of lease liabilities	(68.24)	(65.52)
Interest paid	(81.70)	(50.01)
Acquisition of non-controlling interest	(154.22)	–
Net increase in statutory restricted accounts balances	9.02	8.09
Dividend paid	(18271.44)	(17782.22)
Dividend distribution tax (paid)/refund received	(0.58)	19.45
NET CASH USED IN FINANCING ACTIVITIES	**(16147.12)**	**(17037.40)**
NET (DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS	**(3.55)**	**225.54**
OPENING CASH AND CASH EQUIVALENTS	**622.38**	**596.58**
LESS: ON DEMERGER OF HOTELS BUSINESS	**–**	**199.74**
CLOSING CASH AND CASH EQUIVALENTS	**618.83**	**622.38**

Notes:

1. The above Statement of Cash Flows has been prepared under the "Indirect Method" as set out in Ind AS 7 - Statement of Cash Flows.
2. **CASH AND CASH EQUIVALENTS:**

	As at 31st March, 2026	As at 31st March, 2025
Cash and cash equivalents (Note 13)	643.46	620.00
Less: Cash credit facilities (Note 16)	25.22	–
Less: Unrealised gain/(loss) on foreign currency cash and cash equivalents	(0.59)	(2.38)
Cash and cash equivalents as per Statement of Cash Flows	618.83	622.38

3. Net Cash Flow from Operating Activities includes an amount of ₹ 503.21 Crores (2025 - ₹ 456.51 Crores) spent towards Corporate Social Responsibility.
4. Disclosure of non-cash movement arising from financing activities in respect of lease liabilities - Refer Note 17.

The accompanying notes 1 to 33 are an integral part of the Consolidated Financial Statements.

In terms of our report attached
For S R B C & CO LLP
Chartered Accountants
Firm Registration Number: 324982E/E300003
Arvind Sethi
Partner
(Membership No.: 89802)

Kolkata, May 21, 2026

On behalf of the Board

S. PURI — *Chairman & Managing Director*
(DIN : 00280529)
S. DUTTA — *Director & Chief Financial Officer*
(DIN : 01804345)
R. K. SINGHI — *Company Secretary*
(Membership No.: FCS 3770)

Enduring Value

Notes to the Consolidated Financial Statements

Group Information

ITC Limited (the 'Holding Company') [CIN: L16005WB1910PLC001985] is a public limited company domiciled in India with its registered office located at Virginia House, 37 Jawaharlal Nehru Road, Kolkata 700 071. The Holding Company's shares are listed on the National Stock Exchange of India Limited and BSE Limited. The Holding Company and its subsidiaries (together referred to as the 'Group') has presence in multiple businesses spanning Fast-Moving Consumer Goods (Cigarettes & Cigars, Foods, Personal Care Products, Education & Stationery Products, Safety Matches and Agarbattis), Paperboards, Paper and Packaging, Agri Business and Information Technology.

1. Material Accounting Policies

Statement of Compliance

These financial statements have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under Section 133 of the Companies Act, 2013 and amendments thereto. The financial statements have also been prepared in accordance with the relevant presentation requirements of the Companies Act, 2013. The Group adopted Ind AS from 1st April, 2016.

Basis of Preparation

The financial statements are prepared in accordance with the historical cost convention, except for certain items that are measured at amortised cost or fair value, as explained in the accounting policies.

Fair Value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or a liability, the Group takes into account the characteristics of the asset or liability if market participants would take those characteristics into account when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these consolidated financial statements is determined on such a basis, except for share-based payment transactions that are within the scope of Ind AS 102 – Share-based Payment, leasing transactions that are within the scope of Ind AS 116 – Leases, and measurements that have some similarities to fair value but are not fair value, such as net realisable value in Ind AS 2 – Inventories or value in use in Ind AS 36 – Impairment of Assets.

The preparation of financial statements in conformity with Ind AS requires management to make judgements, estimates and assumptions that affect the application of the accounting policies and the reported amounts of assets and liabilities, the disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the year. Actual results could differ from those estimates. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period; they are recognised in the period of the revision and future periods if the revision affects both current and future periods.

Basis of Consolidation

The Consolidated Financial Statements (CFS) include the financial statements of the Company and its subsidiaries together with the share of the total comprehensive income of joint ventures and associates.

Subsidiaries are entities controlled by the Group. Associates are entities over which the Group exercise significant influence but does not control. Joint Ventures ("JV") are entities in which the Group has the ability to exercise control jointly with one or more uncontrolled entities and the parties have proportionate interests in the assets and liabilities of the JV entity.

Control, significant influence and joint control is assessed annually with reference to the voting power (usually arising from equity shareholdings and potential voting rights) and other rights (usually contractual) enjoyed by the Group in its capacity as an investor that provides it the power and consequential ability to direct the investee's activities and significantly affect the Group's returns from its investment. Such assessment requires the exercise of judgement and is disclosed by way of a note to the Financial Statements. The Group is considered not to be in control of entities where it is unclear as to whether it enjoys such power over the investee.

The assets, liabilities, income and expenses of subsidiaries are aggregated and consolidated, line by line, from the date control is acquired by any Group entity to the date it ceases. Profit or loss and each component of other comprehensive income are attributed to the Group as owners and to the non-controlling interests. The Group presents the non-controlling interests in the Balance Sheet within equity, separately from the equity of the Group as owners. The excess of the Group's investment in a subsidiary over its share in the net worth of such subsidiary on the date control is acquired is treated as goodwill while a deficit is considered as a capital reserve in the CFS.

An investment in an associate or a JV is initially recognised at cost on the date of the investment, and inclusive of any goodwill/capital reserve embedded in the cost, in the Balance Sheet. The proportionate share of the Group in the net profits/losses as also in the other comprehensive income is recognised in the Statement of Profit and Loss and the carrying value of the investment is adjusted by a like amount (referred as 'equity method').

Notes to the Consolidated Financial Statements

1. Material Accounting Policies (Contd.)

All intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation. While preparing CFS, appropriate adjustments are made to subsidiaries / associates / JVs financial statements to ensure conformity with the Group's accounting policies.

Operating Cycle

All assets and liabilities have been classified as current or non-current as per the Group's normal operating cycle and other criteria set out in the Schedule III to the Companies Act, 2013 and Ind AS 1 – Presentation of Financial Statements based on the nature of products and the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The Group has identified twelve months as its operating cycle.

Property, Plant and Equipment

Property, plant and equipment (PP&E) are stated at cost of acquisition or construction less accumulated depreciation and accumulated impairment, if any. For this purpose, cost includes deemed cost which represents the carrying value of PP&E recognised as at 1st April, 2015 measured as per the previous Generally Accepted Accounting Principles (GAAP).

Cost is inclusive of inward freight, import duties & non-refundable taxes and incidental expenses related to acquisition. In respect of major projects involving construction, related pre-operational expenses form part of the value of assets capitalised. Expenses capitalised also include applicable borrowing costs for qualifying assets, if any. All upgradation / enhancements are charged off as revenue expenditure unless they bring similar significant additional benefits.

An item of PP&E is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of asset. Any gain or loss arising on the disposal or retirement of an item of PP&E is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the Statement of Profit and Loss.

Depreciation of these assets commences when the assets are ready for their intended use, which is generally on commissioning. Items of PP&E are depreciated in a manner that amortizes the cost (or other amount substituted for cost) of the assets after commissioning, less its residual value, over their useful lives as specified in Schedule II of the Companies Act, 2013 on a straight-line basis. Land is not depreciated.

The estimated useful lives of PP&E of the Group are as follows:

Buildings	30-60 Years
Leasehold Improvements	Shorter of lease period or estimated useful lives
Plant and Equipment	3-25 Years
Furniture and Fixtures	8-10 Years
Vehicles	8-10 Years
Office Equipment	5 Years

PP&E's residual values, useful lives and method of depreciation are reviewed at each Balance Sheet date and changes, if any, are treated as changes in accounting estimate.

Goodwill and Other Intangible Assets

Goodwill

Goodwill arising on Business Combination is carried at cost less any accumulated impairment losses. The Group also presents the excess of the Group's investment in a subsidiary over its share in the net worth of such subsidiary on the date control is acquired as goodwill arising on consolidation.

Goodwill is annually tested for impairment. Impairment loss, if any, to the extent the carrying amount exceeds the recoverable amount is charged off to the Statement of Profit and Loss as it arises and is not reversed. For impairment testing, goodwill is allocated to Cash Generating Unit (CGU) or group of CGUs to which it relates, which is not larger than an operating segment, and is monitored for internal management purposes.

On disposal of the CGU or group of CGUs, attributable amount of goodwill is included in the determination of the profit or loss recognised in the Statement of Profit and Loss.

Other Intangible Assets

Other Intangible Assets that the Group controls and from which it expects future economic benefits are capitalised upon acquisition and measured initially:

a. for assets acquired in a business combination, at fair value on the date of acquisition.

b. for separately acquired assets, at cost comprising the purchase price (including import duties and non-refundable taxes) and directly attributable costs to prepare the asset for its intended use.

Internally generated assets for which the cost is clearly identifiable are capitalised at cost. Research expenditure is recognised as an expense when it is incurred. Development costs are capitalised only after the technical and commercial feasibility of the asset for sale or use has been established.

Notes to the Consolidated Financial Statements

1. Material Accounting Policies (Contd.)

Thereafter, all directly attributable expenditure incurred to prepare the asset for its intended use are recognised as the cost of such assets. Internally generated brands, websites and customer lists are not recognised as intangible assets.

The carrying value of intangible assets includes deemed cost which represents the carrying value of intangible assets recognised as at 1st April, 2015 measured as per the previous GAAP.

After initial recognition, an intangible asset is carried at its cost less accumulated amortization and/or impairment losses.

The useful life of an intangible asset is considered finite where the rights to such assets are limited to a specified period of time by contract or law (e.g. patents, licences, trademarks, franchise and servicing rights) or the likelihood of technical, technological obsolescence (e.g. computer software, design, prototypes) or commercial obsolescence (e.g. lesser known brands to which adequate marketing support may not be provided). If, there are no such limitations, the useful life is taken to be indefinite.

Intangible assets that have finite lives are amortized over their estimated useful lives by the straight-line method unless it is practical to reliably determine the pattern of benefits arising from the asset. An intangible asset with an indefinite useful life is not amortized. However, it is annually tested for impairment. Amortization expenses and impairment losses and reversal of impairment losses are included in the 'Depreciation and amortization expense' in the Statement of Profit and Loss.

The estimated useful lives of intangible assets of the Group with finite lives are as follows:

Trademarks/Know How, Business and Commercial Rights	10-30 Years (unless shorter useful life is required based on contractual or legal terms)
Computer Software	3-5 Years
Customer Relationships/ Contracts	5-8 Years
Business Alliances/ Partnerships	7 Years
Software Tools	6 Years
Sourcing Network	7 Years

The useful lives of intangible assets are reviewed annually to determine if a reset of such useful life is required for assets with finite lives and to confirm that business circumstances continue to support an indefinite useful life assessment for assets so classified. Based on such review, the useful life may change or the useful life assessment may change from indefinite to finite. The impact of such changes is accounted for as a change in accounting estimate.

Investment Property

Properties that are held for long-term rental yields and/or for capital appreciation are classified as investment properties. Investment properties are stated at cost of acquisition or construction less accumulated depreciation and accumulated impairment, if any. Depreciation is recognised using the straight-line method so as to amortize the cost of investment properties over their useful lives as specified in Schedule II of the Companies Act, 2013. Freehold land and properties under construction are not depreciated. The estimated useful lives of investment properties are same as those disclosed for PP&E.

Transfers to, or from, investment properties are made at the carrying amount when and only when there is a change in use.

An item of investment property is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of asset. Any gain or loss arising on the disposal or retirement of an item of investment property is determined as the difference between the sales proceeds and the carrying amount of the property and is recognised in the Statement of Profit and Loss.

Income received from investment property is recognised in the Statement of Profit and Loss on a straight-line basis over the term of the lease.

Impairment of Assets

Impairment loss, if any, is provided to the extent, the carrying amount of assets or CGU exceeds their recoverable amount.

Recoverable amount is higher of an asset's fair value less costs of disposal and its value in use. Value in use is the present value of estimated future cash flows expected to arise from the continuing use of an asset or CGU and from its disposal at the end of its useful life.

Impairment losses recognised in prior years are reversed when there is an indication that the impairment losses recognised no longer exist or have decreased. Such reversals are recognised as an increase in carrying amounts of assets to the extent that it does not exceed the carrying amounts that would have been determined (net of amortization or depreciation) had no impairment loss been recognised in previous years.

Inventories

Inventories are stated at lower of cost and net realisable value. The cost is calculated on weighted average method. Cost comprises expenditure incurred in the normal course of business in bringing such inventories to their present location and condition and includes, where applicable, appropriate overheads based on normal level of activity. Net realisable value is the estimated selling price less estimated costs for completion and sale.

Notes to the Consolidated Financial Statements

1. Material Accounting Policies (Contd.)

Obsolete, slow moving and defective inventories are identified from time to time and, where necessary, a provision is made for such inventories.

Foreign Currency Transactions

The presentation currency of the Group is Indian Rupee. Transactions in foreign currency are accounted for at the exchange rate prevailing on the transaction date. Gains/losses arising on settlement, as also on translation of monetary items are recognised in the Statement of Profit and Loss.

Exchange differences arising on monetary items that, in substance, form part of the Group's net investment in a foreign operation (having a functional currency other than Indian Rupee) are recognised in other comprehensive income and accumulated in Foreign Currency Translation Reserve.

For the preparation of the consolidated financial statements:

(a) assets and liabilities of foreign operations, together with goodwill and fair value adjustments assumed on acquisition thereof, are translated to Indian Rupees at exchange rates prevailing at the reporting period end;

(b) income and expense items are translated at the average exchange rates prevailing during the period; when exchange rates fluctuate significantly the rates prevailing on the transaction date are used instead.

Differences arising on such translation are recognised in other comprehensive income and accumulated in Foreign Currency Translation Reserve and attributed to non-controlling interests proportionately.

On the disposal of a foreign operation, all of the exchange differences accumulated in equity in respect of that operation attributable to the owners of the Group is reclassified to the Statement of Profit and Loss. In relation to a partial disposal, the proportionate exchange differences accumulated in equity is reclassified to the Statement of Profit and Loss.

Derivatives and Hedge Accounting

Derivatives are initially recognised at fair value and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gains/losses are recognised in the Statement of Profit and Loss immediately unless the derivative is designated and effective as a hedging instrument, in which case the resulting gain/loss is recognised as per the hedge accounting principles stated below.

The Group complies with the principles of hedge accounting where derivative contracts and/or non-derivative financial assets/liabilities that are permitted under applicable accounting standards are designated as hedging instruments. At the inception of the hedge relationship, the Group documents the relationship between the hedging instrument and the hedged item, along with the risk management objectives and its strategy for undertaking hedge transaction, which can be a fair value hedge or a cash flow hedge.

(i) Fair value hedges

Changes in fair value of the designated portion of hedging instruments that qualify as fair value hedges are recognised in the Statement of Profit and Loss immediately, together with any changes in the fair value of the hedged asset or liability that are attributable to the hedged risk. Such fair value changes are recognised in the line item relating to the hedged item in the Statement of Profit and Loss.

Hedge accounting is discontinued when the hedging instrument is derecognised, expires or is sold, terminated, or exercised, or when it no longer qualifies for hedge accounting. The fair value adjustment to the carrying amount of the hedged item arising from the hedged risk is included in the Statement of Profit and Loss from that date.

(ii) Cash flow hedges

The effective portion of changes in the fair value of hedging instruments that are designated and qualify as cash flow hedges is recognised in the other comprehensive income and accumulated as 'Cash Flow Hedge Reserve'. The gains/losses relating to the ineffective portion are recognised immediately in the Statement of Profit and Loss.

Amounts previously recognised and accumulated in other comprehensive income are reclassified to profit or loss when the hedged item affects the Statement of Profit and Loss. However, when the hedged item results in the recognition of a non-financial asset, such gains/losses are transferred from equity (but not as reclassification adjustment) and included in the initial measurement cost of the non-financial asset.

Hedge accounting is discontinued when the hedging instrument is derecognised, expires or is sold, terminated, or exercised, or when it no longer qualifies for hedge accounting. Any gains/losses recognised in other comprehensive income and accumulated in equity at that time remain in equity and is reclassified when the underlying transaction is ultimately recognised. When an underlying transaction is no longer expected to occur, the gains/losses accumulated in equity are recognised immediately in the Statement of Profit and Loss.

Notes to the Consolidated Financial Statements

1. Material Accounting Policies (Contd.)

Investment in Associates and Joint Ventures

Investment in associates and joint ventures are accounted for using the 'equity method' less accumulated impairment, if any.

Financial instruments, Financial assets, Financial liabilities and Equity instruments

Financial assets and financial liabilities are recognised when the Group becomes a party to the contractual provisions of the relevant instrument and are initially measured at fair value except for trade receivables that do not contain a significant financing component, which are measured at transaction price.

Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities measured at fair value through profit or loss) are added to or deducted from the fair value on initial recognition of financial assets or financial liabilities. Purchase or sale of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date when the Group commits to purchase or sell the asset.

Financial Assets

Recognition: Financial assets include Investments, Trade receivables, Advances, Security deposits, Cash and cash equivalents. Such assets are initially recognised at fair value or transaction price, as applicable, when the Group becomes party to contractual obligations. The transaction price includes transaction costs unless the asset is being fair valued through the Statement of Profit and Loss.

Classification: Management determines the classification of an asset at initial recognition depending on the purpose for which the assets were acquired. The subsequent measurement of financial assets depends on such classification.

Financial assets are classified as those measured at:

(a) amortised cost, where the financial assets are held solely for collection of cash flows arising from payments of principal and/or interest.

(b) fair value through other comprehensive income (FVTOCI), where the financial assets are held not only for collection of cash flows arising from payments of principal and interest but also from the sale of such assets. Such assets are subsequently measured at fair value, with unrealised gains and losses arising from changes in the fair value being recognised in other comprehensive income.

(c) fair value through profit or loss (FVTPL), where the assets are managed in accordance with an approved investment strategy that triggers purchase and sale decisions based on the fair value of such assets. Such assets are subsequently measured at fair value. Unrealised gains and losses arising from changes in the fair value, including interest income and dividend income, if any, are recognised in 'other income' in the Statement of Profit and Loss in the period in which they arise.

Trade receivables, Advances, Security deposits, Cash and cash equivalents etc. are classified for measurement at amortised cost while investments may fall under any of the aforesaid classes. However, in respect of particular investments in equity instruments that would otherwise be measured at fair value through profit or loss, an irrevocable election at initial recognition may be made to present subsequent changes in fair value through other comprehensive income.

Impairment: The Group assesses at each reporting date whether a financial asset (or a group of financial assets) such as Investments, Trade receivables, Advances and Security deposits held at amortised cost and financial assets that are measured at fair value through other comprehensive income are tested for impairment based on evidence or information that is available without undue cost or effort. Expected credit losses are assessed and loss allowances recognised if the credit quality of the financial asset has deteriorated significantly since initial recognition.

Reclassification: When and only when the business model is changed, the Group shall reclassify all affected financial assets prospectively from the reclassification date as subsequently measured at amortised cost, fair value through other comprehensive income or fair value through profit or loss without restating the previously recognised gains, losses or interest and in terms of the reclassification principles laid down in the Ind AS relating to Financial Instruments.

Derecognition: Financial assets are derecognised when the right to receive cash flows from the assets has expired, or has been transferred, and the Group has transferred substantially all of the risks and rewards of ownership. Concomitantly, if the asset is one that is measured at:

(a) amortised cost, the gain or loss is recognised in the Statement of Profit and Loss;

(b) fair value through other comprehensive income, the cumulative fair value adjustments previously taken to reserves are reclassified to the Statement of Profit and Loss unless the asset represents an equity investment, in which case the cumulative fair value adjustments previously taken to reserves are reclassified within equity.

Income Recognition: Interest income is recognised in the Statement of Profit and Loss using the effective interest method. Dividend income is recognised in the Statement of Profit and Loss when the right to receive dividend is established.

Notes to the Consolidated Financial Statements

1. Material Accounting Policies (Contd.)

Financial Liabilities

Borrowings, trade payables and other financial liabilities are initially recognised at fair value and are subsequently measured at amortised cost (other than those mandatorily measured at fair value). Any discount or premium on redemption / settlement is recognised in the Statement of Profit and Loss as finance cost over the life of the liability using the effective interest method and adjusted to the liability figure disclosed in the Balance Sheet.

Financial liabilities are derecognised when the liability is extinguished, that is, when the contractual obligation is discharged, cancelled or on expiry.

Offsetting Financial Instruments

Financial assets and liabilities are offset and the net amount is included in the Balance Sheet where there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

Equity Instruments

Equity instruments are recognised at the value of the proceeds, net of direct costs of the capital issue.

Revenue

Revenue is measured at the transaction price that the Company receives or expects to receive as consideration for goods supplied and services rendered, net of returns and estimates of variable consideration such as discounts to customers. Revenue from the sale of goods is shown to include Excise Duties and National Calamity Contingent Duty which are payable on manufacture of goods but excludes taxes such as VAT and Goods and Services Tax which are payable in respect of sale of goods and services.

Revenue from the sale of goods and services is recognised when the Group performs its obligations to its customers and the amount of revenue can be measured reliably and recovery of the consideration is probable. The timing of such recognition in case of sale of goods is when the control over the same is transferred to the customer, which is mainly upon delivery and in case of services, in the period in which such services are rendered.

Government Grant

Group entities may receive government grants that require compliance with certain conditions related to the entity's operating activities or are provided to the entity by way of financial assistance on the basis of certain qualifying criteria.

Government grants are recognised when there is reasonable assurance that the grant will be received upon the Group entity complying with the conditions attached to the grant. Accordingly, government grants:

(a) related to or used for assets, are deducted from the carrying amount of the asset.

(b) related to incurring specific expenditures are taken to the Statement of Profit and Loss on the same basis and in the same periods as the expenditures incurred.

(c) by way of financial assistance on the basis of certain qualifying criteria are recognised in the Statement of Profit and Loss as they become receivable.

In the unlikely event that a grant previously recognised is ultimately not received, it is treated as a change in estimate and the amount cumulatively recognised is expensed in the Statement of Profit and Loss.

Dividend Distribution

Dividends paid (including income tax thereon, if any) are recognised in the period in which the interim dividends are approved by the Board of Directors, or in respect of the final dividend when approved by the shareholders.

Employee Benefits

Short-term employee benefits are expensed in the period in which the employee renders the related service on an undiscounted basis. A liability is recognised for the amount expected to be paid within twelve months, if the Company has a present legal or constructive obligation to pay the same as a result of past service provided by the employee and the obligation can be reliably estimated.

The Group makes contributions to both defined benefit and defined contribution schemes which are mainly administered through duly constituted and approved Trusts.

Provident Fund contributions are in the nature of defined contribution scheme. In respect of employees who are members of constituted and approved trusts, the Group recognises contribution payable to such trusts as an expense including any shortfall in interest between the amount of interest realised by the investment and the interest payable to members at the rate declared by the Government of India. In respect of other employees, provident funds are deposited with the Government administered funds and recognised as expense.

The Group makes contribution to defined contribution pension plan. The contribution payable is recognised as an expense, when an employee renders the related service.

The Group also makes contribution to defined benefit pension and gratuity plan. The cost of providing benefits under the defined benefit obligation is calculated by independent actuary using the projected unit credit method.

Notes to the Consolidated Financial Statements

1. Material Accounting Policies (Contd.)

Service costs and net interest expense or income is reflected in the Statement of Profit and Loss. Gain or Loss on account of remeasurements are recognised immediately through other comprehensive income in the period in which they occur.

The employees of the Group are entitled to compensated leave for which the Group records the liability based on actuarial valuation computed using projected unit credit method. These benefits are unfunded.

Actual disbursements made under the Workers' Voluntary Retirement Scheme are accounted as revenue expenses.

Employee Share Based Compensation

Equity Settled Share Based Payment Plans

Equity settled Stock Options / Stock Appreciation Rights ('ESARs') are granted to eligible employees under the ITC Employee Stock Option Schemes ('ITC ESOS') and ITC Employee Stock Appreciation Rights Scheme ('ITC ESAR'), as may be decided by the Nomination & Compensation Committee / Board. Further, eligible employees of the Company have been granted equity settled Stock Options under the ITC Hotels Special Purpose Employee Stock Option Scheme ('ITCHL SP ESOS'), in terms of the 'Scheme of Arrangement between the Company and ITC Hotels Limited, and their respective shareholders and creditors'.

Under Ind AS, the cost of equity settled Stock Options / ESARs is recognised based on the fair value of Stock Options / ESARs as on the grant date.

The fair value of Stock Options / ESARs granted to the employees of the Group is recognised as employee benefits expense in the Statement of Profit and Loss over the period in which the performance and / or service conditions are fulfilled with a corresponding credit in equity for ITC ESOS / ITC ESAR and recognised as a financial liability for ITCHL SP ESOS. The fair value of Stock Options / ESARs, net of recoveries, granted to employees on deputation or secondment and to employees of the group companies is considered as capital contribution / investment.

The Group generally recovers the fair value of Stock Options / ESARs from such group companies, as applicable. It may, if recommended by the Corporate Management Committee and approved by the Audit Committee, decide not to seek such recovery in respect of value of Stock Options from such companies, who need to conserve financial capacity to sustain their business and growth plans and where the quantum of reimbursement is not material - the materiality threshold being ₹ 5 Crores for each entity for a financial year.

Cash Settled Stock Appreciation Linked Reward (SAR) Plan

Cash Settled SAR units have been granted to eligible employees under the ITC Employee Cash Settled Stock Appreciation Linked Reward Plan, as may be decided by the CMC / Nomination & Compensation Committee / Board.

For such cash settled SAR units, a liability is initially measured at fair value on the grant date and is subsequently remeasured at each reporting period, until settled. The fair value of Cash Settled SAR units granted is recognised as employee benefits expense in the Statement of Profit and Loss over the period in which the performance and / or service conditions are fulfilled for employees of the Group. In case of Cash Settled SAR units granted to employees on deputation or secondment and to employees of the group companies, the Group generally recovers the fair value of Cash Settled SAR units from the concerned group companies.

Stock options granted by a subsidiary

The Board of Directors of a subsidiary have approved an Equity Based Long Term Incentive Plan for certain eligible employees of the Group under the ITC Infotech India Limited Employee Stock Option Plan 2024. The eligible employees for this purpose shall be such permanent employees, as may be determined by the Nomination and Remuneration Committee of the subsidiary.

These Options have been recognised as cash-settled options and accordingly, a liability is initially measured at fair value on the grant date and is subsequently remeasured at each reporting period, until settled. The fair value of the Options granted is recognised in the Statement of Profit and Loss over the period in which the performance and / or service conditions are fulfilled for employees of the Group.

Leases

The Group assesses at contract inception whether a contract is, or contains, a lease. A contract is, or contains, a lease if it conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a Lessee

Right-of-Use (ROU) assets are recognised at inception of a contract or arrangement for significant lease components at cost less lease incentives, if any. ROU assets are subsequently measured at cost less accumulated depreciation and accumulated impairment losses, if any. The cost of ROU assets includes the amount of lease liabilities recognised, initial direct cost incurred and lease payments made at or before the lease commencement date. ROU assets are generally depreciated over the shorter of the lease term and estimated useful lives of the underlying assets on a straight-line basis. Lease term is determined

Notes to the Consolidated Financial Statements

1. Material Accounting Policies (Contd.)

based on consideration of facts and circumstances that create an economic incentive to exercise an extension option, or not to exercise a termination option. Lease payments associated with short-term leases (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option) and low value leases (i.e., where the value of the underlying asset, when new, in order of magnitude is ₹ 5 lakhs or less) are charged to the Statement of Profit and Loss on a straight-line basis over the term of the relevant lease.

The Group recognises lease liabilities measured at the present value of lease payments to be made on the date of recognition of the lease. Such lease liabilities do not include variable lease payments (that do not depend on an index or a rate), which are recognised as expense in the periods in which they are incurred. Interest on lease liability is recognised using the effective interest method. Lease liabilities are subsequently increased to reflect the accretion of interest and reduced for the lease payments made. The carrying amount of lease liabilities is also remeasured upon modification of lease arrangement or upon change in the assessment of the lease term. The effect of such remeasurements is adjusted to the value of the ROU assets.

Group as a Lessor

Leases in which the Group does not transfer substantially all the risks and rewards of ownership of an asset are classified as operating leases. Where the Group is a lessor under an operating lease, the asset is capitalised within property, plant and equipment or investment property and depreciated over its useful economic life. Payments received under operating leases are recognised in the Statement of Profit and Loss on a straight-line basis over the term of the lease.

Taxes on Income

Taxes on income comprise current taxes and deferred taxes. Current tax in the Statement of Profit and Loss is provided as the amount of tax payable in respect of taxable income for the period using tax rates and tax laws enacted during the period, together with any adjustment to tax payable in respect of previous years.

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities and the amounts used for taxation purposes (tax base), at the tax rates and tax laws enacted or substantively enacted by the end of the reporting period.

Deferred tax assets are recognised for the future tax consequences to the extent it is probable that future taxable profits will be available against which the deductible temporary differences can be utilised.

Income tax, insofar as it relates to items disclosed under other comprehensive income or equity, is disclosed separately under other comprehensive income or equity, as applicable.

Deferred tax assets and liabilities are offset when there is legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset where the entity has a legally enforceable right to offset and intends either to settle on net basis, or to realise the asset and settle the liability simultaneously.

Claims

Claims against the Group not acknowledged as debts are disclosed after a careful evaluation of the facts and legal aspects of the matter involved.

Provisions

Provisions are recognised when, as a result of a past event, the Group has a legal or constructive obligation; it is probable that an outflow of resources will be required to settle the obligation; and the amount can be reliably estimated. The amount so recognised is a best estimate of the consideration required to settle the obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation.

In an event when the time value of money is material, the provision is carried at the present value of the cash flows estimated to settle the obligation.

Operating Segments

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker (CODM). The CODM, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Corporate Management Committee.

Segments are organised based on businesses which have similar economic characteristics as well as exhibit similarities in nature of products and services offered, the nature of production processes, the type and class of customer and distribution methods.

Segment revenue arising from third party customers is reported on the same basis as revenue in the financial statements. Inter-segment revenue is reported on the basis of transactions which are primarily market led. Segment results represent profits before finance costs, unallocated corporate expenses and taxes.

Unallocated Corporate Expenses include revenue and expenses that relate to initiatives/costs attributable to the Group as a whole.

Notes to the Consolidated Financial Statements

2. Use of estimates and judgements

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities at the date of the financial statements and the results of operations during the reporting period end. Although these estimates are based upon management's best knowledge of current events and actions, actual results could differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

A. Judgements in applying accounting policies

The following are the judgements, apart from those involving estimations (see note B below), that the Group has made in the process of applying the accounting policies and that have a significant effect on the amounts recognised in the consolidated financial statements:

1. **Control:**

   The Group assessed whether or not it has control on its investees based on whether, as an investor, it has the power/rights and consequently the practical ability to direct the relevant activities of its investees unilaterally. In making this judgement, the Group considered the absolute size of its holding, the relative size of and dispersion of other shareholders, and whether any contractual arrangements exist between the Company (and its subsidiaries) and other shareholders of the investees. Based on this, and in accordance with its Accounting Policy, the Group has determined that the entities listed in the notes to the financial statements are the only entities over which Group has control.

   The Company is a settlor for certain trusts, i.e., ITC Sangeet Research Academy, ITC Education and Health Care Trust and ITC Rural Development Trust. The Group while considering the nature and insignificant variability of its return has concluded that it does not 'control' these trusts.

2. **Significant influence:**

   The Group assessed whether or not it has significant influence on its investees based on its practical ability to participate in the financial and operating policy decisions of the investee, though it is not in control or in joint control of these policies. Based on such assessment, the Group determined that the entities listed in the notes to the financial statements are the only entities over which the Group has significant influence, and accordingly recognised as associates.

3. **Joint Control:**

   (i) The Group holds 27.90% of the equity share capital of Logix Developers Private Limited, a company intended for the purpose of developing a luxury hotel-cum-service apartment complex. The Group has concluded that the key decisions about relevant activities of such company are made jointly between the Group and the co-venturer (who holds 72.10% of the equity share capital) and both the parties have rights to the net assets of such arrangement.

   (ii) The Group holds 50% of the equity share capital of ITC Filtrona Limited, a company involved in manufacture and sale of filter rods. The Group has concluded that the key decisions about relevant activities of such company are made jointly between the Group and the co-venturer (who holds 50% of the equity share capital) and both the parties have rights to the net assets of such arrangement.

4. **Useful life of Intangible Assets:**

   The Group is required to determine whether its intangible assets have indefinite or finite life which is a subject matter of judgement. Certain trademarks have been considered as having an indefinite useful life taking into account that there are no technical, technological or commercial risks of obsolescence or limitations under contract or law. Other intangible assets have been amortised over their useful economic life. Refer notes to the financial statements.

Notes to the Consolidated Financial Statements

2. Use of estimates and judgements (Contd.)

B. Key sources of estimation uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period that may have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

1. **Useful lives of property, plant and equipment, investment property and intangible assets:**

   As described in the material accounting policies, the Group reviews the estimated useful lives of property, plant and equipment, investment property and intangible assets at the end of each reporting period and the impact of changes in the estimated useful life is considered in the period in which the estimate is revised.

2. **Fair value measurements and valuation processes:**

   Some of the Group's assets and liabilities are measured at fair value for financial reporting purposes. In estimating the fair value of an asset or a liability, the Group uses market-observable data to the extent it is available. Where Level 1 inputs are not available, the Group engages third party valuers, where required, to perform the valuation. Information about the valuation techniques and inputs used in determining the fair value of various assets, liabilities and share based payments are disclosed in the notes to the financial statements.

3. **Actuarial Valuation:**

   The determination of Group's liability towards defined benefit obligation to employees is made through independent actuarial valuation including determination of amounts to be recognised in the Statement of Profit and Loss and in other comprehensive income. Such valuation depends upon assumptions determined after taking into account inflation, seniority, promotion and other relevant factors such as supply and demand factors in the employment market. Information about such valuation is provided in the notes to the financial statements.

4. **Claims, Provisions and Contingent Liabilities:**

   The Group has ongoing litigations with various regulatory authorities and third parties. Where an outflow of funds is believed to be probable and a reliable estimate of the outcome of the dispute can be made based on management's assessment of specific circumstances of each dispute and relevant external advice, management provides for its best estimate of the liability. Such accruals are by nature complex and can take number of years to resolve and can involve estimation uncertainty. Information about such litigations is provided in the notes to the financial statements.

Enduring Value

Notes to the Consolidated Financial Statements

(₹ in Crores)

Particulars	Gross Block											
	As at 31st March, 2024	Acquired through Business Combination	Additions	Withdrawals and adjustments[#]	Transferred pursuant to Scheme of Demerger of Hotels business	Foreign Currency Translation Reserve adjustments	As at 31st March, 2025	Acquired through Business Combination[@]	Additions	Withdrawals and adjustments[#]	Foreign Currency Translation Reserve adjustments	As at 31st March, 2026
3A. Property, Plant and Equipment[1]												
Land[2]	2113.34	–	74.34	3.92	1012.21	–	1171.55	6.12	141.94	7.08	–	1312.53
Buildings	10561.94	–	1191.57	2.71	4527.11	18.38	7242.07	0.14	194.14	(2.38)	0.01	7438.74
Leasehold Improvements	31.34	–	3.13	0.16	7.56	–	26.75	–	6.30	2.51	0.03	30.57
Plant and Equipment	20676.51	0.32	1879.75	205.73	2972.00	11.83	19390.68	9.79	1115.62	125.70	1.85	20392.24
Furniture and Fixtures	1068.08	–	551.84	7.37	1342.80	12.61	282.36	0.77	23.18	2.00	0.16	304.47
Vehicles	189.19	–	28.68	19.63	62.74	0.07	135.57	0.44	12.20	11.06	0.11	137.26
Office Equipment	53.09	–	13.33	2.23	1.42	0.11	62.88	–	13.57	2.10	0.18	74.53
Railway Sidings	1.73	–	–	–	–	–	1.73	–	–	0.01	–	1.72
TOTAL	**34695.22**	**0.32**	**3742.64**	**241.75**	**9925.84**	**43.00**	**28313.59**	**17.26**	**1506.95**	**148.08**	**2.34**	**29692.06**
3B. Capital work-in-progress	**2851.14**	**–**	**2157.40**	**3669.20**	**301.65**	**49.91**	**1087.60**	**–**	**1856.59**	**1444.78**	**–**	**1499.41**
3C. Investment Property[3]	**411.58**	**–**	**1.75**	**4.79**	**–**	**–**	**408.54**	**–**	**–**	**8.81**	**–**	**399.73**
3D. Goodwill												
Goodwill on Consolidation	201.85	144.66	–	–	27.46	–	319.05	59.51	–	–	6.48	385.04
Goodwill acquired through business combinations[4]	577.88	–	–	–	–	–	577.88	30.37	–	–	–	608.25
TOTAL	**779.73**	**144.66**	**–**	**–**	**27.46**	**–**	**896.93**	**89.88**	**–**	**–**	**6.48**	**993.29**
3E. Other Intangible assets (acquired)												
Assets with indefinite life[4]												
Trademarks	1889.78	–	–	–	–	–	1889.78	161.00	–	–	0.04	2050.82
Assets with finite life												
Trademarks	30.82	–	–	–	–	–	30.82	–	365.41	–	–	396.23
Computer Software	394.49	–	27.44	6.15	59.79	0.03	356.02	–	12.66	1.02	–	367.66
Know How, Business and Commercial Rights	804.80	–	3.77	–	3.77	–	804.80	–	3.03	–	–	807.83
Customer Relationships/Contracts etc.	35.21	32.20	–	–	–	–	67.41	17.00	–	–	1.85	86.26
Business Alliances/Partnerships	–	59.69	–	–	–	–	59.69	–	–	–	–	59.69
Software Tools	–	75.71	–	–	–	–	75.71	–	–	–	–	75.71
Sourcing Network	–	–	–	–	–	–	–	52.00	–	–	–	52.00
TOTAL	**3155.10**	**167.60**	**31.21**	**6.15**	**63.56**	**0.03**	**3284.23**	**230.00**	**381.10**	**1.02**	**1.89**	**3896.20**
3F. Intangible assets under development	**9.64**	**–**	**21.41**	**26.09**	**1.65**	**–**	**3.31**	**–**	**111.08**	**11.92**	**–**	**102.47**
3G. Right-of-use assets^												
Land	752.08	–	0.16	0.32	347.99	12.13	416.06	–	15.73	111.62	–	320.17
Buildings	350.23	6.92	78.11	105.31	49.17	0.57	281.35	18.09	54.46	35.67	3.16	321.39
Plant and Equipment	41.83	–	–	9.86	–	–	31.97	–	–	–	–	31.97
Vehicles	2.89	–	3.99	1.75	–	0.09	5.22	–	11.08	0.18	1.54	17.66
TOTAL	**1147.03**	**6.92**	**82.26**	**117.24**	**397.16**	**12.79**	**734.60**	**18.09**	**81.27**	**147.47**	**4.70**	**691.19**

[#] Includes amounts transferred to/from Investment Property on change in use.
[@] Refer Note 30(ix)
[&] includes Nil (2025 - ₹ 304.98 Crores) relating to discontinued operations.
^ Also refer Note 30(xv)

Notes:

1. a) The above includes following assets given on operating lease:

(₹ in Crores)

Particulars	As at 31st March, 2025			2025	As at 31st March, 2026			2026
	Gross Block	Accumulated Depreciation	Net Block	Depreciation Charge for the year	Gross Block	Accumulated Depreciation	Net Block	Depreciation Charge for the year
Buildings	0.94	0.28	0.66	0.03	2.78	0.76	2.02	0.06
Plant and Equipment	281.04	193.23	87.81	12.59	303.55	201.42	102.13	12.60
TOTAL	**281.98**	**193.51**	**88.47**	**12.62**	**306.33**	**202.18**	**104.15**	**12.66**

b) The amount of expenditure recognised in the carrying amount of property, plant and equipment in the course of construction is ₹ 31.74 Crores (2025 - ₹ 206.69 Crores).

2. Land includes certain lands at Munger with Gross Block ₹ 1.16 Crores (2025 - ₹ 1.16 Crores) which stood vested with the State of Bihar under the Bihar Land Reforms Act, 1950 for which compensation has not yet been determined.

Notes to the Consolidated Financial Statements

(₹ in Crores)

Particulars	Depreciation and Amortization												Net Book Value	
	Upto 31st March, 2024	Acquired through Business Combination	For the year[&]	On Withdrawals and adjustments[#]	Transferred pursuant to Scheme of Demerger of Hotels business	Foreign Currency Translation Reserve adjustments	Upto 31st March, 2025	Acquired through Business Combination[@]	For the year[&]	On Withdrawals and adjustments[#]	Foreign Currency Translation Reserve adjustments	Upto 31st March, 2026	As at 31st March, 2026	As at 31st March, 2025
3A. Property, Plant and Equipment[1]														
Land[2]	–	–	–	–	–	–	–	–	–	–	–	–	1312.53	1171.55
Buildings	1700.64	–	268.82	2.57	458.24	0.21	1508.86	–	214.91	2.01	0.01	1721.77	5716.97	5733.21
Leasehold Improvements	9.94	–	1.92	0.14	5.14	–	6.58	–	2.58	0.58	0.01	8.59	21.98	20.17
Plant and Equipment	9143.57	0.19	1313.53	186.40	1175.87	0.70	9095.72	–	1197.41	107.90	1.19	10186.42	10205.82	10294.96
Furniture and Fixtures	629.92	–	111.12	5.83	566.84	0.96	169.33	–	20.31	3.27	0.04	186.41	118.06	113.03
Vehicles	93.71	–	19.44	12.17	34.45	0.05	66.58	–	14.86	7.59	0.05	73.90	63.36	68.99
Office Equipment	33.94	–	5.63	1.98	1.29	0.03	36.33	–	6.98	1.04	0.07	42.34	32.19	26.55
Railway Sidings	1.17	–	0.13	–	–	–	1.30	–	0.13	–	–	1.43	0.29	0.43
TOTAL	**11612.89**	**0.19**	**1720.59**	**209.09**	**2241.83**	**1.95**	**10884.70**	**–**	**1457.18**	**122.39**	**1.37**	**12220.86**	**17471.20**	**17428.89**
3B. Capital work-in-progress	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**1499.41**	**1087.60**
3C. Investment Property[3]	**70.65**	**–**	**12.57**	**(2.92)**	**–**	**–**	**86.14**	**–**	**12.31**	**2.08**	**–**	**96.37**	**303.36**	**322.40**
3D. Goodwill														
Goodwill on Consolidation	–	–	–	–	–	–	–	–	–	–	–	–	385.04	319.05
Goodwill acquired through business combinations[4]	–	–	–	–	–	–	–	–	–	–	–	–	608.25	577.88
TOTAL	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**993.29**	**896.93**
3E. Other Intangible assets (acquired)														
Assets with indefinite life[4]														
Trademarks	–	–	–	–	–	–	–		–	–	–	–	2050.82	1889.78
Assets with finite life														
Trademarks	26.91	–	2.29	–	–	–	29.20	–	11.99	–	0.04	41.23	355.00	1.62
Computer Software	265.89	–	38.72	6.15	48.34	–	250.12	–	36.15	1.04	–	285.23	82.43	105.90
Know How, Business and Commercial Rights	168.00	–	79.13	–	0.13	–	247.00	–	78.50	–	–	325.50	482.33	557.80
Customer Relationships/Contracts etc.	16.19	–	6.41	–	–	–	22.60	–	10.22	–	0.10	32.92	53.34	44.81
Business Alliances/Partnerships	–	–	4.26	–	–	–	4.26	–	8.53	–	–	12.79	46.90	55.43
Software Tools	–	–	6.31	–	–	–	6.31	–	12.62	–	–	18.93	56.78	69.40
Sourcing Network	–	–	–	–	–	–	–	–	5.94	–	–	5.94	46.06	–
TOTAL	**476.99**	**–**	**137.12**	**6.15**	**48.47**	**–**	**559.49**	**–**	**163.95**	**1.04**	**0.14**	**722.54**	**3173.66**	**2724.74**
3F. Intangible assets under development	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**–**	**102.47**	**3.31**
3G. Right-of-use assets^														
Land	47.39	–	8.97	0.03	28.54	0.71	28.50	–	4.67	6.84	–	26.33	293.84	387.56
Buildings	138.56	6.56	66.78	100.51	2.88	0.19	108.70	–	67.30	34.08	1.13	143.05	178.34	172.65
Plant and Equipment	20.56	–	3.69	9.86	–	–	14.39	–	2.40	–	–	16.79	15.18	17.58
Vehicles	1.40	–	1.59	1.88	–	0.01	1.12	–	2.72	0.17	0.33	4.00	13.66	4.10
TOTAL	**207.91**	**6.56**	**81.03**	**112.28**	**31.42**	**0.91**	**152.71**	**–**	**77.09**	**41.09**	**1.46**	**190.17**	**501.02**	**581.89**

3. The fair value of the investment property is ₹ 1357.96 Crores (2025 - ₹ 1352.64 Crores). The fair value has been determined on the basis of valuation carried out at the reporting date by registered valuer as defined under Rule 2 of Companies (Registered Valuers and Valuation) Rules, 2017 and the same has been categorised as Level 2 based on the valuation techniques used and inputs applied. The main inputs considered by the valuer are government rates, property location, market research & trends, contracted rentals, terminal yields, discount rates and comparable values, as appropriate.

Amounts recognised in the Statement of Profit and Loss in respect of the investment property is as under:

(₹ in Crores)

Particulars	For the year ended 31st March, 2026	For the year ended 31st March, 2025
Rental Income etc. from investment property	160.39	134.91
Direct Operating Expenses arising from investment property that generated rental income during the year[$]	16.39	14.67
Direct Operating Expenses arising from investment property that did not generate rental income during the year	–	–

[$]As per the contractual arrangements, the Company is responsible for the maintenance of common area at its own cost. The expenses arising out of such arrangements are not material.

4. Assets with indefinite life pertain to the 'FMCG - Others' Segment and are related to the Branded Packaged Foods and Personal Care Products businesses of the Company.

Impairment testing for goodwill and intangible assets with indefinite useful lives has been carried out considering their recoverable amounts which, inter-alia, includes estimation of their value-in-use based on management projections. These projections have been made for a period of five years, or longer, as applicable and consider various factors, such as market scenario, growth trends, growth and margin projections, and terminal growth rates specific to the business.

For such projections, discount rate of 10% (2025 - 10%) and long-term growth rates ranging between 5% to 6% (2025 - 5% to 6%) have been considered. Discount rate has been determined considering the Weighted Average Cost of Capital (WACC) of market benchmarks.

Based on the above assessment, no impairment has been recognised during the year. Further, the Company has also performed sensitivity analysis around the base assumptions and has concluded that there are no reasonably possible changes to key assumptions that would cause the carrying amount of the aforesaid assets to exceed their recoverable values.

Notes to the Consolidated Financial Statements

Capital work-in-progress (CWIP) ageing schedule

(₹ in Crores)

	As at 31st March, 2025					As at 31st March, 2026				
	Amount in CWIP for a period of					Amount in CWIP for a period of				
Particulars	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	Total	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	Total
Projects in Progress	816.26	172.86	61.78	36.70	1087.60	935.22	356.52	132.08	75.59	1499.41
Projects temporarily suspended	–	–	–	–	–	–	–	–	–	–
TOTAL	**816.26**	**172.86**	**61.78**	**36.70**	**1087.60**	**935.22**	**356.52**	**132.08**	**75.59**	**1499.41**

Intangible assets under development (IAUD) ageing schedule

(₹ in Crores)

	As at 31st March, 2025					As at 31st March, 2026				
	Amount in IAUD for a period of					Amount in IAUD for a period of				
Particulars	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	Total	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	Total
Projects in Progress	2.34	0.97	–	–	3.31	100.49	1.58	0.40	–	102.47
Projects temporarily suspended	–	–	–	–	–	–	–	–	–	–
TOTAL	**2.34**	**0.97**	**–**	**–**	**3.31**	**100.49**	**1.58**	**0.40**	**–**	**102.47**

Note: There are no projects in CWIP and IAUD, which are overdue or have exceeded their cost compared to their original plan as at 31st March, 2026 and 31st March, 2025.

Notes to the Consolidated Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026			As at 31st March, 2025		
		Number	(₹ in Crores)		Number	(₹ in Crores)	
4. Non-current investments							
INVESTMENT IN EQUITY INSTRUMENTS							
In Associates (carrying amount determined using the equity method of accounting)							
Quoted							
ITC Hotels Limited	10	83,00,00,000			83,00,00,000		
Cost of acquisition			4174.04			4174.04	
Add/(Less) : Group Share of Profits/(Losses)			471.23	4645.27		88.69	4262.73
Unquoted							
Delectable Technologies Private Limited [Refer Note 30(xii)]	10	–			2,386		
Cost of acquisition			–			3.60	
Add/(Less) : Group Share of Profits/(Losses)			–			(0.43)	
Add/(Less) : Provision for Impairment			–	–		(3.17)	–
Mother Sparsh Baby Care Private Limited [Refer Note 30(iv)(b)]	10	694			100		
Cost of acquisition			11.54			0.96	
Add/(Less) : Group Share of Profits/(Losses)			(0.42)	11.12		(0.23)	0.73
Sproutlife Foods Private Limited [Refer Note 30(iv)(b)]	10	2,443			2,443		
Cost of acquisition			40.33			40.33	
Add/(Less) : Group Share of Profits/(Losses)			(13.04)	27.29		(12.16)	28.17
Ample Foods Private Limited [Refer Note 30(iv)(b)]	10	2,62,500			–		
Cost of acquisition			131.25			–	
Add/(Less) : Group Share of Profits/(Losses)			(2.14)	129.11		–	–
ATC Limited [Refer Note 30(xiii)]							
Fully paid	100	1,94,775			55,650		
Cost of acquisition			5.00			0.83	
Add/(Less) : Group Share of Profits/(Losses)			4.36	9.36		2.11	2.94
₹ 70.00 per share paid	100	–			1,39,125		
Cost of acquisition			–			2.92	
Add/(Less) : Group Share of Profits/(Losses)			–	–		2.42	5.34
Russell Investments Limited	10	42,75,435			42,75,435		
Cost of acquisition			4.27			4.27	
Add/(Less) : Group Share of Profits/(Losses)			41.86	46.13		40.64	44.91
Divya Management Limited	10	41,82,915			41,82,915		
Cost of acquisition			6.93			6.93	
Add/(Less) : Group Share of Profits/(Losses)			4.05	10.98		1.34	8.27
Antrang Finance Limited	10	43,24,634			43,24,634		
Cost of acquisition			4.40			4.40	
Add/(Less) : Group Share of Profits/(Losses)			3.53	7.93		1.12	5.52
Carried over				4887.19			4358.61

Notes to the Consolidated Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current investments (Contd.)					
Brought forward			4887.19		4358.61
INVESTMENT IN EQUITY INSTRUMENTS (Contd.)					
In Joint Ventures (carrying amount determined using the equity method of accounting)					
Unquoted					
Logix Developers Private Limited [Refer Note 30(viii)]	10	77,66,913		77,66,913	
Cost of acquisition			42.07		42.07
Add/(Less) : Group Share of Profits/(Losses)			(40.45)		(40.52)
Add/(Less) : Provision for Impairment			(1.62) –		(1.55) –
ITC Filtrona Limited	10	22,50,000		22,50,000	
Cost of acquisition			38.85		38.85
Add/(Less) : Group Share of Profits/(Losses)			120.48 159.33		107.57 146.42
In Others (at fair value through other comprehensive income unless stated otherwise)					
Quoted					
VST Industries Limited	10	5,236	0.10	5,236	0.14
HLV Limited	2	5,34,13,884	30.55	5,34,13,884	64.20
EIH Limited	2	10,08,53,602	2758.85	10,08,53,602	3565.17
Tourism Finance Corporation of India Limited	2 (2025 - ₹ 10)	1,25,000	0.79	25,000	0.42
Unquoted					
Adyar Property Holding Company Private Limited	100	311	0.03	311	0.03
Andhra Pradesh Gas Power Corporation Limited	10	8,04,000	–	8,04,000	–
Bihar Hotels Limited	2	8,00,000	0.04	8,00,000	0.04
Lotus Court Limited (Class G Shares)	48,000	2	2.34	2	2.34
Blupin Technologies Private Limited (at fair value through profit or loss)	10	400	3.64	400	3.64
Woodlands Multispeciality Hospital Limited	10	13,605	0.01	13,605	0.01
INVESTMENT IN PREFERENCE SHARES					
In Associates (carrying amount determined using the equity method of accounting)					
Unquoted					
Delectable Technologies Private Limited [Refer Note 30(xii)]					
(Compulsorily Convertible Cumulative Preference Shares)	10	–		7,759	
Cost of acquisition			–		7.40
Add/(Less) : Group Share of Profits/(Losses)			–		(2.75)
Add/(Less) : Provision for Impairment			– –		(4.65) –
Carried over			7342.87		8141.02

Notes to the Consolidated Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current investments (Contd.)					
Brought forward			7342.87		8141.02
INVESTMENT IN PREFERENCE SHARES (Contd.)					
Mother Sparsh Baby Care Private Limited [Refer Note 30(iv)(b)] (Compulsorily Convertible Cumulative Preference Shares)	10	6,038		3,837	
Cost of acquisition			84.04		44.04
Add/(Less) : Group Share of Profits/(Losses)			(9.12) 74.92		(8.06) 35.98
Sproutlife Foods Private Limited [Refer Note 30(iv)(b)] (Compulsorily Convertible Cumulative Preference Shares)	10	10,984		10,984	
Cost of acquisition			214.68		214.68
Add/(Less) : Group Share of Profits/(Losses)			(47.88) 166.80		(43.91) 170.77
In Others (at fair value through profit or loss)					
Unquoted					
Blupin Technologies Private Limited (Compulsorily Convertible Cumulative Preference Shares)	100	3,399	30.75	3,232	29.33
INVESTMENT IN GOVERNMENT OR TRUST SECURITIES (at amortised cost)					
Quoted					
Government of India Zero Coupon Government Stock					
Zero Coupon Government Stock - 15-Jun-2026	100	–	–	10,20,000	9.47
Zero Coupon Government Stock - 22-Aug-2026	100	–	–	63,54,400	58.14
Zero Coupon Government Stock - 15-Dec-2026	100	–	–	10,20,000	9.15
Zero Coupon Government Stock - 22-Feb-2027	100	–	–	40,11,000	35.44
Zero Coupon Government Stock - 15-Jun-2027	100	31,17,000	28.84	31,17,000	27.01
Zero Coupon Government Stock - 22-Aug-2027	100	48,54,400	44.23	48,54,400	41.37
Unquoted					
Government Securities - cost ₹ 70000.00			0.01		0.01
National Savings Certificates (pledged with various Mandi Samitis) (cost ₹ 6000.00)			…		…
INVESTMENT IN GOVERNMENT OR TRUST SECURITIES (at fair value through other comprehensive income)					
Quoted					
Government of India Stock					
6.33% - Government Stock - 05-May-2035	100	25,00,000	24.01	–	–
6.48% - Government Stock - 06-Oct-2035	100	5,00,000	4.81	–	–
Carried over			8217.24		8557.69

Notes to the Consolidated Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current investments (Contd.)					
Brought forward			8217.24		8557.69
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at amortised cost)					
Quoted					
Tax Free Bonds - Secured, Redeemable & Non-Convertible					
Housing and Urban Development Corporation Limited					
7.39% - Series 2A - 08-Feb-2031	1,000	7,00,696	70.07	7,00,696	70.07
8.20% - Series 2 - 05-Mar-2027	1,000	–	–	5,00,000	51.77
India Infrastructure Finance Company Limited					
7.36% - Series II - 22-Jan-2028	1,000	3,00,000	30.69	3,00,000	31.04
8.26% - Series V B - 23-Aug-2028	10,00,000	1,175	120.05	1,175	121.05
8.46% - Series VI B - 30-Aug-2028	10,00,000	1,300	134.19	1,300	135.79
8.48% - Series VII B - 05-Sep-2028	10,00,000	1,780	182.52	1,780	184.24
Indian Railway Finance Corporation Limited					
7.34% - Series 86A - 19-Feb-2028	1,000	1,00,000	10.26	1,00,000	10.39
8.48% - Series 89A - 21-Nov-2028	10,00,000	1,250	128.17	1,250	129.22
8.55% - Series 94A - 12-Feb-2029	10,00,000	130	13.37	130	13.49
National Highways Authority of India					
7.28% - Series NHAI - II B - 18-Sep-2030	10,00,000	2,500	250.00	2,500	250.00
7.35% - Series II A - 11-Jan-2031	1,000	17,49,943	179.79	17,49,943	180.62
8.50% - Series II A - 05-Feb-2029	1,000	5,00,000	52.94	5,00,000	53.87
8.75% - Series II B - 05-Feb-2029	1,000	2,50,000	26.72	2,50,000	27.26
National Housing Bank					
8.46% - Series V - 30-Aug-2028	10,00,000	800	81.76	800	82.44
Power Finance Corporation Limited					
8.46% - Series 107B - 30-Aug-2028	10,00,000	500	51.10	500	51.53
8.54% - Series 2A - 16-Nov-2028	1,000	3,50,000	37.22	3,50,000	38.00
REC Limited					
8.46% - Series 3B - 29-Aug-2028	10,00,000	1,190	123.01	1,190	124.54
8.46% - Series 2A - 24-Sep-2028	1,000	3,50,000	37.06	3,50,000	37.81
8.54% - Series 4B - 11-Oct-2028	10,00,000	50	5.12	50	5.17
Carried over			9751.28		10155.99

Notes to the Consolidated Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current investments (Contd.)					
Brought forward			9751.28		10155.99
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at amortised cost) (Contd.)					
Taxable Bonds - Unsecured, Redeemable & Non-Convertible					
National Bank for Agriculture and Rural Development					
7.49% - Series 24 B - 15-Oct-2026	1,00,000	–	–	10,000	99.36
7.62% - Series 23 I - 31-Jan-2028	1,00,000	19,000	189.31	19,000	189.02
7.62% - Series 24 H - 10-May-2029	1,00,000	20,000	199.88	20,000	199.89
7.53% - Series 25 E - 24-Mar-2028	1,00,000	2,000	20.01	2,000	20.03
7.80% - Series 24 E - 15-Mar-2027	1,00,000	–	–	5,000	50.17
8.22% - Series PMAYG-PB-2 - 13-Dec-2028	10,00,000	1,550	157.12	1,550	157.83
REC Limited					
7.64% - Series 225 - 30-Jun-2026	1,00,000	–	–	2,500	25.00
Small Industries Development Bank of India					
7.43% - Series I - 31-Aug-2026	1,00,000	–	–	5,000	49.68
7.44% - Series II - 04-Sep-2026	1,00,000	–	–	5,000	49.69
7.68% - Series IX - 10-Aug-2027	1,00,000	30,000	299.83	30,000	299.92
7.79% - Series IV - 19-Apr-2027	1,00,000	30,000	299.85	30,000	300.15
7.79% - Series VI - 14-May-2027	1,00,000	25,000	249.74	25,000	249.82
7.83% - Series V - 24-Nov-2028	1,00,000	40,500	404.80	40,500	404.89
Perpetual Bonds - Unsecured, Subordinated & Non-Convertible#					
State Bank of India					
7.72% - Series I (with first Call option 03-Sep-2026)	1,00,00,000	–	–	313	313.00
7.72% - Series II (with first Call option 18-Oct-2026)	1,00,00,000	–	–	400	400.00
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at fair value through other comprehensive income)					
Quoted					
Taxable Bonds - Unsecured, Redeemable & Non-Convertible					
HDFC Bank Limited					
6.44% - Series 1 - 27-Sep-2028	10,00,000	1,500	147.18	–	–
7.70% - Series US003 - 16-May-2028	1,00,000	13,000	131.10	–	–
8.44% - Series 1/2018-19 - 28-Dec-2028	10,00,000	1,500	154.16	–	–
9.05% - Series U001 - 16-Oct-2028	10,00,000	500	52.00	–	–
Carried over			12056.26		12964.44

Notes to the Consolidated Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current investments (Contd.)					
Brought forward			12056.26		12964.44
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at fair value through other comprehensive income) (Contd.)					
National Bank for Agriculture and Rural Development					
6.85% - Series 26 B - 19-Jan-2029	1,00,000	5,000	49.58	–	–
7.40% - Series 25 D - 29-Apr-2030	1,00,000	5,000	50.09	–	–
7.48% - Series 25 G - 15-Sep-2028	1,00,000	37,500	365.98	–	–
7.53% - Series 25 E - 24-Mar-2028	1,00,000	20,000	196.34	–	–
7.62% - Series 23 I - 31-Jan-2028	1,00,000	10,000	100.80	–	–
7.62% - Series 24 H - 10-May-2029	1,00,000	4,000	39.74	–	–
7.68% - Series F 24 - 30-Apr-2029	1,00,000	5,000	49.76	–	–
Power Finance Corporation Limited					
6.64% - Series 250 B - 15-Jul-2030	1,00,000	5,000	48.96	–	–
7.60% - Series 237 A - 13-Apr-2029	1,00,000	7,500	75.83	–	–
Small Industries Development Bank of India					
6.66% - Series I - 25-Oct-2028	1,00,000	15,000	147.96	–	–
7.34% - Series III - 26-Feb-2029	1,00,000	10,000	100.39	–	–
7.48% - Series VI - 24-May-2029	1,00,000	2,500	24.74	–	–
7.49% - Series VIII - 11-Jun-2029	1,00,000	20,000	201.65	–	–
INVESTMENT IN DEBT MUTUAL FUNDS					
Quoted					
Fixed Maturity Plans (at amortised cost)*					
Aditya Birla Sun Life Mutual Fund	10	2,19,98,900	28.02	2,19,98,900	26.37
DSP Mutual Fund	10	–	–	4,99,97,500	58.99
Nippon India Mutual Fund	10	1,49,99,250	19.40	1,49,99,250	18.20
SBI Mutual Fund	10	5,49,97,250	70.08	21,19,89,401	255.96
Exchange Traded Funds (at fair value through other comprehensive income) **					
Axis Mutual Fund	1	–	–	11,25,00,000	140.81
Edelweiss Mutual Fund	1,000	28,65,706	447.56	–	–
Nippon India Mutual Fund	10	6,34,26,359	81.07	12,94,26,359	927.92
Unquoted					
Target Maturity Index Funds (at fair value through other comprehensive income) **					
Aditya Birla Sun Life Mutual Fund	10	51,29,42,310	665.75	87,97,85,691	1067.65
Axis Mutual Fund	10	15,46,34,944	199.34	13,50,74,285	162.41
Carried over			15019.30		15622.75

Notes to the Consolidated Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
4. Non-current investments (Contd.)					
Brought forward			15019.30		15622.75
INVESTMENT IN DEBT MUTUAL FUNDS (Contd.)					
Bandhan Mutual Fund	10	–	–	4,24,53,511	54.21
DSP Mutual Fund	10	2,49,40,887	32.45	4,76,41,228	58.00
HDFC Mutual Fund	10	7,61,50,000	96.21	2,24,75,231	27.62
ICICI Prudential Mutual Fund	10	54,91,10,334	714.11	64,66,52,376	786.80
Kotak Mahindra Mutual Fund	10	42,65,69,184	596.80	59,85,34,837	728.62
Nippon India Mutual Fund	10	31,14,04,896	397.73	28,00,48,239	334.51
SBI Mutual Fund	10	26,72,22,501	347.01	56,98,58,756	687.00
INVESTMENT IN ALTERNATIVE INVESTMENT FUNDS (at fair value through profit or loss)					
Unquoted					
Avaana Sustainability Fund	1,000	60,115	6.23	41,178	3.85
Chiratae Ventures India Fund IV	1,00,000	1,430	17.36	1,421	20.53
Fireside Ventures Investments Fund I	1,00,000	1,060	31.67	1,182	37.61
Fireside Ventures Investments Fund II	1,000	1,81,050	37.95	1,87,606	31.10
Fireside Ventures Investments Fund III	1,00,000	1,455	17.85	1,000	9.49
India Foundation Fund Series I	100	9,00,000	8.82	8,39,020	8.37
Roots Ventures I	100	8,44,147	27.59	9,36,923	21.86
Stride Ventures Debt Fund 4	1,00,000	1,500	15.00	–	–
Together Fund II IFSC	$1000	990	11.71	–	–
Aggregate amount of quoted investments			**13474.42**		**13908.24**
Aggregate amount of unquoted investments			**3903.37**		**4524.08**
TOTAL			**17377.79**		**18432.32**

Aggregate market value of quoted investments ₹ 20345.52 Crores (2025 - ₹ 26104.35 Crores).

Aggregate amount of impairment in value of investments ₹ 1.62 Crores (2025 - ₹ 9.37 Crores)

Additional Tier 1 bonds, which are perpetual in nature, are issued by commercial banks under Reserve Bank of India guidelines. These have been classified as debt instruments by the Group based on the substantive characteristics of the contract.

* Investments in Fixed Maturity Plans (FMPs) that are intended to be held by the Company till maturity are classified as amortised cost. The underlying instruments in the portfolio of these FMPs have minimal churn and are held to receive contractual cashflows.

** Exchange Traded / Target Maturity Index Funds follow a passive buy and hold investment strategy to receive contractual cashflows except for meeting redemption and rebalancing requirements. Investment in such funds are classified as FVTOCI as cash flows from these investments are realised on maturity or upon sale.

Notes to the Consolidated Financial Statements

	As at 31st March, 2026 (₹ in Crores)		As at 31st March, 2025 (₹ in Crores)	
	Current	**Non-Current**	Current	Non-Current
5. Loans				
Others Loans - Employees				
– Unsecured, considered good	8.52	4.87	9.51	7.60
TOTAL	**8.52**	**4.87**	**9.51**	**7.60**

6. Other financial assets				
Security Deposits*	31.18	85.94	31.31	84.08
Bank deposits with more than 12 months maturity	–	5.72	–	1276.54
Others				
Advances	6.49	–	9.36	–
Deposits other than Security Deposits	1020.20	251.56	451.93	250.51
Interest accrued on Loans, Deposits, Investments etc.	368.67	–	293.98	–
Other Receivables**	934.80	–	875.74	–
TOTAL	**2361.34**	**343.22**	**1662.32**	**1611.13**

* Include deposits to Directors and Key Management Personnel ₹ 0.01 Crore (2025 - ₹ 0.01 Crore) (Refer Note 32).

** Comprise receivables on account of government grants, claims, rentals, derivatives, unbilled revenue etc.

Notes to the Consolidated Financial Statements

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
7. Deferred tax		
Deferred tax liabilities (Net)	3089.62	2582.46
Less : Deferred tax assets (Net)	155.18	87.98
TOTAL	**2934.44**	**2494.48**

Movement in deferred tax liabilities/assets balances

(₹ in Crores)

2025-26	Opening Balance	Recognised in profit or loss*	Recognised in OCI	Recognised directly in Equity	Reclassified to profit or loss	Acquired through business combination#	Transferred pursuant to Scheme of demerger of Hotels business	Effect of foreign exchange	Closing Balance
Deferred tax liabilities/assets in relation to:									
On fiscal allowances on property, plant and equipment, investment property etc.	1556.24	79.77	–	–	–	0.28	–	0.01	1636.30
On Excise Duty/National Calamity Contingent Duty on closing stock	92.70	634.91	–	–	–	–	–	–	727.61
Other timing differences	1548.45	65.23	(135.71)	–	–	1.69	–	0.09	1479.75
Total deferred tax liabilities	**3197.39**	**779.91**	**(135.71)**	**–**	**–**	**1.97**	**–**	**0.10**	**3843.66**
On fiscal allowances on property, plant and equipment etc.	17.53	5.61	–	–	–	–	–	(0.01)	23.13
On employees' separation and retirement etc.	124.47	112.05	0.02	–	–	1.47	–	5.67	243.68
On provision for doubtful debts/advances	59.56	5.43	–	–	–	–	–	0.11	65.10
On State and Central taxes etc.	78.90	15.00	–	–	–	1.01	–	–	94.91
On unabsorbed tax losses and depreciation	35.69	9.17	–	–	–	–	–	1.49	46.35
On cash flow hedges	4.68	–	28.95	4.61	(17.62)	–	–	–	20.62
Other timing differences	367.26	32.60	–	–	–	1.94	–	1.03	402.83
Total deferred tax assets before MAT credit entitlement	**688.09**	**179.86**	**28.97**	**4.61**	**(17.62)**	**4.42**	**–**	**8.29**	**896.62**
Total deferred tax liabilities before MAT credit entitlement (Net)	**2509.30**	**600.05**	**(164.68)**	**(4.61)**	**17.62**	**(2.45)**	**–**	**(8.19)**	**2947.04**
Less: MAT credit entitlement	14.82	(2.22)	–	–	–	–	–	–	12.60
Total deferred tax liabilities (Net)	**2494.48**	**602.27**	**(164.68)**	**(4.61)**	**17.62**	**(2.45)**	**–**	**(8.19)**	**2934.44**

Notes to the Consolidated Financial Statements

7. Deferred tax (Contd.)

(₹ in Crores)

2024-25	Opening Balance	Recognised in profit or loss*	Recognised in OCI	Recognised directly in Equity	Reclassified to profit or loss	Acquired through business combination	Transferred pursuant to Scheme of Demerger of Hotels business	Effect of foreign exchange	Closing Balance
Deferred tax liabilities/assets in relation to:									
On fiscal allowances on property, plant and equipment, investment property etc.	1886.62	114.33	–	–	–	–	(444.71)	–	1556.24
On Excise Duty/National Calamity Contingent Duty on closing stock	100.61	(7.91)	–	–	–	–	–	–	92.70
Other timing differences	790.46	831.75	(42.06)	–	(0.75)	–	(31.02)	0.07	1548.45
Total deferred tax liabilities	**2777.69**	**938.17**	**(42.06)**	**–**	**(0.75)**	**–**	**(475.73)**	**0.07**	**3197.39**
On fiscal allowances on property, plant and equipment etc.	5.46	12.07	–	–	–	–	–	–	17.53
On employees' separation and retirement etc.	156.93	(19.17)	3.42	–	–	–	(16.83)	0.12	124.47
On provision for doubtful debts/advances	64.52	(2.31)	–	–	–	–	(2.68)	0.03	59.56
On State and Central taxes etc.	73.25	15.81	–	–	–	–	(10.16)	–	78.90
On unabsorbed tax losses and depreciation	22.78	12.97	–	–	–	–	–	(0.06)	35.69
On cash flow hedges	1.52	–	6.05	(0.05)	(2.84)	–	–	–	4.68
Other timing differences	371.13	25.20	–	–	–	3.12	(32.69)	0.50	367.26
Total deferred tax assets before MAT credit entitlement	**695.59**	**44.57**	**9.47**	**(0.05)**	**(2.84)**	**3.12**	**(62.36)**	**0.59**	**688.09**
Total deferred tax liabilities before MAT credit entitlement (Net)	**2082.10**	**893.60**	**(51.53)**	**0.05**	**2.09**	**(3.12)**	**(413.37)**	**(0.52)**	**2509.30**
Less: MAT Credit Entitlement	12.85	1.97	–	–	–	–	–	–	14.82
Total deferred tax liabilities (Net)	**2069.25**	**891.63**	**(51.53)**	**0.05**	**2.09**	**(3.12)**	**(413.37)**	**(0.52)**	**2494.48**

* includes Nil (2025 - ₹ 510.77 Crores) relating to discontinued operations.

\# Refer Note 30(ix)

The Group has losses of ₹ 47.57 Crores (2025 - ₹ 46.46 Crores) for which no deferred tax assets have been recognised. A part of these losses will expire between financial years 2026-27 to 2045-46.

8. Other assets

	As at 31st March, 2026 (₹ in Crores)		As at 31st March, 2025 (₹ in Crores)	
	Current	**Non-Current**	Current	Non-Current
Capital Advances	–	175.26	–	73.49
Advances other than capital advances				
Security Deposits				
– With Statutory Authorities	0.97	741.69	0.50	725.53
– Others	0.19	65.50	0.19	65.43
Advances to related parties (Refer Note 32)	–	6.48	–	8.62
Other Advances (including advances with statutory authorities, prepaid expenses, employees etc.)	1485.83	96.41	1100.54	79.23
Other Receivables*	296.62	3.11	264.55	10.07
TOTAL	**1783.61**	**1088.45**	**1365.78**	**962.37**

* Comprise receivables on account of government grants, withholding taxes etc.

Notes to the Consolidated Financial Statements

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
9. Inventories		
(At lower of cost and net realisable value)		
Raw materials (including packing materials)	10949.78	10511.11
Work-in-progress	423.93	414.60
Finished goods (manufactured)	5209.71	2580.62
Stock-in-trade (goods purchased for resale)	1269.31	1348.07
Stores and spares	658.86	678.84
Intermediates - Tissue paper and Paperboards	111.37	104.32
TOTAL	**18622.96**	**15637.56**
The above includes goods in transit as under:		
Raw materials (including packing materials)	244.76	255.30
Finished Goods (manufactured)	3.41	3.01
Stock-in-trade (goods purchased for resale)	8.12	8.36
Stores and spares	1.78	3.68
TOTAL	**258.07**	**270.35**

The cost of inventories recognised as an expense includes ₹ 368.01 Crores (2025 - ₹ 236.36 Crores) in respect of write-offs / write-downs of inventory to net realisable value. During the year, reversal of previous write-downs of ₹ 5.08 Crores (2025 - ₹ 1.31 Crores) have been made owing to subsequent increase in net realisable value.

Inventories of ₹ 1315.29 Crores (2025 - ₹ 886.65 Crores) are expected to be recovered more than twelve months after the reporting period.

10. Biological assets other than bearer plants		
Balance at the beginning of the year	198.58	150.00
Biological assets acquired during the year	6.60	12.39
Cost incurred during the year	275.65	208.87
Changes in fair value *	93.33	112.14
Transfer of Biological assets to Inventories	(5.68)	(8.74)
Biological assets sold during the year	(319.08)	(276.12)
Effect of foreign exchange translation	0.29	0.04
Balance at the end of the year	**249.69**	**198.58**

* Represents aggregate gain / (loss) arising on account of change in fair value less costs to sell during the year.

The Group had 4,01,39,064 numbers of TECHNITUBER® seed potatoes (2025 - 2,87,54,144 numbers).

There were 151165 MT of field generated seed potatoes (2025 - 132187 MT). During the year, output of agricultural produce (potatoes) is 11461 MT (2025 - 13633 MT).

In October 2025 - 30037 MT (October 2024 - 23917 MT) of seed potatoes were planted and in February / March 2026 - 176674 MT (February / March 2025 - 148918 MT) of seed potatoes were harvested as a result of quantitative biological transformation.

Estimated amount of contracts remaining to be executed for acquisition / development of biological assets is ₹ 0.40 Crore (2025 - ₹ 1.95 Crores).

Notes to the Consolidated Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
11. Current Investments (at fair value through profit or loss, unless stated otherwise)					
INVESTMENT IN EQUITY INSTRUMENTS					
In Others					
Quoted					
UltraTech Cement Limited	10	3	…	3	…
Unquoted					
SKH Metals Limited	10	40,000	…	40,000	…
Patheja Brothers Forgings and Stampings Limited	10	50,000	…	50,000	…
Jind Textiles Limited	10	5,00,000	…	5,00,000	…
Taib Capital Corporation Limited	10	2,45,000	…	2,45,000	…
INVESTMENT IN GOVERNMENT OR TRUST SECURITIES					
Quoted					
Government of India Stock					
6.01% - Government Stock - 21-Jul-2030	100	40,00,000	38.93	–	–
6.33% - Government Stock - 05-May-2035	100	55,00,000	52.83	–	–
6.48% - Government Stock - 06-Oct-2035	100	3,93,92,700	379.45	–	–
6.68% - Government Stock - 07-Jul-2040	100	1,25,00,000	116.71	–	–
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES					
Quoted					
Tax Free Bonds - Secured, Redeemable & Non-Convertible					
National Highways Authority of India					
8.50% - Series II A - 05-Feb-2029	1,000	1,04,000	10.75	1,04,000	10.86
REC Limited					
8.12% - Series 2 - 27-Mar-2027	1,000	60,000	6.05	60,000	6.10
Taxable Bonds - Unsecured, Redeemable & Non-Convertible					
National Bank for Agriculture and Rural Development					
5.70% - Series 22 D - 31-Jul-2025	10,00,000	–	–	2,800	275.19
7.25% - Series 23 C - 01-Aug-2025	10,00,000	–	–	1,000	98.75
7.35% - Series 23 B - 08-Jul-2025	10,00,000	–	–	150	14.85
7.48% - Series 25 G - 15-Sep-2028	10,00,000	25,000	243.99	–	–
7.53% - Series 25 E - 24-Mar-2028	10,00,000	20,000	196.34	–	–
Carried over			1045.05		405.75

Notes to the Consolidated Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
11. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			1045.05		405.75
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (Contd.)					
Power Finance Corporation Limited					
7.75% - Series 248A - 15-Apr-2026	1,00,000	20,000	199.99	–	–
Small Industries Development Bank of India					
7.15% - Series II - 21-Jul-2025	10,00,000	–	–	250	24.71
7.25% - Series III - 31-Jul-2025	10,00,000	–	–	750	74.07
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at fair value through other comprehensive income)					
Quoted					
Taxable Bonds - Unsecured, Redeemable & Non-Convertible					
HDFC Bank Limited					
7.95% - Series I - 21-Sep-2026	10,00,000	4,313	432.27	–	–
8.46% - Series P016 - 15-Jun-2026	1,00,00,000	50	50.08	–	–
8.46% - Series P019 - 24-Jun-2026	1,00,00,000	50	50.07	–	–
National Bank for Agriculture and Rural Development					
7.58% - Series 23 H - 31-Jul-2026	1,00,000	25,000	249.94	–	–
Small Industries Development Bank of India					
7.43% - Series I - 31-Aug-2026	1,00,000	10,000	99.78	–	–
7.44% - Series II - 04-Sep-2026	1,00,000	25,000	250.00	–	–
INVESTMENT IN CERTIFICATES OF DEPOSIT					
Unquoted					
Axis Bank Limited - 16-Jul-2025	5,00,000	–	–	10,000	484.63
Axis Bank Limited - 17-Oct-2025	5,00,000	–	–	5,000	235.90
Axis Bank Limited - 18-Nov-2025	5,00,000	–	–	5,000	233.82
Axis Bank Limited - 30-Apr-2026	5,00,000	1,000	49.68	–	–
Axis Bank Limited - 15-May-2026	5,00,000	2,000	99.03	–	–
Canara Bank - 08-May-2026	5,00,000	20,000	991.80	–	–
Canara Bank - 15-May-2026	5,00,000	1,000	49.52	–	–
Canara Bank - 26-May-2026	5,00,000	1,500	74.10	–	–
HDFC Bank Limited - 25-Jul-2025	5,00,000	–	–	3,000	145.04
Carried over			3641.31		1603.92

Notes to the Consolidated Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
11. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			3641.31		1603.92
INVESTMENT IN CERTIFICATES OF DEPOSIT (Contd.)					
HDFC Bank Limited - 18-Dec-2025	5,00,000	–	–	1,000	47.39
HDFC Bank Limited - 07-May-2026	5,00,000	6,500	322.42	–	–
Small Industries Development Bank of India - 20-May-2026	5,00,000	12,000	593.55	–	–
INVESTMENT IN GOVERNMENT OR TRUST SECURITIES (at amortised cost)					
Unquoted					
Treasury Bill issued by Nepal Rastra Bank		1	0.06	2	11.09
National Savings Certificates (pledged with Mandi Samiti) (cost ₹ 2000.00)			–		…
National Savings Certificate (cost ₹ 10000.00)			–		…
INVESTMENT IN DEBT MUTUAL FUNDS					
Unquoted					
Liquid/Overnight Funds					
Aditya Birla Sun Life Mutual Fund	100	1,67,521	7.37	22,485	0.94
Axis Mutual Fund	1,000	35,753	10.96	3,93,385	95.97
DSP Mutual Fund	1,000	14,944	5.82	5,267	1.93
Edelweiss Mutual Fund	1,000	3,599	1.25	–	–
HDFC Mutual Fund	100	–	–	3,198	1.61
ICICI Prudential Mutual Fund	100	80,595	3.26	–	–
Kotak Mahindra Mutual Fund	1,000	–	–	10,976	5.75
Nippon India Mutual Fund	100	314	0.21	8,39,206	11.51
SBI Mutual Fund	1,000	–	–	16,616	6.67
UTI Mutual Fund	1,000	2,36,398	105.81	26,505	11.26
Ultra Short Term Funds					
Aditya Birla Sun Life Mutual Fund	100	2,34,66,054	1366.90	2,02,77,140	1103.49
Axis Mutual Fund	10	2,35,94,615	36.56	9,61,441	1.47
HDFC Mutual Fund	10	10,90,41,032	175.83	–	–
ICICI Prudential Mutual Fund	10	4,48,44,111	140.83	1,74,13,815	51.09
Kotak Mahindra Mutual Fund	10	26,25,58,620	1224.83	26,25,58,620	1146.73
Nippon India Mutual Fund	1,000	3,23,856	150.96	–	–
SBI Mutual Fund	1,000	2,62,799	167.00	3,05,559	182.05
UTI Mutual Fund	1,000	68,764	30.35	–	–
Carried over			7985.28		4282.87

Notes to the Consolidated Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
11. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			7985.28		4282.87
INVESTMENT IN DEBT MUTUAL FUNDS (Contd.)					
Low Duration Funds					
Aditya Birla Sun Life Mutual Fund	100	87,701	6.67	87,701	6.24
Axis Mutual Fund	1,000	14,17,525	481.21	14,17,525	449.84
Bandhan Mutual Fund	10	7,34,11,386	302.78	7,34,11,386	284.06
DSP Mutual Fund	10	17,22,63,805	355.48	17,22,63,805	334.81
ICICI Prudential Mutual Fund	100	1,44,38,457	833.60	1,44,38,457	778.70
Kotak Mahindra Mutual Fund	1,000	–	–	1,44,778	51.61
Nippon India Mutual Fund	1,000	6,121	2.54	2,65,846	103.23
SBI Mutual Fund	1,000	20,06,438	761.11	21,51,415	765.01
Money Market Funds					
Aditya Birla Sun Life Mutual Fund	100	84,42,181	331.05	40,95,539	150.50
Axis Mutual Fund	1,000	20,92,690	316.40	24,20,455	342.13
Bandhan Mutual Fund	10	5,32,80,805	243.61	5,51,82,275	231.89
DSP Mutual Fund	10	9,16,45,945	519.85	28,79,974	15.33
HDFC Mutual Fund	1,000	7,64,367	466.45	7,64,367	436.74
HSBC Mutual Fund	10	61,83,192	17.90	–	–
ICICI Prudential Mutual Fund	1,000	–	–	1,26,050	4.75
Kotak Mahindra Mutual Fund	1,000	13,41,688	636.59	7,11,902	316.31
LIC Mutual Fund	1,000	3,98,844	50.26	–	–
Nippon India Mutual Fund	1,000	6,60,345	290.55	6,60,345	272.04
SBI Mutual Fund	10	6,65,47,323	309.49	6,65,47,323	290.02
UTI Mutual Fund	1,000	–	–	1,20,014	30.81
Floating Rate Funds					
Aditya Birla Sun Life Mutual Fund	100	1,95,98,885	732.68	1,95,98,885	685.24
HDFC Mutual Fund	10	10,07,90,662	536.66	10,07,90,662	501.54
Nippon India Mutual Fund	10	6,22,64,756	307.99	6,22,64,756	288.73
Short Duration Funds					
Aditya Birla Sun Life Mutual Fund	10	1,57,835	12.01	1,32,84,152	66.77
DSP Mutual Fund	10	–	–	2,31,36,440	114.32
ICICI Prudential Mutual Fund	10	86,00,718	68.81	–	–
Kotak Mahindra Mutual Fund	10	–	–	1,94,81,292	109.13
Nippon India Mutual Fund	10	1,27,65,848	88.00	2,41,72,593	135.21
SBI Mutual Fund	10	5,40,50,081	191.41	5,40,50,081	179.96
Carried over			15848.38		11227.79

Notes to the Consolidated Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
11. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			15848.38		11227.79
INVESTMENT IN DEBT MUTUAL FUNDS (Contd.)					
Banking & PSU Debt Funds					
Axis Mutual Fund	1,000	31,86,227	881.71	31,86,227	833.77
Bandhan Mutual Fund	10	14,17,61,931	360.66	14,17,61,931	341.56
Corporate Bond Funds					
HDFC Mutual Fund	10	–	–	1,58,86,798	51.67
ICICI Prudential Mutual Fund	10	2,42,40,779	78.68	4,30,40,789	131.43
Kotak Mahindra Mutual Fund	1,000	789	0.32	2,99,599	115.22
SBI Mutual Fund	10	–	–	8,30,72,281	128.86
Current Portion of Non-Current Investments					
INVESTMENT IN GOVERNMENT OR TRUST SECURITIES (at amortised cost)					
Quoted					
Government of India Zero Coupon Government Stock					
Zero Coupon Government Stock - 15-Jun-2025	100	–	–	10,20,000	10.08
Zero Coupon Government Stock - 22-Aug-2025	100	–	–	25,35,000	24.75
Zero Coupon Government Stock - 15-Dec-2025	100	–	–	36,34,800	34.84
Zero Coupon Government Stock - 17-Dec-2025	100	–	–	6,02,300	5.77
Zero Coupon Government Stock - 22-Feb-2026	100	–	–	25,35,000	23.97
Zero Coupon Government Stock - 15-Jun-2026	100	10,20,000	10.07	–	–
Zero Coupon Government Stock - 22-Aug-2026	100	63,54,400	61.97	–	–
Zero Coupon Government Stock - 15-Dec-2026	100	10,20,000	9.75	–	–
Zero Coupon Government Stock - 22-Feb-2027	100	40,11,000	37.83	–	–
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at amortised cost)					
Quoted					
Tax Free Bonds - Secured, Redeemable & Non-Convertible					
Housing and Urban Development Corporation Limited					
7.07% - Series B - 01-Oct-2025	10,00,000	–	–	4,300	430.54
7.19% - Series A - 31-Jul-2025	10,00,000	–	–	150	15.04
8.20% - Series 2 - 05-Mar-2027	1,000	5,00,000	50.87	–	–
Indian Railway Finance Corporation Limited					
7.07% - Series 102 - 21-Dec-2025	1,000	–	–	70,498	7.08
7.15% - Series 100 - 21-Aug-2025	10,00,000	–	–	250	25.09
7.19% - Series 99 - 31-Jul-2025	10,00,000	–	–	2,250	225.11
Carried over			17340.24		13632.57

Notes to the Consolidated Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
11. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			17340.24		13632.57
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at amortised cost) (Contd.)					
Small Industries Development Bank of India					
7.11% - Series IV - 27-Feb-2026	10,00,000	–	–	250	24.87
National Bank for Agriculture and Rural Development					
7.07% - Series 1A - 25-Feb-2026	10,00,000	–	–	2,000	201.52
National Highways Authority of India					
7.11% - Series NHAI - II A - 18-Sep-2025	10,00,000	–	–	2,600	260.14
7.14% - Series I A - 11-Jan-2026	1,000	–	–	8,06,381	80.90
Power Finance Corporation Limited					
7.16% - Series 136 - 17-Jul-2025	10,00,000	–	–	600	60.12
REC Limited					
7.17% - Series 5A - 23-Jul-2025	10,00,000	–	–	850	85.21
Zero Coupon Bonds - Secured, Redeemable & Non-Convertible					
LIC Housing Finance Limited					
Tranche 416 - 25-Apr-2025	10,00,000	–	–	11,250	1363.35
Taxable Bonds - Unsecured, Redeemable & Non-Convertible					
HDFC Bank Limited					
7.80% - Series US005 - 02-Jun-2025	1,00,000	–	–	10,000	99.93
National Bank for Agriculture and Rural Development					
7.49% - Series 24 B - 15-Oct-2026	1,00,000	10,000	99.72	–	–
7.80% - Series 24 E - 15-Mar-2027	1,00,000	5,000	50.08	–	–
Small Industries Development Bank					
7.43% - Series I - 31-Aug-2026	1,00,000	5,000	49.87	–	–
7.44% - Series II - 04-Sep-2026	1,00,000	5,000	49.87	–	–
Perpetual Bonds - Unsecured, Subordinated & Non-Convertible#					
State Bank of India					
7.72% - Series I (with first Call option 03-Sep-2026)	1,00,00,000	313	313.00	–	–
7.72% - Series II (with first Call option 18-Oct-2026)	1,00,00,000	400	400.00	–	–
Carried over			18302.78		15808.61

Notes to the Consolidated Financial Statements

	Face Value ₹ (Fully Paid unless stated otherwise)	As at 31st March, 2026		As at 31st March, 2025	
		Number	(₹ in Crores)	Number	(₹ in Crores)
11. Current Investments (at fair value through profit or loss, unless stated otherwise) (Contd.)					
Brought forward			18302.78		15808.61
INVESTMENT IN BONDS IN THE NATURE OF DEBENTURES (at fair value through other comprehensive income)					
Quoted					
Taxable Bonds - Unsecured, Redeemable & Non-Convertible					
National Bank for Agriculture and Rural Development					
7.80% - Series 24 E - 15-Mar-2027	1,00,000	10,000	100.57	–	–
INVESTMENT IN DEBT MUTUAL FUNDS					
Quoted					
Fixed Maturity Plans (at amortised cost)*					
DSP Mutual Fund	10	4,99,97,500	63.27	–	–
SBI Mutual Fund	10	15,69,92,150	201.02	2,49,98,750	29.58
Exchange Traded Funds (at fair value through other comprehensive income) **					
Axis Mutual Fund	1	11,25,00,000	149.93	–	–
Edelweiss Mutual Fund	1,000	–	–	33,03,209	425.60
Nippon India Mutual Fund	10	6,60,00,000	905.54	–	–
Unquoted					
Target Maturity Index Funds (at fair value through other comprehensive income) **					
Aditya Birla Sun Life Mutual Fund	10	34,45,85,668	446.92	–	–
Axis Mutual Fund	10	–	–	1,98,53,868	23.71
SBI Mutual Fund	10	45,10,57,343	580.61	–	–
Aggregate amount of quoted investments			**4930.54**		**3938.02**
Aggregate amount of unquoted investments			**15820.10**		**12349.48**
TOTAL			**20750.64**		**16287.50**

Aggregate market value of quoted investments ₹ 4933.92 Crores (2025 - ₹ 3941.75 Crores).

\# Additional Tier 1 bonds, which are perpetual in nature, are issued by commercial banks under Reserve Bank of India guidelines. These have been classified as debt instruments by the Group based on the substantive characteristics of the contract.

* Investments in Fixed Maturity Plans (FMPs) that are intended to be held by the Company till maturity are classified as amortised cost. The underlying instruments in the portfolio of these FMPs have minimal churn and are held to receive contractual cashflows.

** Exchange Traded/Target Maturity Index Funds follow a passive buy and hold investment strategy to receive contractual cashflows except for meeting redemption and rebalancing requirements. Investment in such funds are classified as FVTOCI as cash flows from these investments are realised on maturity or upon sale.

Notes to the Consolidated Financial Statements

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
12. Trade receivables (Current)		
Considered good - Secured	7.85	49.71
Considered good - Unsecured	3915.01	4669.96
Which have significant increase in Credit Risk	–	–
Credit impaired	188.74	176.13
Less: Allowance for credit impairment [Refer Note 33]	188.74	176.13
TOTAL	**3922.86**	**4719.67**

Trade receivables ageing schedule

(₹ in Crores)

	Not Due	Outstanding for following periods from due date of payment as at 31st March, 2026					Total
		Less than 6 months	6 months-1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade Receivables – considered good	2156.34	1589.52	113.04	63.63	0.33	–	3922.86
Undisputed Trade Receivables – which have significant increase in credit risk	–	–	–	–	–	–	–
Undisputed Trade Receivables – credit impaired	2.37	0.51	13.94	30.21	7.72	40.01	94.76
Disputed Trade Receivables – considered good	–	–	–	–	–	–	–
Disputed Trade Receivables – which have significant increase in credit risk	–	–	–	–	–	–	–
Disputed Trade Receivables – credit impaired	–	0.03	1.52	8.07	1.39	82.97	93.98
SUB-TOTAL	**2158.71**	**1590.06**	**128.50**	**101.91**	**9.44**	**122.98**	**4111.60**
Less: Allowance for credit impairment							188.74
TOTAL							**3922.86**

(₹ in Crores)

	Not Due	Outstanding for following periods from due date of payment as at 31st March, 2025					Total
		Less than 6 months	6 months-1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade Receivables – considered good	2189.06	2449.38	45.92	35.35	...	0.27	4719.98
Undisputed Trade Receivables – which have significant increase in credit risk	–	–	–	–	–	–	–
Undisputed Trade Receivables – credit impaired	–	1.12	5.07	20.22	1.00	39.06	66.47
Disputed Trade Receivables – considered good	–	–	–	–	–	–	–
Disputed Trade Receivables – which have significant increase in credit risk	–	–	–	–	–	–	–
Disputed Trade Receivables – credit impaired	–	0.38	4.05	3.95	1.13	99.84	109.35
SUB-TOTAL	**2189.06**	**2450.88**	**55.04**	**59.52**	**2.13**	**139.17**	**4895.80**
Less: Allowance for credit impairment							176.13
TOTAL							**4719.67**

Notes to the Consolidated Financial Statements

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
13. Cash and cash equivalents@		
Balances with Banks		
Current accounts	396.94	414.99
Deposit accounts	239.04	202.60
Cheques, drafts on hand	6.37	1.08
Cash on hand	1.11	1.33
TOTAL	**643.46**	**620.00**

@ Cash and cash equivalents include cash on hand, cheques, drafts on hand, cash at bank and deposits with banks with original maturity of 3 months or less.

The Group does not have any cash and cash equivalents that are not available for use.

14. Bank Balances other than cash and cash equivalents		
Earmarked balances*	268.66	264.84
In deposit accounts**	2096.67	3127.52
TOTAL	**2365.33**	**3392.36**

* includes balances towards unpaid dividend and unspent corporate social responsibility.

** Represents deposits with original maturity of more than 3 months having remaining maturity of less than 12 months from the Balance Sheet date.

Notes to the Consolidated Financial Statements

	As at 31st March, 2026 (No. of Shares)	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (No. of Shares)	As at 31st March, 2025 (₹ in Crores)
15. Equity Share capital				
Authorised				
Ordinary Shares of ₹ 1.00 each	20,00,00,00,000	2000.00	20,00,00,00,000	2000.00
Issued and Subscribed				
Ordinary Shares of ₹ 1.00 each, fully paid	12,52,94,68,231	1252.95	12,51,41,19,781	1251.41
A) Reconciliation of number of Ordinary Shares outstanding				
As at beginning of the year	12,51,41,19,781	1251.41	12,48,47,21,471	1248.47
Add: Issue of Shares on exercise of Stock Options	1,53,48,450	1.54	2,93,98,310	2.94
As at end of the year	**12,52,94,68,231**	**1252.95**	**12,51,41,19,781**	**1251.41**

B) Shareholders holding more than 5% of the Ordinary Shares in the Company

	As at 31st March, 2026 (No. of Shares)	As at 31st March, 2026 (%)	As at 31st March, 2025 (No. of Shares)	As at 31st March, 2025 (%)
Tobacco Manufacturers (India) Limited	2,22,84,95,863	17.79	2,54,14,95,863	20.31
Life Insurance Corporation of India	1,98,32,05,253	15.83	1,94,17,50,542	15.52
Specified Undertaking of the Unit Trust of India	97,45,31,427	7.78	97,45,31,427	7.79

C) Shareholding of Promoters : Nil

D) Ordinary Shares allotted as fully paid pursuant to contract(s) without payment being received in cash or as fully paid up Bonus Shares during the period of five years immediately preceding 31st March : Nil

E) Rights, preferences and restrictions attached to the Ordinary Shares

The Ordinary Shares of the Company, having par value of ₹ 1.00 per share, rank *pari passu* in all respects including voting rights and entitlement to dividend.

F) Shares reserved for issue under Stock Options/Employee Stock Appreciation Rights ('ESARs')

Refer Note 30(xvi) for details on number of Stock Options/ESARs (including terms and conditions) against which Ordinary Shares may be issued by the Company upon vesting and exercise of such Stock Options/ESARs, in accordance with the relevant Schemes.

Notes to the Consolidated Financial Statements

	As at 31st March, 2026 (₹ in Crores)		As at 31st March, 2025 (₹ in Crores)	
	Current	**Non-Current**	Current	Non-Current
16. Borrowings				
Secured				
Loans repayable on demand				
Cash credit facilities from banks*	1.97	–	–	–
Unsecured				
Loan from Banks				
Term Loans#	–	60.00	–	–
Working Capital Demand Loan	2100.00	–	89.50	–
Cash credit facilities	23.25	–	–	–
Deferred payment liabilities				
Sales tax deferment loans^	–	–	1.76	–
Other Loans	1.00	–	–	–
TOTAL	**2126.22**	**60.00**	**91.26**	**–**

* Cash credit facilities are secured by hypothecation of inventories of the Company, both present and future.

Terms of borrowings are as under:

 # Term Loans from Banks:

Unsecured term loan with a sanctioned limit of ₹ 60.00 Crores, bearing interest at 7.75% p.a. linked to RBI Repo rate prevailing on the date of first disbursement payable at monthly rests. The interest rate will be reset at quarterly frequency.

The repayment schedule is summarised as under:

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
In the second year	12.00	–
In the third year	24.00	–
In the fourth year	24.00	–
Non-current borrowings	**60.00**	**–**

^ Sales tax deferment loans:

Interest free deferral period of 14 years and fully paid during the year.

	As at 31st March, 2026 (₹ in Crores)		As at 31st March, 2025 (₹ in Crores)	
	Current	**Non-Current**	Current	Non-Current
17. Lease liabilities*				
Lease liabilities	71.98	140.86	56.07	137.21
TOTAL	**71.98**	**140.86**	**56.07**	**137.21**

* Refer Note 30(xv)

Notes to the Consolidated Financial Statements

17. Lease liabilities* (Contd.)

Movement of Lease liabilities during the year

Particulars	31st March, 2026	31st March, 2025
Opening Lease liabilities	193.28	292.15
New Leases recognised	65.54	43.36
Remeasurements and withdrawals	(1.31)	(4.28)
Interest expense on Lease liabilities	16.38	21.26
Payment of Lease liabilities (including interest)	(84.62)	(86.78)
Foreign Currency Translation Reserve adjustment	3.40	0.47
Assumed on Business Combination [Refer Note 30(ix)]	20.17	0.45
Transferred pursuant to Scheme of Demerger of Hotels business	–	(73.35)
Closing Lease liabilities	**212.84**	**193.28**

18. Other financial liabilities

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
Non-current		
Others (Includes payable towards employee benefits, property, plant and equipment, intangibles, contingent consideration on business combination/asset acquisition etc.)	510.40	301.34
TOTAL	**510.40**	**301.34**
Current		
Interest accrued	2.06	1.92
Unpaid dividend*	268.30	259.28
Unpaid matured deposits and interest accrued thereon	...	...
Unpaid matured debentures/bonds and interest accrued thereon**	0.30	0.30
Others (Includes payable towards employee benefits, property, plant and equipment, intangibles, derivatives, contingent consideration on business combination/asset acquisition etc.)	1828.49	1604.48
TOTAL	**2099.15**	**1865.98**

* Represents dividend amounts either not claimed or kept in abeyance in accordance with Section 126 of the Companies Act, 2013 or such amounts in respect of which Prohibitory/Attachment Orders are on record with the Company.

** Represents amounts which are subject matter of a pending legal dispute with a bank for which the Company has filed a suit.

19. Provisions

	As at 31st March, 2026 (₹ in Crores)		As at 31st March, 2025 (₹ in Crores)	
	Current	Non-Current	Current	Non-Current
Provision for employee benefits				
Retirement benefits [Refer Note 30(vi)]	396.95	259.69	62.51	206.83
Other benefits	26.96	129.45	17.55	95.99
Provision for standard assets	–	0.29	–	0.29
TOTAL	**423.91**	**389.43**	**80.06**	**303.11**

Notes to the Consolidated Financial Statements

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
20. Other liabilities		
Non-current		
Advances received from customers*	41.78	34.51
TOTAL	**41.78**	**34.51**
Current		
Statutory liabilities	3663.73	4906.89
Advances received from customers*	1341.77	1264.18
Others (includes deferred revenue, accruals etc.)	32.14	32.72
TOTAL	**5037.64**	**6203.79**

* Includes revenue received in advance.

21. Trade Payables (Current)		
Total outstanding dues of Micro and Small Enterprises	350.13	180.64
Total outstanding dues of creditors other than Micro and Small Enterprises	5289.42	4626.66
TOTAL	**5639.55**	**4807.30**

Trade Payables ageing schedule

(₹ in Crores)

	Not Due	Outstanding for following periods from due date of payment as at 31st March, 2026				Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Dues - Micro and Small Enterprises	205.28	–	–	–	–	**205.28**
Undisputed Dues - Others	1141.09	133.81	0.32	–	1.61	**1276.83**
Disputed Dues - Micro and Small Enterprises	–	–	–	–	–	**–**
Disputed Dues - Others	–	–	–	–	0.28	**0.28**
SUB-TOTAL	**1346.37**	**133.81**	**0.32**	**–**	**1.89**	**1482.39**
Accrued Payables (not due)						
– Micro and Small Enterprises						144.85
– Others						4012.31
TOTAL						**5639.55**

Notes to the Consolidated Financial Statements

Trade Payables ageing schedule (Contd.)

(₹ in Crores)

	Not Due	Outstanding for following periods from due date of payment as at 31st March, 2025				Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Dues - Micro and Small Enterprises	59.77	–	–	–	–	**59.77**
Undisputed Dues - Others	917.86	191.76	0.05	1.61	0.01	**1111.29**
Disputed Dues - Micro and Small Enterprises	–	–	–	–	–	**–**
Disputed Dues - Others	–	–	–	–	0.28	**0.28**
SUB-TOTAL	**977.63**	**191.76**	**0.05**	**1.61**	**0.29**	**1171.34**
Accrued Payables (not due)						
– Micro and Small Enterprises						120.87
– Others						3515.09
TOTAL						**4807.30**

	As at 31st March, 2026 (₹ in Crores)	As at 31st March, 2025 (₹ in Crores)
22A. Income Tax Assets (Net)		
Income Tax Assets (net of provisions)	70.05	50.24
TOTAL	**70.05**	**50.24**

22B. Current Tax Liabilities (Net)		
Current taxation (net of advance payment)	1288.82	1229.65
TOTAL	**1288.82**	**1229.65**

Notes to the Consolidated Financial Statements

	For the year ended 31st March, 2026 (₹ in Crores)	For the year ended 31st March, 2025 (₹ in Crores)
23A. Revenue from operations		
Sale of Products	84598.59	76827.15
Sale of Services	4659.62	4115.61
Gross Revenue from sale of products and services* [including Excise Duty/National Calamity Contingent Duty/Health Risk Tax of ₹ 8520.36 Crores (2025 - ₹ 6304.37 Crores)]	89258.21	80942.76
Other Operating Revenues#	655.12	670.02
TOTAL	**89913.33**	**81612.78**

* Net of sales returns, damaged stocks and estimates of variable consideration such as discounts to customers.

\# Includes Government grants of ₹ 243.97 Crores (2025 - ₹ 306.47 Crores) on account of Fiscal and Exports incentives etc.

23B. Gross Revenue from sale of products and services*		
FMCG		
– Cigarettes etc.	40601.00	35893.57
– Branded Packaged Food Products	20504.39	18282.42
– Others (Education and Stationery Products, Personal Care Products, Safety Matches, Agarbattis etc.)	3810.56	3722.85
Agri Business		
– Unmanufactured Tobacco	3378.01	3380.76
– Other Agri Products and Commodities (Wheat, Rice, Spices, Coffee, Soya, Potato etc.)	9108.12	8863.24
Paperboards, Paper and Packaging		
– Paperboards and Paper	6212.96	5957.90
– Packaging and Printed Materials	676.94	617.98
Others		
– Others (Information Technology services, ITC Grand Central Hotel, Mumbai, Fresh Food etc.)	4966.23	4224.04
TOTAL	**89258.21**	**80942.76**

* Net of sales returns, damaged stocks and estimates of variable consideration such as discounts to customers.

Notes to the Consolidated Financial Statements

	For the year ended 31st March, 2026 (₹ in Crores)	For the year ended 31st March, 2025 (₹ in Crores)
24. Other income		
Interest income	1462.23	1488.76
Dividend income	15.16	10.91
Other non-operating income	948.41	1030.02
TOTAL	**2425.80**	**2529.69**
Interest income:		
a) Deposits with banks etc. - carried at amortised cost	384.64	439.81
b) Financial assets measured:		
– at FVTPL	157.25	132.56
– at amortised cost	449.62	560.61
–- at FVTOCI	453.42	342.32
c) Others (from statutory authorities etc.)	17.30	13.46
TOTAL	**1462.23**	**1488.76**
Dividend income:		
Equity instruments measured at FVTOCI held at the end of reporting period	15.16	10.91
TOTAL	**15.16**	**10.91**
Other non-operating income:		
Net foreign exchange gain/(loss)	82.07	(6.88)
Net gain/(loss) arising on financial instruments measured at amortised cost/fair value through profit or loss/fair value through other comprehensive income*	681.41	893.56
Gain recognised on divestment of shares held in associate	0.01	–
Loss recognised on disposal of subsidiary	(0.99)	
Impairment of investment in joint venture and associate	(0.07)	(7.87)
Others (including income from leases etc.)	185.98	151.21
TOTAL	**948.41**	**1030.02**

* Includes ₹ 181.91 Crores (2025 - ₹ 131.30 Crores) being net gain/(loss) on sale of investments.

Notes to the Consolidated Financial Statements

	For the year ended 31st March, 2026 (₹ in Crores)	For the year ended 31st March, 2025 (₹ in Crores)
25. Changes in inventories of finished goods, Stock-in-Trade, work-in-progress, intermediates and Biological Assets		
Opening inventories and Biological Assets		
Finished goods (manufactured)	2580.62	2297.12
Work-in-progress	414.60	1334.72
Stock-in-Trade (goods purchased for resale)	1348.07	1048.58
Intermediates - Tissue paper and Paperboards	104.32	95.73
Biological Assets	198.58	150.00
Less: Closing inventories and Biological Assets		
Finished goods (manufactured)	5209.71	2580.62
Work-in-progress	423.93	414.60
Stock-in-Trade (goods purchased for resale)	1269.31	1348.07
Intermediates - Tissue paper and Paperboards	111.37	104.32
Biological Assets	249.69	198.58
Less: Effects of foreign exchange fluctuation taken to Foreign Currency Translation Reserve	(2.49)	(0.03)
Add: Inventory acquired through Business Combination [Refer Note 30(ix)]	64.87	–
Less: Inventory on account of discontinued operations	–	1005.64
TOTAL	**(2550.46)**	**(725.65)**

26. Employee benefits expense		
Salaries and wages	5955.56	5377.96
Contribution to Provident and other funds	369.76	344.12
Share based payments to employees [Includes cash-settled share based payments ₹ 14.80 Crores (2025 - ₹ 15.54 Crores)]*	148.10	150.16
Staff welfare expenses	329.34	305.22
	6802.76	**6177.46**
Less: Recoveries made / reimbursements received	21.26	7.68
TOTAL	**6781.50**	**6169.78**

* Refer Note 30(xvi), 30(xvii) and 30(xviii)

Notes to the Consolidated Financial Statements

	For the year ended 31st March, 2026 (₹ in Crores)	For the year ended 31st March, 2025 (₹ in Crores)
27. Finance costs		
Interest expense:		
– On Lease liabilities	16.38	16.31
– On financial liabilities measured at amortised cost	52.72	16.10
– Others (to statutory authorities etc.)	16.07	12.65
TOTAL	**85.17**	**45.06**

28. Other expenses		
Power and fuel	947.71	975.35
Consumption of stores and spare parts	453.58	397.38
Contract processing charges	1429.58	1312.94
Rent	342.71	307.20
Rates and taxes	158.34	180.89
Insurance	204.97	188.55
Repairs	439.44	411.90
Maintenance and upkeep	259.88	223.14
Outward freight and handling charges	1988.97	1928.59
Warehousing charges	352.12	315.10
Advertising/Sales promotion	1492.86	1331.69
Corporate Social Responsibility [Refer Note 30(xix)]	495.04	457.51
Commission to selling agents etc.	86.55	56.66
Doubtful and bad debts	30.12	11.70
Doubtful and bad advances, loans and deposits	0.62	1.95
Information technology services	267.80	262.87
Travelling and conveyance	452.89	463.96
Training and development	38.36	33.97
Legal and professional fees	992.38	723.81
(Gain)/Loss on sale of property, plant and equipment - Net	(11.84)	(138.76)
Miscellaneous expenses	1799.03	1750.23
TOTAL	**12221.11**	**11196.63**

Notes to the Consolidated Financial Statements

	For the year ended 31st March, 2026 (₹ in Crores)	For the year ended 31st March, 2025 (₹ in Crores)
29. Income tax expenses		
A (i). Amount recognised in profit or loss relating to continuing operations		
Current tax		
Income tax for the year	6466.78	6522.46
Adjustments / (credits) related to previous years - Net	(53.81)	(12.85)
Total current tax	**6412.97**	**6509.61**
Deferred tax		
Deferred tax for the year	608.41	378.07
Adjustments / (credits) related to previous years - Net	(8.36)	4.76
MAT credit entitlement	2.22	(1.97)
Total deferred tax	**602.27**	**380.86**
TOTAL	**7015.24**	**6890.47**
(ii). Amount recognised in profit or loss relating to discontinued operations		
Current tax for the year	–	127.87
Deferred tax for the year	–	510.77
TOTAL	**–**	**638.64**
B. Amount recognised in other comprehensive income		
The tax (charge) / credit arising on income and expenses recognised in other comprehensive income is as follows:		
On items that will not be reclassified to profit or loss		
Remeasurement gains / (losses) on defined benefit plans	0.02	3.42
Related to designated portion of hedging instruments in cash flow hedges	(8.44)	(0.06)
Equity instruments through other comprehensive income	120.07	56.22
	111.65	**59.58**
On items that will be reclassified to profit or loss		
Related to designated portion of hedging instruments in cash flow hedges	19.77	3.27
Debt instruments through other comprehensive income	15.64	(13.41)
	35.41	**(10.14)**
TOTAL	**147.06**	**49.44**

	For the year ended 31st March, 2026 (₹ in Crores)	For the year ended 31st March, 2025 (₹ in Crores)
29. Income tax expenses (Contd.)		
C. Amount recognised directly in equity		
The income tax (charged)/credited directly to equity during the year is as follows:		
Deferred tax		
Arising on gains/(losses) of hedging instruments in cash flow hedges transferred to the initial carrying amounts of hedged items	(4.61)	0.05
TOTAL	**(4.61)**	**0.05**
D. Reconciliation of effective tax rate		
The income tax expense for the year can be reconciled to the accounting profit as follows:		
Profit before tax from continuing operations	28033.39	26926.94
Income tax expense calculated @ 25.168% (2025: 25.168%)	7055.44	6776.97
Effect of tax relating to uncertain tax positions	39.06	41.27
Effect of different tax rate on certain items	(116.36)	(59.72)
Difference in tax rates of subsidiary companies	66.17	56.73
Effect of income not taxable	(57.00)	(65.69)
Other differences	90.10	150.75
TOTAL	**7077.41**	**6900.31**
Adjustments recognised during the year in relation to the current tax of prior years	(62.17)	(9.84)
Income tax recognised in profit or loss relating to continuing operations	**7015.24**	**6890.47**
Profit before tax from discontinued operations	–	15654.65
Income tax expense calculated @ 25.168% (2025: 25.168%)	–	3939.96
Effect of excess of fair value over carrying value of net assets distributed (non-cash), pursuant to the Scheme of Demerger of Hotels business	–	(3921.97)
Effect of addition to the value of investment in ITC Hotels Limited	–	602.79
Difference in tax rates of subsidiary companies	–	(4.63)
Other differences	–	22.49
Income tax recognised in profit or loss relating to discontinued operations	**–**	**638.64**

The tax rate of 25.168% (22% + surcharge @ 10% and cess @ 4%) used for the years 2025-26 and 2024-25 is the corporate tax rate applicable on taxable profits under the Income-tax Act, 1961.

International Tax Reform (OECD Pillar Two Model Rules)

The Organisation for Economic Co-operation and Development (OECD)/G20 Inclusive Framework on Base Erosion and Profit Shifting (BEPS) aims to address the tax challenges arising from the digitalisation of the global economy. The Global Anti-Base Erosion Model Rules (Pillar Two model rules) under BEPS apply to multinational enterprises (MNEs) with annual revenue in excess of EUR 750 million as per their consolidated financial statements. The Group is considered a multinational enterprise to which the Pillar Two rules shall be applied. Pillar Two legislation has been enacted or substantively enacted in many jurisdictions in which the Group operates.

The Group has reviewed its potential exposure to Pillar Two income taxes based on financial information for FY 2024-25 and FY 2025-26 for the constituent entities in the Group. The Pillar Two effective tax rates in most of the jurisdictions in which the Group operates are above prescribed minimum effective tax rate. Accordingly, no Pillar Two top-up tax exposure is expected to arise for the Group.

The Group continues to follow Pillar Two legislative developments to evaluate the potential future impact on its consolidated financial statements, as more countries enact the Pillar Two model rules.

Notes to the Consolidated Financial Statements

30. Additional Notes to the Consolidated Financial Statements

(i) Exceptional Items of Continuing Operations for the year ended 31st March, 2026 of ₹ 291.70 Crores represents:

a) estimated one-time impact on recognition of past service cost of ₹ 379.78 Crores with respect to increase in liability of gratuity and compensated absences, primarily arising due to change in definition of wages pursuant to notifications issued by the Ministry of Labour & Employment dated 21st November, 2025 bringing into force the provisions of the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020 and the Occupational Safety, Health and Working Conditions Code, 2020 (collectively referred to as the "New Labour Codes"). The Company continues to monitor the finalisation of rules by the Central and State Governments and clarifications from the Government on other aspects of the New Labour Codes and will account for such developments as needed.

b) receipt of ₹ 88.08 Crores on final settlement of the insurance claim towards leaf tobacco stocks, which were destroyed due to fire at a third party owned warehouse in an earlier year.

(ii) Earnings per share:

	For the year ended 31st March, 2026	For the year ended 31st March, 2025
Earnings per share has been computed as under:		
(a) i) Profit for the year from continuing operations attributable to owners of the parent (₹ in Crores)	20689.47	19732.74
ii) Profit for the year from discontinued operations attributable to owners of the parent (₹ in Crores)	–	15013.89
iii) Profit for the year attributable to owners of the parent (₹ in Crores)	20689.47	34746.63
(b) Weighted average number of Ordinary shares outstanding for the purpose of basic earnings per share	12,52,40,54,306	12,50,23,78,226
(c) Effect of potential Ordinary shares on Employee Stock Options outstanding and Stock Appreciation Rights (ESARs) outstanding	84,98,428	1,86,64,293
(d) Weighted average number of Ordinary shares in computing diluted earnings per share [(b) + (c)]	12,53,25,52,734	12,52,10,42,519
(e) Earnings per share (Face Value ₹ 1.00 per share)		
For Continuing Operations		
– Basic [(ai)/(b)]	16.52	15.78
– Diluted [(ai)/(d)]	16.51	15.76
For Discontinued Operations		
– Basic [(aii)/(b)]	–	12.01
– Diluted [(aii)/(d)]	–	11.99
For Continuing and Discontinued Operations		
– Basic [(aiii)/(b)]	16.52	27.79
– Diluted [(aiii)/(d)]	16.51	27.75

(iii) (a) The subsidiaries (which along with ITC Limited, the parent, constitute the Group) considered in the preparation of these Consolidated Financial Statements are:

Name	Country of Incorporation	Percentage of ownership interest as at 31st March, 2026	Percentage of ownership interest as at 31st March, 2025
ITC Infotech India Limited	India	100	100
ITC Infotech Limited[@]	UK	100	100
ITC Infotech (USA), Inc.[@]	USA	100	100
Indivate Inc. [a subsidiary of ITC Infotech (USA), Inc.]	USA	100	100
ITC Infotech Do Brasil LTDA.[@]	Brazil	100	100
ITC Infotech Malaysia SDN. BHD.[@]	Malaysia	100	100
ITC Infotech France SAS[@]	France	100	100
ITC Infotech GmbH[@]	Germany	100	100

Notes to the Consolidated Financial Statements

30. Additional Notes to the Consolidated Financial Statements (Contd.)

Name	Country of Incorporation	Percentage of ownership interest as at 31st March, 2026	Percentage of ownership interest as at 31st March, 2025
ITC Infotech de México, S.A. de C.V.[@] [including shareholding by ITC Infotech (USA), Inc.]	Mexico	100	100
ITC Infotech Arabia Limited[@]	Saudi Arabia	100	100
ITC Infotech Italia s.r.l.[@]	Italy	100	100
Blazeclan Technologies Private Limited[@]	India	100	100
Cloudlytics Technologies Private Limited*	India	100	100
Blazeclan Technologies Pty. Ltd.*	Australia	100	100
Blazeclan Technologies Limited* (a 100% subsidiary of Blazeclan Technologies Pty. Ltd.)	New Zealand	100	100
Blazeclan Americas Inc. (upto 23.03.2026)*	USA	100	100
Blazeclan Technologies Pte. Ltd.*	Singapore	100	100
Blazeclan Technologies SDN. BHD.*	Malaysia	100	100
Blazeclan Technologies Corporation (BTC)* [including shareholding by two Directors of BTC]	Philippines	100	100
Blazeclan Europe SRL.*	Belgium	100	100
Blazeclan Technologies LLC*	USA	100	100
Blazeclan Technologies Inc.*	Canada	100	100
Surya Nepal Private Limited	Nepal	61	59
Surya Nepal Ventures Private Limited (a 100% subsidiary of Surya Nepal Private Limited)	Nepal	61	59
Technico Agri Sciences Limited	India	100	100
Technico Pty Limited	Australia	100	100
Technico Technologies Inc. (a 100% subsidiary of Technico Pty Limited)	Canada	100	100
Technico Asia Holdings Pty Limited (a 100% subsidiary of Technico Pty Limited)	Australia	100	100
Technico Horticultural (Kunming) Co. Limited (a 100% subsidiary of Technico Asia Holdings Pty Limited)	China	100	100
Russell Credit Limited	India	100	100
Greenacre Holdings Limited	India	100	100
Gold Flake Corporation Limited	India	100	100
ITC Integrated Business Services Limited	India	100	100
MRR Trading & Investment Company Limited (a 100% subsidiary of ITC Integrated Business Services Limited)	India	100	100
North East Nutrients Private Limited	India	76	76
Prag Agro Farm Limited (upto 09.12.2025)	India	100	100
Pavan Poplar Limited	India	100	100
ITC IndiVision Limited	India	100	100
ITC Fibre Innovations Limited	India	100	100
Fyve Elements LLC (w.e.f. 13.06.2025)[#]	USA	100	–
Sresta Global FZE (w.e.f. 13.06.2025)[#]	UAE	100	–

[@] subsidiaries of ITC Infotech India Limited
* subsidiaries of Blazeclan Technologies Private Limited
[#] Refer Note 30(ix)

The financial statements of all subsidiaries, considered in the Consolidated Financial Statements, are drawn upto 31st March, other than for Surya Nepal Private Limited and Surya Nepal Ventures Private Limited where it is upto 14th March, based on the local laws of Nepal.

Notes to the Consolidated Financial Statements

30. Additional Notes to the Consolidated Financial Statements (Contd.)

(b) Interests in Joint Ventures:

The Group's interests in jointly controlled entities (incorporated Joint Ventures) are:

Name	Country of Incorporation	Percentage of ownership interest as at 31st March, 2026	Percentage of ownership interest as at 31st March, 2025
Logix Developers Private Limited [Refer Note 30(viii)]	India	27.90	27.90
ITC Filtrona Limited (a joint venture of Gold Flake Corporation Limited)	India	50	50

The financial statements of all Joint Ventures, considered in the Consolidated Financial Statements, are drawn upto 31st March.

(c) Investments in Associates:

The Group's Associates are:

Name	Country of Incorporation	Percentage of ownership interest as at 31st March, 2026	Percentage of ownership interest as at 31st March, 2025
Russell Investments Limited*	India	25.43	25.43
Divya Management Limited*	India	33.33	33.33
Antrang Finance Limited*	India	33.33	33.33
ATC Limited [Refer Note 30(xiii)] (an associate of Gold Flake Corporation Limited)	India	47.64	47.50
Mother Sparsh Baby Care Private Limited [Refer Note 30(iv)(b)]	India	39.47@	26.50@
Sproutlife Foods Private Limited [Refer Note 30(iv)(b)]	India	47.50@	47.50@
ITC Hotels Limited	India	39.85	39.88
Ample Foods Private Limited (w.e.f. 04.04.2025) [Refer Note 30(iv)(b)]	India	43.75	–
Delectable Technologies Private Limited (upto 12.05.2025) [Refer Note 30(xii)	India	–	39.32@

*associates of Russell Credit Limited
@ on a fully diluted basis

The financial statements of all Associates, considered in the Consolidated Financial Statements, are drawn upto 31st March.

(d) These Consolidated Financial Statements are based, insofar as they relate to amounts included in respect of subsidiaries, associates and joint ventures on the audited financial statements prepared for consolidation in accordance with the requirements of Ind AS 110 - Consolidated Financial Statements and Ind AS 28 - Investments in Associates and Joint Ventures by each of the included entities other than in respect of "Logix Developers Private Limited" which has been considered on the basis of financial statements as certified by the management of the said company and provided to the Group.

30. Additional Notes to the Consolidated Financial Statements (Contd.)

(iv) Contingent liabilities and commitments:

(a) Contingent liabilities:

Claims against the Group not acknowledged as debts, are ₹ 1235.64 Crores (2025 - ₹ 1112.76 Crores), including interest on claims, where applicable, estimated to be ₹ 357.48 Crores (2025 - ₹ 332.02 Crores), including share of associates ₹ 113.31 Crores (2025 - ₹ 105.82 Crores). These comprise:

- Excise duty, VAT/sales taxes, GST and other indirect taxes claims disputed by the Group relating to issues of applicability and classification aggregating ₹ 711.53 Crores (2025 - ₹ 680.90 Crores), including interest on claims, where applicable, estimated to be ₹ 300.11 Crores (2025 - ₹ 292.10 Crores), including share of associates ₹ 36.42 Crores (2025 - ₹ 40.82 Crores).
- Local Authority taxes/cess/royalty on property, utilities etc. claims disputed by the Group relating to issues of applicability and determination aggregating ₹ 326.76 Crores (2025 - ₹ 252.47 Crores), including interest on claims, where applicable, estimated to be ₹ 25.22 Crores (2025 - ₹ 21.29 Crores), including share of associates ₹ 19.86 Crores (2025 - ₹ 15.26 Crores).
- Third party claims arising from disputes relating to contracts aggregating ₹ 97.22 Crores (2025 - ₹ 85.87 Crores), including interest on claims, where applicable, estimated to be ₹ 9.80 Crores (2025 - ₹ 0.46 Crore), including share of associates ₹ 56.73 Crores (2025 – ₹ 46.47 Crores).
- Other matters aggregating ₹ 100.13 Crores (2025 - ₹ 93.52 Crores), including interest on other matters, where applicable, estimated to be ₹ 22.35 Crores (2025 - ₹ 18.17 Crores), including share of associates ₹ 0.30 Crore (2025 - ₹ 3.27 Crores).

In respect of Surya Nepal Private Limited (SNPL), certain cases involving demands related to Excise Duty, Income Tax, and Value Added Tax, raised on the basis of alleged theoretical production of cigarettes, were pending for disposal before the Inland Revenue Department (IRD) pursuant to the directions of the Hon'ble Supreme Court. All such demands amounting to ₹ 41.76 Crores [Nepalese Rupee (NRs.) 66.82 Crores] have been set aside by the IRD in favour of the Company vide order dated 14th July, 2025.

It is not practicable for the Group to estimate the closure of these issues and the consequential timings of cash flows, if any, in respect of the above.

(b) Commitments

- Estimated amount of contracts remaining to be executed on capital accounts and not provided for are ₹ 1634.40 Crores (2025 - ₹ 1048.96 Crores) for the Group, which includes share of associates ₹ 92.75 Crores (2025 - ₹ 70.00 Crores) and share of joint ventures ₹ 2.10 Crores (2025 - ₹ 1.63 Crores).
- Uncalled liability on partly paid-up shares and other investments is ₹ 25.18 Crores (2025 - ₹ 25.35 Crores).
- The Group on 19th April, 2023, executed transaction documents for acquisition of 100% of the share capital (on a fully diluted basis) of Sproutlife Foods Private Limited ('Sproutlife') over a time period of about three to four years. The Group held 47.50% of the share capital (on a fully diluted basis) of Sproutlife as on 31st March, 2026 (Refer Note 4). The consideration for acquisition of the balance stake of 52.50% will be determined based on pre-agreed valuation criteria and fulfilment of applicable terms and conditions. Further, the Company on 1st April, 2026 acquired the right to nominate majority of the Directors on the Board of Sproutlife. Consequently, Sproutlife has become a subsidiary of the Company with effect from the said date.
- The Group on 6th February, 2025, executed transaction documents for acquisition of 100% of the share capital of Ample Foods Private Limited ('Ample Foods') over a time period of about three years. Consequently, the Group acquired 43.75% stake in Ample Foods on 4th April, 2025 for a consideration of ₹ 131.25 Crores (Refer Note 4). The Group's stake in Ample Foods will increase to 62.50% by April, 2027 through secondary purchase of ₹ 56.00 Crores. The consideration for acquisition of balance stake of 37.50% will be determined based on pre-agreed valuation criteria and fulfilment of applicable terms and conditions.
- The Group on 31st March, 2025, entered into a Business Transfer Agreement (BTA) with Aditya Birla Real Estate Limited for acquisition of the Undertaking pertaining to manufacture, distribution and sale of pulp and paper products operated under the name of 'Century Pulp and Paper', as a going concern on a slump sale basis for a lumpsum consideration of up to ₹ 3500.00 Crores on a cash-free debt-free basis, payable as per the terms and conditions laid down in the BTA. The transaction will be consummated upon fulfilment of the conditions precedent as laid down in the BTA.

30. Additional Notes to the Consolidated Financial Statements (Contd.)

- The Group on 17th April, 2025, executed Transaction Documents i.e., Share Subscription and Share Purchase Agreement and Shareholders' Agreement, to acquire the balance 73.50% of the share capital (on a fully diluted basis) of Mother Sparsh Baby Care Private Limited ('Mother Sparsh'), an associate company, in one or more tranches over a time period of about two to three years, based on pre-agreed valuation criteria and fulfilment of applicable terms and conditions.

  The Group on 21st May, 2025, acquired 12.97% stake in Mother Sparsh for a consideration of ₹ 50.58 Crores. Consequently, the Group held 39.47% of the share capital (on a fully diluted basis) of Mother Sparsh as at 31st March, 2026 (Refer Note 4).

(v) Research and Development expenses for the year amount to ₹ 194.50 Crores (2025 - ₹ 187.87 Crores).

(vi) **Employee Benefit Plans**

The Group has adopted Indian Accounting Standard-19 (Ind AS 19) on 'Employee Benefits'. These Consolidated Financial Statements include the obligations as per requirement of this standard except for those subsidiaries which are incorporated outside India who have determined the valuation / provision for employee benefits as per requirements of their respective countries. In the opinion of the management, the impact of this deviation is not considered material.

Description of Plans

The Group makes contributions to both Defined Benefit and Defined Contribution Plans for qualifying employees. These Plans are administered through approved Trusts, which operate in accordance with the Trust Deeds, Rules and applicable Statutes. The concerned Trusts are managed by Trustees who provide strategic guidance with regard to the management of their investments and liabilities and also periodically review their performance. In respect of other employees, contribution towards provident fund are deposited with the Government administered funds.

Provident Fund is funded, Pension Benefits and Gratuity Benefits are both funded as well unfunded; and Leave Encashment Benefits are unfunded in nature. The Defined Benefit Pension Plans are based on employees' pensionable remuneration and length of service. Under the Provident Fund, Gratuity and Leave Encashment Schemes, employees are entitled to receive lump sum benefits.

(a) Defined Benefit Plans:

The liabilities arising in the Defined Benefit Schemes are determined in accordance with the advice of independent, professionally qualified actuaries, using the projected unit credit method as at year end. The Group makes regular contributions to these Defined Benefit Plans. Additional contributions are made to these Plans as and when required based on actuarial valuation.

Risk Management

The Defined Benefit Plans expose the Group to risk of actuarial deficit arising out of investment risk, interest rate risk and salary cost inflation risk.

Investment Risk: This may arise from volatility in asset values due to market fluctuations and impairment of assets due to credit losses. These Plans primarily invest in debt instruments such as Government securities and highly rated corporate bonds, the valuation of which is inversely proportional to the interest rate movements, and also in insurer managed funds, the investments in which are also subject to equity market risk.

Interest Rate Risk: The present value of Defined Benefit Plans liability is determined using the discount rate based on the market yields prevailing at the end of reporting period on Government securities. A decrease in yields will increase the fund liabilities and vice-versa.

Salary Cost Inflation Risk: The present value of the Defined Benefit Plan liability is calculated with reference to the future salaries of participants under the Plan. Increase in salary might lead to higher liabilities.

These Plans have a relatively balanced mix of investments in order to manage the above risks. The investment strategy is designed based on the interest rate scenario, liquidity needs of the Plans and pattern of investment as prescribed under various Statutes.

The Trustees regularly monitor the funding and investments of these Plans. Risk mitigation systems are in place to ensure that the health of the portfolio is regularly reviewed and investments do not pose any significant risk of impairment. Periodic audits are conducted to ensure adequacy of internal controls. Pension obligation of the employees is secured by purchasing annuities thereby de-risking the Plans from future payment obligation.

Notes to the Consolidated Financial Statements

30. Additional Notes to the Consolidated Financial Statements (Contd.)

(₹ in Crores)

		For the year ended 31st March, 2026				For the year ended 31st March, 2025			
		Pension	Gratuity		Leave Encashment	Pension	Gratuity		Leave Encashment
		Partially Funded	Funded	Unfunded	Unfunded	Partially Funded	Funded	Unfunded	Unfunded
I	**Components of Employer Expense**								
	– Recognised in the Statement of Profit and Loss								
1	Current Service Cost	30.61	45.72	2.76	22.29	35.39	43.31	1.09	20.63
2	Past Service Cost	(6.44)	298.98	1.77	55.17	–	0.38	(0.37)	1.16
3	Net Interest Cost	(0.61)	3.88	0.94	12.06	(3.87)	(1.19)	0.75	12.61
4	**Total expense recognised in the Statement of Profit and Loss**	**23.56**	**348.58**	**5.47**	**89.52**	**31.52**	**42.50**	**1.47**	**34.40**
	– Remeasurements recognised in Other Comprehensive Income								
5	Return on plan assets (excluding amounts included in net interest cost)	19.39	1.45	–	–	(9.50)	(3.47)	–	–
6	Effect of changes in demographic assumptions	0.01	0.61	0.02	–	–	(0.07)	0.21	(0.14)
7	Effect of changes in financial assumptions	(2.76)	(4.36)	(1.11)	(2.41)	8.63	9.26	1.08	3.16
8	Changes in asset ceiling (excluding interest income)	–	–	–	–	–	–	–	–
9	Effect of experience adjustments	7.26	3.86	0.07	0.02	13.51	3.41	1.96	(1.91)
10	**Total remeasurements included in Other Comprehensive Income**	**23.90**	**1.56**	**(1.02)**	**(2.39)**	**12.64**	**9.13**	**3.25**	**1.11**
11	**Total defined benefit cost recognised in the Statement of Profit and Loss and Other Comprehensive Income (4+10)**	**47.46**	**350.14**	**4.45**	**87.13**	**44.16**	**51.63**	**4.72**	**35.51**

The current service cost, past service cost and net interest cost for the year, as applicable, pertaining to Pension and Gratuity expenses have been recognised in "Contribution to Provident and other funds" and Leave Encashment in "Salaries and wages" under Note 26. Further, the past service cost representing one-time impact of New Labour Codes has been recognised in "Exceptional Items" [Refer Note 30(i)]. The remeasurements of the net defined benefit liability are included in Other Comprehensive Income.

II	**Actual Returns**	34.73	34.49	–	–	73.27	41.11	–	–
III	**Net Asset/(Liability) recognised in Balance Sheet**								
1	Present Value of Defined Benefit Obligation	842.78	877.75	19.00	255.07	848.86	533.90	15.44	191.25
2	Fair Value of Plan Assets	784.38	560.06	–	–	820.23	508.50	–	–
3	Status [Surplus/(Deficit)]	(58.40)	(317.69)	(19.00)	(255.07)	(28.63)	(25.40)	(15.44)	(191.25)
4	Restrictions on Asset Recognised	–	–	–	–	–	–	–	–
5	Net (Liability) recognised in Balance Sheet	**(64.88)**	**(317.69)**	**(19.00)**	**(255.07)**	**(37.25)**	**(25.40)**	**(15.44)**	**(191.25)**
	a. Current	(44.02)	(316.74)	(2.26)	(33.93)	(15.28)	(25.03)	(0.99)	(21.21)
	b. Non-Current	(20.86)	(0.95)	(16.74)	(221.14)	(21.97)	(0.37)	(14.45)	(170.04)
6	Net Asset recognised in Balance Sheet	**6.48**	–	–	–	**8.62**	–	–	–
	a. Current	–	–	–	–	–	–	–	–
	b. Non-Current	6.48	–	–	–	8.62	–	–	–

Notes to the Consolidated Financial Statements

30. Additional Notes to the Consolidated Financial Statements (Contd.)

(₹ in Crores)

			For the year ended 31st March, 2026 (₹ in Crores)				For the year ended 31st March, 2025 (₹ in Crores)			
			Pension	Gratuity		Leave Encashment	Pension	Gratuity		Leave Encashment
			Partially Funded	Funded	Unfunded	Unfunded	Partially Funded	Funded	Unfunded	Unfunded
IV	**Change in Defined Benefit Obligation (DBO)**									
	1	Present Value of DBO at the beginning of the year	848.86	533.90	15.44	191.25	947.48	576.05	7.70	197.25
	2	Current Service Cost	30.61	45.72	2.76	22.29	35.39	43.31	1.09	20.63
	3	Past Service Cost	(6.44)	298.98	1.77	55.17	–	0.38	(0.37)	1.16
	4	Interest Cost	53.51	39.82	0.94	12.06	59.90	36.46	0.75	12.61
	5	Remeasurement gains/(losses):								
	a.	Effect of changes in demographic assumptions	0.01	0.61	0.02	–	–	(0.07)	0.21	(0.14)
	b.	Effect of changes in financial assumptions	(2.76)	(4.36)	(1.11)	(2.41)	8.63	9.26	1.08	3.16
	c.	Changes in asset ceiling (excluding interest income)	–	–	–	–	–	–	–	–
	d.	Effect of experience adjustments	7.26	3.86	0.07	0.02	13.51	3.41	1.96	(1.91)
	6	Curtailment Cost/(Credits)	–	–	–	–	–	–	–	–
	7	Settlement Cost/(Credits)	–	–	–	–	–	–	–	–
	8	Liabilities assumed on Business Combination [Refer Note 30(ix)]	–	3.79	–	–	–	–	4.60	2.23
	9	Liabilities transferred pursuant to Scheme of Demerger of Hotels business	–	–	–	–	(106.95)	(73.69)	(1.30)	(21.76)
	10	Effects of transfer In/(Out)	3.53	0.01	0.35	–	0.51	–	0.08	–
	11	Benefits Paid	(91.80)	(44.58)*	(1.24)	(23.31)	(109.61)	(61.21)	(0.36)	(21.98)
	12	**Present Value of DBO at the end of the year**	**842.78**	**877.75**	**19.00**	**255.07**	**848.86**	**533.90**	**15.44**	**191.25**

*includes Benefits paid by the Group of ₹ 1.18 Crores.

(₹ in Crores)

		As at 31st March, 2026	As at 31st March, 2025
V	**Best Estimate of Employers' Expected Contribution for the next year**		
	– Pension	90.08	56.91
	– Gratuity	356.68	82.52

Notes to the Consolidated Financial Statements

30. Additional Notes to the Consolidated Financial Statements (Contd.)

(₹ in Crores)

		For the year ended 31st March, 2026				For the year ended 31st March, 2025			
		Pension	Gratuity		Leave Encashment	Pension	Gratuity		Leave Encashment
		Partially Funded	Funded	Unfunded	Unfunded	Partially Funded	Funded	Unfunded	Unfunded
VI	**Change in Fair Value of Assets**								
1	Plan Assets at the beginning of the year	820.23	508.50	–	–	955.52	525.06	–	–
2	Assets transferred pursuant to Scheme of demerger of Hotels business	–	–	–	–	(121.03)	(72.77)	–	–
3	Interest Income	54.12	35.94	–	–	63.77	37.65	–	–
4	Remeasurement Gains/(Losses) on plan assets	(19.39)	(1.45)	–	–	9.50	3.47	–	–
5	Actual Group Contributions	19.56	60.64	–	–	22.10	76.30	–	–
6	Benefits Paid	(89.64)	(43.40)	–	–	(109.61)	(61.21)	–	–
7	Effects of transfer In/(Out)	(0.50)	(0.17)	–	–	(0.02)	–	–	–
8	**Plan Assets at the end of the year**	**784.38**	**560.06**	–	–	**820.23**	**508.50**	–	–

		As at 31st March, 2026	As at 31st March, 2025
		Discount Rate (%)	Discount Rate (%)
VII	**Actuarial Assumptions**		
1	Pension	6.75	6.75
2	Gratuity	6.75	6.75
3	Leave Encashment	6.75	6.75

The estimates of future salary increases, generally between 4% to 6% for the Holding Company (being the largest component of the Group), considered in actuarial valuations take account of inflation, seniority, promotion and other relevant factors such as supply and demand factors in the employment market.

		As at 31st March, 2026	As at 31st March, 2025
VIII	**Major Category of Plan Assets as a % of the Total Plan Assets**		
1	Government Securities/Special Deposit with RBI	11.55%	13.87%
2	High Quality Corporate Bonds	10.81%	11.26%
3	Insurer/Citizen Investment Trust Managed Funds*	66.35%	62.87%
4	Mutual Funds	7.24%	7.59%
5	Cash and Cash Equivalents	4.05%	4.41%
6	Term Deposits	–	–

* In the absence of detailed information regarding plan assets which is funded with Insurance Companies, the composition of each major category of plan assets, the percentage or amount for each category to the fair value of plan assets has not been disclosed.

The fair value of Government Securities, Corporate Bonds and Mutual Funds are determined based on quoted market prices in active markets. The employee benefit plans do not hold any securities issued by the participating companies.

30. Additional Notes to the Consolidated Financial Statements (Contd.)

IX Basis used to determine the Expected Rate of Return on Plan Assets

The expected rate of return on plan assets is based on the current portfolio of assets, investment strategy and market scenario. In order to protect the capital and optimise returns within acceptable risk parameters, the plan assets are well diversified.

(₹ in Crores)

		For the year ended 31st March, 2026				For the year ended 31st March, 2025			
		Pension	Gratuity		Leave Encashment	Pension	Gratuity		Leave Encashment
		Partially Funded	Funded	Unfunded	Unfunded	Partially Funded	Funded	Unfunded	Unfunded
X	**Net Asset/(Liability) recognised in Balance Sheet (including experience adjustment impact)**								
1	Present Value of Defined Benefit Obligation	842.78	877.75	19.00	255.07	848.86	533.90	15.44	191.25
2	Fair Value of Plan Assets	784.38	560.06	–	–	820.23	508.50	–	–
3	Status [Surplus/(Deficit)]	(58.40)	(317.69)	(19.00)	(255.07)	(28.63)	(25.40)	(15.44)	(191.25)
4	Experience Adjustment of Plan Assets [Gain/ (Loss)]	(19.39)	(1.45)	–	–	9.50	3.47	–	–
5	Experience Adjustment of obligation [(Gain)/ Loss]	7.26	3.86	0.07	0.02	13.51	3.41	1.96	(1.91)

XI. Sensitivity Analysis

The Sensitivity Analysis below has been determined based on reasonably possible change of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant. These sensitivities show the hypothetical impact of a change in each of the listed assumptions in isolation. While each of these sensitivities holds all other assumptions constant, in practice such assumptions rarely change in isolation and the asset value changes may partially offset this impact. For presenting the sensitivities, the present value of the Defined Benefit Obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the Defined Benefit Obligation presented above. There was no change in the methods and assumptions used in the preparation of the Sensitivity Analysis from previous year.

(₹ in Crores)

		DBO as at 31st March, 2026	DBO as at 31st March, 2025
1	Discount Rate + 100 basis points	1872.26	1507.49
2	Discount Rate - 100 basis points	2116.46	1695.17
3	Salary Increase Rate + 1%	2097.59	1690.15
4	Salary Increase Rate – 1%	1884.40	1514.17
	Maturity Analysis of the Benefit Payments		
1	Year 1	286.35	236.97
2	Year 2	276.11	234.66
3	Year 3	216.96	168.65
4	Year 4	207.42	132.61
5	Year 5	162.07	163.36
6	Next 5 Years	668.59	538.85

(b) Amounts towards Defined Contribution Plans have been recognised under "Contribution to Provident and other funds" in Note 26: ₹ 296.60 Crores [2025 - ₹ 301.95 Crores (including amounts recognized in discontinued operations)].

Notes to the Consolidated Financial Statements

30. Additional Notes to the Consolidated Financial Statements (Contd.)

(vii) Additional information as required by Paragraph 2 of the General Instructions for Preparation of Consolidated Financial Statements to Schedule III to the Companies Act, 2013:

Name of the Entity		Net Assets		Share in Profit or (Loss)		Share in Other Comprehensive Income		Share in Total Comprehensive Income	
		As a % of Consolidated Net Assets	Amount (₹ in Crores)	As % of Consolidated Profit or (Loss)	Amount (₹ in Crores)	As % of Consolidated Other Comprehensive Income	Amount (₹ in Crores)	As % of Consolidated Total Comprehensive Income	Amount (₹ in Crores)
Parent									
ITC Limited		85.51%	62,309.57	91.94%	19325.60	125.89%	(809.95)	90.88%	18,515.65
Subsidiary									
	Indian								
1	Russell Credit Limited	1.31%	954.54	0.23%	48.99	0.69%	(4.46)	0.22%	44.53
2	Greenacre Holdings Limited	0.11%	80.17	0.02%	3.61	(…)	0.02	0.02%	3.63
3	Prag Agro Farm Limited*	–	–	…	0.01	–	–	…	0.01
4	Pavan Poplar Limited*	–	–	(…)	(0.09)	–	–	(…)	(0.09)
5	Technico Agri Sciences Limited	0.58%	426.18	0.38%	79.89	(0.02%)	0.12	0.39%	80.01
6	ITC Infotech India Limited	2.08%	1513.29	1.59%	333.65	(1.58%)	10.18	1.69%	343.83
7	Blazeclan Technologies Private Limited	0.03%	25.40	(0.15%)	(31.49)	(0.53%)	3.42	(0.14%)	(28.07)
8	Cloudlytics Technologies Private Limited	(…)	(1.32)	…	0.01	–	–	…	0.01
9	Gold Flake Corporation Limited	0.04%	26.29	0.01%	1.18	–	–	0.01%	1.18
10	ITC Integrated Business Services Limited	0.02%	11.54	0.01%	1.34	(0.01%)	0.05	0.01%	1.39
11	MRR Trading & Investment Company Limited	…	0.04	…	0.01	–	–	…	0.01
12	North East Nutrients Private Limited	0.11%	78.96	0.04%	8.36	(…)	0.01	0.04%	8.37
13	ITC IndiVision Limited	0.39%	287.58	(0.15%)	(32.40)	0.01%	(0.08)	(0.16%)	(32.48)
14	ITC Fibre Innovations Limited	0.38%	278.01	(0.16%)	(33.45)	(…)	0.01	(0.16%)	(33.44)

30. Additional Notes to the Consolidated Financial Statements (Contd.)

	Name of the Entity	Net Assets		Share in Profit or (Loss)		Share in Other Comprehensive Income		Share in Total Comprehensive Income	
		As a % of Consolidated Net Assets	Amount (₹ in Crores)	As % of Consolidated Profit or (Loss)	Amount (₹ in Crores)	As % of Consolidated Other Comprehensive Income	Amount (₹ in Crores)	As % of Consolidated Total Comprehensive Income	Amount (₹ in Crores)
	Foreign								
1	Technico Pty Limited	0.06%	45.84	0.04%	7.47	(2.32%)	14.90	0.11%	22.37
2	Technico Technologies Inc.	…	1.15	–	–	(0.12%)	0.80	0.00%	0.80
3	Technico Asia Holdings Pty Limited	…	0.15	(…)	(0.01)	(0.02%)	0.10	0.00%	0.09
4	Technico Horticulture (Kunming) Co. Limited	0.03%	19.63	0.01%	2.18	0.50%	(3.22)	(0.01%)	(1.04)
5	Fyve Elements LLC#	0.20%	143.84	…	0.91	(1.74%)	11.22	0.06%	12.13
6	Sresta Global FZE#	(…)	(0.21)	…	0.70	(0.02%)	0.14	…	0.84
7	ITC Infotech Limited	0.16%	114.38	0.09%	19.01	(2.33%)	15.00	0.17%	34.01
8	ITC Infotech (USA), Inc.	0.39%	284.14	0.14%	28.96	(5.60%)	36.00	0.32%	64.96
9	Indivate Inc.	0.01%	6.36	0.16%	33.54	–	–	0.16%	33.54
10	ITC Infotech Do Brasil LTDA.	0.01%	9.05	0.01%	1.59	(0.31%)	2.00	0.02%	3.59
11	ITC Infotech France SAS	0.06%	41.23	0.02%	4.16	(0.94%)	6.02	0.05%	10.18
12	ITC Infotech GmbH	0.11%	77.89	0.03%	6.44	(1.99%)	12.82	0.09%	19.26
13	ITC Infotech Malaysia SDN. BHD.	0.04%	26.85	0.02%	3.66	(0.62%)	4.00	0.04%	7.66
14	ITC Infotech de México, S.A. de C.V.	0.03%	22.31	0.01%	1.27	(0.62%)	4.00	0.03%	5.27
15	ITC Infotech Arabia Limited	0.07%	54.15	0.05%	9.70	(0.77%)	4.97	0.07%	14.67
16	ITC Infotech Italia s.r.l.	0.01%	10.35	0.01%	1.12	(0.31%)	2.00	0.02%	3.12
17	Blazeclan Technologies Pty. Ltd.	0.01%	5.14	…	0.82	(0.13%)	0.81	0.01%	1.63

Notes to the Consolidated Financial Statements

30. Additional Notes to the Consolidated Financial Statements (Contd.)

	Name of the Entity	Net Assets		Share in Profit or (Loss)		Share in Other Comprehensive Income		Share in Total Comprehensive Income	
		As a % of Consolidated Net Assets	Amount (₹ in Crores)	As % of Consolidated Profit or (Loss)	Amount (₹ in Crores)	As % of Consolidated Other Comprehensive Income	Amount (₹ in Crores)	As % of Consolidated Total Comprehensive Income	Amount (₹ in Crores)
	Foreign								
18	Blazeclan Technologies Limited	…	0.70	…	0.02	(0.01%)	0.07	0.00%	0.09
19	Blazeclan Americas Inc.	…	0.94	…	0.23	(0.01%)	0.08	0.00%	0.31
20	Blazeclan Technologies Pte. Ltd.	0.01%	8.40	0.02%	4.77	(0.23%)	1.47	0.03%	6.24
21	Blazeclan Technologies SDN. BHD.	…	2.13	…	0.31	(0.05%)	0.35	…	0.66
22	Blazeclan Technologies Corporation	…	1.81	…	0.04	(0.01%)	0.08	…	0.12
23	Blazeclan Europe SRL.	…	0.36	…	0.99	0.01%	(0.05)	…	0.94
24	Blazeclan Technologies LLC	…	0.55	(…)	(0.14)	(0.01%)	0.06	…	(0.08)
25	Blazeclan Technologies Inc.	(…)	(1.64)	…	0.10	0.03%	(0.21)	(…)	(0.11)
26	Surya Nepal Private Limited	0.46%	336.53	2.28%	478.55	0.24%	(1.55)	2.34%	477.00
27	Surya Nepal Ventures Private Limited	0.02%	16.78	…	0.78	–	–	…	0.78
	Non-Controlling Interest in all subsidiaries	**0.50%**	**365.72**	**1.56%**	**328.68**	**0.17%**	**(1.09)**	**1.61%**	**327.59**
	Associates								
	Indian								
1	Russell Investments Limited	0.06%	46.13	0.01%	3.13	(0.03%)	0.22	0.02%	3.35
2	Divya Management Limited	0.02%	10.98	0.01%	2.71	–	–	0.01%	2.71
3	Antrang Finance Limited	0.01%	7.93	0.01%	2.28	(0.02%)	0.13	0.01%	2.41

Notes to the Consolidated Financial Statements

30. Additional Notes to the Consolidated Financial Statements (Contd.)

	Name of the Entity	Net Assets		Share in Profit or (Loss)		Share in Other Comprehensive Income		Share in Total Comprehensive Income	
		As a % of Consolidated Net Assets	Amount (₹ in Crores)	As % of Consolidated Profit or (Loss)	Amount (₹ in Crores)	As % of Consolidated Other Comprehensive Income	Amount (₹ in Crores)	As % of Consolidated Total Comprehensive Income	Amount (₹ in Crores)
	Associates								
	Indian								
4	ATC Limited	0.01%	9.36	(…)	(0.23)	(0.01%)	0.06	(…)	(0.17)
5	Delectable Technologies Private Limited	–	–	–	–	–	–	–	–
6	Mother Sparsh Baby Care Private Limited	0.12%	86.04	(0.01%)	(1.26)	(…)	0.01	(0.01%)	(1.25)
7	Sproutlife Foods Private Limited	0.27%	194.09	(0.02%)	(4.67)	0.03%	(0.18)	(0.02%)	(4.85)
8	ITC Hotels Limited	6.37%	4,645.27	1.60%	335.95	(7.24%)	46.59	1.88%	382.54
9	Ample Foods Private Limited	0.18%	129.11	(0.01%)	(2.28)	(0.02%)	0.14	(0.01%)	(2.14)
	Joint Ventures								
	Indian								
1	ITC Filtrona Limited	0.22%	159.33	0.20%	41.38	0.05%	(0.35)	0.20%	41.03
2	Logix Developers Private Limited	–	–	…	0.07	–	–	…	0.07
	Total	**100.00%**	**72873.02**	**100.00%**	**21018.15**	**100.00%**	**(643.29)**	**100.00%**	**20374.86**

Refer Note 30(ix)

* Refer Note 30(xiv)

(viii) Under the terms of the Joint Venture Agreement (JVA), Logix Developers Private Limited ('LDPL') (CIN: U70101DL2010PTC207640) was to develop a luxury hotel-cum-service apartment complex. However, Logix Estates Private Limited, Noida, the JV partner communicated its intention to explore alternative development plans to which the Company reiterated that it was committed only to the project as envisaged in the JVA. The JV partner refused to progress the project and instead expressed its intent to exit the JV by selling its stake to the Company and subsequently proposed that both parties should find a third party to sell the entire shareholding in LDPL. The resultant deadlock has stalled the project. The Company's petition that the affairs of the JV are being conducted in a manner that is prejudicial to the interest of the Company and the JV entity, as also a petition for winding up of LDPL filed by Logix Estates, are currently before the Hon'ble National Company Law Tribunal, Delhi Bench.

New Okhla Industrial Development Authority (NOIDA), vide letter dated 6th July, 2022, cancelled the sub-lease for the land on which the project was to be constructed on account of non-payment of lease instalments and non-fulfilment of the conditions of the sub-lease, including forfeiture of the amount deposited. Upon cancellation of the sub-lease, LDPL is evaluating all options to pursue its rights.

The financial statements of LDPL for the year ended 31st March, 2026 are yet to be approved by its Board of Directors.

30. Additional Notes to the Consolidated Financial Statements (Contd.)

(ix) The Group on 13th June, 2025, acquired, in an all-cash deal, 100% of the equity share capital of Sresta Natural Bioproducts Private Limited ('Sresta'), an Indian company primarily engaged in the business of manufacturing and selling of organic food products (staples, spices, processed foods etc.) under the brand name '24 Mantra Organic'. This acquisition is expected to fortify ITC's presence and market standing in the high growth organic products segment in both Indian and overseas markets.

Subsequently, the Board of Directors of the Company at the meeting held on 1st August, 2025 approved the Scheme of Amalgamation of Sresta and Wimco Limited ('Wimco'), wholly owned subsidiaries, with the Company under Sections 230 and 232 of the Companies Act, 2013 ('the Scheme'). The Hon'ble National Company Law Tribunal ('NCLT'), Kolkata Bench vide Order dated 20th March, 2026 and NCLT, Hyderabad Bench, vide Order dated 16th April, 2026 have approved the said amalgamation and certified copies of the Orders have been filed with the Registrar of Companies, West Bengal and Telangana, respectively, on 7th May, 2026. Since all the requisite formalities have been completed, the aforesaid amalgamation has been given effect to in these Financial Statements from the respective Appointed Dates i.e. 1st April, 2025 for Wimco and 13th June, 2025 for Sresta. Accordingly, the two subsidiaries of Sresta viz., Sresta Global FZE, UAE and Fyve Elements LLC, USA, have become direct wholly owned subsidiaries of the Company.

The acquisition of Sresta and its subsidiaries has been accounted for using the acquisition method prescribed under Ind AS 103 – Business Combinations, and accordingly, the identifiable assets (both tangible and intangible) acquired and liabilities assumed have been recorded at their provisional acquisition date fair values as determined by an independent valuer. Excess of purchase consideration over the fair value of identified assets acquired and liabilities assumed has been recognized as Goodwill.

The fair value of total purchase consideration (including contingent consideration of ₹ 9.33 Crores) is ₹ 328.13 Crores. The fair values of identifiable assets acquired and liabilities assumed on acquisition are as follows:

Particulars	Amount (₹ in Crores)
Property, Plant and Equipment	17.26
Other intangible assets	230.00
Right-of-use assets	18.01
Trade receivables	37.73
Other assets (net)	28.16
Borrowings (including cash credit facilities)	(92.91)
Sub Total	**238.25**
Goodwill[#]	89.88
Total	**328.13**

[#] *Goodwill is attributed to the potential of growing the business internationally, assembled workforce, expected operating synergies etc. Goodwill has not been considered as a depreciable asset for income tax purpose.*

As part of the acquisition, contingent consideration of an amount not exceeding ₹ 11.50 Crores (undiscounted value) is payable to the erstwhile promoters of Sresta after 2 years on the business achieving mutually agreed financial milestones. The fair value of contingent consideration as on 31st March, 2026 is ₹ 10.20 Crores.

The acquired business has contributed revenue of ₹ 263.69 Crores and loss of ₹ 22.45 Crores for the year ended March 31, 2026.

30. Additional Notes to the Consolidated Financial Statements (Contd.)

(x) In FY 22-23, I3L had entered into an agreement with PTC Inc., a global technology company headquartered in Boston, USA, to acquire a part of PTC's PLM implementation services business and create a new service line focused on the adoption of PTC's industry-leading Windchill PLM software as a service (SaaS).

The consideration against the above agreement was payable to PTC over a period of time by way of cash consideration and also involved contingent consideration which was subject to achievement of revenue and business targets. In the current year contingent consideration has been finalised based on the actual performance against the said targets. The movement of the amount payable to PTC is as below:

(₹ in Crores)

Particulars	March 31, 2026	March 31, 2025
Opening Balance	295.21	400.11
Referral Fees	–	(71.24)
Settlement of consideration by offset of trade receivables*	(104.60)	(74.85)
Changes in fair value recognised in Other Income (Refer Note 24)	(34.04)	36.43
Change in fair value transferred to Hedge Reserve (Refer Note 33)	10.44	4.76
Closing Balance**	167.01	295.21

* Represents settlement of consideration for Business and Commercial Rights through standardisation projects and service credits.

** The amount carried in the Balance Sheet as a non – current financial liability is ₹ 79.80 Crores (2025 - ₹ 198.39 Crores) and as current financial liability is ₹ 87.21 Crores (2025 - ₹ 96.82 Crores) [Refer Note 18].

(xi) Discontinued Operations represents operations of the Hotels Business of the Company (excluding ITC Grand Central, Mumbai) which was demerged pursuant to the Scheme of Arrangement amongst the Company and ITC Hotels Limited and their respective shareholders and creditors under Sections 230 to 232 read with the other applicable provisions of the Companies Act, 2013 w.e.f. 1st January, 2025, being the Appointed Date and the Effective Date.

The exceptional items of discontinued operations for the year ended 31st March, 2025 represent the excess of fair value of the net assets distributed to the shareholders of the Company over its carrying value amounting to ₹ 15128.81 Crores (net of demerger related expenses).

(xii) During the year, the Group divested its entire shareholding of 7,759 Compulsorily Convertible Preference Shares of ₹ 10/- each and 2,386 Equity Shares of ₹ 10/- each held in Delectable Technologies Private Limited ('DTPL'), consequent to which DTPL ceased to be an associate company.

(xiii) During the year, ATC Limited ('ATC'), an associate company of the Group made the fourth and final call of ₹ 30.00 per share towards face value and ₹ 60.00 per share towards securities premium on the partly paid shares held by the Group in ATC. Pursuant to the payment of the said call money, the Group's shareholding in ATC increased from 47.50% to 47.64%. ATC continues to be classified as an associate of the Group.

(xiv) Prag Agro Farm Limited has ceased to be a wholly owned subsidiary of the Company with effect from 10th December, 2025, consequent to its voluntary liquidation by the Hon'ble National Company Law Tribunal, Mumbai Bench. Further, Pavan Poplar Limited has filed for voluntary liquidation and the same is pending with the said Tribunal.

Notes to the Consolidated Financial Statements

30. Additional Notes to the Consolidated Financial Statements (Contd.)

(xv) Leases:

As a Lessee

The Group's significant leasing arrangements are in respect of land, buildings (comprising licensed properties, residential premises, office premises, stores, warehouses etc.), vehicles and plant & equipment. These arrangements generally range between 2 years and 10 years, except for certain land and building leases where the lease term ranges up to 99 years. The lease arrangements have extension / termination options exercisable by either parties which may make the assessment of lease term uncertain. While determining the lease term, all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option are considered.

The amount of ROU Assets and Lease Liabilities recognised in the Balance Sheet are disclosed in Note 3G and Note 17 respectively. The total cash outflow for leases for the year is ₹ 485.47 Crores (2025 - ₹ 480.74 Crores) [including payments of ₹ 400.84 Crores (2025 - ₹ 391.81 Crores) in respect of short-term/low-value leases and variable lease payments of Nil (2025 - ₹ 1.31 Crore)].

The sensitivity of variable lease payments and effect of extension/termination options not included in measurement of lease liabilities is not material.

The undiscounted maturities of lease liabilities over the remaining lease term is as follows:

(₹ in Crores)

Term	As at 31st March, 2026	As at 31st March, 2025
Not later than three years	177.80	157.83
Later than three years and not later than ten years	58.26	68.12
Later than ten years and not later than twenty-five years	12.60	15.27
Later than twenty-five years and not later than fifty years	14.44	17.02
Later than fifty years	21.23	19.24

As a Lessor

The Group has leased out its investment properties etc. under operating lease for periods ranging upto 5 years. Lease payments are structured with periodic escalations consistent with the prevailing market conditions. There are no variable lease payments. The details of income from such leases are disclosed under Note 3C and Note 24. The Group does not have any risk relating to recovery of residual value of investment properties etc. at the end of leases considering the business requirements and other alternatives.

The undiscounted minimum lease payments to be received over the remaining non-cancellable term on an annual basis are as follows:

(₹ in Crores)

Term	As at 31st March, 2026	As at 31st March, 2025
1st year	23.96	17.78
2nd year	19.64	16.75
3rd year	3.82	12.17
Beyond 3 Years	Nil	Nil

30. Additional Notes to the Consolidated Financial Statements (Contd.)

(xvi) **Employee Stock Option Schemes and Employee Stock Appreciation Rights Scheme**

A. Information in respect of Equity Settled Stock Options / Stock Appreciation Rights (ESARs) granted under the Company's Employee Stock Option Schemes / Employee Stock Appreciation Rights Scheme ('Schemes'):

Sl. No.	Particulars		ITC Employee Stock Option Scheme - 2006	ITC Employee Stock Option Scheme - 2010	ITC Employee Stock Appreciation Rights Scheme 2025
1.	Date of Shareholders' approval	:	22-01-2007	23-07-2010	10-04-2025
2.	Total number of Options / ESARs approved under the Schemes *(Adjusted for Bonus Shares issued in terms of Shareholders' approval)*	:	Options equivalent to 37,89,18,503 Ordinary Shares of ₹1/- each	Options equivalent to 55,60,44,823 Ordinary Shares of ₹1/- each	ESARs not exceeding 25,02,34,207 Ordinary Shares of ₹ 1/- each
3.	Vesting Schedule	:	The vesting period for conversion of Options / ESARs is as follows: • On completion of 12 months from the date of grant: 30% vests • On completion of 24 months from the date of grant: 30% vests • On completion of 36 months from the date of grant: 40% vests		
4.	Pricing Formula	:	The Pricing Formula, as approved by the Shareholders of the Company, is such price, as determined by the Nomination & Compensation Committee, which is not lower than the closing price of the Company's Share on National Stock Exchange of India Limited ('the NSE') on the date of grant, or the average price of the Company's Share in the six months preceding the date of grant based on the daily closing price on the NSE, or the 'market price' as defined from time to time under the Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 (SEBI SBEB Regulations). The Options / ESARs have been granted at 'market price' as defined under the SEBI SBEB Regulations.		
5.	Maximum term of Options / ESARs granted	:	Five years - the exercise period commences from the date of vesting of the Options / ESARs granted and expires at the end of five years from the date of vesting.		
6.	Source of Shares	:	Primary		
7.	Variation in terms of Options / ESARs	:	None		
8.	Method used for accounting of share-based payment plans and effect of employee share based plans on the entity's profit or loss for the period and on its financial position	:	The employee compensation cost has been calculated using the fair value method of accounting for Options / ESARs issued under the Company's Schemes. The employee compensation cost as per fair value method for the financial year 2025-26 is ₹ 135.33 Crores (2025 - ₹ 137.27 Crores), out of which ₹ 128.00 Crores (2025 - ₹ 132.62 Crores) relate to employee benefits expense (Refer Note 26), Nil (2025 - ₹ 1.17 Crores) to discontinued operations, Nil (2025 - ₹ 0.20 Crore) to property, plant and equipment and ₹ 7.33 Crores (2025 - ₹ 3.28 Crores) for group entities.		
9.	Nature and extent of employee share based payment plans that existed during the period including the general terms and conditions of each plan, method of settlement (whether in cash or equity) and choice of settlement (with the company or the employee or combination)	:	In addition to the terms and conditions provided in the table under Serial Nos. (3) to (5) hereinbefore, each Option entitles the holder thereof to apply for and be allotted ten Ordinary Shares of the Company of ₹1/- each upon payment of the exercise price during the exercise period.		In addition to the terms and conditions provided in the table under Serial Nos. (3) to (5) hereinbefore, each ESAR Grantee is entitled to apply for and be allotted, upon payment of ₹1/- per Share, Ordinary Shares equivalent to appreciation for the total number of ESARs exercised, computed in the manner specified in the ITC Employee Stock Appreciation Rights Scheme 2025.

Notes to the Consolidated Financial Statements

30. Additional Notes to the Consolidated Financial Statements (Contd.)

Sl. No.	Particulars		ITC Employee Stock Option Scheme - 2006	ITC Employee Stock Option Scheme - 2010	ITC Employee Stock Appreciation Rights Scheme 2025
10.	Weighted average exercise prices and weighted average fair values of Options/ESARs whose exercise price either equals or exceeds or is less than the market price of the stock	:	Weighted average exercise price per Option: ₹ 4179.00 Weighted average fair value per Option : ₹ 801.63 The above Options have been granted at 'Market Price' as mentioned in Serial No. (4) hereinbefore.		Weighted average ESAR price per ESAR: ₹ 4179.00 Weighted average fair value per ESAR : ₹ 801.63 The above ESARs have been granted at 'Market Price' as mentioned in Serial No. (4) hereinbefore.
11.	Option/ESAR movements during the year	:			
	a) Outstanding at the beginning of the year	:	1,30,572	73,04,397	–
	b) Granted during the year	:	–	12,19,630	4,18,560
	c) Cancelled and lapsed during the year	:	320	96,961	1,800
	d) Vested and exercisable during the year	:	3,400	13,98,590	–
	e) Exercised during the year	:	39,082	14,95,763	–
	f) Number of Ordinary Shares of ₹ 1.00 each arising as a result of exercise of Options/ESARs during the year	:	3,90,820	1,49,57,630	–
	g) Outstanding at the end of the year (a+b-c-e)	:	91,170	69,31,303	4,16,760
	h) Exercisable at the end of the year	:	91,170	41,34,908	–
	i) Money realised by exercise of the Options/ESARs during the year (₹ in Crores)	:	8.82	396.03	–

12. Summary of the status of Options/ESARs:

Particulars		As at 31st March, 2026		As at 31st March, 2025	
		No. of Options and ESARs	Weighted Average Exercise Prices/ ESAR Price (₹)	No. of Options	Weighted Average Exercise Prices (₹)
Outstanding at the beginning of the year	:	74,34,969	3325.29	89,94,612	3040.61
Add: Granted during the year	:	16,38,190	4179.00	14,80,700	4835.02
Less: Lapsed during the year	:	99,081	4079.56	1,00,512	3621.31
Less: Exercised during the year	:	15,34,845	2637.70	29,39,831	2712.16
Outstanding at the end of the year	:	74,39,233	3645.10	74,34,969	3325.29
Exercisable at the end of the year	:	42,26,078	3129.77	43,99,319	2686.93

Notes to the Consolidated Financial Statements

30. Additional Notes to the Consolidated Financial Statements (Contd.)

13.	Weighted average share price of Shares arising upon exercise of Options/ ESARs	:	The weighted average share price of Shares, arising upon exercise of Options/ESARs during the year ended 31st March, 2026 was ₹ 410.36 (2025 - ₹ 467.68). This was based on the closing market price on NSE on the date of exercise of Options/ESARs (i.e. the date of allotment of shares by the Securityholders Relationship Committee).

14. Summary of Options/ESARs outstanding, scheme-wise:

Particulars		As at 31st March, 2026			As at 31st March, 2025		
		No. of Options/ ESARs Outstanding	Range of Exercise Prices/ ESAR Price (₹)	Weighted average remaining contractual life	No. of Options Outstanding	Range of Exercise Prices (₹)	Weighted average remaining contractual life
ITC Employee Stock Option Scheme - 2006	:	91,170	1606.33 - 3276.52	2.29	1,30,572	1606.33 - 3276.52	2.78
ITC Employee Stock Option Scheme - 2010	:	69,31,303	1606.33 - 4575.39	4.46	73,04,397	1606.33 - 4575.39	4.17
ITC Employee Stock Appreciation Rights Scheme 2025	:	4,16,760	4179.00	6.69	–	–	–

15.	A description of the method used during the year to estimate the fair values of Options/ESARs, the weighted average exercise prices and weighted average fair values of Options/ESARs granted	:	The fair value of each Option is estimated using the Black Scholes Option Pricing model. Weighted average exercise price per Option : ₹ 4179.00 Weighted average fair value per Option : ₹ 801.63 The fair value of each ESAR is estimated using the Black Scholes Option Pricing model. Weighted average ESAR price per ESAR : ₹ 4179.00 Weighted average fair value per ESAR : ₹ 801.63
	The significant assumptions used to ascertain the above	:	The fair value of each Option/ESAR is estimated using the Black Scholes Option Pricing model after applying the following key assumptions on a weighted average basis: (i) Risk-free interest rate 6.13% (ii) Expected life 4.60 years (iii) Expected volatility 20.09% (iv) Expected dividends 3.43% (v) The price of the underlying shares in market at the time of grant ₹ 4179.00
16.	Methodology for determination of expected volatility	:	The volatility used in the Black Scholes Option Pricing model is the annualised standard deviation of the continuously compounded rates of return on the stock over a period of time. The period considered for the working is commensurate with the expected life of the Options/ESARs and is based on the daily volatility of the Company's stock price on NSE. There are no market conditions attached to the grant and vest.

30. Additional Notes to the Consolidated Financial Statements (Contd.)

B. Information in respect of Options granted by ITC Hotels Limited (ITCHL):

In terms of the Scheme of Demerger of Hotels business, one stock option of ITCHL (including fractional entitlements) has been granted to the eligible employees of the Group by ITCHL under the ITC Hotels Special Purpose Employee Stock Option Scheme ('ITCHL SP ESOP Scheme') for every ten stock options outstanding under the ITC Employee Stock Option Schemes ('ITC ESOS') as on the Record Date i.e. 6th January, 2025, on the terms and conditions similar to the ITC ESOS.

Each option entitles the holder thereof to apply for and be allotted ten Equity Shares of ITCHL of ₹ 1/- each upon payment of exercise price. These options vest over a period of three years from the date of original grant under the ITC ESOS and are exercisable within a period of five years from the date of vesting. The exercise prices have been determined basis fair and reasonable adjustments approved by the respective Nomination & Compensation Committees of the Company and ITCHL for outstanding stock options under the ITC ESOS Schemes as on the Record Date.

The employee compensation cost as per fair value method for the financial year 2025-26 is ₹ 5.30 Crores (2025 - ₹ 2.00 Crores) [Refer Note 26].

The summary of movement of the aforesaid Stock Options granted by ITCHL and status of the outstanding Options is as under:

Particulars	As at 31st March, 2026		As at 31st March, 2025	
	No. of Options	Weighted Average Exercise Prices (₹)	No. of Options	Weighted Average Exercise Prices (₹)
Outstanding at the beginning of the year	7,28,678	1871.89	–	–
Add: Granted during the year	–	–	7,28,678	1871.89
Less: Lapsed during the year	8,935	2266.30	–	–
Less: Exercised during the year	1,74,102	1483.74	–	–
Outstanding at the end of the year	**5,45,640**	**1989.28**	**7,28,678**	**1871.89**
Options exercisable at the end of the year	98,380	1781.70	4,46,047	1521.77
Options vested and exercisable during the year	1,30,767	2280.78	4,46,047	1521.77

(xvii) Information in respect of Cash Settled Stock Appreciation Linked Reward ('SAR') Plan:

Sl. No.	Particulars		Details
1	Nature and extent of Cash Settled Stock Appreciation Linked Reward Plan that existed during the year along with general terms and conditions	:	ITC Employee Cash Settled Stock Appreciation Linked Reward Plan (ITC ESAR Plan). Under the ITC ESAR Plan, the eligible employees receive cash on vesting of SAR units, equivalent to the difference between the grant price and the market price of the share on vesting of SAR units subject to the terms and conditions specified in the Plan.
2	Settlement Method	:	Cash – Settled
3	Vesting period and maximum term of SAR granted	:	Over a period of five years from the date of grant in accordance with the Plan.

30. Additional Notes to the Consolidated Financial Statements (Contd.)

Sl. No.	Particulars		Details
4	Method used to estimate the fair value of SAR granted	:	Black Scholes Option Pricing model. The said model considers inputs such as Risk-free interest rate, Expected life, Expected volatility, Expected dividend, Market price etc. The number of SAR units outstanding as at 31st March, 2026 is Nil (2025 - 1,24,850) and the weighted average fair value at measurement date is Nil (2025 - ₹ 1513.00) per SAR unit.
5	Total cost recognised in the Statement of Profit and Loss	:	The cost has been calculated using the fair value method of accounting for SAR units issued under the ITC ESAR Plan. The employee compensation cost as per fair value method for the financial year 2025-26 is ₹ 1.78 Crores (2025 - ₹ 8.84 Crores); out of which, ₹ 1.68 Crores (2025 - ₹ 8.58 Crores) relate to employee benefits expense (Refer Note 26), Nil (2025 - ₹ 0.11 Crore) to discontinued operations and ₹ 0.10 Crore (2025 - ₹ 0.15 Crore) for group entities. The amount carried in the Balance Sheet as a current financial liability is Nil (2025 - ₹ 16.62 Crores) (Refer Note 18).

(xviii) Information in respect of share-based payments by ITC Infotech India Limited ('I3L'):

The eligible employees of the Group have been granted stock options under the ITC Infotech India Limited Employee Stock Option Plan 2024 (I3L ESOP 2024) in accordance with the terms and conditions of such Plan, key details of which are as under:

1. **Time-Based Options:** Vesting of Options would be subject to continued employment of the individual
2. **Performance-Based Options:** The Nomination and Remuneration Committee has specified certain performance criteria for vesting of the Options.

The Options granted shall vest in accordance with the following vesting schedule:

Date of Vesting	Annual Vesting Percentage
2nd anniversary from date of Grant	35% of Options granted
4th anniversary from the date of Grant	65% of Options granted

In the event I3L gets listed before vesting, the exercise period shall be up to 5 years from the respective date of vesting. In the event of no listing, there will be mandatory cash settlement within three months from the date of vesting.

The cost of stock options granted under I3L ESOP 2024 have been recognised as cash settled share-based payments in accordance with Ind AS 102 – Share Based Payment. In terms of the aforesaid arrangement, the Group accounts for the cost of the fair value of units granted to the eligible employees as Employee Benefits Expense with a corresponding increase in Other Financial Liabilities.

The fair value of each option is estimated using the Black Scholes Option Pricing model after applying the following key assumptions on a weighted average basis:

- Risk-free interest rate: 5.77% to 6.44% (FY 24-25 - 6.36%)
- Expected life: 2.67 to 3.89 years (FY 24-25 - 3.67 years)
- Expected volatility: 29.74% to 32.14% (FY 24-25 - 32.24%)
- The value of the underlying shares at the time of option grant: INR 1,400 per share

Notes to the Consolidated Financial Statements

30. Additional Notes to the Consolidated Financial Statements (Contd.)

Options movement during the year:

Particulars	As at 31st March, 2026		As at 31st March, 2025	
	Time based	Performance based	Time based	Performance based
Outstanding at the beginning of the year	6,11,537	3,09,008	–	–
Add: Granted during the year	1,48,103	74,839	6,11,537	3,09,008
Less: Lapsed during the year	(1,86,325)	(94,153)	–	–
Less: Exercised during the year	–	–	–	–
Outstanding at the end of the year	5,73,315	2,89,694	6,11,537	3,09,008
Options exercisable at the end of the year	–	–	–	–

Exercise price:

Time based options: INR 1,400

Performance based options: INR 10 respectively

In accordance with Ind AS 102 - Shared Based Payment, the Group has recognised an amount of ₹ 13.12 Crores (2025 - ₹ 6.97 Crores) under employee benefits expense (Refer Note 26). The amount carried in the Balance Sheet as a non-current financial liability is ₹ 10.81 Crores (2025 - ₹ 6.97 Crores) and current financial liability is ₹ 9.28 Crores (2025 - Nil) (Refer Note 18).

(xix) Amount required to be spent by the Group during the year as per Section 135 read with Section 198 of the Companies Act, 2013 - ₹ 513.54 Crores (2025 - ₹ 474.52 Crores) being 2% of the average Net Profits of the respective companies.

Expenditure incurred during the year is ₹ 513.64 Crores (2025 - ₹ 475.33 Crores) comprising employee benefits expense of ₹ 18.60 Crores (2025 - ₹ 17.82 Crores) and other expenses of ₹ 495.04 Crores (2025 - ₹ 457.51 Crores), of which ₹ 59.85 Crores (2025 - ₹ 49.42 Crores) is accrued for payment as on 31st March, 2026. Such CSR expenditure does not include any spends on construction/acquisition of assets. Amount available for set off in succeeding financial years is ₹ 1.46 Crores (2025 - ₹ 1.97 Crores).

Such CSR expenditure of ₹ 513.64 Crores (2025 - ₹ 475.33 Crores) excludes ₹ 8.44 Crores (2025 - ₹ 6.98 Crores) being the excess of expenditure of salaries of CSR personnel and administrative expenses over the limit of 5% of total CSR expenditure laid down under Rule 7(1) of the Companies (Corporate Social Responsibility Policy) Rules, 2014 as applicable to individual entities.

CSR activities undertaken during the year pertain to: poverty alleviation; promoting education and skill development; promoting healthcare including preventive healthcare; providing sanitation and drinking water; ensuring environmental sustainability; enabling climate resilience; rural development projects; creating livelihoods for people (especially those from disadvantaged sections of society); protection of national heritage, art and culture; preserving and promoting music; promoting sports; conducting research in science, technology, engineering and medicine aimed at promoting Sustainable Development Goals (SDGs) and providing relief and assistance to victims of disasters and calamities.

(xx) As per proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014, a company using accounting software for maintaining its books of account shall use only such accounting software which has a feature of recording audit trail of each and every transaction, that creates an edit log for each change made in the books of account along with the date when such changes were made and ensuring that such audit trail cannot be disabled.

30. Additional Notes to the Consolidated Financial Statements (Contd.)

The respective companies in the Group have laid down appropriate policies to govern their Information Technology (IT) environment, including the aspects of audit trails and have established controls in respect of user access and database administration. Further, in respect of usage of cloud – based accounting software, where applicable, appropriate contractual restrictions are in place regulating access management at both application and database levels. Consequently, the Group has ensured compliance with aforesaid requirements in respect of audit trails with the exception of one associate, which is not material to the consolidated financial statements of the Group.

A company which became an associate of the Group during the year uses an accounting software for maintenance of its books of accounts in which audit trail has been enabled at application level and the same has operated throughout the year for all relevant transactions recorded in the software. Direct access to database is provided only to the authorized personnel from application support team for system administration purposes. While the audit trail feature had not been enabled at database level in the software during the year, the same has since been enabled.

(xxi) During the year, the Ministry of Corporate Affairs (MCA) notified the Companies (Indian Accounting Standards) Amendment Rules, 2025 and the Companies (Indian Accounting Standards) Second Amendment Rules, 2025, effective from 1 April 2025, amending Ind AS 21, Ind AS 1, Ind AS 7, Ind AS 107 and Ind AS 12. These amendments primarily relate to guidance on exchangeability of currencies, classification of liabilities as current or non-current, disclosure of supplier finance arrangements and a temporary exception for deferred taxes arising from the OECD BEPS Pillar Two model rules.

The amendments do not have a material impact on the consolidated financial statements.

(xxii) Consequent to expiry of the GST Compensation Cess, the Government of India increased GST and Central Excise duty on cigarettes with effect from 1st February, 2026. In accordance with Ind AS 115, 'Revenue from Contracts with Customers' and Schedule III to the Companies Act, 2013, GST and GST Compensation Cess are excluded from Gross Revenue from sale of products, whereas Excise duty is not excluded. Consequently, the Gross Revenue from sale of products and services & Excise duty for the year ended 31st March, 2026 and value of inventory as at 31st March, 2026 reflect the impact of sharp increase in Excise duty and are not strictly comparable with those of the previous year.

(xxiii) Figures presented as "…" are below the rounding off norm adopted by the Group.

(xxiv) Figures for the previous year have been re-arranged, wherever necessary, to conform to the figures of the current year. The same does not have any material impact on the consolidated financial statements.

(xxv) The consolidated financial statements were approved for issue by the Board of Directors on 21st May, 2026. Such financial statements are required to be placed before the shareholders for adoption in terms of Companies Act, 2013.

Notes to the Consolidated Financial Statements

31. Segment reporting

(₹ in Crores)

		2026			2025		
		External	Inter Segment	Total	External	Inter Segment	Total
1.	**Segment Revenue**						
	FMCG - Cigarettes	40601.00	–	40601.00	35893.57	–	35893.57
	FMCG - Others	24314.95	6.60	24321.55	22005.27	9.85	22015.12
	FMCG - Total	**64915.95**	**6.60**	**64922.55**	**57898.84**	**9.85**	**57908.69**
	Agri Business	12486.13	8301.20	20787.33	12244.00	7919.79	20163.79
	Paperboards, Paper and Packaging	6889.90	1878.68	8768.58	6575.88	1848.70	8424.58
	Others	4966.23	70.00	5036.23	4224.04	64.07	4288.11
	Segment Total	**89258.21**	**10256.48**	**99514.69**	**80942.76**	**9842.41**	**90785.17**
	Eliminations			(10256.48)			(9842.41)
	Gross Revenue from sale of products and services			**89258.21**			**80942.76**
2.	**Segment Results**						
	FMCG - Cigarettes			22245.62			21091.35
	FMCG - Others			1811.82			1590.23
	FMCG - Total			**24057.44**			**22681.58**
	Agri Business			1584.24			1540.30
	Paperboards, Paper and Packaging			754.06			883.11
	Others			670.40			670.73
	Segment Total			**27066.14**			**25775.72**
	Eliminations			(37.56)			1.75
	Total			**27028.58**			**25777.47**
	Unallocated corporate expenses net of unallocated income			(1282.44)			(1332.06)
	Profit before interest etc. and taxation			**25746.14**			**24445.41**
	Finance Costs			(85.17)			(45.06)
	Interest earned on loans and deposits, income from current and non-current investments, profit and loss on sale of investments etc. - Net			2287.04			2416.17
	Share of profit/(loss) of Associates & Joint Ventures			377.08			110.42
	Exceptional items [Refer Note 30(i)]			(291.70)			–
	Profit before tax			**28033.39**			**26926.94**
	Tax expense			(7015.24)			(6890.47)
	Profit for the year from continuing operations			**21018.15**			**20036.47**
	Profit for the year from discontinued operations			**–**			**15016.01**
	Profit for the year			**21018.15**			**35052.48**

3. Other Information	2026		2025	
	Segment Assets	Segment Liabilities	Segment Assets	Segment Liabilities
FMCG - Cigarettes	13995.56	5749.63	10584.67	5729.56
FMCG - Others	13359.44	3089.15	13016.19	2432.70
FMCG - Total	**27355.00**	**8838.78**	**23600.86**	**8162.26**
Agri Business	7792.23	1784.43	7904.83	2176.93
Paperboards, Paper and Packaging	10021.21	1395.22	9908.98	1384.96
Others	2997.45	1231.17	2736.44	1101.44
Segment Total	**48165.89**	**13249.60**	**44151.11**	**12825.59**
Unallocated Corporate Assets/Liabilities	45626.49	7669.76	43939.57	4867.15
Total	**93792.38**	**20919.36**	**88090.68**	**17692.74**

Notes to the Consolidated Financial Statements

31. Segment reporting (Contd.)

(₹ in Crores)

	2026		2025	
	Capital expenditure	Depreciation and amortization	Capital expenditure	Depreciation and amortization
FMCG - Cigarettes	883.88	293.55	330.23	297.55
FMCG - Others	970.22	619.85	530.42	590.28
FMCG - Total	**1854.10**	**913.40**	**860.65**	**887.83**
Agri Business	121.75	106.21	168.68	91.14
Paperboards, Paper and Packaging	407.02	406.56	452.42	400.79
Others	71.33	151.55	336.17	133.49
Segment Total	**2454.20**	**1577.72**	**1817.92**	**1513.25**
Discontinued Operations	–	–	432.61	304.26
Unallocated	297.69	132.81	360.10	133.07
Total	**2751.89**	**1710.53**	**2610.63**	**1950.58**

	Non Cash expenditure other than depreciation	Non Cash expenditure other than depreciation
FMCG - Cigarettes	23.32	43.83
FMCG - Others	175.38	131.21
FMCG - Total	**198.70**	**175.04**
Agri Business	141.67	50.47
Paperboards, Paper and Packaging	42.75	36.07
Others	18.53	9.56
Segment Total	**401.65**	**271.14**

GEOGRAPHICAL INFORMATION	2026	2025
1. **Revenue from external customers**		
– Within India	73910.06	66439.35
– Outside India	15348.15	14503.41
Total	**89258.21**	**80942.76**
2. **Non current assets**		
– Within India	24811.00	23825.55
– Outside India	385.41	277.23
Total	**25196.41**	**24102.78**

NOTES :

(1) The Group's corporate strategy aims at creating multiple drivers of growth anchored on its core competencies. The Group is currently focused on three business groups : FMCG, Paperboards, Paper & Packaging and Agri Business. The Group's organisational structure and governance processes are designed to support effective management of multiple businesses while retaining focus on each one of them.

The Operating Segments have been reported in a manner consistent with the internal reporting provided to the Corporate Management Committee, which is the Chief Operating Decision Maker.

(2) The business groups comprise the following :

FMCG	: Cigarettes	–	Cigarettes, Cigars etc.
	: Others	–	Branded Packaged Foods Businesses (Staples & Meals; Snacks; Dairy & Beverages; Biscuits & Cakes; Chocolates, Coffee & Confectionery); Education and Stationery Products; Personal Care Products; Safety Matches and Agarbattis.
Paperboards, Paper and Packaging		–	Paperboards, Paper including Specialty Paper and Packaging including Flexibles.
Agri Business		–	Agri commodities such as wheat, rice, spices, coffee, soya, leaf tobacco and potato.
Others		–	Information Technology services, ITC Grand Central Hotel, Mumbai, Fresh Food etc.

(3) The Group companies have been included in segment classification as follows:

FMCG	: Cigarettes	–	Surya Nepal Private Limited
	: Others	–	Surya Nepal Private Limited and its subsidiary, North East Nutrients Private Limited, Fyve Elements LLC and Sresta Global FZE
Paperboards, Paper and Packaging		–	ITC Fibre Innovations Limited
Agri Business		–	ITC IndiVision Limited, Technico Agri Sciences Limited, Technico Pty Limited and its subsidiaries
Others		–	ITC Infotech India Limited and its subsidiaries, Russell Credit Limited, Greenacre Holdings Limited and ITC Integrated Business Services Limited and its subsidiary

(4) The geographical information considered for disclosure are :
- Revenue within India.
- Revenue outside India.

(5) Segment results of 'FMCG : Others' are after considering significant business development, brand building and gestation costs of the Branded Packaged Foods businesses and Personal Care Products business.

(6) As stock options and stock appreciation rights are granted to align the interests of employees with those of shareholders and also to attract and retain talent for the Group as a whole, the charge thereof do not form part of the segment performance reviewed by the Corporate Management Committee.

(7) The Group is not reliant on revenues from transactions with any single external customer and does not receive 10% or more of its revenues from transactions with any single external customer.

Notes to the Consolidated Financial Statements

32. Related Party Disclosures

1. RELATED PARTIES WITH WHOM THE GROUP HAD TRANSACTIONS:

i) Associates & Joint Ventures:

Associates

a) ATC Limited

b) Sproutlife Foods Private Limited

c) ITC Hotels Limited and its subsidiaries

Srinivasa Resorts Limited

Fortune Park Hotels Limited

WelcomHotels Lanka (Private) Limited

Landbase India Limited

d) Ample Foods Private Limited (w.e.f. 04.04.2025)

e) Mother Sparsh Baby Care Private Limited

f) Russell Investments Limited

– being associates of the Group, and

g) Subsidiaries of British American Tobacco p.l.c. - of which the Group is an associate

Joint Ventures

ITC Filtrona Limited

ii) a) Key Management Personnel (KMP):

S. Puri	Chairman & Managing Director
S. Dutta	Executive Director & Chief Financial Officer
H. Malik	Executive Director
B. Sumant	Executive Director
H. Bhargava#	Non-Executive Director
A. M. Bharucha#	Non-Executive Director
A. Kant#	Non-Executive Director (w.e.f 01.01.2026)
C.K. Mishra#	Non-Executive Director
S. Mohanty	Non-Executive Director
S. Mukherjee#	Non-Executive Director
A. Nayak#	Non-Executive Director
A. Pande	Non-Executive Director
S. Panray	Non-Executive Director
N. Rao#	Non-Executive Director
A. K. Seth#	Non-Executive Director
A. Singh	Non-Executive Director
P. Subrahmanyam#	Non-Executive Director

Independent Directors

Company Secretary

R. K. Singhi

Members - Corporate Management Committee

S. Puri

S. Dutta

S. Kaul

H. Malik

A. Rajput

S. Sivakumar

B. Sumant

b) Related Parties of KMP:

I) Close Members of the family of KMP:

N. Singhi (wife of R. K. Singhi)

Y. Singhi (son of R. K. Singhi)

II) Entity in which KMP is interested:

Bharucha & Partners

iii) Employee Trusts:

a) IATC Provident Fund

b) ITC Defined Contribution Pension Fund

c) ITC Management Staff Gratuity Fund

d) ITC Employees Gratuity Fund

e) ITC Gratuity Fund 'C'

f) ITC Pension Fund

g) ILTD Seasonal Employees Pension Fund

h) ITC Platinum Jubilee Pension Fund

i) ITC Bhadrachalam Paperboards Limited Management Staff Pension Fund

j) ITC Bhadrachalam Paperboards Limited Gratuity Fund 'A'

k) ITC Bhadrachalam Paperboards Limited Gratuity Fund 'C'

l) Sunrise Spices Limited Employees Gratuity Fund

m) Greenacre Holdings Limited Provident Fund

n) Greenacre Holdings Limited Gratuity Fund

32. Related Party Disclosures (Contd.)

2. DISCLOSURE OF TRANSACTIONS BETWEEN THE GROUP AND RELATED PARTIES AND THE STATUS OF OUTSTANDING BALANCES AS AT 31.03.2026

(₹ in Crores)

	RELATED PARTY TRANSACTIONS SUMMARY	Associates		Joint Ventures		Key Management Personnel (KMP)		Related Parties of KMP^		Employee Trusts		Total	
		2026	2025	2026	2025	2026	2025	2026	2025	2026	2025	2026	2025
1.	Sale of Goods/Services	2550.15	2142.36	122.13	87.91		0.01					2672.28	2230.28
2.	Purchase of Goods/Services	165.20	196.40	716.74	637.68			1.42	2.67			883.36	836.75
3.	Acquisition cost of Property, Plant and Equipment and Intangible Assets	436.26										436.26	
4.	Sale of Property, Plant and Equipment					...						...	
5.	Investment Purchased	154.22										154.22	
6.	Investment in Associates	41.25	29.99									41.25	29.99
7.	Recovery for Share-based Payment	7.77	3.37	0.03	0.08							7.80	3.45
8.	Reimbursement for Share-based Payment	5.34	2.37									5.34	2.37
9.	Rent Received	2.90	1.45									2.90	1.45
10.	Rent Paid*	0.64	3.46			0.81	0.72	0.07	0.07			1.52	4.25
11.	Remuneration of Managers on Deputation reimbursed	10.81	6.54									10.81	6.54
12.	Remuneration of Managers on Deputation recovered	21.18	9.90	1.34	1.61							22.52	11.51
13.	Contribution to Employees' Benefit Plans									3.48	176.97	3.48	176.97
14.	Dividend Income	2.14	3.03	28.13	22.50							30.27	25.53
15.	Dividend Payments	4120.68	4469.63			9.00	8.59					4129.68	4478.22
16.	Expenses Recovered	65.46	113.43	0.01	0.20							65.47	113.63
17.	Expenses Reimbursed	28.64	15.30		0.03	0.02	0.02					28.66	15.35
18.	Advances Received during the year	1370.31	1690.64									1370.31	1690.64
19.	Adjustment/Payment towards Refund of Advances	1552.89	1417.65									1552.89	1417.65
20.	Remuneration to KMP												
20A.	– Short term benefits					63.63	56.77					63.63	56.77
20B.	– Other long-term incentives					21.70	26.00					21.70	26.00
20C.	– Post employment benefits [1]												
20D.	– Share-based Payment [2]												
21.	**Outstanding Balances #**												
	i) Receivables	158.47	108.21	11.79	17.10							170.26	125.31
	ii) Advances Given									6.48	8.62	6.48	8.62
	iii) Deposits Given					0.01	0.01	0.03	0.03			0.04	0.04
	iv) Advances Taken	458.17	640.75									458.17	640.75
	v) Payables	223.41	30.22	7.22	7.03					359.72	36.40	590.35	73.65

^ includes transactions with close member of the family of KMP & entities in which KMP is interested.

* Includes rent pertaining to leases classified as Right-of-Use assets.

\# The amounts outstanding are unsecured and will be settled in cash (other than advances).

1. Post employment benefits are actuarially determined on overall basis and hence not separately provided.
2. During the year, the Company granted Stock Options/Stock Appreciation Rights to eligible employees, including Executive Directors and KMPs, under its Employee Stock Option Schemes and Employee Stock Appreciation Rights Scheme at 'market price' [within the meaning of the Securities and Exchange Board of India (Share-based Employee Benefits and Sweat Equity) Regulations, 2021]. The Company has also granted Employee Stock Appreciation Linked Reward Units to the aforesaid persons in the previous years under the 'ITC Employee Cash Settled Stock Appreciation Linked Reward Plan'. Further, in terms of the Scheme of Demerger, ITC Hotels Limited has granted stock option to the eligible employees of the Company under the ITC Hotels Special Purpose Employee Stock Option Scheme. Since such instruments are not tradeable, no perquisite or benefit is immediately conferred upon employee on grant, and accordingly the said grants have not been considered as 'remuneration'. However, in accordance with Ind AS-102, the Group has recorded employee benefits expense by way of share-based payments to employees at ₹ 134.98 Crores for the year ended 31st March, 2026 (2025 - ₹ 144.48 Crores), of which ₹ 37.73 Crores (2025 - 32.69 Crores) is attributable to Executive Directors and KMPs.
3. All Related Party Transactions entered during the year were in ordinary course of the business and on arm's length basis.

Notes to the Consolidated Financial Statements

32. Related Party Disclosures (Contd.)

3. INFORMATION REGARDING SIGNIFICANT TRANSACTIONS/BALANCES

(Generally in excess of 10% of the total transaction value of the same type)

(₹ in Crores)

RELATED PARTY TRANSACTIONS SUMMARY	2026	2025
1. Sale of Goods/Services		
British American Tobacco (GLP) Limited	1587.03	1445.27
British American Shared Services (GSD) Limited	739.69	562.41
2. Purchase of Goods/Services		
ITC Filtrona Limited	716.74	637.68
3. Acquisition cost of Property, Plant and Equipment and Intangible Assets		
Benson & Hedges (Overseas) Limited	286.14	–
Dunhill Tobacco of London Limited	73.14	–
Rothmans of Pall Mall Limited	44.33	–
4. Investment Purchased		
British American Tobacco (Investments) Limited	154.22	–
5. Investment in Associates		
Mother Sparsh Baby Care Private Limited	40.00	–
6. Recovery for Share-based Payment		
ITC Hotels Limited	6.98	2.69
7. Reimbursement for Share-based Payment		
ITC Hotels Limited	5.34	2.37
8. Rent Received		
ITC Hotels Limited	2.89	0.78
9. Rent Paid		
ITC Hotels Limited	0.64	0.16
A. Rajput	0.59	0.53
10. Remuneration of Managers on Deputation reimbursed		
ITC Hotels Limited	10.81	1.64
11. Remuneration of Managers on Deputation recovered		
ITC Hotels Limited	16.30	2.13
ATC Limited	3.34	2.92
12. Contribution to Employees' Benefit Plans		
IATC Provident Fund	41.66	45.10
ITC Management Staff Gratuity Fund	20.74	26.46
ITC Pension Fund	18.28	20.75
ITC Gratuity Fund 'C'	18.23	13.92
ITC Defined Contribution Pension Fund	17.15	34.42
ITC Employees Gratuity Fund	13.00	33.57
13. Dividend Income		
ITC Filtrona Limited	28.13	22.50
14. Dividend Payments		
Tobacco Manufacturers (India) Limited	3197.89	3558.09
Myddleton Investment Company Limited	697.86	680.84
15. Expenses Recovered		
ITC Hotels Limited	54.94	95.17
Sproutlife Foods Private Limited	9.11	2.89

RELATED PARTY TRANSACTIONS SUMMARY	2026	2025
16. Expenses Reimbursed		
ITC Hotels Limited	28.64	15.10
17. Advances Received during the year		
British American Tobacco (GLP) Limited	1370.30	1689.92
18. Adjustment/Payment towards Refund of Advances		
British American Tobacco (GLP) Limited	1552.80	1417.65
19. Remuneration to KMP#		
19A. Short term benefits		
S. Puri	15.25	13.94
B. Sumant	6.36	5.73
S. Dutta	5.72	5.12
H. Malik	5.68	5.13
19B. Other long-term incentives		
S. Puri	7.00	8.82
B. Sumant	3.48	5.00
S. Dutta	3.50	4.29
H. Malik	3.67	3.37
20. Outstanding Balances		
i) Receivables		
British American Shared Services (GSD) Limited	105.33	34.42
ITC Hotels Limited	13.58	20.87
British American Tobacco (GLP) Limited	6.02	17.23
ITC Filtrona Limited	11.79	17.10
ii) Advances Given		
Employee Trust - Pension Funds	6.48	8.62
iii) Deposits Given		
N. Singhi	0.03	0.03
S. Dutta	0.01	0.01
iv) Advances taken		
British American Tobacco (GLP) Limited	457.42	639.92
v) Payables		
Employee Trust - Gratuity Funds	315.79	23.74
Employee Trust - Pension Funds	43.93	12.66
ITC Hotels Limited	3.81	21.76
ITC Filtrona Limited	7.22	7.03
Sproutlife Foods Private Limited	9.67	6.65

In accordance with Ind AS - 102, the Company has recognised employee benefits expense by way of Share-based payment [refer Note 32.2], of which ₹ 37.73 Crores (2025 - ₹ 32.69 Crores) is attributable to Executive Directors & KMPs:

S. Puri ₹ 13.17 Crores (2025 - ₹ 11.71 Crores), B. Sumant ₹ 6.59 Crores (2025 - ₹ 5.91 Crores), S. Dutta ₹ 6.23 Crores (2025 - ₹ 5.49 Crores), H. Malik ₹ 5.06 Crores (2025 - ₹ 3.22 Crores) and R. K. Singhi ₹ 1.22 Crores (2025 - ₹ 1.11 Crores).

Notes to the Consolidated Financial Statements

33. Financial Instruments and Related Disclosures

A. Capital Management

The Group's financial strategy aims to support its strategic priorities and provide adequate capital to its businesses for growth and creation of sustainable stakeholder value. The Group funds its operations primarily through internal accruals and aims at maintaining a strong capital base to support the future growth of its businesses.

During the year, the Company issued 1,53,48,450 Ordinary Shares (2025 – 2,93,98,310 Ordinary Shares) of ₹ 1.00 each amounting to ₹ 1.54 Crores (2025 – ₹ 2.94 Crores) towards its employee stock options. The securities premium stood at ₹ 16344.50 Crores as at 31st March, 2026 (2025 – ₹ 15834.70 Crores).

B. Categories of Financial Instruments

(₹ in Crores)

Particulars		Note	As at 31st March, 2026		As at 31st March, 2025	
			Carrying Value	Fair Value	Carrying Value	Fair Value
A.	**Financial assets**					
a)	**Measured at amortised cost**					
i)	Cash and cash equivalents	13	643.46	643.46	620.00	620.00
ii)	Bank Balances other than (i) above	14	2365.33	2365.33	3392.36	3392.36
iii)	Investment in Bonds/Debentures & Government or Trust Securities	4, 11	4560.75	4631.26	7576.74	7615.36
iv)	Investment in Mutual Funds	4, 11	381.79	387.87	389.10	392.57
v)	Loans	5	13.39	12.22	17.11	15.11
vi)	Trade receivables	12	3922.86	3922.86	4719.67	4719.67
vii)	Other financial assets	6	2666.52	2661.23	3226.53	3219.57
	Sub-total		**14554.10**	**14624.23**	**19941.51**	**19974.64**
b)	**Measured at Fair value through OCI**					
i)	Investment in Equity Shares	4	2792.71	2792.71	3632.35	3632.35
ii)	Investment in Mutual Funds	4, 11	5661.03	5661.03	5424.86	5424.86
iii)	Investment in Bonds/Debentures & Government or Trust Securities	4, 11	3197.79	3197.79	–	–
	Sub-total		**11651.53**	**11651.53**	**9057.21**	**9057.21**
c)	**Measured at Fair value through Profit or Loss**					
i)	Investment in Mutual Funds	11	12612.41	12612.41	11167.90	11167.90
ii)	Investment in Bonds/Debentures, Certificates of Deposit	11	3425.14	3425.14	1651.31	1651.31
iii)	Investment in Venture Capital Funds	4	174.18	174.18	132.81	132.81
iv)	Investment in Equity & Preference Shares	4	34.39	34.39	32.97	32.97
	Sub - total		**16246.12**	**16246.12**	**12984.99**	**12984.99**
d)	**Derivatives measured at fair value**					
i)	Derivative instruments not designated as hedging instruments	6	16.14	16.14	22.33	22.33
ii)	Derivative instruments designated as hedging instruments	6	21.90	21.90	24.59	24.59
	Sub-total		**38.04**	**38.04**	**46.92**	**46.92**
	Total financial assets		**42489.79**	**42559.92**	**42030.63**	**42063.76**

33. Financial Instruments and Related Disclosures (Contd.)

(₹ in Crores)

Particulars		Note	As at 31st March, 2026		As at 31st March, 2025	
			Carrying Value	Fair Value	Carrying Value	Fair Value
B.	**Financial liabilities**					
a)	**Measured at amortised cost**					
i)	Borrowings	16	2186.22	2186.22	91.26	91.26
ii)	Trade payables	21	5639.55	5639.55	4807.42	4807.42
iii)	Lease Liabilities	17	212.84	212.84	193.28	193.28
iv)	Other financial liabilities	18	2298.99	2273.46	1830.75	1813.33
	Sub-total		**10337.60**	**10312.07**	**6922.71**	**6905.29**
b)	**Measured at fair value**					
i)	Derivative instruments not designated as hedging instruments	18	43.29	43.29	9.02	9.02
ii)	Derivative instruments designated as hedging instruments	18	62.70	62.70	3.16	3.16
iii)	Contingent Consideration	18	204.57	204.57	324.39	324.39
	Sub-total		**310.56**	**310.56**	**336.57**	**336.57**
	Total financial liabilities		**10648.16**	**10622.63**	**7259.28**	**7241.86**

C. Financial risk management objectives

Entities comprising the Group have put in place risk management systems as applicable to the respective operations. The following explains the objectives and processes of the Company, being the largest component of the Group: The Company has a system-based approach to risk management, anchored to policies and procedures and internal financial controls aimed at ensuring early identification, evaluation and management of key financial risks (such as market risk, credit risk and liquidity risk) that may arise as a consequence of its business operations as well as its investing and financing activities. Accordingly, the Company's risk management framework has the objective of ensuring that such risks are managed within acceptable and approved risk parameters in a disciplined and consistent manner and in compliance with applicable regulation. It also seeks to drive accountability in this regard.

Liquidity Risk

The Group's Current assets aggregate ₹ 50708.41 Crores (2025 – ₹ 43893.28 Crores) including Current Investments, Cash and cash equivalents and Bank Balances other than cash and cash equivalents of ₹ 23759.43 Crores (2025 – ₹ 20299.86 Crores) against an aggregate Current liabilities of ₹ 16687.27 Crores (2025 – ₹ 14334.11 Crores). As part of its surplus liquidity management operations, the Group may sell instruments that are held at amortised cost. Such sales may be infrequent (even if significant in value) or insignificant in value both individually and in aggregate (even if frequent).

Non-current liabilities (other than derivatives and lease liabilities) due between one year to three years amounted to ₹ 300.26 Crores (2025 – ₹ 285.71 Crores) and Non-current liabilities (other than derivatives and lease liabilities) due after three years amounted to ₹ 210.14 Crores (2025 – ₹ 15.63 Crores) on the reporting date. Derivative liabilities are current in nature. The maturity analysis of undiscounted lease liabilities are disclosed under Note 30(xv).

Further, while the Group's total equity stands at ₹ 72873.02 Crores (2025 – ₹ 70397.94 Crores), the amount carried in the Balance Sheet as non-current borrowings is ₹ 60.00 Crores (2025 – ₹ Nil). In such circumstances, liquidity risk or the risk that the Group may not be able to settle or meet its obligations as they become due does not exist.

Market Risk

1. Foreign Currency Risk

The Group undertakes transactions denominated in foreign currency (mainly US Dollar, Pound Sterling, Euro and Japanese Yen) which are subject to the risk of exchange rate fluctuations. Financial assets and liabilities denominated in foreign currency, including the Group's net investments in foreign operations (with a functional currency other than Indian Rupee), are also subject to reinstatement risks.

Notes to the Consolidated Financial Statements

33. Financial Instruments and Related Disclosures (Contd.)

The carrying amounts of foreign currency denominated financial assets and liabilities including derivative contracts (other than in functional currency), are as follows:

(₹ in Crores)

As at 31st March, 2026	USD	Euro	GBP	JPY	Others	Total
Financial Assets	1038.72	358.49	137.67	–	111.27	**1646.15**
Financial Liabilities*	196.47	83.90	7.97	0.28	89.89	**378.51**

As at 31st March, 2025	USD	Euro	GBP	JPY	Others	Total
Financial Assets	1580.99	304.25	83.04	0.12	186.54	**2154.94**
Financial Liabilities*	145.94	43.73	1.74	1.78	137.42	**330.61**

*The above does not include the consideration payable to PTC Inc. towards acquisition of business and commercial rights since the same is hedged through cash flow hedge [Refer Note 30(x)].

The Group uses foreign exchange forward, futures and options contracts to hedge its exposures in foreign currency arising from firm commitments and highly probable forecast transactions.

a. Forward exchange contracts that were outstanding on respective reporting dates:

(In Million)

Designated under Hedge Accounting		As at 31st March, 2026		As at 31st March, 2025	
Currency	Cross Currency	Buy	Sell	Buy	Sell
US Dollar	Indian Rupee	48.19	173.01	19.28	222.17
Euro	US Dollar	34.80	–	14.45	–
CHF	US Dollar	3.04	–	0.01	–
GBP	US Dollar	0.03	–	0.01	–
JPY	US Dollar	2.43	–	29.45	–

Not Designated under Hedge Accounting		As at 31st March, 2026		As at 31st March, 2025	
Currency	Cross Currency	Buy	Sell	Buy	Sell
US Dollar	Indian Rupee	43.07	215.79	29.56	109.59
Euro	Indian Rupee	–	0.53	–	–
Euro	US Dollar	13.17	21.64	0.25	23.58
AUD	US Dollar	0.30	–	0.10	–
CAD	US Dollar	0.50	0.07	0.40	0.15
CHF	US Dollar	0.44	–	1.20	–
GBP	US Dollar	8.68	5.79	11.90	5.99
SEK	US Dollar	0.10	0.50	0.86	–
SGD	US Dollar	–	–	0.11	–
KWD	US Dollar	0.17	–	0.15	–
PLN	US Dollar	1.90	–	0.50	–
JPY	US Dollar	47.12	–	148.75	26.60
ZAR	US Dollar	11.10	–	–	37.20
US Dollar	Nepalese Rupee	4.90	–	3.51	–
Euro	Nepalese Rupee	0.21	–	1.06	–
GBP	Nepalese Rupee	–	–	0.03	–

The aforesaid hedges have a maturity of less than 1 year from the year end.

33. Financial Instruments and Related Disclosures (Contd.)

b. Currency options that were outstanding on respective reporting dates (Not designated under Hedge Accounting):

(In Million)

		As at 31st March, 2026		As at 31st March, 2025	
Currency	**Cross Currency**	**Buy**	**Sell**	**Buy**	**Sell**
US Dollar	Indian Rupee	48.50	18.70	4.00	45.90
Euro	US Dollar	2.00	10.00	–	–
GBP	US Dollar	–	2.00	–	–

Hedges of foreign currency risk and derivative financial instruments

Each entity comprising the Group manages its own currency risk. Within the Group, derivative instruments are largely entered into by the Company and a subsidiary. The Company and the aforesaid subsidiary has established risk management policies to hedge the volatility in cashflows arising from exchange rate fluctuations in respect of firm commitments and highly probable forecast transactions, through foreign exchange forward, futures, options contracts and certain non-derivative financial liabilities. The proportion of forecast transactions that are to be hedged is decided based on the size of the forecast transaction and market conditions. As the counterparty for such transactions are primarily highly rated banks or recognised exchange(s), the risk of their non-performance is considered to be insignificant. Where derivatives are not designated under hedge accounting, changes in the fair value of such hedges are recognised in the Statement of Profit and Loss.

The Company and one of its subsidiaries may also designate certain hedge instruments as cash flow hedges to mitigate the risk of foreign exchange exposure on highly probable forecasted cash transactions. The currency, amount and tenure of such hedges are generally matched to the underlying transaction(s). Changes in the fair value of the effective portion of cash flow hedges are recognised as cash flow hedging reserve in Other Comprehensive Income. While the probability of such hedges becoming ineffective is very low, the ineffective portion, if any, is immediately recognised in the Statement of Profit and Loss.

The movement in the cash flow hedging reserve in respect of designated cash flow hedges is summarised below:

(₹ in Crores)

Particulars	**2026**	**2025**
At the beginning of the year	(13.89)	(4.50)
Add: Changes in the fair value of effective portion of matured cash flow hedges during the year	(49.91)	(15.31)
Add: Changes in fair value of effective portion of outstanding cash flow hedges	(74.76)	(11.62)
Less: Amounts transferred to the Statement of Profit and Loss on occurrence of forecast hedge transactions during the year	(38.46)	(12.37)
Less: Amounts transferred to the Statement of Profit and Loss due to cash flows no longer expected to occur	(41.18)	(1.81)
Less: Amounts transferred to initial cost of non-financial assets	18.33	(0.20)
Less: Net gain/(loss) transferred to the Statement of Profit and Loss on ineffectiveness	–	–
(Less)/Add: Deferred tax	15.94	3.16
At the end of the year	**(61.31)**	**(13.89)**
Of the above, balances remaining in cash flow hedge reserve for matured hedging relationships	**(3.10)**	**(1.63)**

Once the hedged transaction materialises, the amount accumulated in the cash flow hedging reserve will be included in the initial cost of the non-financial hedged item on its initial recognition or reclassified to profit or loss, as applicable, in the anticipated timeframes given below:

(₹ in Crores)

Outstanding balance in Cash Flow Hedge Reserve to be subsequently recycled from OCI	**As at 31st March, 2026**	**As at 31st March, 2025**
Within one year	(50.25)	(7.64)
Between one and three years	(11.06)	(6.25)
Total	**(61.31)**	**(13.89)**

33. Financial Instruments and Related Disclosures (Contd.)

Foreign Currency Sensitivity

For every percentage point increase/decrease in the underlying exchange rate of the outstanding foreign currency denominated assets and liabilities, including derivative contracts, holding all other variables constant, the profit before tax for the year ended 31st March, 2026 would decrease/increase by ₹ 2.01 Crores (2025 – increase/decrease by ₹ 0.68 Crore) and other equity as at 31st March, 2026 would decrease/increase by ₹ 6.67 Crores (2025 - ₹ 10.30 Crores) on a pre-tax basis.

2. Interest Rate Risk

As the Group is largely debt-free and its deferred payment liabilities do not carry interest, the exposure to interest rate risk from the perspective of financial liabilities is negligible.

The Group's investments are predominantly held in Government securities, bonds/debentures, fixed deposits, certificates of deposit, commercial papers and debt mutual funds. Mark to market movements in respect of the Group's investments in bonds/debentures that are held at amortised cost are temporary and get recouped through coupon accruals. Other investments in Government securities, bonds/debentures, certificates of deposit, commercial papers are fair valued through the Statement of Profit and Loss/Other Comprehensive Income to recognise market volatility, which is not considered to be significant. Fixed deposits are held with highly rated banks and companies and have a short tenure and are not subject to interest rate volatility.

The Group also invests in debt mutual fund schemes of leading fund houses. Such investments are susceptible to market price risk that arise mainly from changes in interest rate which may impact the return and value of such investments. However, given the relatively short tenure of underlying portfolio of the debt mutual fund schemes in which the Group has invested, such price risk is not significant.

3. Other Price Risk

The Group is not an active investor in equity markets; it holds certain investments in equity for long term value accretion which are accordingly measured at fair value through Other Comprehensive Income. The value of investments in such equity instruments as at 31st March, 2026 is ₹ 2792.71 Crores (2025 - ₹ 3632.35 Crores). Accordingly, fair value fluctuations arising from market volatility is recognised in Other Comprehensive Income.

For select agricultural commodities primarily held for trading, futures contracts are used to hedge price risks till positions in the physical market are matched. The carrying value of inventories is adjusted to the extent of fair value movement of the risk being hedged. Such hedges are generally for short time horizons and recognised in profit or loss within the crop cycle and are managed by the business within the approved policy framework. Accordingly, the Group's net exposure to commodity price risk arising from such transactions is considered to be insignificant.

Credit Risk

Each entity comprising the Group manages its own credit risk. The following explains the processes followed by the Company, being the largest component of the Group, to manage its credit risk: Company's deployment in debt instruments are primarily in Government securities, fixed deposits with highly rated banks and companies, bonds issued by Government institutions, public sector undertakings, mutual fund schemes of leading fund houses and certificates of deposit/commercial papers issued by highly rated banks and financial institutions. With respect to the Group's investing activities, debt mutual fund schemes and counter parties are shortlisted and exposure limits determined on the basis of their credit rating (by independent agencies), financial statements and other relevant information. As these counter parties are Central/State Government, Government institutions/public sector undertakings with investment grade/sovereign credit ratings and taking into account the experience of the Group over time, the counter party risk attached to such assets is considered to be insignificant.

The Group's investments that are held at amortised cost stood at ₹ 8313.43 Crores (2025 - ₹ 13069.90 Crores).

The Company's customer base is large and diverse limiting the risk arising out of credit concentration. Company's payment terms generally ranges from advance (generally settled within the operating cycle) to a credit period of up to 180 days, depending upon specific circumstances and industry practices. Credit is extended in business interest in accordance with guidelines issued centrally and business-specific credit policies that are consistent with such guidelines. Exceptions are managed and approved by appropriate authorities, after due consideration of the counterparty's credentials and financial capacity, trade practices and prevailing business and economic conditions. There is no significant financing component and/or remaining performance obligation in respect of its transaction with the customers for sale of goods and services.

The Company's historical experience of collecting receivables and the level of default indicate that credit risk is low and generally uniform across markets; consequently, trade receivables are considered to be a single class of financial assets. All overdue customer balances are evaluated taking into account the age of the dues, specific credit circumstances, the track record of the counterparty etc. Loss allowances and impairment is recognised, where considered appropriate by responsible management.

The Group's exposure to trade receivables on the reporting date, net of expected loss provisions, stood at ₹ 3922.86 Crores (2025 – ₹ 4719.67 Crores).

33. Financial Instruments and Related Disclosures (Contd.)

The movement of the expected loss provision (allowance for bad and doubtful loans, advances and receivables etc.) made by the Group are as under:

(₹ in Crores)

Particulars	Expected Loss Provision	
	31st March, 2026	31st March, 2025
Opening Balance	218.63	232.19
Add: Provisions made (net)	29.95	12.12
Less: Utilisation for impairment/de-recognition	25.70	17.06
Effects of foreign exchange fluctuation	3.74	0.53
Add: Assumed on Business Combination [Refer Note 30(ix)]	3.39	1.13
Less: Transferred pursuant to Scheme of Demerger of Hotels business	–	10.28
Closing Balance	**230.01**	**218.63**

D. Fair value measurement

The following table presents the fair value hierarchy of financial assets and liabilities measured at fair value on a recurring basis:

(₹ in Crores)

	Particulars	Fair Value Hierarchy (Level)	As at 31st March, 2026	As at 31st March, 2025
A.	**Financial assets**			
a)	**Measured at amortised cost**			
	i) Investment in Bonds/Debentures & Government or Trust Securities	2	4631.26	7615.36
	ii) Investment in Mutual Funds	1	387.87	392.57
	iii) Loans*	3	3.67	5.61
	iv) Other Financial assets*	3	337.94	1585.40
	Sub-total		**5360.74**	**9598.94**
b)	**Measured at Fair value through OCI**			
	i) Investment in Equity Shares – Quoted	1	2790.29	3629.93
	ii) Investment in Equity Shares – Unquoted	3	2.42	2.42
	iii) Investment in Mutual Funds	1	5661.03	5424.86
	iv) Investment in Bonds/Debentures & Government or Trust Securities	2	3197.79	–
	Sub-total		**11651.53**	**9057.21**
c)	**Measured at Fair value through Profit or Loss**			
	i) Investment in Mutual Funds	1	12612.41	11167.90
	ii) Investment in Bonds/Debentures, Certificates of Deposit	2	3425.14	1651.31
	iii) Investment in Venture Capital Funds	2	174.18	132.81
	iv) Investment in Equity & Preference Shares	3	34.39	32.97
	Sub-total		**16246.12**	**12984.99**
d)	**Derivatives measured at fair value**			
	i) Derivative instruments not designated as hedging instruments	2	16.14	22.33
	ii) Derivative instruments designated as hedging instruments	2	21.90	24.59
	Sub-total		**38.04**	**46.92**
	Total financial assets		**33296.43**	**31688.06**

33. Financial Instruments and Related Disclosures (Contd.)

	Particulars	Fair Value Hierarchy (Level)	As at 31st March, 2026	As at 31st March, 2025
B.	**Financial liabilities**			
a)	**Measured at amortised cost**			
	i) Borrowings*	3	60.00	–
	ii) Other Financial liabilities*	3	400.50	102.43
	iii) Lease liabilities*	3	140.86	137.21
	Sub-total		**601.36**	**239.64**
b)	**Measured at fair value**			
	i) Derivative instruments not designated as hedging instruments	2	43.29	9.02
	ii) Derivative instruments designated as hedging instruments	2	62.70	3.16
	iii) Contingent Consideration	3	204.57	324.39
	Sub-total		**310.56**	**336.57**
	Total financial liabilities		**911.92**	**576.21**

*Represents fair value of non-current financial instruments

Reconciliation of fair value movement of financial assets and liabilities measured at fair value on a recurring basis and categorised within Level 3 of the fair value hierarchy is as under:

(₹ in Crores)

	31st March, 2026			31st March, 2025		
	Financial Assets at FVTPL	Financial Assets at FVTOCI	Financial Liabilities at FVTPL	Financial Assets at FVTPL	Financial Assets at FVTOCI	Financial Liabilities at FVTPL
Opening Balance	32.97	2.42	324.39	39.34	2.42	412.76
Additions during the year	1.42	–	9.33	3.00	–	16.53
Sale / Transfer / Settlement during the year	–	–	106.42	–	–	146.09
Gain / (Loss) during the year recognised in Other Income	–	–	33.17	(9.37)	–	(36.43)
Gain / (Loss) during the year recognised in Other Comprehensive Income	–	–	(10.44)	–	–	(4.76)
Closing Balance	**34.39**	**2.42**	**204.57**	**32.97**	**2.42**	**324.39**

Fair value hierarchy

Fair value of the financial instruments is classified in various fair value hierarchies based on the following three levels:

Level 1: Quoted prices (unadjusted) in active market or Net Asset Value (NAV) for identical assets or liabilities.

Level 2: Inputs other than quoted price included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

The fair value of financial instruments that are not traded in an active market is determined using market approach and valuation techniques which maximize the use of observable market data and rely as little as possible on entity-specific estimates. If significant inputs required to fair value an instrument are observable, the instrument is included in Level 2.

Notes to the Consolidated Financial Statements

33. Financial Instruments and Related Disclosures (Contd.)

Derivatives are valued using valuation techniques with market observable inputs such as foreign exchange spot rates and forward rates at the end of the reporting period, yield curves, risk free rate of returns, volatility etc., as applicable. The fair value of investment in Bonds / Debentures, Government or Trust Securities, Certificates of Deposit / Commercial Papers, Venture Capital Funds etc. and financial liabilities, where applicable, is determined using market observable inputs such as quotes from market participants, value published by the issuer etc.

Level 3: Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

If one or more of the significant inputs is not based on observable market data, the fair value is determined using generally accepted methodologies such as discounted cash flow analysis, with the most significant inputs being the discount rate that reflects the credit risk of counterparty.

The fair value of trade receivables, trade payables and other current financial assets and liabilities is considered to be equal to the carrying amounts of these items due to their short – term nature. Where such items are non-current in nature, the same has been classified as Level 3 and fair value determined using discounted cash flow basis. Similarly, unquoted equity instruments where most recent information to measure fair value is insufficient, or if there is a wide range of possible fair value measurements, cost has been considered as best estimate of fair value.

There has been no change in the valuation methodology for Level 3 inputs during the year. The Group has not classified any material financial instruments under Level 3 of the fair value hierarchy. The sensitivity of change in the unobservable inputs used in fair valuation of Level 3 financial assets and liabilities does not have a significant impact on their value. There were no transfers between Level 1, Level 2 and Level 3 during the year.

In terms of our report attached
For S R B C & CO LLP
Chartered Accountants
Firm Registration Number: 324982E / E300003

Arvind Sethi
Partner
(Membership No.: 89802)

Kolkata, May 21, 2026

On behalf of the Board

S. PURI *Chairman & Managing Director*
(DIN : 00280529)
S. DUTTA *Director & Chief Financial Officer*
(DIN : 01804345)
R. K. SINGHI *Company Secretary*
(Membership No.: FCS 3770)

Enduring Value

INDEPENDENT AUDITOR'S REPORT

To the Members of ITC Limited

Report on the Audit of the Consolidated Ind AS Financial Statements

Opinion

We have audited the accompanying consolidated Ind AS financial statements of ITC Limited (hereinafter referred to as "the Holding Company"), its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group") its associates and joint ventures comprising the consolidated Balance Sheet as at March 31, 2026, the consolidated Statement of Profit and Loss, including the consolidated Statement of Other Comprehensive Income, the consolidated Statement of Cash Flows and the consolidated Statement of Changes in Equity for the year then ended, and notes to the consolidated Ind AS financial statements, including a summary of material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us and based on the consideration of reports of other auditors on separate financial statements and on the other financial information of the subsidiaries, associates and joint ventures, the aforesaid consolidated Ind AS financial statements give the information required by the Companies Act, 2013, as amended ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the consolidated state of affairs of the Group, its associates and joint ventures as at March 31, 2026, their consolidated profit including other comprehensive income, their consolidated cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the consolidated Ind AS financial statements in accordance with the Standards on Auditing (SAs), as specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the 'Auditor's Responsibilities for the Audit of the Consolidated Ind AS Financial Statements' section of our report. We are independent of the Group, associates, joint ventures in accordance with the 'Code of Ethics' issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the consolidated Ind AS financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated Ind AS financial statements for the financial year ended March 31, 2026. These matters were addressed in the context of our audit of the consolidated Ind AS financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have determined the matter described below to be the key audit matter to be communicated in our report. We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the consolidated Ind AS financial statements section of our report, including in relation to the matter. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated Ind AS financial statements. The results of audit procedures performed by us and by other auditors of components not audited by us, as reported by them in their audit reports furnished to us by the management, including those procedures performed to address the matter below, provide the basis for our audit opinion on the accompanying consolidated Ind AS financial statements.

Key audit matter	How our audit addressed the key audit matter
Revenue recognition	
Revenue from the sale of goods (hereinafter referred to as "Revenue") is recognised when the Group performs its obligations to its customers and the amount of revenue can be measured reliably and recovery of the consideration is probable. The timing of such recognition in case of sale of goods is when the control over the same is transferred to the customer, which is mainly upon delivery.	Our audit procedures included the following: • Assessed the Group's revenue recognition accounting policies in line with Ind AS 115 ("Revenue from Contracts with Customers") and tested thereof. • Evaluated the integrity of the general information and technology control environment and testing the operating effectiveness of key IT application controls over recognition of revenue.

Key audit matter	How our audit addressed the key audit matter
The timing of revenue recognition is relevant to the reported performance of the Group. The management considers revenue as a key measure for evaluation of performance. There is a risk of revenue being recorded before control is transferred. Refer Note 1 to the Consolidated Ind AS Financial Statements - Material Accounting Policies and Note 23A/23B.	• Evaluated the design, implementation and operating effectiveness of Group's controls in respect of revenue recognition. • Tested the effectiveness of such controls over revenue cut off at year-end. • On a sample basis, tested supporting documentation for sales transactions recorded during the year which included sales invoices, customer contracts and shipping documents. • Performed an increased level of substantive testing in respect of sales transactions recorded during the period closer to the year end and subsequent to the year end. • Compared revenue with historical trends and where appropriate, conducted further enquiries and testing. • Assessed disclosures in financial statements in respect of revenue, as specified in Ind AS 115.

We have determined that there are no other key audit matters to communicate in our report.

Information Other than the Financial Statements and Auditor's Report Thereon

The Holding Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual report, but does not include the consolidated Ind AS financial statements and our auditor's report thereon.

Our opinion on the consolidated Ind AS financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated Ind AS financial statements, our responsibility is to read the other information and, in doing so, consider whether such other information is materially inconsistent with the consolidated Ind AS financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management for the Consolidated Ind AS Financial Statements

The Holding Company's Board of Directors is responsible for the preparation and presentation of these consolidated Ind AS financial statements in terms of the requirements of the Act that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated cash flows and changes in equity of the Group including its associates and joint ventures in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended. The respective Board of Directors of the companies included in the Group and of its associates and joint ventures are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of their respective companies and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgements and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated Ind AS financial statements by the Directors of the Holding Company, as aforesaid.

In preparing the consolidated Ind AS financial statements, the respective Board of Directors of the companies included in the Group and of its associates and joint ventures are responsible for assessing the ability of their respective companies to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those respective Board of Directors of the companies included in the Group and of its associates and joint ventures are also responsible for overseeing the financial reporting process of their respective companies.

Auditor's Responsibilities for the Audit of the Consolidated Ind AS Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated Ind AS financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated Ind AS financial statements.

As part of an audit in accordance with SAs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated Ind AS financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Holding Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group and its associates and joint ventures to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated Ind AS financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and its associates and joint ventures to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated Ind AS financial statements, including the disclosures, and whether the consolidated Ind AS financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group and its associates and joint ventures of which we are the independent auditors and whose financial information we have audited, to express an opinion on the consolidated Ind AS financial statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities included in the consolidated Ind AS financial statements of which we are the independent auditors. For the other entities included in the consolidated Ind AS financial statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

We communicate with those charged with governance of the Holding Company and such other entities included in the consolidated Ind AS financial statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated Ind AS financial statements for the financial year ended March 31, 2026 and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

(a) We did not audit the financial statements and other financial information, in respect of thirty-three subsidiaries, whose financial statements include total assets of Rs. 4,804.87 crores as at March 31, 2026, and total revenues of Rs. 4,774.39 crores and net cash inflows of Rs. 178.41 crores for the year ended on that date. These financial statements and other financial information have been audited by other auditors, which financial statements, other financial information and auditor's reports have been furnished to us by the management. The consolidated Ind AS financial statements also include the Group's share of net profit of Rs. 43.41 crores for the year ended March 31, 2026, as considered in the consolidated Ind AS financial statements, in respect of seven associates and two joint ventures, whose financial statements, other financial information have been audited by other auditors and whose reports have been furnished to us by the Management. Our opinion on the consolidated Ind AS financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, joint ventures and associates, and our report in terms of sub-sections (3) of Section 143 of the Act, in so far as it relates to the aforesaid subsidiaries, joint ventures and associates, is based solely on the reports of such other auditors.

Certain of these subsidiaries are located outside India whose financial statements and other financial information have been prepared in accordance with accounting principles generally accepted in their respective countries and which have been audited by other auditors under generally accepted auditing standards applicable in their respective countries. The Holding Company's management has converted the financial statements of such subsidiaries located outside India from accounting principles generally accepted in their respective countries to accounting principles generally accepted in India. We have audited these conversion adjustments made by the Holding Company's management. Our opinion in so far as it relates to the balances and affairs of such subsidiaries located outside India is based on the report of other auditors and the conversion adjustments prepared by the management of the Holding Company and audited by us.

Our opinion above on the consolidated Ind AS financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the financial statements and other financial information certified by the Management.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, based on our audit and on the consideration of report of the other auditors on separate financial statements and the other financial information of the subsidiary companies, associate companies and joint ventures, incorporated in India, as noted in the 'Other Matters' paragraph we give in the "Annexure 1" a statement on the matters specified in paragraph 3(xxi) of the Order.
2. As required by Section 143(3) of the Act, based on our audit and on the consideration of report of the other auditors on separate financial statements and the other financial information of subsidiaries, associates and joint ventures, as noted in the 'Other Matters' paragraph we report, to the extent applicable, that:
   (a) We/the other auditors whose report we have relied upon have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid consolidated Ind AS financial statements;
   (b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidation of the financial statements have been kept so far as it appears from our examination of those books and reports of the other auditors, read with paragraph (h)(vi) below;
   (c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss including the consolidated Statement of Other Comprehensive Income, the Consolidated Statement of Cash Flows and Consolidated Statement of Changes in Equity dealt with by this Report are in agreement with the books

of account maintained for the purpose of preparation of the consolidated Ind AS financial statements;

(d) In our opinion, the aforesaid consolidated Ind AS financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015, as amended;

(e) On the basis of the written representations received from the directors of the Holding Company as on March 31, 2026 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors who are appointed under Section 139 of the Act, of its subsidiary companies, associate companies and joint ventures, none of the directors of the Group's companies, its associates and joint ventures, incorporated in India, is disqualified as on March 31, 2026 from being appointed as a director in terms of Section 164 (2) of the Act;

(f) With respect to the adequacy of the internal financial controls with reference to consolidated Ind AS financial statements of the Holding Company and its subsidiary companies, associate companies and joint ventures, incorporated in India, and the operating effectiveness of such controls, refer to our separate Report in "Annexure 2" to this report;

(g) In our opinion and based on the consideration of reports of other statutory auditors of the subsidiaries, associates and joint ventures incorporated in India, the managerial remuneration for the year ended March 31, 2026 has been paid/provided by the Holding Company, its subsidiaries, associates and joint ventures incorporated in India to their directors in accordance with the provisions of section 197 read with Schedule V to the Act;

(h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the report of the other auditors on separate financial statements as also the other financial information of the subsidiaries, associates and joint ventures, as noted in the 'Other Matters' paragraph:

i. The consolidated Ind AS financial statements disclose the impact of pending litigations on its consolidated financial position of the Group, its associates and joint ventures in its consolidated Ind AS financial statements – Refer Note 30(iv)(a) to the consolidated Ind AS financial statements;

ii. The Group, its associates and joint ventures did not have any material foreseeable losses in long-term contracts including derivative contracts during the year ended March 31, 2026;

iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Holding Company, its subsidiaries, associates and joint ventures, incorporated in India during the year ended March 31, 2026.

iv. a) The respective managements of the Holding Company and its subsidiaries, associates and joint ventures which are companies incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries, associates and joint ventures respectively that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Holding Company or any of such subsidiaries, associates and joint ventures to or in any other person or entity, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the respective Holding Company or any of such subsidiaries, associates and joint ventures ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

b) The respective managements of the Holding Company and its subsidiaries, associates and joint ventures which are companies incorporated in India whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries, associates and joint ventures respectively that, to the best of

its knowledge and belief, no funds have been received by the respective Holding Company or any of such subsidiaries, associates and joint ventures from any person or entity, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Holding Company or any of such subsidiaries, associates and joint ventures shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

c) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances performed by us and that performed by the auditors of the subsidiaries, associates and joint ventures which are companies incorporated in India whose financial statements have been audited under the Act, nothing has come to our or other auditor's notice that has caused us or the other auditors to believe that the representations under sub-clause (a) and (b) contain any material mis-statement.

v) The final dividend paid by the Holding Company, its subsidiaries and a joint venture incorporated in India during the year in respect of the same declared for the previous year is in accordance with section 123 of the Act to the extent it applies to payment of dividend.

The interim dividend declared and paid during the year by the Holding Company, its subsidiaries and an associate until the date of the respective audit reports of such Holding Company is in accordance with section 123 of the Act.

As stated in Note B of Statement of Changes in Equity to the consolidated Ind AS financial statements, the respective Board of Directors of the Holding Company, its subsidiaries, an associate and a joint venture , incorporated in India have proposed final dividend for the year which is subject to the approval of the members of the respective companies at the respective ensuing Annual General Meeting. The dividend declared is in accordance with section 123 of the Act to the extent it applies to declaration of dividend.

vi) Based on our examination which included test checks and that performed by the respective auditors of the subsidiaries, associates and joint ventures which are companies incorporated in India whose financial statements have been audited under the Act, other than as disclosed in note 30(xx) to the consolidated Ind AS financial statements, the Holding Company, subsidiaries, associates and joint ventures have used accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software. Further, during the course of our audit, we and respective auditors of the above referred subsidiaries, associates and joint ventures did not come across any instance of audit trail feature being tampered with, in respect of accounting software where the audit trail has been enabled. Additionally, the audit trail of prior years have been preserved by the Holding Company, subsidiaries, associates and joint ventures as per the statutory requirements for record retention to the extent it was enabled and recorded in respective years.

For S R B C & CO LLP
Chartered Accountants
ICAI Firm Registration Number: 324982E/E300003

per Arvind Sethi
Partner
Membership Number: 89802

Place of Signature: Kolkata
Date: May 21, 2026

UDIN: 26089802EKEEZQ4869

Enduring Value

Annexure 1 referred to in paragraph 1 under the heading "Report on Other legal and Regulatory Requirements" of our report of even date

Re: ITC Limited (the "Holding Company")

In terms of the information and explanations sought by us and given by the Holding Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief and based on the consideration of report of respective auditors of the subsidiary companies, associates and joint ventures incorporated in India, we state that:

(xxi) There are no qualifications or adverse remarks by the respective auditors in their report on Companies (Auditors Report) Order, 2020 of the companies included in the consolidated Ind AS financial statements. As indicated in Note 30(iii)(d) of the consolidated Ind AS financial statements, in respect of a joint venture, consolidated based on management accounts, the audit report under Companies (Auditors Report) Order, 2020 of the companies has not been issued till the date of our auditor's report.

For S R B C & CO LLP
Chartered Accountants
ICAI Firm Registration Number: 324982E / E300003

per Arvind Sethi
Partner
Membership Number: 89802

UDIN: 26089802EKEEZQ4869

Place of Signature: Kolkata
Date: May 21, 2026

Annexure 2 to the Independent Auditor's Report of even date on the Consolidated Ind AS Financial Statements of ITC Limited

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

In conjunction with our audit of the consolidated Ind AS financial statements of ITC Limited (hereinafter referred to as the "Holding Company") as of and for the year ended March 31, 2026, we have audited the internal financial controls with reference to consolidated Ind AS financial statements of the Holding Company and its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group"), its associates and joint ventures, which are companies incorporated in India, as of that date.

Management's Responsibility for Internal Financial Controls

The respective Board of Directors of the companies included in the Group, its associates and joint ventures, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Holding Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (ICAI). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the Holding Company's internal financial controls with reference to consolidated Ind AS financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, specified under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls, both, issued by ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to consolidated Ind AS financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to consolidated Ind AS financial statements and their operating effectiveness. Our audit of internal financial controls with reference to consolidated Ind AS financial statements included obtaining an understanding of internal financial controls with reference to consolidated Ind AS financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in the Other Matters paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls with reference to these consolidated Ind AS financial statements.

Meaning of Internal Financial Controls With Reference to these Consolidated Ind AS Financial Statements

A company's internal financial control with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls With Reference to Consolidated Ind AS Financial Statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Group , its associates and joint ventures, which are companies incorporated in India, have, maintained in all material respects, adequate internal financial controls with reference to consolidated Ind AS financial statements and such internal financial controls with reference to consolidated Ind AS financial statements were operating effectively as at March 31, 2026, based on the internal control over financial reporting criteria established by the Holding Company considering the essential components of internal control stated in the Guidance Note issued by the ICAI.

Other Matters

Our report under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls with reference to consolidated Ind AS financial statements of the Holding Company, in so far as it relates to these eight subsidiaries, six associates and one joint venture, which are companies incorporated in India, is based on the corresponding reports of the auditors of such subsidiaries, associates and joint venture incorporated in India.

For S R B C & CO LLP
Chartered Accountants
ICAI Firm Registration Number: 324982E / E300003

per Arvind Sethi
Partner
Membership Number: 89802

UDIN: 26089802EKEEZQ4869

Place of Signature: Kolkata
Date: May 21, 2026

Enduring Value

Ten Years at a Glance

Standalone Operating Results FY17 - FY26

(₹ in Crores)

Year ended 31st March	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24$	FY25$	FY26$
Gross Sales Value (net of rebates & discounts) #	64174	67082	75309	76097	74979	90104	106625	105106	113962	121044
Gross Revenue from sale of products & services #	55002	43957	45221	46324	48151	59101	69481	66657	73467	80867
Total Income #	57434	46460	48269	49821	51776	62336	72689	70822	77693	84927
EBITDA	14578	15541	17306	17904	15523	18934	23944	23494	24026	25208
PBT	15503	16439	18444	19299	17164	19830	24677	25632	26002	26951
Exceptional items		413		(132)			73		528	(184)
PBT after Exceptional Items	15503	16852	18444	19167	17164	19830	24750	25632	26530	26767
Tax	5302	5628	5980	4031	4133	4772	5997	5722	6437	6481
PAT	10201	11223	12464	15136	13032	15058	18753	19910	20093	20286
Interim + Proposed Dividends *	6945	7577	8498	12477	13230	14172	19255	17163	17957	18168
– Ordinary Dividend	6945	7577	8498	12477	13230	14172	15837	17163	17957	18168
– Special Dividend							3418			
Earnings Per Share (Basic)	8.43	9.22	10.19	12.33	10.59	12.22	15.15	15.98	16.07	16.20
Dividend Per Share										
– Ordinary Dividend (₹)	4.75	5.15	5.75	10.15	10.75	11.50	12.75	13.75	14.35	14.50
– Special Dividend (₹)							2.75			

$ Financials for FY24 to FY26 exclude the performance of Hotels Business transferred to ITC Hotels Limited (ITCHL) on a going concern basis pursuant to Scheme of Demerger.

Gross Sales Value (net of rebates & discounts) has been provided to facilitate comparison as the figures of Gross Revenue from sale of products & services and Total Income are not comparable consequent to the introduction of Goods & Services Tax with effect from 1st July 2017, which replaced Central Excise (other than National Calamity Contingent Duty on cigarettes), Value Added Tax etc.

* Including Dividend Distribution Tax, where applicable.

Note: Financials for FY21 & FY22 were impacted by unprecedented disruptions in certain operating segments of the Company due to the COVID-19 pandemic.

Standalone Equity, Liabilities and Assets FY17 - FY26

(₹ in Crores)

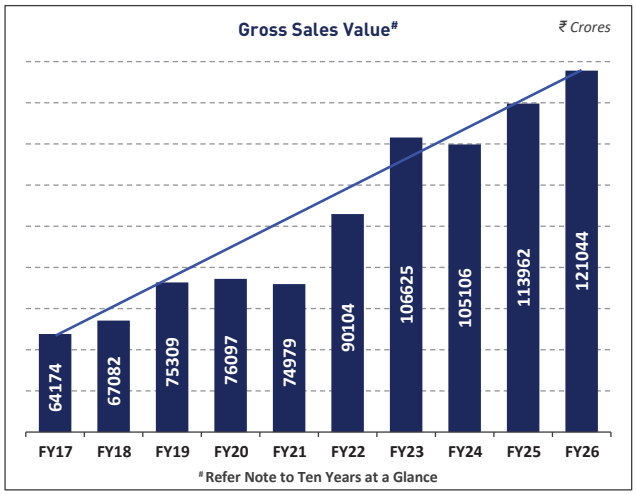
As at 31st March	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25$	FY26
Equity										
Share capital	1215	1220	1226	1229	1231	1232	1243	1248	1251	1253
Other equity	44126	50180	56724	62800	57774	60168	66351	70985	66643	68676
Shareholders' funds (Net Worth)	45341	51400	57950	64029	59005	61400	67594	72233	67894	69929
Non-current liabilities										
Borrowings	18	11	8	6	5	5	3	2	–	–
Deferred tax liabilities (Net)	1872	1918	2044	1618	1728	1667	1621	2084	2556	3065
Non-current liabilities (others) ^	155	195	174	493	669	543	628	593	431	730
Current liabilities										
Borrowings &	8	7	3	2	…	1	1	2	2	2026
Current liabilities (others) ^	6822	8850	9619	9087	10173	11477	12415	12414	13122	13166
Total Equity and Liabilities	**54216**	**62381**	**69798**	**75235**	**71580**	**75093**	**82262**	**87328**	**84005**	**88916**
Non-current assets										
Property, plant and equipment, intangible assets (including capital work-in-progress, intangible assets under development), investment property and right-of-use assets ^	18417	20592	21888	23298	25521	25688	25871	26830	21060	22026
Non-current investments	8486	13494	14071	13456	12937	15657	16364	22822	20693	19409
Non-current assets (others)	2776	3792	4269	1974	1306	2806	4824	1605	2494	1337
Current assets										
Current investments	10100	9903	12507	17175	14047	11625	16357	11917	15290	19702
Cash and cash equivalents and Other bank balances	2747	2595	3769	6843	4002	3878	3831	6218	3185	2136
Current assets (others)	11690	12005	13294	12489	13767	15439	15015	17936	21283	24306
Total Assets	**54216**	**62381**	**69798**	**75235**	**71580**	**75093**	**82262**	**87328**	**84005**	**88916**
Net Worth Per Share (₹)	37.33	42.12	47.27	52.09	47.94	49.82	54.39	57.86	54.25	55.81

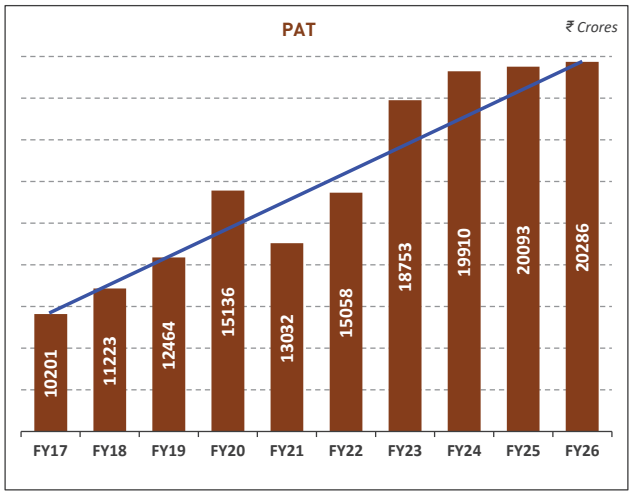
$ FY25 includes the effect of the Scheme of Demerger of the Hotels business into ITCHL on a going concern basis.

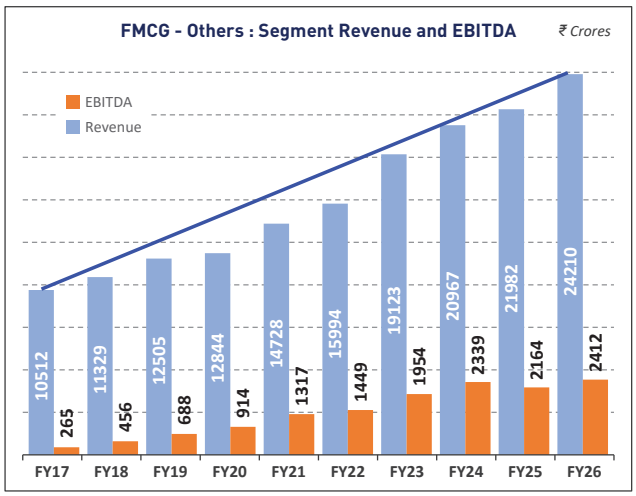
^ Includes right-of-use assets and lease liabilities from FY20 upon transition to Ind AS 116, "Leases".

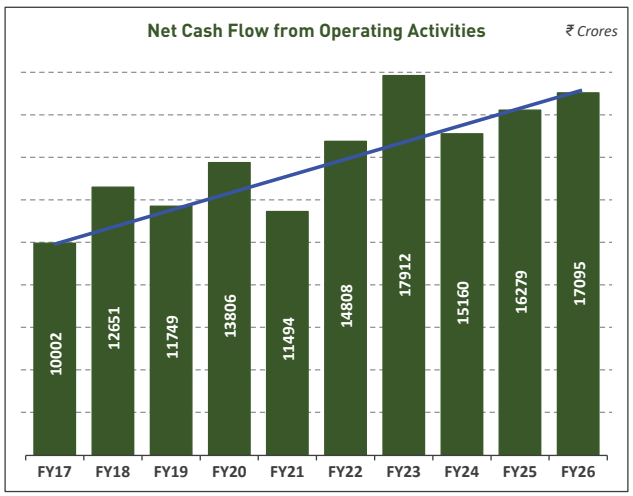
& To facilitate like-to-like comparison, figures for earlier years have been regrouped in line with amendments to Schedule III to the Companies Act, 2013.

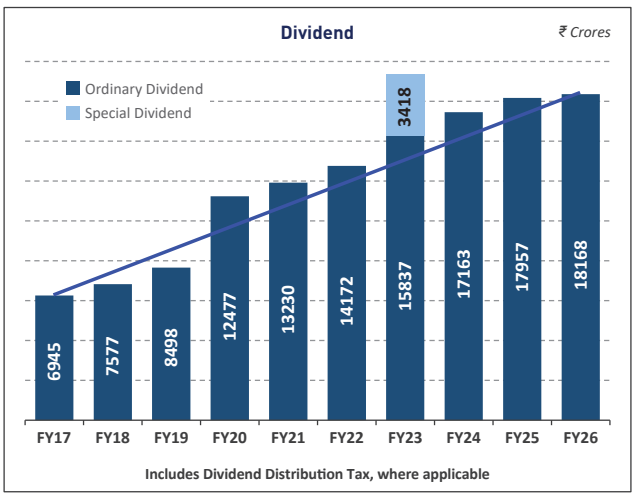
Financial Highlights

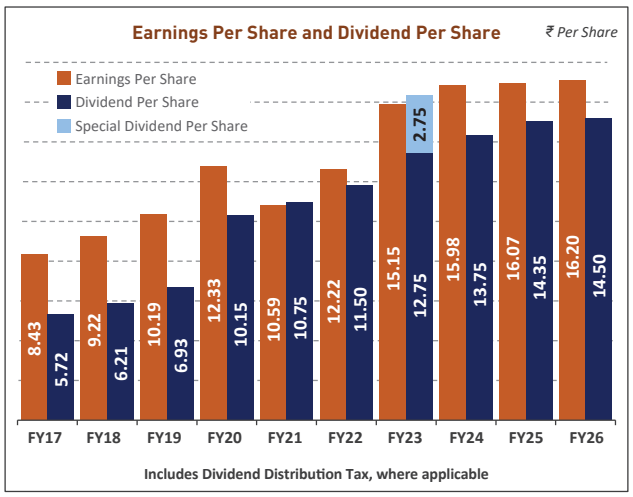












These graphs depict the standalone financial performance

Notes:

- Financials for FY24 to FY26 exclude the performance of Hotels business transferred to ITCHL on a going concern basis pursuant to Scheme of Demerger.
- Financials for FY21 & FY22 were impacted by unprecedented disruptions in certain operating segments of the Company due to the COVID-19 pandemic.

Business Responsibility and Sustainability Report 2026

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Glossary

ITC Divisions/ Businesses

ABD: Agri Business Division

ESPB: Education & Stationery Products Business

FBD: Foods Business Division

ITD: India Tobacco Division

MAB: Matches and Agarbattis Business

PCPBD: Personal Care Products Business Division

PPB: Packaging & Printing Business

PSPD: Paperboards & Specialty Papers Division

TM&D: Trade Marketing & Distribution

ITC Specific Terms

CAPP: Core Area Perspective Plan

CMC: Corporate Management Committee

CSAT: Customer Satisfaction

CISO: Chief Information Security Officer

CSO: Chief Sustainability Officer

ISC: Investor Service Centre

ITCMAARS: Metamarket for Advanced Agriculture and Rural Services

LSTC: Life Sciences & Technology Centre

MSK: Mission Sunehra Kal

SBU: Strategic Business Unit

SCRC: Sustainability Compliance Review Committee

SIP: Social Investments Programme

General Terms

ATNI: Access to Nutrition Initiative

AWS: Alliance for Water Stewardship

CSR: Corporate Social Responsibility

CSA: Climate Smart Agriculture

DECTS: Digital End-to-End Human Rights Compliance Tracking System

ECF: Elemental Chlorine Free

EHS: Environment, Health and Safety

ESG: Environment, Social and Governance

FGD: Focus Group Discussion

FPO: Farmers' Producer Organisation

FII: Foreign Institutional Investor

FSC®: Forest Stewardship Council®

FSSAI: The Food Safety and Standards Authority of India

G.A.P.: Good Agricultural Practices

FY: Financial Year

HACCP: Hazard Analysis and Critical Control Point

ISAE: International Standard on Assurance Engagements

LCA: Life-Cycle Assessment

LEED®: Leadership in Energy and Environmental Design

NA: Not Applicable

NEP: National Education Policy

NGRBC: National Guidelines on Responsible Business Conduct

NGO: Non-Governmental Organisation

NOP: National Organic Programme

NPOP: National Programme for Organic Production

OHSAS: Occupational Health and Safety Assessment Series

ICAR–NBAIM: Indian Council of Agricultural Research – National Bureau of Agricultural Inputs and Microbial Resources

PAT: Perform, Achieve and Trade

PRA: Participatory Rural Appraisal

PPP: Public-Private Partnership

PCR: Post Consumer Recycled

RFA: Rainforest Alliance

MCHN: Maternal, Child Health and Nutrition

SEBI: Securities and Exchange Board of India

SEDEX: Supplier Ethical Data Exchange

SC: Scheduled Caste

ST: Scheduled Tribe

SHG: Self Help Group

SOP: Standard Operating Procedure

STP: Sustainable Tobacco Programme

UoM: Unit of Measurement

Section A: General Disclosures

I. Details of the Listed Entity:

1.	**Corporate Identity Number (CIN) of the Company**	L16005WB1910PLC001985
2.	**Name of the Company**	ITC Limited
3.	**Year of Incorporation**	1910
4.	**Registered office address**	Virginia House, 37 Jawaharlal Nehru Road, Kolkata 700 071
5.	**Corporate office address**	
6.	**E-mail id**	enduringvalue@itc.in
7.	**Telephone**	+91 33 2288 9371
8.	**Website**	www.itcportal.com
9.	**Financial year for which reporting is being done**	2025-26
10.	**Name of the Stock Exchange(s) where shares are listed**	National Stock Exchange of India Limited ('NSE') and BSE Limited ('BSE')
11.	**Paid-up capital**	₹ 1252.95 Crores (As on 31.03.2026)
12.	**Name and contact details of the person who may be contacted in case of any queries on the BRSR report**	Ms. Madhulika Sharma Chief Sustainability Officer Madhulika.sharma@itc.in +91 33 2288 9371
13.	**Reporting boundary**	*This report is prepared on a Standalone basis, with data as on 31st March, 2026.* *The financial data included in the Report is consistent with the Company's Report and Accounts for 2026 or derived from underlying books of accounts, as applicable.*
14.	**Name of assessment or assurance provider**	KPMG Assurance and Consulting Services LLP
15	**Type of assessment or assurance obtained**	Reasonable Assurance for BRSR Core indicators

II. Products/Services

16. Details of business activities: (accounting for 90% of the entity's Turnover):

S. No.	Description Of Main Activity	Description Of Business Activity	% Of Turnover Of The Entity
1.	**FMCG**	Cigarettes	45.88%
		Others: Branded Packaged Foods Businesses (Staples & Meals; Snacks; Dairy & Beverages; Biscuits & Cakes; Chocolates, Coffee & Confectionery); Personal Care Products; Education and Stationery Products; Safety Matches and Agarbattis.	29.93%
2.	**Agri Business**	Agri-commodities such as wheat, rice, spices, coffee, soya and leaf tobacco.	15.21%
3.	**Paperboards, Paper & Packaging**	Paperboards, Paper including Specialty Paper and Packaging including flexibles.	8.57%

17. Products/Services sold by the entity: (accounting for 90% of the entity's Turnover):

S. No.	Product/Service	Nic Code	% Of Total Turnover Contributed
1	Cigarettes	120004, 210099, 463007	45.88%
2	Others: Branded Packaged Foods Businesses (Staples & Meals; Snacks; Dairy & Beverages; Biscuits & Cakes; Chocolates, Coffee & Confectionery); Education and Stationery Products; Personal Care Products; Safety Matches and Agarbattis.	103003, 103007, 105001, 105004, 105099, 106102, 106103, 106106, 106107, 106201, 107101, 107299, 107302, 107303, 107399, 107400, 107503, 107599, 107601, 107602, 107904, 107906, 110502, 202101, 202301, 202303, 202306, 202308, 202399, 202903, 210099, 464105, 464901, 464907, 464999, 476101, 476103, 463005, 472101, 011103, 011201	29.93%
3	Agri-commodities such as wheat, rice, spices, coffee, soya and leaf tobacco.	102099, 103003, 104007, 106107, 107906, 120001, 462001, 462007, 463001, 463006, 467902, 473001, 712099	15.21%
4	Paperboards, Paper including Specialty Paper and Packaging including flexibles.	170101, 170103, 170104, 170199, 170202, 170299, 222003, 467906	8.57%

III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated.

The Company's Businesses and operations are spread across the country. Details of Plant Locations are provided under the section 'Shareholder Information' in the Company's Report and Accounts 2026.

Location	Number Of Plants	Number Of Offices	Total
National	66	51	117
International	0	1	1

19. Markets served by the entity

a. Number of Locations

Location	Number
National (No. of States)	28 States and 7 Union Territories
International (No. of Countries)	112 Countries

b. What is the contribution of exports as a percentage of the total turnover of the entity?

FY 2025-26	9.74%

c. A Brief on Types of Customers

ITC is one of India's foremost private sector companies and a diversified conglomerate with businesses spanning FMCG, Paperboards, Paper & Packaging, Fresh Food and Agri Businesses, covering B2C, B2B and D2C segments. ITC's world-class Indian brands in Foods, Personal Care Products, Education and Stationery Products, Matches and Agarbattis today represent a consumer spend of over Rs. 37,000 crores.

IV. Employees

20. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
	EMPLOYEES					
1	Permanent (D)	11,442	9,362	82%	2,080	18%
2	Other than Permanent (E)	636	440	69%	196	31%
3	**Total employees (D + E)**	**12,078**	**9,802**	**81%**	**2,276**	**19%**
	WORKERS					
4	Permanent (F)	11,051	10,368	94%	683	6%
5	Other than Permanent (G)	25,508	21,203	83%	4,305	17%
6	**Total workers (F + G)**	**36,559**	**31,571**	**86%**	**4,988**	**14%**

Note: Definition of employee clustering is as under:

i. Permanent Employees include management and non-management staff. Other than permanent employees include Fixed Term Contract (FTC) personnel (Management and Non-Management)

ii. Permanent Workers include only Workers who are on the rolls of the Company. • Other than Permanent Workers include workers engaged through third-party contractors • Trainees and apprentices have not been included in the Workforce.

Point i and ii are both mutually exclusive categories.

b. Differently abled Employees and workers:

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
	DIFFERENTLY ABLED EMPLOYEES					
1	Permanent (D)	14	10	71%	4	29%
2	Other than Permanent (E)	210	129	61%	81	39%
3	**Total employees (D + E)**	**224**	**139**	**62%**	**85**	**38%**
	DIFFERENTLY ABLED WORKERS					
4	Permanent (F)	15	12	80%	3	20%
5	Other than Permanent (G)	217	185	85%	32	15%
6	**Total workers (F + G)**	**232**	**197**	**85%**	**35**	**15%**

Note: Refer employee clustering note under 20a (Under Section A) for definitions.

21. Participation/Inclusion/Representation of women

	Total (A)	No. and Percentage of Females	
		No. (B)	% (B/A)
Board of Directors	17	3	17.6%
Key Managerial Personnel*	5	0	0

** Comprising Chairman & Managing Director, Wholetime Directors and Company Secretary*

22. Turnover rate for permanent employees and workers

	Fy 2025-26 (Turnover Rate In Current FY)			Fy 2024-25 (Turnover Rate In Previous FY)			Fy 2023-24 (Turnover Rate In The Year Prior To The Previous FY)		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	14.2%	15.4%	14.5%	13.8%	13.5%	13.7%	13.4%	14.3%	13.6%
Permanent Workers	3.4%	15.8%	4.2%	4.5%	13.7%	5.0%	3.3%	15.6%	4.0%

Note: Refer employee clustering note under 20a (Under Section A) for definitions.

V. Holding, Subsidiary and Associate Companies (including joint ventures)

23. (a) Names of holding/subsidiary/associate companies/joint ventures (As on 31.03.2026)

Refer Note 30(iii) of Consolidated Financial Statements forming part of Report and Accounts 2026, for details on subsidiaries, associates and joint ventures. This Report is prepared on a Standalone basis.

VI. CSR Details

24. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: (Yes/No). Yes

(ii) Turnover of the Company for the year ended 31st March, 2026 - ₹ 80,867.49 crores

(iii) Net worth of the Company as at 31st March, 2026 - ₹ 68,434.16 crores (computed as per the Companies Act, 2013)

VII. Transparency and Disclosures Compliances

25. Complaints/grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct.

Stakeholder Group From Whom Complaint Is Received	Grievance Redressal Mechanism In Place (Yes/No) (If Yes, Then Provide Web-Link For Grievance Redress Policy)*	Fy 2025-26 Current Financial Year			Fy 2024-25 Previous Financial Year		
		Number Of Complaints Filed During The Year	Number Of Complaints Pending Resolution At Close Of The Year	Remarks	Number Of Complaints Filed During The Year	Number Of Complaints Pending Resolution At Close Of The Year	Remarks
Communities	Yes	9	9#	-	7	7^	-
Investors and shareholders	Yes	1	0	-	1	0	-
Employees and workers	Yes	5	0	-	5	1^	-
Customers	Yes	25,362	3,576^^	-	19,812	2,505^	-
Value Chain Partners	Yes	0	0	-	0	0	-

**The details of grievance redressal mechanisms for each stakeholder group are provided in the table below.*

#The process is undertaken annually in February / March, and resolution is initiated in April of next financial year. Hence, these appear as open as on 31st March 2026.

^Resolved after March 2025.

^^Will be resolved after March 2026.

Stakeholder Group From Whom Complaint Is Received	Grievance Redressal Mechanism In Place
Communities	The Social Investments Programme (SIP) team conducts Annual Community Engagements to capture community members' views, suggestions, and grievances related to programme implementation. These engagements are typically held during February–March, with issue resolution undertaken in the subsequent financial year. All seven grievances raised during the February/March 2025 engagements were resolved within the year. During FY 2025–26, 71 community engagement meetings were conducted across major States where SIP programmes are implemented. These were facilitated by SIP State-level managers and involved community members from villages and urban catchments, with implementing NGOs also participating. All engagements were planned and

	reviewed by the SIP Head Office team. From these, nine grievances—mainly related to requests for additional interventions and scope for improvement—were reported, and appropriate actions have been incorporated into plans for the upcoming year. Beyond formal grievance mechanisms, regular engagement is maintained through structured monitoring field visits by ITC managers at Head Office, Regional, and State levels, frequent interactions by implementation partners, and annual third-party impact assessments, which objectively evaluate programmes and capture community feedback.
Investors and shareholders	Yes, https://itcportal.com/investors.html The Company has an Investor Service Centre (ISC) which is registered with the SEBI for providing in-house share registration and related services to the shareholders and investors. ISC has effective systems and processes in place to ensure prompt redressal of investor grievances, as follows: (a) ISC has a 'Complaint Identification Policy' for identification of investor complaints. ISC attends to shareholder / investor complaints within three working days, except where constrained by disputes or legal impediments. (b) The Head of ISC is responsible for redressal of investor grievances. (c) The Company has a specific e-mail ID earmarked for receiving investor complaints which is isc@itc.in. (d) The 'Investor Charter' of the Company and the details of investor complaints received by the Company are available on its website at https://itcportal.com/investors/investor-charter.html and https://itcportal.com/content/dam/itc-corporate/investors/investor-complaint.pdf, respectively. (e) A Board Level Committee viz., the Securityholders Relationship Committee has been mandated to oversee redressal of investor grievances. (f) Details of investor complaints received by the Company are filed on a quarterly basis with the Stock Exchanges where the Company's shares are listed, and also with the SEBI on a half-yearly basis.
Employees and workers	The Company, through its Grievance Redressal Policy, seeks to address employee concerns and complaints pertaining to human rights and labour practices. A Grievance Redressal Procedure with appropriate systems and mechanisms is available across ITC Units. The implementation is ensured by Divisional/SBU Chief Executives, through members of the respective Management Committees of the Businesses.
Customers	Robust systems have been put in place across ITC Businesses to continuously engage with consumers for gathering feedback and address their concerns, if any, in a timely manner. A dedicated customer interactions team is in place to address any product related query/ complaint. Several communication channels like email, telephone number and feedback forms are provided to the consumers. In addition, the Company has an online reputation management team which interacts with consumers via social media channels and responds to their queries in real time. A Customer Relationship Management (CRM) platform has been implemented for capturing customer complaints, queries, feedback and suggestions received across channels. The CRM platform also provides consumer insights for bringing about process related changes, and system enhancements for improving the CSAT scores. • Customer can reach out to ITC via following email in ITC Portal: o webmaster@itc.in o Contactus@itc.in o itccares@itc.in • Customers can also raise their grievances via Brand-specific websites.
Value Chain Partners	As per the Company's Code of Conduct for Suppliers and Service Providers, they are expected to bring to the notice of the manager concerned at ITC, any actual or suspected breach of the Code. Suppliers and Service Providers are encouraged to report any known or suspected improper behaviour of ITC employees. Such reports are treated in a confidential manner.

26. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format

S. No.	Material Issue Identified	Indicate Whether Risk Or Opportunity (R/O)	Rationale For Identifying The Risk / Opportunity	In Case Of Risk, Approach To Adapt Or Mitigate	Financial Implications Of The Risk Or Opportunity (Indicate Positive Or Negative Implications)
1.	Climate Change & Sustainability	Risk	Climate and nature related physical and transition risks may impact business operations, sourcing, supply chain and increase compliance costs.	**Risk Mitigation Strategy** **Physical Risk Management:** • Use contemporary climate risk modelling tools for identifying high-risk / vulnerable sites and agri value chains, and undertaking detailed assessments for developing locally contextual adaptation plans and measures for improving climate resilience. • Map risks arising out of climate crisis, build adaptive capacity and invest in mitigative measures to strengthen resilience. • Promote climate smart agriculture, and development of heat / drought tolerant and high yielding varieties to improve productivity by adopting micro region-specific agronomic practices. - Developing region-specific package of practices and promoting climate smart farming techniques to mitigate impact of weather; - Enhancing climate resilience of farmers through capacity building programmes by leveraging ITCMAARS and the Farmers' Producer Organisation (FPO) ecosystem, supported by field demonstrations under Choupal Pradarshan Khets; - Comprehensive programmes on social forestry, soil and moisture conservation and biodiversity conservation; - Adoption of water stewardship approach to achieve water security for all stakeholders within the defined catchment areas of Units located in high water stress areas;	**Potential Impact** • As average temperatures rise, extreme weather events are expected to grow in terms of severity and frequency. These could have significant impact on the Company's operations including the health and safety of its workforce, its physical assets and agri value chains leading to complete or partial outage of operations. Further, these events may also adversely impact the availability and quality of agri raw materials and consequently, the production and sales of the Company's products. • Vagaries of weather caused by climate change may impact crop cycles, output and productivity resulting in disruption of operations / supply chains. • Availability of water for own operations as well as agri value chains may be adversely impacted by erratic precipitation patterns. • Changes in nature, biodiversity and /or ecosystem intactness (e.g. soil erosion and depletion, species diversity and composition) may adversely disrupt supply chains and operations. • Besides physical risks, transition risks associated with climate change, may impact the Company's operations: - Additional levies may be imposed by regulatory authorities for emission / water intensive industries to

S. No.	Material Issue Identified	Indicate Whether Risk Or Opportunity (R/O)	Rationale For Identifying The Risk / Opportunity	In Case Of Risk, Approach To Adapt Or Mitigate	Financial Implications Of The Risk Or Opportunity (Indicate Positive Or Negative Implications)
				• Conduct site-specific assessments for understanding the impacts and dependencies on biodiversity and ecosystem services in order to develop specific biodiversity management plans in vulnerable areas. • Supply chain diversification and contingency planning **Transition Risk Management:** • Work towards achieving Net Zero Operations by 2050 with focused interventions towards decarbonisation of Scope 1 and Scope 2 emissions. Collaborate with value chain partners to accelerate the decarbonisation of Scope 3 emissions. • Continue to focus on energy conservation, improving energy efficiency and enhancing the share of renewables in ITC's total energy requirement as part of ITC's Sustainability 2.0 agenda. • Strengthen governance mechanisms for reviewing performance and progress against Sustainability 2.0 targets by the Sustainability Compliance Review Committee (SCRC). • Adopt the Life-Cycle Assessment (LCA) approach to evaluate the potential environmental impacts of products during their entire lifecycle; leverage the same for designing sustainable products.	address climate change, resulting in higher cost of compliance, and potential regulatory penalties and reputational risk in case of non-compliance.
2	Product and Plastic Packaging	Risk	Difficulty in complying with current or future regulation on plastic packaging and/or difficulty in meeting commitments on packaging and the environment.	**Risk Mitigation Strategy** • Pursue initiatives in line with ITC's holistic sustainable packaging strategy that entails: - **No Plastics:** Leveraging synergies between ITC Life Sciences and Technology Centre, paper and packaging business, and FMCG Businesses for developing solutions that enable complete or partial substitution of plastics with	**Potential Impact** • Non-compliance with plastic waste management regulations, if any, could lead to imposition of environmental compensation, that may negatively impact Company's reputation. Additionally, stricter government laws around usage of plastics including bans may

S. No.	Material Issue Identified	Indicate Whether Risk Or Opportunity (R/O)	Rationale For Identifying The Risk / Opportunity	In Case Of Risk, Approach To Adapt Or Mitigate	Financial Implications Of The Risk Or Opportunity (Indicate Positive Or Negative Implications)
				sustainable alternatives, and exploring paper as a substrate for packaging, where possible; - **Less Plastics:** Progressive reduction in plastic packaging intensity over time, and introducing Post-Consumer Recycled (PCR) content in plastic packaging, wherever permitted by regulations and wherever possible; - **Better Plastics:** Improving recyclability of multi-layer laminate packaging, phasing out hard to recycle plastics, and exploring alternative packaging materials with lower environmental impact including bio-based compostable plastics. • Partner with upstream players and suppliers for supply of Post-Consumer Recycled (PCR) plastic for meeting regulatory / market demand for increasing recycled content in plastic packaging. • Sustain plastic neutrality through behavioural change programmes to ensure segregation of waste at source, and creating replicable, scalable and sustainable models of plastic waste management; work with recycling partners for developing viable recycling options for Multi-Layered Plastic (MLP) packaging. • Ensure a robust compliance management system supported by internal and external process review; additionally, undertake third-party assurance of underlying data related to plastic waste generation and collection.	give rise to multiple challenges such as redesign of product packaging, shelf life and product distribution related issues. • Disruptions in the supply chain for recycled plastic or plastic packaging substitutes as required by law, could impact the Company's ability to comply, produce and distribute products.
3	Talent Management	Risk	Inability to attract and retain high quality talent in a highly competitive market.	**Risk Mitigation Strategy** • Strengthen and communicate ITC's talent proposition about 'Building Winning Businesses. Building Business Leaders. Creating Value for India'.	**Potential Impact** • Lack of requisite quality of management personnel could adversely affect business operations and long-term growth prospects.

S. No.	Material Issue Identified	Indicate Whether Risk Or Opportunity (R/O)	Rationale For Identifying The Risk / Opportunity	In Case Of Risk, Approach To Adapt Or Mitigate	Financial Implications Of The Risk Or Opportunity (Indicate Positive Or Negative Implications)
				• Provide meaningful and challenging roles which enrich individual capability and act as a powerful incentive to stay, learn and grow; • Build a robust talent pipeline across responsibility levels through requisite quality in key roles, depth of bench and reliable succession plans. • Invest in capability building of managers through access to the best-in-class upskilling programmes and development interventions. • Recognise and nurture specialism so that employees who wish to focus on niche, business critical skills can continue to grow in their area of expertise. • Benchmark compensation to the relevant market periodically, ensuring strong alignment with short-term and long-term performance, particularly at senior levels and ring-fencing top talent. • Ensure the talent quotient in the Company remains healthy and vibrant through annual segmentation supported by differential rewards and progression opportunities for industry leading talent. • Energise and nurture pride in membership through frequent leadership outreach to managers. • Engage with the country's premier academic institutions to communicate the Company's talent proposition through case-study competitions, knowledge-sharing programmes by senior managers and the annual internship programmes creating a compelling proposition for the best candidates to aspire for a career with the Company. • Promote Diversity, Equity and Inclusion through supportive polices based on principles of equity. • Implement measures to ensure sufficient representation of women in selection pools and deployment of the differently-abled across suitable opportunities towards meeting the diversity and inclusion goals of the organisation. • Agile HR practices to provide contemporary and relevant work policies to employees such as flexible work arrangements.	• Talent attrition beyond acceptable levels may impact ability to effectively fulfil organisational goals and customer expectations.

Section B: Management and Process Disclosures

The National Guidelines for Responsible Business Conduct (NGRBC) as brought out by the Ministry of Corporate Affairs advocates nine principles referred as P1-P9 as given below:

P1	Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable
P2	Businesses should provide goods and services in a manner that is sustainable and safe
P3	Businesses should respect and promote the well-being of all employees, including those in their value chains
P4	Businesses should respect the interests of and be responsive to all its stakeholders
P5	Businesses should respect and promote human rights
P6	Businesses should respect and make efforts to protect and restore the environment
P7	Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent
P8	Businesses should promote inclusive growth and equitable development
P9	Businesses should engage with and provide value to their consumers in a responsible manner

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and Management Processes									
1. a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
	ITC has a comprehensive set of Board-approved Policies that cover NGRBC principles (P1 to P9) and the underlying core elements. To achieve its Sustainability 2.0 vision, the Company continues to strengthen its management approach which is guided by a comprehensive set of Sustainability Policies that are being implemented across the organisation. The Company continues to strengthen the mechanisms of engagement with key stakeholders, identification of material sustainability issues and progressively monitoring and mitigating the impacts along the value chain of each Business. The Company will continue to update these systems and processes in line with the evolving disclosure standards and Environmental, Social and Governance (ESG) requirements. The overall responsibility for ensuring the implementation of Sustainability Policies resides with the Divisional / Strategic Business Unit (SBU) Chief Executives and the Heads of Corporate Functions who work with their respective management teams. Various committees designated with specific responsibilities have also been constituted for operationalising these Policies. The Sustainability Compliance Review Committee comprising senior and other members of management has the overall responsibility to monitor and evaluate compliance with these Policies. The responsibility for implementation of ITC's CSR Policy rests with the Corporate Social Investments Programme (SIP) Team.								
b. Has the policy been approved by the Board? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
c. Web Link of the Policies, if available	**https://itcportal.com/about-itc/itc-policies.html**								
2. Whether the entity has translated the policy into procedures. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Not Applicable	Yes	Yes
4. Name of the national and international codes/ certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
	-	Food Safety Management System (FSSC 22000/ISO 22000/HACCP), Responsible Supply Chain Certifications like Rainforest Alliance (RFA) and Forest Stewardship Council® (FSC®), Farm Sustainability Assessment (FSA) 3.0 Certification, Global G.A.P. Certification, Fairtrade Certification	OHSAS 18001/ ISO 45001: Occupational Health and Safety Management Systems	ISAE 3000	SA 8000: Social Accountability, Sustainable Tobacco Programme, RFA, FSC®	ISO 50001, ISO 14001: Environment Management System, Alliance for Water Stewardship (AWS), LEED® Certification for Green Buildings	NGRBC	-	ATNI Framework, FSSAI, BRCGS, HACCP, Sedex, NPOP, NOP, Halal and Kosher

5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	In line with its Sustainability 2.0 agenda, ITC has set short to medium targets for key priority areas like climate change, water stewardship, plastic waste and circular economy, sustainable agriculture, biodiversity conservation and sustainable livelihoods. In line with the above, ITC's Businesses have targets for Key Performance Indicators (KPIs) like specific energy consumption, specific greenhouse gas emissions, specific water intake and specific waste generation. To achieve these targets, all ITC Units have established management systems which entail regular monitoring of environmental KPIs, development of an environmental management plan, and reviewing progress on a regular basis to ensure that Businesses are on track with respect to the agreed roadmap.
6. Performance of the entity against the specific commitments, goals and targets along with reasons in case the same are not met.	

Governance, Leadership and Oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements *(listed entity has flexibility regarding the placement of this disclosure)*

Please refer to 'Report of the Board of Directors & Management Discussion and Analysis' section of ITC Report and Accounts 2026.

8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).

The Board of Directors, on the recommendation of the CSR and Sustainability Committee, has approved the Sustainability Policies of the Company. The CSR and Sustainability Committee, chaired by the Chairman of the Company, reviews and oversees implementation of these Sustainability Policies on an annual basis. In addition, the CSR and Sustainability Committee and the Board of Directors review the progress of implementation of the Company's CSR Programmes on a half-yearly basis. The composition of the Committee as on 31st March, 2026 is given below:

Sl. No.	Name Of The Director	Designation / Nature Of Directorship	Din Of The Director
1.	S. Puri (Chairman of the Committee)	Chairman & Managing Director	00280529
2.	A. Kant	Independent Director	00222708
3.	C. K. Mishra	Independent Director	02553126
4.	S. Mohanty	Non-Executive Director	08058830
5.	S. Mukherjee	Independent Director	03024803
6.	A. Pande	Non-Executive Director	10631871
7.	S. Panray	Non-Executive Director	09251023
8.	N. Rao	Independent Director	06954879
9.	A. Singh	Non-Executive Director	00060943

At the highest level, the Board of Directors of the Company has the primary role of trusteeship to protect and enhance shareholder value through strategic supervision of ITC. As trustees, the Board ensures that the Company has clear goals aligned to shareholder value and its growth, and also in line with its Sustainability agenda.

The Corporate Management Committee (CMC) of the Company is the management body responsible for compliance with the Sustainability Policies of the Company.

The CMC has constituted the Sustainability Compliance Review Committee (SCRC), which monitors and evaluates compliance with these Policies and places a quarterly report thereon for review by the CMC.

The Chief Executives of Divisions / Strategic Business Units (SBUs), through members of the respective Management Committees, and Heads of Corporate Functions are responsible for ensuring implementation of the Sustainability Policies of the Company within their respective Division / SBU / Corporate Function and communication of these Policies to the employees.

In addition, the Chief Sustainability Officer (CSO) of the Company is responsible for scanning the external environment for evolving sustainability trends and regulations, monitoring the progress on sustainability targets and facilitating the Businesses & Corporate Functions in implementing the sustainability initiatives.

The CSO reports to the Group Head of Sustainability who is also a CMC Member and the Chairman of the SCRC. The CSO provides progress reportbacks on the Company's sustainability initiatives to the senior leadership of the Company.

9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	Yes, as stated under (8) above, the CSR and Sustainability Committee of the Board reviews, monitors and provides strategic direction to the Company's CSR and sustainability practices towards fulfilling its Triple Bottom Line objectives. The Committee seeks to guide the Company in crafting unique models to support creation of sustainable livelihoods together with environmental re-generation. The CSR and Sustainability Committee of the Board also reviews the Business Responsibility and Sustainability Report of the Company and recommends the same to the Board for adoption, and approves the Sustainability Report of the Company.

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board / Any other Committee					Frequency (Annually / Half yearly / Quarterly / Any other – please specify)			
	P1	P2	P3	P4	P5	P6	P7	P8	P9
Performance against above policies and follow up action	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis
Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis	Any other Committee On a quarterly basis
	The Company is in compliance with the applicable laws and regulations.								

11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.	• ITC has a robust review mechanism supported by internal audit covering the implementation of the Policies. • ITC has been obtaining independent third-party assurance for its Sustainability Reports since 2004. The authenticity of the data and systems disclosed in the annual Sustainability Report has been assured by an independent third-party assurance provider; the assurance has been provided as per the International Standard for Assurance Engagements (ISAE) 3000 at the 'Reasonable Assurance' level. • ITC has computed its Green House Gas (GHG) inventory, including GHG emissions, biogenic emissions and GHG removals, in accordance with ISO 14064:2018; the GHG inventory has been verified by an independent third-party assurance provider. • In addition to the above, relevant third-party assessments and certifications are conducted across Business Units periodically.

Section C: Principle-wise Performance Disclosure

Principle 1

Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable

Essential Indicator

1. Percentage coverage by training and awareness programmes on any of the principles during the financial year

Segment	Total Number Of Training And Awareness Programmes Held	Topics / Principles Covered Under The Training And Its Impact	%Age Of Persons In Respective Category Covered By The Awareness Programmes
Board of Directors	7	The Directors and KMP are briefed on the sustainability initiatives of the Company from time to time. The Directors and KMP are also updated on changes / developments in the domestic / global corporate and industry scenario including those pertaining to statutes / legislation & economic environment and on matters affecting the Company, to enable them to take well informed and timely decisions. During the financial year 2025-26, the Directors and KMP of the Company were, inter alia, briefed / updated on the following: (a) Overview of the Company's businesses, ITC's globally acknowledged Sustainability Initiatives and Digital Interventions provided to newly appointed Directors. (b) Sustainability Initiatives of the Company, including the Company's Sustainability 2.0 vision and priority areas. (c) Overview of the global & Indian macro-economic scenario and rise in economic & market uncertainty. (d) Talent Management including remuneration strategy. (e) Periodic review of the Company's businesses. In addition, plant visit to the Integrated Consumer Goods Manufacturing Facility at Pudukkottai, Tamil Nadu, was organised for the Directors and KMP of the Company. Further, the Directors of the Company attended a 'Strategy Session', spread over two days, where the global & Indian macro-economic environment, the 'ITC Next' strategy of building a future-ready portfolio and the Company's digital initiatives, amongst others, were discussed / reviewed.	100%
Key Managerial Personnel (other than Directors)			
Employees other than BoD and KMPs	11*	Health and Safety,** ITC Code of Conduct, Policy on Prevention of Sexual Harassment at the workplace, and Wellness programmes	100%
Workers	11*	Health and Safety,** ITC Code of Conduct, Policy on Prevention of Sexual Harassment at the workplace, and Wellness programmes	100%

Note: For definitions, please refer to the note below table 20a (Under Section A).
**11 Types of training programmes conducted, wherein all Employees/Workers were covered under at least one of the topics.*
***Detailed training programmes on various health and safety sub-elements were also conducted.*

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and as disclosed on the entity's website):

Monetary*					
	NGRBC Principle	Name Of The Regulatory/ Enforcement Agencies/ Judicial Institutions	Amount (In INR)	Brief Of The Case	Has An Appeal Been Preferred? (Yes/No)
Penalty/Fine	Nil				
Settlement					
Compounding Fee					

Non-Monetary*				
	NGRBC Principle	Name Of The Regulatory/ Enforcement Agencies/ Judicial Institutions	Brief Of The Case	Has An Appeal Been Preferred? (Yes/No)
Imprisonment	Nil			
Punishment				

**The above disclosure has been made in accordance with the Company's Policy for determination of materiality of events and information for disclosure to the Stock Exchanges, and in line with the disclosures made to the Stock Exchanges.*

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the Regulatory/Enforcement Agencies/Judicial Institutions
	Not Applicable

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

The Company's Code of Conduct covers aspects relating to anti-corruption and anti-bribery. In terms of the said Code, the Company believes in conducting its business in a transparent manner and does not indulge in bribery or corruption. The ITC Code of Conduct can be accessed on the Company's corporate website at

https://itcportal.com/about-itc/code-of-conduct.html

Further, in terms of the Company's Code of Conduct for Suppliers and Service Providers, all Suppliers and Service Providers of the Company are required:

(a) to avoid any actual or potential conflicts of interest in their business dealings with the Company that could create a perception of unfairness or lead to uncompetitive favours;

(b) to disclose any such situation of conflict of interest, including involvement or interest of any employee of the Company or his / her immediate family members in their business;

(c) not to indulge in any form of bribery or corruption that is intended to induce or reward improper conduct or influence any decision; and

(d) endeavour to have a policy pertaining to anti-corruption and anti-bribery.

The said ITC's Code of Conduct for Suppliers and Service Providers can be accessed on the Company's corporate website.

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/corruption:

	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)
Directors	Nil	Nil
KMPs	Nil	Nil
Employees	Nil	Nil
Workers	Nil	Nil

6. Details of complaints with regard to conflict of interest:

	FY 2025-26 (Current Financial Year)		FY 2024-25 (Previous Financial Year)	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of conflict of interest of the Directors	Nil		Nil	
Number of complaints received in relation to issues of conflict of interest of the KMPs				

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Not Applicable

8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following format:

	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)
Number of days of accounts payables	41.62	37.44

9. Open-ness of business

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format.

Parameter	Metrics	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	0.31%	0.67%
	b. Number of trading houses where purchases are made from	47	45
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	88.35%	91.59%
Concentration of Sales	a. Sales to dealers / distributors as % of total sales	81.16%	79.60%
	b. Number of dealers / distributors to whom sales are made	9,512	8,412
	c. Sales to top 10 dealers / distributors as % of total sales to dealers / distributors	8.80%	7.64%
Share of RPTs in	a. Purchases (Purchases with related parties / Total Purchases)	3.80%	2.85%
	b. Sales (Sales to related parties / Total Sales)	2.84%	2.66%
	c. Loans & advances (Loans & advances given to related parties / Total loans & advances)	-	-
	d. Investments (Investments in related parties / Total Investments made)	19.59%	19.99%

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

Total Number Of Awareness Programmes Held	Topics / Principles Covered Under The Training	%Age Of Value Chain Partners Covered (By Value Of Business Done With Such Partners) Under The Awareness Programmes
• 4 instructor led training sessions • Online e-learning module for suppliers	• Environmental compliance, fair business practices, corporate governance and ethics, occupational health and safety, fair labour practices and human rights	• 26% (by spend value)*. Additionally, in last 3 years, more than 1,000 Tier-1 suppliers including 100% Critical Tier-1 suppliers have been trained as part of ITC's Sustainable Supply Chain initiative.
• ~31,700 training programmes for farmers	• Regenerative, sustainable and climate-resilient farm practices • Human rights, farm safety • Government schemes • Access to finance	• More than 278,000 farmers were trained in FY 2025- 26 across ITC's procurement catchments under various capacity building, field advisory and outreach programmes.

**Spend value is estimated based on FY 2024-25 procurement spend data from domestic suppliers.*

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If Yes, provide details of the same.

Yes, the ITC Code of Conduct requires the Directors, Senior Management and employees to avoid situations in which their personal interests could conflict with the interests of the Company. The Code, inter alia, clarifies that conflict of interest may arise when (a) an employee or a family member (family member includes spouse, children, siblings and parents) has a material interest in an entity that has a business relationship with the Company or is being evaluated for a commercial transaction, or (b) an employee is in a position to benefit someone with whom he / she has a close relationship, in relation to the Company's business. However, this is an area in which it is impossible to provide comprehensive guidance but the guiding principle is that conflict, if any, or any potential conflict must be disclosed to higher management for guidance and action as appropriate.

Further, the Directors of the Company are required to disclose to the Board whether they, directly or indirectly or on behalf of third-parties, have material interest in any transaction or matter directly affecting the Company. In addition, an annual confirmation is sought from the Directors in this connection. For the financial year 2025-26, all Directors of the Company have confirmed that they did not, either directly or indirectly or on behalf of third-parties, have material interest in any transaction or matter, directly affecting the Company.

Principle 2

Businesses should provide goods and services in a manner that is sustainable and safe

Essential Indicators

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

Details of investment in specific technologies to improve the environmental and social impacts of product and processes ('Specific R&D' and 'Specific Capex') are as follows:

	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)	Details Of Improvements In Environmental And Social Impacts
Specific R&D to total R&D	19.2%	18.6%	For more details, refer to 'Report of the Board of Directors & Management Discussion and Analysis' section forming part of ITC's Report and Accounts 2026.
Specific Capex to total Capex	16.8%	28.7%	

a) R&D

ITC's state-of-the-art Life Sciences and Technology Centre (ITC LSTC) in Bengaluru serves as the cornerstone of science-led product innovation, enabling the development and strengthening of ITC's portfolio of world-class products and brands. The Centre has completed five decades of industrial research and development (R&D), underscoring its legacy of scientific excellence. ITC LSTC hosts a research community of over 400 highly qualified scientists with diverse expertise and skill sets, collectively bringing over 4,000 years of cumulative R&D and innovation experience, working collaboratively on future-ready scientific platforms. The R&D programmes are strategically structured to create impactful business outcomes, ensure exceptional product experiences for Indian consumers at affordable price points, and offer a wide range of choices through a portfolio of products that meet global quality standards. Sustainability is integrated as a key guiding principle from the inception stage of new product development and process innovation.

b) Capex investments

Specific Capex include investments in the areas of renewable energy, green buildings, energy efficient equipment, pollution control equipment, water management and treatment system (including rain water harvesting) etc.

2.a. Does the entity have procedures in place for sustainable sourcing?

Yes, there are procedures in place for sustainable sourcing. ITC has a Board approved Policy on 'Sustainable Supply Chain and Responsible Sourcing' and a 'Code of Conduct for Suppliers and Service Providers'. The Code reflects ITC's

commitment to environmental conservation, business integrity and human rights. All suppliers are encouraged to fully comply with the Code. Additionally, ITC Businesses, including Agri, FMCG and Paper Businesses, depend on farm and forestry-based supply chains for key raw materials. Accordingly, focus of ITC's interventions in agri value chains has been largely around improving farmer livelihoods, increasing agricultural productivity, strengthening regional water security, and addressing the challenge of climate change and enhancing resilience. ITC's key agri value chains are also certified as per global standards and third-party certifications like Rainforest Alliance (RFA), Forest Stewardship Council®, Fairtrade, Global G.A.P., Grown for Good (G4G), Farm Sustainability Assessment (FSA) 3.0, Organic (NPOP/NOP), among others. These certifications specify environmental and social standards for agricultural practices, and help ensure sustainability, traceability and transparency.

b. If yes, what percentage of inputs were sourced sustainably?

ITC procures ~51%* of its key crops through sustainable sourcing practices covering pulpwood, wheat, maize and tobacco. These commodities account for nearly 97% of ITC's total volume of agri commodities procured. Pulpwood is 100% FSC®-certified and all tobacco is sourced from farms involved in the Sustainable Tobacco Programme and ITC's sustainable agriculture initiatives. About 20% of wheat procurement is sourced sustainably through FPO-supported farms using ITCMAARS which supports climate resilient and regenerative practices and certified sourcing. Additionally, 12% of maize is procured sustainably from FPOs trained via ITCMAARS platform.

**Based on FY 2024–25 procurement data.*

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

	Description Of Processes
Plastics (including packaging)	In FY 2025-26, the Company sustainably managed ~72,500 tonnes of plastic waste in line with its extended producer responsibility under Plastic Waste Management Rules, 2016 (as amended). Nearly 99% of the solid waste generated in ITC's operations including plastic waste is sent for recycling.
E-waste	Not Applicable
Hazardous waste	Not Applicable
Other waste	All ITC Units have established systems and procedures to ensure that waste is disposed through authorised agencies in line with applicable regulations.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

Yes, ITC is in compliance with the requirements of Extended Producer Responsibility (EPR) under the Plastic Waste Management Rules, 2016 (as amended).

Leadership Indicators

1. Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?

To support its sustainability strategy, ITC conducts Life Cycle Assessments (LCA) to evaluate and identify the environmental impact of its products and services. LCA studies have covered major segments like Paperboards, Personal Care, Educational & Stationery, Matches & Agarbatti, and Branded Packaged Foods. Additionally, ITC's packaging teams use a specialised LCA tool to assess various packaging options for FMCG products, supporting sustainable packaging development.

Details of LCAs done in the last few years is given below:

Nic Code	Name Of Product / Service	% Of Total Turnover Contributed	Boundary For Which The Life Cycle Perspective/ Assessment Was Conducted	Whether Conducted By Independent External Agency (Yes/No)	Results Communicated In Public Domain (Yes/No) If Yes, Provide The Web-Link
476101	Classmate Notebook	-	Cradle-to-Grave	Yes	No
202301	Savlon Powder Handwash	-	Cradle-to-Grave	Yes	No
202301	Savlon Liquid Handwash	-	Cradle-to-Grave	Yes	No
202303	Nimyle Floor Cleaner	-	Cradle-to-Gate	Yes	No
170103	CFKE Paperboard	-	Cradle-to-Gate	Yes	No
202303	Mangaldeep Sandal Agarbatti	-	Cradle-to-Grave	Yes	No
106102	Aashirvaad Whole Wheat Atta	-	Cradle-to-Grave	No	No
103003	B Natural Mango	-	Cradle-to-Grave	No	No
476103	Octane Pen	-	Cradle-to-Grave	No	No
170103	Recycled Paperboard	-	Cradle-to-Gate	No	No

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

No significant social or environmental risks were identified from the LCA studies carried out.

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

During FY 2025-26, the Kovai Unit of ITC's Paperboards & Specialty Papers Business sourced ~ 93,000 tonnes of waste paper from external sources, which constituted ~70% of Unit's total input materials. Additionally, ITC continues to integrate recycled plastic content in packaging across its leading brands.

Indicate Input Material	Recycled Or Re-Used Input Material To Total Material	
	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)
Waste Paper used in Kovai Mill	Recycled paper used: ~93,000 tonnes	Recycled paper used: ~85,000 tonnes
Use of Recycled Plastic Content	Recycled Plastic content used in packaging: ~2,300 tonnes	Recycled plastic content used in packaging: ~300 tonnes

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

In FY 2025-26, the Company sustainably managed ~72,500 tonnes of plastic waste in line with its extended producer responsibility under Plastic Waste Management Rules, 2016 (as amended).

	FY 2025-26* (Current Financial Year)			FY 2024-25* (Previous Financial Year)		
	Re-used	Recycled	Safely Disposed	Re-used	Recycled	Safely Disposed
Plastics (including packaging)	-	~31,200 tonnes	~41,300 tonnes	-	~26,600 tonnes	~37,900 tonnes
E-waste	NA	NA	NA	NA	NA	NA
Hazardous waste	NA	NA	NA	NA	NA	NA
Other waste	NA	NA	NA	NA	NA	NA

NA: Not Applicable

** The Company has aligned its plastic neutrality commitment with achievement of 100% collection targets in line with its extended producer responsibility (EPR) under Plastic Waste Management Rules, 2016.*

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Indicate Product Category	Reclaimed Products And Their Packaging Materials As % Of Total Products Sold In Respective Category
Plastic Packaging	100%

As ITC's products are consumables, data presented above pertains to plastic packaging which is managed in line with Company's extended producer responsibility under Plastic Waste Management Rules, 2016.

Principle 3

Businesses should respect and promote the well-being of all employees, including those in their value chains

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	Total (A)	% Of Employees Covered By									
		Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits*		Day Care Facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent Employees											
Male	9,362	9,362	100%	9,362	100%	NA	NA	9,362	100%	-	-
Female	2,080	2,080	100%	2,080	100%	2,080	100%	NA	NA	2,080	100%
Total	**11,442**	**11,442**	**100%**	**11,442**	**100%**	**2,080**	**100%**	**9,362**	**100%**	**2,080**	**100%**
Other Than Permanent Employees											
Male	440	296	67%	292	66%	NA	NA	NA	NA	-	-
Female	196	113	58%	99	51%	196	100%	NA	NA	196	100%
Total	**636**	**409**	**64%**	**391**	**61%**	**196**	**100%**	**NA**	**NA**	**196**	**100%**

Note: Refer employee clustering note under 20a (Under Section A) for definitions.

**The Company offers paternity leave to all eligible male employees in managerial cadre.*

b. Details of measures for the well-being of workers:

Category	% Of Workers Covered By										
	Total (A)	Health Insurance		Accident Insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent Workers											
Male	10,368	10,368	100%	10,368	100%	NA	NA	NA	NA	-	-
Female	683	683	100%	683	100%	683	100%	NA	NA	683	100%
Total	**11,051**	**11,051**	**100%**	**11,051**	**100%**	**683**	**100%**	**NA**	**NA**	**683**	**100%**
Other than Permanent Workers											
Male	21,203	21,203	100%	21,203	100%	NA	NA	NA	NA	-	-
Female	4,305	4,305	100%	4,305	100%	4,305	100%	NA	NA	4,305	100%
Total	**25,508**	**25,508**	**100%**	**25,508**	**100%**	**4,305**	**100%**	**NA**	**NA**	**4,305**	**100%**

Note: Refer employee clustering note under 20a (Under Section A) for definitions.

c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format-

	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)
Cost incurred* on well-being measures as a % of total revenue of the company	0.2%	0.2%

Note: Refer employee clustering note under 20a (Under Section A) for definitions.

**Following costs are considered: Health and Accident insurance, maternity and paternity benefits, day care facility costs, and other staff welfare expenses. Accordingly, the previous year's number has been restated to ensure comparability.*

Reporting for permanent employees and workers of the Company. The other than permanent employees and workers include those deployed through third-party contractors and their wages including well-being measures are provided by the third-party contractors.

2. Details of Retirement Benefits, for Current FY and Previous Financial Year.

Benefits	FY 2025-26 (Current Financial Year)			FY 2024-25 (Previous Financial Year)		
	No. Of Employees Covered As A % Of Total Employees	No. Of Workers Covered As A % Of Total Workers	Deducted And Deposited With The Authority (Y/N/N.A.)	No. Of Employees Covered As A % Of Total Employees	No. Of Workers Covered As A % Of Total Workers	Deducted And Deposited With The Authority (Y/N/N.A.)
PF	100%	100%	Y	100%	100%	Y
Gratuity	100%	100%	Y	100%	100%	Y
ESI	2%	17%	Y	2%	17%	Y
Others, please specify	NA	NA	NA	NA	NA	NA

Note: Refer employee clustering note under 20a (Under Section A) for definitions.

All eligible employees and workers are covered under ESI

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently-abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

ITC's establishments are accessible to the differently abled, and we are continuously working towards improving infrastructure for eliminating barriers to accessibility.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Yes, the Company has a Policy on Diversity, Equity and Inclusion which clearly articulates its emphasis on Equal Opportunity. The said Policy clearly states ITC's commitment towards providing equal opportunity. It also emphasizes the Company's Zero Tolerance Policy on discrimination, inter alia, on the grounds of disability. The aforesaid Policy can be accessed at https://itcportal.com/content/dam/itc-corporate/pdfs/policy/policy-on-diversity-equity-and-inclusion.pdf

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

	Permanent Employees		Permanent Workers	
Gender	**Return To Work Rate**	**Retention Rate**	**Return To Work Rate**	**Retention Rate**
Male	100%	86%	NA	NA
Female	98%	84%	97%	88%
Total	**100%**	**86%**	**97%**	**88%**

Note: Refer employee clustering note under 20a (Under Section A) for definitions.

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Workers	Yes, ITC's Grievance Redressal Procedure is available to employees and workers. The objective of the policy is to facilitate open and structured discussion on employees' work-related grievances with the intent of ensuring that the grievance is dealt with in a fair and just manner whilst being in compliance with the Company's policies. ITC's open-door practices encourage amicable and fair resolution of grievances. Employees are encouraged to first discuss the grievance with their immediate reporting authority, and attempt to arrive at a resolution before invoking a formal grievance redressal mechanism. In Unionised Units, grievances of workers are also taken up for discussion by Union Office Bearers and resolved through dialogue with human resources managers and other designated managers. Units also have Committees with joint representation of workers and managers, which address grievances raised by one or more workers. In addition, many Units have forums where workers interact with the Unit leadership team in small groups and share any suggestions or grievances they may have, for resolution.
Other than Permanent Workers	The Whistleblower Policy of the Company encourages all employees to bring to the Company's attention, instances of illegal or unethical conduct, actual or suspected incidents of fraud, actions that affect the financial integrity of the Company, or actual or suspected instances of leak of unpublished price sensitive information that could adversely impact the Company's operations, business performance and/or reputation. In terms of the said Policy, the Company investigates such incidents, when reported, in an impartial manner and takes appropriate action to ensure that the requisite standards of professional and ethical conduct are always upheld. This Policy can be accessed on the Company's corporate website at https://itcportal.com/about-itc/itc-policies/whistleblower-policy.html
Permanent Employees	Same as stated for Permanent Workers.
Other than Permanent Employees	Same as stated for Other than Permanent Workers.

7. Membership of employees and workers in association(s) or Unions recognised by the listed entity:

Category	FY 2025-26 (Current Financial Year)			FY 2024-25 (Previous Financial Year)		
	Total Employees/ Workers In Respective Category (A)	No. Of Employees/ Workers In Respective Category, Who Are Part Of Association(s) Or Union (B)	% (B/A)	Total Employees/ Workers In Respective Category (C)	No. Of Employees/ Workers In Respective Category, Who Are Part Of Association(s) Or Union (D)	% (D/C)
Total Permanent Employees	11,442	0	0%	11,166	0	0%
- Male	9,362	0	0%	9,234	0	0%
- Female	2,080	0	0%	1,932	0	0%
Total Permanent Workers	11,051	9,460	86%	10,875	9,348	86%
- Male	10,368	9,350	90%	10,197	9,250	91%
- Female	683	110	16%*	678	98	14%*

ITC's Freedom of Association Policy is applicable to 100% of its employees and workers.

The Policy on Freedom of Association is available on ITC Portal:

https://itcportal.com/content/dam/itc-corporate/pdfs/policy/policy-on-freedom-of-association.pdf

**A vast majority of women workers are based in manufacturing Units which currently do not have union representation. These are Units that were commissioned in the recent past. ITC believes that all employees are important stakeholders in the enterprise, and it is imperative to build a culture of mutual trust and respect, interdependence, and meaningful engagement. This approach helps in building, strengthening and sustaining harmonious employee relations across the organisation.*

8. Details of training given to employees and workers:

Category	FY 2025-26 (Current Financial Year)					FY 2024-25 (Previous Financial Year)				
	Total (A)	On Health And Safety Measures		On Skill Upgradation		Total (D)	On Health And Safety Measures		On Skill Upgradation	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Male	9,362	6,541	70%	5,941	63%	9,234	3,703	40%	6,870	74%
Female	2,080	1,198	58%	1,061	51%	1,932	630	33%	1,467	76%
Total	**11,442**	**7,739**	**68%**	**7,002**	**61%**	**11,166**	**4,333**	**39%**	**8,337**	**75%**
Workers										
Male	10,368	8,279	80%	4,363	42%	10,197	6,015	59%	4,893	48%
Female	683	615	90%	373	55%	678	636	94%	286	42%
Total	**11,051**	**8,894**	**80%**	**4,736**	**43%**	**10,875**	**6,651**	**61%**	**5,179**	**48%**

Note: The above includes formal Induction training upon joining and refresher trainings (Once in 3 years). Other forms of EHS trainings on the job, like safety briefings, tool box talks, drills etc. which would have covered most of the employees and workers have not been included.

9. Details of Performance and Career Development Reviews of Employees and Workers.

Category	FY 2025-26			FY 2024-25		
	Current Financial Year			Previous Financial Year		
	Total (A)	No. (B)	% (B/A)	Total (C)	No. (D)	% (D/C)
Employees						
Male	9,362	9,362	100%	9,234	9,234	100%
Female	2,080	2,080	100%	1,932	1,932	100%
Total	**11,442**	**11,442**	**100%**	**11,166**	**11,166**	**100%**
Workers						
Male	10,368	8,214	79%	10,197	7,863	77%
Female	683	668	98%	678	665	98%
Total	**11,051**	**8,882**	**80%**	**10,875**	**8,528**	**78%**

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage of such system?

Yes, ITC has implemented occupational health and safety management system in all its Factories, Offices and Warehouses. ITC endeavours that Environment, Health & Safety (EHS) standards at all its Units are ahead of applicable legislation and regulations, Standards and Codes, and are benchmarked against international best practices across sectors in which it operates. ITC's approach to occupational health & safety standards is articulated in the Board-approved Environment, Health and Safety Policy. It is based on an EHS management system that emphasises on enhancing EHS performance by setting objectives and targets and continually monitoring key performance indicators.

Further, the Company promotes a culture of safety through behaviour change programmes and by providing appropriate training to employees as well as workers engaged through third-party contractors, while continually investing in state-of-the-art technology and in developing human capital.

EHS requirements are integrated at the design stage for all new investments. Compliance with EHS standards during the construction phase as well as in operation phase of ITC Units, Warehouses and Offices is ensured by implementing EHS management systems with designated roles and responsibilities for competent resources.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

ITC has identified the EHS Risk Management framework as one of the integral steps towards building a robust safety management system in all its factories, offices and warehouses. This framework entails a set of processes for continual risk identification, assessment and mitigation, with active participation of the workforce in each of its facilities. Shop floor processes in this regard include hazard spotting tours, suggestion schemes, daily briefings and periodic EHS Committee meetings in which employees/ workers participate. In addition, all ITC Units undergo periodic Environment, Health & Safety audits at the Business as well as Corporate level which endeavours to identify additional latent risks besides verifying compliance with standards. Several national awards and certifications acknowledge ITC's commitment and efforts towards providing a safe and healthy workplace to all.

c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Y/N)

Yes. A system is in place across ITC Factories and Offices for workers to spot and report work-related hazards and offer suggestions for improvements. This is further enabled through digitisation, enhancing worker participation.

Necessary training is given to all employees/ workers in recognising hazards and issues. Joint inspections by management representatives and employees/ workers on the shop floor are also carried out at regular intervals, and respective corrective and preventive measures are undertaken to mitigate the identified risks. In order to create an open and transparent safety culture across ITC Units, employees/ workers are encouraged to participate and discuss safety related issues in forums like periodic EHS Committee meetings and Departmental Open Forums.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/No)

Yes, permanent employees and their family members have access to the Company provided or Company supported medical benefits. Workers have access to medical benefits through Company provided group insurance policies (where applicable), Company funded medical support (where applicable) and statutory benefits under the Employees' State Insurance (where applicable).

11. Details of safety related incidents, in the following format:

Safety Incident/Number ^	Category*	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0.02	0.04
	Workers	0.06	0.16
Total recordable work-related injuries	Employees	1	2
	Workers	4	11
No. of fatalities	Employees	0	0
	Workers	1	2
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers	0	0

**Including injuries in contract workforce*

^On-site accidents (On-site refers to place of work i.e., factory, office etc. which are under direct operational control of ITC.)

12. Describe the measures taken by the entity to ensure a safe and healthy work place.

In line with the Company's Environment, Health and Safety Policy, safety as a value-led concept has been institutionalised by inculcating a sense of ownership at all levels and driving behavioural change, leading to the creation of a cohesive safety culture. ITC has put in place comprehensive health and safety protocols for the safety and well-being of its stakeholders. ITC endeavours that EHS standards at all its Units are ahead of applicable legislations, regulations, and Standards and Codes, and are benchmarked against international best practices across the diverse sectors in which it operates.

ITC continues to strengthen its safety processes, adopting globally recognised best practices, and ensuring that facilities are designed, constructed, operated and maintained in an inherently safe manner. ITC continuously undertakes efforts for creating a safe working environment and a strong safety culture by:

- Integrating safety at the design stage itself and ensuring it through design reviews, stage inspections and pre-commissioning audits, thereby strengthening the engineering control measures through 'design for safety' principles.
- Conducting pre-commissioning and periodic operational audits during construction and operational stages respectively.
- Implementing behaviour-based safety initiatives to facilitate engagement for collaborative work on improving safety performances.
- Adoption of keystone behaviours by individual Units to demonstrate collective commitment and create a shared vision of safety and discipline.
- Embracing and leveraging the digital landscape for safety management system.
- Identifying solutions for strengthening the safety culture aligned with the goal of 'Zero Accidents'.

13. Number of Complaints on the following made by employees and workers.

Employees are encouraged to report work area related safety issues through various programmes like hazard identification processes, suggestion schemes and EHS Committees.

	FY 2025-26 (Current Financial Year)			FY 2024-25 (Previous Financial Year)		
	Filed During The Year	Pending Resolution At The End Of Year	Remarks	Filed During The Year	Pending Resolution At The End Of Year	Remarks
Working Conditions	0	0	-	0	0	-
Health & Safety	0	0	-	0	0	-

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%
Working Conditions	100%

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

Internal audits of ITC Units at Divisional as well as corporate level are being conducted on a periodic basis. Corrective and preventive measures are taken based on the findings. Detailed investigations are carried out for all accidents to identify the root causes and to understand the measures required to prevent recurrence. Accident investigation findings with corrective and preventive measures form part of the report presented to the Corporate Management Committee (monthly) and the Board of Directors (quarterly). The learnings from all accidents are disseminated across the organisation at periodic intervals and a formal compliance obtained.

Leadership Indicators

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

Yes. In the unfortunate event of the death of an employee/worker, the Company extends financial support to family members of the employee/worker.

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

The Company endeavours to ensure that statutory dues as payable by contractors for their employees are deposited on time and in full through periodic audits and controls.

3. Provide the number of employees / workers having suffered high consequence work-related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment.

	Total No. Of Affected Employees/ Workers		No. Of Employees/Workers That Are Rehabilitated And Placed In Suitable Employment Or Whose Family Members Have Been Placed In Suitable Employment*	
	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)
Employees	0	0	0	0
Workers	1	2	1	2

**On-site Accidents*

4. Does the entity provide transition assistance programmes to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)

ITC continually invests in human capital development which includes building skills and capabilities that are contemporary while providing employees with a diversity of experiences. These enhance the employability of the workforce and enable a smooth transition to alternate opportunities where sought. The Company has in place a programme called 'Making New Choices' for retiring staff. In addition, the Company provides pension benefits and post-retiral medical benefits for those members of staff who qualify. Workers are provided with pension benefits, as per requirements of the relevant statute.

5. Details on assessment of value chain partners:

ITC's Policy on Sustainable Supply Chain and Responsible Sourcing ensures integration of sustainability in its supply chains. ITC's suppliers /value chain partners are expected to adopt the principles enumerated in ITC's Code of Conduct for Suppliers and Service Providers. ITC reserves the right to verify compliance with the Code of Conduct for Suppliers and Service Providers at any time through appropriate audit and assessment mechanisms, including self-certification.

Health and safety audits conducted at ITC's own manufacturing sites cover all contract workers within ITC's operational premises. Additionally, ITC conducts third-party desktop assessment of its Critical Tier- 1* suppliers which includes key aspects on Occupational Health and Safety, amongst other assessment criteria.

**All ITC Businesses have identified Critical Tier-1 suppliers based on aspects like buy value, ESG risk exposure and importance to business continuity, among others. ITC's Sustainable Supply Chain Programme is focussed on working closely with the set of identified critical suppliers.*

% Of Value Chain Partners* (By Value Of Business Done With Such Partners) That Were Assessed	
Health and safety practices	• 13% (by spend value)# Additionally, in last 3 years, more than 95% Critical Tier-1 suppliers have been assessed as part of ITC's Sustainable Supply Chain initiative.
Working Conditions	

 # Spend value is estimated based on FY 2024-25 procurement spend data from domestic suppliers.

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.

ITC conducts periodic audit of its critical value chain partners and corrective/preventive measures are recommended based on the audit findings. Some of the corrective actions include imparting EHS trainings and introducing health check-ups for employees of key value chain partners.

Principle 4

Businesses should respect the interests of and be responsive to all its stakeholders

Essential Indicators

1. Describe the processes for identifying key stakeholder groups of the entity.

In line with the Board approved Policy on Stakeholder Engagement, ITC has evolved a structured framework for identifying and engaging with its key stakeholders across the value chain. ITC's engagement approach is anchored on the principles of materiality, completeness and responsiveness.

ITC's stakeholder engagement approach is based on the following four key pillars

- Identify: Identification of key stakeholders who are directly/indirectly impacted by business activities as well as directly/ indirectly influence business activities.
- Engage: Consultation with key stakeholders with due weightage given to each stakeholder based on the nature of engagement with the organisation.
- Prioritise: Identification and prioritisation of concerns and needs.
- Address: Addressing the prioritised concerns and needs in a consistent and transparent manner.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether Identified As Vulnerable & Marginalized Group (Yes/No)	Channels Of Communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency Of Engagement (Annually/Half Yearly/Quarterly/ Others – Please Specify)	Purpose And Scope Of Engagement Including Key Topics And Concerns Raised During Such Engagement
Providers of financial capital	No	*Details of consultation mechanisms and key issues discussed with the stakeholder groups have been disclosed annually in the 'Strengthening Relationships with All Stakeholders' section of ITC's Sustainability Report.*		
Government and regulatory authorities	No			
Customers	No			
Employees	No			
Farmers	Yes			
Value chain partners	No			
Media	No			
Civil Society	No			
Local communities	Yes			

Leadership Indicators

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

ITC believes that an effective stakeholder engagement process is necessary for achieving its sustainability goal of inclusive growth. In this context, the Company has laid down a four layered mechanism to deal with the aspect of stakeholder engagement.

The Board, through the CSR and Sustainability Committee, inter alia, reviews, monitors and provides strategic direction to the Company's CSR and sustainability practices towards fulfilling its Triple Bottom Line objectives. Half-yearly reports on the progress made by the Company in this regard are placed by the CMC before the CSR and Sustainability Committee. The CMC in turn has constituted the Sustainability Compliance Review Committee, comprising senior and other members of management, to evaluate and monitor compliance with the Policies formulated in this connection. The SCRC places a quarterly report on the subject before the CMC.

The Company has a practice of periodically assessing employee engagement through a Company-wide survey. Since 2016, the Company has made concerted efforts to assess and improve engagement. The impact is visible in the consistent improvement of engagement scores over the years.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Yes, the Company believes that an effective stakeholder engagement process is necessary for achieving its sustainability goal of inclusive growth. Accordingly, the Company anchors stakeholder engagement on the following principles:

a) Materiality – Prioritised consideration of the economic, environmental and social impacts identified to be important to the stakeholders as well as the organisation.

b) Completeness – Understanding key concerns of stakeholders and their expectations.

c) Responsiveness – Responding coherently and transparently to such issues and concerns. The Company has put in place systems and procedures to identify, prioritise and address the needs and concerns of its stakeholders across Businesses and Units in a continuous, consistent and systematic manner. It has implemented mechanisms to facilitate effective dialogues with all stakeholders across Businesses, identify material concerns and their resolution in an equitable and transparent manner. These measures have helped the Company develop strong relationships, which have stood the test of time. Select examples of how stakeholder inputs have been incorporated into ITC's policies and activities are presented below:

a) Investors: The Company engages extensively with the investor ecosystem i.e., analysts representing institutional equity investors, fund/portfolio managers in top FIIs, Domestic Mutual Funds (MFs), Foreign Portfolio Investors (FPIs), Private Insurance Companies etc. The Company sustained the intensity of interaction with analysts/fund managers of FPIs, Domestic MFs, Insurance cos. etc. during the year leveraging both physical and virtual meeting platforms. The Company also engaged with investors with specific focus on ESG, and investor presentations on other major events such as acquisitions by the Company are made available in the public domain, through the websites of the Company and the Stock Exchanges. The Company continues to communicate quarterly performance takeaways through press releases and detailed Investor presentations along with providing clarifications to analysts and others on such financial results. Key highlights of quarterly performance are also shared with the shareholders by e-mail. The 'Investor Relations' section of the Company's website is also updated on an ongoing basis.

b) Customers & Value Chain Partners: Customers, Consumers and Value Chain Partners are some of ITC's core stakeholders. Various tech-enabled avenues have been deployed to consistently receive feedback, ideas and concerns, and to respond in a timely and effective manner.

The team continues to place customer centricity at the core, while equitably addressing the expectations and experiences of all key stakeholders. Standard Operating Procedures (SOPs) and policies are designed and implemented through a balanced stakeholder lens, resulting in improved customer and employee experiences and strengthened accountability across the organisation.

Rapidly evolving consumer needs are continuously monitored through social listening, in-depth immersions, and structured feedback mechanisms. The insights generated are synthesised and translated into actionable improvements across products, services, processes, and policies.

c) Community: Presented ahead are some of the instances where inputs received from stakeholders were incorporated into interventions.

The Social Investments team undertakes a comprehensive **Core Area Perspective Plan (CAPP)** every five years across ITC's catchments to understand community needs and design contextually relevant interventions. The CAPP process uses a combination

of Participatory Rural Appraisal (PRA), Focus Group Discussions (conducted separately with men, women, and vulnerable groups), key informant interviews, and household surveys to identify and prioritise intervention areas. CAPP 1.0 was first conducted in FY 2015–16, followed by CAPP 2.0 in FY 2021–22, covering 21 factories and 7 agri locations.

Beyond the five-yearly CAPP, annual sample household surveys are conducted to reaffirm the continued relevance of identified needs and to factor in any operational refinements required for future plans. In FY 2025–26, over 9,000 households across multiple States were surveyed using a statistically validated sampling methodology. A mixed-method approach was adopted, with quantitative data collected through structured household questionnaires and qualitative insights gathered through PRAs and FGDs involving Gram Panchayat members, community participants, women, and marginalised groups.

Forming large-scale, long-term partnerships with Government to amplify reach and scale is a core tenet of SIP's implementation approach. These partnerships help ensure effective last-mile delivery of Government programmes while incorporating community perspectives emerging from consultations and interactions. During the year, new public–private partnerships (PPPs) were initiated, drawing on learnings from earlier partnership phases and insights into evolving contexts identified through extensive stakeholder consultations.

One such example is the Phase II expansion of ITC's partnership with the Directorate of Women and Child Development, Government of Assam, which builds on Phase I interventions across eight districts (including seven Aspirational Districts) focused on strengthening Maternal, Child Health and Nutrition (MCHN). Phase II extends coverage to 11 districts and integrates early childhood stimulation and education, including responsive caregiving, play-based learning at Anganwadi Centres, caregiver counselling, and capacity building of frontline resources.

Another example is the expansion of the ITC Swaasth Kiran Mobile Medical Unit initiative in Kamrup Rural district of Assam, addressing access gaps in primary healthcare for geographically dispersed and remote communities as highlighted by the local administration and shared by the community. The outreach-based programme brings healthcare services closer to households, reduces out-of-pocket expenditure, supports early detection and management of illnesses, and complements the public health system by improving coverage, equity, and responsiveness.

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.

ITC's Social Investments Programme (SIP) adopts a bottom-up approach to respond to evolving community needs by strengthening and scaling existing programmes, piloting and refining new solutions, and leveraging partnerships to amplify impact. This adaptive approach enables SIP to modify ongoing interventions or introduce new ones based on grounded feedback and contextual shifts.

- In India, rising prices and uncertain availability of chemical fertilisers such as urea, DAP and potash have increased cost pressures and planning risks for farmers, particularly during peak sowing periods. Farmers articulated the need for solutions that could reduce fertiliser intensity without compromising productivity. In response, ITC partnered with the Indian Council of Agricultural Research – National Bureau of Agricultural Inputs and Microbial Resources (ICAR–NBAIM) to pilot a bio inoculum-based nutrient optimisation solution. These science-based microbial formulations enhance nutrient availability, improve soil biological activity and increase nutrient use efficiency, while complementing existing fertiliser practices to enable easy adoption. Following prototype testing, the pilot was implemented across 13,089 acres (15,789 cumulatively) in six states, covering multiple crops and agro-climatic regions. Farmers integrated bio inoculum alongside recommended fertiliser doses and achieved a reduction in chemical fertiliser use and input costs, with no adverse impact on crop productivity. These outcomes strengthened farmer confidence in biological inputs, and ITC plans to scale up the approach to support more sustainable and resilient agriculture systems.

- High dropout rates among girls at the secondary level continue to pose a major challenge, driven by domestic responsibilities, early marriage and financial constraints. To address this, and in alignment with NEP goals, ITC initiated an education intervention for Secondary and Higher Secondary grades in FY 2023–24 across Munger (Bihar), Pudukkottai (Tamil Nadu) and Kolkata (West Bengal). In Munger, Project Pragati addresses high adolescent NEET levels and low secondary school transitions by enabling out-of-school girls from low-income households to complete Class 10 through the Bihar Board of Open Schooling and Examination. Of the 286 girls who appeared for the examinations, 119 (including 55 married girls) cleared them in the first attempt.

- In Saharanpur, Uttar Pradesh, despite relatively high urban female literacy (69.12%), women's workforce participation is low at 7.52%, particularly in the male-dominated woodcraft sector. Addressing this gap, SIP has designed a women-centric urban livelihoods programme focused on entrepreneurship and resilience. Through a structured two-year laddered pathway—Akankshi, Lakhpati, Udhyami and Pragatisheel—the programme supports 1,227 women, with over 700 already emerging as Lakhpati Didis, supported by training, mentorship and market linkages, including digital.

Principle 5

Businesses should respect and promote human rights

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	FY 2025-26 (Current Financial Year)			FY 2024-25 (Previous Financial Year)		
	Total (A)	No. Of Employees/ Workers Covered (B)	% (B/A)	Total (C)	No. Of Employees/ Workers Covered (D)	% (D/C)
Employees						
Permanent	11,442	11,442	100%	11,166	11,166	100%
Other than permanent	636	636	100%	525	525	100%
Total Employees	**12,078**	**12,078**	**100%**	**11,691**	**11,691**	**100%**
Workers						
Permanent	11,051	11,051	100%	10,875	10,875	100%
Other than permanent	25,508	25,508	100%	24,792	24,792	100%
Total Workers	**36,559**	**36,559**	**100%**	**35,667**	**35,667**	**100%**

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY 2025-26 (Current Financial Year)					FY 2024-25 (Previous Financial Year)				
	Total (A)	Equal to Minimum Wage		More Than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Permanent	**11,442**	**0**	**0%**	**11,442**	**100%**	**11,166**	**0**	**0%**	**11,166**	**100%**
Male	9,362	0	0%	9,362	100%	9,234	0	0%	9,234	100%
Female	2,080	0	0%	2,080	100%	1,932	0	0%	1,932	100%
Other than Permanent	**636**	**0**	**0%**	**636**	**100%**	**525**	**0**	**0%**	**525**	**100%**
Male	440	0	0%	440	100%	369	0	0%	369	100%
Female	196	0	0%	196	100%	156	0	0%	156	100%
Workers										
Permanent	**11,051**	**305**	**3%**	**10,746**	**97%**	**10,875**	**295**	**3%**	**10,580**	**97%**
Male	10,368	91	1%	10,277	99%	10,197	61	1%	10,136	99%
Female	683	214	31%	469	69%	678	234	35%	444	65%
Other than Permanent	**25,508**	**8,527**	**33%**	**16,981**	**67%**	**24,792**	**9,014**	**36%**	**15,778**	**64%**
Male	21,203	5,951	28%	15,252	72%	20,690	6,477	31%	14,213	69%
Female	4,305	2,576	60%	1,729	40%	4,102	2,537	62%	1,565	38%

Note: Refer employee clustering note under 20a (Under Section A) for definitions.

3. Details of remuneration/salary/wages

a. Median remuneration / wages:

	Male		Female	
	Number	Median Remuneration/ Salary/Wages Of Respective Category (In INR)	Number	Median Remuneration/ Salary/Wages Of Respective Category (In INR)
Board of Directors (BoD)	14	1,18,15,000	3	1,16,69,863
Key Managerial Personnel*	5	10,53,61,421	-	-
Employees other than BoD and KMP	9,357	11,35,490	2,080	9,46,718
Workers	10,368	5,30,593	683	2,25,424#

Note: Data reported for permanent employees and workers as on the last date of the reporting period.

**Comprising Chairman & Managing Director, Wholetime Directors and Company Secretary*

#The majority of female workers are employed in new manufacturing Units. Since a significant majority of these recruits are new entrants, the median remuneration appears lower.

b. Gross wages paid to females as % of total wages paid by the entity, in the following format:

	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)
Gross wages paid to females as % of total wages paid	11%	10%

Note: Pertains to permanent employees and workers of the Company.
Total wages represent the aggregate wages disbursed to all permanent employees and workers during the reporting period, including individuals employed for only part of the year.

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No).

ITC has a long-standing commitment to human rights and it is reflected in its Code of Conduct. The Company has policies on human rights which are applicable to its employees, suppliers and service providers. The Company continues to work towards strengthening and introducing systems to ensure sound implementation of ITC's policies on human rights and decent workplace. All ITC contracts for construction of factories and property upgrades incorporate the environment, health, safety and human rights clauses, including workplace environment.

Human Rights related policies of the Company are available on the ITC Portal. These include ITC Code of Conduct, Policy on Freedom of Association, Policy on Prohibition of Child Labour and Prevention of Forced Labour at the Workplace, and Policy on Diversity, Equity & Inclusion. The implementation of these Policies is ensured by Divisional/SBU Chief Executives, through members of the respective Management Committees of the respective Businesses.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

ITC's open-door practices encourage amicable resolution of grievances. Employees are encouraged to first discuss the grievance with their immediate reporting authority and attempt to arrive at a resolution. If grievances persist, employees can fill up the Grievance Redressal Form and submit to the HR Manager concerned. The process of registering a grievance is by filling up a grievance form and submitting it to the HR Manager concerned which is then evaluated and analysed and a resolution is arrived and communicated to the employee. The grievance redressal guidelines and necessary forms are available on the Company intranet where employees can access the same directly. The ITC Whistleblower Policy (the Policy) encourages Directors and employees of the Company to promptly bring to the Company's attention, instances of illegal or unethical conduct, actual or suspected incidents of fraud, actions that affect the financial integrity of the Company, or actual or suspected instances of leak of unpublished price sensitive information, that could adversely impact the Company's operations, business performance and/or reputation. The Company investigates such reported incidents in an impartial manner and takes appropriate action to ensure that the requisite standards of professional and ethical conduct are always upheld. The Policy is available at https://itcportal.com/about-itc/itc-policies/whistleblower-policy.html

6. Number of Complaints on the following made by employees and workers:

	FY 2025-26 (Current Financial Year)			FY 2024-25 (Previous Financial Year)		
	Filed During The Year	Pending Resolution At The End Of Year	Remarks	Filed During The Year	Pending Resolution At The End Of Year	Remarks
Sexual Harassment	5	0	-	4	1	-
Discrimination at workplace	0	0	-	0	0	-
Child Labour	0	0	-	0	0	-
Forced Labour/ Involuntary Labour	0	0	-	0	0	-
Wages	0	0	-	0	0	-
Other Human Rights Related Issues	0	0	-	0	0	-

Note: ITC has a zero-tolerance approach to any behaviour that constitutes sexual harassment. There are Internal Complaints Committees to examine and investigate any complaints.
For further details, refer to Principle 5, Essential Indicator - Question 7

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	5	5
Complaints on POSH as a % of female employees / workers	0.07%	0.08%
Complaints on POSH upheld	5	4

Note: Pertains to permanent and other than permanent employees and workers of the Company.

The approach has been revised to include both permanent and other than permanent employees and workers of the Company. Accordingly, the previous year's figures have been restated. This revision does not affect the number of cases reported for the prior year.

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

ITC is committed to a workplace free from harassment, including sexual harassment at the workplace, and has zero tolerance for such unacceptable conduct. ITC encourages reporting of any harassment concerns and is responsive to complaints about harassment or other unwelcome or offensive conduct. As part of the Policy, the complainant will not suffer any harassment, retaliation or adverse employment condition upon this reporting. All employees are made aware of this Policy through regular training and awareness on the subject and confidentiality clauses are clearly stated. Committees have been constituted across locations to enquire into complaints of sexual harassment and to recommend appropriate action, wherever required.

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes, contract manufacturing agreements provide for compliance with accepted standards on issues related to EHS, human rights and labour practices. Additionally, ITC has a 'Code of Conduct for Suppliers and Service Providers'. This Code requires that Suppliers and Service Providers and their facilities comply with applicable laws, environmental regulations, respect human rights including minimum wages, occupational health and safety, as required by applicable laws and meet the requirements of this Code. ITC also expects that Suppliers and Service Providers will hold their business associates to the same standards as contained in this Code.

10. Assessments for the year:

	% Of Your Plants And Offices That Were Assessed (By Entity Or Statutory Authorities Or Third Parties)
Child labour	100%
Forced/involuntary labour	100%
Sexual Harassment	100%
Discrimination at workplace	100%
Wages	100%
Others-please specify	-

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.

Please refer response to Question 1 of Principle 5 under leadership indicators.

Leadership Indicators

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/complaints.

ITC's Code of Conduct for its employees as well as Suppliers and Service Providers, are adopted by the Board. The Code covers ITC's commitment to human rights aspects like self-respect and human dignity, child labour, gender friendly workplace, relationships with suppliers and customers, health & safety, environment, transparency, anti-bribery and corruption, and exemplary personal conduct. ITC constantly engages with the rightsholders and stakeholders across the supply chain for devising programmes that support Human Rights and Social Development in an integrated manner.

ITC facilitates structured human rights due diligence with an independent party across its leaf tobacco supply chain to identify, assess and address potential and actual impacts on farmers, workers and communities. This process is supported by field level monitoring, stakeholder engagement, timely corrective actions, and targeted interventions on human rights awareness, farm safety and responsible agricultural practices. Digital systems and structured monitoring mechanisms further strengthen traceability, transparency and governance of human and labour rights compliance across the value chain. As part of this framework, ITC works with farmers to implement internationally recognised sustainability standards, including the Sustainable Tobacco Programme (STP 2.0) and compliance with the Agricultural Labour Practices (ALP) Code. Sustainable Tobacco Programme 2.0 is an industry initiative to enhance agricultural supply chain due diligence and accelerate positive impacts on environmental, social and governance elements. The programme focuses on 8 themes demanding leaf suppliers' commitment on – Water, Human Rights, Crop, Soil, Climate Change, Natural Habitats, Livelihoods and Governance.

Based on the outcomes of human rights assessments and ongoing monitoring, key process enhancements undertaken during the year include:

- **Training and Awareness on Human Rights:** Human rights, farm safety and responsible agricultural practices were strengthened through field-level engagement across tobacco procurement villages, covering subjects such as Farm Safety, Child Labour, Wages, Fair Treatment, Freedom of Association, Water, Sanitation and Hygiene (WASH), No Discrimination and other areas pertaining to Human Rights.
- **Farm Safety:** ITC undertakes a holistic approach that address the farm safety challenges in farming. During the year, personal protective equipment was provided to 24,382 farmers and secured crop protection agent (CPA) storage boxes to 5,442 farmers. Safe collection and disposal of empty CPA containers was facilitated across approximately 16,000 farmers. Drone-based spraying was further scaled up to over 42,500 acres, reducing human exposure, besides increasing the efficacy of operation and supporting improved farm safety outcomes.
- **Digitalisation of Human Rights Compliance:** In FY 2025–26, ITC introduced a Digital End-to-End Human Rights Compliance Tracking System (DECTS) for its Non-Flue Cured Virginia (NFCV) tobacco value chain. The system replaced fragmented manual and digital processes and enables real-time monitoring, digital tagging and risk-based governance of human and labour rights and farm safety parameters across the farm-to-factory continuum. Integrated with ITCMAARS, SAP and UMANG platforms, DECTS supports dashboards, alerts and traceability controls to ensure that only fully compliant tobacco proceeds for processing, covering over 28,000 farmers.

2. Details of the scope and coverage of any Human rights due-diligence conducted.

The scope and coverage of Human Rights Due Diligence extends to own operations (including manufacturing locations and offices) and key value chain partners.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

ITC's establishments are accessible to the differently abled, and we are continuously working towards improving infrastructure for eliminating barriers to accessibility.

4. Details on assessment of value chain partners:

ITC's Policy on Sustainable Supply Chain and Responsible Sourcing ensures integration of sustainability in its supply chains. ITC's suppliers /value-chain partners are expected to adopt the principles enumerated in ITC's Code of Conduct for Suppliers and Service Providers. ITC reserves the right to verify compliance with the Code of Conduct for Suppliers and Service Providers at any time through appropriate audit and assessment mechanisms, including self-certification.

ITC periodically coordinates third-party Human Rights impact assessment for the tobacco farm supply chain. Additionally, ITC conducts third-party desktop assessment of its Critical Tier- 1* suppliers which includes key aspects on Human Rights, Labour Rights and Occupational Health and Safety, amongst other assessment criteria.

For more details, refer to response Question 1 (Principle 5) under leadership indicators.

	% Of Value Chain Partners* (By Value Of Business Done With Such Partners) That Were Assessed
Sexual Harassment	• 13% (by spend value)# Additionally, in last 3 years, more than 95% Critical Tier-1 suppliers have been assessed as part of ITC's Sustainable Supply Chain initiative.
Discrimination at workplace	
Child Labour	
Forced Labour/Involuntary Labour	
Wages	
Others – please specify	

**All ITC Businesses have identified Critical Tier-1 suppliers based on aspects like buy value, ESG risk exposure and importance to business continuity, among others. ITC's Sustainable Supply Chain Programme is focussed on working closely with the set of identified critical suppliers.*
#Spend value is estimated based on FY 2024-25 procurement spend data from domestic suppliers.

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

Third-party assessments are undertaken for key suppliers, with findings used to identify nonconformities and improvement areas. Suppliers scoring below a pre-defined threshold are required to implement corrective and preventive action plans, supported by ITC. Follow up assessments are conducted to ensure effective closure and compliance. Some of the key corrective actions recommended are institutionalising policies on human rights and strengthening implementation of POSH Act.

Principle 6

Businesses should respect and make efforts to protect and restore the environment

Essential Indicators

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:

Parameter (All quantities in TJ except where specified)	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)
From renewable sources		
Total electricity consumption (A)	964	868
Total fuel consumption (B)	11,182	12,383
Energy consumption through other sources (C)	187	183
Total energy consumed from renewable sources (A+B+C)	**12,334#**	**13,434**
From non-renewable sources		
Total electricity consumption (D)	761	757
Total fuel consumption (E)	10,930	11,600
Energy consumption through other sources (F)	0	0
Total energy consumed from non-renewable sources (D+E+F)	**11,691**	**12,357**
Total energy consumed (A+B+C+D+E+F)	**24,025**	**25,791**
Energy intensity per rupee of turnover (Total energy consumed / Revenue from operations) (in Giga Joules/Crore INR)	294	347
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations adjusted for PPP) (in GJ/Million USD)	599	718
Energy intensity in terms of physical output - PSPD* (in GJ/tonne of production for PSPD)	21.0	23.0
Energy intensity in terms of physical output - FBD* (in GJ/tonne of production for FBD)	2.9	2.9

ITC's energy consumption data has been independently assured by a third-party assurance provider at a reasonable assurance level.

**Since ITC is a conglomerate with multiple Businesses, data for energy intensity in terms of physical output (tonnes of production) is reported for PSPD and FBD which together account for nearly 94% of ITC's total energy consumption.*

#Share of renewable energy continues to remain more than 50% of total energy (51%). There is a marginal reduction in FY 2025-26 on account of planned maintenance shutdown of green boiler at PSPD Bhadrachalam.

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

Three Units of ITC's Paperboards and Speciality Papers Business are covered under the PAT scheme.

ITC has made significant investments in reducing energy consumption and accordingly, the performance of the Company's Units covered far exceeds the energy efficiency targets fixed under the PAT scheme. The Bhadrachalam Unit is the first pulp and paper mill to be rated GreenCo Platinum+ by CII, as part of Green Company rating system.

Note: Details of the energy efficiency initiatives implemented during the year are included in 'Disclosure on Conservation of Energy and Technology Absorption' section of the Report of the Board of Directors & Management Discussion and Analysis in ITC Report and Accounts 2026

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY 2025-26 Current Financial Year	FY 2024-25 Previous Financial Year
Water withdrawal by source (in million kilolitres)		
(i) Surface water	25.2	26.3
(ii) Groundwater	4.1	4.1
(iii) Third party water	0.8	0.8
(iv) Seawater / desalinated water	0	0
(v) Others	0	0
Total volume of water withdrawal (in million kilolitres) (i + ii + iii + iv + v)	30.1	31.2
Total volume of water consumption (in million kilolitres) (Total water withdrawal – total water discharged)	11.0	10.5
Water intensity per rupee of turnover (Total water consumption / Revenue from operations) (in kilolitres/Crore INR)	134	142
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP) (in kilolitres/Million USD)	273	293
Water intensity in terms of physical output – PSPD* (in kilolitres/tonne of production for PSPD)	7.6#	7.4
Water intensity in terms of physical output – FBD* (in kilolitres/tonne of production for FBD)	0.6	0.6

ITC's water withdrawal and water consumption data has been independently assured by a third-party assurance provider at a reasonable assurance level.

**Since ITC is a conglomerate with multiple Businesses, data for water intensity in terms of physical output (tonnes of production) is reported for PSPD and FBD which together account for over 95% of ITC's total water withdrawal.*

#During the year, significant measures were taken by PSPD to reduce water intake which included recycling of wastewater. This also led to reduction in overall water discharge. Water consumption is computed as difference between water intake and water discharge and due to significant reduction in overall water discharge, there is a marginal increase in water consumption and water intensity.

Over the years, ITC has created rainwater harvesting potential through extensive investments in its Integrated Watershed

Development Projects. The programme promotes the development and management of local water resources in water-stressed areas by facilitating community participation in planning and implementing such measures, whilst building, reviving and maintaining water-harvesting structures. As on 31st March 2026, ITC's watershed development projects covering over 1.98 million acres leading to a total rainwater harvesting potential (RWH) of 66.31 million kl (cumulative), which is six times the net water consumed by ITC's operations.

4. Provide the following details related to water discharged:

Parameter	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)
Water discharge by destination and level of treatment (in million kilolitres)		
(i) To Surface water	9.8	10.9
No treatment	0	0
With treatment – please specify level of treatment	Secondary	Secondary
(ii) To Groundwater	0	0
No treatment	NA	NA
With treatment – please specify level of treatment	NA	NA
(iii) To Seawater	0	0
No treatment	NA	NA
With treatment – please specify level of treatment	NA	NA
(iv) Sent to third-parties	9.4	9.7
No treatment	0	0
With treatment – please specify level of treatment	Tertiary	Tertiary
Total water discharged (in million kilolitres)	**19.2**	**20.6**

ITC's data for total water discharged has been independently assured by a third-party assurance provider at a reasonable assurance level.

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

ITC's approach to water stewardship focuses on reducing water intake by utilising treated wastewater within the process, thereby reducing demand for fresh water. ITC Units have put in place necessary systems to comply with the Consent to Operate (CTO) conditions including Zero Liquid Discharge, where applicable. 26 Units of ITC have achieved zero effluent discharge.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please Specify Unit	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)
NOx	Tonnes	2,006	2,064
SOx	Tonnes	1,700	2,287
Particulate matter (PM)	Tonnes	594	553
Persistent organic pollutants (POP)	NA	NA	NA
Volatile Organic Compounds (VOC)	NA	NA	NA
Hazardous Air Pollutants (HAP)*	Tonnes	6.9	7.8

Separately, as part of its Sustainability Report, covering ITC Limited on a standalone basis, as well as its subsidiaries, associates, and third-party manufacturers, ITC obtains reasonable assurance from an independent third-party assurance provider on GRI 305-7 (Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions).

**The data is for PSPD Bhadrachalam Unit's Hydrogen Sulphide emissions (H_2S)*

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity.

Parameter	Please Specify Unit	FY 2025-26 (Current Financial Year)	FY 2024-25 (Previous Financial Year)
Total Scope 1 emissions (Break-up of the GHG into CO_2, CH_4, N_2O, HFCs, PFCs, SF_6, NF_3, if available)	kilo tonnes of CO_2 equivalent	1,045	1,101
Total Scope 2 emissions^ (Break-up of the GHG into CO_2, CH_4, N_2O, HFCs, PFCs, SF_6, NF_3, if available)	kilo tonnes of CO_2 equivalent	151	153
Total Scope 1 and Scope 2 emissions intensity per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	tonnes of CO_2 equivalent/ Crore INR	14.6	16.9
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)	tonnes of CO_2 equivalent/Million USD	29.8	34.9
Total Scope 1 and Scope 2 emission intensity in terms of physical output - PSPD*	tonnes of CO_2 equivalent/tonne of production	1.01	1.06
Total Scope 1 and Scope 2 emission intensity in terms of physical output - FBD*	tonnes of CO_2 equivalent/tonne of production	0.16	0.18

ITC's GHG emissions (Scope 1 and Scope 2) data has been independently assured by a third-party assurance provider at a reasonable assurance level.

^ Scope 2 emissions are market based, while location-based scope 2 emissions are 170 Kilotonnes of CO_2 equivalent

**Since ITC is a conglomerate with multiple Businesses, data for Scope 1 and Scope 2 emission intensity in terms of physical output (tonnes of production) is reported for PSPD and FBD which together account for more than 90% of ITC's total Scope 1 and Scope 2 emissions.*

ITC's PSPD has large-scale Farm Forestry programmes promoting sustainable forest management with primary aim of securing pulpwood requirement for Business continuity. ITC also has a large-scale Social Forestry programme, which, in addition to sequestering carbon, also benefits the stakeholders by improving productivity of wasteland, and de-risking poor rural households by diversifying farm portfolios through promotion of tree-based farming. During FY 2025-26, the Farm and Social forestry programmes have together sequestered ~7.6 million tonnes of CO_2.

8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

As part of its 2030 Sustainability 2.0 ambitions, ITC is working towards reducing its Specific GHG Emissions by 50% (Reduction in Scope 1 & 2 emission). Additionally, the Company has also committed to Net Zero Operations by 2050. Accordingly, actions are being undertaken to reduce Greenhouse Gas Emissions by investing in energy efficiency and increasing share of renewable energy.

Energy efficiency:

All ITC Units focus on energy efficiency through process improvements and investment in new technologies. Over the years, ITC has implemented measures like installation of Vapour Absorption Machines (VAM), Automation in tube cleaning system of Heating, Ventilation and Air Conditioning (HVAC), installation of variable frequency drive for pumps, blowers etc. and installation of energy efficient equipment such as chillers, AHUs, motors, fans, pumps, and agitators. In FY 2025-26, the investments in energy conservation equipment have resulted in energy savings of over 50 TJ, which is equivalent to nearly 6,000 tonnes of GHG emissions in the year.

In line with ITC's focus on accelerating digitalisation across Businesses, PSPD is implementing several transformative projects leveraging Industry 4.0 technologies across key business areas, to enhance productivity, reduce carbon footprint, achieve strategic cost efficiencies and superior product performance.

Some of the major projects undertaken by PSPD as part of its Digital Transformation Programme include process debottlenecking and throughput improvement for productivity and Overall Equipment Effectiveness (OEE), process capability improvement leading to reduction in defects and resource optimisation.

Renewable energy:

ITC has invested in renewable energy projects, for both renewable electricity and renewable thermal requirements. Investments of biomass boilers were also undertaken in Foods and Cigarette Businesses. In addition to this, ITC has installed and commissioned 177 MW of solar and wind power capacity across the country to meet its electrical energy requirements. During the year, ITC has been able to maintain its renewable energy share of over 50%.

9. Provide details related to waste management by the entity, in the following format

Total waste generated is mentioned in rows (A) to (H)

Parameter (in kilo tonnes)	**FY 2025-26 (Current Financial Year)**	**FY 2024-25 (Previous Financial Year)**
Plastic waste (A)*	12.6	-
E-waste (B)	0.08	0.08
Bio-medical waste (C)	0.02	0.02
Construction and demolition waste (D)	6.4	6.1
Battery waste (E)	0.25	0.23
Radioactive waste (F)	0	0
Other Hazardous waste. Please specify, if any. (G)	24.3	22.5
Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)	678	693
Total (A+B + C + D + E + F + G + H)	**721**	**722**
Waste intensity per rupee of turnover (in MT/Crore INR) (Total waste generated / Revenue from operations)	**8.8**	**9.7**
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (in MT/million US$) (Total waste generated / Revenue from operations adjusted for PPP)	**18.0**	**20.1**
Waste intensity in terms of physical output - PSPD& (in tonnes of waste generated/tonne of production)	**0.62**	**0.63**
Waste intensity in terms of physical output - FBD& (in tonnes of waste generated/tonne of production)	**0.09**	**0.08**
Total waste recovered through recycling, re-using or other recovery operations		
(i) Recycled	713	718
(ii) Re-used**	NA	NA
(iii) Other recovery operations	NA	NA
Total	**713**	**718**
Total waste disposed by nature of disposal method		
(i) Incineration	6.7	1.2
(ii) Landfilling	1.5	1.6
(iii) Other disposal operations	NA	NA
Total	**8.2**	**2.8**

ITC's waste related data has been independently assured by a third-party assurance provider at a reasonable assurance level.

**Till FY 2024-25, Plastic waste was reported under Non-hazardous waste. From FY 2025-26 onwards, plastic waste generated in factories due to operations is being reported in the 'plastic waste' field.*

***Waste re-used is reported under waste recycled*

&Since ITC is a conglomerate with multiple Businesses, data for waste intensity in terms of physical output (tonnes of production) is reported for PSPD and FBD which together account for over 90% of ITC's total waste generation.

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such waste.

The Company has initiated measures across Units to ensure waste minimisation, segregation of waste at source and recycling. During the year, the recycling level reached 99%. In addition, nearly 93,000 tonnes of externally sourced post-consumer waste paper was used as raw material during the year.

ITC follows a proactive approach to manage hazardous chemicals by actively looking for alternatives, which not only helps keep its operations safe, but also ensures safest products for customers. This approach is demonstrated in pioneering practices implemented by ITC like Elemental Chlorine Free (ECF) bleaching, and ozone bleaching technology in its Paper Business, and switching from solvent-based inks to water-based ones in its Packaging and Printing Business.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

S. No.	Location Of Operations/Offices	Type Of Operations	Whether The Conditions Of Environmental Approval / Clearance Are Being Complied With? (Y/N) If No, The Reasons Thereof And Corrective Action Taken, If Any
1.	Bhadrachalam	Paperboards Manufacturing	Yes

The Plant is located at a distance of 3.47 Km from the boundary of Kinnerasani Wildlife Sanctuary Eco-Sensitive Zone and ~8 Km from the core zone of the Kinnerasani Wildlife Sanctuary.

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year.

Name And Brief Details Of Project	Eia Notification No.	Date	Whether Conducted By Independent External Agency (Yes/No)	Results Communicated In Public Domain	Relevant Web Link
8(a) Building / Construction Environmental Clearance for Expansion in Factory Building on Plot No. B-27, MIDC, Ranjangaon, Pune, Tal -Shirur, District - Pune, 412220 by M/s. ITC Limited-India Tobacco Division	1. EC Identification No. EC25C3806MH5540772N 2. File No. SIA/MH/INFRA2/552102/2025	1. 08/01/2026 2. 24/09/2025	Yes	Yes	https://parivesh.nic.in/newupgrade/#/trackYourProposal/proposal-details?proposalId=SIA%2FMH%2FINFRA2%2F552102%2F2025&proposal=136538053

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

ITC's existing operations/offices comply with applicable environmental regulations of the Country, and operate as per CTO conditions from the Central and State Pollution Control Boards.

Leadership Indicators

1. Water withdrawal, consumption and discharge in areas of water stress (in kilolitres).

For each facility / plant located in areas of water stress, provide the following information:

Facilities/plants in areas of water stress are identified using Central Ground Water Board's (India) groundwater block classification and WRI Aqueduct's Baseline Water Stress.

(i) Name of the area: Bengaluru, Chennai, Chirala, Haridwar, Howrah, Kapurthala, Kolar, Kovai, Medak, Ranjangaon and Saharanpur

(ii) Nature of operations: Manufacture of FMCG products and Paperboards, Specialty Papers and Packaging products and Processing of agri commodities

(iii) Water withdrawal, consumption and discharge in the following format

Parameter	FY 2025-26 (Current Financial Year)	FY 2024-25* (Previous Financial Year)
Water withdrawal by source (in million kilolitres)		
(i) Surface water	0.97	0.83
(ii) Groundwater	0.54	0.53
(iii) Third party water	0.44	0.45
(iv) Seawater/desalinated water	0	0
(v) Others	0	0
Total volume of water withdrawal (in million kilolitres)	1.9	1.8
Total volume of water consumption (in million kilolitres) (Total water withdrawal – Total water discharged)	1.9	1.8
Water intensity per rupee of turnover (Water consumed/turnover) (in kilolitre/crore INR)	23	24
Water intensity (optional) – the relevant metric may be selected by the entity	-	-
Water discharge by destination and level of treatment (in million kilolitres)		
(i) Into Surface water	0.01	0.01
No treatment	0	0
With treatment – please specify level of treatment	Secondary	Secondary
(ii) Into Groundwater	0	0
No treatment	NA	NA
With treatment – please specify level of treatment	NA	NA
(iii) Into Seawater	0	0
No treatment	NA	NA
With treatment – please specify level of treatment	NA	NA
(iv) Sent to third-parties	0.05	0.02
No treatment	0	0
With treatment – please specify level of treatment	Tertiary	Tertiary
Total water discharged (in million kilolitres)	**0.06**	**0.03**

Separately, as part of its Sustainability Report, covering ITC Limited on a standalone basis, as well as its subsidiaries, associates, and third-party manufacturers, ITC obtains reasonable assurance from an independent third-party assurance provider on GRI 303-3 (Water withdrawal), GRI 303-4 (Water Discharge), and GRI 303-5 (Water Consumption).

**During the year, ITC reassessed the Units located in water-stressed areas based on the latest data from the Central Ground Water Board (CGWB) and World Resources Institute (WRI). As part of this reassessment, certain new sites have been included and one site has been excluded. Accordingly, the FY 2024-25 figures have also been restated to enable like-to-like comparison.*

2. Please provide details of total Scope 3 emissions & its intensity, in the following format:

Parameter	Unit	FY 2025-26* Current Financial Year	FY 2024-25 Previous Financial Year
Total Scope 3 emissions **(Break-up of the GHG into CO_2, CH_4, N_2O, HFCs, PFCs, SF_6, NF_3, if available)**	Kilo tonnes of CO_2 equivalent	1,442	1,062
Total Scope 3 emissions per rupee of turnover	Tonnes of CO_2 equivalent/crore INR	17.7	14.3

Separately, as part of its Sustainability Report, covering ITC Limited on a standalone basis, as well as its subsidiaries, associates, and third-party manufacturers, ITC obtains limited assurance from an independent third-party assurance provider on GRI 305-3 (Other indirect (Scope 3) GHG emissions).

**ITC has been working on enhancing Scope 3 emission coverage and improving the accuracy of emission factor. In FY 2025-26, boundary of logistics has been expanded to include entire downstream logistics managed by ITC. In addition, logistics emissions have been aligned to Global Logistics Emissions Council (GLEC) framework. For FY 2024-25, road and air transportation emission factors were taken from the India GHG Programme, shipping emission factor from the Department of Business, Energy & Industrial Strategy, UK and rail emission factor shared by Indian Railways.*

The increase in reported logistics emissions in FY 2025–26 is primarily attributable to boundary expansion (approximately 70%), with the balance (approximately 30%) arising from the adoption of updated emission factors.

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

ITC's Bhadrachalam Unit has necessary systems and processes to manage and mitigate any, environmental impact related to air, water, waste, noise, soil and dust pollution. For sustainable sourcing of wood, the social and farm forestry programme was started for promoting sustainable forests management practices in the value chain. Apart from sequestering carbon, this programme provides significant environmental benefits such as improving productivity of wasteland and has greened ~1.5 million acres till date. For conserving biodiversity, the business in collaboration with Telangana Forest Department has created a "Sarapaka Biodiversity Conservation and Development" plot in ~440 hectares of Kistasagar Reserve Forest for regreening and regenerating the natural ecosystem including flora and fauna.

ITC's Bhadrachalam Unit is the first pulp & paper plant in the country to be rated 'GreenCo Platinum+' by CII. The Unit has also achieved platinum-level certification as per Alliance for Water Stewardship (AWS) Standard. These recognitions highlight the facility's commitment to environmental conservation and its strong performance on various green parameters, including energy efficiency, renewable energy, water and waste management.

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives.

The Company has undertaken a number of initiatives, and also deployed innovative technologies across its operations for improving resource efficiency and minimising environmental impact. For details, refer to 'Disclosure on Conservation of Energy and Technology Absorption' and 'Sustainability 2.0' forming part of the Report of the Board of Directors & Management Discussion and Analysis in ITC Report and Accounts 2026.

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

Yes, all Businesses within ITC have Business Continuity Plans (BCPs). The BCPs have been drawn up to encompass all operational aspects and undergo testing at scheduled intervals. The plans and the test outcomes are reviewed by the Management Committee of the respective Businesses.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard?

ITC has a Board-approved Policy on 'Sustainable Supply Chain and Responsible Sourcing' and a 'Code of Conduct for Suppliers and Service Providers'. The Code is shared and accepted by supply chain partners and service providers. ITC has a robust process of evaluating its Suppliers and Service Providers before engaging with them, proactively making them aware of its

expectations/ requirements, and seeking commitment for compliance through contractual agreements. Additionally, ITC facilitates its value chain partners in handling any adverse impacts.

For more details on ITC's initiatives for mitigating environmental impacts across value chain, refer to 'Risk and Impact Management' section of ITC's Nature Report.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

ITC conducts third-party assessment of its Critical Tier-1 suppliers* on an ongoing basis, and this assessment covers key aspects on environmental compliance and management practices. As part of ITC's Sustainable Supply Chain initiative, 13% suppliers (by spend value)# have been assessed over last 3 years including more than 95% Critical Tier-1 suppliers.

 # Spend value is estimated based on FY 2024-25 procurement spend data from domestic suppliers.

**All ITC Businesses have identified Critical Tier-1 suppliers based on aspects like buy value, ESG risk exposure and importance to business continuity, among others. ITC's Sustainable Supply Chain Programme is focussed on working closely with the set of identified critical suppliers.*

8. How many Green Credits have been generated or procured:

a.	**By the listed entity**	Nil
b.	**By the top ten (in terms of value of purchases and sales, respectively) value chain partners**	

Principle 7

Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

Essential Indicators

1 a. Number of affiliations with trade and industry chambers/ associations.

ITC's Policy on Responsible Advocacy provides the framework for necessary interface with Government/Regulatory Authorities on matters concerning various sectors in which the Company operates. The Company's engagement with the relevant authorities is guided by the values of commitment, integrity, transparency and the need to balance the interests of diverse stakeholders. The Company works with apex industry institutions that are engaged in policy advocacy as well as various other forums. The Company has active affiliations with 89 such trade and industry chambers/associations.

b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. No.	Name Of The Trade And Industry Chambers/Associations	Reach Of Trade And Industry Chambers/ Associations (State/National)
1	ASSOCHAM	National
2	All India Management Association	National
3	Confederation of Indian Industry	National
4	Madras Management Association	State
5	Indian Merchants Chamber of Commerce	National
6	Mahratta Chamber of Commerce, Industries & Agriculture	State
7	PHD Chamber of Commerce & Industry	National
8	Bombay Management Association	State
9	Federation of Indian Chambers of Commerce & Industry	National
10	Retailers Association of India	National

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.

The Company has not engaged in any anti-competitive conduct.

Leadership Indicators

1. Details of public policy positions advocated by the entity.

S. No.	Public Policy Advocated	Method Resorted For Such Advocacy	Whether Information Available In Public Domain? (Yes/No)	Frequency Of Review By Board (Annually/Half-Yearly/Quarterly/ Others – Please Specify)	Web Link, If Available
1.	The Company's Policy on Responsible Advocacy approved by the Board provides the framework for necessary interface with Government/ Regulatory Authorities on matters concerning various sectors in which the Company operates. Sector-wise matters taken up are in line with national priorities to strengthen domestic industry, promoting sustainable agriculture and business practices.	The Company works with apex industry institutions that are engaged in policy advocacy, like the Confederation of Indian Industry, Federation of Indian Chambers of Commerce & Industry, Associated Chambers of Commerce and Industry of India, and various other forums including regional Chambers of Commerce. The Company's engagement with the relevant authorities is guided by the values of commitment, integrity, transparency and taking into consideration interests of all stakeholders.	https://itcportal.com/content/dam/itc-corporate/pdfs/policy/policy-on-responsible-advocacy.pdf	Annual	-

Principle 8

Businesses should promote inclusive growth and equitable development

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Name And Brief Details Of Project	SIA Notification No.	Date Of Notification	Whether Conducted By Independent External Agency (Yes/No)	Results Communicated In Public Domain (Yes/No)	Relevant Web Link
Not Applicable					

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity.

S. No.	Name Of Project For Which R&R Is Ongoing	State	District	No. Of Project Affected Families (PAFs)	% Of PAFs Covered By R&R	Amount Paid To PAFs In The FY (In INR)
Not Applicable						

3. Describe the mechanisms to receive and redress grievances of the community.

Details on mechanisms to receive and redress grievances of the community are provided under Question 25 (of Section A).

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers.

	FY 2025-26 Current Financial Year	FY 2024-25 Previous Financial Year
Directly sourced from MSMEs/small producers	32.38%	29.72%
Directly from within India	92.59%	92.86%

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost (Place to be categorized as per RBI Classification System - rural / semi-urban / urban / metropolitan).

Location	FY 2025-26 Current Financial Year	FY 2024-25 Previous Financial Year
Rural	15%	15%
Semi-urban	10%	10%
Urban	18%	17%
Metropolitan	57%	58%

Note: Coverage is defined with reference to the segmentation of total wages disbursed to all permanent employees and workers during the reporting period, including those who were associated with the Company for part of the year.

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Not Applicable

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

State	Aspirational District	Amount Spent (In Rs. Lakhs)
Telangana	Bhadradri Kothagudem	2,992.35
Uttarakhand	Haridwar	624.50
Odisha	Malkangiri	305.98
Madhya Pradesh	Vidisha	302.13
Assam	Darrang	275.08
Bihar	Begusarai	256.31
Rajasthan	Jaisalmer	229.68
Uttar Pradesh	Bahraich	217.66
Rajasthan	Baran	177.44
Uttar Pradesh	Chandauli	172.86
Maharashtra	Washim	141.11
Chhattisgarh	Sukma	123.17
Maharashtra	Nandurbar	114.40
Multiple* (17 States)	Multiple*	1,016.94

**Spends in balance 53 Aspirational Districts of the total 66 where ITC had CSR project spends*

3. a. Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized /vulnerable groups? (Yes/No):

The Board-approved Policy on Sustainable Supply Chain and Responsible Sourcing defines the supply chain partners which includes farmers. ITC is committed to collaborating with farmers to make them more sustainable and help build their adaptive capacity and resilience to emerging risks like climate change, water stress and other extreme weather events. ITC is also raising awareness and working with farmers on crop quality, safety, protection, integrity and traceability, as applicable.

b. From which marginalized /vulnerable groups do you procure?

ITC procures from farmers including women farmers and small landholders.

c. What percentage of total procurement (by value) does it constitute?

During FY 2025-26, ITC consumed over 2.2 million tonnes of agri raw materials, which is over 65% of overall raw materials' consumption.

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge.

Nil

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

Nil

6. Details of beneficiaries of CSR Projects:

In the social sector, the two most important stakeholders of ITC are:

- Rural communities with whom the Company's Agri-Business has forged long and enduring partnerships; and
- Communities residing in close proximity to our manufacturing Units, situated in urban and semi-rural locations

The beneficiaries of ITC's CSR programmes mostly belong to the under privileged sections of the society and small & marginal farmers who face the challenges of securing sustainable livelihoods. These challenges are addressed through the Three Pathways strategy of making today's dominant source(s) of livelihoods sustainable; and strengthening capabilities for tomorrow.

The Three Pathways strategy ensures an integrated approach to development involving several interventions. Presented ahead are the total number of approximate beneficiaries for key interventions and estimated proportion of beneficiaries belonging to vulnerable and marginalised groups.

CSR Projects	No. Of Beneficiaries Benefitted From CSR Projects (2025-26)	% Of Beneficiaries From Vulnerable And Marginalised Groups
Natural Resources Management - Water Stewardship	66,870	SC/ST – 9%; Female – 23%
Climate Smart Agriculture	12.09 Lakhs	SC/ST – 17%; Female – 19%
On-Farm Livelihood Diversification - Social Forestry	8,950	SC/ST – 28%; Female – 23%
Off-Farm Livelihood Diversification - Improved Animal Husbandry Practices	2.16 Lakhs	SC/ST – 21%; Female – 50%
Support To Education	10.94 Lakhs	Children – 100%; ~50% Girl Children
Skilling Of Youth	17,600	SC/ST – 24%; Female – ~49%
Improving Health & Sanitation - Waste Management	7.13 Lakhs	SC/ST – 1.61%
Improving Health & Sanitation - Maternal And Child Health And Nutrition	17 Lakhs	100% - Women, Adolescents And Children
Women Empowerment	9.48 Lakhs*	100% Women

**includes women gainfully employed and women in SHGs covered under Financial Literacy programme during the year*

Principle 9

Businesses should engage with and provide value to their consumers in a responsible manner

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

A well-established system enables consumers to engage with the Company through multiple channels, including email, telephone, website, social media, and feedback forms. Dedicated consumer response cells within Businesses address queries and feedback, supporting continuous improvement of products and services.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

All products/services of the Company contain relevant information as required under applicable laws.

3. Number of consumer complaints in respect of the following:

	FY 2025-26 (Current Financial Year)		Remarks	FY 2024-25 (Previous Financial Year)		Remarks
	Received During The Year	Pending Resolution At End Of Year^^		Received During The Year	Pending Resolution At End Of Year^	
Data privacy	0	0	-	0	0	-
Advertising	12	1		6	2	
Cyber-security	0	0		0	0	
Delivery of essential Services	0	0		0	0	
Restrictive Trade Practices	0	0		0	0	
Unfair Trade Practices	0	0		0	0	
Others	25,350	3,575		19,806	2,503	

^ Resolved after March 2025.
^^ Will be resolved after March 2026.

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons For Recall
Voluntary recalls	Nil	Not Applicable
Forced recalls	Nil	Not Applicable

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

A Cyber Security Committee, led by the Chief Information Security Officer (CISO), is established to focus specifically on cyber security risks. Its primary responsibility is to monitor emerging practices and technologies and provide recommendations to enhance the security of the organisation's IT systems and infrastructure. Further, the CISO actively participates in meetings of the Risk Management Committee whenever matters related to cyber security are discussed.

ITC's Information Management Policy defines the framework/policy on cyber security and risks related to data privacy.

ITC's Privacy Policy is part of Information Management Policy and is available on ITC Portal at https://itcportal.com/about-itc/itc-policies/privacy-policy.html

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

Robust systems have been put in place to identify the issues faced by the consumers and ensure timely resolution of the same. Efforts are in place to continually strengthen the quality assurance system and to improve delivery timelines.

7. Provide the following information relating to data breaches:

a. Number of instances of data breaches: Nil

b. Percentage of data breaches involving personally identifiable information of customers: Nil

c. Impact, if any, of the data breaches: Nil

Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

https://www.itcportal.com

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

All Businesses of the Company comply with the regulations and relevant voluntary codes concerning marketing communications, including advertising, promotion and sponsorship. The Company's communications are designed to enable consumers to make informed purchase decisions, while also promoting awareness on the responsible usage of its products and services.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

The Company is not engaged in providing essential services. However, the Company has necessary mechanisms in place to inform consumers if any major discontinuation happens in relation to its products and services.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

As an integral part of ITC's consumer satisfaction focus, attention is paid to product information and labelling and consumer engagement by the Businesses. ITC's Businesses have an established system for monitoring customer satisfaction and it ensures that their feedback is addressed in a systematic manner.

Best in Class ESG Credentials: Recognition of ITC's Sustainability Performance

CDP Water	**CDP Climate**	**CDP Forest**
'A List' for the third consecutive year	'Leadership level' score of 'A-' for the fourth consecutive year	Achieved 'A List' in first year of participation
Dow Jones Best-in-Class Emerging Markets Index	**MSCI ESG**	**Alliance for Water Stewardship**
Continued to feature in the prestigious Index	Sustained 'AA' rating for 8 years in a row	9 ITC Units certified at Platinum level

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Independent Practitioners' Reasonable Assurance Report

To the Board of Directors of ITC Limited

Assurance report on the sustainability disclosures in the Business Responsibility and Sustainability Reporting (BRSR) disclosures

Assurance report on the sustainability disclosures in the Business Responsibility and Sustainability Reporting (BRSR) Core format[1] (called 'Identified Sustainability Information' (ISI) of ITC Limited (the 'Company') for the period from 1 April 2025 to 31 March 2026. The ISI is included in the Business Responsibility and Sustainability Reporting section of the Company's Report and Accounts 2026 for the period from 1 April 2025 to 31 March 2026.

Opinion

We have performed a reasonable assurance engagement on whether the Company's sustainability disclosures in the BRSR Core Format (refer Appendix 1 of this report) for the period from 1 April 2025 to 31 March 2026 have been prepared in accordance with the reporting criteria (refer table below).

Identified Sustainability Information (ISI) subject to assurance	Period subject to assurance	Reference Section in the Report and Accounts 2026	Reporting criteria
BRSR Core *(refer Appendix 1)*	*From 1 April 2025 to 31 March 2026*	*"Business Responsibility and Sustainability Report" (BRSR) section of Company's Report and Accounts 2026*	- *Regulation 34(2)(f) of the Securities and Exchange Board of India (SEBI) Listing Obligations and Disclosure Requirements (SEBI LODR)* - *Master Circular for compliance with the provisions of the SEBI LODR by listed entities, dated January 30, 2026 (Master Circular) prescribing* o *Format of the BRSR*

[1] *As per SEBI Master circular number* ***SEBI/ HO/49/14/14(7)2025-CFD-POD2/I/3762/2026***

ISO Certifications: ISO 14001:2015-Environmental Management System, ISO 45001:2018-Occupational Health & Safety Management System, ISO 22301:2019-Business Continuity Management System, ISO 27001:2022-Information Security Management System, ISO 27017:2015-Cloud Security Management System, ISO 27701:2019-Personal Information Management System, ISO 20000-1:2018- Information Technology System Management and ISO 42001: 2023- Artificial Intelligence Management System

KPMG Assurance and Consulting Services LLP, an Indian limited liability partnership and a member firm of KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee

KPMG (Registered) (a partnership firm with Registration No. BA-62445) converted into KPMG Assurance and Consulting Services LLP (a Limited Liability Partnership with LLP Registration No. AAT-0367), with effect from July 23, 2020

Registered Office:
2nd Floor, Block T2 (B Wing)
Lodha Excelus, Apollo Mills
Compound, N M Joshi Marg,
Mahalaxmi, Mumbai - 400 011

			○ *Guidance notes for BRSR format issued by SEBI* - *Greenhouse Gas (GHG) Protocol (A Corporate Accounting and Reporting Standard) (Revised) developed by World Resources Institute (WRI) / World Business Council for Sustainable Development (WBCSD)*

This engagement was conducted by a multidisciplinary team including assurance practitioners, engineers and environmental and social professionals.

In our opinion, the Company's Identified Sustainability Information covered *in the Business Responsibility and Sustainability Reporting (BRSR) section of its Report and Accounts 2026* for the period 1 April 2025 to 31 March 2026, is prepared, in all material respects, in accordance with the Regulation 34(2)(f) of SEBI LODR, *Master Circular of SEBI LODR, Master Circular*, *the Greenhouse Gas (GHG) Protocol (A Corporate Accounting and Reporting Standard) (Revised) developed by World Resources Institute (WRI) / World Business Council for Sustainable Development (WBCSD) and as per the Reporting Boundary as set out in BRSR - Section A: General Disclosures 13 of the BRSR.*

Basis for opinion

We conducted our engagement in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised), *Assurance Engagements Other Than Audits or Reviews of Historical Financial Information and ISAE 3410, Assurance Engagements on Greenhouse Gas Statements* issued by the International Auditing and Assurance Standards Board (IAASB). Our responsibilities under those standards are further described in the "Our responsibilities" section of our report.

We have complied with the independence and other ethical requirements of the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA).

KPMG Assurance and Consulting Services LLP (the Firm) applies International Standard on Quality Management (ISQM) 1, *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*, issued by the IAASB. This standard requires the Firm to design, implement and operate a system of quality management, including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information

Management and the Board of Directors of the Company are responsible for the other information. The other information comprises the information included in the Company's Report and Accounts 2026 (but

does not include the BRSR Core and assurance report thereon). The Company's Report and Accounts 2026 is expected to be made available to us after the date of this Assurance Report.

Our reasonable assurance on the BRSR Core attributes does not cover the other information and we are not expressing any form of assurance conclusion thereon.

In connection with our assurance report of the BRSR Core, our responsibility is to read the other information identified above when it becomes available, and in doing so, consider whether the other information is materially inconsistent with the BRSR Core, or our knowledge obtained in the assurance, or otherwise appears to be materially misstated.

When we read the Report and Accounts 2026, if we conclude that there is a material misstatement therein, we are required to communicate the matter to Those Charged With Governance and describe actions applicable under the applicable laws and regulations.

Intended use or purpose

The ISI and our reasonable assurance report are intended for users who have reasonable knowledge of the BRSR attributes, the Reporting Criteria and ISI and who have read the information in the ISI with reasonable diligence and understand that the ISI is prepared and assured at appropriate levels of materiality.

Our opinion is not modified in respect of this matter.

Management's responsibilities for the Identified Sustainability Information (ISI)

The management of the Company acknowledges and understands their responsibility for:

- designing, implementing and maintaining internal controls relevant to the preparation of the ISI so that it is free from material misstatement, whether due to fraud or error;
- selecting or establishing suitable criteria for preparing the ISI, taking into account applicable laws and regulations, if any, related to reporting on the ISI, identification of key aspects, engagement with stakeholders, content preparation and presentation of the ISI in accordance with the Reporting Criteria;
- disclosure of the applicable criteria used for preparation of the ISI in the Report and Accounts 2026;
- preparing/fairly stating/properly calculating the ISI in accordance with the Reporting Criteria;
- ensuring the Reporting Criteria is available for the intended users with relevant explanation;
- establishing targets, goals and other performance measures, and implementing actions to achieve such targets, goals and performance measures;
- providing the details of the management personnel who take ownership of the ISI disclosed in the Report and Accounts 2026;
- ensuring compliance with laws, regulations or applicable contracts;
- making judgements and estimates that are reasonable in the circumstances;
- identifying and describing any inherent limitations in the measurement or evaluation of information covered by assurance in accordance with the Reporting Criteria;

- preventing and detecting fraud;
- selecting the content of the ISI, including identifying and engaging with intended users to understand their information needs;
- informing us of other information that will be included with the ISI; and
- supervision of other staff involved in the preparation of the ISI.

Those Charged With Governance are responsible for overseeing the reporting process for the Company's ISI.

Inherent limitations

The preparation of the Company's BRSR information requires the management to establish or interpret the criteria, make determinations about the relevancy of information to be included, and make estimates and assumptions that affect the reported information.

Measurement of certain amounts and BRSR Core metrics, some of which are estimates, is subject to substantial inherent measurement uncertainty, for example, GHG Footprint, Water Footprint, Energy Footprint. Obtaining sufficient appropriate evidence to support our opinion does not reduce the uncertainty in the amounts and metrics.

Our responsibilities

We are responsible for:

- Planning and performing the engagement to obtain reasonable assurance on the BRSR Core disclosures are free from material misstatement, whether due to fraud or error, in accordance with the Reporting Criteria in line with the section above;
- Forming an independent opinion, based on the procedures we have performed and the evidence we have obtained; and
- Reporting our reasonable assurance opinion to the Board of Directors of ITC Limited.

Summary of the work we performed as the basis for our opinion

We exercised professional judgment and maintained professional skepticism throughout the engagement. We designed and performed our procedures to obtain evidence that is sufficient and appropriate to provide a basis for our reasonable assurance opinion.

The nature, timing, and extent of the procedures selected depended on our judgement, including an assessment of the risks of material misstatement of the ISI covered by reasonable assurance, whether due to fraud or error. We identified and assessed the risks of material misstatement through understanding the ISI covered by reasonable assurance and the engagement circumstances. We also obtained an understanding of the internal controls relevant to the ISI covered by the reasonable assurance in order to design procedures that are appropriate in the circumstances but not for the purpose of expressing an opinion on the effectiveness of the internal controls. In carrying out our engagement, we:

- assessed the suitability of the criteria used by the Company in preparing the ISI covered by the reasonable assurance;
- evaluated the appropriateness of reporting policies, quantification methods and models used in the preparation of the ISI covered by the reasonable assurance and the reasonableness of estimates made by the Company;
- relied on the audited standalone financial statements for the year ended 31 March 2026, audited by the Company's statutory auditors, for financial data included in BRSR Core attributes as per Appendix 1; and
- evaluated the overall presentation of the ISI covered by the reasonable assurance.

Exclusions

Our assurance scope excludes the following and therefore we will not express an opinion on the same:

- Any form of review of the commercial merits, technical feasibility, accuracy of claims, compliance with applicable legislations. We have not verified any of the judgements in relation to commercial risks associated with the business activities.
- Operations of the Company other than those under the *Reporting Boundary set out in the section A of BRSR section of the Report and Accounts 2026* (Scope of Assurance).
- The Company's statements that describe the strategy, progress on goals (other than those listed under the scope of assurance as mentioned above), expression of opinion, claims, belief, aspiration, expectation, aim to future intention provided by the Company, and assertions related to Intellectual Property Rights and other competitive issues.
- Aspects of the BRSR and the data or information (qualitative or quantitative) other than the ISI.
- Data and information outside the defined reporting period i.e., from 1 April 2025 to 31 March 2026.

Shivananda Shetty
Partner

For KPMG Assurance and Consulting Services LLP
Date: 10 June 2026
Place: Gurugram

KPMG

Appendix 1: BRSR Core attributes

Principle	Attribute/Area	Parameter/Metric	Type of Assurance
Principle 1 - E8	Fairness in Engaging with Customers and Suppliers	Number of days of accounts payable	Reasonable
Principle 1 - E9	Open-ness of business	Concentration of purchases & sales done with trading houses, dealers, and related parties Loans and advances & investments with related parties	Reasonable
Principle 3 - E1 c	Enhancing Employee Wellbeing and Safety	Spending on measures towards well-being of employees and workers (including permanent and other than permanent)	Reasonable
Principle 3 - E11		Details of safety related incidents (LTIFR, Recordable Injuries, Fatalities, High Consequence Injuries)	Reasonable
Principle 5 - E3 b	Enabling Gender Diversity in Business	Gross wages paid to females as % of total wages paid by the entity	Reasonable
Principle 5 - E7		Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013	Reasonable
Principle 6 - E1	Energy Footprint	Total energy consumption	Reasonable
		Energy intensity (per rupee of turnover, per rupee of turnover adjusted for PPP, per physical output)	Reasonable
Principle 6 - E3	Water Footprint	Provide details of water withdrawal by source	Reasonable
		Total water consumption	Reasonable
		Water consumption intensity (per rupee of turnover, per rupee of turnover adjusted for PPP, per physical output)	Reasonable
Principle 6 - E4	Water Footprint	Water Discharge by destination and levels of Treatment	Reasonable
Principle 6- E7	GHG Footprint	Total Scope 1 emissions (Break-up of the GHG into CO_2, CH_4, N_2O, HFCs, PFCs, SF_6, NF_3, if available)	Reasonable
		Total Scope 2 emissions (Break-up of the GHG into CO_2, CH_4, N_2O, HFCs, PFCs, SF_6, NF_3, if available)	Reasonable
		GHG Emission Intensity (Scope 1+2) (per rupee of turnover, per rupee of turnover adjusted for PPP, per physical output)	Reasonable
Principle 6 - E9	Embracing circularity - waste details	Provide details related to waste generated by category of waste	Reasonable
		Waste intensity (per rupee of turnover, per rupee of turnover adjusted for PPP, per physical output)	Reasonable
		Each category of waste generated, total waste recovered through recycling, re-using or other recovery operations	Reasonable
		For each category of waste generated, total waste disposed by nature of disposal method	Reasonable
Principle 8 - E4	Enabling Inclusive Development	Percentage of input material (inputs to total inputs by value) sourced from suppliers (MSMEs/small suppliers and directly within India)	Reasonable
Principle 8 - E5		Job creation in smaller towns: Wages paid to persons employed in smaller towns as % of total wage cost	Reasonable
Principle 9 - E7	Fairness in Engaging with Customers and Suppliers	Instances involving loss / breach of data of customers as a percentage of total data breaches or cyber security events	Reasonable

CII-ITC Centre of Excellence for Sustainable Development

Established in 2006 with CII, the CII–ITC Centre of Excellence for Sustainable Development (CESD) advances the Triple Bottom Line across Indian industry by enabling Government–industry dialogue on regulations, stakeholder engagement on global policy developments, and thought leadership on macro-economic issues and the sustainability agenda. Key highlights during the year include:

Building Climate Resilience and Low Carbon Economy

- CESD strengthened industry capacity to address climate risks through policy advocacy, research, and capacity building. The Physical Climate Risk Assessment Framework (PCRAF) was enhanced through pilot projects to help businesses assess climate risks across operations and value chains.
- The CII Climate Action Charter (CCAC) supported companies—especially MSMEs—in GHG accounting, decarbonisation pathways, and access to climate finance, while supporting India's transition to a low carbon, climate resilient economy.

Advancing Creation of a Circular Economy

- The Centre promoted circular economy adoption through collaboration with regulators to strengthen Extended Producer Responsibility (EPR) frameworks, waste policies, and sustainability standards.
- The CII India Plastics Pact advanced recyclable packaging, reduced virgin plastic use, and increased recycled content through industry partnerships and knowledge-sharing platforms.

Nature Positive Actions

- Through the India Business and Biodiversity Initiative (IBBI), CESD strengthened corporate engagement on biodiversity conservation and nature-related risks.
- The Centre supported companies in integrating ecological considerations into business decisions and aligning with emerging nature-related disclosure frameworks.

Enhancing Solutions for Clean Air

- CESD led clean air initiatives through platforms such as the India CEO Forum for Clean Air and the Clean Air Better Life , promoting cleaner production, efficient logistics, clean construction practices and agricultural residue management.
- The Centre also enabled cross-sector collaboration and policy support for scalable emission reduction solutions.

Facilitating an Enabling Ecosystem for ESG Reporting

- The Centre contributed to strengthening India's ESG reporting ecosystem by supporting refinements to the Business Responsibility and Sustainability Reporting (BRSR) framework.
- It also helped companies move beyond compliance through digital solutions to improve ESG governance and data credibility.

Knowledge Exchange and Excellence in Sustainability

- CESD continued as a national hub for sustainability dialogue through forums like the Sustainability Summit. Through training, assessments, and initiatives such as the CII–ITC Sustainability Awards, it enabled organisations to integrate sustainability in their business.

ITC Sangeet Research Academy

The ITC Sangeet Research Academy (ITC SRA) was established by ITC in 1977 as an independent Public Charitable Trust with the aim of 'enabling enduring excellence in the preservation, propagation and education of Hindustani classical music'.

The objective of ITC SRA is to create the next generation of masters of Hindustani Classical Music. The methodology of training is based on the age-old principles of **'Guru Shishya Parampara'**. The Academy is modelled as a professionally-run institution that epitomises the teaching of Hindustani Raga music. Through its eminent Gurus, it imparts intensive training in Hindustani classical music to its Scholars. The present Gurus of the Academy are Padma Bhushan Pandit Ajoy Chakrabarty, Padmashri Pandit Ulhas Kashalkar, Pandit Partha Chatterjee, Pandit Uday Bhawalkar, Vidushi Subhra Guha, Shri Omkar Dadarkar, Shri Abir Hossain and Shri Brajeswar Mukherjee. Alongside, there are five Musician Tutors teaching Scholars with great dedication, among whom one is visually challenged. The Academy has 48 Scholars engaged in learning music, of which two are visually challenged.

The focus of the Academy remains the nurturing of exceptionally gifted students carefully hand-picked from across India, who receive full scholarship to reside and pursue music education in the Academy's campus and in other designated locations under the tutelage of the country's most distinguished musicians. The Scholars of the Academy have excelled in many ways, receiving national scholarships given by both the Ministry of Human Resources and the Ministry of Culture, Government of India, and qualifying for other prestigious awards and accolades. They perform in very well attended music festivals organised by the Academy in Kolkata, including the prestigious annual ITC Sangeet Sammelan. Additionally, through collaborations with organisers nationwide, the Academy presents its Scholars and young musicians in ITC Mini Sangeet Sammelans, concerts and Baithaks in various locations like Bidar, Gandhinagar, Jalgaon, Jabalpur, Nashik, Dehradun, Jaipur, Chandigarh, Mangalore, Chennai, Mumbai, Delhi, Bengaluru, etc enabling the Academy to fulfil its avowed objective of preserving and propagating Hindustani Classical Music.

A two-day Thumri Festival in February 2026 commemorating the iconic Thumri virtuoso Vidushi Shobha Gurtu on her centenary, alongside a Malhar Festival in August 2025 were among the Academy's other programmes in Kolkata.

ITC SRA is an embodiment of your Company's sustained commitment to a priceless legacy and national heritage.

Major Awards & Certifications 2025-2026

- Mr Sanjiv Puri, Chairman & Managing Director, was recognised as the 'Best CEO' in the FMCG category at Fortune India's Best CEOs Awards 2025.
- Mr Sanjiv Puri, Chairman & Managing Director, was recognised among India's Top 100 Influential People powering Technology & Innovation by MIT Sloan Management Review India.
- ITC Limited received the 'Masters of Risk Award' in the FMCG category at India Risk Management Awards 2025.
- ITC received the Times of India 'Earth Care Award' in the Green Business Titan category.
- ITC was ranked 1st in the 'Conglomerates' sector in BW Businessworld's 'India's Most Sustainable Companies 2025' for its exemplary sustainability initiatives.
- ITC's Agri Business was recognised as one of the 'Icons of India's AgriFood Systems' at the ET Edge Global Sustainability Alliance AgriFood Systems Summit 2026.
- ITC was conferred the 'Green Champion Award' for Leadership in Green Factory Buildings at the CII IGBC Green Building Congress 2025.
- ITC's Paperboards & Specialty Papers Division won the prestigious 'Aegis Graham Bell Award' for Innovation in Manufacturing, conferred by the Ministry of Electronics & IT.
- ITC's Tobacco Division was conferred with Distinction in HR Excellence at the 16th CII National HR Excellence Awards 2026, achieving the highest score ever recorded in history.
- ITC was recognised at FICCI 's Healthcare Excellence Awards 2025 in the category 'Excellence in Community Engagement' for the Swaasth Kiran – Sachal Netra Seva Initiative.
- ITC was adjudged a winner in the categories – 'Gut Health Product of the Year', 'Healthy Aging Initiative of the Year' & 'Health Awareness Campaign of the Year' at ET's Nutrition & Wellness Awards 2025.
- ITC's Packaging & Printing Business received 3 prestigious WorldStar Packaging Awards for pack premiumisation and sustainability solutions.
- ITC became the first Company in India to receive the global Farm Sustainability Assessment (FSA) 3.0 Silver benchmark for wheat and paddy.
- ITC Corporate Communications was awarded 3 Golds, ITC Foods received 2 Golds & 1 Silver at the Adgully Imagexx Summit & Awards 2025.
- ITC's Savlon 'Swasth India Mission – Handwash Legends' campaign won multiple accolades at The One Show, D&AD, Clio Awards, AdFest and Spikes Asia.
- ITC Mangaldeep won two prestigious ET Digi Plus Awards 2025 for its campaigns at Maha Kumbh.
- ITC's Life Sciences & Technology Centre was honoured at the ET HRWorld EX Awards 2025 for Exceptional Employee Experience.

Major Awards & Certifications over the Years

- Mr Sanjiv Puri, Chairman & Managing Director, was honoured with the 'Business Leader of the Year Award' by the All India Management Association.
- Mr Sanjiv Puri, Chairman & Managing Director, was conferred the Best CEO Award in the 'Large Companies' category by Business Today.
- Mr Sanjiv Puri, Chairman & Managing Director, received the 'AIMA – JRD Tata Corporate Leadership Award 2024' for his exceptional contribution to corporate leadership and professional management.
- Mr Sanjiv Puri, Chairman & Managing Director, was awarded the 'Sir Jehangir Ghandy Medal for Industrial and Social Peace' by XLRI Jamshedpur for his significant contributions to industry and society.
- Mr Sanjiv Puri, Chairman & Managing Director, was recognised as the 'Best CEO' in the 'Diversified Conglomerate' category by Fortune India.
- Mr Sanjiv Puri, Chairman & Managing Director, was honoured with the 'Distinguished Alumnus Award of the Year' conferred by IIT, Kanpur in recognition of his achievements of exceptional merit.
- ITC became the first Indian company to win the prestigious 'Global Kaizen Award' for its Panchla ICML facility at the 5th Edition of the Global KAIZEN™ Awards 2023 at Lisbon, Portugal.
- ITC was awarded the First Prize in the 'Best Industry for CSR Activities' category by the Ministry of Jal Shakti, Government of India, at the 3rd National Water Awards 2020.
- ITC's Paperboards & Specialty Papers Division won the first prize in the BRICS Industrial Innovation Contest 2024 for its 'Chemicals Consumption Reduction in Kraft Pulp Mill' project at Bhadrachalam, in the 'Intelligent Manufacturing, Intelligent Equipment' category.
- ITC was conferred the 'Best Governed Company' Award in the Listed Segment: Large category by the ICSI at the 20th ICSI National Awards for Excellence in Corporate Governance.
- ITC's Life Sciences and Technology Centre was ranked 'Top Innovator' in India amongst Indian pharma and healthcare private companies.
- ITC won the prestigious Porter Prize 2017 for 'Excellence in Corporate Governance and Integration' and for its exemplary contribution in 'Creating Shared Value'.
- ITC's leading hygiene brand Savlon bagged 7 awards at the coveted Cannes Lions 2017.
- ITC's Paperboards and Specialty Papers units at Bhadrachalam, Bollaram, Kovai and Tribeni are FSC Chain of Custody certified.
- ITC was presented the World Business and Development Award at the Rio+20 UN Summit for its Social and Farm Forestry initiative.

For other awards and accolades, please refer to www.itcportal.com

Enduring Value

www.itcportal.com

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